homefirst

Integrated Annual Report

FY26

About the *Report*

Our Approach to Reporting

Home First Finance Company India Limited **("Home First")** is publishing its Integrated Annual Report for Financial Year 2026 **("FY26")** to provide a holistic assessment of its financial as well as non-financial performance. Aligned with this year's theme, ***Home for All Seasons,*** the report reflects how our actions and outcomes continue to build on this core idea. Through this report, we strive to provide enhanced disclosures to meet the requirements of our stakeholders.

Reporting Principle

The report has been prepared in accordance with the framework prescribed by the International Integrated Reporting Council **("IIRC")** and also contains disclosures with reference to the Global Reporting Initiative **("GRI")** Standards and United Nations Sustainable Development Goals **("UNSDGs").**

The report has been prepared in compliance with the requirements of:

- The Companies Act, 2013 (including the rules made thereunder)
- The Indian Accounting Standards
- The Securities and Exchange Board of India (Listing Obligations and Disclosure Requirements) Regulations, 2015

Reporting Period

The Integrated Report FY26 is an annual publication for the period April 1, 2025 to March 31, 2026.

Materiality, Scope and Boundary

The Integrated Annual Report FY26 includes information that is material to Home First's stakeholders and provides an overview of the business processes and activities that assist in long-term value creation. Home First also shares insights about its strategic priorities, business model, risks and mitigants. The reporting boundary covers the overall environmental, social and economic performance of Home First across 171 physical branches as on Mar'26 and its Head Office and other offices in Mumbai.

Independent Assurance

The quality of information content in the report has been prepared in consultation with and reviewed by internal stakeholders. This Report covers financial and non-financial information and activities of Home First Finance Company India Limited **("the Company")** for the period April 1, 2025 to March 31, 2026. While the financial information has been audited by B S R & Co. LLP, Chartered Accountants, the non-financial information has been assured by SGS India Private Ltd.

Reasonable assurance on BRSR Core KPIs and limited assurance on the select indicators in the BRSR & Integrated Annual Report respectively has been provided by SGS India Pvt. Ltd. as per the SEBI guidelines in accordance with the International Standard on Assurance Engagements **("ISAE")** 3000 (Revised) "Assurance Engagements other than Audits or Reviews of Historical Financial Information", and ISAE 3410 Standards "Assurance Engagements on Greenhouse Gas Statements", both issued by the International Auditing and Assurance Standards Board.

The assurance statements contain details of the subject matter, criteria, methodology, and reasonable assurance conclusion, as applicable. The assurance statement forms part of the Report and is available on page no. 346 and 451.

FY 2025- 26 in *Brief*

Growth

171
Physical Branches

373
Touchpoints

₹15,878Crs
Assets Under Management (AUM)

31%
AUM CAGR (FY22-FY26)

₹5,424 Crs
Disbursals

Productivity

₹3.1 Crs
v 7% Y - o - Y
Disbursement / Employee

₹97.4Crs
^ 10% Y - o - Y
Assets Under Management / Branch

Funding

₹4,789 Crs
Raised Including Assignments

31 Lenders
Diversified Funding

AA Stable
(ICRA)

AA Stable
(IndRA)

AA Stable
(CARE)

Risk Management

1.8%
^ 10bps Y - o - Y
GNPA

3.2%
^ 20bps Y - o - Y
30+ DPD

Tech

96%
Customers Registered on Customer App

90%
Loans Approved within 48 hours

ESG

13.6
Low Risk
Morningstar Sustainalytics ESG Risk Rating

46
S&P Global ESG Score

13.6%
Employees are covered Under ESOP Program

58.7%
AUM is towards EWS/LIG customers

28%
Women workforce

Theme of the *Report*

A Home for *all Seasons*

Many cities. Many climates.
One shared aspiration: a place to belong.

India's housing story does not unfold in one uniform rhythm. Different markets evolve differently, and customer needs vary across geographies, occupations, and stages of life. Yet across this diversity, one aspiration remains constant: the desire to own a home.

For families building their future, a home is more than a structure, it is the foundation for everyday lifeschool mornings, festival evenings, daily routines and cherished milestones.

At Home First, this aspiration shapes our purpose. We seek to make home ownership more accessible, dependable, and inclusive for aspiring families across India. In a year marked by change, we remained anchored to what defines us: service-led execution, technology enabled efficiency, and prudent risk management.

Our growing distribution network, deeper local presence, and digital-first capabilities strengthened our ability to serve customers with greater speed, transparency, and convenience. At the same time, we continued to support both salaried and self-employed customers, including those whose income journeys may not always align with conventional documentation frameworks.

Building for every season also means building for the future. Through our Green Home Initiative, we continued to promote more sustainable and efficient housing choices, reflecting our commitment to responsible growth and long-term value creation.

A home must endure through every season. And so must the institution that helps make it possible. That is the commitment we renew: to stand by India's aspiring homeowners through every season that lies ahead.

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Corporate
Overview

“ After we got our own house, the rent stopped and I could use the additional income for my kid’s education.

Dinesh Desai

Occupation
Manager at a Furniture shop

Location
Ahmedabad

Product
Home Loan - Resale

Loan Amount
₹21.5 Lakhs



Customers Speak

Corporate *Information*

Directors

Mr. Deepak Satwalekar (Chairperson)
Ms. Geeta Dutta Goel
Mr. Anuj Srivastava
Ms. Sucharita Mukherjee
Mr. Sriram Hariharan
(Appointed w.e.f. June 26, 2025)
Mr. Maninder Singh Juneja
(resigned w.e.f. May 2, 2025)
Mr. Divya Sehgal
Mr. Narendra Ostawal
(resigned w.e.f. July 15, 2025)
Mr. Manoj Viswanathan
(Managing Director & CEO)

Chief Financial Officer

Ms. Nutan Gaba Patwari

Company Secretary

Mr. Shreyans Bachhawat

Registered Office

511, Acme Plaza, Andheri Kurla Road
Andheri (East), Mumbai 400 059
Tel No: +91 88805 49911
Email: corporate@homefirstindia.com

Committees of the Board

Audit Committee

Ms. Sucharita Mukherjee (Chairperson)
Ms. Geeta Dutta Goel
Mr. Anuj Srivastava
Mr. Sriram Hariharan

Nomination and Remuneration Committee

Ms. Geeta Dutta Goel (Chairperson)
Mr. Anuj Srivastava
Mr. Sriram Hariharan

Stakeholders Relationship Committee

Ms. Sucharita Mukherjee (Chairperson)
Mr. Anuj Srivastava
Mr. Manoj Viswanathan

CSR and ESG Committee

Ms. Geeta Dutta Goel (Chairperson)
Ms. Sucharita Mukherjee
Mr. Manoj Viswanathan

Risk Management Committee

Mr. Sriram Hariharan (Chairperson)
Ms. Sucharita Mukherjee
Ms. Geeta Dutta Goel
Mr. Manoj Viswanathan
Mr. Ajay Khetan
Ms. Nutan Gaba Patwari
Mr. Ashishkumar Darji

IT Strategy Committee

Mr. Anuj Srivastava (Chairperson)
Mr. Manoj Viswanathan
Mr. Sriram Hariharan
Mr. Ajay Khetan

Statutory Auditors

B S R & Co. LLP
14th Floor,Central B Wing and North C Wing, Nesco ITPark 4,NescoCenter, Western Express Highway, Mumbai - 400063 Tel No: +91 22 6257 1000

Debenture Trustee

Axis Trustee Services Limited Corporate Office: The Ruby, 2nd Floor, SW 29 Senapati Bapat Marg, Dadar (West), Mumbai 400028 | Tel No: 022-6230 0451
www.axistrustee.in

Registrar and Share Transfer Agents

Kfin Technologies Limited
Selenium Building, Tower- B, Plot No 31-32, Serilingampally, Financial district, Nanakramguda, Rangareddy, Telangana, Hyderabad - 500032
Tel No: 040 67161563

Bankers & Financial Institutions

National Housing Bank
International Finance Corporation
U.S. International Development Finance Corporation
Central Bank of India
State Bank of India
Axis Bank Limited
HDFC Bank Limited
Punjab National Bank
The Jammu & Kashmir Bank Limited
Indian Bank
Kotak Mahindra Bank Limited
Punjab & Sind Bank
Canara Bank
ICICI Bank Limited
Bank of Baroda
Bandhan Bank Limited
IndusInd Bank Limited
IDBI Bank Limited
The South Indian Bank Limited
The Federal Bank Limited
Bajaj Finance Limited
Karnataka Bank
Yes Bank Limited
DCB Bank Limited
Shinhan Bank India
The Karur Vysya Bank Limited
The Hongkong and Shanghai Banking Corporation Limited, India

Home First *at a Glance*

Smart loans for affordable homes

Home First is a technology driven, affordable housing finance company founded in 2010. We provide home loans to customers from low and middle income segments who are building or buying their first homes

Vision

Shape the Future of Financing Homes, and Empower People to Live Better

Mission

Be the Fastest Provider of Home Finance for the Aspiring Middle Class Delivered with Ease and Transparency

Values

Swift Transparent

Unconventional

Doing the unconventional in a swift and transparent manner!

₹12.0 Lakhs
Average Ticket Size

90%
Loans Approved within 48 Hrs

81
NPS (FY26)

1,39,171
Customers

Our Customers

Kiran Kanwar

Occupation - **Owner, Marriage Agency**
Location - **Jaipur, Rajasthan**
Product - **Home Loan - Builder Purchase** | Loan Amount - **₹25 Lakhs**

Kiran is a single mother living with her 10-year-old son. Professionally, she began her career as a digital marketer, later moved into the matrimonial space. She now runs her own court marriage agency for the last 5 years and earns up to ₹80,000 every month. Her primary reason for purchasing a home is to create a stable and secure environment for herself and her family.



Hemant Wankhade

Occupation - **GST and Income Tax consultant**
Location - **Amravati, Maharashtra** | Product - **Home Loan - Resale**
Loan Amount - **₹25 Lakhs**

The applicant runs his own GST and Income Tax consultancy with over 15 years of experience in the field, and earns around ₹60,000 every month. He provides services including Income Tax return filing, GST form filing, accounting, and auditing support for clients locally. Over the years, he has built a stable client base of around 45–50 customers.



Manish Kumar

Occupation - **Medical Store Owner**
Location - **Gorakhpur, Uttar Pradesh**
Product - **Plot + Home Loan** | Loan Amount - **₹10 Lakhs**

He has been running a medical shop for the past seven years and earns around ₹34,000 every month. Living with his wife and two children, he has built a stable livelihood for his family. Over time, his shop has become well-known in the area, supported by strong customer relationships and reliability. With years of business experience behind him, he took the next step towards securing a home for his family.



Home First *at a Glance*

Rakesh Singh

Occupation - **Labour Contractor** | Location - **Ankleshwar, Gujrat**
Product - **Home Loan - Builder Purchase (PMAY 2.0)**
Loan Amount - **₹11 Lakhs**



Originally from Uttar Pradesh, Rakesh Singh has been living in Ankleshwar and working as a self-employed tiles fitting contractor for the past 10 years and earns up to ₹51,000. Over the years, he has built a strong experience in the field, managing tile fitting projects and arranging skilled labour for clients across retail and construction work. With a stable livelihood and years of hard work behind him, he took the next step towards securing a home for his family with a home loan. He is also a recipient of the PMAY 2.0 (U) subsidy.

Pratap Shekhawat

Occupation - **Soldier, Indian Army**
Location - **Ratlam, Madhya Pradesh**
Product **- Loan Against Property** | Loan Amount - **₹15 Lakhs**



Pratap Singh Shekhawat has been serving in the Indian Army for the past seven years. With a career built on discipline and commitment, he has continued to support his family remotely, while managing postings across different locations. Him and his mother have a combined family income of ₹50,000. Looking to consolidate and clear his existing debts, he opted for a Loan Against Property

Sanjay Singh

Occupation - **Head Chef at 5-star hotel in Abu Dhabi**
Location - **Dehradun, Uttarakhand**
Product - **NRI Home Loan - Resale** | Loan Amount - **₹20 Lakhs**



For over five years, Sanjay Singh has been working in Abu Dhabi as a chef, steadily growing in his career to become the Head Chef at the Courtyard by Marriott and now earns up to 60,000-70,000 in INR. While he built his professional journey abroad, his wife continued living in Dehradun. Owning a home had been a long-standing aspiration for their family.

Gudala Rukhadbhai

Occupation **- Owner, Auto Financing Consultancy**
Location - **Bhavnagar, Gujrat**
Product - **Shop Loan** | Loan Amount - **₹23 Lakhs**



The applicant has been running Gopal Auto Consultancy for the past 18 years in Bhavnagar. As a self-employed professional, he specializes in two-wheeler loans, car loan processing and has a loyal customer base. He earns up to ₹62,000 every month. Currently operating from a rented shop, he aspired to purchase his own commercial space to shift and expand his business operations.

Kummari Thimmappa

Occupation - **Tea Stall owner** | Location - **Hyderabad, Telangana**
Product - **Loan Against Property**
Loan Amount - **15 Lakhs**



Kummari Thimmappa has been running a tea stall in a prime area of Hyderabad for the past six years. Located at a busy main centre, near Kukatpally metro and bus stand. The stall has been a steady source of livelihood through years of consistent hard work and regular visitors, generating a monthly income of approximately ₹45,000. Looking to expand his business, he opted for a Loan Against Property.

Sivakumar

Occupation Type - **Tailor in a private textile Mfg. Co.**
Location - **Tirupur, Tamil Nadu**
Product - **Plot + Home Loan** | Loan Amount - **16 Lakhs**



Sivakumar and his wife, both tailors by profession, have been working in the textiles industry for over 25 years in Tirupur with a combined income of ₹45,000. With the intention of building a home for their family, they began construction using their personal savings. To take the next step towards completing their home, they chose us as their loan partner. Their home is also an Edge certified Green Home.

Our *Journey*

₹15,878 Crs

Assets Under Management

Scalable operating model



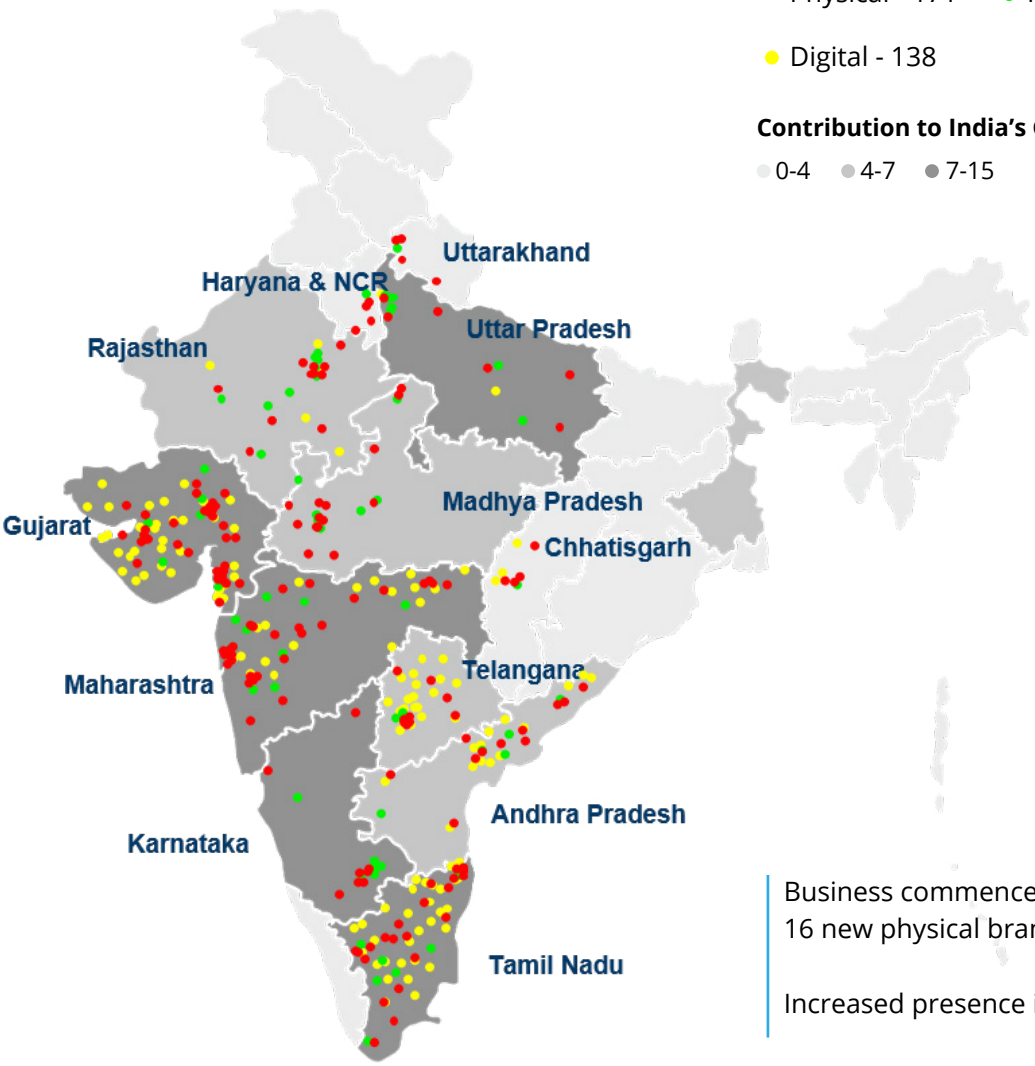
Our *Geographic Presence*

Our Branch Network

- Physical - 171
- Proposed - 64
- Digital - 138

Contribution to India's GDP FY'24 (%)

0-4 4-7 7-15



Business commenced in
16 new physical branches during the year

Increased presence in 3 new districts

171 Branches

144 Districts

13 States / UT

373 Touchpoints

Disclaimer : Map not to scale. All data, information and maps are provided "as is" without warranty or any representation of accuracy, timeliness or completeness

Note: Source for Contribution of states to India's GDP: NSO, MOSPI

16 Years *Highlights*

	IGAAP	IGAAP	IGAAP	IGAAP	IGAAP	IGAAP	IGAAP	IGAAP	IndAS	IndAS	IndAS	IndAS	IndAS	IndAS	IndAS	IndAS
Particulars (₹ in Crs)	**FY11**	**FY12**	**FY13**	**FY14**	**FY15**	**FY16**	**FY17**	**FY18**	**FY19**	**FY20**	**FY21**	**FY22**	**FY23**	**FY24**	**FY25**	**FY26**
Total Income	-	2	7	20	39	62	95	146	271	419	489	596	796	1,157	1,539	1,923
Interest Expense on borrowings and debt securities	-	-	3	10	22	36	53	64	125	191	217	215	303	499	713	790
Net Total Income	-	2	4	10	17	26	42	82	146	228	273	381	492	658	826	1,133
Interest Income on loans	-	1	5	16	33	55	84	126	229	342	406	477	682	970	1,280	1,574
Interest Expense on borrowings and debt securities	-	-	3	10	22	36	53	64	125	191	217	215	303	499	713	790
Net Interest Income	-	1	2	6	11	19	31	62	104	151	190	262	379	471	567	784
Net Gain on DA	-	-	-	-	-	-	-	-	21	37	44	68	38	63	91	112
Other Non-interest income	-	1	2	4	6	7	11	20	21	40	39	51	75	124	168	237
Net Total Income	-	2	4	10	17	26	42	82	146	228	273	381	492	658	826	1,133
Opex	1	3	5	8	12	16	26	42	74	104	106	130	176	232	295	368
Credit Cost	-	-	-	-	1	1	2	2	7	17	32	25	22	25	29	57
Total Expense	1	3	8	18	35	53	81	108	206	312	355	369	500	757	1,038	1,215
Tax	-	-	-	-	1	3	5	13	19	27	34	52	67	94	120	168
One time adjustment	-	-	-	-	-	-	-	-	-	-	-	(12)^	-	-	-	-
PAT	(1)	(1)	(1)	2	3	6	9	25	46	80	100	186	228	306	382	540
Funds (₹ in Crs)																
Debt	-	5	44	96	216	365	554	870	1,926	2,494	3,054	3,467	4,813	7,302	9,551	10,590
Equity	15	28	50	99	102	154	308	333	523	933	1,381	1,574	1,817	2,121	2,521	4,357
Total Assets	16	34	102	216	359	597	990	1,372	2,482	3,480	4,510	5,117	6,737	9,534	12,212	15,167
Key Metrics (₹ in Crs)																
AUM	2	20	69	163	337	548	847	1,356	2,444	3,618	4,141	5,380	7,198	9,698	12,713	15,878
Disbursement	2	12	35	90	211	277	424	746	1,573	1,618	1,097	2,031	3,013	3,963	4,805	5,424
Key Ratios																
Earnings per share [FY11 to FY18 - FV ₹10 per share FY 19 onwards - FV ₹ 2 per share]	-2	-5	-4	9	11	18	23	24	8*	11	12	21	26	35	43	52
RoA	-7.4%	-5.5%	-1.6%	1.6%	1.2%	1.3%	1.1%	2.1%	2.4%	2.7%	2.5%	3.6%^	3.9%	3.8%	3.5%	3.9%
RoE	-7.5%	-6.2%	-2.7%	3.4%	3.4%	4.7%	3.8%	7.9%	10.8%	10.9%	8.7%	11.8%^	13.5%	15.5%	16.5%	15.7%
CRAR	167.0%	84.0%	60.2%	73.7%	44.1%	48.4%	66.7%	43.8%	38.5%	49.0%	56.2%	58.6%	49.4%	39.5%	32.8%	44.1%
CRAR - tier 1	167.0%	84.0%	60.2%	73.7%	43.5%	47.8%	66.0%	42.9%	37.7%	47.7%	55.2%	58.1%	48.9%	39.1%	32.4%	43.8%
No of shares	28,85,457	34,70,914	44,53,643	61,25,468	61,25,468	77,61,721	1,03,20,531	1,03,23,331	6,33,39,490*	7,82,97,715	8,73,99,727	8,76,33,703	8,80,16,767	8,85,16,167	9,00,55,540	10,43,28,017
Face value per share	10	10	10	10	10	10	10	10	2*	2	2	2	2	2	2	2
BVPS	53	80	113	161	166	198	298	323	83*	119	158	180	206	240	280	418
Opex to Assets	12.4%	13.1%	7.5%	5.0%	4.2%	3.4%	3.3%	3.6%	3.8%	3.5%	2.7%	2.7%	3.0%	2.9%	2.7%	2.7%
Cost to Income Ratio (Operating Expenses / Net Total Income)	242.3%	161.8%	121.9%	74.6%	69.0%	61.6%	63.1%	51.2%	50.3%	45.8%	39.0%	34.0%	35.7%	35.3%	35.8%	32.5%

Note:

- Effective April 1, 2019, the Company has adopted Ind AS and the adoption was carried out in accordance with Ind AS 101, First-time Adoption of Indian Accounting Standards, with April 1, 2018 as the transition date. Accordingly, FY19 financials have also been restated as per IndAS for comparison.
- The shareholders, vide a special resolution, have approved subdivision of equity shares of the Company in the ratio of five equity shares of Rs 2 each against one equity share of Rs 10 each respectively. Accordingly, 15,659,543 shares of Rs 10 each, were subdivided to 78,297,715 shares of Rs 2 each as at 30 October 2019.
- Operating Expenses is the sum of Employee Benefits Expenses, Depreciation and Amortization, Interest on lease liability and other expenses for the relevant year or period as per the financial statements.

*^Adjusted RoA at 3.6% and Adjusted RoE at 11.8% is computed considering Adjusted PAT for FY22 without the positive impact of one-time deferred tax liability adjustment | *Adjusted for subdivision*

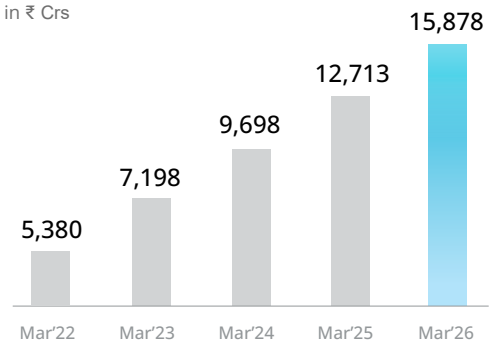
Performance *Highlights*

Business Metrics

Assets Under Management

₹15,878 Crs

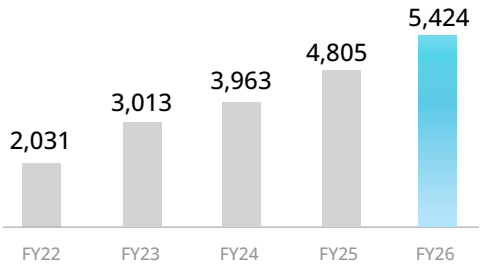
^ Y-o-Y 24.9% ^ CAGR 31.1% (4 Yrs)



Disbursement

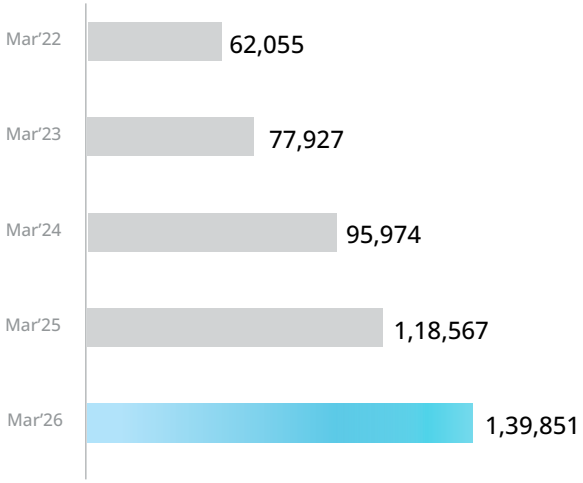
₹5,424 Crs

^ Y-o-Y 12.9% ^ CAGR 27.8% (4 Yrs)



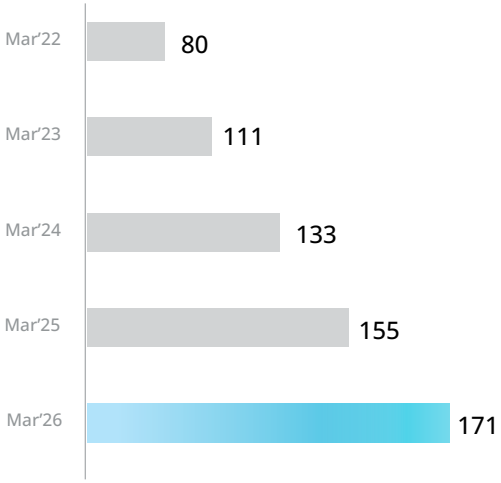
No. of Loan Accounts

1,39,851



No. of Branches

171



Note: Graphs are not to scale

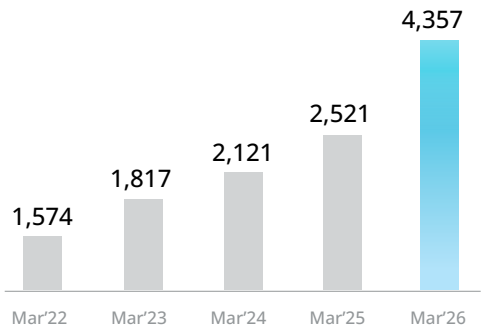
Performance *Highlights*

Balance Sheet Metrics

Networth

₹4,357 Crs

in ₹ Crs

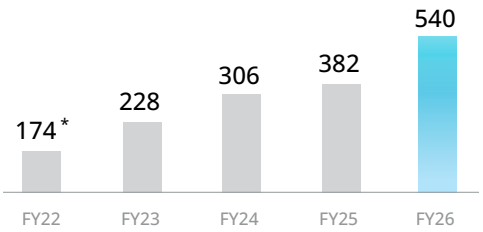


Profit After Tax

₹540 Crs

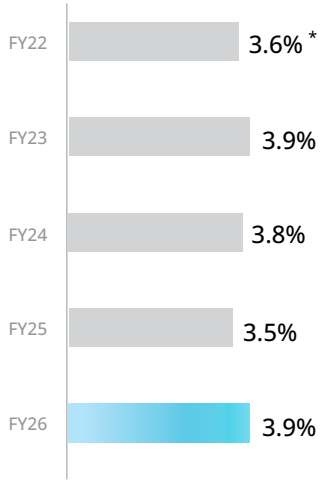
^ Y-o-Y 41.4% ^ CAGR 32.7% (4 Yrs)

in ₹ Crs



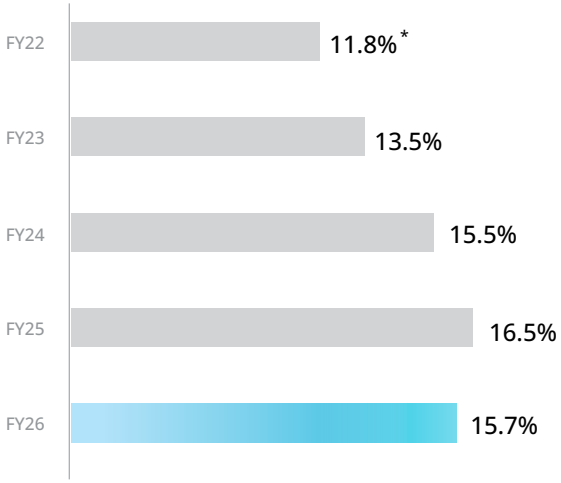
RoA

3.9%



RoE

15.7%



* Adjusted RoA at 3.6% and Adjusted RoE at 11.8% is computed considering Adjusted PAT for FY22 without the positive impact of one-time deferred tax liability

Note: Graphs are not to scale

Performance *Highlights*

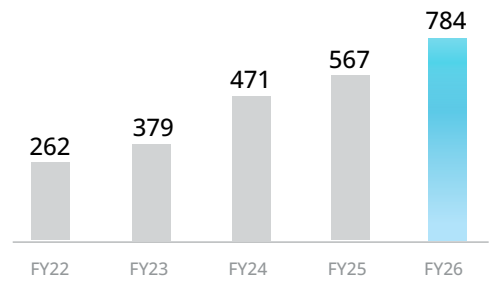
Profit & Loss Metrics

Net Interest Income

₹784 Crs

^ Y-o-Y 38.3% ^ CAGR 31.5% (4 Yrs)

in ₹ Crs

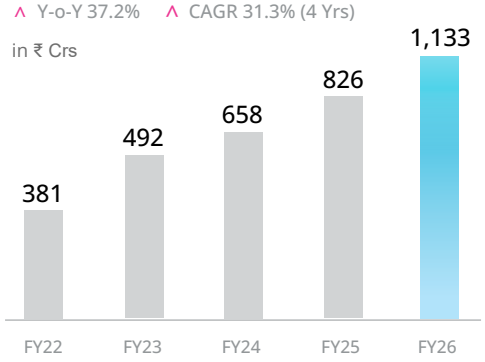


Net Total Income

₹1,133 Crs

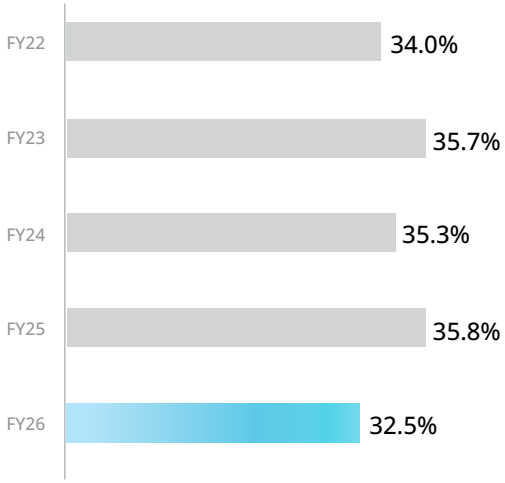
^ Y-o-Y 37.2% ^ CAGR 31.3% (4 Yrs)

in ₹ Crs



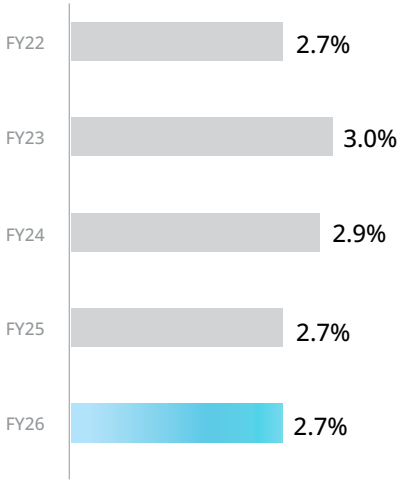
Cost to Income

32.5%



Opex to Assets

2.7%



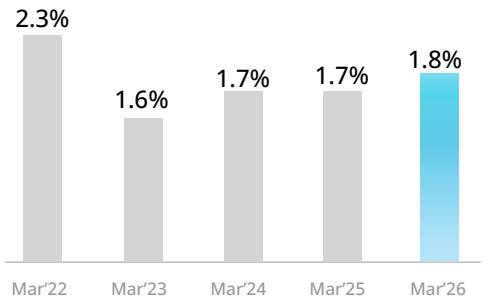
Note: Graphs are not to scale

Performance *Highlights*

Asset Quality Metrics

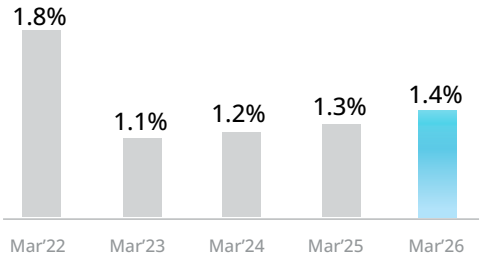
GNPA

1.8%



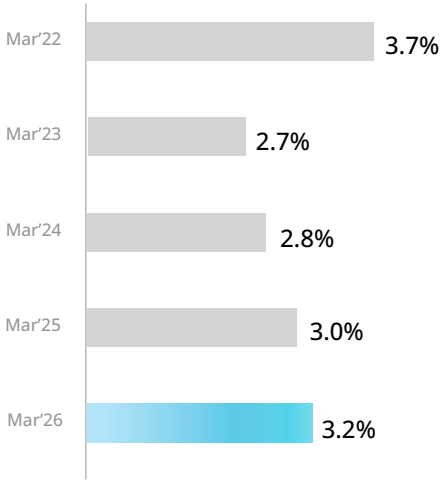
NNPA

1.4%



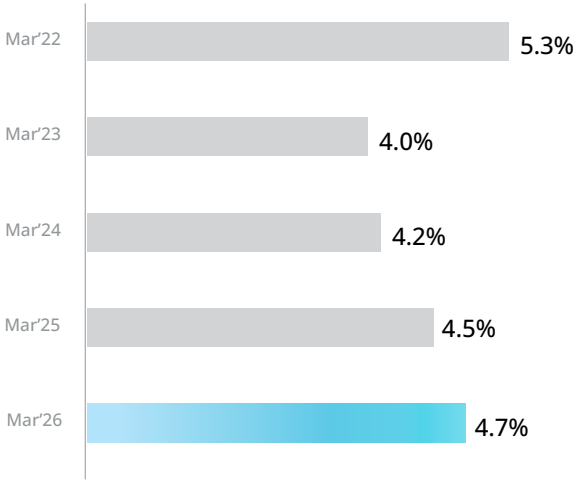
30+ DPD

3.2%



1+ DPD

4.7%



Note: Graphs are not to scale

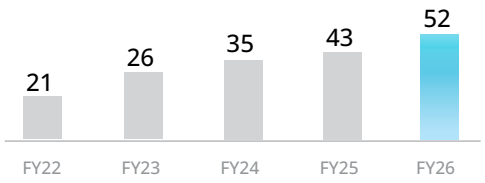
Performance *Highlights*

Operational Metrics

EPS

₹52

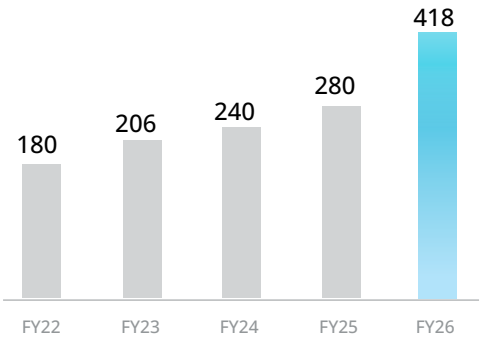
in ₹



BVPS

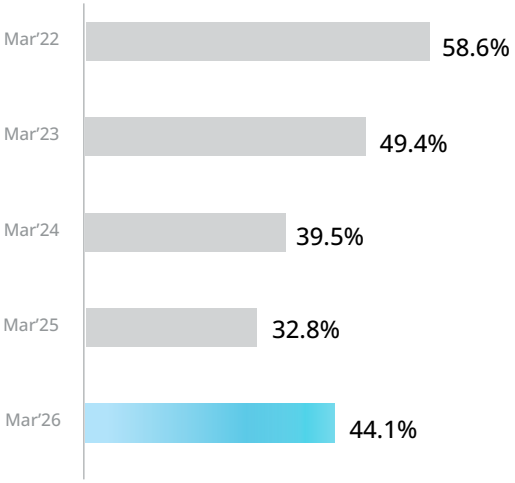
₹418

in ₹



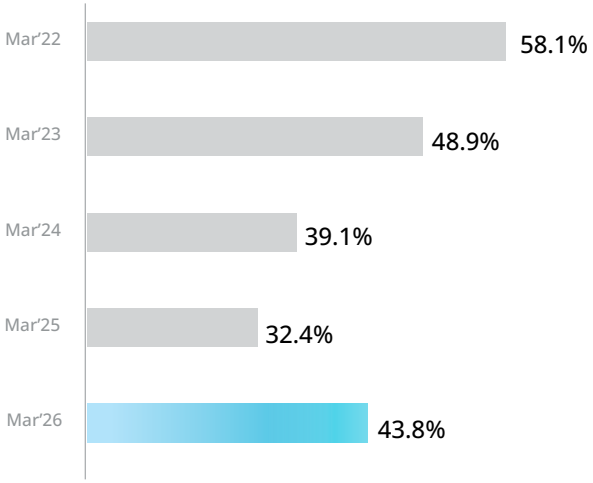
CRAR

44.1%



CRAR - Tier I

43.8%



Note: Graphs are not to scale

Chairman's *Statement*

Dear Shareholders

It gives me great pleasure in writing to you once again, this time reflecting on FY26 - a year that tested the resilience of institutions, rewarded clarity of purpose, and confirmed, that Home First Finance is exactly where it needs to be. I want to share with you my assessment of the world we operated in, what it meant for Home First Finance, and why I remain as optimistic about our future as I have ever been.

A Difficult World - and Why India Is Different

FY26 was not an easy year for the global economy. Tariff barriers rose sharply as the United States moved to restructure decades of trade relationships, creating uncertainty across supply chains and dampening global growth expectations. Geopolitical conflicts in Europe and the Middle East further weighed on economic activity. Global capital became more selective and risk-averse.

India, by and large, navigated this with considerable poise. Our domestic consumption story remained intact. GDP growth estimate as per MoSPI (as per New Series) held steady - at 7.6% in FY26 against 7.1% in FY25 - not the elevated post-pandemic rates, but a healthy, sustainable pace of expansion.



After remaining a persistent concern through FY24 and FY25, inflation moderated in FY26, easing to 3.4% in March 2026 under the new CPI 2024 series. The sustained decline in inflation enabled the RBI to cut policy rates by 100 basis points in FY26 and adopt an accommodative stance, lowering borrowing costs and creating a more favourable funding environment for housing finance sector.

One aspect of FY26 that deserves acknowledgment is liquidity, which proved more challenging than headline numbers might suggest. Despite a decline in interest rates, system liquidity remained volatile for much of the year. The rupee faced sustained pressure amid global dollar strength, and the RBI's interventions to support the currency absorbed rupee liquidity from the banking system. By December 2025, the system had briefly moved into deficit. As a result, institutions reliant on market borrowings encountered wider spreads and tighter funding conditions than the repo rate alone would imply.

The RBI responded promptly and decisively, deploying large-scale open market operations, CRR reductions, and foreign exchange swaps to restore durable liquidity to the system. By Q4FY26, conditions had largely normalised, though volatility resurfaced amid heightened tensions in the Middle East, contributing to fluctuations in crude prices and heightened supply-side uncertainties.

Against this backdrop, Home First has demonstrated resilience, underpinned by strong liquidity buffers and a steadily improving cost of borrowing. As we enter FY27, we remain well positioned, supported by a diversified and robust funding base, disciplined risk management practices embedded across our lending operations, and the enduring resilience of our customer segment. Furthermore, your Company successfully raised primary capital aggregating to ₹1,250 Crores through a Qualified

Deepak Satwalekar
Chairman & Independent Non-Executive Director

Chairman's *Statement*

Institutions Placement ("QIP") in accordance with the SEBI (Issue of Capital and Disclosure Requirements) Regulations. In pursuance of the said transaction, the Company has raised capital from foreign institutional investors, domestic mutual funds and insurance companies - both new and existing. This reaffirms our confidence in sustaining growth and delivering long-term value for all our stakeholders.

The Opportunity Has Not Changed - It Has Only Grown

I have written for years about the multi-decade opportunity in affordable housing finance in India - and today, that opportunity is becoming even clearer as trends continue to crystallize.

India's housing demand and housing finance penetration are increasingly shaped by structural changes that expand the pool of financially eligible households over time.

A key factor is the gradual formalization of incomes, with earnings becoming more visible across both salaried and self-employed segments through tax records, banking trails, and digital transactions. This strengthens lenders' ability to assess creditworthiness and broadens the pool of households within the formal borrowing ecosystem through more reliable underwriting. As mortgage markets depend on predictable cash flows, improving income visibility and stability across these segments is steadily expanding the base of borrowers able to sustain long-term repayments.

At the same time, financial participation is deepening. Greater use of banking, insurance, and market-linked savings contributes to more structured household balance sheets and a higher acceptance of leverage for asset creation, including housing.

Demographic shifts-particularly urbanization and smaller household sizes-are driving higher rates of household formation. Combined with ongoing population growth, these trends continue to sustain strong demand for housing.

Further, the strengthened institutional transparency and robust regulatory frameworks continue to reduce market friction. This progress has significantly expanded the reach of formal credit, unlocking essential financing for affordable housing and the underserved self-build market

Overall, India's mortgage penetration remains at approximately 11.2% of GDP as of Mar'25, compared to high double digit percentage in most developed economies. The EWS and LIG segments - the families we serve - still represent the largest share of unmet housing demand. Urbanization is still unfolding. The salaried workforce is still formalising. None of the fundamental drivers of our business have diminished - if anything, they are more pronounced than when we started.

How Home First Performed in FY26

I am happy to report that FY26 was a strong year for Home First Finance across all the dimensions that matter - growth, profitability, and asset quality.

Our AUM grew to ₹ 15,878 crore at the end of FY26, a 24.9% increase y-o-y. Disbursements for the year crossed ₹ 5,424 crore with monthly disbursements run-rate exceeding ₹ 555 crore in March 2026 for the first time in our history.

Profitability has improved sharply. PAT grew 41.4% year-on-year to ₹ 540.4 crore in FY26. Our spread ex-co-lending improved to 5.3% up 10 basis points y-o-y as proactive liability management delivered results even in a difficult liquidity environment. Our return on equity and return on assets continue to improve as operating leverage builds.

Asset quality remains robust, with Gross Stage 3 at 1.8% as of 31st March 2026. Our 1+ DPD and 30+ DPD remained stable and range bound. Credit costs are well within our guided range of 30–40 basis points, reflecting the strength of our underwriting and collections framework.

Our housing loan mix remains strong at 83% of AUM, with a clear focus on serving customers in the EWS and LIG segments. We continue to grow a high-quality, resilient, and purpose-driven portfolio.

During the year, we successfully raised ₹1,250 crore through a Qualified Institutional Placement, which was oversubscribed. This has strengthened our net worth and provided the capital needed to support the next phase of our growth. Our credit rating remains AA Stable, with a well-diversified lender base now spanning across 31 institutions, and a balanced borrowing mix that includes term loans, NCDs, ECBs, direct assignments, and NHB refinancing. We have not issued any commercial paper.

Our branch network now spans 171 branches across 144 districts in 13 states. Our technology backbone - integrated with Account Aggregator, India Stack, and our own proprietary credit models - allows us to assess and underwrite informal-income borrowers with a consistency and rigour that we believe is difficult to replicate.

Chairman's ***Statement***

To Our Shareholders - On the Question of Capital

I want to address directly a question I believe every shareholder should ask: how are we protecting and growing the capital you have entrusted to us.

The honest answer is this: by being cautious in the right ways and ambitious in the right ways.

We are cautious in that we refuse to chase high-yield, high-risk segments to boost short-term AUM growth. We are cautious in that we keep our funding diversified and our liquidity buffers intact.

Where we are ambitious is in how we invest in the future - by identifying sustainable growth opportunities, expanding into high-potential markets, and leveraging technology and innovation to improve efficiency and client experience. Our ambition is disciplined, targeted, and strategic: we aim to create long-term value while staying true to the fundamentals that protect your capital.

We believe India's affordable housing market represents a multi-decadal opportunity, and we are building an institution - across people, technology, distribution, and brand - to compound through it with discipline and scale.

Even as we invest for growth and absorb the impact of a recent capital raise, our returns remain robust: a return on equity of over 15.7% on an expanding equity base, and a return on assets of 3.9%. These metrics reflect the strength of our model and reinforce our confidence in the long-term compounding potential of the business.

I also want to acknowledge that FY26 was a year in which tested our resilience. Volatile liquidity, a depreciating rupee, subdued macro-economic environment, geo-political uncertainties and a tighter funding environment created real challenges. The fact that we delivered record disbursements, improved spreads, and strong profitability through this environment - without compromising credit quality - is, I believe, the clearest evidence that Home First has built something of genuine durability.

Responsibility Beyond Returns

Home First's Green Home initiative reflects our commitment to advancing sustainable, affordable housing through a growing portfolio of energy-efficient developments. In collaboration with IFC, we have financed over 400+ green-certified homes to date and are set to expand the programme in FY27.

Our CSR programmes - focused on skilling, education, and healthcare for migrant communities in the neighbourhoods surrounding our branches - have now touched over 2,000 households. The programme has expanded in scope, and I remain personally committed to deepening it.

Morningstar Sustainalytics continues to rate Home First in the low-risk ESG category - a recognition I value not because of what it says to investors, but because of what it reflects about the values of the people who work here.

Looking Forward

As I look at FY27, I am optimistic... Our balance sheet is strong, our teams are experienced, and the market we are addressing is as large as it has ever been.

We remain mindful, however, of global developments. The war in the Middle East has created volatility in energy and commodity markets, which can indirectly influence inflation and borrowing costs. While these external pressures may pose challenges, our disciplined approach, strong capital position, and focus on the first-time homebuyer segment position us to navigate such uncertainties effectively.

We remain confident in sustaining a strong and healthy trajectory of AUM growth over the medium term, deepen our branch network, invest in technology, and stay true to the customer segment the first-time homebuyer in India's growing towns and cities - that defines us. We will not lose sight of the fact that the families we serve are placing enormous trust in us.

I am grateful to our customers for that trust. I am grateful to RBI, NHB, SEBI, NSE, BSE, Our lenders and Rating Agencies for their continued support and confidence. I am grateful to our Board colleagues for their guidance. Most of all, I am grateful to the Home First team over 1,700 people working across India, often in difficult conditions, to make homeownership real for those who have waited the longest for it. Without them, none of this is possible.

Thank you for your support and your confidence in us.

From the Desk of *MD & CEO*

Home for all Seasons

India is a diverse country, and its housing journey does not unfold uniformly. Different parts of the country are moving through different stages of urbanization, industrialization and economic development. In some states, affordable housing demand is driven by dense urban growth, formal employment and well-developed property markets. In others, it is emerging through the spread of small towns, self-employed households and self-constructed homes. Property types, title structures and customer requirements vary across states and cities. The path to home ownership, therefore, takes different forms across the country.

And yet, across this diversity, one aspiration cuts across geographies: the desire to own a home. For most families, a home is not just an asset on a balance sheet. It is a source of permanence, dignity and progress. It is where life finds a certain rhythm, where children grow up, where families build routines, and where people feel better anchored while dealing with both opportunity and uncertainty.

For us, the theme "A Home for All Seasons" reflects both these realities. It reflects the many stages through which India's housing markets are evolving, and it reflects the enduring role that a home plays in the life of a family. It also reflects the kind of institution Home First is building: one designed to serve diverse housing needs across geographies with consistency, relevance and discipline.

This is where the way we have built Home First matters. At Home First, we have consciously built a model that combines local presence with central intelligence and control.

Our branch network, local teams and connector ecosystem keep us close to customers, close to the realities of each market, and close to the varied ways in which home ownership takes shape across India. This local presence gives us a better understanding of customer behaviour, property formats, documentation patterns and the cultural context in which borrowing decisions are made.

At the same time, our centralized underwriting, analytics and technology platforms help us bring consistency, speed and discipline across the organization. As our footprint expands, this central intelligence becomes even more important. It allows us to transfer learning from one market to another, replicate what works, improve decision-making and productivity, and do so without losing the nuance that each local market demands.

Technology has always been an important part of this architecture. We have used it to simplify the customer journey, reduce friction, improve transparency and enable faster, better decisions. We are now extending these capabilities into the realm of AI, not as a substitute for judgment, but as a way to strengthen it. In our context, AI can help us interpret local-language documents, organize financial information more effectively, understand property price movements at a micro-market level, and connect digital footprints with real-world context. Its value lies not in automation alone, but in enabling better decisions at scale.

This combination of local presence and central intelligence has become one of the defining strengths of our franchise. It enables us to remain relevant in markets that differ in meaningful ways, while continuing to build a business that is scalable, resilient and aligned to the needs of first-time home buyers.

The year gone by was another reminder that a well-designed model can remain both resilient and scalable. Our financial performance reflected this clearly. Our Assets Under Management crossed ₹15,877.7 crore, rising 24.9% y-o-y, while Profit After Tax reached ₹540.4 crore, up by 41.4%. We achieved this while maintaining spreads at 5.3% and Opex-to-Assets at 2.7%. Asset quality remained steady, with GNPA at 1.8%. Early delinquencies also reflected an improving credit environment, with 1+ DPD at 4.7% and 30+ DPD at 3.2%. These numbers matter not only because they reflect growth, but because they reflect the quality of that growth.

We added 16 new branches during the year and now serve customers through 171 branches across 13 states/UT and one Union Territory. Our team grew by 221 to 1,855 employees, with a median age of 26. Even as we scaled, we continued to focus on speed, accuracy and transparency

From the Desk of *MD & CEO*

in customer service. During FY26, we approved more than 45,000 loans, with 90% approved within 48 hours. We also processed more than 1,00,000 disbursal transactions, of which more than 90% were completed within 24 hours.

In April 2025, we successfully raised ₹1,250 crore through a Qualified Institutional Placement, further strengthening our balance sheet and giving us ample capital for the next phase of expansion.

As Home First grows, our ambition is not merely to be present in more markets, but to become more intelligent across them. We want each new market to add not only to our scale, but also to our understanding. Over time, we want our network, technology platforms and AI capabilities to deepen this intelligence layer, so that learning compounds across the organization while remaining sensitive to local conditions.

At the heart of all this is the trust that our stakeholders place in us. I would like to begin by thanking our employees. Home First has been built through their energy, commitment and sense of purpose. In a business such as ours, systems and technology matter a great deal, but it is people who bring judgment, empathy and accountability to each customer interaction. Their effort, day after day, is what turns intent into execution.

I would also like to thank our customers for placing their trust in us at one of the most important moments in their lives. The decision to buy a home carries both financial weight and emotional meaning. It is a privilege to be part of that journey, and their faith in us keeps us anchored to what truly matters.

My thanks also to our lending partners, bankers, investors, and capital market participants for their continued support, and to the National Housing Bank, the Reserve Bank of India, and other regulators for their guidance and oversight, which remain important to the long-term strength and stability of the housing finance sector.

> "I would also like to thank our Board and all our shareholders for their continued confidence in Home First. As we look ahead, we remain committed to building an institution that stays relevant across markets, dependable across cycles and thoughtful in the way it serves customers. That, to us, is what it means to build a home for all seasons.

Manoj Viswanathan
Managing Director & CEO
Home First Finance Company India Ltd.



Our Strategic Priorities

This section highlights how Home First Finance internalizes its core principles and values in practice, in line with its vision and mission. Our strategic priorities form a comprehensive framework that defines our focus and direction, and provides an update on our progress during the year.



Strategic *Priorities*

Tech in Mind

The Plan

Technology serves as a unified foundation across Home First, strengthening the entire value chain–from discovery to disbursal for a smooth home loan experience.

It improves operational efficiency and enables faster, more effective underwriting decisions.

The Practice

Technology serves as the all-weather ally of Home First, efficiency across processes while enabling scale. It powers faster loan turnaround times, strengthens the customer experience, and supports our ability to expand access to formal lending. This is driven through three focused levers:

1. Building a Scalable, Intelligent Data Backbone

A 100% cloud-based data architecture enables real-time data access, centralized governance, and secure, compliant processing across all branches and channels. With over 16 years of operations and underwriting 2 lakh+ customers, this continuously expanding data pool drives faster decision-making. Combined with ML-based customer scoring models and centralized underwriting, this allows faster, more accurate, and more consistent credit decisions across the lending lifecycle–supporting loan approvals within 48 hours.

2. Driving End-to-End Digitization and AI Integration

Our platforms are built for straight-through processing, making the lending journey largely paperless, faster, and more efficient. A robust document management system ensures seamless access, secure storage, improving turnaround times and audit readiness. AI and voice-enabled capabilities are now embedded across core platforms, driving efficiencies across lead generation, verification, underwriting, collections, and customer service. This helps improve productivity at scale and helps maintain a healthy Opex-to-Assets ratio as the business grows.

3. Strengthening Customer Journey Control

Our in-house lead management and communication stack enhances visibility and control across the customer lifecycle. This integrated approach allows us to deliver industry-leading turnaround times, with speed emerging as a clear competitive advantage. Customer satisfaction is the focus.

With technology handling the heavy lifting, our human–tech hybrid model ensures on-ground teams remain focused on solving real customer needs - whether through documentation support, financial clarity, or last-mile assistance.

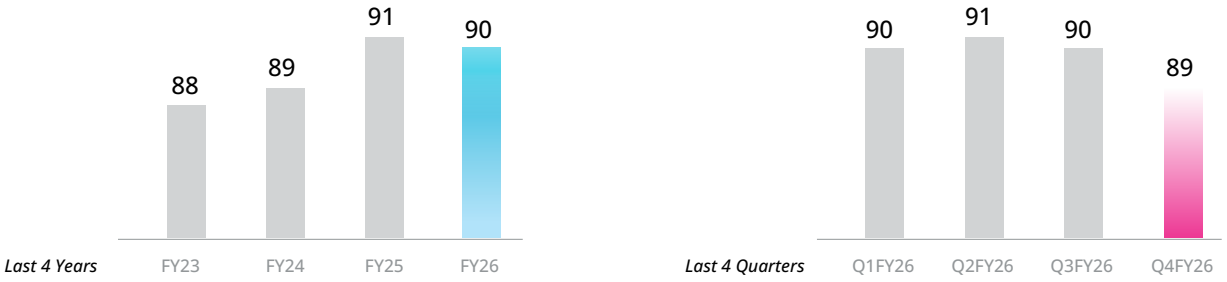
Strategic *Priorities*

The Performance

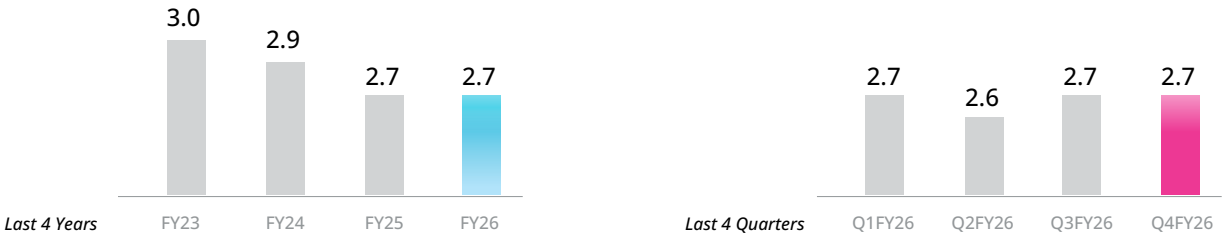
Customer NPS



Loans approved within 48 hrs (in %)



Opex to Assets (in %)



Note: Graphs are not to scale

Strategic *Priorities*

Scale and Growth

The Plan

Scale with discipline by expanding into high-potential markets in a contiguous manner, deepening our presence in existing geographies, and leveraging technology to steadily build our position as a leading housing finance player.

The Practice

Our approach to scale is grounded, steady, and built for the long term. India's low mortgage-to-GDP ratio, coupled with a rising middle class and an increasingly aspirational, urbanizing population, continues to create a strong demand for homeownership. Our focus is on identifying and serving markets with sustained economic momentum and long-term potential.

Expansion is guided by a disciplined, data-led framework anchored in factors such as income levels, industrialization, and growth potential. We also seek to strengthen our presence in cities that offer strong entry-level employment opportunities, aligning with the aspirations and evolving housing needs of emerging working populations. During the year, we expanded our footprint by adding new branches across key growth markets, including Maharashtra (4), Madhya Pradesh (3), Gujarat (2), Uttar Pradesh (2), and one each in Uttarakhand, Andhra Pradesh, Tamil Nadu, Delhi NCR, and Karnataka - each selected through this lens.

In scale & Growth section: We have scaled through a contiguous expansion model, building outward from strong markets while deepening our presence in familiar territories, enabling efficient and resilient growth through a robust technology platform.

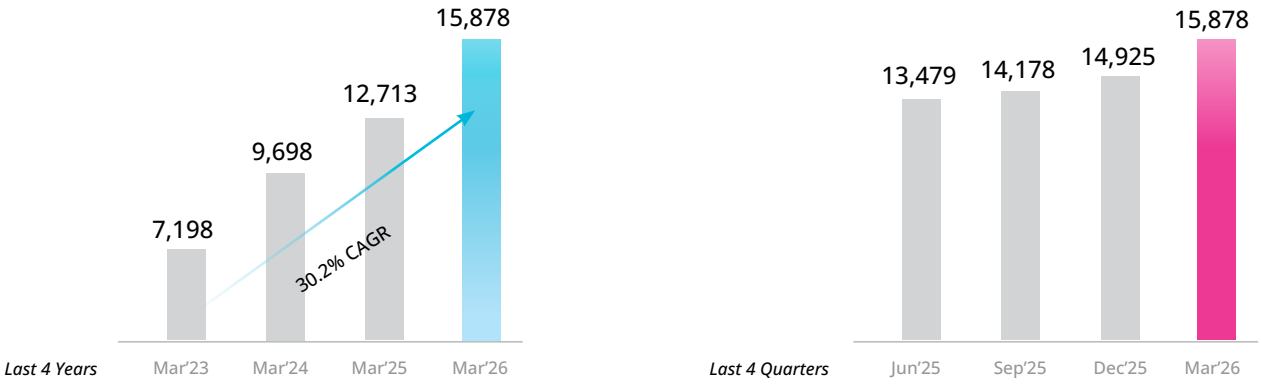
The affordable housing opportunity also remains structurally strong, with inflation-led ticket size expansion reflecting asset repricing rather than a shift in borrower profile. Adjusted for inflation, the affordable housing TAM for the ₹5-25 lakh segment has remained steady at ~40% of the market, representing an estimated market size of ~₹12 lakh crore as of Dec'25. Additionally, the ₹25-40 lakh ticket size segment accounted for a market of ~₹9 lakh crore as of Dec'25.

Home is often a constant through life's many swings - offering security in times of uncertainty and serving as a foundation for growth. Our approach to scale is built with the same intent.

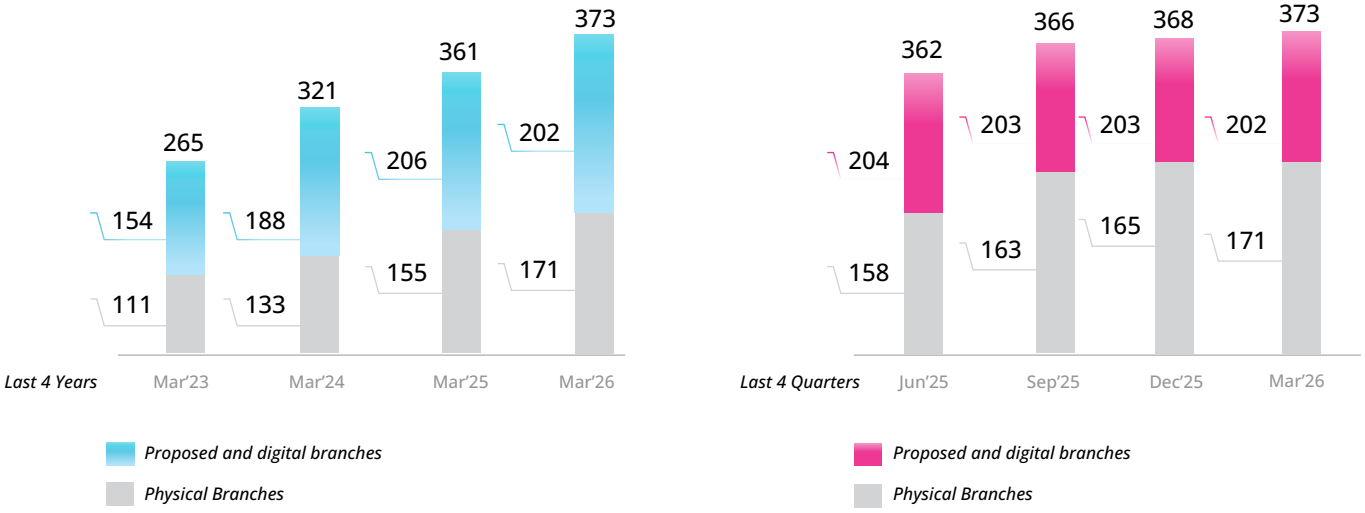
Strategic *Priorities*

The Performance

AUM Growth (in ₹Crs)



Footprints



Note: Graphs are not to scale

Strategic *Priorities*

Operational Efficiency

The Plan

Build a highly productive and empowered workforce by leveraging technology, continuous upskilling, and strong processes–enabling teams to provide best in class customer service.

The Practice

For our product to deliver meaningful impact, the teams behind it must operate with clarity, capability, and ownership. We invest in technology, training, and continuous upskilling to build a workforce that is equipped to deliver efficient and high-quality outcomes at scale. As we work to deliver a traditional product in a modern way, our people and processes are equipped to provide a faster, more seamless, and guided home loan experience.

A key pillar of this approach is T50, our structured 50-day training program designed to equip every fresher with the knowledge, tools, and confidence to start strong. It enables faster assimilation into the system and reduces variability in early performance.

To further enhance productivity, routine processes are increasingly automated, allowing teams to focus on high-impact activities such as customer engagement, connector management, business generation, and collections. Strong process design and technology support enable employees to engage more deeply with each case and respond with agility to customer and partner needs.

We also focus on sustaining productivity over the long term. Clear performance frameworks, ongoing capability development, and structured support for role transitions - particularly for RMs moving into higher responsibilities - ensure that productivity is consistently strengthened.

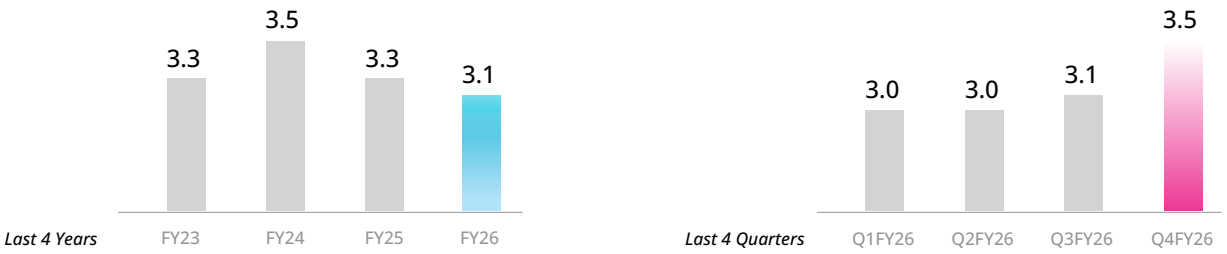
This approach is reflected in our performance, with disbursement per employee continuing to improve. Our cost-to-income ratio stands at 32.5%, underscoring our ability to scale efficiently while maintaining operational discipline.

Underpinning all of this is a culture of ownership and accountability, where individuals are encouraged to take initiative and contribute meaningfully. This alignment of empowered teams, structured capability building, and technology-led efficiency enables us to continuously enhance productivity across the organization.

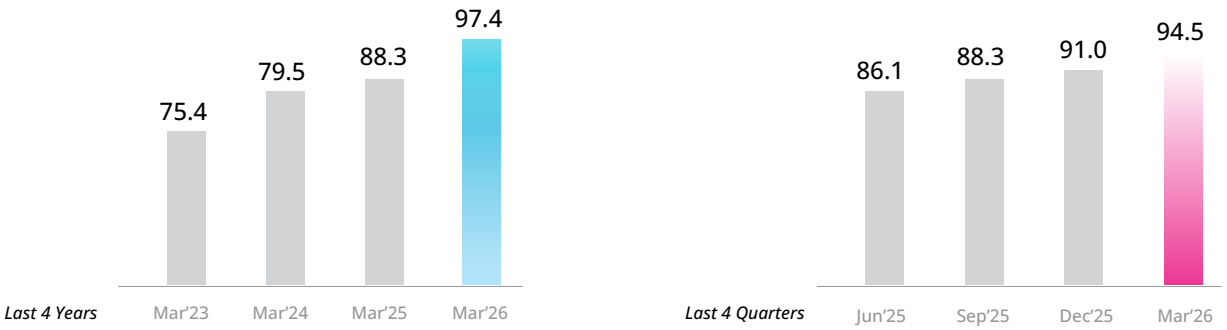
Strategic *Priorities*

The Performance

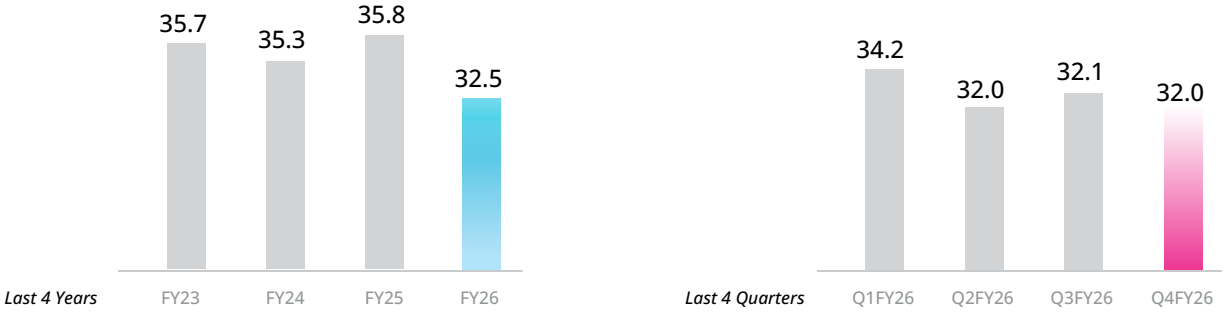
Disbursement/Employee (in ₹Crs)



AUM/Branch (in ₹Crs)



Cost to Income (in %)



Note: Graphs are not to scale

Strategic *Priorities*

Funding

The Plan

Ensure stable, diversified, and cost-efficient funding by aligning liabilities with asset profiles, maintaining a disciplined approach to risk, and strengthening capital to support sustainable growth.

The Practice

Our funding strategy is closely aligned with the nature of our lending business - anchored in long-term liabilities that match the duration of our portfolio. We follow a disciplined risk framework, favouring structural simplicity and avoiding complexity that could introduce undue risk.

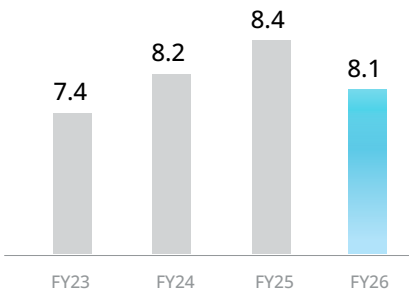
Diversification remains central to how we manage liabilities. We have built a wide and trusted network of lending partners, accessing capital across multiple channels while maintaining a competitive pricing.

To further strengthen our treasury operations, we have implemented an in-house Treasury Management System. This has enhanced liquidity risk management, streamlined processes, and improved regulatory compliance.

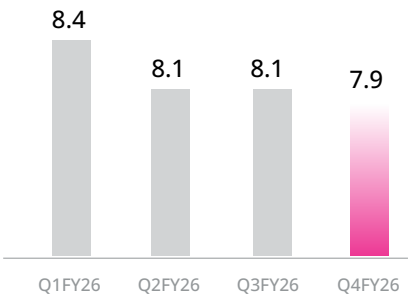
This disciplined approach is reflected in the strength and stability of our funding profile. During the year, we received a credit rating upgrade to AA Stable, reinforcing confidence in our financial position and governance standards. Our diversified lender base and access to multiple borrowing avenues, provide resilience and flexibility across market cycles. The controlled cost of borrowings at 7.9% reflects continued lender confidence in the quality of our franchise. In Apr'25, we further strengthened our capital base through a successful maiden QIP of ₹1,250 crs, broadening our institutional investor base and strengthening the capital foundation for future growth.

The Performance

Cost of Borrowing (in %)



Last 4 Years



Last 4 Quarters

Note: Graphs are not to scale

Strategic *Priorities*

Credit Ratings

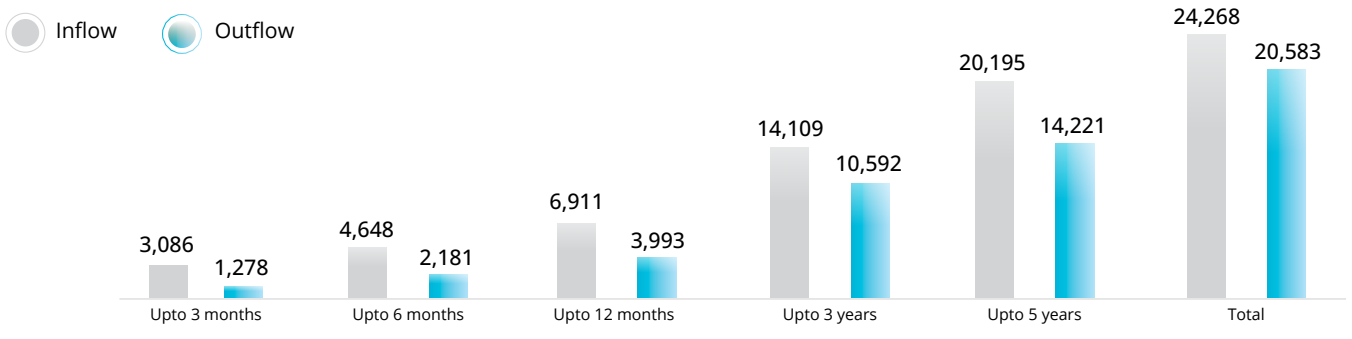
Rating Agency	Instrument	FY24	FY25	FY26
ICRA	Term Loans and NCD Commercial Paper	AA- (Stable) A1+	AA- (Stable) A1+	AA (Stable) A1+
India Ratings & Research	Term Loans and NCD Commercial Paper	AA- (Positive) A1+	AA- (Positive) A1+	AA (Stable) A1+
CARE Ratings	Long-term Bank Facilities	AA- (Stable)	AA- (Stable)	AA (Stable)

Diversified Lender Base

Lender	FY22	FY23	FY24	FY25	FY26
Bi/Multilateral	-	-	-	-	-
Foreign Bank	1	3	3	3	2
Insurance	-	-	-	-	-
MF	1	-	-	-	-
NBFC	2	2	3	4	4
NHB	1	1	1	1	1
Public Sector Banks	6	6	9	10	8
Private Sector Banks	10	13	14	15	14
SFB	-	-	-	-	-
DFI	-	1	1	2	2
Grand Total	**21**	**26**	**31**	**35**	**31**

ALM Position - Cumulative as of Mar'26 (₹Crs)

	Upto 3 months	Upto 6 months	Upto 12 months	Upto 3 years	Upto 5 years	Total
Surplus in (₹Crs)	1,808	2,467	2,918	3,517	5,974	3,685



Strategic *Priorities*

Risk Management

The Plan

Our approach is centered on proactively managing credit, operational and reputational risks. We combine technology with qualitative assessment to maintain high underwriting standards and strong risk discipline.

The Practice

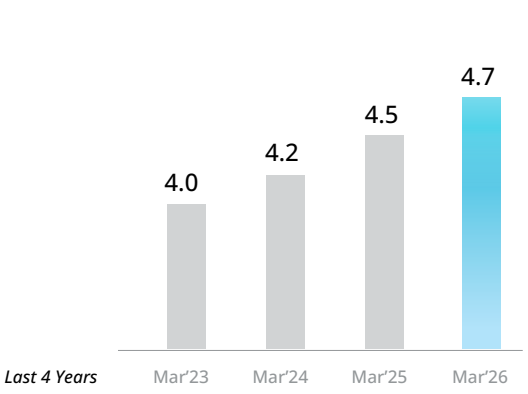
To ensure the safety of the Company and our customers, we undertake the following:

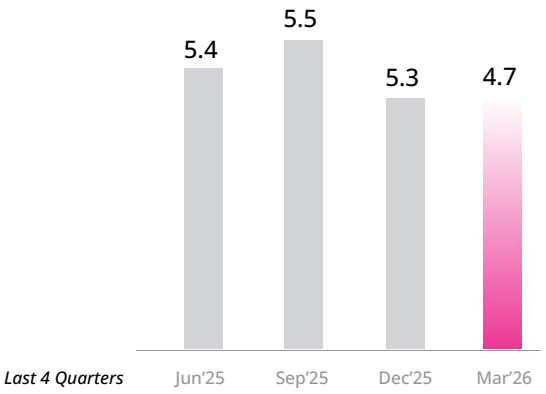
- Establish a risk governance framework with clear reporting structures and dedicated committees overseeing risk management.
- Adhere to the highest standards of corporate governance and transparent communication to safeguard the company's value.
- Stay vigilant to emerging risks and external factors such as economic shifts, interest rate changes, and housing market trends that could impact repayment capacity.
- Maintain an agile operating framework that can adapt to shifting sectoral dynamics and macroeconomic volatility.
- Follow transparent and fair lending practices to build trust with customers and stakeholders.
- Ensure employees are well-trained in risk management practices, regulatory requirements, and handling default cases with appropriate guidance and counselling.
- Strengthen digital infrastructure and operational workflows to ensure seamless service continuity, while leveraging advanced AI/ML frameworks governed by ethical standards and data privacy protocols.
- Maintain strict compliance with all applicable laws and regulations, with zero tolerance for non-compliance.
- Build a deep and scalable internal talent pipeline to reduce dependency on individuals, mitigate attrition risk, and ensure operational continuity, credit quality, and long-term competitiveness.
- Maintain appropriate capital and liquidity buffers to navigate economic shifts, including interest rate volatility and liquidity cycles.
- Leverage Early Warning Signals (EWS) and predictive intelligence to transition from reactive to proactive risk management, enabling early detection and mitigation of risks.
- Adopt a disciplined approach to infrastructure hardening and data integrity, ensuring robust IT security, resilient digital ecosystems, and strong data protection protocols to safeguard stakeholder trust and long-term competitiveness.

Strategic *Priorities*

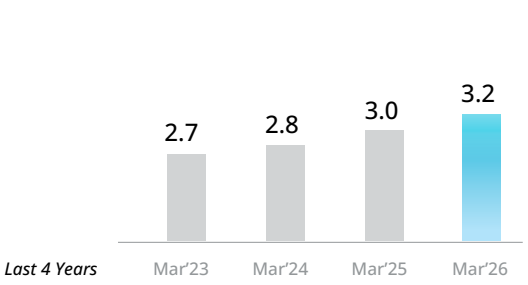
The Performance

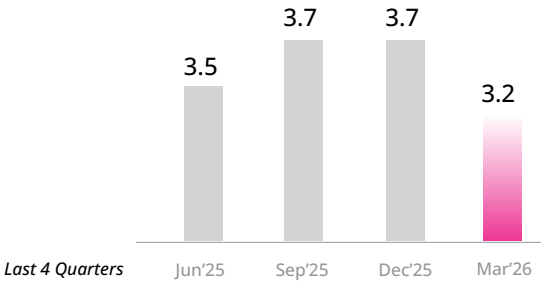
1+ DPD (in %)



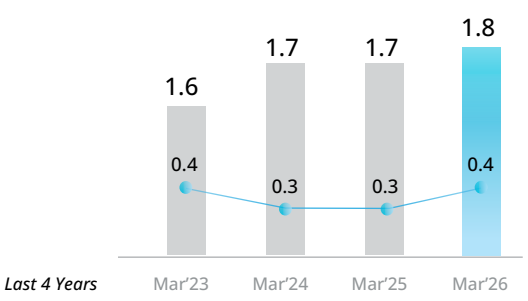


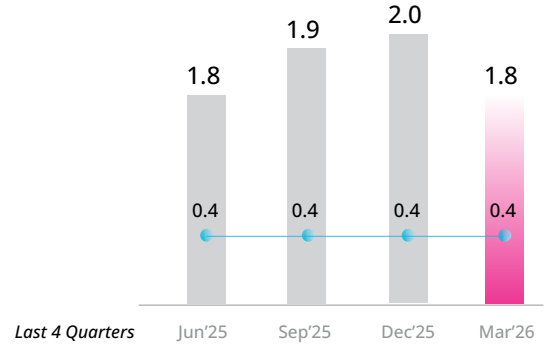
30+ DPD (in %)





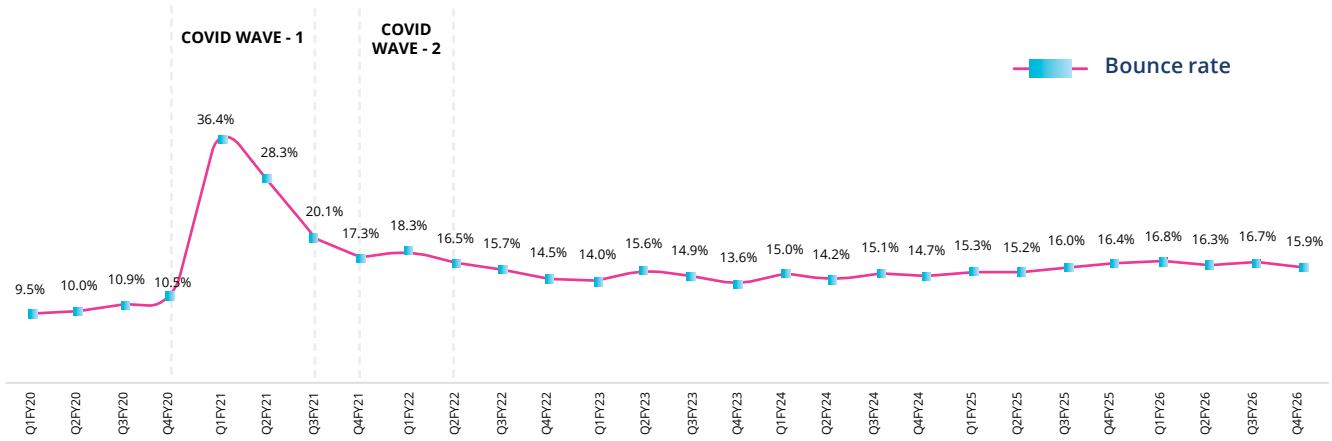
GNPA & Credit cost/Avg Total Assets (in %)





Strategic *Priorities*

Bounce rate: On the day of EMI presentation



Strategic *Priorities*

ESG

The Plan

Make sustainability a non-negotiable within our core operations, assessing the impact of every decision, driving accountability, and building a future-ready organization.

The Practice

Sustainability at Home First is a responsibility carried out with clear intent. It is embedded into how we operate, with a focus on creating long-term value while being mindful of the impact of our actions across stakeholders.

At the core of our approach is a commitment to responsible growth–through our products, governance practices, and environmental impact. We continuously evaluate how our decisions affect society and the ecosystems we operate in.

- On the environmental front, we are focused on reducing our footprint. From enabling green homes for our customers to digitising our end-to-end product lifecycle, we have always actively minimized paper use and promoted more sustainable ways of living. This year also marks the development of a substantial green portfolio for us in the self-built space.
- Socially, our flagship CSR initiatives are directed towards migrant workers–a segment critical to the country's growth yet often underserved. Through skilling and development programs, we aim to improve livelihoods and enable economic mobility.
- From a governance standpoint, our strong policy framework is supported by an experienced and diverse leadership team. Their expertise across technology, inclusion, and risk ensures that ESG considerations are integrated into decision-making at every level

Reinforcing this approach, Home First Finance has a low ESG risk rating by Morningstar Sustainalytics of 13.6 as of July 2025, improving from 16.2 in 2024, placing it in the top percentiles globally and within its industry categorizing it under 'Low Risk, Strong Management'. The company has also been rated by S&P Global at 46.

As sustainability and accountability redefine modern business, Home First remains committed to building an institution that is a net positive for society.



Morningstar Sustainalytics ESG Risk Rating
As of Jul'25

46
S&P Global ESG Score
As of Nov'25

Board of *Directors*



Deepak Satwalekar

Chairman / Independent Non-Executive Director

Deepak Satwalekar is the Chairman and Non-Executive Independent Director of our Company. He holds a bachelor's degree in mechanical engineering from Indian Institute of Technology, Bombay and a master's degree in business administration from the American University, Washington D.C. Previously, he was associated with Housing Development Finance Corporation Limited as a Managing Director and HDFC Standard Life Insurance Company Limited as the Managing Director and Chief Executive Officer. Currently, he is associated with Wipro Limited as an independent director. He has also been recognised as a distinguished alumnus by the Indian Institute of Technology, Bombay. In addition to his corporate roles, Mr. Satwalekar has provided consulting services to several prestigious international organizations, including the World Bank, the Asian Development Bank, USAID, and the United Nations Human Settlements Programme (HABITAT).

Geeta Dutta Goel is a Non-Executive Independent Director of our Company. She holds a bachelor's degree in commerce from University of Delhi and a post graduate diploma in management from the Indian Institute of Management, Ahmedabad. She was associated with Michael & Susan Dell Foundation India LLP ("Dell Foundation") since 2008, and served as its Managing Director from February 2018 to January 2025 and as head of growth initiatives till October 2025. She is currently Director on the Boards of Finreach Solutions Private Limited, Niva Bupa Health Insurance Company Limited, Equitas Small Finance Bank, CIIE Initiatives, Eldeco Infrastructure and Properties Limited and Translation Endeavors Private Limited Ms. Goel has chaired India's Impact Investors Council from 2017 to 2019 and has contributed to various taskforces focused on Responsible Finance with the World Bank's Consultative Group to Alleviate Poverty.



Geeta Dutta Goel

Independent / Non-Executive Director



Anuj Srivastava

Independent / Non-Executive Director

Anuj Srivastava is a Non-Executive Independent Director of our Company. He holds a bachelor's of technology degree in material & metallurgical engineering from Indian Institute of Technology, Kanpur and has attended the MBA Programme at London Business School. Previously, he was associated with Encentuate Inc as senior product marketing manager. He has also worked at Google, where he led product marketing and growth initiatives for the e-Commerce, Shopping, and Mobile Payments teams, as well as for Google Local/Maps and online advertising products like AdSense. Currently, he is associated with LivSpace Pte. Ltd. as its Co-founder and Director. He has been awarded with the Accomplished Entrepreneur Award by the Institute of Innovation and Entrepreneurship, London Business School.

Board of *Directors*



Sucharita Mukherjee

Independent / Non-Executive Director

Sucharita Mukherjee is a Non-Executive Independent Director of our Company. She holds a bachelor's degree in economics from University of Delhi and has a post graduate diploma in management from the Indian Institute of Management, Ahmedabad. Previously, she was associated with DB Group Services (UK) Limited as associate, Morgan Stanley UK Limited as Vice President – Global Capital Markets, Dvara Trust as senior vice president, Northern Arc Capital Limited (then known as IFMR Capital Finance Private Limited) as its chief executive officer, and IFMR Holdings as the chief executive officer. She has received the Young Alumni Achiever award in the entrepreneurship category by Indian Institute of Management, Ahmedabad and has been recognised as Young Global Leader by World Economic Forum and "top 40 under Forty" business leaders by Economic Times in 2016. Currently, she is associated with Kaleidofin Private Limited as its Co-founder, Managing Director and Chief Executive Officer.

Mr. Sriram Hariharan is a Non-Executive Independent Director of our Company. He holds a Bachelor of Engineering (Mechanical) from the National Institute of Technology, Allahabad, and a Post Graduate Diploma in Finance and Marketing from IIM Bangalore. Prior to joining our Company, he has worked with ICICI Bank since 1996 and has held key roles, including leading its International Banking Group, and spearheaded the Bank's Global Remittances and NRI business. He was a core member of the executive team that established ICICI Bank in Canada in 2003 and has served as its President and Chief Executive Officer from 2008 to 2019. He was also Board Chair of ICICI Bank UK PLC and ICICI Bank Canada. He has also been on the Boards of Toronto Global and the Conference Board of Canada and currently is a Director on the Board of the UOFT India Foundation and The Supreme Industries Limited.



Sriram Hariharan

Independent / Non-Executive Director

Board of *Directors*



Divya Sehgal

Nominee / Non-Executive Director

Divya Sehgal is a Non-Executive Nominee Director of our Company. He holds a bachelor's of technology degree in electrical engineering from Indian Institute of Technology, Delhi and a post graduate diploma in management from Indian Institute of Management, Bengaluru. Previously, he was associated with Mc Kinsey & Company as associate, ANZ Grindleys Bank, E Medlife.com Limited as Director and Apollo Health Street Limited as Chief Operating Officer. Currently, he is associated with True North Managers LLP as a partner. He is also on the Board of Protec General Insurance Limited.

Manoj Viswanathan is the Managing Director and CEO of Home First Finance Company; and amongst the three founding members. He holds a Bachelor's degree in Electrical & Electronics Engineering from BITS, Pilani and an MBA from XLRI Jamshedpur. Manoj possesses extensive experience in consumer lending, encompassing sectors such as automobile loans, mortgages, and unsecured lending. Prior to Home First Finance, he was working with Citibank and CitiFinancial Consumer Finance India Limited. At Citi, he was heading the branch-based consumer lending business spanning 450 branches with a customer base of more than 1 Mn customers.



Manoj Viswanathan

Managing Director and CEO

Management *Team*

Home First Experience | Total Experience



16 | 28

Manoj Viswanathan

MD & CEO

Manoj Viswanathan is the Managing Director and CEO of Home First Finance Company; and amongst the three founding members. He holds a Bachelor's degree in Electrical & Electronics Engineering from BITS, Pilani and an MBA from XLRI Jamshedpur. Manoj possesses extensive experience in consumer lending, encompassing sectors such as automobile loans, mortgages, and unsecured lending. Prior to Home First Finance, he was working with Citibank and CitiFinancial Consumer Finance India Limited. At Citi, he was heading the branch-based consumer lending business spanning 450 branches with a customer base of more than 1 Mn customers.

Past Work Experience: Citi Bank, CitiFinancial Consumer Finance India Limited and Asian Paints.



14 | 26

Ajay Khetan

Dy. Chief Executive Officer & CBO

Ajay Khetan is the Dy. Chief Executive Officer and Chief Business Officer of our Company. He is a Mechanical Engineer from MNNIT Allahabad and has done his post graduate diploma in management from Xavier Institute of Management, Bhubaneswar. He has over 26 years of experience in Consumer finance, Operations and Risk Management.

Past Work Experience: Macquarie Finance (India) Private Limited, Hewlett Packard Financial Services (India) Private Limited, CitiFinancial Consumer Finance India Private Limited, MIRC Electronics Limited, The Tata Engineering and Locomotive Company Limited.



15 | 23

Gaurav Mohta

Chief Marketing Officer

Gaurav Mohta is the Chief Marketing Officer of our Company. He is a mechanical engineer and has done his post graduate diploma in business administration from ICFAI Business School, Hyderabad. He has over 23 years of experience in consumer finance, marketing and product management. At Home First, he has been instrumental in setting up sales distribution and evolving the brand identity of the Company

Past Work Experience: Kotak Mahindra Bank Limited, CitiFinancial Consumer Finance India Private\Limited, Foodworld Supermarkets Private Limited



07 | 19

Nutan Gaba Patwari

Chief Financial Officer

Nutan Gaba Patwari is the Chief Financial Officer of our Company. She is a qualified Chartered Accountant. She has over 19 years of experience in finance. In her last stint, she was with True North as a Vice President – Finance; responsible for the implementation of strategy of the Financial services portfolio companies. She leads the Accounts, Tax, Treasury, Secretarial, Investor relations and FP&A functions of the Company.

Past Work Experience: True North, Hindustan Unilever Limited, ITC Limited, Philip Morris Asia Limited.

Management *Team*

Home First Experience | Total Experience



07 | 20

Ramakrishna Vyamajala

Chief Human Resource Officer

Ramakrishna Vyamajala is the Chief Human Resources Officer of our Company. He has done post graduate diploma in management from T.A. Pai Management Institute. He has over 20 years of experience in human resources, rewards and recognition, compensation and benefits and HR technology.

Past Work Experience: Sterlite Technologies Limited and IDFC Bank Limited.

04 | 21

Ashishkumar Darji

Chief Risk Officer

Ashishkumar Darji is the Chief Risk Officer of our Company. He is a Chartered Accountant and he has also completed his bachelor's degree in law and banking from the University of Mumbai. He is a risk management professional with an experience of 21 years in the Banking and Financial Services sector. His experience spans regulatory compliance, risk management and risk modelling.

Past Work Experience: KPMG, State Bank of India, Kotak Securities Limited and Clearing Corporation of India Limited.

2 | 19

Rupesh Mehta

Head of Information Technology

Rupesh Mehta is Head of IT of our company. He holds a B.E in Electronics from Thadomal Shahani Engineering College, Mumbai and MBA degree in Marketing and Systems from Welingkar Institute of Management, Mumbai. He has over 19 years of techno functional experience in designing and delivering solutions in the banking and insurance domains.

Past Work Experience: Fidelity Investments, Bankbazaar.



9 | 17

Shreyans Bachhawat

Company Secretary, Compliance Officer and Head - Legal

Shreyans Bachhawat is the Company Secretary, Compliance Officer and Head Legal of our Company. He has over 17 years of Post qualification experience in corporate secretarial compliances.

Past Work Experience: SREI Capital Markets Limited, India Power Corporation (Haldia) Limited, Gretex Corporate Services Private Limited and Tata Value Homes Limited.

Sustainability Report

> “ A green home is much better than a regular home. It has helped me save a lot of more during and after construction.

Rohit Kumar Sahu

Occupation	Location	Product	Loan Amount
Labour Contractor	Raipur	Plot + Home Loan	₹20 Lakhs



Customers Speak

Snapshot

₹15,878Crs
Gross Loan Assets (AUM)
(+24.9% y-o-y)

₹5,424Crs
Disbursements
(+12.9 % y-o-y)

₹540Crs
PAT
(+41.4 % y-o-y)

ESG Ratings

46
S&P Global ESG
(FY25: 46)



13.6*
Morningstar Sustainalytics
ESG Risk Rating

**Morningstar Sustainalytics has revised the ESG Risk Rating of the Company from 17.4 (assigned on Jun'25) to 13.6 on Jul'25*

AA Stable
(ICRA)

AA Stable
(IndRA)

AA Stable
(CARE)

Financial Capital

1,39,171
Active Customers

₹1,923Crs
Total Income

15.7%
Return on Equity

3.9%
Return on Assets

Social & Relationship Capital

90%
Of our loans have a woman as a borrower

$55Mn
Impact financing focused on women & LIG borrowers (USDFC)

$36Mn
Impact financing focused on cities beyond Tier I (USDFC)

97,000+
CSR beneficiaries

Human Capital

1,855
No. of employees

29,927
Total manhours of training

28%
Women employees

48%
Women at Head Office

Natural Capital

631kWh
Energy Intensity per ₹ crore of turnover (FY25: 702kWh)

15
Solar Pumps for Marginal Farmers

450
Green House Certification

₹55Crs
Green Homes Portfolio

Intellectual Capital

86%
Digital agreement signing during the year

51%
E-Stamping during the year

80%
E-NACH mandates during the year

96%
Customers registered on App as of Mar'26

Overview by *MD & CEO*

> "A home is not just an asset. For most families, it is security and often, the first real step toward long-term progress."



Manoj Viswanathan
Managing Director & CEO

The world around us is changing at a pace few could have imagined. We are seeing two forces play out at the same time - one expanding possibility, the other quietly shrinking it. Innovation is accelerating, with Artificial Intelligence reshaping industries and how we live. At the same time, it is driving unprecedented demand for energy and resources. Data centers, for instance, now consume electricity and water at a scale that was unthinkable a decade ago.

Alongside this, resource depletion, climate change, and ecological stress are beginning to test the limits of the systems we rely on. This dual reality - of creation and constraint - requires a more deliberate response. It calls for discipline in how we use resources, clarity in how we grow, and a long-term approach to building institutions that can endure.

In many ways, this is similar to how we think about housing. Progress does not happen by chance. It is designed, built, and sustained over time.

The global approach to environmental governance has also shifted meaningfully. What was once voluntary is now increasingly measured, audited, and regulated - shaped by COP26 commitments and the broader push toward net-zero pathways, renewable energy, and sustainable urbanisation. In India, frameworks such as the Business Responsibility and Sustainability Report (BRSR) have made sustainability a governance requirement, not a choice.

Sustainability at HomeFirst: a smarter way of operating

At HomeFirst, sustainability is not a checklist. It is embedded in how we think about growth, risk, and responsibility. ESG is integrated into how we serve customers, how we scale, and how we build trust over time.

As India continues to urbanize and millions of families aspire to own their first home, our responsibility is clear: enable homeownership in a way that is responsible, inclusive, and environmentally conscious. We are building an institution that compounds responsibly, operates with integrity, and contributes to stronger communities over time.

Morningstar Sustainalytics continues to rate us in the low-risk ESG category, validating this approach.

Financial Inclusion: Expanding Access, Enabling Ownership

Financial inclusion remains central to our purpose. We focus on aspiring homeowners from underserved segments who often have limited access to formal credit.

Through technology-led processes, simplified documentation, and customer-centric design, we are able to extend access to customers who may otherwise be excluded from traditional systems. This smart way of

Overview by *MD & CEO*

lending is about enabling ownership, strengthening financial stability, and supporting more resilient communities.

A home is not just an asset. For most families, it is security - and often, the first real step toward long-term progress.

Responsible products: trust is built in the details

In housing finance, responsibility is tested in the details and in the last mile delivery.

We are committed to offering products that are transparent, fair, and easy to understand. This means discipline in disclosures, clarity in communication, and a consistent focus on affordability. Loans must be structured to be lived with, not just approved.

Our approach to lending remains straightforward: growth without mis-selling, growth without confusion, and growth without compromising dignity.

Our People, Our Strength

Our people remain at the center of our growth. Attracting, developing, and retaining talent continues to be a priority.

We are investing in structured capability-building through focused training initiatives, but talent strategy goes beyond programmes. It is about building a frontline that executes consistently, managers who can coach and retain teams, and a culture that rewards merit, integrity, and customer-first behaviour.

Strong institutions are built the same way strong homes are - one dependable layer at a time.

At HomeFirst, we aim to create an environment where people can grow, take ownership, and contribute meaningfully.

Smart, Secure and Digital First

Digitization is a core part of how we scale. By adopting digital platforms across loan origination, authenticity verification, and servicing, we reduce friction and improve turnaround times.

Technology also brings consistency. It helps standardise processes, reduce operational errors, and strengthen risk and compliance frameworks - all of which become more important as the organization grows.

The objective is to maintain our industry leading speed, along with predictability, reliability, and scale - the kind of foundation that holds as we grow.

Natural Capital: Green Homes as practical sustainability

For us, environmental responsibility extends beyond our offices. Housing is a long-lived asset, and decisions made at the time of construction influence energy and resource use for decades.

Our Green Homes initiative, in partnership with IFC, reflects our belief that affordability and sustainability can coexist. What started as a focused effort is now becoming a more embedded part of how we enable homeownership.

Through simple design interventions, a Green Home can improve efficiency by at least 20% - reducing energy consumption, water usage, and environmental impact. As of March 2026, we have certified **450 Green Homes** with a portfolio of ₹55 Cr AUM, from 120 homes in March 2025.

Our objective is to make sustainability practical and scalable for every first-time homeowner.

Empowering People, Enriching Communities

Our approach to inclusive development is reflected in our CSR initiative - *Project Shashakt.*

The design principle is clear: move from short-term support to long-term capability. Through our framework, we focus on skill and employment, education, health, and financial literacy.

We work with migrant communities in locations such as Narol, Naroda, and Lambha - areas of Ahmadabad where

Overview by *MD & CEO*

the need is significant and where our presence allows us to make a meaningful difference. Our approach is simple: go deep, not wide, and focus on outcomes that are measurable and durable.

Strong Principles, Strong Performance

Even as we pursue growth, we remain anchored in strong governance and accountability. Our processes are designed to support compliance, manage risk, and maintain robust internal controls.

Sustainability is not only environmental. It is also about discipline.

In periods of volatility - whether liquidity cycles, currency pressures, or global uncertainty - we have remained steady by staying disciplined on underwriting, maintaining diversified funding, and operating with conservative buffers.

If that makes us “boring” at times, we are comfortable with that. Discipline today builds durability tomorrow. Foundations, once built right, do not need to be explained repeatedly - they simply hold.

The Road Ahead: Deepening Our ESG Journey

Over the next three years, we see clear areas of focus.

Environmental: Expand green financing and scale the Green Homes initiative to enable thousands of certified affordable homes.

Social: Build on what is working by expanding Project Shashakt and deepening our engagement with migrant communities.

Governance and data maturity: Strengthen ESG data systems to enable better tracking and reporting of metrics such as emissions, diversity, and operational indicators.

The message is straightforward: ESG is not peripheral to our business. It is central to how we create long-term value - for customers, for communities, and for all our stakeholders.

How we create *Value*

Inputs

Financial Capital
- Equity
- Assets
- Borrowings
- Diversified Lenders Base
- Cost of Funds
- CRAR
- Gross NPA

Natural Capital
- Green Initiatives
- Grid Electricity Consumed
- Building a green portfolio
- Certified green Homes

Human Capital
- Employees
- Learning & Development
- Employee Engagement
- Young workforce
- Benefit & Growth
- Employee retention
- ESOP %

Social Relationship Capital
- Livelihood Creation
- Financial Inclusion
- Customer Engagement
- CSR Initiatives
- Investors / Lenders / Rating Agencies Engagement
- Regulators
- Credit Ratings

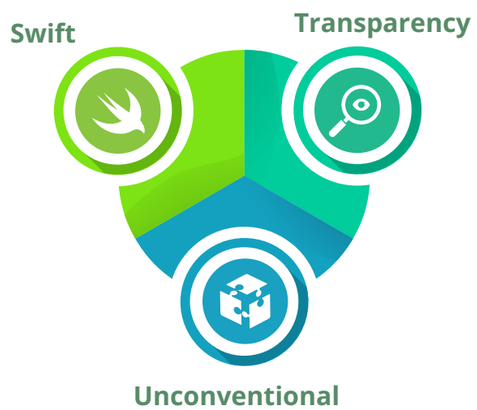
Intellectual Capital
- Digital Initiatives
- E-NACH, E-Sign, E-Vault
- Mobility Solutions
- Instant Soft Approval on App
- Biometric Authentication on Customer App
- Stable and scalable technology infrastructure
- Robust Cyber security Framework
- Account Aggregator

Manufacturing Capital
- Tangible Assets
- Technology
- Active Customers

Value Creation Approach

External Environment
- Regulations
- Macro Economy
- Evolving customer behaviour
- Technological changes
- Market forces
- Customer requirements
- Financial Inclusion
- Socio-political issues

Our Values



Value Enablers
- Holistic Technology Usage
- Deep distribution in relevant markets
- Innovative and empowered Workforce
- Data Science Backed Underwriting
- Analytics driven electronics collection
- Diversified financial profile
- Centralized Operations
- Strong Ownership Culture
- Access to diversified funds

Outputs

Financial Capital
24.9% y-o-y AUM Growth
₹**52.3** EPS
3.9% ROA
15.7% ROE
44.1% CRAR
1.8% GNPA

Natural Capital
46 ESG Score from S&P Global
13.6 ESG rating from Sustainalytics
631 kWh - Energy Intensity per ₹crores of turnover
Installation of Solar Pumps for **15** marginal farmer
450 certified Green Homes

Human Capital
1,855 Employee Count
16.13 Avg. training hrs per employee
₹**31** Lakh Profit per employee
29,927 Manhours Training
26 years Median Age
28% Woman Employees
14% Females in Senior Management
13.6% ESOP%

Social & Relationship Capital
83% of Book with Ticket Size below ₹25 lakhs
59%+ EWS and LIG Loans
97,000+ CSR Beneficiaries
81 NPS Score
AA Stable Credit Rating

Intellectual Capital
4.3 Customer App Rating (16 May'26)
96% Customers Registered on App
86% Service Request Raised on App
86% Digitally Signed Agreements
51% E-stamping
80% Account Aggregator

Manufacturing Capital
13 States/UT
171 Physical Branches
373 Touchpoints (Including Physical Branches)
1,39,171 Active customers

Outcomes

Customers
- Higher Customer Satisfaction
- Improved Customer Experience
- Enabling Homeownership
- Financial Inclusion
- Improved quality of life

Employees
- Inclusive, Diverse and Safe Working Environment
- Skilled & Motivated Employees
- Equal Opportunity employer

Regulators & Government
- Strong Governance Framework
- ESG Compliant
- Compliance

Society
- Enhanced community development

Investors And Shareholders
- Long term stakeholder relationship
- Strong Brand Value
- Return on Equity
- Sustainable Business & growth
- FII & DII Ownership

SDGs



Ethics & *Governance*

At HomeFirst, ethics and governance are integral to our mission of creating affordable housing finance solutions. Guided by integrity, accountability, and transparency, our governance framework supports sustainable growth, aims to strengthen stakeholders' confidence, and reinforces operational excellence. Our objective is to create long-term value for customers, employees, shareholders, and the communities we serve.

Sustainability Governance Structure

Sustainability and governance are important enablers for long-term performance. HomeFirst integrates Environmental, Social, and Governance ("ESG") considerations into decision-making and operational practices through a defined oversight and execution structure approved by the Board. The Company adopted an ESG Policy in 2021 to establish a focused approach towards conducting business ethically, fostering transparent and fair relationships with all stakeholders, and minimizing environmental impact through resource-efficient practices.

Key features of HomeFirst's ESG governance framework include:

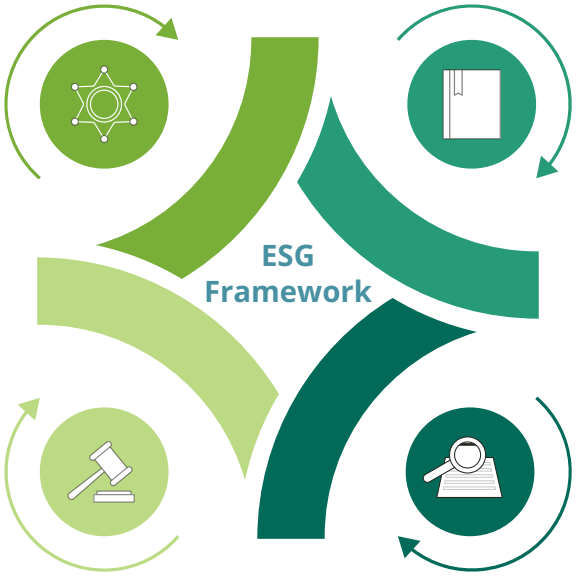
- Leadership Commitment: The Managing Director & CEO, supported by senior management, spearheads the Company's ESG initiatives and ensures alignment with corporate objectives.
- ESG Execution Team: A specialized team led by the MD & CEO manages and implements key ESG objectives, in line with the Board-approved ESG policy. A dedicated ESG Officer is in charge of carrying out and implementing the ESG-related initiatives.
- Monitoring and Reporting: Monthly ESG dashboards track progress; the initiatives and progress are reviewed by the CSR & ESG Committee from time to time, and an annual review is conducted by the Board.
- Policy Evolution: Our ESG Policy is reviewed annually to incorporate regulatory changes and emerging best practices.

Robust Implementation Process

The Company understands the growing importance of ESG and has adopted a **Board approved ESG Policy**.

External Reporting

The company has published **Business Sustainability & Responsibility Report (BRSR)** as part of Integrated Annual Report for FY26.



Comprehensive Policy & Governance Mechanism

An **ESG Execution Team** with management team participation has been created to ensure implementation of the ESG Policy

Monitoring and Review Mechanism

12 areas have been identified for immediate focus. Parameters for measurement and metrics for various **ESG focus areas** are being developed

Ethics & *Governance*

Sustainability and ESG Policy: A Guiding Framework

Our ESG Policy serves as a cornerstone for ethical business practices and sustainable operations. It embodies our commitment to:

- Promote transparent stakeholder engagement by encouraging open dialogue, addressing concerns with integrity, and ensuring equal opportunity employment free from discrimination.
- Ensuring earnings stability by employing prudent risk management strategies to minimise portfolio risks and ensure resilience in a dynamic economic landscape.
- Supporting the United Nations' Sustainable Development Goals (SDGs):
    - Empowering migrant households through CSR initiatives that enhance livelihoods and social inclusion.
    - Promoting equitable employment practices that build a diverse, high-quality workforce.
    - Facilitating sustainable human settlements by offering affordable housing loans that strengthen communities.

The policy undergoes annual reviews to remain relevant, forward-looking, and aligned with global best practices, ensuring that we consistently uphold our responsibility to communities, ecosystems and economic growth.

Corporate Governance: The Cornerstone of Trust

A strong corporate governance framework forms the foundation of HomeFirst's ethical and operational standards. It is designed to foster trust, ensure fairness, and protect stakeholder interests through comprehensive policies and codes.

Key Policies and Codes include:

- Code of Conduct: This document serves as a moral compass for employees, guiding behaviour in all business scenarios. Available on our website, it underscores our commitment to ethical operations.
- Code of Conduct for Suppliers and Vendors: Ensures that our partners adhere to laws, maintain confidentiality, and operate ethically while respecting diversity and environmental responsibility.
- Vigil Mechanism and Whistle-Blower Policy: Empowers employees and stakeholders to report any illegal or unethical practices, violations of applicable laws and regulations, or breaches of the Code of Conduct without fear of retaliation. Available in six regional languages (Tamil, Telugu, Marathi, Hindi, Gujarati, and Kannada), and accessible on our website, it fosters a culture of accountability.
- Anti-bribery and anti-corruption policy: Outlines measures to prevent and detect fraudulent activities, ensuring compliance with legal standards. We follow a zero-tolerance approach to non-compliance with the anti-corruption and anti-bribery policy. The policy prohibits bribery, corruption, and any form of improper payments/ dealings in the conduct of its business operations.
- Prevention of Sexual Harassment Policy (POSH): Protects employees from workplace harassment by providing a mechanism for redressal and ensuring strict disciplinary action.
- Code Of Practices and Procedures for Fair Disclosure of Unpublished Price Sensitive Information: This code establishes regulatory frameworks to prevent insider trading and ensure the fair and transparent disclosure of sensitive financial information, thereby safeguarding market integrity.
- Fair Practice Code: Sets standards for customer interactions, aligning with the Reserve Bank of India's (RBI) guidelines to uphold trust and transparency.

Ethics & *Governance*

- Know Your Customer (KYC) and Anti-Money Laundering Measures Policy: Helps evaluate and onboard customers responsibly, minimising risks and ensuring compliance.
- Internal Guidelines on Corporate Governance: Establishes governance standards to guide officers and maintain ethical operations.
- Code of Conduct for Board of Directors and Senior Management Personnel: The objectives of this Code are to uphold the highest standards of disclosure, maintain discretion and fairness in business dealings, promote sound corporate governance principles, ensure the efficient use of Company resources, and eliminate conflicts of interest.
- Independence of Risk Management: The Chief Risk Officer operates independently of business operations, ensuring objective oversight of risk practices.

Apart from what is mentioned above, the Company refrains from making any political contributions or endorsements, ensuring independence in decision-making.

Ethics & *Governance*

Codes and Policies to Support Sustainability & Governance

A range of corporate policies, detailing HomeFirst's basic principles, govern the Company's conduct across functions. Underlining our dedication and commitment to pursuing ethical business practices, they provide a robust framework that serves as the foundation for the organization to grow ethically and transparently across its operations.

- Code of Conduct for Board of Directors and Senior Management Personnel
- Code Of Practices and Procedures for Fair Disclosure Of UPSI
- Fair Practice Code
- Fit and Proper Policy
- Internal Guidelines on Corporate Governance
- KYC-AML Policy
- Vigil Mechanism and Whistle- Blower Policy
- Environmental, Social and Governance Policy
- Equal Opportunity Policy
- Diversity & Inclusion Policy
- Policy for enquiry for leak of UPSI
- Health and Safety Policy
- CSR Policy
- Human Rights Policy
- POSH Policy
- Policy on Materiality of Related party transactions and dealing with related party transactions
- Policy to promote Diversity of BOD
- Anti-bribery and anti-corruption policy
- Fair Advertising Policy
- Learning Policy
- Environment Management Policy
- Compliance Policy

Ethics & *Governance*

Our Board of Directors

Our Board of Directors have an excellent blend of independence, diversity, skills, and experience. The primary role of the board is to enable the Company to deliver its mission and to protect & enhance shareholders' value through strategic supervision. As trustees, the Board ensures that the Company has clear goals aligned with the shareholder value and its growth.

Selection of The Board of Directors

The Company requires that Non-Executive Directors be drawn from amongst eminent professionals, with skill, experience, and knowledge to ensure an overall balance in the Board. The Nomination & Remuneration Committee has laid down the criteria for determining qualifications, positive attributes, and independence of Directors.

In terms of the applicable regulatory requirements read with the Internal Guidance on Corporate Governance policy, Articles of Association of the Company, the strength of the Board shall not be fewer than six nor more than fifteen. Directors are appointed/ re-appointed with the approval of the Shareholders for a period of five years or a shorter duration. Non-executive Director(s), other than Independent Directors and MD & CEO, are liable to retire by rotation, unless otherwise approved by the Shareholders.

Composition of The Board of Directors

Our Board is independent and diverse, enabling effective governance across our business operations. We have adopted a Unitary Board system, with our well balanced Board comprising 6 Non-Executive Directors (5 Independent Directors and 1 nominee Director), and 1 Executive Director (MD & CEO).

The Board members are distinguished achievers in their respective fields with rich experience across technology, operations, finance, law, and management. The balanced composition of the Board enhances our ability to navigate the challenges and seize the opportunities presented by the underlying business and industry landscape. Rooted in a customer-first philosophy and upheld by the highest principles of ethical governance, the Board draws on its collective expertise to foster innovation and sustain long term growth.

The following table sets forth the detailed composition of our Board as of Mar'26:

Name	DIN	Gender	Designation	Industry Experience	Financial Expertise	Consumer Behaviour	Legal Complaince	Corporate Governanace	Strategy & Decision Making	ALM & Risk Manage	IT & Cyber Security
Mr. Deepak Satwalekar	00009627	Male	Chairman & Independent Director	✓	✓	✓	✓	✓	✓	✓	✓
Ms. Geeta Dutta Goel	02277155	Female	Independent Director	✓	✓	✓	✓	✓	✓	✓	–
Mr. Anuj Srivastava	09369327	Male	Independent Director	–	–	✓	–	✓	✓	–	✓
Ms. Sucharita Mukherjee	02569078	Female	Independent Director	✓	✓	✓	✓	✓	✓	✓	✓
Mr. Sriram Hariharan*	10156705	Male	Independent Director	✓	✓	✓	✓	✓	✓	✓	✓
Mr. Divya Sehgal	01775308	Male	Nominee Director	✓	✓	✓	–	✓	✓	✓	✓
Mr. Manoj Viswanathan	01741612	Male	Managing Director and Chief Executive Officer	✓	✓	✓	✓	✓	✓	✓	✓

**Appointed as Non-Executive Independent Director w.e.f. June 26, 2025*

Ethics & *Governance*

Roles and Responsibilities:

- The Board sets strategic goals, oversees governance processes, and ensures alignment with stakeholder interests.
- Independent Directors contribute expertise in industry, finance, technology, cyber security, regulatory and legal, audit, liquidity, risk management, consumer behaviour, marketing and operations, strategy, and decision-making.
- In addition to providing strategic insights and assuring adherence to the Company's mission and values, the managing director and CEO oversee day-to-day operations.

Board Diversity

We are committed to fostering diversity on our Board of Directors. The Company recognizes the value of a diverse Board and views it as a key factor in maintaining a competitive edge. A genuinely diverse Board brings together a range of perspectives, ideas, expertise, and experiences, encompassing differences in thought, skills, regional and industry knowledge, cultural and geographical backgrounds, age, race, and gender.

This diversity enhances the Company's ability to drive business results, strengthen corporate governance, improve the quality and responsibility of decision making, support sustainable development, and enhance the Company's reputation.

Our board exemplifies a commitment to young and diverse members, as evidenced by the following key metrics:

Age	Female	Male	Total
Under 30 years	0	0	0
30-50 years	1	0	1
More than 50 years	1	5	6
Total	**2**	**5**	**7**

29%

Women Directors

71%

Independent Directors

Ethics & *Governance*

Robust Governance Framework

Governance is a core tenet of our identity. At HomeFirst, Governance, Ethics, and Compliance are the foundation upon which we build trust, enable performance, and uphold our purpose. Rooted in a tradition of integrity, ethics, and accountability, our governance framework reflects the principles that have enabled the Company to make meaningful contributions to the housing finance sector. These principles are deeply embedded in every decision we make, every relationship we build, and every outcome we deliver.

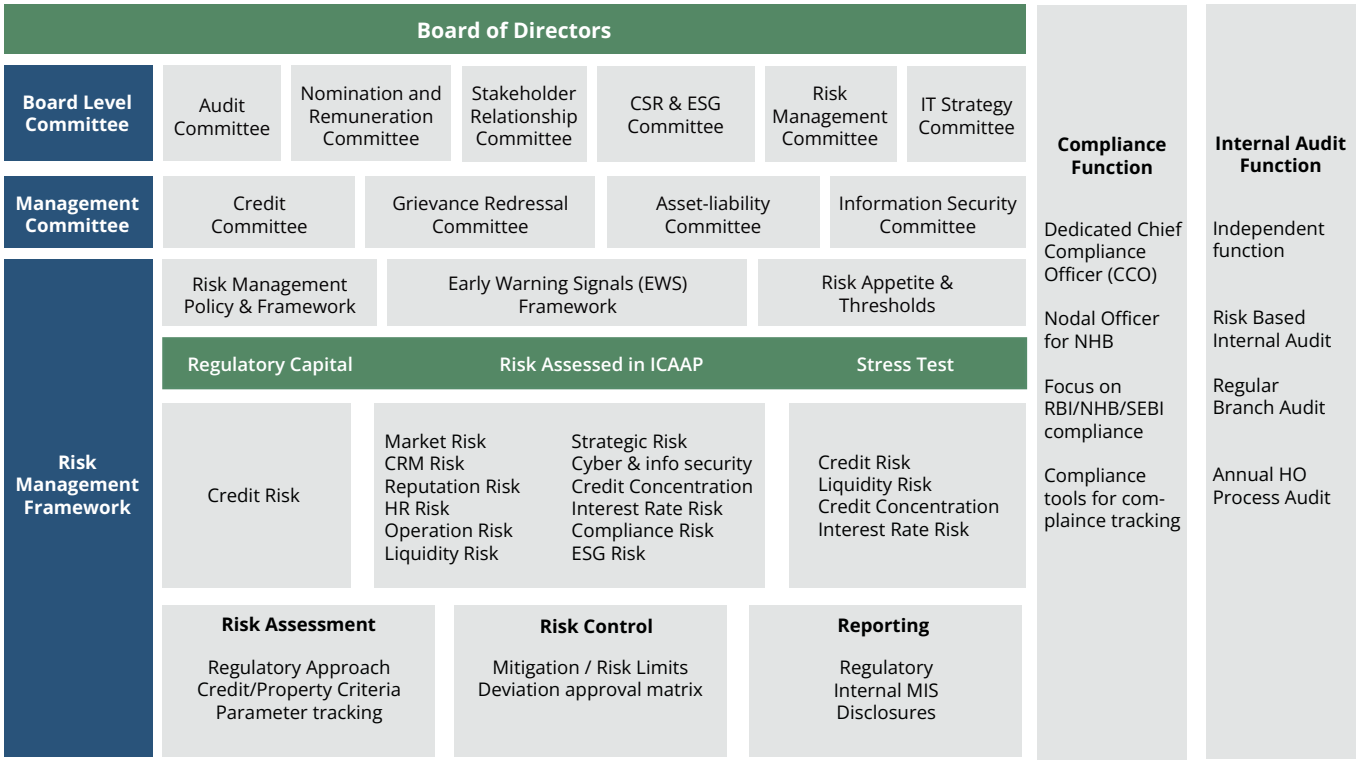
Our commitment to the highest standards of corporate governance stems from our mission to make housing finance accessible, transparent, and reliable for all. We recognise that sustaining trust with stakeholders begins with transparency, fairness, and sound judgment at the highest levels of leadership. Accordingly, we consistently adopt and refine global best practices in governance to align our operations with long-term value creation and to strengthen stakeholder confidence.

By upholding the principles of transparency, accountability, and integrity, and adopting best practices that extend beyond regulatory compliance, HomeFirst's governance framework is designed to effectively address challenges, capture growth opportunities, and ensure long-term stability and success.

The Board of Directors provides strategic oversight and maintains strong governance standards, while the management team supports the Board in executing its vision and strategies. Together with its committees, the Board formulates policies and frameworks and periodically reviews their implementation to ensure effectiveness.

We remain committed to transparency in all our operations and ensure timely disclosures in line with Indian Accounting Standards (Ind AS) and the regulatory requirements of Ministry of Corporate Affairs (MCA) and the Securities and Exchange Board of India (SEBI), Reserve Bank of India (RBI), National Housing Bank (NHB), Insurance Regulatory and Development Authority of India (IRDAI), National Stock Exchange of India Limited (NSE), and BSE Limited (BSE).

Corporate Governance and Risk Management Framework



Ethics & *Governance*

Board of Independence

As per clause 18.3 of the Articles of Association and applicable regulations, HomeFirst is required to have a minimum of three independent directors.

Currently, our Board comprises 5 Independent Directors, representing 71% of the total Board strength, thus resulting in an uncompromising stance on business ethics, integrity and human rights. The Chairperson is a Non-Executive Independent Director.

Declaration of Independence

The Company's Board includes five Independent Directors. They have submitted their Declarations of Independence in compliance with the provisions of Section 149 of the Companies Act and Regulation 25(8) of the SEBI LODR Regulations, 2015. These declarations confirm that they meet the criteria for independence and are not disqualified from serving as Independent Directors.

The terms and conditions of appointment of Independent Directors are available at Terms and Conditions for appointment of Independent Directors.

Board Committees

The Board at HomeFirst is supported by various committees that steer effective and comprehensive implementation of all the governance practices across the Company's operations. Decisions made by these Committees are presented to the Board for discussion during subsequent meetings.

The Committees:

- Are responsible for overseeing the smooth implementation of best practices
- Provide clear guidelines for organizational conduct
- Facilitate robust communication and coordination between the stakeholders and the Board
- Ensure smooth flow of information, collaboration and effective decision-making

In addition, there are Management Committees established to focus on specific purposes, such as:

- Asset Liability Management Committee (ALCO)
- Grievance Redressal Committee
- IT Steering Committee
- Identification Committee
- Credit Committee
- Committee of Directors and Review Committee
- Information Security Committee
- Committee of Executives for Monitoring and Follow-Up Cases of Fraud (COE)

Further information about the objectives, roles, and composition of the Board and Board-level committees, along with details of meetings held during the year, can be found in the Report of the Directors on Corporate Governance on page 243.

Ethics & *Governance*

Board Effectiveness and Evaluation of the Board, Committees and Individual Directors

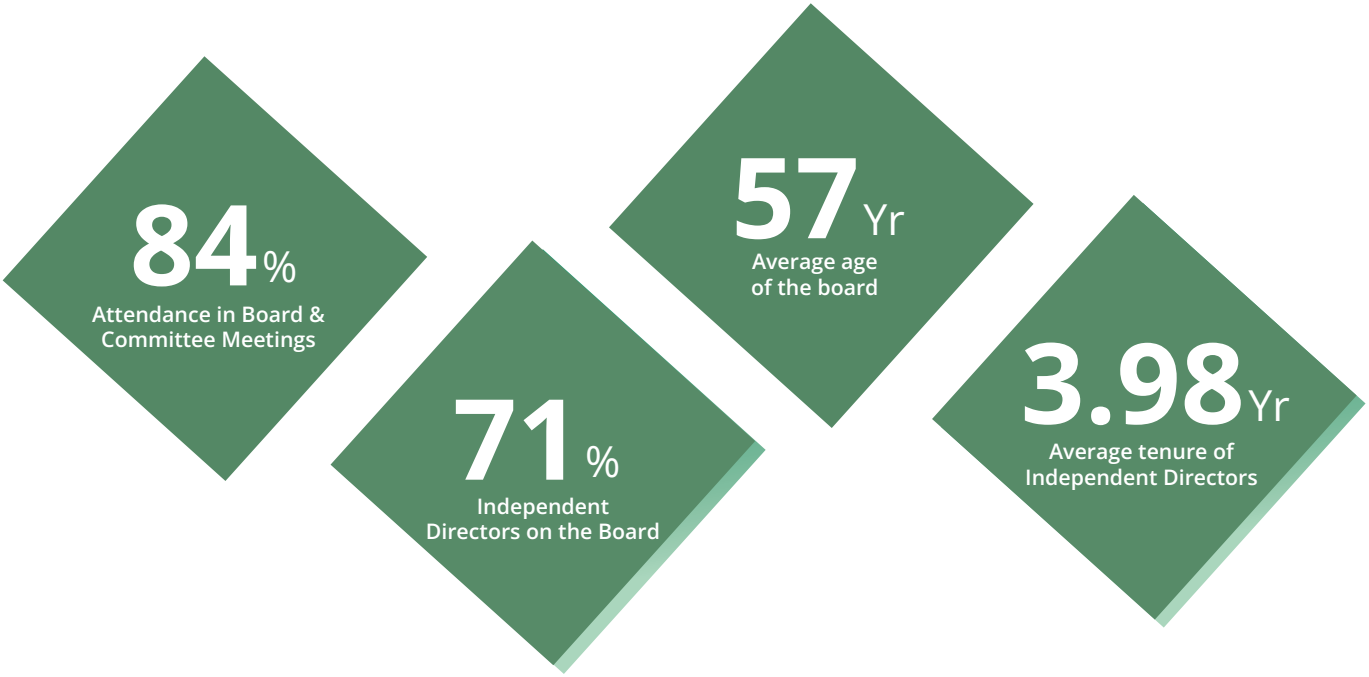
HomeFirst believes that the annual performance evaluation of the Board plays a vital role in enhancing the Board's effectiveness. The performance evaluation of the Board, its Committees, Chairperson and individual Directors were done in compliance with the provisions of the Act and the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015.

The Nomination and Remuneration Committee (NRC) finalises the parameters, methodology and mechanism for conducting the Board performance evaluation. The questionnaire related to the evaluation is finalised, and then a structured online questionnaire is deployed for the evaluation.

The Board and its Committees are evaluated across multiple parameters such as governance, strategic planning, audit and compliance, risk identification, human resources, overall Board functioning, professional development, as well as the effectiveness and flow of information.

Individual Director's effectiveness was evaluated based on parameters such as knowledge and expertise, active participation and contribution during meetings, consistency and punctuality in attending meetings, preparedness and awareness of relevant matters, collaborative relationship with fellow Directors, leadership, openness to diverse perspectives and constructive feedback, uninhibited sharing of insights and integrity.

The outcome of the said performance evaluation is reviewed by the NRC and by the Independent Directors. The Board also reviewed the performance evaluation report, outcome and action areas.



Ethics & *Governance*

Board Meeting Attendance: Number of meetings attended in percentage in the previous year	**Average attendance of Board meetings was 80%**
Board Mandates: Number of other mandates of the non-executive and independent directors	**There are 6 Non-Executive/ Independent Directors with 6 or less other mandates**
Board Performance Review: Performance assessment of the board of directors	**The Board Evaluation process is conducted annually and is overseen by the Nomination and Remuneration Committee of the Board**

Board Tenure#

The average tenure of the Board Members is 6.35 years. Details are as follows:

Name	Director wef	Tenure
Mr. Deepak Satwalekar	October 23, 2019	6.42 years
Ms. Geeta Dutta Goel	November 1, 2021	4.33 years
Mr. Anuj Srivastava	November 1, 2021	4.33 years
Ms. Sucharita Mukherjee	February 1, 2022	4.08 years
Mr. Sriram Hariharan	June 26, 2026	0.75 years
Mr. Divya Sehgal	June 10, 2017	8.75 years
Mr. Manoj Viswanathan	June 28, 2010	15.75 years

#Mr. Maninder Singh Juneja resigned as Non-Executive Nominee Director w.e.f. May 02, 2025 and Mr. Narendra Ostawal resigned as Non-Executive Nominee Director w.e.f. July 15, 2025

Further details regarding Board expertise and industry experience are detailed in the Report of the Directors on Corporate Governance on page 243.

Management Ownership

The Company's MD & CEO, along with the Management team, hold shares in the Company. Their shareholding as of Mar'26 is detailed below. However, there are no share ownership requirements in place.

Name	Designation	No. of Shares
Mr. Manoj Viswanathan	MD & CEO	9,13,833
Mr. Ajay Khetan	Dy. CEO & CBO	1,51,917
Ms. Nutan Gaba Patwari	CFO	78,487
Mr. Gaurav Mohta	CMO	1,02,402
Mr. Ramakrishna Vyamajala	CHRO	73,390
Mr. Ashishkumar Darji	CRO	8,000
Mr. Rupesh Mehta	Head of Technology	1,400

#Ms. Vilasini Subramaniam, erstwhile Head – Strategic Alliance, resigned w.e.f. November 14, 2025

Additional disclosure:
Family Ownership: Founding individuals or family members of the Directors/Management team do not have more than 5% of the voting rights as of the year end closing.

Ethics & *Governance*

Business Ethics & Stakeholder Engagement

Strong governance and ethical conduct are fundamental to our long–term success and trust–building. We uphold high governance standards, ensure accountable leadership, and embed ethics across our operations and financing. The Code of Conduct is deeply rooted in our core values and principles, designed to build and maintain employee trust and confidence in management.

Our Code of Conduct reflects our unwavering dedication to ethical conduct and integrity, reinforced by our core values. It sets clear expectations for employee conduct, ensures compliance with regulatory standards and provides mechanisms for reporting ethical violations. Its goal is to promote professionalism and integrity amongst employees, customers and business partners by ensuring that all business activities adhere to the highest ethical, legal and professional standards. Furthermore, it highlights our unwavering commitment to integrity in every relationship and transaction.

As part of our Code of Conduct, we follow **Political Non-Alignment**. HomeFirst does not campaign for, support, or offer any funds or property as a donation or otherwise to any political party or independent political office candidate. No contribution is made towards any political campaign, political organization, lobbyists, lobbying organization, trade associations, or any tax-exempt group to influence a decision or secure a business advantage. We do not engage in any activity or conduct that can be interpreted as lobbying for a favour to or from any political party or person.

HomeFirst does not maintain a publicly available program or formal management system for lobbying activities. However, the Company holds an ordinary membership with ASSOCHAM (The Associated Chambers of Commerce and Industry of India). Through this association, HomeFirst gains valuable access to industry trends, expert insights on economic policies and corporate laws, timely updates on national and international developments, and opportunities for professional engagement via seminars and workshops.

Freedom of Association

At HomeFirst, we do not employ workers as defined under the new labour codes. Every employee is in a professional role - one that calls for independent thinking, judgement and decision-making - and all are compensated well above the statutory minimum under the Code of Wages, 2019. In that context, we have not framed a separate Freedom of Association Policy.

Additionally, the Company encourages an open-door culture, allowing employees to talk directly to the MD & CEO or any member of the management team if they have concerns.

We have an employee grievance redressal mechanism in place that allows employees to raise complaints directly with the HR team. The HR team addresses these grievances by calling the employee or travelling to their location to help resolve the conflict personally. There is also a whistle-blower policy that gives a safe way to share grievances about various matters. A Whistle Blower may report any violation to the Chairman of the Audit Committee directly, who shall investigate into the same and recommend suitable action to the Management.

Additionally, HomeFirst uses Employee engagement surveys in the early phases of their career (30, 60, 90 days) to assess and monitor employee satisfaction. This is supported by a commitment to professional development through regular performance appraisals, ensuring a high standard of internal governance and employee alignment. Further details regarding the Employee Engagement Survey are detailed in the Human Resource Chapter on page 102.



Ethics & *Governance*

Customer and Employee Grievance Redressal

For Customers: A structured, three-level grievance mechanism ensures timely resolution:

1. Level 1: Customers can approach branch managers or contact customer service at 1800 3000 8425/8880549911 or write to loanfirst@homefirstindia.com for resolution within 7 days from the date of receipt of the complaint in the office with a copy to the Regional Manager & Customer Service Department at the Corporate office on loanfirst@homefirstindia.com.

2. Escalation to Central Team: Aggrieved customer not satisfied with the reply provided by the Branch Manager or concerns unresolved at Level 1, the customer can escalate it to the Central Customer Service Team at the following email address query@homefirstindia.com. The complaints are addressed by the Central Customer Service Team within 15 working days from receipt of the Complaint.

3. Grievance Redressal Officer: If the aggrieved customer is not satisfied with the reply provided by the Central Customer Service Team or in case no reply is received within the stipulated period, the Customer shall escalate its complaint with the Grievance Redressal Officer. Final escalation to the Grievance Redressal Officer, resolved within 30 days of receipt of the complaint in the Corporate Office.

For Employees: An open-door culture allows employees to address concerns directly with senior management. A dedicated grievance mechanism and whistleblower policy ensures accountability.

Grievance Redressal Mechanism

Lastly, a strong governance framework is not possible without a strong grievance redressal mechanism.

For Customers:

To ensure we provide the best customer service and address any concerns of the customer, we have a Customer Grievance Redressal policy. The objective of the policy is to have a clearly defined and easily accessible mechanism for dealing with and settlement of customer complaints and grievances through proper service delivery and review mechanisms, and to ensure prompt redressal and review of customer grievances. The process and the policy are uploaded on our website for a wider audience.

For Complaints and Grievances, you can contact us as per the stages below:

Level-1

You can contact the nearest physical branch OR alternatively can call at 180030008425/8880549911 OR write to us at loanfirst@homefirstindia.com for any queries/ complaints. Our Branch Manager would reply within 7 working days from the date of receipt of the complaint, with a copy to the Regional Manager & Customer Service Department at the Corporate office.

Level – 2

In case we have not met your expectations at Level 1, you can escalate it to the Central Customer Service Team at the following email Id and we will ensure your issue/ concern is resolved within 15 working days from the date of escalation or your issue.
Email id – query@homefirstindia.com

Level- 3

In an unlikely scenario where you are not satisfied with the resolution provided to you at Level-2, you can escalate the complaint to our Grievance Redressal Officer, who would ensure that your issue is resolved to your satisfaction within 30 working days of receipt of the complaint in the Corporate Office.

You can connect with us at the address and email ID below:
Mr. Gaurav Mohta (Grievance Redressal Officer)
Home First Finance Company India Limited
511, Acme Plaza, Andheri Kurla Road,
Andheri (East)
Mumbai – 400 059
Phone: 8880549911
Email: complaints@homefirstindia.com

Ethics & *Governance*

Alternative Remedy:

In case you are still unsatisfied with the resolution provided at Level-3 by our Grievance Redressal Team, pls feel free to approach the National Housing Bank (NHB) via the following modes:

- Online mode: https://grids.nhbonline.org.in
- Offline mode: Alternatively write to the National Housing Bank in a prescribed format available at Complaint Cell against HFCs and post the same to:

  Complaint Redressal Cell
  National Housing Bank
  Department of Regulation and Supervision
  4th Floor, Core 5A,
  India Habitat Centre,
  Lodhi Road
  New Delhi – 110 003

The complaints can also be mailed to crcell@nhb.org.in

For Insurance-related complaints:

Step 1

Customer can raise their queries by writing to:

- Central Customer Service Team:
  Address: 511, Acme Plaza, Andheri Kurla Road, Andheri (East), Mumbai – 400 059, or
- Call on Toll Free Number: 180030008425, or
- Email at: loanfirst@homefirstindia.com

The customer can even approach the nearest branch of the Company. (The letters/emails received by the branch are to be sent to the Central Customer Service Team – Head Office on an immediate basis. The customer will receive an acknowledgement within 2 days.

Step 2

If the resolution received by the customer does not meet the expectation or has not received any response within 7 days from the date of raising the query, the Customer can escalate the query with the Principal Officer/Central Customer Service Team at query@homefirstindia.com

Step 3

If the customer is still not satisfied with the resolution received, he/she can write to our Grievance Redressal Officer, Mr. Gaurav Mohta, at complaints@homefirstindia.com. The 14-day TAT will be considered from the date of receiving the complaint on complaints id.

Step 4

If the customer is not satisfied with the reply provided by the Grievance Redressal Officer, then he/she can write to the concerned insurance companies' Grievance Redressal Officers (GRO). Click here for the direct URL/link to access the GRO details.

Step 5

In-case customer's complaint remains unresolved by the insurer/the Company at any point in time, he/she can:

- Register the complaint online at IRDAI's Bima Bharosa by visiting https://bimabharosa.irdai.gov.in/, or
- Call at IRDAI Grievance Call Centre (BIMA BHAROSA SHIKAYAT NIVARAN KENDRA): Toll Free Number 155255 or 18004254732, or Email to complaints@irdai.gov.in, or
- Write to Insurance Regulatory and Development Authority of India, Consumer Affairs Department - Grievance Redressal Cell, Sy No.115/1, Financial District, Nanakramguda, Gachibowli, Hyderabad - 500 032.

Step 6

In rare cases, if the customer's complaint still remains unresolved, then he/she may take up the matter with the Insurance Ombudsman.

Online: https://cioins.co.in/Complaint/Online or

Offline: a) using email, b) via post or c) walk-in to the Insurance Ombudsman Office. For details:
https://www.cioins.co.in/Ombudsman

Ethics & *Governance*

For Investors:

We have an internally adopted Investor Grievance Policy. The investors/ shareholders can mail to the following address or call on the given landline number:

Home First Finance Company India Limited
Mr. Shreyans Bachhawat
Company Secretary
511, Acme Plaza, Andheri Kurla Road,
Andheri East,
Mumbai 400 059
Email: corporate@homefirstindia.com
Tel No: +91 88805 49911

Investors / Shareholders can also register their queries/ complaints on the following alternatives:

SEBI Complaints Redress System
https://scores.gov.in
https:/smartodr.in/login

KFin Technologies Limited (Share Transfer & Registrar Agent)
(formerly known as KFin Technologies Private Limited)
Selenium Building, Tower-B Plot 31 & 32,
Financial District,
Nanakramguda,
Serilingampally Rangareddy,
Hyderabad – 500 032
Telangana, India
Email: einward.ris@kfintech.com

HomeFirst is committed to enhancing governance practices by embedding ESG principles in strategic decisions, promoting technological innovation, and fostering a culture of accountability. As we navigate the dynamic housing finance landscape, our governance framework will continue to evolve, ensuring resilience and long-term success.

Fortifying Data Privacy & *Security*

In the past decade, innovations in digital financial technologies have not only expanded access to financial services but also reshaped how customers experience and engage with them. As more services move online and are delivered through digital platforms, HomeFirst places strong emphasis on protecting the integrity of its IT systems, preventing cybersecurity risks, safeguarding sensitive financial information, and upholding the highest standards of customer privacy.

HomeFirst has constituted an IT Strategy Committee which inter alia manages cybersecurity strategy and ensure compliance with regulatory guidelines to bolster our overall security posture. The composition of the Committee is as follows:

IT Strategy Committee	Mr. Anuj Srivastava - Independent Director (Chairperson)
	Mr. Sriram Hariharan – Independent Director (Member)
	Mr. Manoj Viswanathan – MD & CEO (Member)
	Mr. Ajay Khetan – Dy CEO and CBO (Member)

The IT Strategy Committee is further supported by IT Steering committee.

Data Security Measures

At HomeFirst, safeguarding sensitive information-both about our company and our extensive customer base-is a top priority. With data breaches and cyber threats becoming increasingly common, we have established a comprehensive framework of security measures to protect our systems and data. We employ cutting-edge technologies and practices to protect customer data and IT systems from unauthorised access, misuse, or breaches. Our approach is designed to uphold the confidentiality, integrity, and availability of information. Key measures we have implemented include:

Roles based Access Controls (RBAC): Our data security framework is anchored in Role-Based Access Control (RBAC). By restricting access according to each employee's role and responsibilities, RBAC ensures that only authorised personnel can view or modify sensitive information. This approach reduces the likelihood of unauthorised access or data leakage. To further strengthen security, we conduct regular user access reviews to proactively identify and mitigate potential risks.

Encryption: We use Salesforce as our CRM platform, ensuring the highest levels of security and compliance. All sensitive customer data-both personal and financial is encrypted during transmission and storage using industry-standard algorithms. Our applications, servers, LMS, CRM, and databases communicate through APIs secured with advanced encryption protocols, with API access restricted by IP to authorised users as a safeguard against DDoS attacks. In addition, we have implemented multi-factor authentication to further strengthen protection. Salesforce itself adheres to globally recognised security standards and holds ISO 27017 and ISO 27018 certifications.

Firewalls and Intrusion Detection Systems: To protect our systems from unauthorised access and potential threats, we have established a comprehensive security framework. At its core, our firewall serves as the first line of defense, carefully monitoring and regulating all incoming and outgoing network traffic according to predefined security rules. This barrier effectively blocks unauthorised access and malicious activity originating from external networks.

In addition, our Intrusion Detection System (IDS) continuously scans network traffic for signs of suspicious behaviour or potential attacks. By promptly alerting our security team to emerging threats, the IDS enables swift and effective response, ensuring that risks are mitigated

Fortifying Data Privacy & *Security*

Data Center Localization: Our Data Centres are exclusively within India to meet regulatory requirements and uphold data sovereignty. This approach ensures full control over our information while minimizing the risks associated with cross-border data transfers.

Regular System Audits: We carry out regular audits of our systems to ensure they remain secure and free from vulnerabilities that could be exploited by malicious actors. An Information Systems (IS) Audit is conducted annually, complemented by internal vulnerability assessments across all company applications. Furthermore, every application undergoes Vulnerability Assessment and Penetration Testing (VAPT), for which we have obtained the necessary certifications.

IT Policy: Our comprehensive IT policy outlines guidelines and procedures for data handling, access controls, and incident response. All employees are required to adhere to this policy to maintain a secure IT environment. The IT policy is regularly updated to align with RBI/NHB guidelines and other regulatory bodies.

Employee Training & Awareness: We conduct awareness training and education programmes for our employees, ensuring they understand their responsibility towards maintaining information security. Beyond formal training, we also run awareness programs focused on data protection, security, and privacy. Periodic emails are circulated to highlight common digital threats and to help employees avoid falling victim to phishing attacks or other malicious activities. Any employee who fails to complete the required cybersecurity training or is found in violation of IT policies may be subject to disciplinary action.

Data Privacy Measures

At HomeFirst, Data Privacy is of paramount importance to us. Our approach is rooted in safeguarding personal information, respecting individual privacy rights and adhering to privacy laws and regulations. HomeFirst's data privacy practices are designed in accordance with applicable data protection laws, including the Digital Personal Data Protection Act, 2023, and relevant regulatory requirements. Some of the measures taken to protect our customers' privacy are:

Data Privacy Policy: We have a comprehensive data privacy policy that details the steps we have taken to safeguard our customers' information by clearly defining how data is collected, used, stored, and disclosed. It emphasises transparency, responsible use, and strict security measures. This policy is shared with all employees and is also available on our website.

Consent Management: We ensure that explicit consent is obtained from our customers before collecting, using, or disclosing their personal information. Customers are also informed about the specific purposes for which their data will be utilised. Through the HomeFirst Customer App, we enable customers to perform various transactions, such as accessing loan statements, raising queries, and making payments. The app is designed to empower customers with secure access to their personal information under strict privacy settings.

Data Retention: HomeFirst retains customer data only for as long as it is needed to fulfil the purposes for which it was collected and to comply with legal obligations. The retention period is further governed by mandatory requirements under applicable laws.

Third Party Vendors: We require all third-party vendors handling customer data to uphold the same stringent privacy standards we maintain, enforced through legally binding contracts that mandate robust security and confidentiality measures; data sharing is strictly limited to a need-to-know basis under comprehensive service agreements, and we conduct thorough evaluations and ongoing monitoring to ensure vendors consistently comply with our rigorous data protection requirements.

Data Request Management

We currently share monthly loan and EMI repayment information with TransUnion CIBIL, Equifax Credit Information Services Pvt. Ltd., CRIF High Mark Credit Information Services, and Experian Credit Information Company of India Ltd., in compliance with the Credit Information Companies (Regulation) Act, 2005, as well as directives issued by the RBI and NHB requiring all credit institutions to be members of a Credit Information Bureau. In addition, details of security interests created on assets or properties are registered with CERSAI.

Fortifying Data Privacy & *Security*

Customer data may also be disclosed for regulatory and compliance purposes, including statutory audits, internal audits, and investor reporting.

Data Breach Response Plan

Despite our best efforts, data breaches can occur. We maintain a comprehensive Data Breach Response Plan, designed to detect, contain, and remediate cybersecurity incidents. To ensure its efficacy, the plan is reviewed and tested annually through simulated scenarios. The Data Breach Response Plan includes:

Containment: immediately contain the breach to prevent further data loss.

Notification: informing the appropriate authorities and impacted customers as soon as possible.

Investigation: conduct a deep-dive investigation of the breach to determine its scope and impact.

Remediation: appropriate measures to remediate the breach and prevent it from happening again.

We did not have any data breaches during the previous financial year.

Business Continuity Plan & Disaster Recovery Plan

HomeFirst has a board-approved Business Continuity Plan (BCP) and Disaster Recovery Plan (DRP) to mitigate risks and ensure operational resilience. The comprehensive framework governing our BCP enables us to pre-empt, prepare for, respond to and systematically recover from disruptions.

The programme is overseen by the IT Strategy Committee, chaired by Mr. Anuj Srivastava – Independent Director, and the Board.

In our most recent BCP and DR exercise for custom applications, all critical systems functioned as expected. During the DR window, BCP server instances ran for 2 hours without downtime or impact during the switch-over and switch-back process. The system operated seamlessly, with all functionalities running and no abnormalities detected throughout the DR exercise.

Stakeholder Engagement & *Materiality Assessment*

Stakeholder Group	Mode of Engagement	Purpose & Scope of Engagement	Frequency
Customers	• Communication at branches and with front-end team (house/ work visits, others) • Tele banking - Customer Care • Digital Channels - Customer App, SMS, WhatsApp, Social media platform, chatbot, Video Call, Email • Customer satisfaction survey, feedback and grievance mechanisms. • Marketing Campaigns	• Understand customer needs and provide suitable products • Transparent communication through physical and digital channels - front-end team, Customer App etc. • Stay in touch with the customer throughout the life cycle of the loan and address any issues that the customer may have via multiple channels • Provide best-in-class customer service	**Continuous**
Employees	• Internal communications: Email, physical/virtual meetings, townhalls, webcasts, online surveys, newsletters • Quarterly & annual appraisals • Employee Engagement Initiatives • Training and development programs • Wellness and counselling sessions • Employee Welfare Schemes • Employee Grievance mechanism	• Focus on identifying and addressing training and development needs • Providing career progression • Compensation & benefits • Continuous employee connect/ engagement through various modes • Leveraging technology to improve connect and productivity • Promoting diversity, equity, and an Inclusive environment within the organization. • Welfare schemes including wellness and counselling sessions	**Continuous/ Periodic**
Shareholders/ Investors	• Annual General Meetings (AGMs), Annual Reports, Quarterly Financial Results Announcements, Press Release • Website, SMS/ email communications, social media, Newspaper publications, Notice Boards, Stock Exchange Intimations	• To stay abreast of developments in the Corporation • Financial Performance • • Compliance, Governance & Ethical Practices. • Addressing key issues & concerns	**Continuous/ Periodic**

Stakeholder Engagement & *Materiality Assessment*

Stakeholder Group	Mode of Engagement	Purpose & Scope of Engagement	Frequency
	• Investor meets including virtual meetings/ calls, Management roadshows • Shareholder grievance mechanism	• Economic performance by continuously analysing market trends and adapting strategies accordingly; manage external risks and capitalise on opportunities effectively.	**Continuous/ Periodic**
Regulators, Lenders and Credit Rating Agencies	• Mandatory filings with key regulators; periodic inspections/ assessments • 1x1 / group meetings, emails • Periodical disclosure of business/ operational parameters • Engagement during industry events/ conferences/ reviews • Website, Corporate Announcement, Stock Exchange filings etc.	• Corporate Governance • Discussions about various regulations and amendments, inspections, approvals etc. • Transparent and adequate disclosures through Website/ Stock Exchanges etc. • Strong Compliance and Code of Conduct Framework • Financial & Non-financial performance	**Continuous/ Periodic/ Need Basis**
Communities & NGOs	• Community Welfare Programs or CSR Programs • Joint assessment of projects • Project Assessment reviews	• Implementation of CSR Initiatives under Project Sashakt in areas like Skilling and Employment, Education and Development, Health Services, Financial Literacy • Status of the initiatives undertaken	**Continuous**
Research Analysts	• Annual Reports, Quarterly Financial Results Announcements, Press Release • Website, social media, Newspaper publications, Notice Boards, Stock Exchange Intimations • Analyst meetings including virtual meetings/ calls	• Transparent and Detailed Disclosures to Keep abreast about Company's financial and operating performance as well as industry landscape (to the extent possible)	**Continuous/ Periodic**

Stakeholder Engagement & *Materiality Assessment*

Stakeholder Group	Mode of Engagement	Purpose & Scope of Engagement	Frequency
Channel Partners & Key Partner	• In person meetings • Email/ telephonic and other virtual mode of communications • Contracts, updates	• Partnership and business development • Ensuring timely pay-outs • Ethical code of conduct and transparent disclosure • Building trustworthy, moral, and enduring partnerships • Building sustainable business operations for long term	**Continuous/ Periodic**

Materiality Assessment

At HomeFirst, materiality assessment helps us identify the environmental, social and governance matters that are most relevant to our stakeholders and most consequential to our business, operating model and long-term value creation. It provides a structured lens to assess where sustainability priorities intersect with our responsibilities as a housing finance company - to our customers, employees, regulators, investors, communities and the broader ecosystem in which we operate.

For HomeFirst, it serves as an important management tool to align sustainability priorities with our operating model, risk framework, regulatory responsibilities and value creation agenda.

At HomeFirst, materiality analysis is undertaken annually and reviewed by senior management. The assessment helps us identify ESG topics that have a meaningful bearing on our business, including responsible lending, customer outcomes, data privacy and information security, employee development, governance, compliance, climate-related risks and community impact.

The process enables us to evaluate these matters across multiple dimensions - stakeholder relevance, business impact, regulatory significance, reputational sensitivity and financial implications. This ensures that sustainability considerations are not treated as a separate reporting exercise, but are embedded into decision-making, risk management and strategic planning.

By periodically reassessing our material issues, we remain responsive to evolving stakeholder expectations, emerging risks and changes in the external environment. This strengthens our ability to allocate management attention and resources to areas that enhance resilience, improve transparency and support sustainable long-term value creation.

Stakeholder Engagement & *Materiality Assessment*

Sr.No.	Material Topic	Category	Capital Impacted	Why is this material
1.	Corporate Governance	Governance		A governance framework based on ethical rigour, unyielding integrity and transparency is at the core of the way we conduct business. Fostering a compliance-driven culture not only enhances risk mitigation but also strengthens business resilience and builds stakeholder trust.
2.	Risk Management	Governance		Effective risk management protects our financial stability by identifying, evaluating, and addressing potential losses stemming from credit defaults, market volatility, liquidity constraints, interest rate fluctuations, and operational disruptions. Leveraging robust processes, comprehensive information, and advanced technology, we have established a multi-faceted risk management framework to effectively identify, analyse, monitor, and mitigate various risks, including credit, market, liquidity, interest rate, and operational risks.
3.	Code of Conduct and Business Ethics	Governance		The Code of Conduct and Business Ethics is essential for upholding ethical business practices, ensuring legal compliance, and fostering stakeholder trust. The HomeFirst Code of Conduct outlines the ethical standards and principles guiding the company's business practices and employee behaviour. Serving as a moral compass, it provides clear directives for conduct in professional scenarios. The document is accessible on our website.
4.	Sustainable Finance	Governance		Sustainable finance promotes equitable access to resources for underserved communities, addressing social inequalities and environmental challenges.
5.	Employee Training & Development	Social		To maintain a competitive edge and drive business success, having a well-trained workforce is crucial. It enhances employees' skills and boosts productivity. To meet this objective, we have a comprehensive training program covering numerous training modules spanning the entirety of their career journeys.
6.	Employment and Labour Practices	Social		We consider our people to be the foundation of our success and are committed to cultivating a supportive work environment that fosters their growth and active participation. At HomeFirst, we are committed to fostering, safeguarding, and advancing human rights to ensure equitable and ethical practices in business and employment.

Stakeholder Engagement & *Materiality Assessment*

7.	Data Protection & Privacy	Social		In the rapidly changing world of financial services, driven by ongoing digital transformation and the rise of virtual platforms, safeguarding the integrity of our customers' financial and personal information remains our top priority. The company has a board-approved Information Technology Policy, Information Security Policy, and Cyber Security Policy- these are available to internal stakeholders. This policy covers cybersecurity and risks related to data privacy. The Company also has a Privacy Policy hosted on the website. All employees must complete cybersecurity training once a year to educate them on the importance of protecting our data.
8.	Health & Safety	Social		Ensuring employee health and safety is a top priority for the company, integral to supporting their sustainable growth and development. We have a board-approved Employee Health & Safety Policy, which reflects our commitment to maintaining a safe and healthy work environment for all employees.
9.	Customer Satisfaction	Social		At HomeFirst, Customer satisfaction is a top priority, which is achieved through a customer-focused approach that emphasises exceptional service, tailored experiences, and efficient solutions. We track Net Promoter Scores to gauge customer satisfaction, allowing us to continuously improve our products and services based on feedback.
10.	Community Relations	Social		HomeFirst is dedicated to contributing to societal well-being through the implementation of diverse CSR initiatives, which embody and reflect the company's core values. Our flagship initiative, Project Sashakt, focuses on skill development, employment opportunities, children's education, school development and healthcare.
11.	Operational Eco-efficiency	Environment		In our pursuit of delivering prompt, accurate, and efficient service to customers, we are committed to digitising our processes, thereby enhancing operational eco-efficiency.
12.	Climate Resilience	Environment		To transition to a low-carbon economy, HomeFirst is committed to implementing eco-friendly and energy-efficient measures. Reducing the footprint of our operations and services is fundamental to our values around sustainability.

Financial Capital | Social and Relationship Capital | Intellectual Capital | Human Capital | Natural Capital

Financial Capital *Management*

Financial capital is the essence of a housing finance business. It enables us to extend long-term housing loans, manage credit cycles, and continue lending through dynamic market conditions. At HomeFirst, our objective is clear: grow profitably while maintaining strong buffers, diversified funding access, and disciplined risk management; so, we deliver sustainable outcomes for customers, lenders, regulators, and shareholders.

As a housing finance company, the core components of our financial capital: equity, borrowings and treasury investments support the balance sheet and determine our ability to scale responsibly. Our approach to Financial Capital Management is anchored in four pillars:

- Capital strength: maintain a robust capital base and prudent capital adequacy
- Liquidity and ALM discipline: ensure inflows are stronger than outflows across tenors and maintain comfortable liquidity buffers
- Diversified funding franchise: reduce concentration risk, improve borrowing costs, and maintain access across cycles
- Credit and operating excellence: protect asset quality and improve efficiency to convert growth into durable profitability

Strengthening the balance sheet

During FY26, we strengthened our balance sheet through a Qualified Institutional Placement (QIP) of ₹1,250 Cr. The transaction saw strong participation from a broad set of domestic and international investors, reflecting confidence in the Indian housing finance opportunity and HomeFirst's differentiated execution, governance standards and long-term growth trajectory.

This capital infusion enhances balance sheet flexibility and supports our ability to fund growth while maintaining prudent buffers and improving performance metrics at scale. The capital has been deployed in line with business expansion priorities and our risk and capital frameworks.

The capital has been strategically deployed to drive business expansion, laying a strong foundation for sustained growth.

Financial Highlights:

FY26 was marked by macro uncertainty and a volatile operating environment. Amidst these conditions, we remained focused on long-term profitable growth and strong risk discipline.

Our Track record over the last five years reflect the strength of our model and execution

Particulars	FY22	FY23	FY24	FY25	FY26
AUM (in ₹Crs)	5,380	7,198	9,698	12,713	15,878
NIM	5.4%	6.4%	5.8%	5.2%	5.7%
ROA	3.6%^	3.9%	3.8%	3.5%	3.9%
ROE	11.8%#	13.5%	15.5%	16.5%	15.7%
Opex to Avg. Assets	2.7%	3.0%	2.9%	2.7%	2.7%
GNPA	2.3%^^	1.6%	1.7%	1.7%	1.8%
NNPA	1.8%^^	1.1%	1.2%	1.3%	1.4%

^Adjusted RoA at 3.6% computed considering Adjusted PAT for FY22 without the impact of one-time deferred tax liability adjustment.
Adjusted RoE at 11.8% computed considering Adjusted PAT for FY22 without the impact of one-time deferred tax liability adjustment

^^ Pursuant to the RBI circular dated 12 Nov 2021, Dec'21 onwards, the Company has aligned its definition of default requiring repayment of the entire arrears of interest and principal for loan accounts classified as NPAs to be upgraded as 'standard' assets.

Financial Capital *Management*

AUM increased from ₹5,380 cr (FY22) to ₹15,878 cr (FY26), supported by consistent growth, stable asset quality and improving profitability metrics.

Credit excellence: Protecting asset quality as we scale

In lending, long-term profitability is anchored in underwriting quality and collections discipline. At HomeFirst, our underwriting process combines centralised decisioning and data-science-led assessment with deep on-ground evaluation by a skilled front-end team.

- Our underwriting approach evaluated formal and informal income sources, family cashflows, employment stability, savings capacity and repayment track record.
- We systematically compile and analyse extensive customer data to strengthen decision quality and ensure consistency in approvals.
- Our collections strategy is executed by our front-end teams under strong supervisory oversight and supported by structured legal processes.

This integrated approach, underwriting discipline, portfolio monitoring, and collections execution, has enabled us to maintain asset quality within defined parameters even as we scale.

Operating efficiency: Scaling with discipline

Operating efficiency is a critical driver of profitability and resilience. HomeFirst's operating model is designed to improve productivity and reduce friction across the customer journey, translating into strong cost discipline.

We track and focus on levers such as productivity per employee, AUM per branch, and process throughput, to improve cost ratios without compromising service quality.

(%)	FY22	FY23	FY24	FY25	FY26
Operating cost to average total assets	2.7%	3.0%	2.9%	2.7%	2.7%
Cost to income	34.0%	35.7%	35.3%	35.8%	32.5%

These outcomes reflect our ability to allocate resources efficiently while sustaining long-term growth.

Diversified Funding Portfolio: Building a resilient liability franchise

To mitigate concentration risk and optimise the cost of funds, we have built a diversified liability franchise with a strong focus on long tenor borrowings.

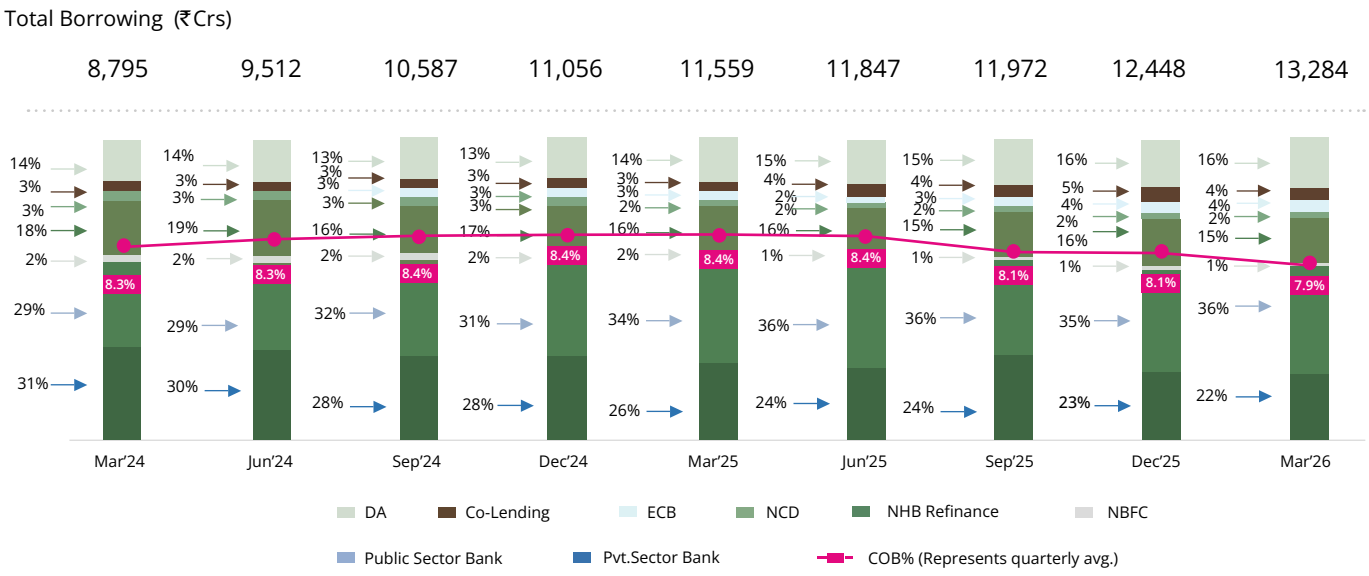
As of Mar'26, HomeFirst has a lender base of 31 entities, comprising 24 commercial banks, 2 foreign lenders, 1 financial institution, and 4 NBFCs.

Our borrowing strategy emphasises a balanced mix of funding sources, while deliberately minimizing reliance on short-term instruments. This approach supports ALM stability and strengthens funding access across market cycles.

Cost of borrowing (CoB): Improved from 8.4% to 8.1%, reflecting stronger franchise strength, improved market access and disciplined funding strategy.

Financial Capital *Management*

Borrowing Mix and Cost of Borrowing Trend:



Co-lending: expanding partnerships and improving reach

During FY26, we further expanded our co-lending network by onboarding South Indian Bank & Jammu & Kashmir Bank. We now have co-lending partnerships with Central Bank of India, Union Bank of India, Axis Bank, South Indian Bank and Jammu & Kashmir Bank. Over the fiscal year, we successfully disbursed loans amounting to ₹307 cr under co-lending contributing to 3.7% of our AUM as on Mar'26.

Co-lending supports responsible expansion, helps optimise funding costs, and strengthens reach in a prudent manner.

Prudent Liquidity and Asset-Liability Management (ALM)

Liquidity discipline is non-negotiable in a lending business. HomeFirst's ALM framework is built to ensure that inflows exceed outflows across tenure buckets, supported by conservative liquidity buffers.

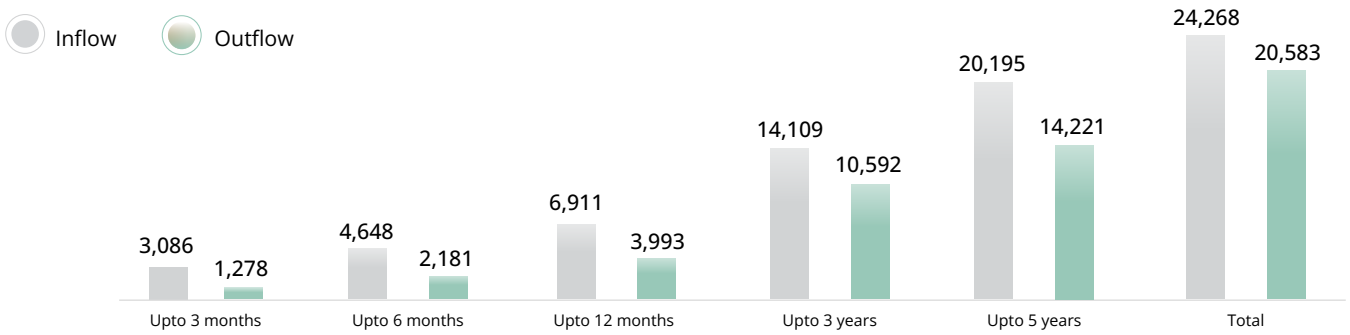
Our ALM framework is monitored in alignment with business strategy and risk management priorities. We also ensured compliance with LCR requirements ahead of regulatory deadlines.

Liquidity position as of Mar'26: ₹3,126 cr, comprising:

- Unencumbered cash and cash equivalents: ₹1,610 cr
- Unutilised bank sanctions: ₹1,162 cr
- Unutilised NHB sanctions: ₹354 cr

Financial Capital *Management*

	Upto 3 months	Upto 6 months	Upto 12 months	Upto 3 years	Upto 5 years	Total
Surplus in (₹Crs)	1,808	2,467	2,918	3,517	5,974	3,685



Investments and Treasury management

Our total investments as of Mar'26 amounted to ₹ 812 Cr, comprising:

- Treasury bills and government securities: ₹ 294 Cr
- Mutual funds: ₹ 518 Cr

Credit Excellence: ratings and funding advantage

By prioritising responsible lending, diversified funding and prudent capital allocation, we have strengthened our credit profile.

During FY26, our credit rating was upgraded to AA (Stable) following the Company's capital strengthening actions, including the successful QIP of ₹1,250 crore.

A stronger rating supports access to funding on competitive terms, improves resilience through cycles, and strengthens our ability to scale responsibly.

Rating Agency	Instrument	FY24	FY25	FY26
ICRA	Term Loans and NCD	AA- (Stable)	AA- (Stable)	AA (Stable)*
	Commercial Paper	A1+	A1+	A1+
India Ratings & Research	Term Loans and NCD	AA- (Positive)	AA- (Positive)	AA (Stable)**
	Commercial Paper	A1+	A1+	A1+
CARE Ratings	Long-term Bank Facilities	AA- (Stable)	AA- (Stable)	AA (Stable)***

**credit rating upgraded to "AA (Stable)" from "AA- (Stable)" w.e.f. May 28, 2025*

***credit rating upgraded to "AA (Stable)" from "AA- (Positive)" w.e.f. June 04, 2025*

****credit rating upgraded to "AA (Stable)" from "AA- (Stable)" w.e.f. June 10, 2025*

Financial Capital *Management*

The year ahead

Our priorities on Financial Capital Management remain focused and execution-led:

- Maintain strong capital buffers while funding growth
- Strengthen liability diversification and reduce concentration risk
- Protect liquidity and ALM discipline, with conservative buffers
- Sustain underwriting and collections excellence to protect asset quality
- Improve operating efficiency through productivity and process simplification

Natural *Capital*

Commitment to Environmental Protection and Management

At HomeFirst, we are committed to minimizing our environmental footprint and strengthening responsible resource stewardship as we scale. While our operational footprint is inherently modest as a services business, we believe that measurement discipline, transparency and continuous improvement are essential to responsible growth.

For HomeFirst, Natural Capital is relevant in two ways:

- Our operational footprint across branches and offices; and
- The housing outcomes we enable, especially in the self-built segment, are greener, more resilient homes that can deliver lasting benefits for customers.

Policy, governance and capability building

HomeFirst's approach is guided by a Board-approved Environmental Management Policy, which provides the framework to embed eco-friendly practices across infrastructure, operations and procurement, promote the Reduce–Reuse–Recycle philosophy, and strengthen awareness among employees and stakeholders.

We recognise that sustainability outcomes are delivered through people and processes. Accordingly, HomeFirst has rolled out internal learning and communication initiatives to build awareness of ESG and BRSR themes related to the 9 principles of sustainable development and to reinforce sustainable practices across the organization. To further embed this culture, we publish periodic Green Homes newsletters that keep our teams informed about eco-friendly living and broader environmental awareness, while also recognising and celebrating top-performing employees associated with the Green Homes product. We also strive to foster environmental awareness by highlighting our sustainability initiatives in our quarterly investor presentations and sharing updates on our social media platforms.

Operational Footprints

As a branch-led housing finance company, our operational footprint is primarily driven by:

- electricity consumption across branches and offices; and
- refrigerant-related emissions from air-conditioning systems.

We do not own company vehicles and do not have material stationary combustion sources within our operational boundary. Accordingly, our Scope 1 emissions are primarily attributable to refrigerant refills and top-ups, as well as associated fugitive emissions.

Scope 1 and Scope 2 emissions

Scope 1: Direct Emissions

Scope 1 emissions refer to direct greenhouse gases (GHG) emissions from sources owned or controlled by the Company. For HomeFirst, Scope 1 emissions primarily comprise fugitive emissions from air-conditioning systems (refrigerant top-ups/leakages).

Scope 2: Indirect GHG Emissions from Purchased Electricity

Scope 2 emissions arise from electricity purchased from the grid, and/ or the use of DG sets across our branches and offices, including the head office and corporate office.

As the branch network expands, absolute electricity consumption and Scope 2 emissions may increase. Our focus is to ensure that intensity performance improves over time, supported by stronger operational controls and better-quality data.

During the year FY26, our total Scope 1+Scope 2 emissions amounted to 878.21 MTCO2e compared to 797.62 MTCO2e in FY25. The increase is primarily on account of higher Scope 2 emissions due to an increase in the number of physical branches. However, energy intensity dropped to 631.28 KWh/₹ crores of turnover in FY26 compared to 702.33 KWh/₹ crores of turnover in the previous fiscal.

Natural *Capital*

GHG Quantification Methodology

HomeFirst has partnered with the Centre for Environmental Research & Education (CERE) to measure and monitor its carbon footprint across offices.

The assessment is conducted in accordance with the Greenhouse Gas Protocol (GHG Protocol) guidelines, developed jointly by the World Business Council for Sustainable Development (WBCSD) and the World Resources Institute (WRI). We follow an "Operational Control Approach" to define our organizational boundary as a foundation for the comprehensive evaluation of HomeFirst Finance's climate impact.

Our inventory accounts for relevant greenhouse gases, including carbon dioxide (CO_2), methane (CH_4), nitrous oxide (N_2O) and refrigerant gases (HFCs/HCFCs), where applicable. For electricity-related emissions, we use the Central Electricity Authority (CEA) grid emission factor (EF including renewables) as referenced for the reporting period.

Activity & Emissions Data FY26				
Scope	**Emission Source**	**Activity Data**	**Unit**	**Emissions (MTCO2e)**
Scope 1	HVAC systems – Annual Refrigerant Leaks	24.92	Kilograms	20.48
Scope 2	Electricity generated from DG Set	67.50	kWh	0.02
Scope 2	Electricity purchased from Grid	12,08,581.24	kWh	857.71
Total				**878.21**

Sources of Emission Factors		
Scope	**GG Activity Data**	**References**
Scope 1	HVAC systems – Annual Refrigerant Leaks	https://www.ipcc.ch/report/ar6/wg1/downloads/report/IPCC_AR6_WGI_Chapter_07_Supplementary_Material.pdf
Scope 2	Electricity generated from DG Set	IPCC - Stationary Combustion https://www.ipcc-nggip.iges.or.jp/public/2006gl/pdf/2_Volume2/V2_2_Ch2_Stationary_Combustion.pdf
Scope 2	Electricity purchased from Grid	Central Electricity Authority (CEA) - CO2 Baseline Database for the Indian Power Sector, version 21 https://cea.nic.in/cdm-co2-baseline-database/?lang=en

Natural *Capital*

Carbon Emissions and Energy Consumption:

HomeFirst has disclosed energy consumption and GHG emissions for FY25 and FY26, and will continue reporting these metrics in a structured manner.

Parameter	FY26 (Current Financial Year)		FY25 (Previous Financial Year)	
	kWh	**TJ**	**kWh**	**TJ**
Total electricity consumption (A)	1208648.74 kWh	4.35 Terajoules	1074535.19 kWh	3.87 Terajoules
Total fuel consumption (B)*	-	-	-	-
Energy consumption through other sources (C)	-	-	-	-
Total energy consumption (A+B+C)	1208648.74 kWh	4.35 Terajoules	1074535.19 kWh	3.87 Terajoules
Energy intensity per rupee of turnover (Total energy consumption/ turnover in rupees	0.00006 kWh/₹ turnover	0.0000000002 Terajoules/₹ turnover	0.00007 kWh/₹ turnover	0.0000000003 Tj/₹ turnover
Energy intensity (optional) – the relevant metric may be selected by the entity	651.56 kWh/ employee	0.002 TJ/ employee	657.61kWh/ employee	0.002 Tj/ employee

**The company does not own any vehicles or diesel generator sets, and there is no stationary combustion taking place; therefore, there is no fuel consumption.*

Parameter	Unit	FY26 (Current Financial Year)	FY25 (Previous Financial Year)
Total Scope 1 emissions (Breakup of the GHG into Co_2, CH_4, N_2O, HFCs, PFCs, SF_6, NF_3, if available	Metric tonnes of CO_2 equivalent	20.48	16.47
Total Scope 2 emissions (Break-up of the GHG into CO_2, CH_4, N_2O, HFCs, PFCs, SF_6, NF_3, if available)	Metric tonnes of CO_2 equivalent	857.73	781.15
Total Scope 1 and Scope 2 emissions per rupee of turnover	Metric tonnes of CO_2 equivalent	0.00000005	0.00000005
Total Scope 1 and Scope 2 emission intensity (optional)	Metric tonnes of CO_2 equivalent/ employee	0.47	0.49

The conversion factor considered for electricity emissions is 0.709 as per Central Electricity Authority (CEA) - CO2 Baseline Database for the Indian Power Sector, version 21 (EF incl RES). The emission calculation factor used for calculating emissions from electricity consumption via DG sets: https://www.ipccnggip.iges.or.jp/public/2006gl/pdf/2_Volume2/V2_2_Ch2_Stationary_Combustion.pdf

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Our approach to performance interpretation

We view these disclosures through two lenses:

- absolute footprint, which may rise as our physical presence grows; and
- intensity, which reflects operational efficiency and is the metric we seek to improve with scale.

Strengthening operational efficiency as we scale

Given that electricity is the primary driver of our footprint, our focus is on practical, repeatable interventions that can scale across the branch network. Key levers include:

- embedding efficiency considerations into branch fit-outs and refurbishments (lighting, cooling and equipment choices)
- strengthening HVAC maintenance and refrigerant management practices to reduce avoidable losses and improve data capture
- improving completeness and timeliness of location-wise electricity data capture and standardising supporting documentation
- reinforcing employee awareness so sustainability practices translate into everyday operational behaviour

These measures are intended to support improved intensity performance even as the footprint expands.

Natural Capital

Building Momentum in Green Homes

Our Green Homes initiative has entered a new phase of scale.

What began as a focused sustainability effort is now becoming a stronger, more embedded part of how we enable homeownership. Across markets, we are seeing deeper adoption, greater customer acceptance, and increasing alignment with developers and self-build affordable housing partners.

India's housing sector remains central to the climate conversation. The building and construction sector contributes nearly 25% of India's carbon emissions, with residential housing forming a significant share. As aspirations rise and urbanisation accelerates, the need for responsible construction is essential.

Encouragingly, the market has started responding. Awareness around energy efficiency, water conservation, and long-term cost savings is steadily increasing. Conversations with customers today reflect greater openness to green features as financially sensible ones.

At HomeFirst, we are building on this shift with clarity and conviction.

Our Approach: Meeting Customers Where They Are

Our core philosophy remains unchanged: we meet customers where they are – in the product offering, service and in terms of awareness.

Green housing is no exception.

Especially because green homes, more than being an ideal standard, is about enabling practical upgrades that align with customers' financial realities.

Sustainability must work within the context of first-time homeownership–where affordability, reliability, and simplicity matter most. By integrating green measures into our credit processes, developer engagement, and customer conversations, we ensure that environmentally responsible homes remain accessible and achievable.

Green homes are designed to be 20% more efficient. Here's how:

- Energy-efficient and water-conscious
- Cost-effective over the long term
- Practical for first-time homeowners
- Environmentally responsible without increasing financial strain.

In doing so, we align sustainability with what matters most to our customers–financial prudence and long-term security.

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What Makes a Home Green?

A certified Green Home incorporates:

1. Non-red bricks that reduce carbon footprint and enable faster construction
2. Aerators and low-flow showerheads that minimize water wastage without affecting usage
3. 5-star rated ceiling fans that lower electricity consumption and reduce energy costs
4. Window sunshades that block direct sunlight and help maintain cooler interiors
5. Double-coated white roofs that reflect sunlight and naturally lower indoor heat.

Each feature contributes to a more sustainable lifestyle while improving comfort and everyday savings.

What makes your house a
Green Home?



Natural *Capital*

Business and Environmental Impact: Our year in green

AUM

₹55.09 Crs

No. of Certifications

450

Our expanding Green Homes portfolio continues to generate measurable impact:

673 MWh	21,643 cu m	453
Energy Saved	Water Saved	GHG emissions reduced

These numbers represent homes that are lighter on the planet and stronger in long-term affordability.

Strengthening the Ecosystem

Our partnership with the International Finance Corporation (IFC) continues to anchor our progress. Through technical expertise, knowledge exchange, and the ₹280 crore credit line secured in FY23, we have strengthened both operational capability and market outreach.

Internally, sustainability is steadily being embedded into our culture. In FY26, we introduced an internal Environmental Day awareness campaign. It included branch-level competitions and pledges that encouraged staff to identify greening opportunities in customer conversations.

Through training initiatives, branch engagement, newsletters, and milestone recognitions, our teams are increasingly equipped to deliver the Green Box experience seamlessly to customers.

A Day in a Green Home

A Green Home does not feel dramatically different, but it simply works better.

5-star rated ceiling fans and White paint on the roof lower monthly electricity expenses. Water-saving measures reduce waste. Solar integrations provide resilience. Roofing choices such as stone slabs contribute to a reduction in Carbon emissions and durability where appropriate. Sustainability here is our advantage.

And as the market grows more receptive to green measures, we remain committed to making sustainable housing practical, scalable, and inclusive.

Human *Capital*

At HomeFirst, our operating model is built for consistent execution at scale. We operate through a growing branch network. We serve customers in segments where trust, speed and discipline matter. We deliver outcomes through granular sourcing, centralised underwriting, strong documentation, and front-end sales-driven collections. It also depends on technology. But it is ultimately delivered by people.

Human capital is a core operating asset for HomeFirst. It influences outcomes that matter: portfolio quality, productivity, customer experience, compliance discipline, branch execution, and operating efficiency. It also shapes our ability to scale without sacrificing consistency.

This is why HomeFirst treats Human Capital Management as a strategic system. Not as a set of programs. A system that is designed to hire the right people at scale, train them to deliver consistent execution, build capable managers and leaders, and retain talent by creating growth, fairness and belonging.

Our strategy is anchored on four pillars: Recruitment, Development, Engagement and Retention, supported by governance, conduct standards, and well-being.

Workforce profile and diversity

As of Mar'26, HomeFirst had 1,855 employees. Women represented 28.4% of the workforce. Our median age was 26.0 years.



Employee data (Age and Gender-wise) as at Mar'26

Age	Total Employees	%	Female Employees	%	Male Employees	%
Under 30 years	1,519	81.9%	449	85.2%	1,070	80.6%
30-50 years	332	17.9%	78	14.8%	254	19.1%
More than 50 years	4	0.2%	0	0.0%	4	0.3%
Total	**1,855**	**100.0%**	**527**	**100.0%**	**1,328**	**100.0%**

We benefit from a young, diverse and execution-oriented workforce. This supports speed, energy and adaptability. It also requires structured training, strong managers, and clear career paths, particularly in a frontline-heavy model where large teams interact directly with customers.

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Governance and accountability

People outcomes require governance. At HomeFirst, accountability for human capital is rooted across levels:

- Board oversight through the Nomination and Remuneration Committee (NRC), including leadership development, succession, remuneration philosophy, and key people risks.
- Management ownership, supported by functional heads and regional leaders who own hiring quality, productivity, culture and retention outcomes.
- Performance, conduct and control frameworks to ensure fairness, integrity and consistent enforcement of standards.

This governance structure ensures our people engine scales with discipline. It also ensures our culture remains execution-focused and customer-first.

Our Human Capital philosophy

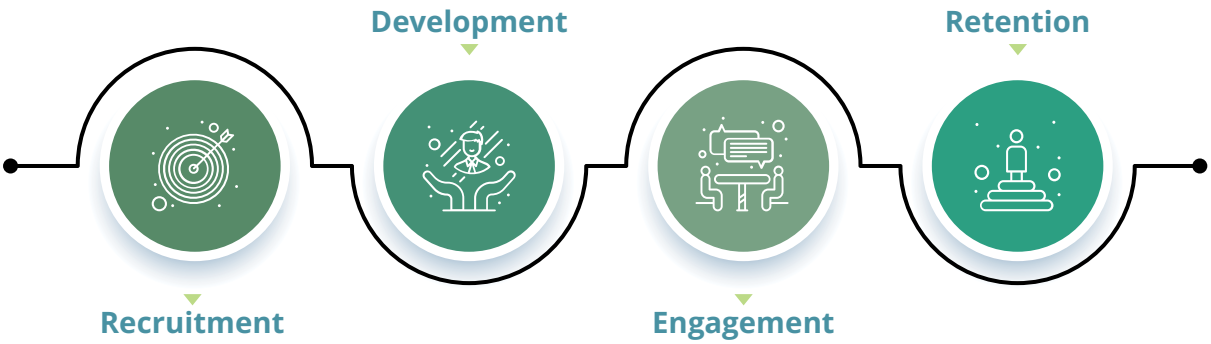
We operate with a simple philosophy. It is built for scale. It is designed to reduce variance.

- Hire for attitude and learning agility. Skill can be built. Integrity and customer orientation are non-negotiable.
- Define "good" clearly. Use readiness milestones and measurable outcomes.
- Build managers as culture carriers. Manager capability drives productivity, compliance and retention.
- Invest in training as a control mechanism. Training reduces operational risk and improves consistency.
- Create fairness and visibility. Recognition, predictable incentives, and clear progression reduce avoidable churn.

In a lending business, this is not optional. Inconsistent execution leads to credit slippage, documentation errors, customer dissatisfaction, and compliance risk. Human capital discipline is, therefore business discipline.

Pillars of Human Capital Management

At HomeFirst, our human capital strategy is anchored on four essential pillars - Recruitment, Development, Engagement and Retention. We begin by attracting the right talent through a recruitment process that emphasises diversity, capability, and alignment with organizational values. Once onboard, employees are empowered through structured learning and development programs that nurture continuous growth and prepare them for future challenges. Engagement forms the third pillar, where we cultivate a culture of inclusivity, ownership, and collaboration, supported by transparent policies, recognition initiatives, and open communication channels. Finally, retention is achieved by prioritising employee well-being, fostering loyalty, and creating a supportive environment that encourages long-term commitment. Together, these four pillars strengthen our workforce, drive productivity, and ensure sustainable organizational success.



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Recruitment: building a scalable talent pipeline

People make all the difference at HomeFirst. Every new hire, every internal move, every promotion reflects our belief that companies are built by investing in people. Our approach to talent acquisition is both balanced and intentional: we bring in the right talent from outside while creating meaningful growth pathways for our people within.

Human capital management begins with hiring the right talent-individuals who not only possess the necessary technical expertise and experience but also align with our organizational values of inclusive growth, ownership, customer-centricity, and transparency.

Whether it is through structured campus engagement, lateral hiring, or nurturing internal movement, our focus is clear - find the best and make them better. For us, talent is not just recruited - it is built, nurtured, and retained

Campus hiring and internships:

We actively recruit fresh MBAs who possess a strong technical foundation, a passion for learning, and the drive to grow. The majority of our hiring needs-both interns and full-time positions-are met through a robust campus recruitment program, with active participation from our management team. This channel contributes to about 73% of our hiring (primarily freshers), while lateral recruitment accounts for the remaining 27%.

Our goal is to establish ourselves as a preferred campus partner by clearly presenting our value proposition, maintaining a swift and innovative recruitment process, and ensuring a mutually beneficial fit between candidates and the organization. Colleges are carefully chosen based on factors such as student profiles, the past performance of MBAs (in terms of tenure and contributions), and their proximity to our offices.

We also run a structured internship program, with a recruitment process that mirrors final placements in its rigour and thoroughness. The projects assigned during summer internships are directly aligned with the responsibilities interns would take on as full-time employees. This approach ensures interns gain clarity about their future roles while allowing us to evaluate their performance and long-term suitability. Based on these assessments, high-performing interns are offered full-time opportunities with the company.

Lateral hiring:

To address specific vacancies, we also recruit through lateral hiring. At the same time, we place strong emphasis on nurturing home-grown talent by encouraging internal growth via job postings, role enhancements, and career progression opportunities. To broaden our reach, select openings are also advertised on our website.

Talent Infusion - New Employees Hired (Age and Gender-wise) during FY26:

Gender	Under 30 years	30 - 50 years	Above 50 years	Total
Female	206	12	0	218
Male	499	75	1	575
Total	**705**	**87**	**1**	**793**

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New Hire Rate (Age and Gender-wise) during FY26:

Gender	Under 30 years	30 - 50 years	Above 50 years	Total
Female	45.9%	15.4%	0.00%	41.4%
Male	46.6%	29.5%	25.0%	43.3%
Total	**46.4%**	**26.2%**	**25.0%**	**42.7%**

Note: The new hire rate is calculated as a percentage of the closing employee count as of Mar'26

Internal movement

We encourage internal mobility through internal postings, role enhancements, and lateral moves across functions and geographies. Internal movement strengthens retention and builds institutional knowledge.

Development: building capability, leadership and compliance maturity

At HomeFirst, we have a well-established Learning and Development ecosystem. We are deeply committed to investing in our people's growth, ensuring they are equipped not just to meet the challenges of today but to shape the possibilities of tomorrow. From digital fluency to leadership acumen, we are building a culture where learning is instinctive, continuous, and woven into the fabric of everyday work.

We believe continuous learning is key to individual and organizational growth. That is why we ensure our teams have ongoing opportunities to learn, evolve, and thrive.

Our commitment is to attract, develop, and retain strong, diverse talent to drive continued growth.

Onboarding and early readiness

T-50 Program

- Objective of the Initiative & Brief Process: A carefully designed 50-day training program for newly hired front-end team members, including Relationship Managers (RMs) and Customer Service Managers (CSMs), serves as a strong foundation for their roles. The program is structured to ensure consistency and excellence in onboarding, setting new hires up for long-term success.

- Unique features of the initiative: The training journey is divided into daily learning modules and tasks covering key aspects of HFCs, home loans, sales strategies, credit evaluation, collections, and related processes. It familiarises RMs/CSMs with the loan application process, documentation requirements, verification protocols, credit underwriting basics, and risk profiling. Practical business scenarios are integrated to deepen understanding and enhance the application of concepts.

- Impact of the initiative: The program provides a comprehensive introduction to the world of HFCs through HomeFirst's perspective. With its structured daily formatvfeaturing interactive activities, case studies, and quizzes - it enables participants to build strong conceptual knowledge and apply it effectively in real-world contexts. As a result, trainees gain confidence in engaging with customers, assessing creditworthiness, and managing loan portfolios with proficiency.

Centralised Induction

Objective of the Initiative & Brief Process: The two-day induction program in Mumbai is designed to give new employees a comprehensive understanding of their roles, responsibilities, and expectations, while also equipping them with the essential skills and resources needed to

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joining location, thereby reducing reliance on local thrive in their positions.

Unique features of the initiative: The initiative guarantees a uniform onboarding experience for all employees, regardless of their joining location, thereby reducing reliance on local teams for the process.

- It also helps build camaraderie among colleagues nationwide and promotes the sharing of best practices across the organization.
- A highlight of the program is the "CEO Connect", where the CEO personally interacts with new joiners during each induction session, fostering a strong sense of belonging and alignment with the organization's values.

Impact of the initiative: The centralised induction program delivers a wide range of benefits, including standardisation, access to expert knowledge, efficient use of resources, cohort building, performance tracking, and scalability. As a result, it serves as a strategic investment for organizations committed to effective employee engagement. Ultimately, the program drives improvements in employee performance, engagement, retention, and productivity, while also reinforcing the organization's reputation as an employer of choice.

HomeFirst EVO

Objective of the Initiative & Brief Process: All new joiners participate in the EVO program, which is designed to encourage them to unlearn and relearn key concepts relevant to their daily responsibilities at HomeFirst.

Unique features of the initiative:

- The program blends online learning modules with monthly assessments to evaluate the practical application of knowledge.
- Participants complete six tests, each followed by detailed feedback to help identify learning gaps and focus on improvement.

Impact of the initiative: A strong grasp of finance-related concepts is critical for employees in the lending business, enabling them to better serve customers and understand business operations, thereby accelerating productivity. With many freshers joining, the program also helps them build a solid understanding of overall business concepts, boosts their confidence, and creates an engaging, enjoyable learning experience.

9-12 months into the role (So Far So Good)

Objective of the Initiative & Brief Process: After completing six months with the organization, employees are invited to Mumbai for a two-day workshop with the Management. Each participant is given 15–20 minutes to present their performance over the past 6–9 months and share 1–2 ideas to enhance their work. In addition, they receive training from function heads at the Head Office, providing valuable interaction and an opportunity to clarify queries.

Unique features of the initiative:

- Employees completing six months gain a unique platform to share their experiences directly with the Management.
- Participants propose suggestions to improve efficiency and effectiveness, with ideas that drive value creation or process enhancement receiving immediate approval.
- As a young organization, this initiative strengthens connections and encourages open communication about challenges and opportunities.
- Employees benefit from direct engagement with senior leaders and practical insights from function heads, many of whom bring branch-level experience and share actionable strategies for success.

Impact of the initiative: Each workshop typically generates at least two implementable ideas, instilling pride in employees as their contributions are recognised. This recognition motivates future participants to present impactful proposals, fostering a culture of continuous improvement and innovation across the organization.

Continuous Learning and career progression

Objective of the Initiative & Brief Process: The initiative seeks to build a learning organization where individuals can quickly learn, unlearn, and adapt to a dynamic environment. A comprehensive learning journey is carefully designed for every role, integrating knowledge,

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skills, and attitudes to ensure holistic development. This journey is delivered through a mix of internal trainers, external experts, online resources, assessments, and practical application, creating a well-rounded and impactful learning experience.

Unique features of the initiative:

- Functional Leaders as In-House Trainers: Selected functional leaders serve as in-house trainers alongside their primary roles. Leveraging their expertise in central functions, they deliver training grounded in real-world scenarios, offering practical insights and solutions beyond theoretical concepts.
- Learning Integrated with Career Progression: Each learning journey is directly linked to career milestones. For example, successful completion of the RM/CSM (entry-level) program certifies employees to operate in their roles, while completing the Branch Manager program transitions employees from Branch Manager Designate to confirmed Branch Managers.
- HomeFirst Leap: A distinctive career advancement program for employees without an MBA, developed in collaboration with IIM Calcutta. This one-year program equips participants with relevant knowledge and skills, enabling them to compete on par with MBA-qualified peers. It fosters ownership, commitment, and career growth.

Impact of the initiative: By integrating learning with career progression, the initiative promotes a transparent culture that values continuous development and recognizes consistent performance.

Aspire Program

Objective of the Initiative & Brief Process: We have launched a structured program to prepare frontline sales employees for future leadership roles as Branch Managers. This initiative combines technical, functional, and behavioural training with hands-on experience in independently managing a branch.

Unique features of the initiative:

- Designed to foster internal growth and build leaders from the ground up, creating a ripple effect across the organization.
- Branch Managers are entrusted with full Profit & Loss (P&L) responsibility, overseeing sales, credit, service, and collections. This empowers them to lead teams and take on critical leadership responsibilities.

Impact of the initiative: The program has driven one of the highest productivity levels in the industry, fuelled by continuous learning opportunities. Career progression from Relationship Manager to Branch Manager is achieved in just four years - making it the fastest in the industry. This underscores the program's effectiveness in accelerating leadership development and fostering sustainable growth.

Additional training initiatives undertaken during the year:

- Tie-Up with IIM Calcutta for Executive General Management Program: Aimed at equipping employees with essential tools and techniques to navigate real-world business challenges, this one-year MBA program has enrolled 32 employees.
- Sector-specific trainings included Cybersecurity Training, digital HR program, HR Analytics, AI in HR, Digital & AI-Driven Marketing, Goods and Service Tax (GST)
- Campus program on Bank & Finance for Law officers and the Housing Finance Industry

Compliance, conduct and values-based learning

- Gamified training modules on the Code of Conduct, Cybersecurity, POSH and Health & Safety to support holistic employee development.
- Additionally, ESG and BRSR training sessions familiarised employees with the nine principles of sustainable development and emphasised the importance of maintaining sustainable business practices.

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Trainings conducted during the year ended Mar'26

Type of Training	Male Participants	Number of Training Hours	Female participants	Number of Training Hours	Total participants	Number of Training Hours
Work related training (Induction, EVO, SFSG)	1,051	14,476	307	3,432	1,358	17,908
Employee growth/ development related training	839	2,732	396	2,146	1,235	4,878
Ethical standards (such as Code of Conduct, etc.)	4,221	2,111	1,396	698	5,617	2,809
ESG & Climate Change specific trainings	2,258	1,129	753	377	3,011	1,506
IT security/ Data Privacy/ Cyber Security	2,095	1,048	699	350	2,794	1,397
Prevention of Sexual Harassment	2,099	1,050	698	380	2,797	1,430

In the current financial year, a total of 29,927 manhours of training were recorded, compared to 23,963 manhours in the previous fiscal year. Given our workforce's youthful and diverse composition, with a median age of 26.0 years and only four employees aged 50 or above, there is presently no requirement for transition assistance programs to support employability continuity or manage career transitions related to retirement or employment termination.

	Total number of training hours	Total number of employees	Average hours of training that the organization's employees have undertaken during Mar'26
Female	7,382	527	14.01
Male	22,544	1,328	16.98
Total	**29,927**	**1,855**	**16.13**

	Total number of training hours	Total number of employees	Average hours of training that the organization's employees have undertaken during Mar'26
L0 - L2	28,971	1,723	16.81
L3 and above	956	132	7.24

L stands for Level where: L0-L1: Individual Contributors, Frontline staff and Customer Facing roles | L2-L3: First time managers, Manage a team or a department with independent responsibility or a couple of Branches L4-L5: Manage a region or a function with reporting to Zonal Heads or CXOs | L6: Manage a zone or large function, reporting to CXO

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An expenditure of Rs. 3.47 Cr was incurred on training and development during the FY26, compared to Rs. 0.35 Cr in FY25.

Engagement: building connection, ownership and execution speed

We believe that engaged, inspired, and purpose driven employees are the cornerstone of accelerating progress toward our goals. By recognising excellence, fostering continuous dialogue, and creating platforms for inspiration, we foster a culture where every employee feels empowered to contribute meaningfully, ultimately amplifying both individual growth and collective success.

Our focus on authentic communication and inclusive engagement continues to energise our people, enabling innovation, resilience, and a shared journey toward sustainable impact.

At HomeFirst, transparent communication with employees is a core philosophy. We embrace multiple channels, including newsletters, emails, townhalls, physical meetings, and more - to ensure open dialogue across the organization. Senior management actively engages with employees through these forums, encouraging the exchange of ideas, thoughts, and suggestions.

To strengthen this connection, senior management regularly shares company updates, strategies, outlook, and vision while addressing employee queries through "NAOL TV." This initiative fosters closer interactions between management and employees, building trust and alignment across the workforce.

Retention: building stability while scaling

The fourth pillar of human capital management-after recruitment, learning and engagement - is retention. At HomeFirst, we foster a culture of inclusive growth and instil a sense of ownership in every individual, ensuring alignment between personal aspirations and organizational objectives.

Our approach emphasises active engagement, transparent policies on assessment and compensation, and motivation through rewards and recognition. We prioritise employee well-being by cultivating a secure, supportive workplace. Regular quarterly appraisals provide constructive feedback, while our open-door culture encourages employees to voice their ideas and concerns freely.

To further strengthen engagement, we organize competitions throughout the year to boost morale and maintain enthusiasm. Additionally, our NAOL TV series serves as a platform where management addresses employee queries, shares clarity, and communicates the company's vision and future plans.

Employee tenure, or "vintage," is a strong indicator of stability and loyalty within HomeFirst. Notably, around 9% of our workforce has been with us for more than five years-a testament to their long-term commitment and the strength of our culture.

Attrition

Gender	FY26	FY25
Female	153	113
Male	419	328
Total	**572**	**441**

Attrition Rate

Gender	FY26	FY25
Female	30.9%	27.6%
Male	33.5%	31.8%
Total	**32.8%**	**30.6%**

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Attrition (Age and Gender wise) during FY26:

Gender	Under 30 years	30 - 50 years	Above 50 years	Total
Female	134	19	0	153
Male	342	77	0	419
Total	**476**	**96**	**0**	**572**

Attrition Rate (Age and Gender wise) during FY26:

Gender	Under 30 years	30 - 50 years	Above 50 years	Total
Female	31.9%	25.7%	0.0%	30.9%
Male	33.8%	32.7%	0.0%	33.5%
Total	**33.3%**	**31.0%**	**0.0%**	**32.8%**

Attrition (Vintage and Gender wise) during FY26:

Gender	Under 1 year	1 - 3 years	More than 3 years	Total
Female	48	82	23	153
Male	126	189	104	419
Total	**174**	**271**	**127**	**572**

Attrition Rate (Vintage and Gender wise) during FY26:

Gender	Under 1 year	1 - 3 years	More than 3 years	Total
Female	25.7%	40.2%	22.2%	30.9%
Male	24.7%	37.9%	43.0%	33.5%
Total	**25.0%**	**38.6%**	**36.8%**	**32.8%**

Attrition (Level and Gender wise) during FY26:

Level	Male	Female	Total
L0-L2	389	147	536
L3-L4	24	5	29
L5-L6	5	0	5
Management	1	1	2

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Attrition Rate (Level and Gender wise) for FY26:

Level	Male	Female	Total
L0-L2	33.7%	31.7%	33.1%
L3-L4	31.0%	17.5%	27.4%
L5-L6	47.6%	0.0%	41.7%
Management	**15.4%**	**66.7%**	**25.0%**

L stands for Level where: L0-L1: Individual Contributors, Frontline staff and Customer Facing roles | L2-L3: First time managers, Manage a team or a department with independent responsibility or a couple of Branches L4-L5: Manage a region or a function with reporting to Zonal Heads or CXOs | L6: Manage a zone or large function, reporting to CXO

Rewards & Recognition

The Company values the dedication and engagement of its employees, recognising their efforts through a range of incentives and recognition programs. These rewards are presented quarterly, based on individual achievements, while contests are organized to inspire healthy competition and spotlight the accomplishments of both high-performing individuals and teams.

The pinnacle of the year is the annual Employee Meet-a two-day celebration of exceptional contributions. This event features an awards night, where employees are honoured for their outstanding performance, creativity, and collective growth, making it a true highlight of the organizational calendar.

Performance Appraisal Program

At HomeFirst, building careers begins with helping our people understand where they currently stand in terms of their skills and capabilities, identifying where they want to go, and mapping out the path to get there.

We facilitate this journey through regular career development conversations between employees and their managers. These discussions help individuals explore their strengths, identify areas for growth, and share their career aspirations. The insights from these dialogues feed into broader talent planning to shape personalised development opportunities and career pathways. To reinforce these conversations, we conduct half-yearly performance check-ins that not only assess progress against set goals but also look ahead to identify ways to drive further impact and growth.

Target Setting and Incentive Processes

Collaborative Target Setting: Targets are established centrally in consultation with teams, with managers contributing local insights to ensure relevance. Incentive achievement percentages are communicated well in advance, allowing employees to review and provide feedback on individual cases.

Timely Incentive Disbursement: Incentives are consistently released on a quarterly basis (e.g., April–June incentives are paid with the August salary). This predictability enables employees to plan their financial commitments with confidence.

Goal-Setting Approach

Bottom-Up Contribution: Teams actively participate in the goal-setting process, presenting targets backed by data on ground realities and complexities. This fosters ownership and motivates discretionary effort.

Transparency and Open Dialogue: The goal-setting exercise is fully transparent, with data openly shared and discussed across the organization. Achievements against targets are communicated to individual teams, with confirmation taken on both the results and the process of arriving at them.

Scorecard-Based Measurement: A comprehensive scorecard ensures that all critical organizational

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parameters are represented. Individual weightages help employees prioritise key areas while understanding the interconnections between parameters.

Fair Evaluation Model: Performance is assessed logically, without forced rankings or subjective judgments. By measuring both qualitative lead indicators and quantitative lag parameters, the model ensures alignment between individual performance and organizational success in a transparent and equitable manner.

Impact of Initiative

We have consistently ensured timely and efficient information dissemination, even while operating with limited central resources. Our resource ratio-between business delivery and support functions-remains among the strongest in financial services companies of comparable size.

To recognise and reward performance throughout the year, we offer performance-linked variable pay, competitive salary increments, and clear promotional opportunities. These initiatives not only acknowledge employee contributions but also provide stability and motivation, particularly in navigating the challenges of a volatile job market.

Diversity, Equity and Inclusion

We are strongly committed to embedding diversity, equity, and inclusion seamlessly into our people strategy. Our approach emphasises hiring the right individuals for the right roles and equipping them with comprehensive training to achieve exceptional performance. We cultivate a diverse workplace and uphold our responsibility as an equal-opportunity employer.

This commitment is formalised in our Equal Opportunity Policy, which ensures that hiring, training, development, and promotions are based solely on merit, skills, and capabilities. We also adhere to the principle of Equal Pay for Equal Work, eliminating any form of discrimination based on gender or other factors.

Our Diversity & Inclusion Policy reinforces these values, reflecting our pledge to treat all employees and applicants fairly and equitably, while advancing equality and conducting business in alignment with the principles of social justice, respect, and freedom of expression.

Through our policy, we reaffirm our commitment to:

Promoting Gender Equality: HomeFirst is dedicated to removing gender barriers in career opportunities and advancement. We ensure fair representation of all gender identities throughout recruitment and remain steadfast in preventing gender disparity.

Reflecting Customer Diversity: As our customer base becomes increasingly diverse, we strive to build a workforce that mirrors this diversity. This alignment helps us anticipate customer needs more effectively and strengthen community connections through local talent sourcing.

Ensuring Equal Opportunities and Pay: We are committed to providing equal remuneration for women and men performing work of equal value, considering role requirements, performance, qualifications, experience, and market dynamics. To uphold pay equity, we conduct annual reviews of our compensation practices.

Workforce Composition: Women currently represent 28.4% of our total workforce, underscoring our ongoing efforts to foster inclusivity and diversity across the organization.

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Women in our workforce as at Mar'26

Gender	FY26	FY25
Percentage of women in the total workforce	28.4%	28.3%
Percentage of women in the Head Office	47.7%	49.5%
Percentage of women in Management	14.3%	22.2%
Percentage of women in Board of Directors	28.6%	25.0%

Function-wise cuts of women employees as at Mar'26

	% Women Employees	
Level	**FY26**	**FY25**
Corporate (Management Team)	14.3%	22.2%
Finance	45.0%	38.1%
Human Resource	68.2%	70.6%
Credit	48.6%	46.2%
Administration, legal/secretarial/audit/others	53.5%	62.7%
Marketing	46.4%	52.2%
IT and Digital Business	44.7%	43.7%
Branch	24.3%	24.5%

Level-wise cuts of women employees as at Mar'26

	% Women Employees	
Level	**FY26**	**FY25**
L0-L2	28.8%	28.4%
L3-L4	24.8%	29.3%
L5-L6	16.7%	8.3%
Management	14.3%	22.2%

As our operations are exclusively based in India, our entire workforce comprises Indian nationals. However, we represent a diverse range of geographies and ethnicities from across the country. Please refer to our geographic presence on page 15. for a detailed map showcasing our branch presence across India.

Human *Capital*

Promoting Equal Opportunity:

Our Equal Opportunity Policy embodies the organization's steadfast commitment to fostering equality and conducting business in accordance with the principles of social justice, respect, and freedom of expression.

Hiring Practices:

We are focused on merit-based hiring practices, ensuring that all employment decisions are free from discrimination based on age, race, gender, religion, marital status, or disability.

Gender pay parity:

The Company is dedicated to ensuring that employees performing similar job functions receive equitable pay, regardless of gender, race, ethnicity, or any other status. To support this principle, we maintain a compensation system that is transparent, impartial, and grounded in objective criteria.

Ratio of basic salary and remuneration of women to men as at Mar'26

	Mar'26	Mar'25
Management	1.33	1.07
Non-Management		
Branch – Sales	1.09	1.07
Branch – Service	0.99	1.00
Head Office L0-L2	0.86	0.84
Head Office L3-L4	0.97	0.95
Head Office L5-L6	0.59	0.63

L stands for Level where: L0-L1: Individual Contributors, Frontline staff and Customer Facing roles | L2-L3: First time managers, Manage a team or a department with independent responsibility or a couple of Branches L4-L5: Manage a region or a function with reporting to Zonal Heads or CXOs | L6: Manage a zone or large function, reporting to CXO

Promoting Human Rights & Non-discrimination

At HomeFirst, respect for human rights is a fundamental value. We are committed to supporting, protecting, and promoting these rights to ensure ethical and fair business and employment practices. We strive to provide workplaces that are free from violence, harassment, and unsafe conditions, with policies designed to safeguard the privacy and dignity of every individual.

We maintain a strict zero-tolerance stance against slavery, forced labour, child labour, human trafficking, or any form of abuse. Notably, in FY26, HomeFirst did not receive any complaints related to workplace discrimination, child labour, forced labour, wages, or other human rights concerns.

HomeFirst also enforces a zero-tolerance policy toward sexual harassment in the workplace. We have established clear and accessible reporting channels and implemented a robust Prevention of Sexual Harassment (POSH) policy. To foster a safe and supportive environment for women, our Internal Committee is chaired by a women member, ensuring that complaints can be raised with confidence and comfort.

Cases of Sexual Harassment at the Workplace	No. of complaints in FY26
Cases of Sexual Harassment	0

Cases of Discrimination at Workplace	No. of complaints in FY26
Discrimination Complaint	0

Human *Capital*

Freedom of Association

HomeFirst upholds every employee's right to seek grievance redressal through lawful means and has established effective mechanisms to support this process. In addition, we have created employee groups that bring together individuals from diverse backgrounds, affinities, and skill sets. These groups encourage community participation, collaboration, networking, and cultural enrichment, thereby strengthening engagement across the organization.

Employee Survey

We undertake an Employee Engagement Survey to measure the progress on various dimensions. This helps us gather structured inputs and insights from our employees, while enabling them to express their opinions and suggest improvements. Insights from these surveys shape initiatives that keep employees motivated and aligned with our organizational goals.

Employee Engagement Surveys: We regularly conduct internal engagement surveys to assess employee satisfaction and identify opportunities for improvement.

Spotting Early Signs of Discontent: To sustain a positive workplace culture and ensure employee well-being, we place strong emphasis on recognising early indicators of dissatisfaction. This proactive approach helps us address concerns promptly and maintain a supportive environment where employees feel valued and motivated.

Beyond Surveys: Rather than relying solely on engagement surveys, we take a deeper approach to uncover the root causes of employee dissatisfaction. This proactive focus helps us reduce attrition early on. By actively listening and responding to concerns, we strive to create a workplace where every employee feels valued and heard.

Recruitment Surveys: Administered as soon as an offer is extended, these surveys capture feedback on the recruitment experience-from the clarity of job descriptions to the efficiency of communication channels. The insights gained allow us to continuously refine our processes and enhance the overall candidate journey.

	Participated	No. of happy employees	%
Recruitment Survey - Statistics	1,073	1,029	96%

Onboarding Surveys: Conducted on the employee's first day, this survey assesses the onboarding experience, focusing on the clarity of instructions and the adequacy of support provided.

	Participated	No. of happy employees	%
Onboarding Survey - Statistics	1,176	1,066	91%

30-Day Survey: Conducted one month after joining, this survey evaluates how comfortable employees feel with their job responsibilities, their satisfaction with training programs, and their integration into the team culture.

	Participated	No. of happy employees	%
30-day survey Survey - Statistics	1,096	813	74%

90-Day Survey: Conducted three months after joining, this survey evaluates employee satisfaction with role clarity, team collaboration, and alignment with organizational goals.

	Participated	No. of happy employees	%
90-day survey Survey - Statistics	891	694	78%

Human *Capital*

Employee Physical Well-being

At HomeFirst, employee well-being is more than a benefit; it is a commitment we uphold through every stage of life. Our comprehensive benefits include offerings ranging from preventive annual check-ups and insurance coverage for OPD visits, hospital stays, and emergencies - for both employees and their families. We also provide life and accident insurance to offer added peace of mind.

Medical insurance | Life insurance | Personal Accident & Disability Insurance| Health check-ups

Employee Mental Well-being

To support our employees' emotional and mental well-being, we have collaborated with 1to1 help, giving employees access to 24/7 counselling services through the Employee Assistance Program. This initiative offers around-the-clock support for employees and is available in multiple languages. Webinars focusing on topics such as stress management and work-life balance are also conducted.

Yoga sessions are also conducted at the Head office, focused on mobility, mindful breathing, light stretching, and relaxation to refresh the body and mind. A one-hour, well-being program designed to lift energy, with simple guided movements, sensory rest techniques and breath-based practices was also arranged at the Head office.

24/7 Counselling access | Yoga sessions | Well-being program

Employee Financial Well-being

We offer a well-rounded rewards package that combines competitive fixed compensation with performance-driven incentives. We structure incentive compensation around individual and company performance, using a combination of strategic and operational KPIs. For leadership and senior executives, compensation includes fixed pay, variable pay, and equity, with stock grants aligned with performance outcomes.

To support employees in making informed financial decisions, the organisation periodically conducts Financial Wellness Sessions in collaboration with external experts. These sessions aim to create awareness around tax planning, savings, and investment options, helping employees better manage their personal finances and plan for long-term financial security.

Fair and competitive remuneration | Retirement benefits | Performance-linked bonus | Loans at subsidised interest rates | Financial Wellness Sessions

Health & Safety

HomeFirst have a board-approved Employee Health & Safety Policy, designed to ensure a safe and healthy work environment for all employees. In line with this commitment, we regularly conduct Health & Safety training programs, equipping employees with the knowledge and practices needed to maintain workplace safety and well-being.

Employee Benefits

HomeFirst is committed to supporting its employees by offering comprehensive benefits, including health insurance, group accident coverage, and maternity/ paternity support.

All employees are covered under the Employees Provident Fund, a defined contribution plan in which both the employee and the Bank contribute monthly.

To honour long-term commitment, we have a Loyalty Edge Program (5vy Club), celebrating employees who have completed five years or more with us. Members of the Elite 5vy Club enjoy exclusive benefits such as additional leave, domestic travel packages, and enhanced insurance coverage. Milestones between six and ten years of service are marked with specially curated hampers, ensuring long-serving employees feel valued and appreciated.

Our comprehensive compensation framework includes salaries, allowances, and performance-linked bonuses. Employees also benefit from our Employee Stock Option (ESOP) scheme, which covered 13.6% of the workforce as of Mar'26. In the unfortunate event of an employee's passing, ESOPs vest immediately with their nominee, reinforcing our commitment to employee welfare.

Human *Capital*



Employee Meet









Human *Capital*



Garba



Women's Day





Diwali



Christmas



Christmas

Human *Capital*

Additionally, 24 employees have opted to invest in the National Pension Scheme (NPS), reflecting our focus on long-term financial security and retirement planning.

Category	% of Employees covered by				
	Total (A)	ESOPs		NPS	
		Number (B)	% (B/A)	Number (C)	% (C/A)
Male	1,328	183	13.8%	14	1.1%
Female	527	70	13.3%	10	1.9%
Total	**1,855**	**253**	**13.6%**	**24**	**1.3%**

Data for the year ended Mar'26

Parental Support Policy

Category	% of Employees covered by								
	Total (A)	Health Insurance		Accident Insurance		Maternity Benefits		Paternity Benefits	
		Number (B)	% (B/A)	Number (C)	% (C/A)	Number (D)	% (D/A)	Number (E)	% (E/A)
Male	1,328	1,328	100%	1,328	100%	NA	NA	1,328	100%
Female	527	527	100%	527	100%	527	100%	NA	NA
Total	**1,855**	**1,855**	**100%**	**1,855**	**100%**	**527**	**100%**	**1,328**	**100%**

Putting people first has always been at the heart of what we do, and our approach to parental leave reflects that outgoing commitment.

Maternity Leave: Female employees are entitled to up to 26 weeks of paid maternity leave for their first two children. For subsequent children, they are eligible for up to 12 weeks of paid maternity leave.

Paternity Leave: Male employees can avail of up to seven working days of paid leave within two months of the birth of their child.

Adoption Leave: Both male and female employees serving as the primary caregivers for an adopted child below the age of one year are eligible for up to six weeks of paid leave.

Gender	Return to work rate	Retention rate
Male	100.0%	66.7%
Female	100.0%	53.3%
Total	100.0%	60.0%

Human *Capital*

Gender	No. of employees who resumed work in FY25 post parental leave	Still employed 12 months after their return to work
Male	15	10
Female	15	8

Gender	Parental leave availed in FY26	No. of employees who resumed work in FY25
Male	24	24
Female	14	8
Total	**38**	**32**

Employee CSR

Our commitment to corporate social responsibility is exemplified through our Employee-Driven CSR initiative. Employees who have completed three or more years with HomeFirst are encouraged to nominate causes they deeply value, enabling meaningful contributions to the community while strengthening team cohesion. This initiative reflects our belief in honouring loyalty and empowering our people to make a difference beyond the workplace. At HomeFirst, we strive to create an environment where employees are recognised, supported, and inspired to excel both personally and professionally.

Responsible Product *Offering*

Core Philosophy

At HomeFirst, sustainability begins with the product itself. A home loan is a long-term commitment for the borrower, and responsible product design ensures that this commitment remains manageable over time.

Our approach is anchored in three principles:

- Transparency and informed choice: customers should know what they are signing up for - clearly, upfront, and in a language they understand.
- Suitability and affordability: We lend responsibly, ensuring credit is extended based on realistic repayment capacity and prudent assessment of income and stability.
- Governance and accountability: strong policies, clear escalation mechanisms, continuous training, and monitoring to prevent and address mis-selling or unfair outcomes.

Transparency in customer communication

Communication is central to our service. Customers receive clear and comprehensive information on loan features, pricing, and obligations at every stage of the journey.

Documents such as the Schedule of Charges, Most Important Terms and Conditions (MITC), and Key Fact Statement (KFS) are made easily accessible across branches and digital platforms. To improve understanding, vernacular versions of the MITC are also available so customers can review loan terms in their preferred language.

Key transparency practices include:

- Pre-sanction clarity: Relationship Managers explain loan parameters, repayment terms, applicable charges and key conditions during onboarding.
- Post-approval confirmation: Customer Service Managers reiterate the essential terms after approval to ensure complete understanding.
- Documentation discipline: Loan agreements outline detailed conditions; the KFS and MITC highlight critical parameters and are explained before signing.
- Vernacular accessibility: Vernacular versions of MITC are provided to support understanding in the customer's preferred language.
- Post-disbursal visibility: Customers can access key loan details through the HomeFirst Customer Portal for easy reference.

Detailed product features, interest rates, fees, and eligibility criteria are made readily accessible on our website www.homefirstindia.com. Our customers can also find a list of frequently asked questions (FAQs) https://homefirstindia.com/faqs to help them make informed decisions.

Fairness and suitability in lending

Responsible products require more than disclosures. They require disciplined lending and consistent customer treatment.

At HomeFirst, we focus on suitability and affordability through:

- Prudent underwriting aligned to repayment capacity, with evaluation of income stability and household cash flows.
- Clear articulation of obligations so customers understand EMIs, timelines, charges and scenarios where costs may change.
- Avoiding adverse customer outcomes such as over-extension of credit, hidden charges, or ambiguity around repayment.

We aim to ensure that customers experience our products as predictable and fair; not merely compliant.

Responsible Product *Offering*

Consent-driven communication and fair advertising

We proactively inform customers about product features, promotional offers and additional benefits with a strong emphasis on consent and customer preference.

We follow a board-approved Fair Advertising Policy to ensure our communication remains ethical, balanced and non-misleading.
Policy link: Fair Advertising Policy

This includes:

- avoiding exaggerated claims or fine-print dependency
- ensuring key terms are not obscured
- maintaining discipline in scripts and disclosures used in the field

Strong risk governance

Responsible lending requires disciplined risk management. In line with RBI guidelines for Middle Layer Housing Finance Companies, HomeFirst conducts periodic internal assessments of capital adequacy relative to the risks inherent in its operations.

Our Internal Capital Adequacy Assessment Process (ICAAP) policy evaluates both quantitative and qualitative risk parameters across customer profiles and portfolio performance. Oversight is provided by the Risk Management Committee, which reviews risk exposures and mitigation measures to ensure alignment with regulatory and organizational standards.

Our comprehensive risk management framework and mitigants are disclosed in the Integrated Annual Report FY26

Reference pages: Risk and mitigants – page 205; Risk metrics – page 38.

Board & Policy Oversight

HomeFirst operates under a board-approved Fair Practice Code (FPC). The Code emphasises clarity, timeliness, and responsiveness across customer touchpoints -marketing, loan processing, sanctioning, servicing, and complaint resolution aligned with applicable regulatory expectations. The Code is reviewed annually and reinforced through training, meetings, and periodic updates.

Product governance

To strengthen responsible outcomes at scale, product governance is executed through a structured lifecycle:

- Design and review: product features and pricing are evaluated for fairness, simplicity and suitability.
- Approvals: cross-functional sign-offs ensure compliance, operational readiness and customer clarity before launch.
- Roll-out readiness: training, scripts and documentation checks are completed before field deployment.
- Ongoing monitoring: we track quality indicators such as complaint trends, cancellation patterns, operational deviations, and early delinquency signals.
- Corrective action: gaps trigger retraining, process fixes, vendor action (where relevant), and governance escalation.

Quality Evaluation and Continuous Improvement

We believe responsible products require continuous evaluation, and not a one-time design.

A board-approved Credit Policy guides the design and monitoring of our products to ensure they remain market-relevant and aligned with responsible practices.

Quality evaluation is integrated with our broader risk management framework, enabling consistent oversight and accountability.

The Credit Committee conducts regular evaluations of product quality, customer profiles, and portfolio

Responsible Product *Offering*

performance. Training programs for credit officers strengthen their ability to assess and manage risks effectively while maintaining fairness and efficiency.

Quality evaluation is integrated with our broader risk management framework, enabling consistent oversight and accountability.

Customer-centric product design

Customer centricity shapes every stage of the lending journey. By understanding the financial realities of first-time homebuyers and borrowers in the informal or semi-formal economy, our teams structure loans that are aligned with repayment capacity and long-term affordability.

We track customer satisfaction through Net Promoter Score (NPS) and use customer feedback to improve processes and experiences.

NPS reference:

Integrated Annual Report FY26, page 31.

Grievance redressal (accountability in action)

A robust grievance redressal mechanism ensures customer concerns are addressed promptly and fairly. We treat complaints as an opportunity to improve and ensure corrective actions are implemented swiftly.

Technology-Driven Enhancements

We leverage digital tools and analytics to deliver smarter, faster and more personalised customer experiences. Continuous monitoring of KPIs - such as loan approval timelines, service turnaround times and portfolio signals (default rates)—helps us identify bottlenecks, streamline processes, and improve customer outcomes.

Advancing financial inclusion

Our product offerings are designed to expand access to homeownership for underserved communities.

Women play a significant role in this journey, with women borrowers accounting for approximately 90% of our portfolio, including 13% as primary applicants and 80% as co-borrowers.

Our simplified processes and tailored loan products also support customers in the EWS and LIG segments, helping address affordability barriers and enabling more families to participate in formal housing finance.

Complementing these efforts, initiatives such as ***Project Sashakt*** extend support to migrant communities through programmes focused on livelihoods, education, health, and financial awareness.

Through responsible product design, transparent communication, and disciplined risk management, we continue to support sustainable homeownership while expanding access to housing finance for the communities we serve.

Promoting Financial *Inclusion*

Over the years, HomeFirst has built a product that meets the customer where they are, while taking on the complexity of execution ourselves through a dynamic approach to income assessment. Our offering serves a diverse range of customers who value service and speed, which are among the best in the housing finance industry. Because of the way we operate, we are proud to be the convenient choice for customers in the EWS and LIG segments–communities that remain largely underserved–constituting around 59% of our loan book.

These customers are typically first-time homebuyers. Beyond income profiles, they often require a customised approach – one that is guided, patient, and supportive at every step. A flexible product offering and holistic underwriting address varied income patterns, while service and consistent engagement help ease the uncertainty that often accompanies a first home purchase.

The practices we follow remain consistent across income groups, economic cycles, and changing macroeconomic conditions. At the heart of the process are simple human needs – clarity, trust, and reassurance. Our model is designed to accommodate these needs naturally.

Lending to All

HomeFirst has always designed its lending process to work for anyone seeking a home loan. Our holistic approach accommodates different income patterns and work profiles, while ensuring that the process fits the customer's convenience and time.

Here's how we are expanding access to formal lending through our approach:

- Simplified Processes: We have designed loan products that are easy to understand and accessible to customers with limited financial literacy. Our digital-first approach reduces paperwork and accelerates approvals, ensuring that more families can participate in the formal credit ecosystem.

- Customized Solutions: Recognizing that many of our customers lack conventional income documentation, we evaluate repayment capacity through alternative data points. This flexibility allows us to responsibly serve segments traditionally overlooked by mainstream lenders.

- Technology Enablement: Our platforms leverage automation and analytics to streamline underwriting, enhance transparency, and deliver faster turnaround times. This ensures that financial inclusion is not hindered by operational bottlenecks.

Providing Non-Financial Support

Financial inclusion encompasses more than just providing loans; it also involves offering non-financial support to help individuals navigate the complexities of homeownership. Through our corporate social responsibility (CSR) program, our commitment extends to initiatives that uplift migrant workers and foster socio-economic development. Our programmes focus on employment-oriented skill development, access to healthcare, education and development, and financial literacy. These priority areas have been strategically identified to address immediate social needs while also enabling long-term socio-economic development by generating employment, thereby laying the foundation for inclusive, equitable, and sustainable growth.

Through our flagship initiative, ***Project Sashakt***, we address areas such as skill development, employment opportunities, children's education, school development, healthcare, and financial literacy. These efforts empower migrant workers in Narol, Naroda & Lamba (Ahmedabad) to achieve more sustainable incomes.

In partnership with the Suryoday Foundation, we have launched programs to promote financial literacy in six schools. By encouraging students to share these lessons with their families, we aim to spark awareness and enhance digital literacy at the household level. With a focus on money management, savings strategies, and long-term financial planning, we empower young individuals to tackle financial complexities effectively.

An integral part of the program includes connecting families with government initiatives to unlock potential benefits. For further details on our CSR initiatives, please refer to the Social and Relationship Capital Management section on page 118.

Promoting Financial *Inclusion*

Inclusion through our people

Meeting the customer where they stand requires a deep understanding of their backgrounds, livelihoods, and financial journeys. Our Relationship Managers and Customer Service Managers work closely with customers and their families to understand each case in detail.

HomeFirst equips them with the knowledge, soft skills, and curiosity required to do so through structured training and a strong work culture. We provide ongoing training on topics such as cultural sensitivity, diversity awareness, and customer-focused communication. By this, we ensure they are prepared to address the diverse needs of our customers with empathy and professionalism.

Structured training programs such as **Induction**, **T-50**, and **EVO** focus on building domain expertise and customer engagement capabilities. More advanced programs, including **Advanced Lending Workshops**, support experienced employees as they transition into leadership roles through initiatives such as "**So Far So Good**" and "**Aspire**."

During FY26, we invested Rs. 3.47 crore in training and development, a significant increase from Rs. 0.35 crore in FY25. Through these efforts, we ensure our teams uphold the highest standards of inclusive practices across the organization.

Further details on these initiatives are provided in the Human Capital Management section on page 89 of the Integrated Annual Report FY26.

Her Homeownership

It is only in the past few years that we have seen a shift in the property ownership from male-dominated.

In FY26, 13% women were the primary applicants, and 80% women were co-applicants in their home loan.

By designing a process that benefits from the inclusion of the entire family, we have nudged the participation of the entire family in the application process and home ownership.

Once she has the same amount of stakes in the loan, her position in the family changes because of the shared responsibility and the dignity and power of ownership. Inclusion in financial accounts and assets remains one of the strong counterforces in a largely patriarchal society.

Housing for All with PMAY 2.0 and HomeFirst

Government initiatives continue to play an important role in expanding access to housing.

While schemes such as Pradhan Awas Yojana define the beneficiaries, mandate women's ownership, and provide the subsidy framework, the responsibility of delivering these benefits meaningfully to customers rests with housing finance institutions.

Ensuring that customers can fully realise these benefits requires a flexible process that integrates the scheme into the lending journey and supports customers through each step. In line with this vision, during the time of PMAY 1.0, we enabled 38,507 customers to avail subsidy benefits through the National Housing Bank (NHB), resulting in a cumulative credit of ₹966 crore to their accounts and reducing loan amounts by over one-fourth for eligible beneficiaries. Till date, we have successfully enabled 296 customers to benefit from PMAY 2.0.

PMAY has furthered the 'Housing for All' mission, and we remain committed to delivering it to the end customer.

Inclusion and Sustainability

Our approach to financial inclusion also integrates environmental and operational sustainability.

- Green Financing to promote climate-efficient green homes: HomeFirst has raised long-term funding from global development institutions such as IFC to finance climate-efficient green homes. To ensure faster and hassle-free adoption, we have introduced the "Green Box" Initiative – our flagship initiative designed to streamline and expedite the certification of Green Homes.

Promoting Financial *Inclusion*

As of March 2026, we have successfully certified 450 Green Homes, doubling our portfolio from 120 homes in March 2025.

- Digital Adoption: Promoting paperless transactions is a powerful way to reduce environmental impact while enhancing customer convenience, as it eliminates unnecessary paper waste, lowers the carbon footprint from printing and distribution, and streamlines operations with faster, more secure digital processes; at the same time, customers benefit from instant access to receipts and records, simplified expense tracking, and seamless integration with apps. This helps to ensure operational eco-efficiency and climate resilience.
- Sustainable Finance to promote women's welfare: HomeFirst has secured long-term funds from the global development institution, the US DFC, to promote affordable housing mortgage loans to women borrowers. Of USD 75 Mn, USD 55 Mn has been availed by the Company under the said facility.

As India continues its journey toward inclusive growth, HomeFirst Finance is committed to playing a pivotal role. Our vision is clear: to ensure that every aspiring homeowner, regardless of income level or employment type, has the opportunity to participate in the formal financial system.

Intellectual Capital *Management*

In housing finance, resilience is built not only through capital and distribution, but through the strength of underlying technology infrastructure and knowledge systems. At HomeFirst, technology is not a support layer; it is the engine that drives how we operate. Every customer interaction, credit decision, field engagement, and risk evaluation is powered by deliberate, outcome-focused technology built in-house, owned end-to-end, and continuously evolved.

Our cloud-enabled hybrid architecture brings together data, applications, and intelligence into a unified ecosystem. This ensures that every team, from underwriting and sales to collections and operations, works in sync and with the right tools to act with speed and confidence.

The result is a business that scales with discipline, adapts seamlessly to changing environments, and consistently delivers high-quality outcomes, enabling us to serve more customers without compromising on control, efficiency, or trust.

Technology Infrastructure

A home built for every season needs foundations engineered to last. HomeFirst's technology infrastructure follows the same principle, a cloud-enabled hybrid architecture designed for dependability, scalability, and adaptability as markets, customer expectations, and regulatory landscapes evolve.

Our platform operates on a combination of SaaS and PaaS models, with Salesforce as our primary managed application layer and Amazon Web Services underpinning our development and infrastructure environment.

These platforms provide several important capabilities that support HomeFirst's digital ecosystem:

- Cloud-native and scalable architecture, ensuring accessibility, automatic updates, and high system availability.
- Low-code and no-code development capabilities, enabling faster deployment and customisation of applications to meet evolving business needs.
- Strong security and compliance features, including robust data protection, encryption mechanisms, and access control frameworks.
- API-enabled architecture, allowing seamless integration with third-party platforms and external technology systems.
- Multitenant architecture, which isolates and simultaneously supports multiple organizational environments such as different business units while maintaining security, data integrity, and a customised application experience for each tenant.

Loan Origination and Management

Our Loan Origination System covers the complete lending lifecycle - from lead generation and bureau checks through digital verification, document management, credit underwriting, legal and technical property evaluation, and disbursement. Cross-sell capabilities, loan closures, and integrated dashboards providing real-time business insights are all embedded within the same system, eliminating handoff friction across the customer journey.

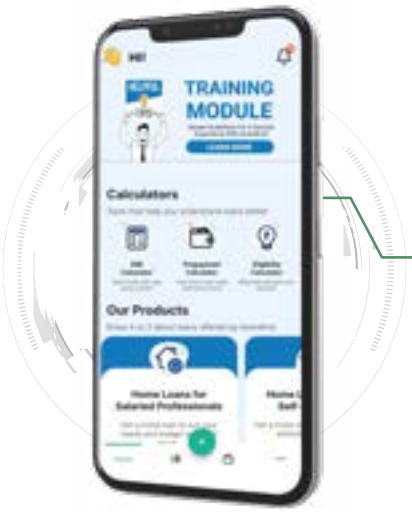
Complementing this is our Loan Management System, which handles loan booking, interest accruals, amortisation schedules, billing, collections, restructuring, and pre-closures across home loans, top-up loans, and insurance loan products. LMS feeds into our accounting systems and is being further integrated to enable seamless connectivity between operational and financial infrastructure - with full interoperability across LOS and mobility platforms, ensuring a consistent experience at every touchpoint.

Mobility Solutions

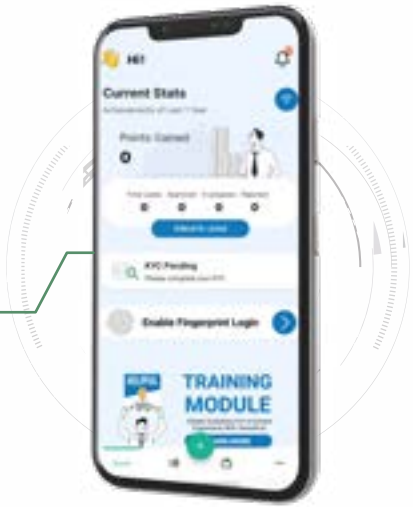
HomeFirst's mobility ecosystem is built around the distinct needs of its three primary users - customers, channel partners, and field teams, with each platform designed to reduce friction, improve transparency, and support faster decision-making.

Each platform has achieved meaningful adoption, with users managing loans, tracking applications, processing payments, and handling field operations digitally.

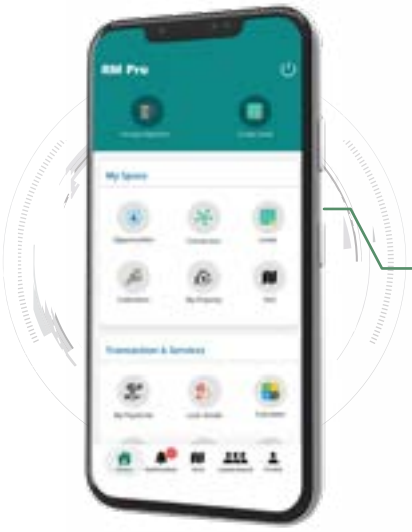
Intellectual Capital *Management*



HomeFirst Customer App allows borrowers to manage their home loans end-to-end from a single interface. Customers can track loan status in real time, make EMI payments, upload documents, and raise service requests digitally, removing the need for branch visits across routine loan management activities.



HomeFirst Connect is the dedicated platform for business and channel partners. It enables lead management, real-time tracking of loan applications, document uploads, and direct communication with relationship managers. The platform has improved operational efficiency across the partner ecosystem by bringing visibility and coordination into a single, accessible interface.



HomeFirst RM Pro supports Relationship Managers (RM) in their day-to-day field operations. Through the application, RMs can collect customer payments, onboard new connectors, record and process loan applications, update KYC information, and track progress in real time. Data flows upward through the sales hierarchy, giving leadership visibility into field activity while continuous user feedback drives ongoing enhancements to the platform. Offline capability ensures that customer visits can be completed and recorded even in areas with limited connectivity.

The next phase is about making these platforms genuinely easier to use and more intelligent in practice. AI is being integrated into workflows across all three applications, enabling users to act faster without navigating. Voice enablement is being introduced across platforms, allowing customers, partners, and field teams to interact naturally rather than through manual data entry, a particularly meaningful shift for RMs, Channel partners operating in the field, where speed and simplicity directly affect productivity.

Intellectual Capital *Management*

Business Transformation and Digitisation

Our in-house Lead Management System has materially improved lead tracking, response times, and conversion rates. Built and owned internally, it integrates with WhatsApp and SMS campaign infrastructure via CUE, a proprietary, in-house communication platform, reducing vendor dependencies and preserving the flexibility to adapt as business requirements evolve.

Across operations, customer verification, fraud checks, e-NACH mandates, e-signing, e-stamp documentation, and e-vaulting have all been digitised through API integrations with authorised aggregators, creating a paperless, straight-through processing framework that improves efficiency while maintaining data integrity at every step. Every process that once required physical presence or manual intervention has been re-engineered for a digital-first environment, without sacrificing the compliance rigour that responsible lending demands.

Analytics, Automation, AI and Agentic Infrastructure

At HomeFirst, technology is adopted with a single filter: does it deliver measurable business value?

Digital platforms and advanced analytical models are mapped to every key stage of the customer lifecycle, from lead generation and onboarding to servicing, collections, and retention, with each one designed to diagnose current trends, predict future behaviour, and surface the most effective next-best action.

The result is a data-driven decision framework that does not just report what has happened, but actively shapes what happens next.

Analytics

Seeing the Signals Behind Every Season

A home loan decision is only as good as the information behind it. Every season brings different signals like rising delinquencies in a slowdown, a surge in first-time buyers when confidence returns, and geographic pockets of demand that appear long before they show up in headlines. Our analytics infrastructure is built to read these signals before they become visible to the naked eye.

We have engineered a fault-tolerant, horizontally scalable data architecture that unifies structured and unstructured data across internal systems and third-party sources into a single, lineage-traced source of truth. This foundation powers analytics, reporting, and machine learning workloads across all business functions - translating data signals into decision velocity at scale.

Our geotagged property dataset adds another layer of precision. By anchoring loan-to-value assessments at the asset level, we reduce appraisal subjectivity and compress turnaround times, particularly meaningful in markets where property values shift with local infrastructure, seasonal demand, or micro-geography.

Automation

Reliability When Conditions Change

Our automation strategy is built on three pillars: frictionless customer journeys, intelligent process orchestration, and enterprise-grade scalability, all within a compliance-first framework. The ambition is not to automate for its own sake, but to ensure that the quality and consistency of our service holds regardless of volume, geography, or external conditions.

Core workflows - bureau reporting, eligibility checks, underwriting, payment reconciliations, and clearances, run on automated systems with validation checkpoints and immutable audit trails embedded natively. Data integrity and regulatory alignment are enforced at the point of execution, not reviewed after the fact.

Our Analytics Integration Layer combines customer behavioural data, predictive models, and embedded business logic to power near real-time decisioning. This enables contextual cross-sell, dynamic pricing, and instant eligibility assessments across the credit lifecycle - capabilities that allow us to respond to customers when their need is live, not when a process has caught up.

Intellectual Capital *Management*

Artificial Intelligence and Agentic Infrastructure

Intelligence That Supports Human Judgment

AI at HomeFirst is becoming an operating layer running across the entire customer lifecycle, from first inquiry to final closure. Specialised AI agents handle document understanding, application collation, and anomaly detection, compressing multi-day processes into minutes. Machine learning models trained on demographic, financial, behavioural, and third-party data drive credit risk assessment, EMI bounce forecasting, early closure prediction, and lead conversion scoring, keeping the business focused on high-impact decisions and allowing our teams to work where human judgment matters most.

Last season, we built the infrastructure for this, laying the foundations for dynamic, scalable AI adoption, evaluating and integrating the best-fit tools capable of evolving with a fast-changing technology landscape.

This season, the focus shifts to outcomes. We are making decisions more consistent, more accessible, and more trustworthy, with personalised interactions at scale and models that explain their reasoning rather than simply produce an output. Explainability. Ethical governance. Human accountability at the final mile. These are not constraints on our AI strategy. They are the architecture of it.

Future-Ready Technology Architecture

By leveraging open-source technologies and continuously evolving digital frameworks, HomeFirst ensures that its technology ecosystem remains resilient, cost-efficient, and aligned with global advancements.

Through the combined strength of mobility platforms, analytics tools, automation systems, and AI capabilities, intellectual capital continues to act as a core enabler of operational efficiency, innovation, and long-term value creation at HomeFirst.

Social & Relationship *Capital*

Project Sashakt: From Support to Self-Sustenance

Project Sashakt was never designed to be a support system that people rely on indefinitely. It was built to make itself redundant.

At its core is a clear intent–to enable families to become self-sustaining. Not just through access to services, but by building the capability to earn, adapt, and grow independently. This means moving beyond one-time interventions to creating pathways where income, awareness, and opportunity reinforce each other over time.

Our work focuses on migrant and underserved communities in Narol, Naroda, and Lambha in Ahmedabad – dense industrial clusters with high population mobility, informal employment, and limited access to structured development opportunities. These are regions where aspiration is strong, but systems to support that aspiration are fragmented.

Sashakt steps into this gap with a long-term, location-based approach. Instead of spreading thin, we go deep - working within defined geographies, understanding local realities, and building interventions that are relevant to how people live and work.

Skilling is central to this model. Without income stability, no other intervention sustains. Around it, we layer education, healthcare, and financial awareness - creating a structure where families don't just receive support, but progressively require less of it.

Over time, the goal is simple: fewer beneficiaries, more independent households.





Sashakt This Year

Pillar 1: Skilling and Employment

Skilling is the most direct route to independence - and the most scalable way to create long-term impact. Beneficiaries learn skills like self-employed tailoring, beauty therapy, GST-tallying and data entry.

Our approach goes beyond training. Programs are designed around local demand, ensuring that skills translate into real earning opportunities - either through employment or micro-entrepreneurship. The focus is on practical, hands-on learning, with clear pathways to income.

Location-wise Activities

Narol

6,000
Total Families Enrolments

1,000
Total Enrolled in Skill Centre

Naroda

4,500
Total Families Enrolments

789
Total Enrolled in Skill Centre

Social & Relationship *Capital*

Diva Salon Academy

A structured training program focused on beauty and wellness, designed primarily for women seeking employment or entrepreneurial opportunities. The academy combines technical training with client handling, hygiene practices, and basic business skills.

Participants are trained in a controlled environment that mirrors real-world salon operations, enabling them to transition smoothly into jobs or independent services.

Impact

₹12.5 Lakhs

Total Income generated in in FY26

125

Beneficiaries Impacted



Social & Relationship *Capital*

Impact

₹9.1 Lakhs

Total Income generated in in FY26

232

Beneficiaries Impacted

Design Studio

An extension of the academy, our 3 design studios function as a live earning environment. Trainees work with real customers, gaining hands-on experience while earning simultaneously.

This model bridges the gap between training and employment - allowing individuals to build confidence, refine skills, and generate income before stepping out independently.



Social & Relationship *Capital*

For Youth Skilling

The Youth Skilling wing provides the students the industry equipment that helps in conceptual understanding and makes them job ready.

AutoCAD Training Labs

Focused on technical skill development, these labs equip youth with industry-relevant design and drafting skills. The program aligns with demand in sectors such as construction, engineering, and manufacturing.

Training includes software proficiency, project-based learning, and exposure to real-world applications enhancing employability in formal sectors.



Impact **269**

Students certified





Two-Wheeler Repair Lab

A livelihood-oriented initiative designed to enable self-employment. Participants receive hands-on training in vehicle repair, diagnostics, and maintenance.

The program is structured to allow individuals to start small-scale repair businesses or secure employment in service centers.

Impact **72**

Students trained

All of these centers have overtime become vibrant communities that foster collaboration. The community has developed their own traditions like graduation ceremonies, some friendly competitions and a few other engagement activities. Alumni meets and other peer learning initiatives also help the community grow.

Social & Relationship *Capital*

Pillar 2: Education and Development

Education under Project Sashakt aims to change how children learn, think, and engage with the world around them, by providing increased access.

For migrant families, access to schooling exists, but continuity, quality, and engagement are inconsistent. Children often fall behind due to mobility, lack of academic support, or limited exposure to applied learning. Our interventions address this gap by combining foundational learning with experiential education–ensuring that students not only stay in the system but benefit from it meaningfully.

Bal Sashakt

Bal Sashakt is at the heart of this pillar. It focuses on the holistic development of children beyond formal schooling.

It creates a structured, consistent engagement model through themed sessions, experiential activities, and exposure-based learning. Conducted through regular Sunday sessions, the program introduces children to concepts that are often missing in their everyday environment - critical thinking, environmental awareness, teamwork, and creative expression.

Activities such as science explorations, field visits, summer camps, and community-based projects are designed to make learning interactive and relevant.



Impact

Narol

8,900+

Students Trained

8	553	197	600
STEM labs Schools	Students at Science fair	Projects	Bal Sashakt Students



Naroda

7,173+

Students Trained

4	497	135	1,168
STEM labs Schools	Students at Science fair	Science Projects	Bal Sashakt Students

Social & Relationship *Capital*

Pillar 3: Financial Literacy

Income alone does not create stability, understanding how to use and manage it does.

Financial literacy under Sashakt focuses on enabling families to navigate formal systems confidently. For many beneficiaries, access to banking, insurance, or government schemes exists in theory but not in practice. The gap lies in awareness, documentation, and trust.

Our interventions are designed to bridge this gap. This includes facilitating documentation, enabling access to schemes, and building everyday financial habits such as saving, insuring, and planning. Our approach is highly contextual, delivered through community sessions and health camps and skilling centres.

Impact

Narol

6,121
Beneficiaries reached

2,128
Government linkages enabled

- Financial literacy sessions conducted across community centres, OPDs, and skilling centres
- Assistance provided for documentation and scheme access (ABHA, Ayushman Bharat, e-Shram, bank accounts, insurance)
- Awareness programs conducted for both adults and students



- Similar interventions scaled across new beneficiary base
- Focus on integrating financial literacy with skilling and health programs

Naroda

6,312
Beneficiaries reached

2,064
Linkages facilitated

Social & Relationship *Capital*

Pillar 4: Health Initiatives

Health is often the most immediate and most neglected vulnerability in underserved communities.

Irregular income, poor living conditions, and lack of access to affordable healthcare create a cycle where health issues directly impact earning capacity. Sashakt addresses this through a consistent, accessible primary healthcare model that focuses on prevention as much as treatment.

Weekly OPDs form the backbone of this approach. These are supplemented with health camps, screenings, and awareness programs that ensure that healthcare is not episodic, but ongoing.

Impact

Narol

52
OPDs conducted

3,735
Beneficiaries reached



- Regular weekly OPDs conducted
- Health camps including dental, eye check-ups, and body profiling
- Distribution of essential medicines for chronic conditions

Naroda

50
OPDs conducted

4,600+
Beneficiaries reached

- Replication of OPD and health camp model
- Focus on scaling outreach and accessibilit
- 330+ body profiling conducted

Lambha

4,507
Students screened

- Health initiatives introduced as one of the first interventions
- School-based health check-ups and screenings

Social & Relationship *Capital*



Mahila Shram Shakti Kendra (MSSK)

Made for women in construction, MSSK operates as a focus intervention model, addressing specific gaps that fall outside the core Sashakt structure.

It enables targeted programs that respond to immediate or localized needs allowing flexibility in approach while maintaining depth in execution. These interventions often complement existing pillars, strengthening outcomes across education, health, and community development.

MSSK helps women with technical skills, social security access, legal awareness, employability and improved wages. Comprehensive counselling sessions that engage women and their families are also conducted.

Impact

238

Individual OJT counseling

1,497+

participated for the awareness program of financial literacy

3,000+

Individuals were linked to government programs such as E-Nirman and E-Shram through awareness meetings and social security camps

Social & Relationship *Capital*

Simply social

Simply Social extends the impact of CSR beyond structured programs by bringing employees directly into the ecosystem.

It creates opportunities for employees to engage with communities through volunteering - bridging the gap between the organization and its beneficiaries. These interactions are not one-off events, but curated engagements across education, environment, and community development.

Impact

344

Employees Participated



Impact

15

Farmers supported

Palghar - Solar Pumps Initiative

Farmers in regions like Palghar often depend on inconsistent electricity supply or expensive alternatives, directly impacting productivity and income stability. By introducing solar-powered irrigation systems, the initiative reduces input costs while ensuring consistent access to water.

This not only improves agricultural output but also introduces a sustainable, long-term solution.

Over time, the impact extends beyond cost savings. It enables better crop planning, reduces uncertainty, and strengthens income predictability for farming households.

Linking of *SDGs*

UN SDG Covered	Target Covered Under the SDG	Initiatives undertaken at HomeFirst
 SDG 1: End poverty in all its forms everywhere	Target 1.2: By 2030, reduce at least by half the proportion of men, women and children of all ages living in poverty in all its dimensions according to national definitions	Launched Project Sashakt with an aim to elevate migrant households from the bottom of the pyramid through comprehensive socio-economic improvement aspects in Narol and Naroda, Gujarat. We have supported about 10,500+ families through our efforts aimed at skilling, education, financial literacy and health.
 SDG 2: End hunger, achieve food security and improved nutrition and promote sustainable agriculture	Target 2.3: By 2030, double the agricultural productivity and incomes of small-scale food producers, in particular women, indigenous peoples, family farmers, pastoralists and fishers, including through secure and equal access to land, other productive resources and inputs, knowledge, financial services, markets and opportunities for value addition and non-farm employment	To promote non-farm employment and enhance incomes of women from marginalized communities, MSSK implemented a targeted skill training and life skills program for women construction workers. By enabling their transition from informal 'helper' roles to skilled trades like masonry and tile fitting, the initiative helped increase daily wages and improved women's bargaining power in the workplace. On-the-Job Training (OJT), toolkit distribution, and ongoing counselling ensured skill development and workplace readiness, while sensitization of male counterparts fostered more inclusive job environments collectively expanding dignified non-farm livelihood opportunities for women in the urban construction sector. During the year about 238 counselling sessions were conducted under this initiative.
 SDG 3: Ensure healthy lives and promote well-being for all at all ages	Target 3.8: Achieve universal health coverage, including financial risk protection, access to quality essential health-care services and access to safe, effective, quality and affordable essential medicines and vaccines for all	Our CSR Project - Shashakt in Naroda advances universal health coverage by offering affordable, accessible, and quality healthcare services to underserved communities. Through weekly OPDs staffed by experienced doctors, it has served over 8,000+ beneficiaries with essential medical care, including treatment for chronic conditions like hypertension and diabetes.

Linking of *SDGs*

UN SDG Covered	Target Covered Under the SDG	Initiatives undertaken at HomeFirst
 SDG 4: Ensure inclusive and equitable quality education and promote lifelong learning opportunities for all	Target 4.1: By 2030, ensure that all girls and boys complete free, equitable and quality primary and secondary education leading to relevant and effective learning outcomes Target 4.2: By 2030, ensure that all girls and boys have access to quality early childhood development, care and pre-primary education so that they are ready for primary education Target 4.3: By 2030, ensure equal access for all women and men to affordable and quality technical, vocational and tertiary education, including university	To promote quality and inclusive education, Science Labs were established in 12 schools across Narol and Naroda, benefiting over 16,000 students and strengthening STEM-based learning. Under the Bal Sashakt program, more than 1,200 children were supported through various initiatives focused on holistic development. These included thematic Sunday sessions covering arts, sports, communication, and life skills. Students were also taken on educational visits to Science City Ahmedabad, encouraging scientific curiosity through interactive learning experiences. In addition, Science Fairs were organized in Narol and Naroda, featuring 332 student projects and participation from over 1,050 students.
 SDG 4: Ensure inclusive and equitable quality education and promote lifelong learning opportunities for all	Target 4.4: By 2030, substantially increase the number of youth and adults who have relevant skills, including technical and vocational skills, for employment, decent jobs and entrepreneurship	To enhance women's access to decent employment, the MSSK skill training and life skills program focused on equipping women workers with technical skills in traditionally male-dominated trades like masonry, tile fitting, and marble work. Through counselling and awareness sessions with families and male peers, the program challenged gender stereotypes and enabled women to transition from 'helpers' to skilled professionals. A total of 238 women enrolled in on-the-job training, with 143 successfully completing it under expert guidance. Toolkit distribution benefited 300+ workers, boosting motivation and job readiness. Additionally, 15 life skills sessions reached 211 women, building their confidence and awareness on identity, gender norms, and workplace safety—key for long-term empowerment and employability.
 SDG 4: Ensure inclusive and equitable quality education and promote lifelong learning opportunities for all	Target 4.6: By 2030, ensure that all youth and a substantial proportion of adults, both men and women, achieve literacy and numeracy	We have organised financial literacy programs for students from classes 8 to 12 and Parents of School Children through in 10 schools in Narol and Naroda supported by pre and post-training assessments. As a result, 92 families started saving under the Sukanya Samriddhi scheme and 47 families through small savings instruments like RDs, FDs, and Mahila Samman deposits. Individual bank accounts were opened for 83 participants, fostering financial inclusion.

Linking of *SDGs*

UN SDG Covered	Target Covered Under the SDG	Initiatives undertaken at HomeFirst
 SDG 5: Achieve gender equality and empower all women and girls	Target 5.5: Ensure women's full and effective participation and equal opportunities for leadership at all levels of decision-making in political, economic and public life	To promote women's leadership and participation, 27 gender sensitization sessions were held across Mahila Shram Shakti Kendra centres, enabling migrant women to recognize their rights, roles, and identities. Couple sessions fostered shared understanding between women and their male partners. Exposure visits to civic institutions empowered women to access services and engage with local authorities.
 SDG 6: Ensure availability and sustainable management of water and sanitation for all	Target 6.4: By 2030, substantially increase water-use efficiency across all sectors and ensure sustainable withdrawals and supply of freshwater to address water scarcity and substantially reduce the number of people suffering from water scarcity	To support sustainable water use and improve agricultural resilience, we are helping farmers enhance water-use efficiency by facilitating access to reservoir water and promoting crop diversification. This reduces reliance on single-crop farming, mitigates rural migration, and conserves freshwater resources. In line with these efforts, we supported 15 additional farmers this year with solar pump installations, enabling efficient irrigation while reducing dependence on conventional energy and groundwater. These initiatives contribute to long-term water sustainability, improved livelihoods, and reduced vulnerability to water scarcity.
 SDG 7: Ensure access to affordable, reliable, sustainable and modern energy for all	Target 7.2: By 2030, increase substantially the share of renewable energy in the global energy mix Target 7.b: By 2030, expand infrastructure and upgrade technology for supplying modern and sustainable energy services for all in developing countries, in particular least developed countries, small island developing States and landlocked developing countries, in accordance with their respective programmes of support	To support access to sustainable energy in agriculture, we facilitated the installation of solar pumps which benefitted 15 farmers this year, promoting clean and efficient irrigation. This initiative reduces dependence on conventional energy, enhances agricultural productivity, and supports rural livelihoods through modern, climate-resilient technology.

Linking of *SDGs*

UN SDG Covered	Target Covered Under the SDG	Initiatives undertaken at HomeFirst
 SDG 8: Promote sustained, inclusive and sustainable economic growth, full and productive employment and decent work for all	Target 8.6: By 2020, substantially reduce the proportion of youth not in employment, education or training	Sashakt Skilling Centres at Narol and Naroda offer the community members with trainings across trades such as tailoring, beauty therapists, GST with Tally, Data Entry Operations to enable them with skills that can directly lead to their employment through placements or help them become selfemployed. Alos we have created Co-working space called as Diva Salon and Studio for direct employment generation, We have had 1700+ enrollments in these courses (especially women).
	Target 8.8: Protect labour rights and promote safe and secure working environments for all workers, including migrant workers, in particular women migrants, and those in precarious employment	Our Mahila Shram Shakti Kendra skill and life training program empowered 211 migrant women workers by enabling them to enter male-dominated trades like masonry, tile fitting, and marble work. Through 238 counselling sessions and 143 training linkages, MSSK helped women transition from informal 'helper' roles to recognized skilled professionals. On-the-job training and toolkit distribution at labour nakas boosted their earning potential and workplace confidence. Sensitization sessions with male workers and contractors promoted gender-inclusive workspaces. Refresher courses, based on trainee feedback, further supported skill application. These efforts have advanced women's financial independence while fostering safer, more equitable environments
	Target 8.10: Strengthen the capacity of domestic financial institutions to encourage and expand access to banking, insurance and financial services for all	Through our efforts in our project locations, we have been promoting financial literacy in the community with the help of Suryoday Foundation, educating youngsters as well as other community members about banking, insurance and other financial supports available to them. Mahila Shram Shakti Kendra also promotes the financial literacy of the women construction workers.
 SDG 10: Reduce inequality within and among countries	Target 10.2: By 2030, empower and promote the social, economic and political inclusion of all, irrespective of age, sex, disability, race, ethnicity, origin, religion or economic or other status	Project Sashakt, the flagship project under HomeFirst's CSR activities is aimed at the holistic upliftment and socio-economic empowerment of the migrant households in the Narol and Naroda regions of Gujarat. The project initiatives have largely helped the women in the community as well. We have supported about 10,500+ families through our efforts aimed at skilling, education, financial literacy and health. We have funded TEACH Foundation for the skiling of DHH Students.

Linking of *SDGs*

UN SDG Covered	Target Covered Under the SDG	Initiatives undertaken at HomeFirst
 SDG 11: Make cities and human settlements inclusive, safe, resilient and sustainable	Target 11.1: By 2030, ensure access for all to adequate, safe and affordable housing and basic services and upgrade slums	HomeFirst is in the business of providing affordable housing finance to customers belonging in the lower and middle income groups.
	Target 11.c: Support least developed countries, including through financial and technical assistance, in building sustainable and resilient buildings utilizing local materials	The company has initiated meaningful progress in green housing, a strategic initiative contributing to the reduction of greenhouse gas (GHG) emissions. 450 Green Homes have already completed certification. These certifications translate into tangible environmental benefits, with an annual reduction of 453 tonnes of CO_2 equivalent (tCO_2e), alongside savings of 673 MWh of energy and 21,643 cubic meters of water.
 SDG 16: Promote peaceful and inclusive societies for sustainable development, provide access to justice for all and build effective, accountable and inclusive institutions at all levels	Target 16.5: Substantially reduce corruption and bribery in all their forms Target 16.6: Develop effective, accountable and transparent institutions at all levels	We have Anti-corruption and Anti-Bribery policy - This policy also outlines the Company's policy concerning the prevention and identification of bribery and corruption, as well as the procedures to be followed, if any fraud is discovered or there is any suspicion that it may exist. HomeFirst is committed to ensuring ethical business practices and transparency in the conduct of its operations. Transparency is one of our 3 core values.
 SDG 17: Strengthen the means of implementation and revitalize the Global Partnership for Sustainable Development	Target 17.16: Enhance the Global Partnership for Sustainable Development, complemented by multi-stakeholder partnerships that mobilize and share knowledge, expertise, technology and financial resources, to support the achievement of the Sustainable Development Goals in all countries, in particular developing countries	Collaborative efforts with trusted and known organizations (CSR implementing agencies - Elixir Foundation, Respire Experential Learning, Ajeevika Bureau Trust, Suryoday Foundation, Wings to Fly, Keshav Srushti, and others) to achieve sustainable development goals while transforming communities through our efforts in skilling, education, health and financial literacy.

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Statutory Report

> We took this big step for our little daughter. Now she can go to a better school and live with convenience.

Prakash Kamble

Occupation
Motor Garage Workshop Owner

Location
Ahmednagar

Product
Home Loan - Resale

Loan Amount
₹ 8 Lakhs



Customers Speak

Management Discussion *and Analysis*

Something quiet is happening across India's towns and cities. A young couple saves a portion each month from earnings that are modest ***but steady***. A self-employed carpenter earns enough to stop renting and start dreaming of asset ownership. A daily-wage worker in a factory puts aside what she can, because the idea of a home has been with her longer than any calculation. Whether it begins with a payslip or a cash payment, with a degree or a trade, with a city posting or a small-town workshop - ***the journey towards owning a home is India's most widespread, most quietly determined aspiration.*** Long before a loan application is filed, this chain of events has already begun to shape the most important financial market in India's growth story.

What has changed is not the aspiration - it has always been there. What has changed is the economics around home ownership. India's real per capita income has more than doubled since FY14. **1.2 to 1.4 cr workers enter the formal economy every year as evidenced by the net new EPFO registrations. Cities that were peripheral a decade ago are now thriving employment centres.** And across this expanding geography of aspiration, a new cohort of first-time homebuyers is crossing the affordability threshold - not just because of any subsidy, but because their ***earnings have simply reached the point where a home ownership becomes possible.*** This Management Discussion & Analysis traces that journey - from the macro forces reshaping the global economy, through India's structural momentum, the policy architecture enabling housing supply, and the industry dynamics that define how formal credit reaches these households. At each step, the evidence points in the same direction. **The question this analysis addresses is not whether India's affordable housing finance market will grow. It is how large, how fast, and over what horizon.**

What To Expect From This Report

Each section builds a case from the global environment to the micro-level details of our markets:

1 Global Context

A decade of outperformance – Not a moment, a Trajectory

India: 6th largest economy · S&P upgraded BBB · Capital Reallocation

2 India's Structural Tailwinds

The Macro Layout – The Architecture of a compounding economy

GDP Growth · Inflation · Rate cuts · Fiscal discipline· Credit Growth · Exports

3 The Customer

India's Middle class in motion – Structural Demand Driver

Population· Income Growth· Formalisation · Urbanisation · Nuclearisation

4 Policy Architecture

Government's Housing commitment – The Enabling Architecture

PMAY 2.0 · Public capex · Urban development · Fiscal Reforms · PSL

5 India's Tech Stack

Making the previously un-bankable, bankable

DPI · UPI · AI & ML Efficiency

6 Industry Landscape

India's Affordable Housing Finance industry – Structure & Growth

Ticket size distribution · Market sizing · Banks ATS drift

7 The Niti Aayog's Diagnosis

Why Market forces alone cannot fill the gap

Skewed Supply · Income Growth · Informal Segment

8 The Long Runway

Housing Demand – The opportunity compounds over decades

Housing deficit · Viksit Bharat 2047 · Underpenetrated mortgage

9 Conclusion

The Affordable Housing Compounding phase

The Foundation is strong · The runway is long

Management Discussion *and Analysis*

01 *Global Context*

A Decade of Outperformance — Not a Moment, a Trajectory

FY26 unfolded against a global backdrop that was not just uncertain, but increasingly non-linear - marked by geopolitical flashpoints, evolving trade frictions, sharp movements in commodity prices, and episodic stress in financial markets. Events over the year reinforced how quickly global narratives can shift - from trade tensions to AI exuberance to energy security concerns - driving volatility across asset classes and capital flows. The risk of supply disruptions, particularly around critical routes such as the Strait of Hormuz, has further amplified concerns around energy prices, inflation trajectories, and external balances for import-dependent economies.

India's response to this environment was not to insulate itself, but to compound from a position of structural strength. The growth of the past decade was anchored not in cyclical tailwinds but in strengthening domestic fundamentals: sustained public capital expenditure, formalisation of the economy, balance sheet repair across corporates and banks, and continued deepening of financial markets. Institutional capacity has improved meaningfully, enabling more effective policy responses to external disruption. FY26 reflected an economy building endurance - positioning itself for sustained long-term expansion rather than defending against transient shocks.

6th

India's GDP Rank 2026

3rd by 2031; as per IMF

BBB

S&P Sovereign Rating

Upgraded in Aug 2025
first upgrade in ~20 years

US$ 30 Trillion

GDP Target by 2047

Viksit Bharat 2047 vision

US$ 73.7 Billion

India FDI Inflow (RBI)

Between Apr'25 –Dec'25

Management Discussion *and Analysis*

Performance of the Indian Economy — FY26

a) India's Ascent in the Global Economic Order

The Indian economy **has risen from $2.1 trillion in FY15 to ~$4.2 trillion in FY26,** doubling in dollar terms within a single decade.

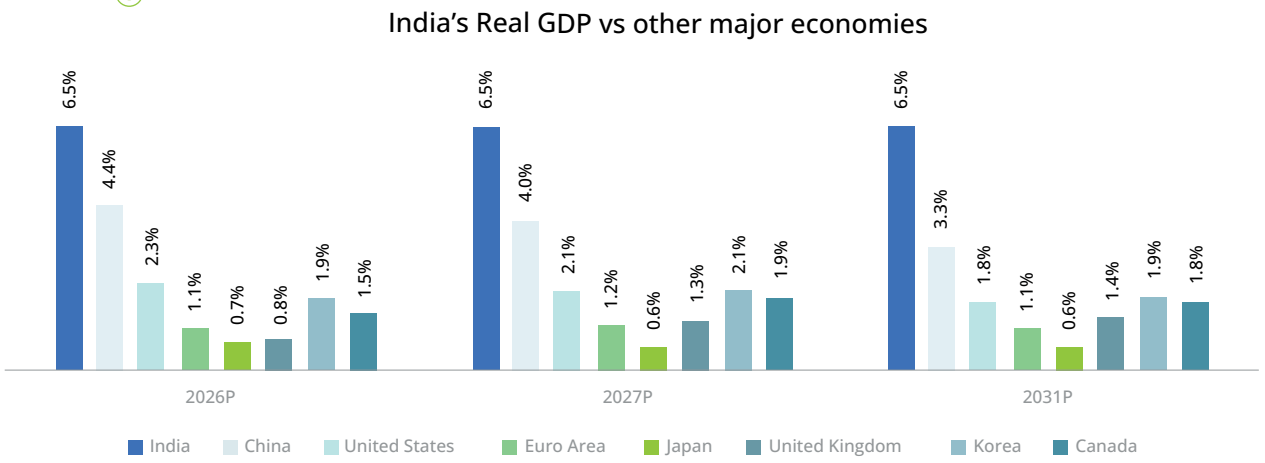
Crucially, India retains its standing as the fastest-growing major economy in the world and one of the very few large nations projected to sustain GDP growth consistently above 6% over the medium term. By FY31, India's economy is projected to reach $6.8 trillion - narrowing the gap with Germany and positioning India firmly on the threshold of the global top three. Fuelled by robust consumer spending and positive investment sentiment, India is consolidating its position as the primary engine of global incremental growth. Looking further ahead, the Viksit Bharat 2047 vision envisions India's GDP reaching **$ 30 trillion by FY47,** an approximate eightfold increase from the current $4.2 trillion (2026).

Exhibit— India's projected GDP ranking journey: 6th (2026) —> 4th (2027) —> 3rd (2031)

Rank	2017	2018	2019	2020	2021	2022	2023	2024	2025	2026	2027	2028	2029	2030	2031
1	USA	USA	USA	USA	USA	USA	USA	USA	USA	USA	USA	USA	USA	USA	USA
2	China	China	China	China	China	China	China	China	China	China	China	China	China	China	China
3	Japan	Japan	Japan	Japan	Japan	Japan	Germany	Germany	Germany	Germany	Germany	Germany	Germany	Germany	India
4	Germany	Germany	Germany	Germany	Germany	Germany	Japan	Japan	Japan	Japan	India	India	India	India	Germany
5	UK	UK	UK	UK	UK	India	India	India	UK	UK	Japan	Japan	UK	UK	Japan
6	India	France	India	France	India	UK	UK	UK	India	India	UK	UK	Japan	Japan	France
7	France	India	France	India	France	France	France	France	France	France	France	France	France	France	Canada
8	Italy	Italy	Italy	Italy	Italy	Russia	Italy	Italy	Russia	Italy	Italy	Italy	Italy	Italy	Italy
9	Canada	Canada	Canada	Canada	Canada	Canada	Canada	Canada	Italy	Russia	Canada	Canada	Canada	Canada	Russia
10	Russia	Russia	Russia	Russia	Russia	Italy	Russia	Russia	Canada	Canada	Russia	Russia	Russia	Russia	Russia

Source: IMF World Economic Outlook (April 2026) | GDP at Current Prices

Exhibit - India projected to continue to be the fastest growing major economy in the world



Source: IMF World Economic Outlook (Apr 2026) | GDP in US$ terms at current Prices
As per MoSPI's First Advance Estimates, the FY26P GDP at constant prices is 7.4%

Management Discussion *and Analysis*

b) Sovereign Credit Rating Upgrade

FY26 marked a watershed moment: India received credit rating upgrades from three agencies - Morningstar DBRS (May), S&P (August) and R&I (September). S&P Global Ratings India's sovereign credit rating upgrade from BBB- to BBB with a Stable outlook, was India's first upgrade from a major agency in nearly two decades. The upgrade reflects stronger macroeconomic fundamentals, including sustained economic growth, improving fiscal discipline, stable inflation, and healthier banking and corporate balance sheets.

Exhibit: India's Sovereign Credit Ratings and Upgrade History

Rating Agency	Current Rating	Outlook	Previous Rating	Key Upgrade / Change History
S&P Global Ratings	**BBB**	Stable	BBB-	Upgraded to **BBB (Aug 2025)**; previously upgraded to **BBB- (2007)**
Morningstar DBRS	**BBB**	Stable	BBB (low)	Outlook upgraded to Stable (2025)
Rating and Investment Information, Inc.	**BBB+**	Stable	BBB	Upgraded to **BBB+** (Sep 2025)

Source: S&P Global Ratings, Morningstar DBRS, Rating and Investment Information Inc.

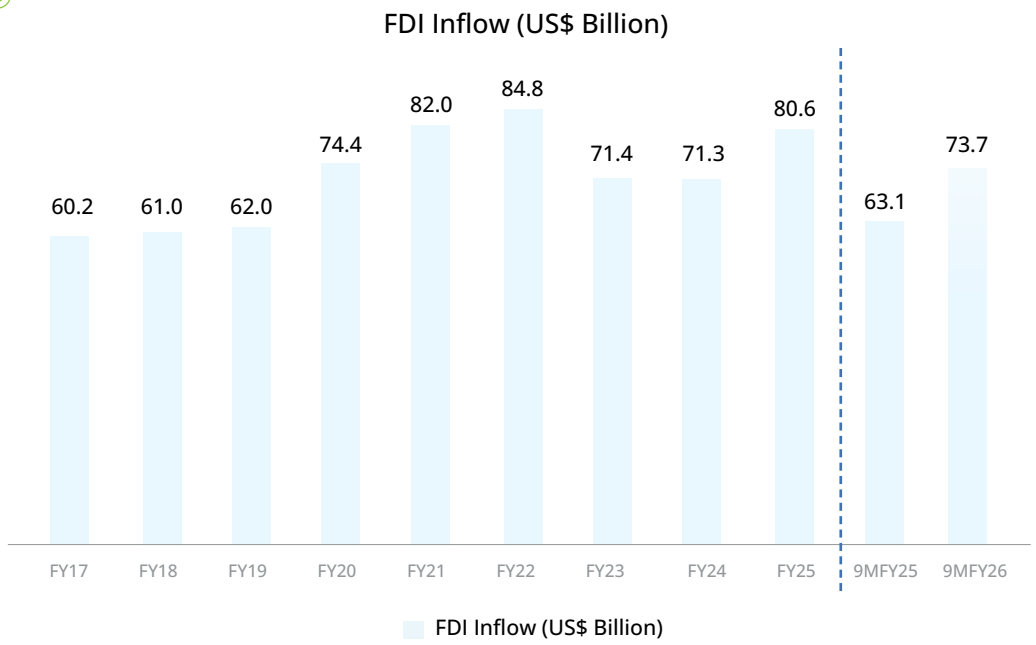
A higher sovereign rating strengthens investor confidence and improves India's standing in global capital markets. Over time, this can support greater capital inflows & improve access to long-term funding for infrastructure, investment, and economic growth. For housing finance specifically, a higher sovereign floor means every institution in the credit chain -from NHB to HFCs to end-borrowers- benefits from structurally lower funding costs over the coming years.

c) Global Capital allocation has favoured India over the last few years

India has become an attractive destination for FDI in recent years, influenced by several factors that have boosted FDI. In the Global Innovation Index (GII) 2025, India secured the 38th position among 139 global economies - a significant improvement from its 81st rank in 2015, demonstrating India's commitment to fostering a robust innovation ecosystem and a collaborative environment for businesses. India's cumulative Gross FDI inflow stood at US$ ~850 billion between FY14 – FY26, due to reasons including government's efforts to improve the ease of doing business and easing of FDI norms.

Management Discussion *and Analysis*

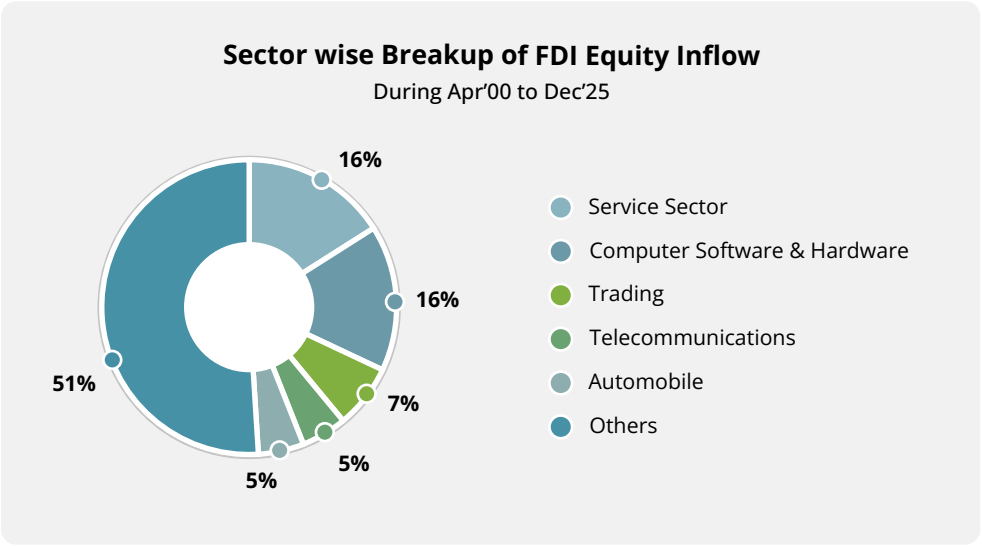
Exhibit: India's Sustained FDI Momentum Signals Strong Investor Confidence



Source: RBI, IBEF

India's expanding weight in the MSCI Emerging Markets (EM) index, Bond market inclusion by JP Morgan are attracting global investors seeking long-term growth exposure. India's infrastructure ecosystem continues to attract significant private capital, with the World Bank ranking it among the top five global destinations within low- and middle-income economies.

Exhibit: India's Resilience as a Multi-Engine FDI Destination



Source: IBEF.org

Management Discussion *and Analysis*

Foreign Direct Investment continues to anchor India's long-term growth trajectory, supported by consistent policy reforms, expanding market access, and deepening global integration. Strong capital inflows in FY26, alongside the steady expansion of high-technology, manufacturing, and green energy sectors, reflect sustained investor engagement despite global volatility. Recent trade agreements with key partners, including the European Union and other strategic economies, are widening export access and strengthening India's integration into global value chains. Continued liberalisation across sectors, infrastructure scale-up, renewable energy expansion, and digital transformation initiatives are further enhancing India's competitiveness, positioning the country as a preferred destination for strategic, long-term capital in the years ahead.

Sectorally, FDI inflows are increasingly concentrated in high-growth and strategically important areas. Few recent investments in these sectors are captured below:

- **Semiconductors and advanced manufacturing:** Under the India Semiconductor Mission, 10 projects across six states have been approved with cumulative investments exceeding ~US$ 18–19 billion. These include India's first Silicon Carbide compound fabrication unit and advanced packaging facilities, strengthening domestic manufacturing capabilities and supply chain resilience.

- **Financial services and fintech:** India remains among the leading global destinations for fintech funding, supported by a stable regulatory framework and expanding financial inclusion, as reflected in the RBI's Financial Inclusion Index improving from 64.2 to 67 in FY25. As per DPIIT, the services sector, which includes Financial, Banking, Insurance, Non-Financial / Business, Outsourcing, R&D, Courier, Tech. Testing and Analysis & Other segments, received the investment of USD 9.3 billion in FY25 with ~41% increase as compared to USD 6.6 billion investment in FY24.

- **Infrastructure and energy:** India ranks among the top five globally in private infrastructure investment, while record renewable energy capacity additions in 2025 (adding 44.51 GW of capacity till November, nearly double the 24.72 GW added during the same period last year) highlight strong momentum in sustainable infrastructure and long-term capital deployment. The infra & energy sector received the investment of USD 6.8 billion in FY25.

Government initiatives continue to play a catalytic role in attracting foreign capital: Targeted interventions such as the Production-Linked Incentive (PLI) schemes, semiconductor incentives, and progressive sectoral liberalisation - including allowing up to 100% FDI in insurance (raised from 74%), space, defence (under the government route), and key infrastructure segments such as brownfield airports and MRO (Maintenance, Repair, and Overhaul) - reflect a sustained commitment to improving ease of doing business. In line with India's vision of becoming Atmanirbhar Bharat, the Government launched Production Linked Incentive (PLI) schemes across 14 key sectors beginning FY21, with a total outlay of ₹1.97 lakh crore, aimed at strengthening domestic manufacturing capabilities and boosting exports. As of December 31, 2025, the schemes have attracted investments exceeding ₹2.16 lakh crore and generated incremental production and sales of over ₹20.41 lakh crore. The PLI initiatives have also created employment for more than 14.39 lakh people (direct and indirect), with 836 applications approved across the 14 sectors under the PLI framework.

Management Discussion *and Analysis*

02 *India's Structural Tailwinds*

The Macro Layout — The Architecture of a Compounding Economy

India today sits at an interesting macroeconomic juncture - one where structural strength coexists with near-term uncertainty. Growth remains resilient, inflation has moderated meaningfully, the interest rate cycle appears to be at or near its lowest point, and fiscal consolidation continues to progress in a measured manner. While this alignment is not perfect - and is being tested by external shocks such as geopolitical tensions, commodity volatility, and intermittent capital flow pressures - the overall direction of key macro variables remains among the most constructive seen in over a decade.

Recent global developments have reinforced the reality that macro stability is increasingly being shaped by external factors - particularly energy prices, trade disruptions, and shifting risk appetite of global capital. The scenarios such as sustained elevation in crude prices or disruptions in key supply routes could temporarily widen the current account deficit, exert pressure on inflation, and trigger bouts of FII outflows. However, India enters this phase from a position of significantly improved macro resilience - characterised by lower oil imports (oil imports as % of GDP declined from over 8.5% in FY13 to ~4.8% in FY25, as per HDFC Mutual Fund's Report), a contained current account deficit (CAD as % of GDP has declined from ~4.8% in FY13 to ~0.7% in FY25), strong FX reserves (~US$ 700 billion as of April 2026), and a more diversified export base.

Importantly, while near-term volatility - driven by oil prices, currency movements, or global liquidity cycles - may create intermittent disruptions, is likely to be transient. India's macro framework today is far more robust than in prior cycles, enabling it to absorb shocks without derailing its long-term growth trajectory.

7.4%

Real GDP Growth FY26P

Fastest major economy globally (MoSPI)

3.4%

CPI Inflation FY26P

Within RBI's 4±2% target band (MoSPI)

5.25%

Repo Rate Apr 2026

100 bps cumulative easing in FY26 (RBI)

4.3%

Fiscal Deficit / GDP

Consolidation without cutting capex (Union Budget FY26-27P)

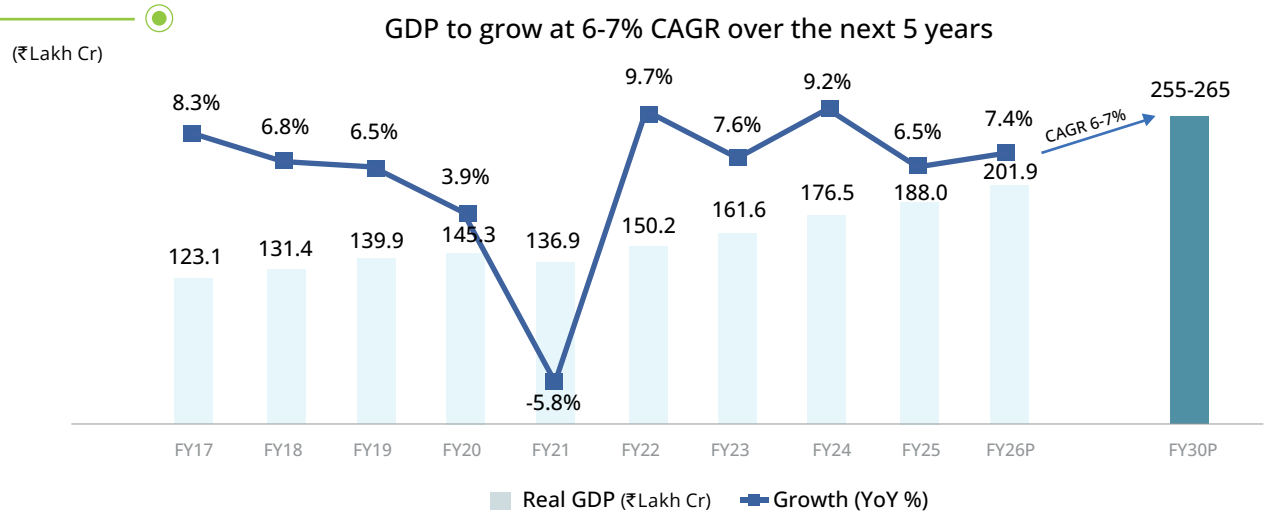
Management Discussion *and Analysis*

a) GDP Growth: Structural, not cyclical

As per the First Advance Estimates of Annual GDP for FY26 released by MoSPI in Jan 2026, the Real GDP (base year 2011-12) was estimated to grow by 7.4%. Real GDP is estimated to attain a level of ₹201.9 lakh cr in FY26, against ₹188 lakh cr (Provisional estimate) for the FY25, registering a growth rate of 7.4%.

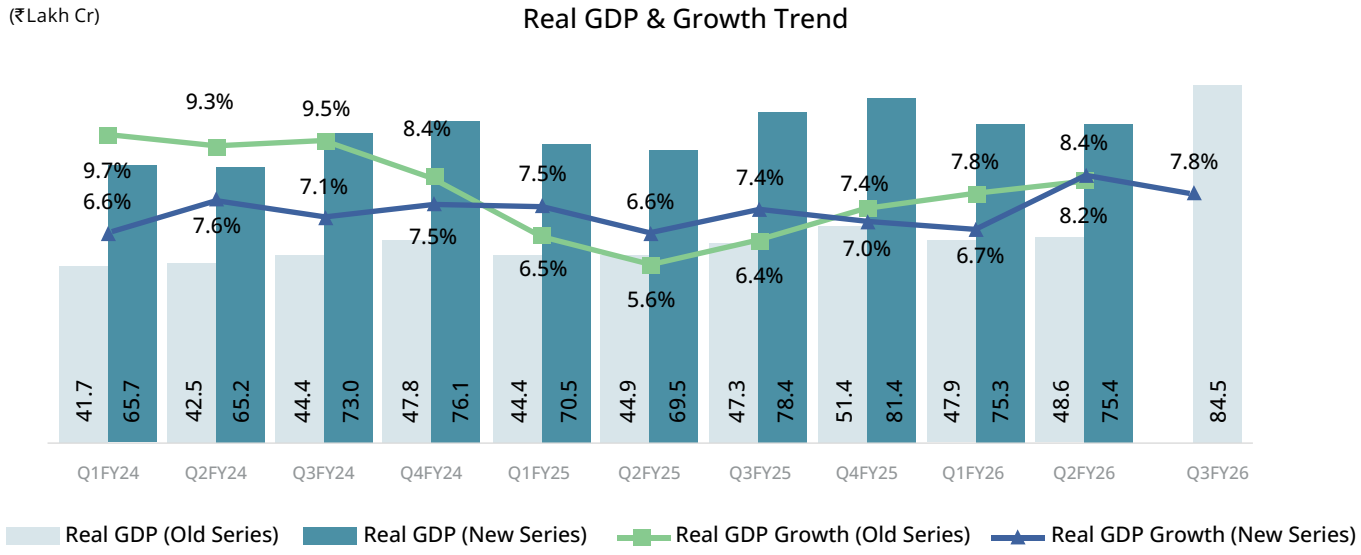
As per the Second Advance Estimates by MoSPI, as India shifts to new GDP series with base year 2022–23, the Real GDP which is for FY26 is projected to grow at 7.6%. **Under the new series, the Real GDP in FY26 is estimated to attain a level of ₹322.6 lakh crore** while the Nominal GDP is estimated ₹ 345.5 lakh crore in the year FY26.

Exhibit: Resilient GDP Expansion with Consistent Growth Trajectory Ahead (base year 2011-12)



Source: FY26P GDP is as projected by MoSPI - First Advance Estimates. FY30 projected data is based on IMF growth estimates

Exhibit: Steady Quarterly Expansion Signals Strengthening Economic Fundamentals

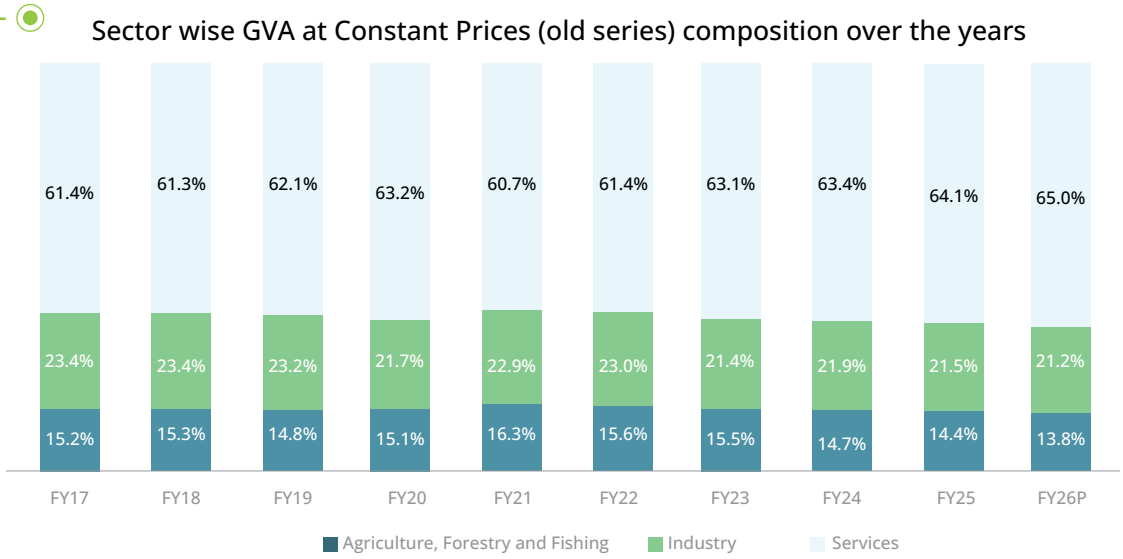


Source: MOSPI

Management Discussion *and Analysis*

Quarterly real GDP growth (new series) held steady in FY26 at 6.7% in Q1, 8.4% in Q2, & 7.8% in Q3 indicating sustained momentum. Crucially, the composition of growth matters as much as the headline. Between FY17 and FY26, the services share increased from ~61% to ~65%, industry moderated from ~23% to 21%, and agriculture remained at ~14-15%. Financial, real estate and professional services contributed an estimated 26% of GVA in FY25.

Exhibit: Balanced Sectoral Mix with Services Driving Structural Growth

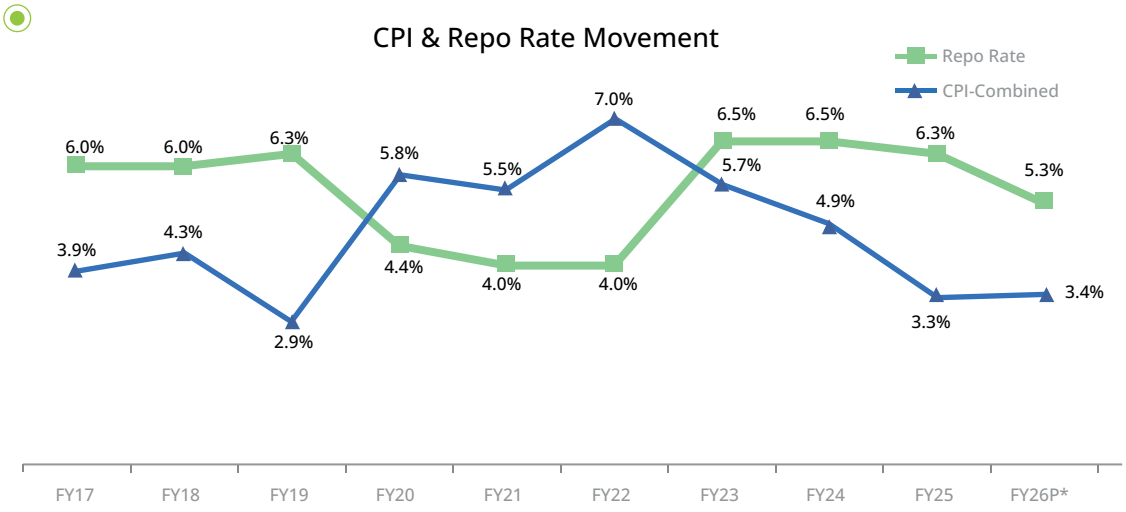


Source: MOSPI

b) CPI inflation & Industrial Activity Indicators:

India's CPI inflation trajectory over the past five years tells a clear story of moderation. From elevated levels of **~7%** in FY22, inflation declined to ~4.9% in FY24 and further to ~3.3% in FY25. In FY26, inflation continued its downward trajectory - CPI fell to a multi-year low of ~0.25% in October 2025 before edging up as base effects faded. The CPI inflation averaged at 3.4% for FY26, well within its 4±2% target band.

Exhibit: India has entered a period of low inflation and low interest rates



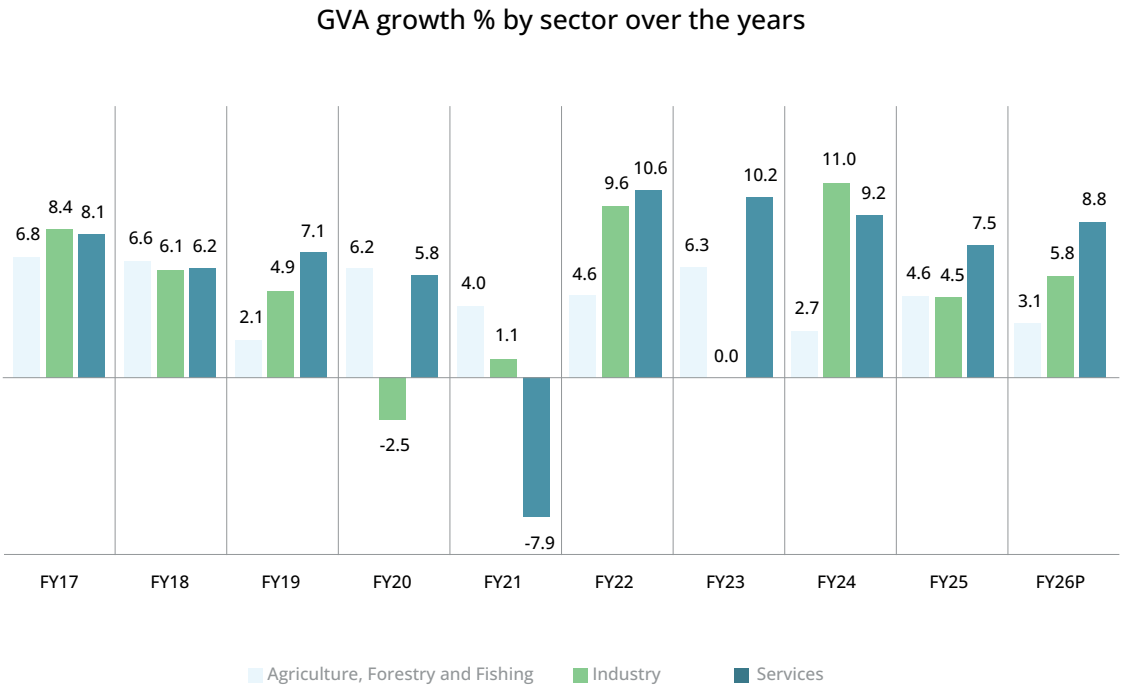
*Source: MOSPI & RBI; *FY26 CPI data is as per New Series (Base year 2024)*

Management Discussion *and Analysis*

This gradual shift toward services-led growth reflects rising formal employment, expanding financial intermediation, technology adoption, and urban economic activity. Sector-wise projected growth trend for FY26 further reinforce this balance:

- Services growth remained strong at ~8–9% in FY26P
- Industry recovered to ~5–6%, supported by infrastructure and manufacturing
- Agriculture delivered stable mid-single digit (~3%) growth

Exhibit: Services Drive Growth Recovery While Industry Gains Momentum

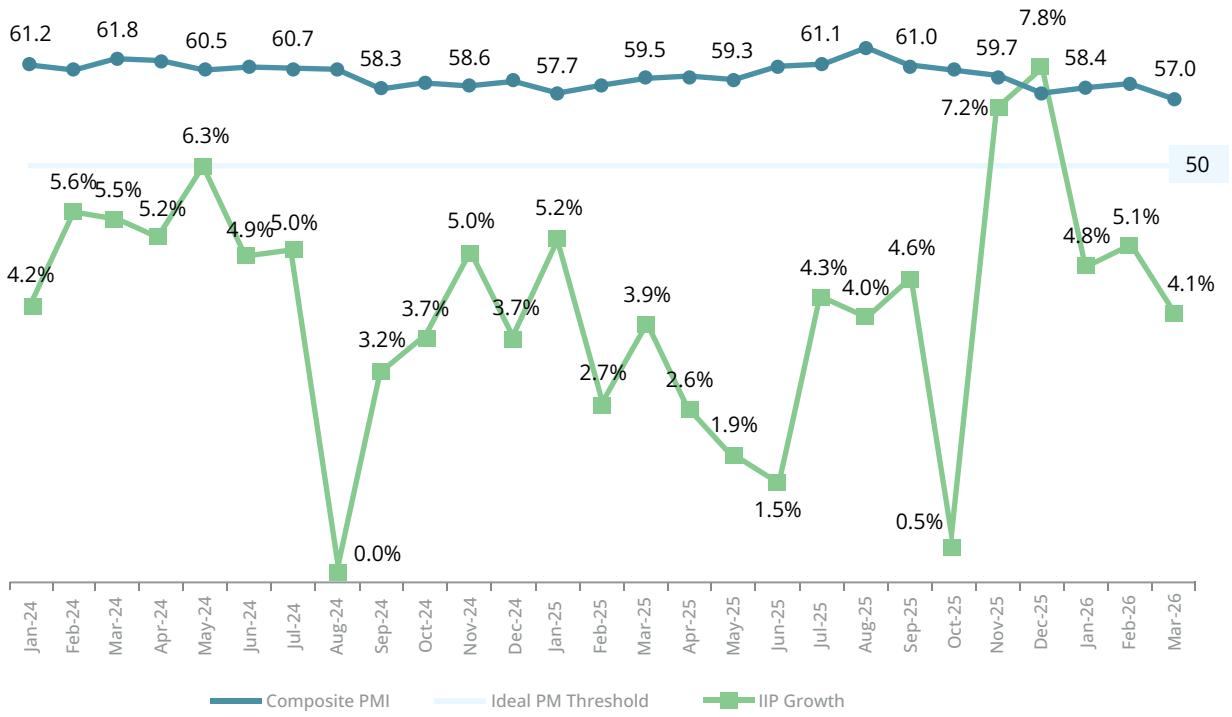


Source: RBI

Industrial activity strengthened through FY26, albeit with expected month-to-month volatility. After moderating during parts of FY25, IIP growth accelerated meaningfully in the second half of FY26, reaching a **two-year high of ~8%** in December 2025. Composite PMI remained consistently above 50 (expansion threshold) throughout the period. Readings largely ranged between **58 and 63**, signalling sustained growth in output, new orders, and business activity.

Management Discussion *and Analysis*

Exhibit: Manufacturing Activity Remains Expansionary Despite Volatile Industrial Output



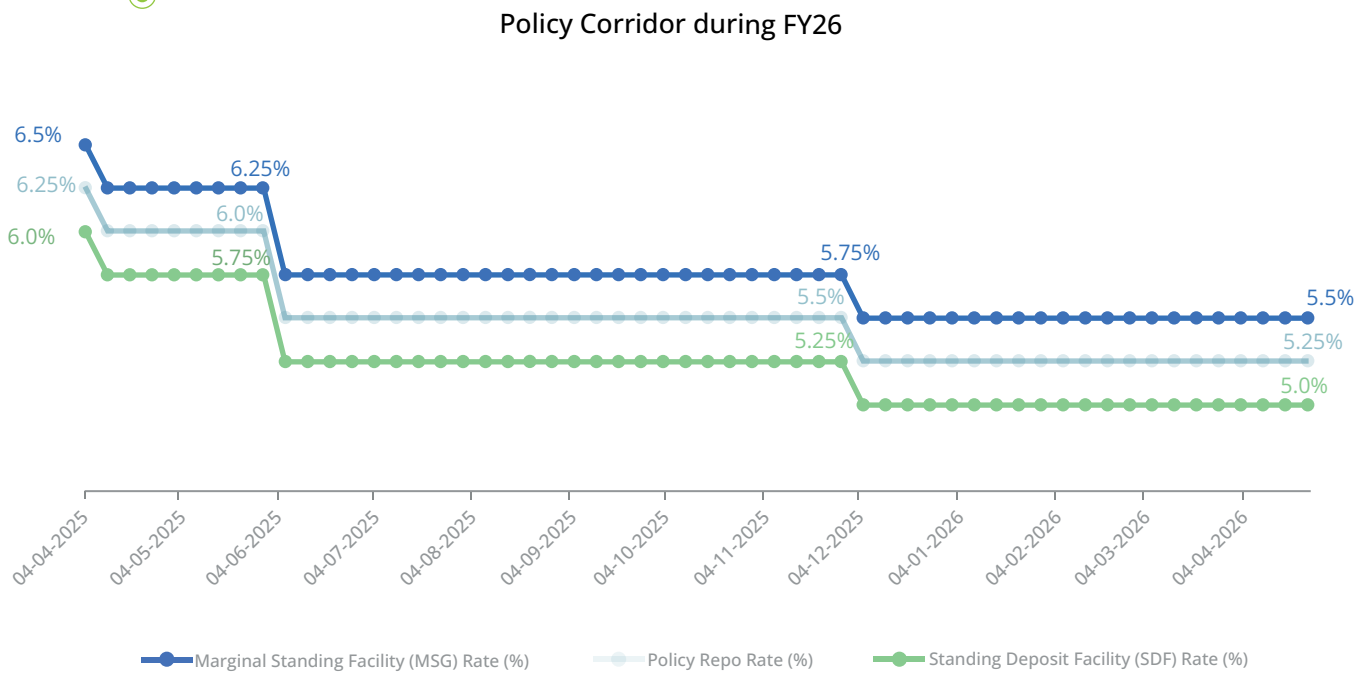
Source: MOSPI and S&P Global

Management Discussion *and Analysis*

c) RBI Monetary Policy Easing

In response to the easing inflation, the RBI's Monetary Policy Committee (MPC) cumulatively reduced the repo rate by 100 basis points during its meetings in FY26. Currently, the repo rate stands at 5.25%. These reductions were aimed at boosting credit flow, investment, and overall economic activity. Furthermore, in consideration of the prevailing and expected inflation-growth dynamics, the MPC's stance was changed from accommodative to neutral in June 2025. This neutral stance has been consistently maintained since then, allowing the MPC the flexibility to respond to economic conditions as necessary.

Exhibit: Monetary Easing and Stable Liquidity Keep Short-Term Rates Well-Aligned with Policy Signals



Source: RBI

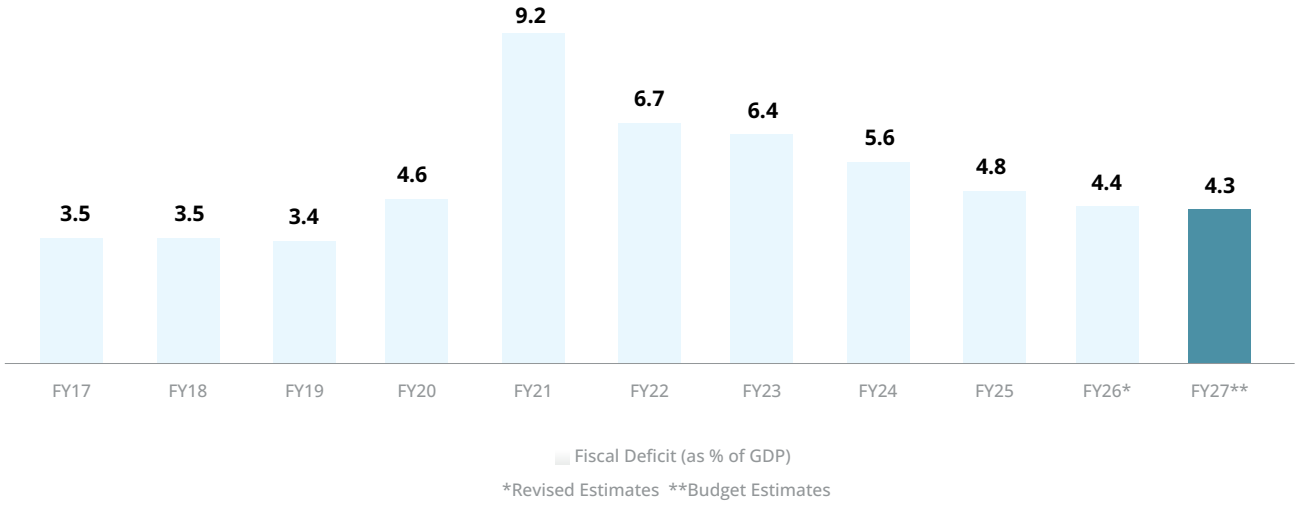
As per the Economic Survey Report 2025-26, in response to the 100-bps cumulative cut in the policy repo rate from 6.25% during FY26, the weighted average lending rates (WALR) of the Scheduled Commercial Banks (SCBs) declined. During April-November 2025, the WALR of SCBs on fresh rupee loans decreased by 64 basis points, standing at 8.7% in November 2025. Similarly, the WALR of SCBs on outstanding rupee loans has decreased by 56 basis points over the same period, standing at 9.2% in November 2025, reaching its lowest level recorded since September 2022.

Management Discussion *and Analysis*

d) Fiscal Discipline with Growth Orientation

FY26 also reinforced the government's commitment to **credible fiscal consolidation.** The Union Budget 2026-27 reaffirmed a fiscal deficit target of **~4.4% of GDP** for FY26 with further projected improvement to 4.3% in FY27, continuing the glide path from pandemic-era highs of ~9.2% (FY21). Importantly, consolidation has been achieved **without cutting back on capital expenditure.** The rise in global crude oil prices amid the West Asia conflict could exert some pressure on India's fiscal position, with the fiscal deficit potentially drifting moderately above the Budget Estimate in FY27.

Exhibit: Fiscal Deficit (as % of GDP) - Discipline has improved over the years.



Source: Union Budget FY26-27

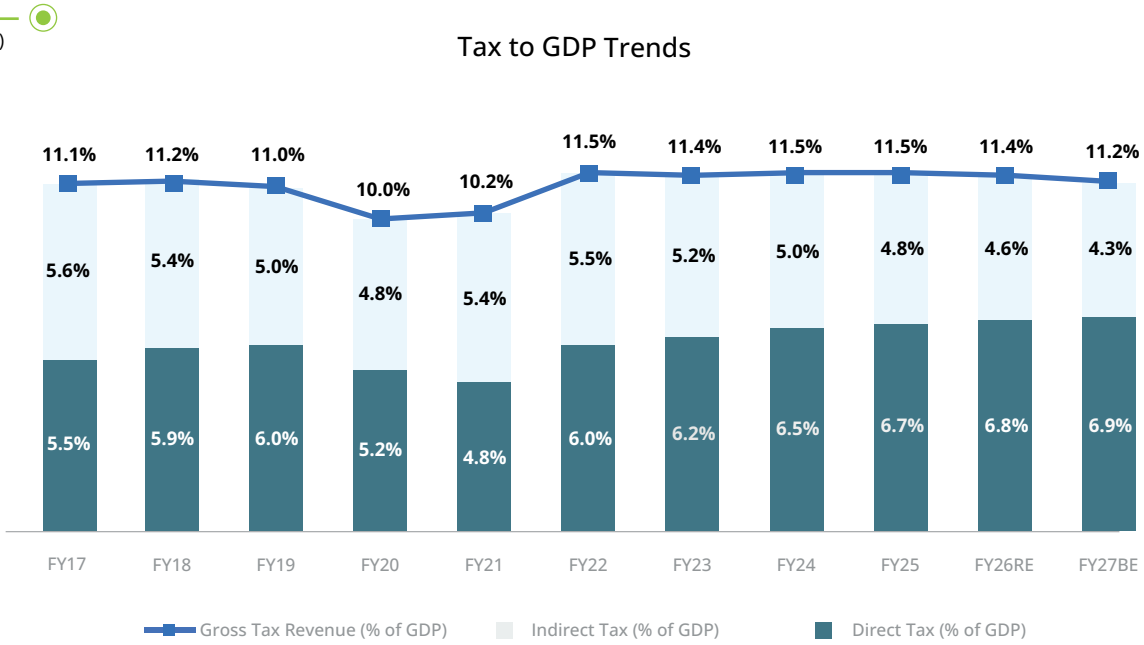
Revenue mobilisation has also strengthened alongside consolidation efforts. As per the Economic Survey Report 2025-26:

- The Centre's **revenue receipts** strengthened significantly to 9.2% of GDP in FY25, rising from an average of about 8.5% of GDP in the pre-pandemic period (FY16-FY20) to ~9.1% in the post-pandemic years (FY22-FY25).
- **Gross tax collection is ~11.4% of GDP**, with increased share of direct tax from 5.9% in FY18 to ~6.8% in FY26. The income tax returns filed increased from 6.9 cr in FY22 to 9.2 cr in FY25 at 10% CAGR.
- **Share of direct taxes** in total collections has increased to **58.8% in FY25,** signalling a gradual shift toward a more stable and progressive revenue base. It increased from 51.9% in the pre-pandemic period (FY16-FY20) to 55.5% (FY22-FY25) in the post-pandemic years.

Management Discussion *and Analysis*

Exhibit: Improving Tax Buoyancy Driven by Shift Toward Direct Taxes (% of GDP)

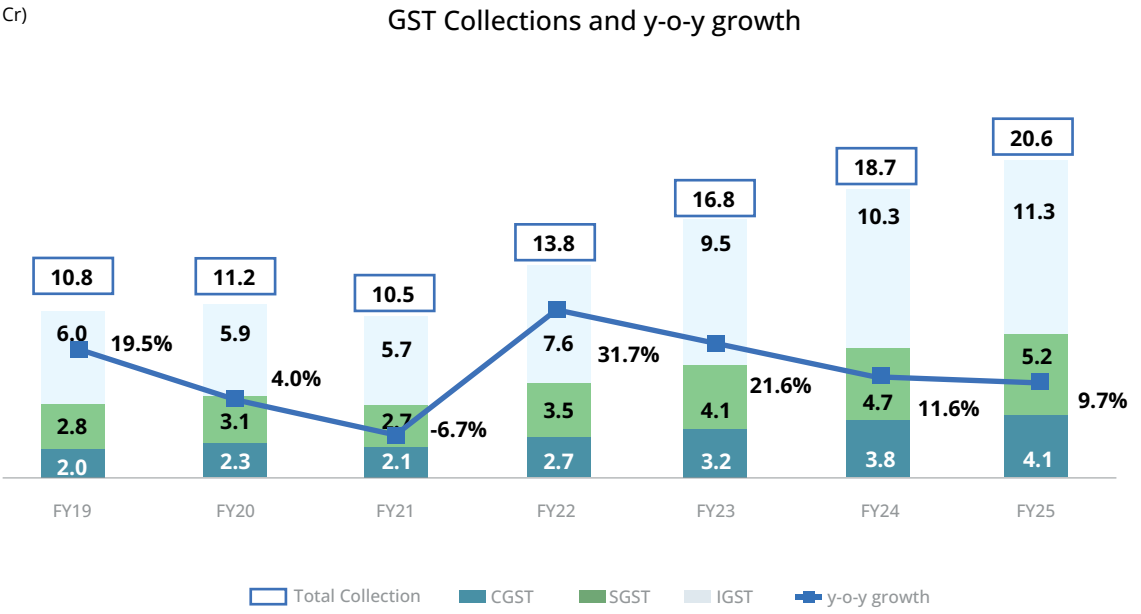
(% of GDP)



Source: India Budget.gov.in

Exhibit: Sustained Growth in GST Collections Reflects Strong Formalisation & Consumption Trends

(₹ Lakh Cr)



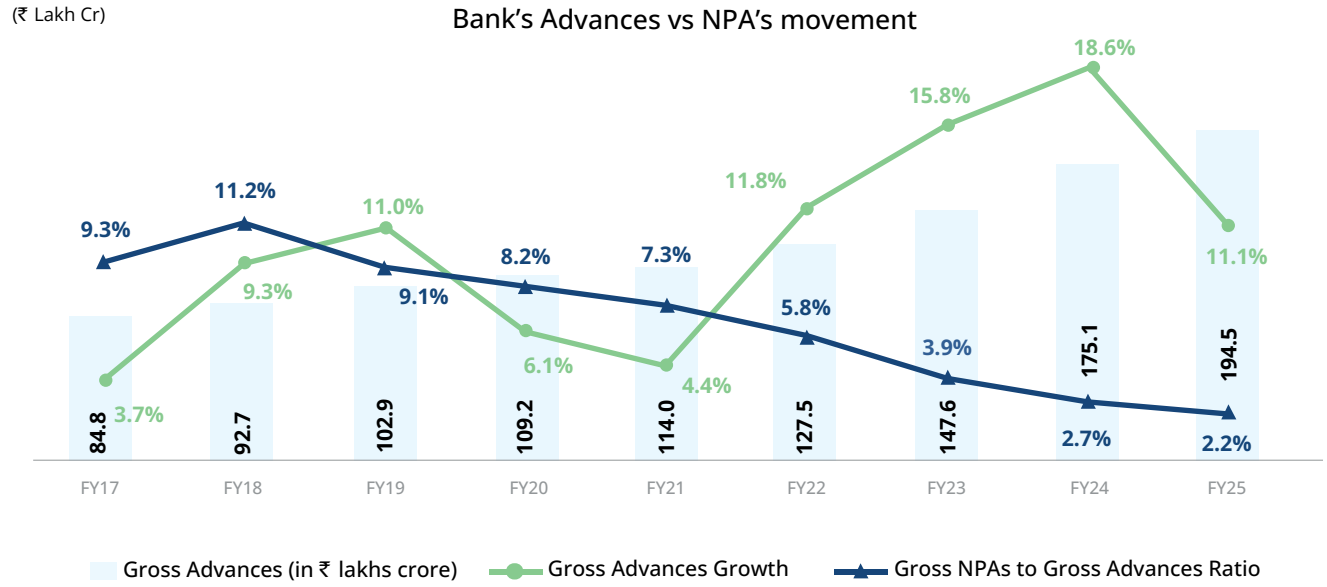
Source: gst.gov.in

Management Discussion *and Analysis*

e) Credit Growth and Asset Quality

India's banking system entered FY26 from a position of strengthening balance sheets and improving credit discipline. At the same time, asset quality improved significantly. As illustrated in the exhibit below, **gross advances of scheduled commercial banks have expanded steadily since FY17 at CAGR of ~11%, while the gross NPA ratio has declined sharply from a peak of 11.2% in FY18 to nearly 2.2% by FY25.** This improvement reflects stronger underwriting standards, balance sheet repair across corporates, and sustained recovery efforts within the banking sector.

Exhibit: Strong Credit Expansion Accompanied by Improvement in Bank's Asset Quality



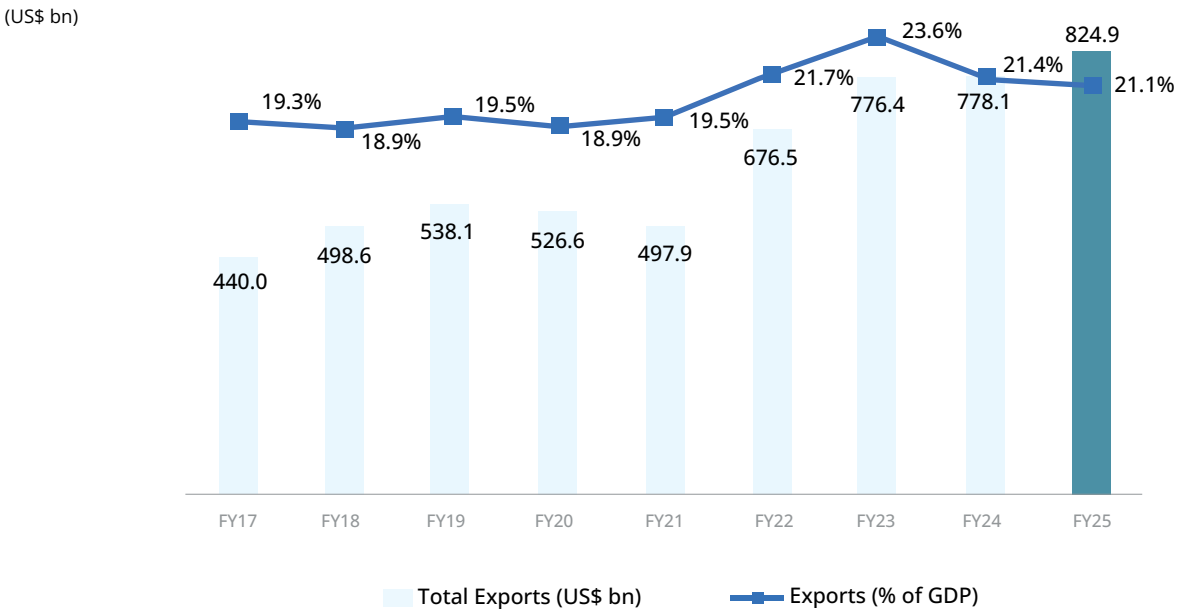
Source: RBI Database on Indian Economy

Management Discussion *and Analysis*

f) Exports

While domestic drivers remained the primary source of growth over the years, external demand, with a share of ~21% of GDP in FY25, also supported growth. In FY25, the exports of goods and services grew by ~6% y-o-y, exceeding the growth seen in the same period last year of ~1% supported by trade diversification. Services exports have continued to provide a stable anchor for growth, partially offsetting the greater volatility in goods exports, amid tariff related uncertainties. At the same time, efforts to strengthen domestic manufacturing and integrate with global value chains are expected to support merchandise exports over the medium term.

Exhibit: Strong Credit Expansion Accompanied by Improvement in Bank's Asset Quality



Source: Database on Indian Economy- RBI

Management Discussion *and Analysis*

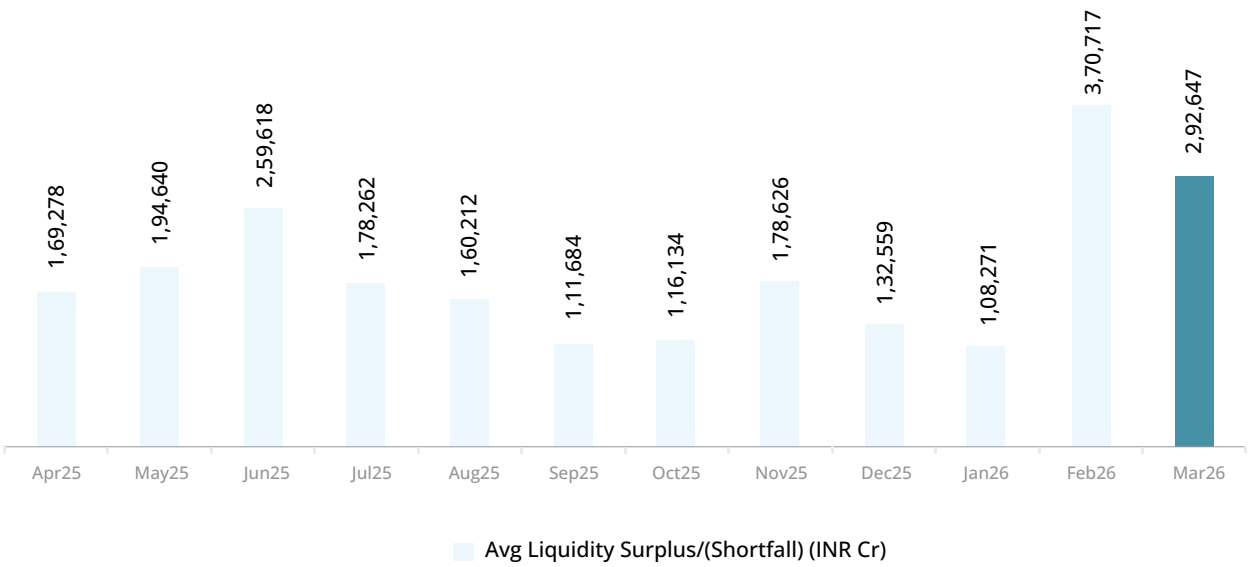
g) System Liquidity: Volatile Through FY26, Decisively Recovered in Q4

While the headline narrative of FY26 was one of moderating inflation and a softening rate cycle, liquidity conditions told a more nuanced story. Despite the RBI's accommodative stance and successive repo cuts, system liquidity remained volatile for much of the year - a paradox that shaped funding conditions across the financial sector.

Liquidity conditions during the year remained volatile, despite an overall accommodative monetary policy stance. While the year began on a relatively supportive footing - with surplus liquidity averaging ~₹2.1 lakh cr, in Q2 FY26 - conditions tightened as the year progressed. By Q4 FY26, system liquidity had moderated to ~₹1.6 lakh cr, driven by a combination of advance tax outflows, seasonal currency leakage, & sustained credit offtake.

In response, RBI actively calibrated liquidity through a series of measures, including open market operations (OMO), FX swaps, and CRR adjustments. The RBI has maintained sufficient liquidity to meet the productive requirements of the economy with a daily average surplus of around ₹3.7 lakh cr seen in early April 2026, following the previous tightening.

Exhibit: FY26 saw monthly average financial liquidity remain adequate throughout



Source: Database on Indian Economy- RBI

The alignment of India's growth, inflation, rate, and fiscal variables defines a macro environment for housing finance that is, by historical comparison, quite supportive. What remains is to understand the demand it is about to unlock.

Management Discussion *and Analysis*

03 *The Customer*

India's Middle Class in Motion: Structural Demand Driver

India's housing demand is increasingly shaped not just by its demographic advantage, but by the **conversion of that demographic potential into income growth and credit eligibility.** India's housing demand is not principally a story of population size - **it is a story of income formalisation, urbanisation, and the structural expansion of the mortgage-eligible cohort.** The above three forces are driving this simultaneously.

18.1 Cr
2030

Middle-income Household by 2030P

Growing at 7% CAGR (CRISIL)

40%
2030

Population Aged 30–59

Projected by 2030 (CRISIL)
vs 37% as of FY21

71
2031

No. of Cities with 1M+ population by 2031P

vs. existing 63 cities
(Knight Frank Research)

51%
2047

Urbanisation Rate 2047P

Urban population to reach
81Cr (Viksit Bharat 2047)

3.4
2050

Avg. Individual / Urban Household

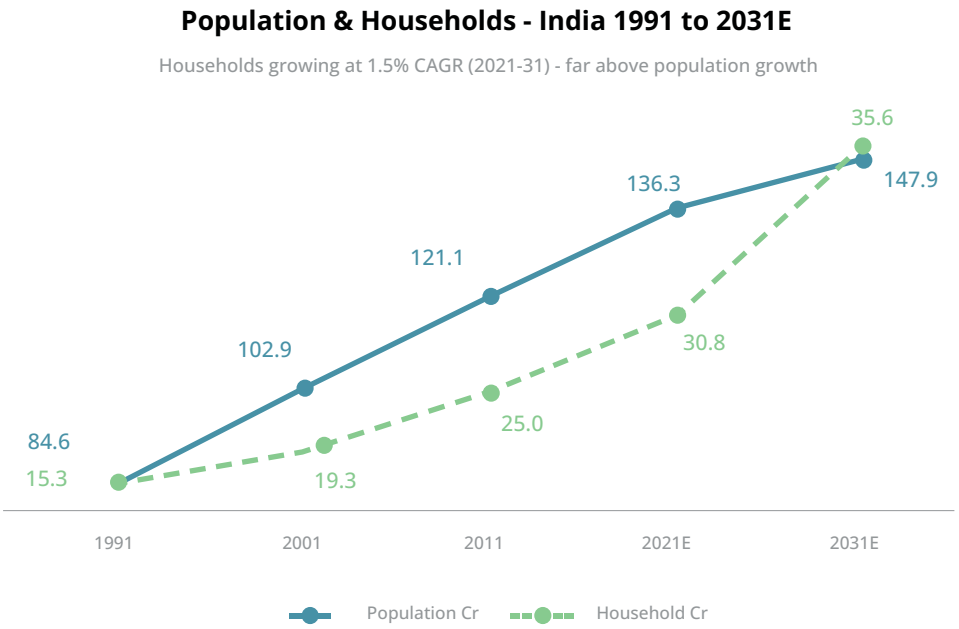
By 2050; ↓ from 4.5
(National avg in 2011)
(Viksit Bharat 2047)

Management Discussion *and Analysis*

a) The Arithmetic of India's Home-Buying Cohort

The population in India is projected to reach 1.5 billion by 2031, indicating a significant expansion in the country's demographic landscape.

Exhibit: Household Formation Outpacing Population Growth, Driving Demand

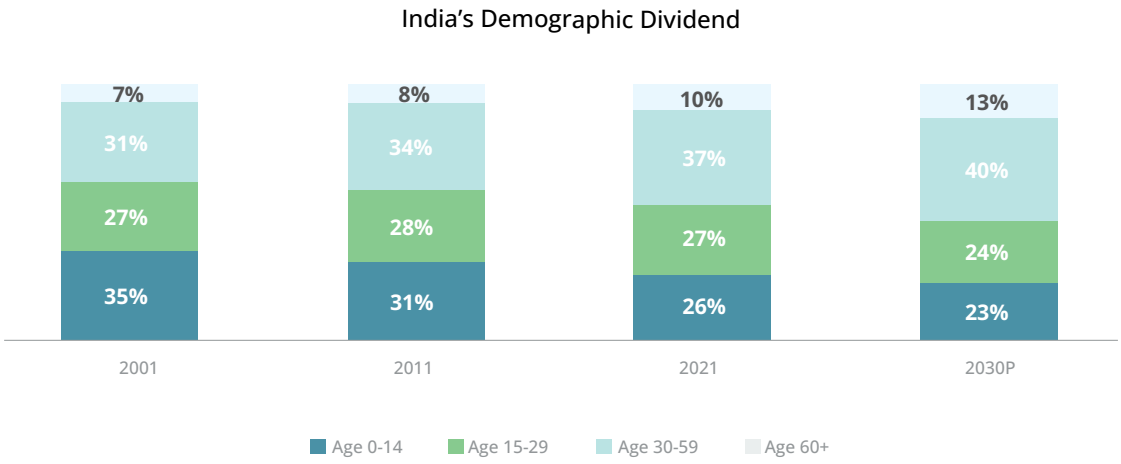


Source: Census, PRICE, ruralindiaonline.org

This demographic dividend creates the potential for housing demand. The ability of this cohort to translate aspiration of owning a house into ownership will be driven by income growth and access to credit. The chart below shows a steady rise in the working-age population, especially the 30–59 age group, which is projected to increase from **31% in 2001 to 40% by 2030.**

Management Discussion *and Analysis*

Exhibit: Demographic Shift Toward Prime Working Age Supports Income Growth

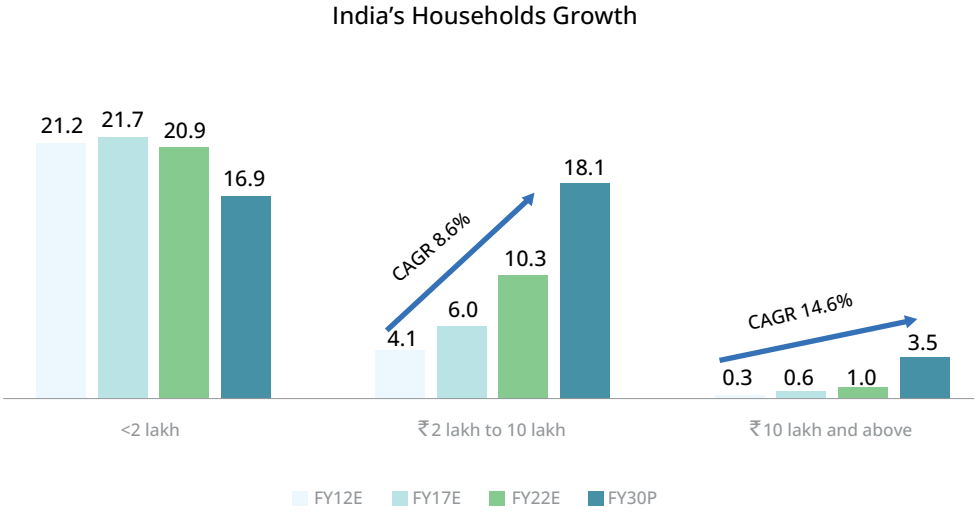


Source: CRISIL

A key driver for the housing demand is the rapid expansion of the **middle-income segment (₹2 to 10 lakh),** which forms the core customer base for housing finance. Middle-income households are projected to grow from **~4.1 cr in FY12 to ~18.1 cr by FY30,** representing a CAGR of ~8.6%. This segment expansion is particularly visible in semi-urban and emerging markets, where rising incomes are translating into **first-time home ownership demand.**

Exhibit: Middle-income India households projected to witness CAGR of ~8.6% between FY12 to FY30

(Households in cr)



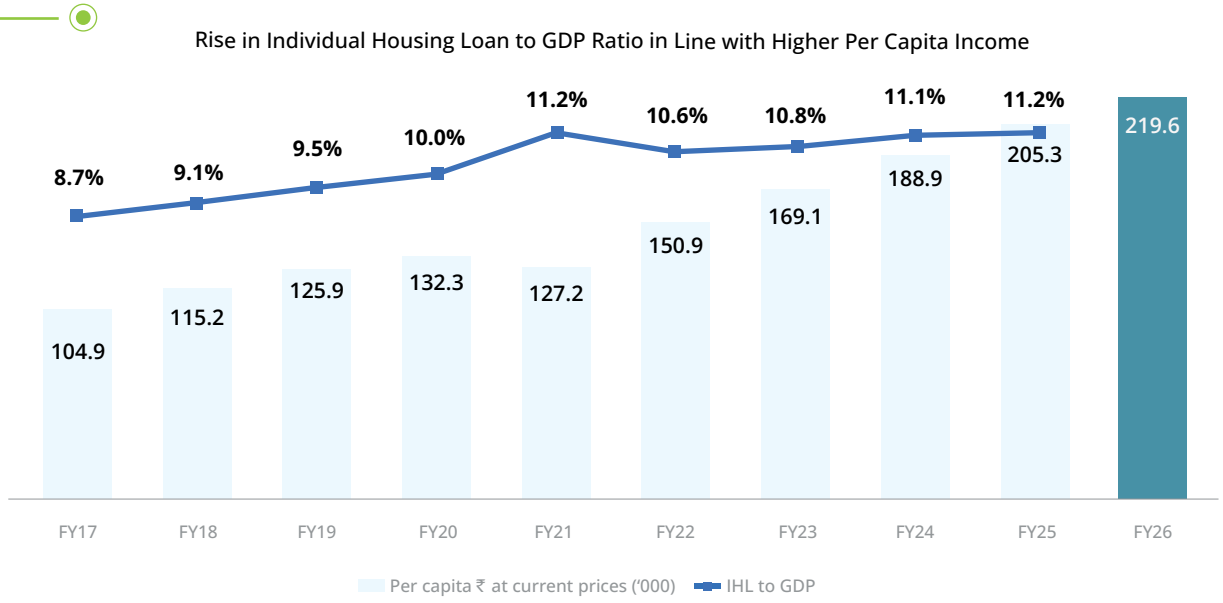
Note: E: Estimated, P: Projected; Source: Crisil Report

Management Discussion *and Analysis*

b) Income Growth: Converting Aspiration into Affordability

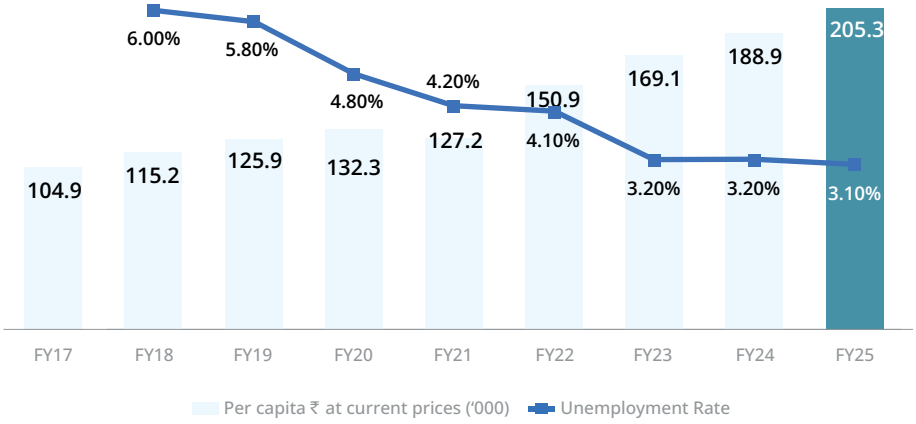
Demographic scale is necessary but not sufficient. What converts aspiration to eligibility is income. India's per capita (at current prices) earnings capability has trended upward consistently, rising from approximately ₹1,05,000 in FY17 to ₹2,20,000 in FY26 as per First Advance Estimates, more than doubled in a decade. Concurrently, the individual housing loan-to-GDP ratio expanded from 8.6% to 11.2%, suggesting a direct correlation between rising incomes and increased homeownership aspiration. Further, as per the Economic Survey 2025-26, personal income tax collections have nearly doubled over 3 years, from ₹6.7 lakh cr in FY22 to ₹12 lakh cr in FY25 (RE) - a signal of rising household earnings and expanding formal employment.

Exhibit: Income Growth Continues to Unlock Headroom in Housing Finance Demand



Source: Economic Survey Report 2025-26, NHB

Exhibit: Improving Income Levels Coupled with Lower Unemployment Signal Demand Resilience



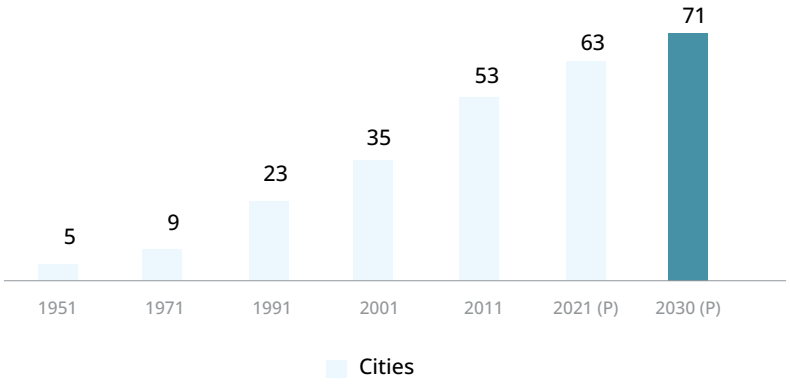
Source: Economic Survey Report 2025-26, PLFS

Management Discussion *and Analysis*

c) Urbanisation: The Migration That Feeds Our Markets

India's urbanisation is a key structural driver reshaping economic activity, consumption, and financial inclusion. Cities are increasingly becoming centres of productivity, employment, income generation, and wealth creation, driving growth in housing demand, credit penetration, and consumer spending. This trend is reflected in the rapid expansion of large urban centres - according to Knight Frank Research, the number of Indian cities with populations above 10 lakh is expected to rise from 23 in 1991 to 71 by 2030, including 8 mega cities with populations exceeding a crore each. As urban centres expand, the need for infrastructure and housing will continue to grow, with sustained demand for affordable and mid-income housing driven by India's rising middle-income population.

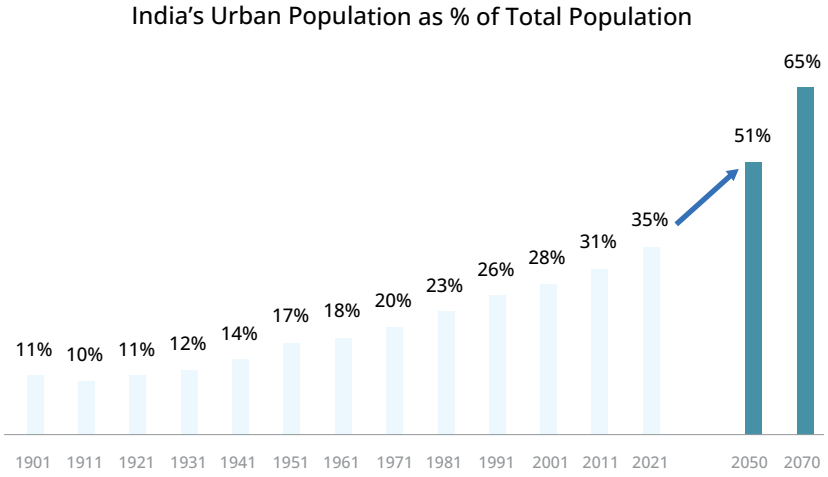
Exhibit: Growing number of 10 lakh+ population cities signals expanding urban demand centres



Source: Knight Frank Research

India's urbanisation trajectory has been steadily rising over the past few decades. As of 2021, approximately 35% of the population resided in urban areas. According to NITI Aayog's Viksit Bharat 2047 vision, this is expected to increase to **~51% by 2047** and further to ~65% by 2070. In absolute terms, the urban population - estimated at ~47cr in 2020 - is projected to expand significantly to ~81 cr by 2047.

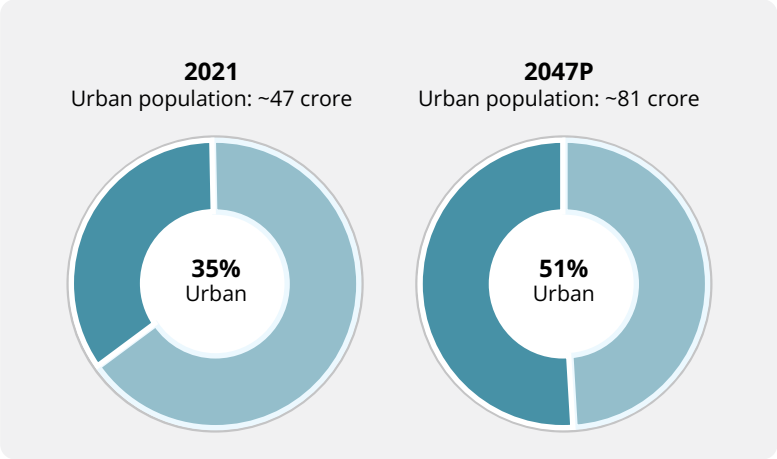
Exhibit: Rapid Urbanisation to Drive Long-Term Demand and Infrastructure Growth



Source: Census 2011, World Bank P: Projected; Source: Viksit Bharat 2047 Report

Management Discussion *and Analysis*

Exhibit — India's urban transition: ~35 cr additional urban residents by 2047



Source: Census 2011; Viksit Bharat 2047 Report (Dec 2025); NITI Aayog

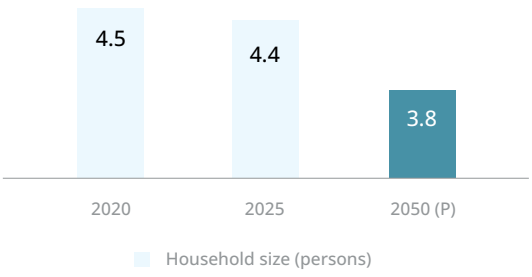
Urbanisation acts as a multiplier - enhancing productivity, deepening financial inclusion, and creating sustained demand across sectors such as housing, infrastructure, and financial services. For the housing finance ecosystem in particular, this migration-led expansion of urban centres represents a long-term, durable demand driver.

d) Nuclear Family Formation: More Units, Same People

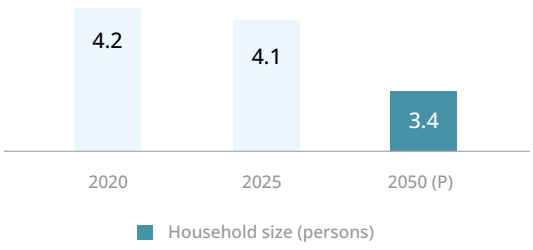
Urbanisation has been accompanied by a shift toward nuclear family structures, resulting in a consistent decline in average household size. Census data shows that average household size reduced from 5.5 persons in 1991 to 5.3 in 2001 and further to 4.5 in 2011. Looking ahead, the Viksit Bharat 2047 report projects urban household size to decline from 4.1 in FY25 to 3.4 by 2050, while rural household size is expected to decrease from 4.4 to 3.8 over the same period - highlighting an ongoing structural contraction in household size.

This trend is being driven by increased migration to urban centres, evolving lifestyles, and a rising preference for independent living. As households become smaller, the demand for housing units increases even in a scenario of moderate population growth, thereby creating a sustained structural need for additional housing supply.

Trend in Rural Household size



Trend in Urban Household size



Source: Viksit Bharat 2047 Report

Management Discussion *and Analysis*

e) Formalisation: Expanding the Credit-Eligible Customer Base

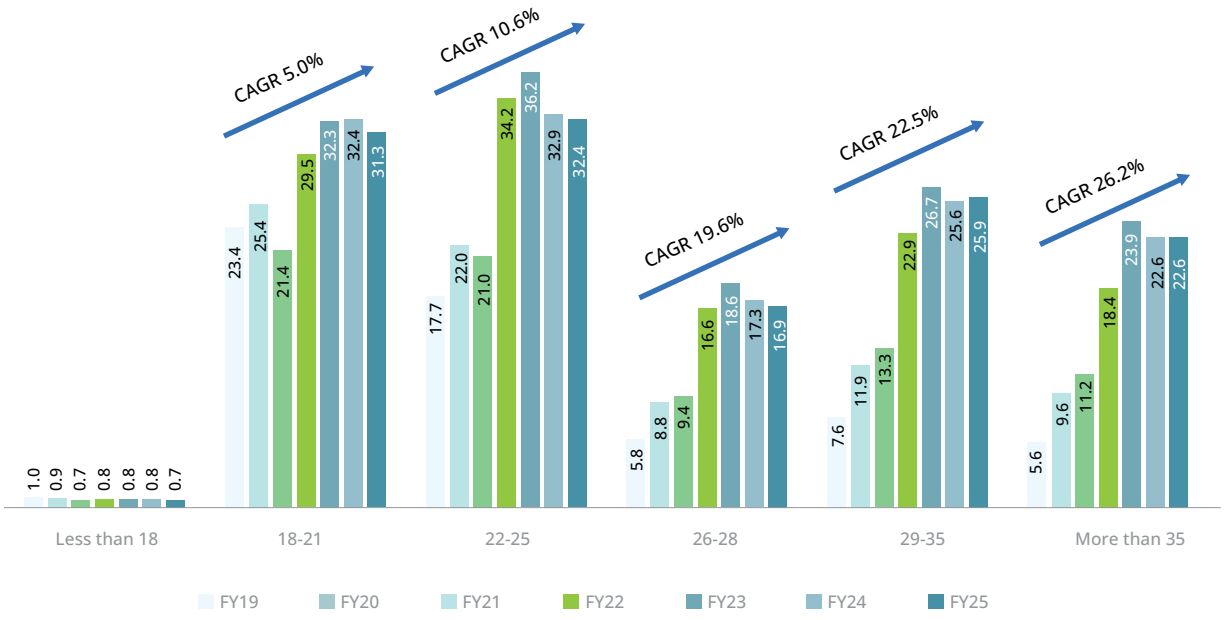
The single most structurally significant shift in India's customer base over the past few years is formalisation.

i. The EPFO payroll data highlights sustained workforce formalisation in India, with consistent growth in net payroll additions across prime earning age groups, particularly 18–35 years which has grown at CAGR of ~14% in past 6 years, indicating a rising share of salaried and formally employed individuals entering the financial system. This trend strengthens income visibility, repayment assessment, and credit underwriting capabilities for housing finance companies, while also expanding the addressable base of first-time homebuyers with stable and documentable income profiles.

Exhibit: Sustained Workforce Formalisation Enhances Income Visibility and Credit Penetration

(Numbers in Lakh)

Provisional Estimate of Net Individuals in Age Buckets as per EPFO Records

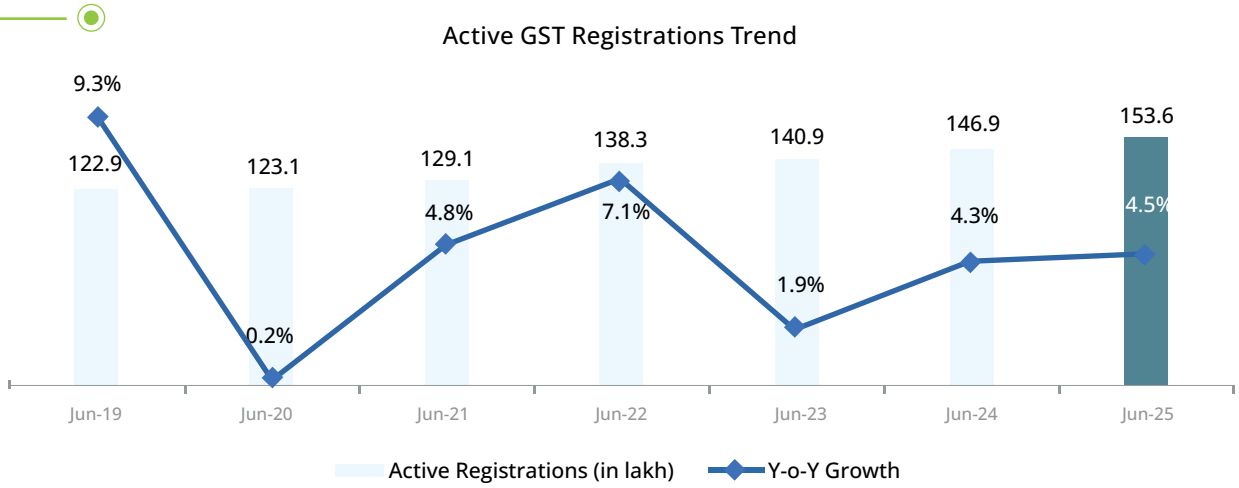


Source: EPFO Payroll Data

ii. The steady increase in GST registrations from 122.9 lakh in Jun-19 to 153.6 lakh in Jun-25 reflects the continued formalisation of India's small business ecosystem, bringing a larger pool of self-employed and MSME borrowers into the documented economy.

Management Discussion *and Analysis*

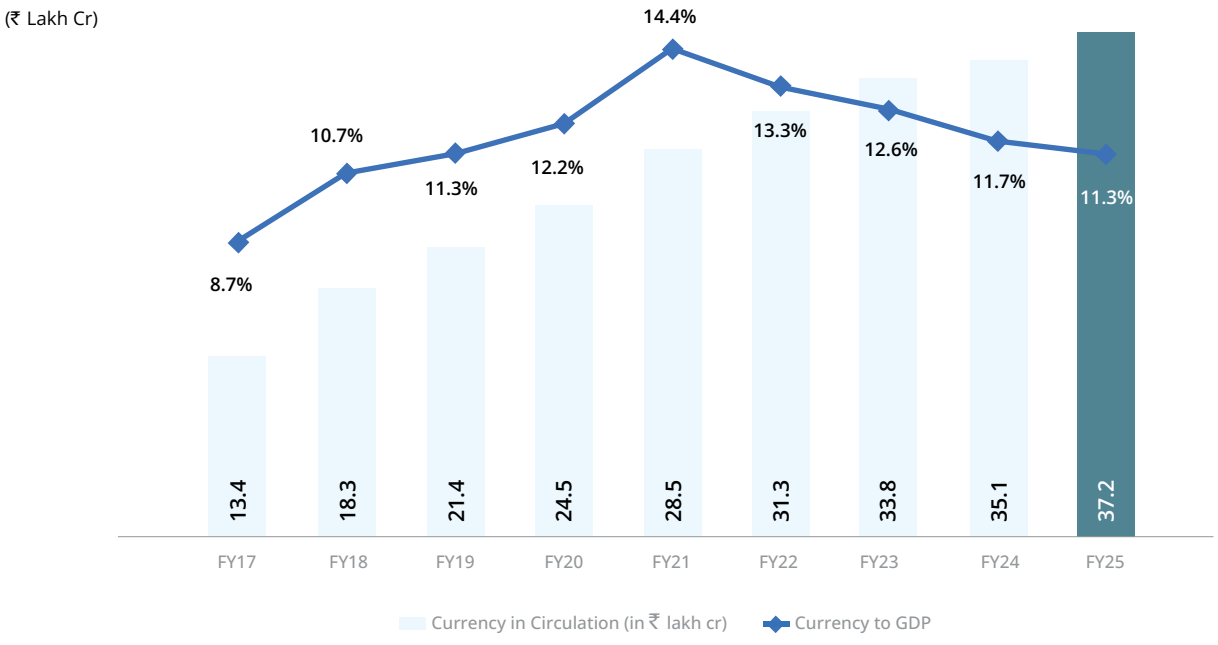
Exhibit: Rising Registrations Indicate Deepening Tax Net and Business Formalisation



Source: gst.gov.in

iii. India has used technology as a key enabler in expanding the credit-eligible customer base. Digital infrastructure thus acts as a multiplier, amplifying the impact of income growth and urbanisation on overall economic efficiency. The currency in circulation in the economy has reduced from its peak of 14.4% of GDP to ~11.3% of GDP with corresponding increase in the digital transactions.

Exhibit: Currency in Circulation has reduced to 11.3% as a % to GDP in FY 24-25



Source: Handbook on India Statistics- RBI

Management Discussion *and Analysis*

Every digital transaction creates a data trail. Every GST-registered business generates auditable income records. Every EPFO enrolment formalises employment. **Together, these trails are converting previously unassessable borrowers - self-employed workers, small traders, gig economy participants - into underwriteable credit profiles.** The addressable market for formal housing finance is expanding not because more people want homes, but because more of those who always wanted homes can now be assessed.

India's mortgage-eligible middle class is being formed right now, by rising incomes, formalisation, and the shift of a working-age population into its peak borrowing years. The customers are ready. The question is whether formal credit will reach them.

Management Discussion *and Analysis*

04 *Policy Architecture*

Government's Housing Commitment — The Enabling Architecture

Demand, as established above, is growing. What determines whether that demand converts into formal loan originations at scale is the policy environment in which lenders operate. India's government has, over the past decade, progressively repositioned itself as a facilitator in the affordable housing cycle through a suite of interventions that simultaneously expand the addressable market, reduce lender risk, and improve borrower affordability.

3.0Cr

PMAY 2.0 Target Homes

Rural + Urban · FY25–FY29

₹ 21,625 Cr

PMAY-Urban Budget FY27

+177% over FY26 RE - escalating commitment

₹50L

PSL Limit in Metro Cities

Revised 2025 (RBI)- widens addressable HFC market

₹ 12.2 lakh Cr

Public capex Budget FY27

Up 3.1% from ₹11 lakh cr capex forFY26

Management Discussion *and Analysis*

a) PMAY 2.0: Scaling the commitment to 3.0 cr homes

The **Union Budget 2026–27 significantly increased allocations for PMAY-Urban to ₹21,625 cr,** compared with **₹7,800 cr in the revised estimates for FY26,** representing a **177% increase,** signalling renewed policy emphasis on affordable housing.

The Ministry of Housing and Urban Affairs launched PMAY–Urban (PMAY-U) on June 25, 2015, to address the shortage of urban housing among the EWS/low-income group (LIG) and middle-income group (MIG) population, including slum dwellers, and provide pucca houses to all eligible urban households by 2022 (extended to 2024 and then 2029).

PMAY 2.0 was launched in September 2024 with a goal to construct 3.0 cr houses (rural and urban) over FY25 to FY29. A key difference between the two phases of the scheme is the nature of the interest subsidy. Under the erstwhile scheme, the interest subsidy was **credited upfront** to the loan account of the beneficiary with the primary lending institutions, resulting in reduced equated monthly instalments. Under PMAY 2.0, the interest subsidy will be **released in five equal yearly instalments.** Further, if the borrower has taken a housing loan from one primary lending institution and later transfers the balance to another, the beneficiary will not be eligible to claim the interest subsidy again. This significantly **reduces balance transfers** among the lenders.

As of May 4, 2026, overall sanctions of 1.3 cr houses have been sanctioned under the PMAY-U & PMAY-U 2.0 schemes with a total commitment of ₹2.1 lakh cr. Out of the committed amount, ₹1.8 lakh cr have already been released in the beneficiaries' accounts.

The below provides the analysis of both the schemes:

Aspect	PMAY 1.0 (Achieved)	PMAY 2.0 (Target)
Launch Year	2015	2024
Housing Target (cr)	4.95 cr	3.0 cr
– Urban	Successfully constructed 1.1 cr houses (against target of 2.0 cr)	1.0 cr
– Rural	Successfully completed 2.6 cr houses (against target of 2.95 cr)	2.0 cr
Beneficiary Eligibility Criteria		
– Urban	EWS: Up to ₹3 lakh LIG: ₹3–6 lakh MIG I: ₹6–12 lakh MIG II: ₹12–18 lakh	EWS: Up to ₹3 lakh LIG: ₹3–6 lakh MIG: ₹6–9 lakh
– Rural	Rural BPL households Up to ₹3 lakh	Rural BPL households Up to ₹3 lakh
Interest Rate Subsidy		
– Urban	EWS: 6.5% LIG: 6.5% MIG I: 4% MIG II: 3%	4% across all income groups
– Rural	3.0%	3.0%

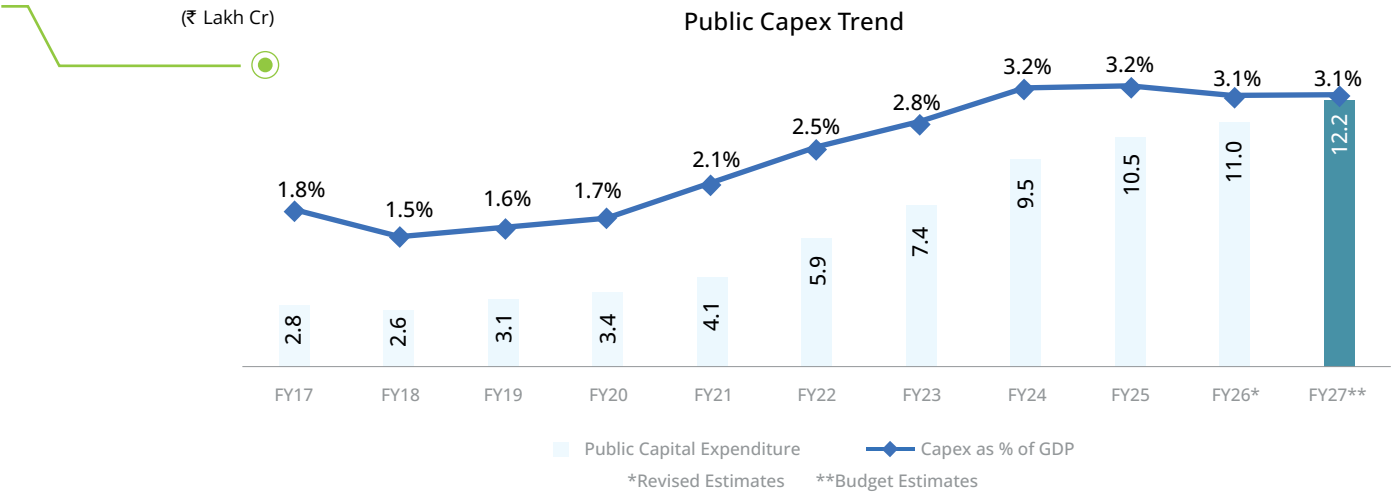
Source: Knight Frank Research

Management Discussion *and Analysis*

b) Infrastructure Capex: Creating New Housing Markets

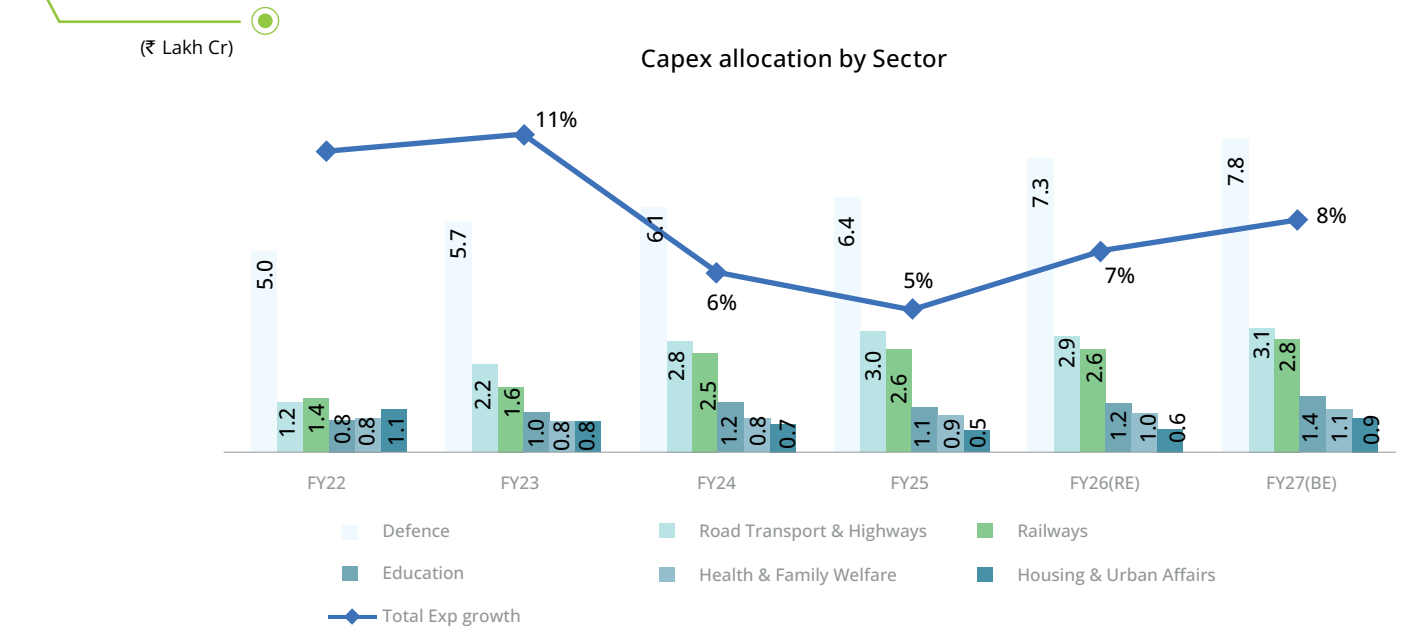
India's sustained focus on infrastructure development has become an important driver of productivity and economic expansion. Over the past decade, public capital expenditure has increased significantly, rising from ₹2.8 lakh cr in FY17 to reaching ₹12.2 lakh cr by FY27 as per Union Budget 2026BE. As a share of GDP, public capex has remained elevated at around 3.0–3.2% in recent years, reflecting the government's continued emphasis on infrastructure-led growth. Investments across roads, railways, ports, airports, logistics parks, and urban infrastructure are improving connectivity, reducing travel time, and lowering logistics costs across the economy.

Exhibit: Infrastructure Push Continues to Anchor Economic Expansion



Source: Govt of India Budgets

Exhibit: Targeted Capex Allocation Strengthens Core Infrastructure and Social Sectors



Source: prsindia.org

Management Discussion *and Analysis*

Infrastructure investment converts Tier 3 agglomerations into Tier 2 employment hubs; it turns peri-urban belts into commuting catchments; it lifts land values, which lift collateral values; and it lifts local employment, which in turn lifts debt-service capacity.

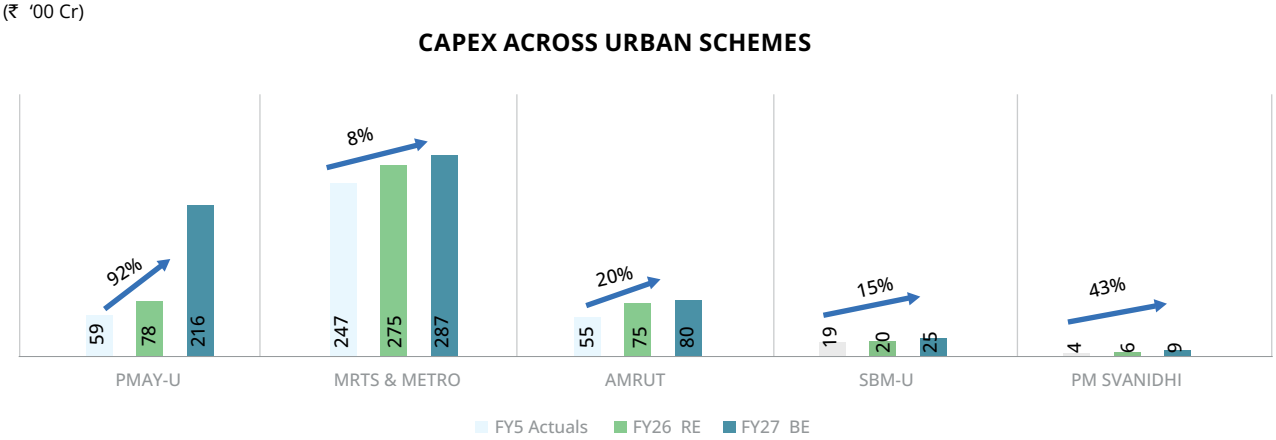
c) Housing Policy & Urban Development (Smart Cities Mission)

Beyond housing-specific interventions, continued public investment in urban infrastructure is playing a critical role in shaping the depth and sustainability of housing markets across cities. Budgetary allocations in Union Budget 2026-27 towards Metro and Mass Rapid Transit Systems (MRTS) (₹28,740 cr), AMRUT-led urban infrastructure development (₹8,000 cr), and urban sanitation initiatives under Swachh Bharat Mission - Urban (SBM-U) (₹2,500 cr) have been scaled up, enhancing connectivity, improving service delivery, and elevating overall urban liveability.

In parallel, targeted livelihood-focused schemes such as PM Street Vendor's Atmanirbhar Nidhi (PM SVANIDHI) launched in CY2020 - provides collateral-free working capital loans to street vendors - has witnessed increased allocations of ₹900 cr in FY27. As per the impact assessment study of this scheme covered in Economic Survey Report 2025-26, the welfare effects of PM SVANidhi extend beyond enterprise metrics. The improved income in informal segment have led to housing upgrades for 39% of households, better food access for 55%, more affordable healthcare for 44%, and enhanced educational opportunities for 50%. These multi-dimensional gains reflect a broader policy emphasis on strengthening income stability and resilience within the informal sector, which forms a significant share of the urban workforce. Collectively, these interventions are addressing structural constraints within urban ecosystems - supporting both the supply side through improved infrastructure and the demand side by enhancing income visibility - thereby enabling more sustainable and inclusive growth in urban housing markets.

Exhibit: Accelerating Investments Across Housing, Mobility, and Urban Infrastructure

(₹ '00 Cr)



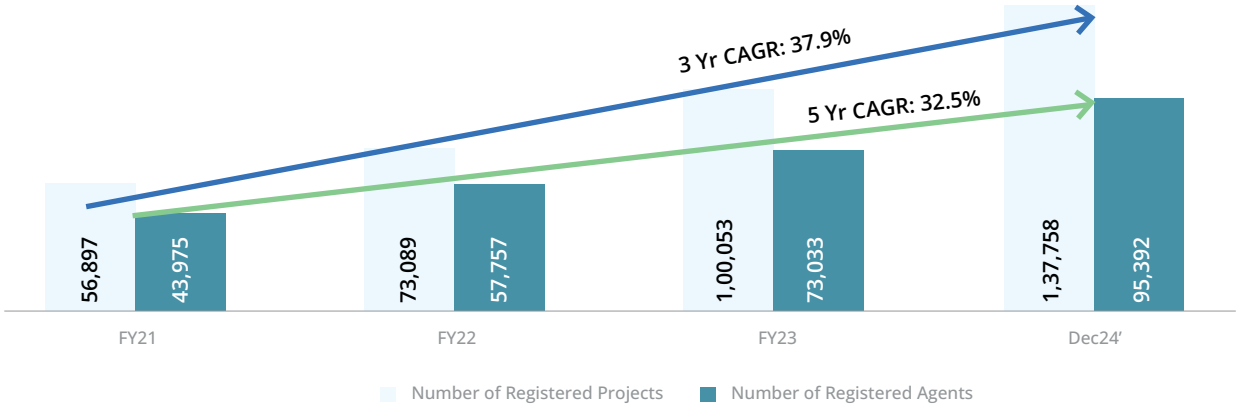
Sources: Demand No. 60, Ministry of Housing and Urban Affairs, Union Budget FY26-27

Management Discussion *and Analysis*

d) RERA and Market Transparency

RERA's implementation has materially improved market transparency. As of December 2024, 1.4 lakh projects are registered (doubled up from ~57,000 in FY21) and ~95,000 agents are registered (2x growth from ~44,000 in FY21). Greater project registration means improved delivery predictability, lower construction risk for end-buyers, and better collateral quality for lenders. In a market where project delays historically represented a significant source of NPA formation in real estate loans, RERA's formalisation effect is a structural improvement in the risk profile of new disbursements.

Exhibit: Rising registrations under RERA reflect increasing formalisation of the real estate sector



Source: MOHUA Annual Reports

e) Priority Sector Lending: Expanded Eligibility Widens the Addressable Market

The RBI's revised PSL Master Directions (2025) increased housing loan limits eligible for priority sector classification: ₹50 lakh in metropolitan centres (population 50 lakh+), ₹45 lakh in cities with 10–50 lakh population, and ₹35 lakh in smaller towns. The corresponding property value caps have been set at ₹63 lakh, ₹57 lakh, and ₹44 lakh respectively. This expansion directly increases the pool of loans that banks and HFCs can classify as priority sector - creating a structural incentive for lenders to extend credit deeper into the affordable housing market and broadening the competitive playing field in a segment that was previously served by fewer participants.

f) Fiscal reforms: Rising disposable income and expanding household purchasing power

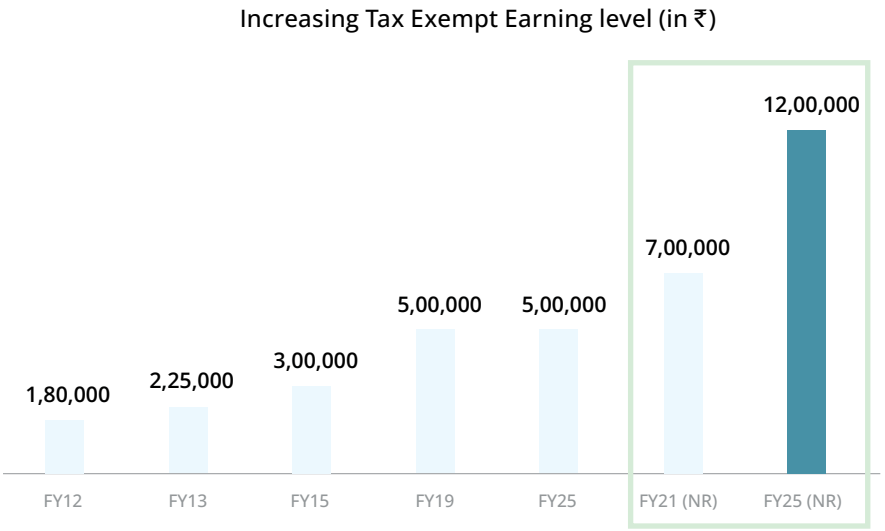
Recent fiscal policy measures undertaken by the Government of India - particularly changes in personal income taxation and rationalisation of indirect taxes - are expected to meaningfully enhance disposable income for households, especially within the emerging middle-income segment. These reforms are designed not only to provide direct financial relief to taxpayers but also to stimulate consumption, strengthen domestic demand, and support the broader economic growth cycle.

Management Discussion *and Analysis*

i) Direct Tax Changes: Expanding Household Liquidity

The introduction of a higher tax-free income threshold and revised slab rates under the new tax regime have significantly eased the tax burden on middle-income taxpayers, with many either paying lower taxes or becoming fully exempt from income tax. Under the Union Budget 2025–26, individuals earning an average monthly income of around ₹1 lakh have been provided meaningful tax relief. Notably, salaried individuals with annual income up to ₹12.75 lakh are not required to pay any income tax under the new regime, after considering the standard deduction. These reforms reflect the Government's broader fiscal objective of fostering a consumption-led growth model by enhancing disposable incomes, thereby supporting stronger household spending and overall economic activity.

Exhibit: Policy Support Enhancing Household Disposable Income



ii) GST Rationalisation: Reducing the Cost of Living

Under the Central Goods and Services Tax (CGST) rules, preferential rate of 1% apply to residential units with value ≤₹45 lakh and carpet area ≤60 sq. m (metro) / ≤90 sq. m (non-metro). The GST overhaul simplified the tax structure and reduced tax rates on a wide range of consumer goods and services, particularly those that form a large component of household expenditure. Further, in September 2025, the cost of building homes changed significantly due to lower taxes on raw materials -Cement reduced from 28% to 18%, and bricks & stone, many materials were moved to a lower 5% slab. For the affordable housing segment, above reforms have dual benefit: it improves borrower's net monthly surplus (improving EMI affordability) and reduces construction input costs (moderating property prices in the EWS/LIG segment).

Management Discussion *and Analysis*

05 *India's Tech Stack*

Making the previously un-bankable, bankable

The above sections establish the demand for affordable housing credit and the policy framework supporting it. The constraint that historically prevented that demand from converting into formal loan originations was not affordability or aspiration - it was assessment. A self-employed borrower with irregular cash flows, no formal pay slip, and no credit history was, in traditional underwriting, simply unassessable. India's digital public infrastructure has altered this equation.

India did not build a digital economy - it built a digital civilisation infrastructure. For the first time, the Economic Survey 2025–26 formally attributed a portion of India's potential growth upgrade to these digital infrastructure dividends - recognising them as Total Factor Productivity gains that allow the economy to extract more output from the same inputs by reducing transactional friction at scale.

USD 176 bn

IT Spend (2026P)

CAGR ~13%; up from US$ 139 Bn in 2024 (Gartner)

24,161 Cr

UPI Transaction Volume (FY26)

86% of total digital payments
61% CAGR in last 5 years

890+

Gen AI Startups

Up 3.7x from H1 CY24 (240) to H1 CY25 (Economic Survey Report)

8 GW

Data centre capacity by 2030

From 1.4GW (Q2 2025) · AI-driven demand (Economic Survey Report)

Management Discussion *and Analysis*

a) DPI: The Bedrock of Credit Formalisation

Economy-wide adoption of Aadhaar, UPI and GSTN has reduced transaction and compliance costs. Settlement cycles have shortened, tax compliance improved, and firm entry/exit simplified - improving allocative efficiency by allowing capital to flow to more productive activities.

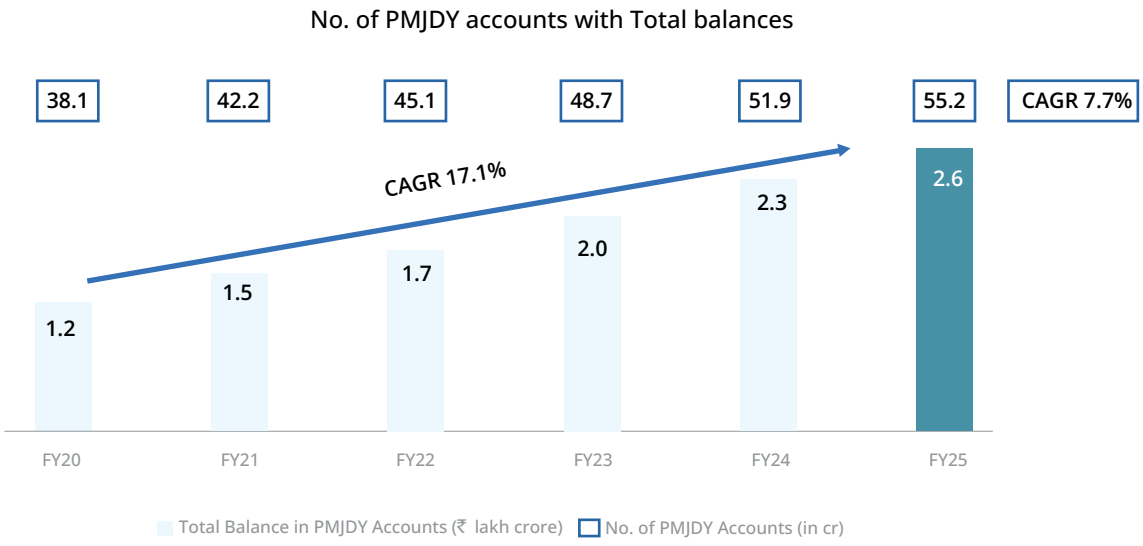
i) JAM Trinity: The Foundation of India's Credit Formalisation Revolution

India's JAM (Jan Dhan–Aadhaar–Mobile) trinity has fundamentally altered who can access formal credit. As per the Global Findex Database 2024, 89% of Indian adults now own a bank account - a transformation achieved in under a decade. While 14% of adults still have inactive accounts, existing account holders represent an immediate expansion opportunity for financial institutions committed to inclusion.

ii) Prime Minister Jan Dhan Yojna (PMJDY): Banking Access at Scale

Under the PMJDY, the government's aim is to ensure that every household in India has a bank account that they can access from anywhere and avail of all financial services such as savings and deposit accounts, remittances, credit and insurance affordably.

Exhibit: Rising Account Penetration and Balances Reflect Inclusive Growth



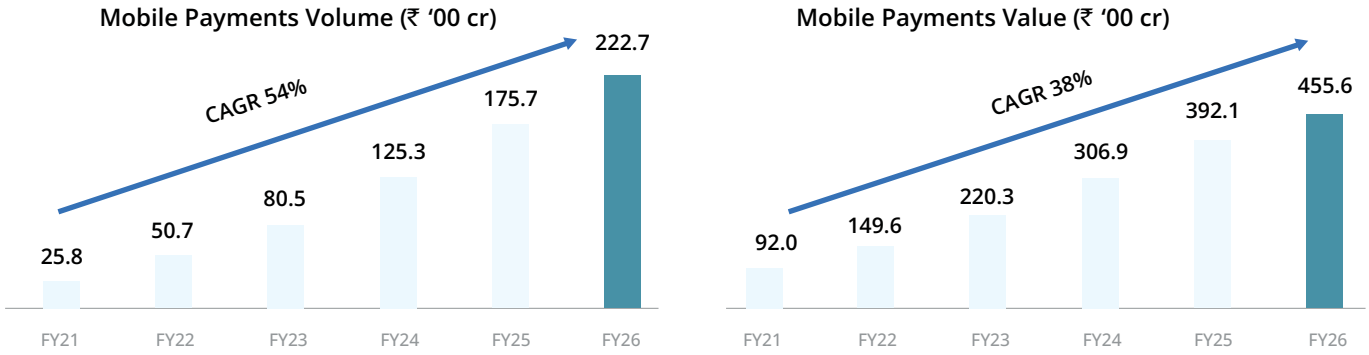
Source: CRISIL

iii) Mobile Banking: Financial Inclusion in Rural India

In order to make financial services accessible to people who are unable to access physical bank branches, mobile banking has increased financial inclusion especially in rural areas. Mobile payments have seen number of transactions increase from 2,555 cr in FY21 to 22,267 cr in FY26. In value terms, the transactions grew from ₹92 lakh cr in FY21 to ₹455.6 lakh cr in during the same period.

Management Discussion *and Analysis*

Exhibit: Exponential Growth in Mobile Payments Reflects Digital Adoption at Scale

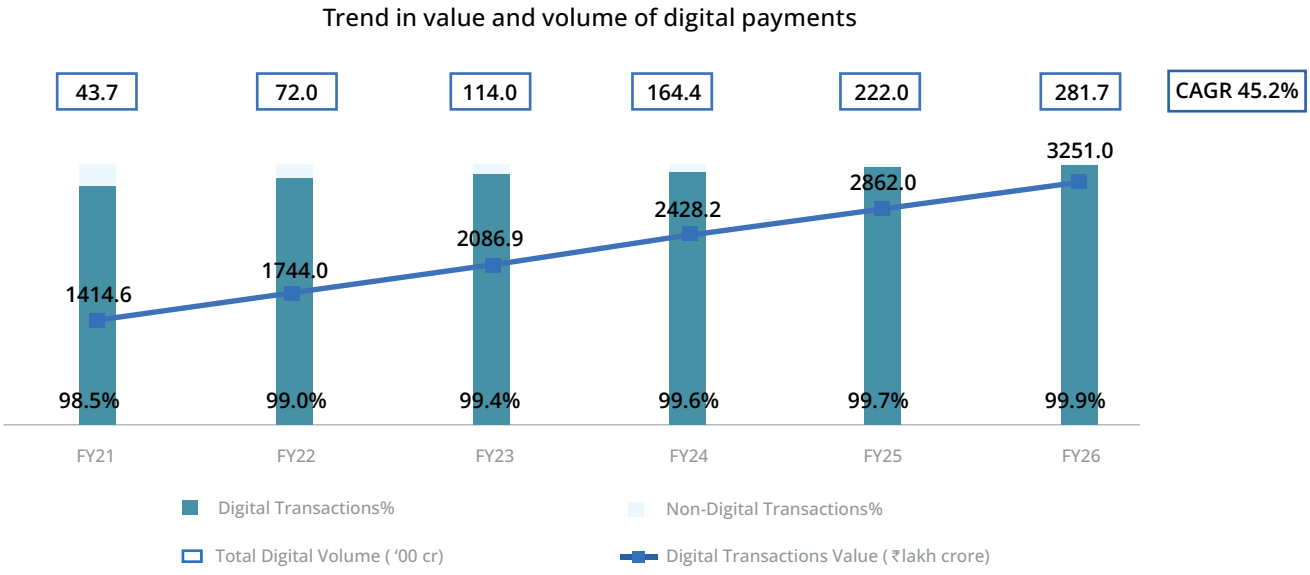


Source: NPCI

b) UPI and Digital Payments: Bringing Scale & Speed

Deeper mobile penetration, improved connectivity and faster and cheaper data supported by Aadhaar and expanded bank account penetration have transformed India from a cash-dominated economy to a digital one. Total digital payments in the country grew significantly over the past few years. This accelerated trend underscores the technological innovations driving financial inclusion and accelerating digital economy. As per CRISIL Intelligence, UPI, an instant payment platform, has seen considerable uptake among retailers, with the number of transactions increasing to 24,161 cr (~86% of total digital transactions) in FY26 against 2,230 cr in FY21 (~51% of total digital transactions). This reflects faster UPI adoption over the years at a CAGR of 61%.

Exhibit: Minimal Reliance on Non-Digital Modes Signals Mature Digital Ecosystem



(Graph not to scale)
Source: NPCI

Management Discussion *and Analysis*

c) AI and ML: From Efficiency Gains to Underwriting Innovation

Artificial Intelligence (AI) and Machine Learning (ML) are rapidly transitioning from back-office productivity tools to strategic enablers across financial services. The Reserve Bank of India's Framework for Responsible and Ethical Enablement of AI (FREE-AI), Committee notes that AI adoption in the sector is accelerating globally, with projected investments across banking, insurance, capital markets and payments expected to exceed USD 97 billion by 2027.

In India, the RBI also highlights that Generative AI could improve banking operations by up to 46%, underscoring its potential to materially enhance productivity, customer service and risk management. For affordable housing finance, the most consequential application is credit assessment of non-standard borrowers. ML models trained on digital transaction data, GST filing patterns, and cash flow proxies can evaluate the repayment capacity of self-employed and informally-salaried borrowers whom traditional scorecards decline by default. The result is a fundamentally expanded credit-eligible population - not by relaxing underwriting standards, but by improving information quality.

India's digital infrastructure has not just improved financial access - it has created an entirely new category of assessable borrower. This combined with a rapidly maturing AI ecosystem, are creating conditions under which affordable housing finance can scale with discipline - reaching more borrowers, faster, with better risk outcomes and lower operating costs. The households that were previously excluded from formal credit not by ability to repay, but by inability to prove it, are now formally trackable.

Management Discussion *and Analysis*

06 *Industry Landscape*

India's Affordable Housing Finance Industry-Structure & Growth

India's housing finance market has grown into a large and structurally significant segment of the financial ecosystem. Total housing loan outstanding stood at ~₹42 lakh cr as at end of Dec 2026, having expanded at a 14.5% CAGR between FY21 and FY25, and is projected to reach ₹56 lakh cr by FY28 by CRISIL.

Within this broader market, the affordable housing finance (AHF) segment - considered here as housing loans in the ₹5–40 lakh ticket size range - constitutes a large and structurally distinct opportunity. As of Q3 FY26, affordable housing loan outstanding stood at approximately ₹21 lakh cr, estimated to grow to ₹36 lakh cr by FY30, assuming a~12% CAGR. This growth reflects sustained end-user demand, improving affordability, and increasing penetration of formal credit. However, beneath this expansion lies a structurally segmented market, where affordable housing finance has emerged as a distinct and underpenetrated opportunity.

As discussed in the earlier sections India's housing market presents unique dynamics - **strong end-user demand coexisting with limited formal credit penetration.** This gap is most visible in the affordable housing segment, where a large section of economically active households remain underserved by traditional lending channels.

₹42 lakh Cr

Total Housing Loan Outstanding Q3FY26

Projected to grow to ₹56 lakh cr by FY28 by CRISIL

₹21 lakh Cr

Affordable Housing Loan Outstanding Q3FY26

Projected to grow to ₹36 lakh cr by FY30

65%

Affordable Housing Loan Volumes ₹5L - ₹40L

AHF segment dominates

12%

₹5–40L: 2Yr AUM CAGR

Fastest-growing segment

Source: Bureau data, CRISIL, Company's internal estimates. The Affordable Housing segment is considered as housing loans with ticket size of ₹5-40 lakhs with estimated CAGR of 12%.

Management Discussion *and Analysis*

a) Multiple Frameworks of Affordable Housing Finance

Affordable housing has been covered across multiple regulatory and policy frameworks in India, each tailored to its specific purpose. A few of them are captured below:

- **PMAY-U 2.0 (2024):** A dwelling unit with carpet area up to 60 sq. m in metropolitan cities (90 sq. m in non-metro areas) and total value not exceeding ₹45 lakh. Beneficiaries are classified as EWS (household income <₹3 lakh/year), LIG (₹3–6 lakh), and MIG (<₹9 lakh).
- **RBI – Priority Sector Lending (PSL):** Defines affordable housing loans eligible for PSL classification, updated April 2025.

(Amount in ₹ lakh)

Population centric criteria	Max Housing Loans	Max Property Cost
Centres with pop. ≥ 50 lakh	50	63
Centres with pop. 10-50 lakh	45	57
Centres with pop. <10 lakh	35	44

- **GST Act, 2019:** Preferential rates (1%) apply to units with value ≤₹45 lakh and carpet area ≤60 sq. m (metro) / ≤90 sq. m (non-metro).

For the purposes of Industry landscape section, the affordable housing finance segment is considered as housing loans with ticket sizes between ₹5 lakh and ₹40 lakh — consistent with industry convention and reflecting the primary borrower segments served.

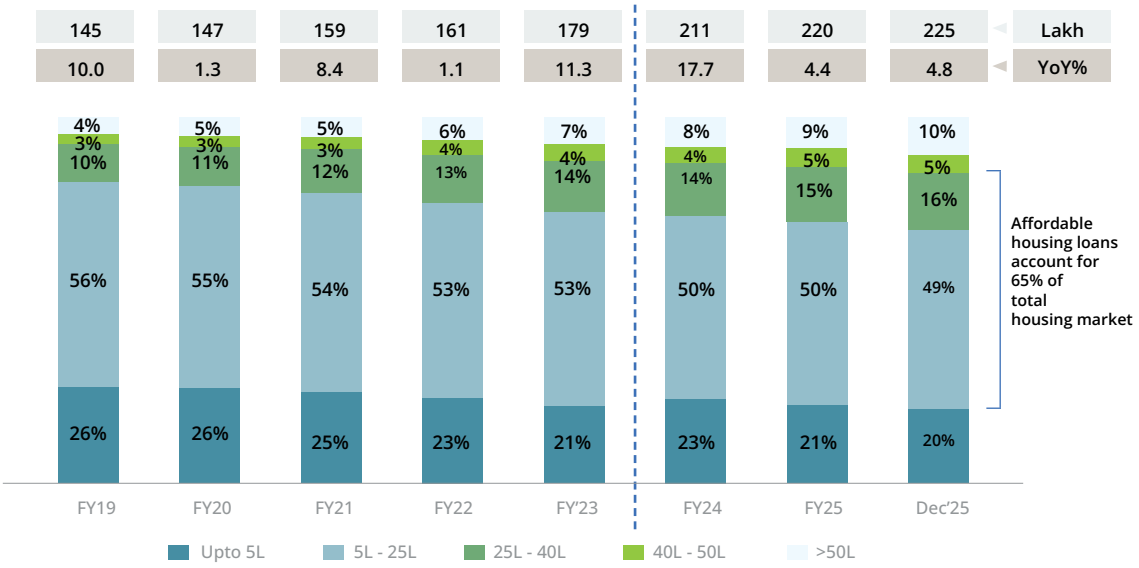
Management Discussion *and Analysis*

b) Ticket Size Distribution: ~85% of Volumes Remain Sub-₹40L

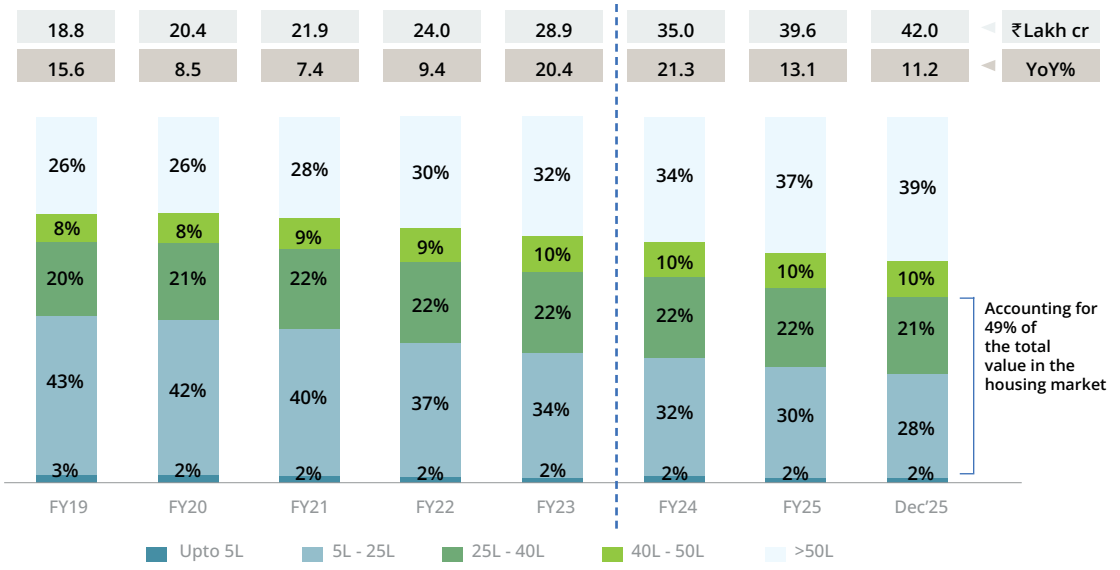
Between FY21 and FY25, the high growth rate in loans above ₹40 lakh among ticket size categories can be attributed to premiumisation trends in Metropolitan and Tier I cities, increased supply of higher-value residential units, and strong participation from prime salaried and self-employed borrowers with established credit histories.

In terms of portfolio (AUM) composition as of Dec' 2025, affordable housing loans (₹5–40L) accounted for ~65% of total housing finance outstanding in volume terms and ~49% in value terms

Ticket Size-wise Portfolio Mix: Volume Terms



Ticket Size-wise Portfolio Mix: Value Terms



Source: Experian (upto Mar'23) & CRIF Bureau data (from Apr'23 onwards)

Management Discussion *and Analysis*

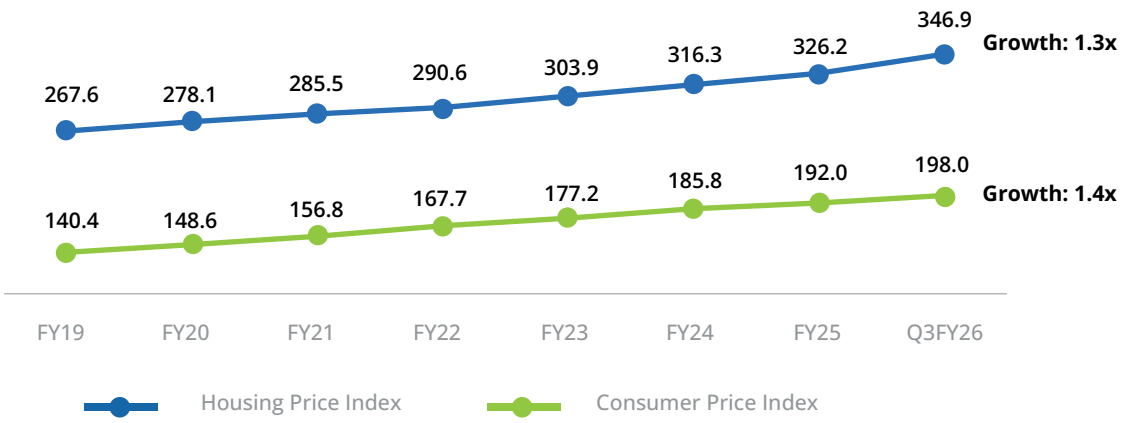
Within the affordable housing segment, the share of number of loans in the ₹5–25 lakh range has moderated from 56% of total loan volumes in FY21 to 49% as of Dec'25, while the contribution of the ₹25–40 lakh segment has increased from 10% to 16% over the same period. This evolution represents a natural and healthy premiumisation within the affordable housing market.

The shift in ticket sizes is primarily driven by structural factors, including sustained increases in residential property prices and construction costs across urban and semi-urban markets. At the same time, improved borrower eligibility, supported by consistent growth in per capita income, stronger household cash flows, and broader credit penetration, has enabled customers to access slightly larger loan amounts while maintaining

c) Inflation-Adjusted Ticket Size: Natural Progression & Expanded TAM

What appears to be a shift away from affordable housing is, in reality, **affordable housing evolving with inflation** - and the addressable market is larger than it looks. India's housing market has experienced steady inflation over the last seven years. The **Housing Price Index (HPI) has grown 1.3x** and the **Consumer Price Index (CPI) has grown 1.4x** since FY19, naturally pushing property values - and therefore loan ticket sizes - upward.

Historical HPI & CPI Index Movement



Source: RBI

Notes: 1) Base year for HPI is 2010-11 (100)

2) Base year for CPI is 2011-12 (100)

3) Since HPI data under the old base series (2010–11) was unavailable for Q3FY26, a 3x conversion factor, derived from the ratio of old-series to new-series indices for FY23 (new series: 2022–23), has been used to restate the Q3FY26 index on a comparable basis.

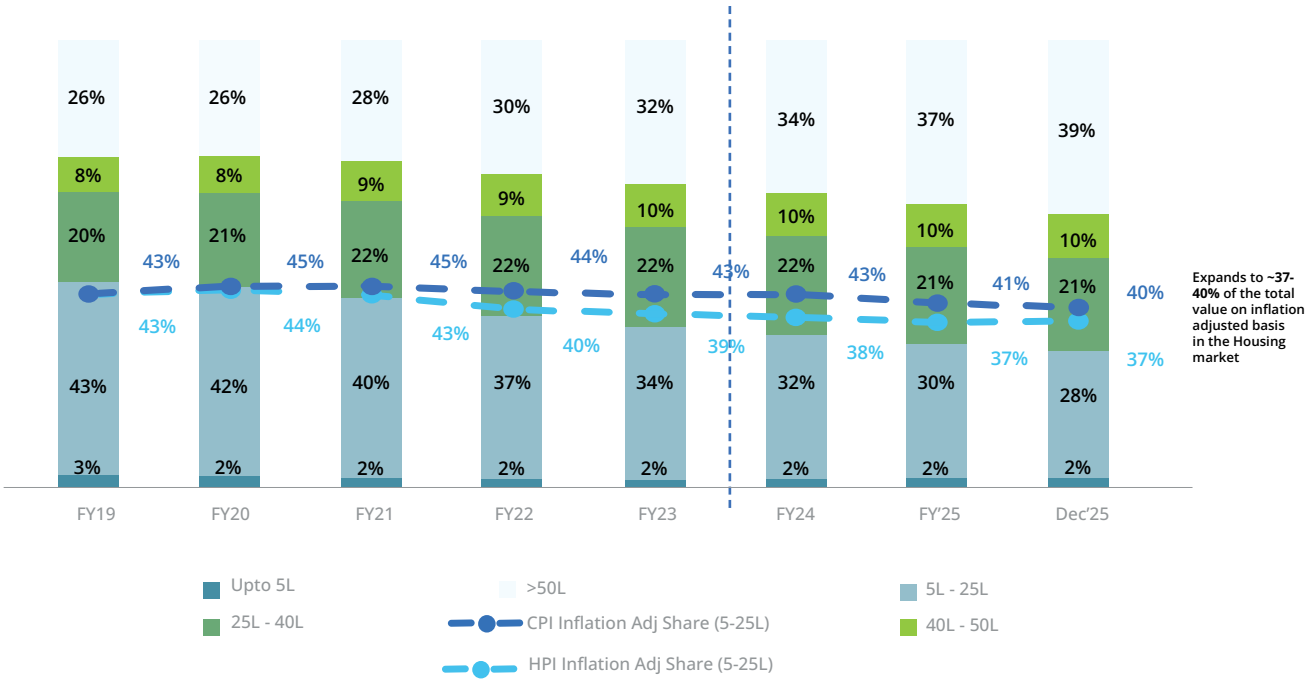
Management Discussion *and Analysis*

Inflation Adjusted Ticket Size Segment:

THEN — FY19 (Original)		NOW — Dec'25 HPI Adjusted (1.3×)	NOW — Dec'25 CPI Adjusted (1.4×)
₹5L	-->	₹6.5L	₹7.1L
₹25L	-->	₹32.4L	₹35.3L
₹40L	-->	₹51.9L	₹56.4L
₹50L	-->	₹64.8L	₹70.5L

This means the borrowers in ₹5L-25L bracket are organically moving into the ₹25–40L bracket representing a **natural and benign ticket size expansion.** ₹5–25L ticket size bracket does not represent the same reality of housing finance it did in 2019. A borrower purchasing the same home today simply needs a larger loan - not because they are moving upmarket, but because inflation has repriced the asset.

Exhibit: Ticket Size-wise (Adjusted) Housing Portfolio Mix Value Terms



Source: Experian (upto Mar'23) & CRIF Bureau data (Apr'23 onwards)

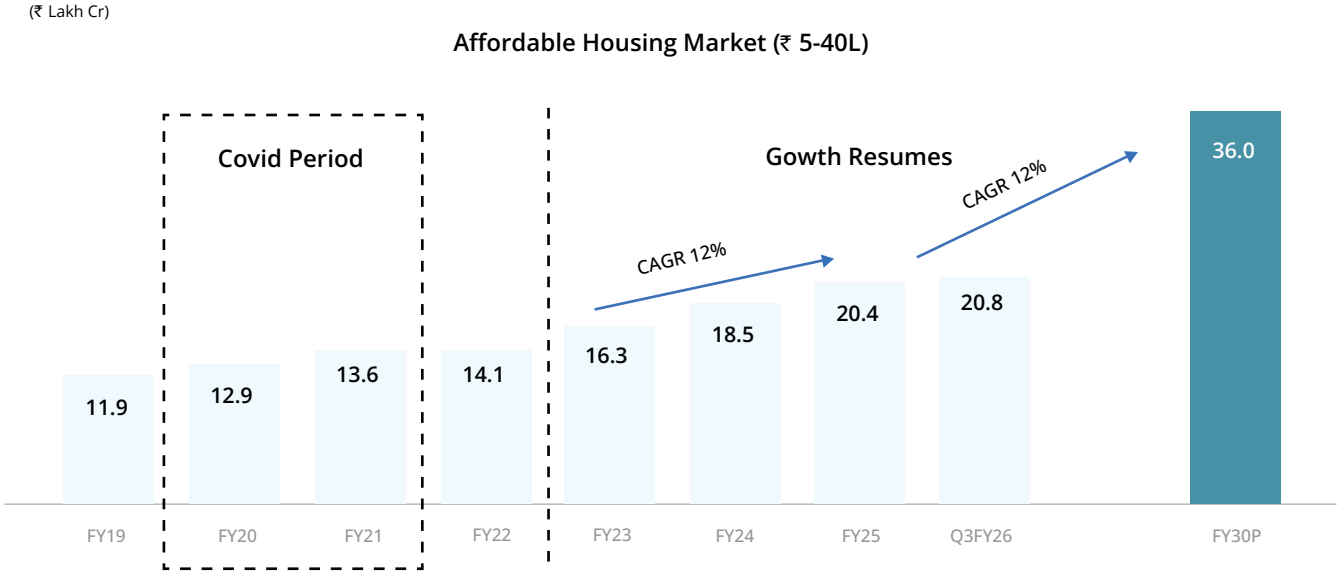
On the surface, the chart above shows the ₹5–25L segment's share declining from 43% in Mar'19 to just 28% in Dec'25 – in reality, adjusted for Inflation, the segment has remained at ~40% consistently over this period. As the ticket sizes adjust to reflect inflation, the pool of eligible borrowers and transactions within the affordable segment (₹5–25L)widens materially. The **effective TAM is 37–40%** of the market, compared to the 28% in real (unadjusted for inflation) lens, represents a significantly larger opportunity for disbursement growth.

Management Discussion *and Analysis*

d) Market sizing & Growth

The affordable housing finance segment has demonstrated consistent growth, supported by sustained end-user demand, rising incomes, improving credit penetration, and expanding formal housing supply in cities including urban centres & its peripheries. Historically, the ₹5–40 lakh segment grew at ~12% CAGR between FY23 and FY25.

Exhibit: Affordable Housing Market Expected to Grow at 12% CAGR till FY30



Source: Experian (upto Mar'23) & CRIF Bureau data (Apr'23 onwards), Company's internal estimates. AUM is estimated to grow at 12% till FY30.

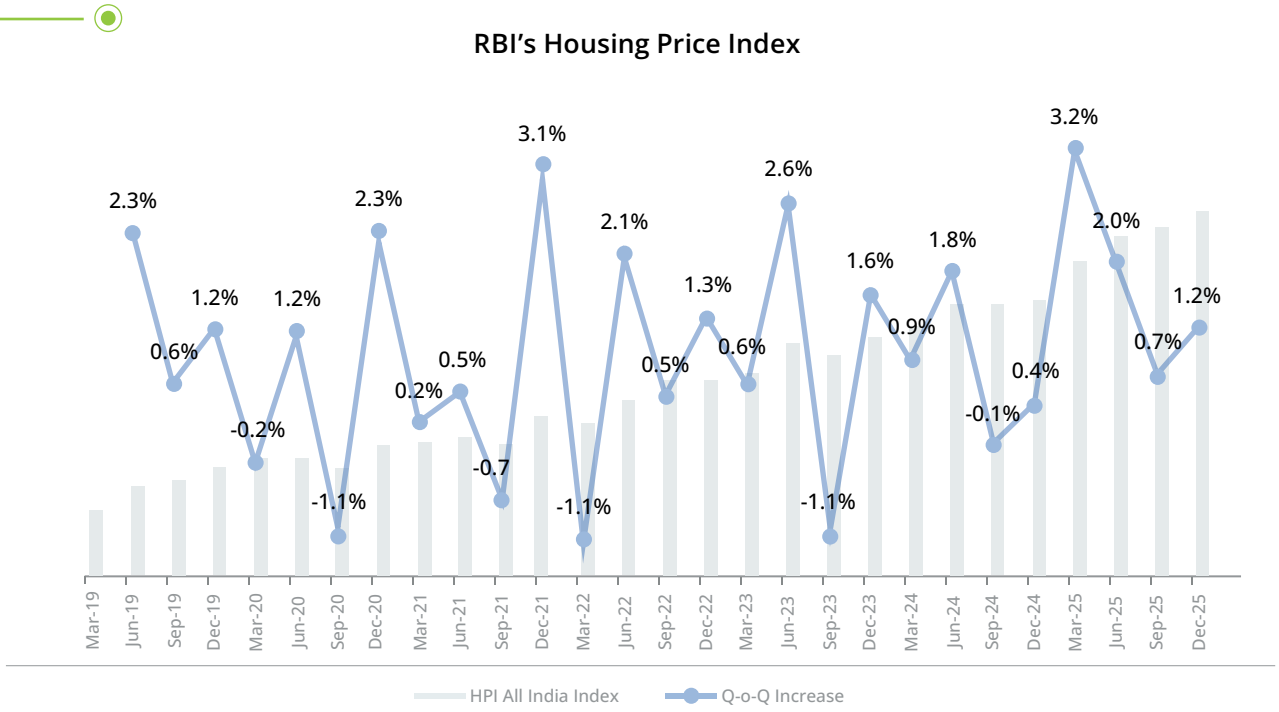
e) Housing Price Trends

The residential real estate markets have exhibited signs of increasing stability and maturity. Property prices across major urban centres have witnessed gradual and broad-based appreciation through FY26. The Reserve Bank of India's Housing Price Index (HPI) has risen steadily from ~267.6 in Q4 FY19 to ~346.9 by Q3 FY26, reflecting a measured upcycle rather than sharp, speculative price movements. The trajectory indicates a healthier housing cycle, where price appreciation is anchored in underlying demand fundamentals - such as rising household incomes, improving employment conditions, and greater access to formal credit.

Importantly, the steady increase in property values has also led to a natural upward shift in loan ticket sizes, particularly within the affordable and mid-income segments, as borrowers increasingly aspire for larger or better-located homes. This evolution supports sustained growth in disbursements and loan books for lenders, while maintaining the core borrower profile and risk characteristics.

Management Discussion *and Analysis*

Exhibit: RBI's Housing Price Index Shows Gradual and Stable Price Appreciation



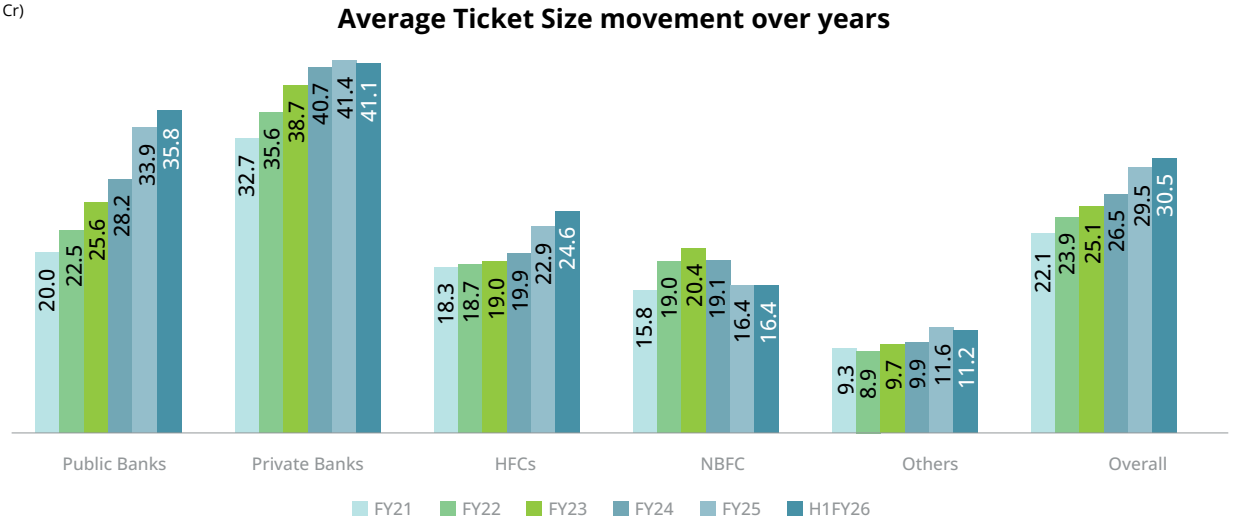
Source: Database on Indian Economy-RBI (Base year 2011-12 adjusted)

f) Structural Positioning of Lenders

A key feature of the housing finance landscape is the divergence in ticket-size at the time of sanction positioning across lender types. Over the years, the lender wise Average Ticket Size (ATS) has moved as below:

Exhibit: Average Housing Loan Ticket Sizes have Increased Across all Lender Categories

(₹ Lakh Cr)



Source: CRIF Highmark, CRISIL Intelligence; Note: Ticket size is sanctioned amount / sanctioned loans

Management Discussion *and Analysis*

- **Private banks** had an ATS of ₹41.1 lakh - up from ₹32.7 lakh in FY21
- **Public sector banks** operated at an ATS of ₹35.8 lakh
- **HFCs** remained anchored at ₹24.6 lakh, squarely within the ₹5–40 lakh affordable segment
- **NBFCs** have moderated to ~₹16 lakh

This divergence reflects a structural segmentation of the market: larger banks, driven by operational efficiencies and risk preferences, have progressively shifted toward higher ticket-size borrowers in metro markets. Specialised affordable housing finance companies (AHFCs), by contrast, have deepened their presence in the sub-₹40 lakh space - serving assessable incomes including self-employed borrowers, informal income households, and first-time homebuyers in who remain significantly underserved by mainstream lenders.

g) Banks Are Going Up-Market —Vacating the Affordable Segment

An analysis of the banking sector's housing loan portfolio over the past decade highlights a clear and sustained shift in ticket size distribution, with meaningful implications for the affordable housing segment.

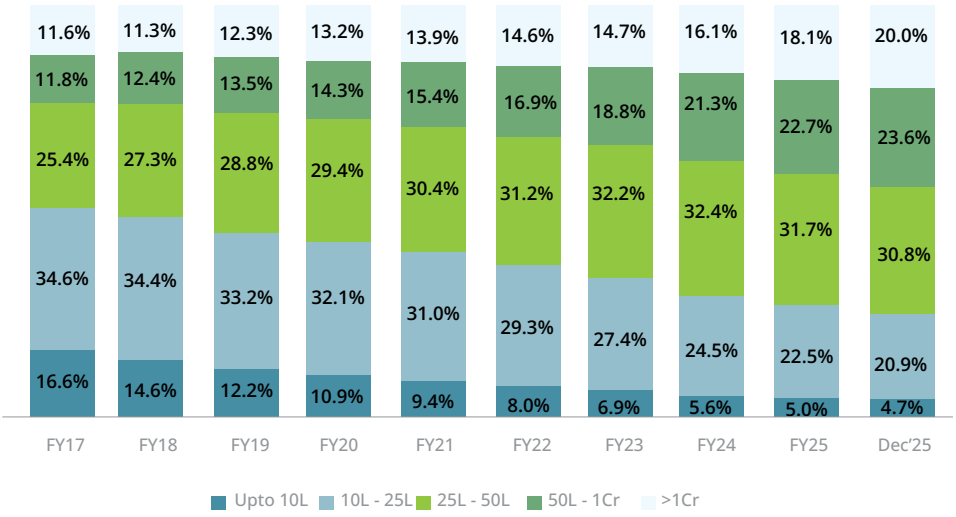
Between FY17 and Dec'25, the share of housing loans with ticket sizes below ₹50 lakh has steadily declined from ~80% to ~56% of total housing AUM. This indicates a gradual but consistent reallocation of bank capital away from the affordable and mass housing segments.

In contrast, the share of higher ticket loans (above ₹50 lakh) has expanded significantly over the same period, reflecting a structural tilt toward premium and mid-to-high income housing.

From a growth perspective, the overall banking sector housing AUM has grown at a healthy **CAGR of ~17%** during FY17 & Dec'25. However, this growth has been uneven across segments:

- The **sub-₹50 lakh** segment has grown at a relatively modest **~13% CAGR,** indicating slower expansion in affordable housing finance by banks.
- The **above ₹50 lakh** segment has witnessed a much stronger **~25% CAGR,** underscoring banks' increasing focus on higher-value loans by banks.

Banking Sector's Outstanding Housing AUM
Mix across ticket size

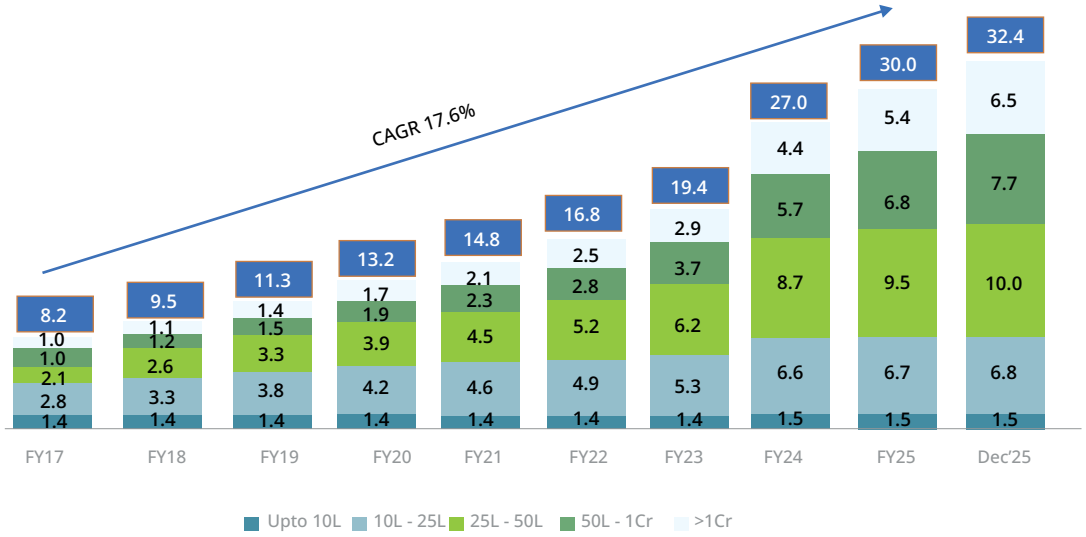


Source: RBI

Management Discussion *and Analysis*

Banking Sector's Outstanding Housing AUM across ticket size

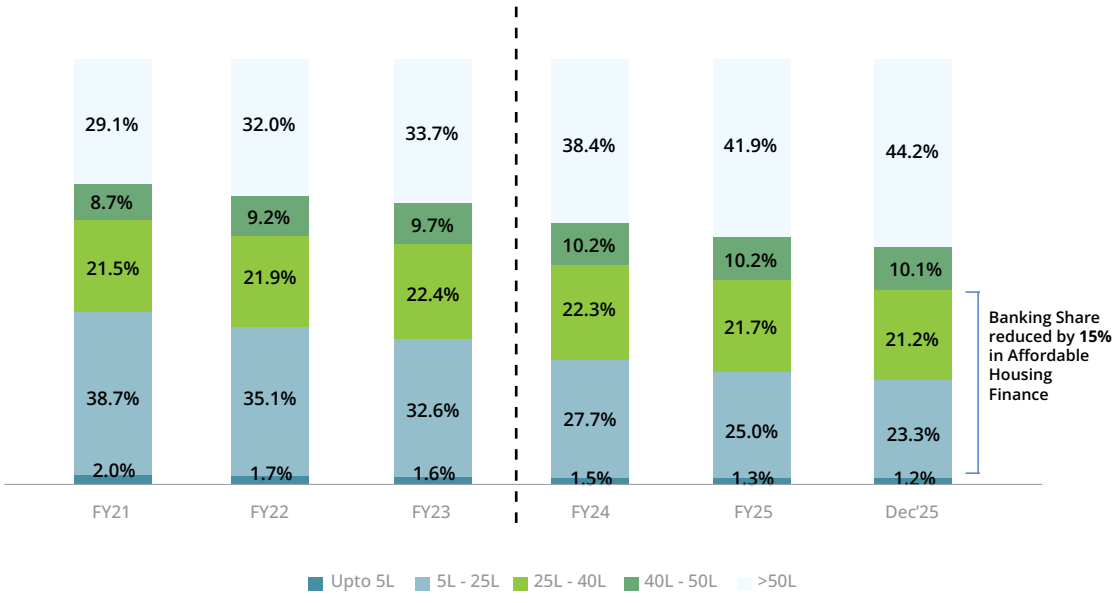
(₹ Lakh Cr)



Source: RBI

As reflected in the RBI data above, the share of sub- ₹50 lakh loans in the overall banking system's housing loan AUM has declined from approximately 77% in FY2017 to 56% in FY2025, highlighting a clear shift in banks' focus toward higher-ticket housing loans. To gain a more granular understanding, additional market data was analysed, which indicates that the bank's share of affordable housing loans in the ₹5–40 lakh segment has declined from around 60% to 45% over the past five years.

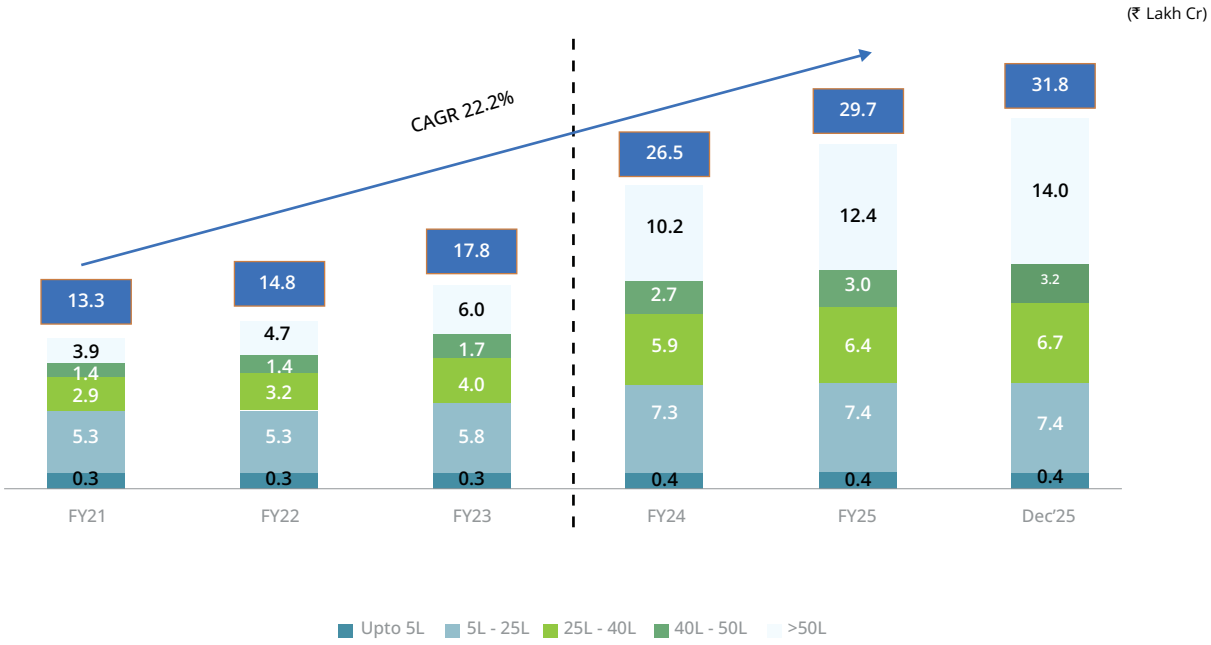
Banking Sector's Outstanding Housing AUM Mix across ticket size



Source: Experian (upto Mar'23) & CRIF Bureau data (Apr'23 onwards), Data for Scheduled Commercial Banks only

Management Discussion *and Analysis*

Banking Sector's Outstanding Housing AUM across ticket size



Source: Experian (upto Mar'23) & CRIF Bureau data (Apr'23 onwards), Data for Scheduled Commercial Banks only

This trend underscores a systemic premiumisation within the banking sector, with banks increasingly allocating capital toward larger-ticket and relatively lower-risk borrowers. As a result, the composition of housing finance within the banking system has gradually shifted toward higher-value segments, while the relative share of affordable housing loans has moderated over time. This creates a significant opportunity in market to cater to low- and middle-income customers through specialised underwriting capabilities, deeper on-ground distribution networks, and a stronger ability to assess informal and semi-formal income profiles. As banks continue to prioritize larger ticket loans, AHFCs are likely to play an increasingly critical role in driving credit penetration and supporting home ownership in the affordable segment.

Management Discussion *and Analysis*

07 *The NITI Aayog's Diagnosis*

Why Market Forces Alone Cannot Fill the Gap

The sections above establish the demand, policy, and competitive landscape, NITI Aayog's December 2025 report - 'A Comprehensive Framework to Promote Affordable Housing' - provides the most authoritative diagnosis of why that demand remains systemically unmet. Prepared jointly by NITI Aayog, the Ministry of Housing and Urban Affairs, and the Department of Financial Services, the report identifies interlocking barriers across land, construction, income, credit access, and rental markets. Its core conclusion is unambiguous: neither government subsidy alone nor market forces alone can close India's affordable housing gap. Formal credit - with appropriate underwriting innovation and digital infrastructure - is the mechanism that makes the gap bridgeable at scale.

FINDINGS. GROWTH SIGNALS. ONE CONCLUSION.

1. Builder-led affordable supply has reduced - but self-built demand remains structurally intact:

The builder led supply-to-demand ratio for the affordable segment dropped to 0.36x in H1 2025, against 1.05x in 2019. According to The NITI Aayog report developer margins in the EWS/LIG segment are thin (10-12% versus 25-30% in luxury), and without policy intervention - FAR relaxation, land bank unlocking, single-window clearances, and the restoration of Section 80-IBA tax incentives etc. private participation in the segment will remain limited. The diagnosed supply crunch is primarily a developer-side constraint and does not affect the self-construction segment. Households seeking formal credit to build their own homes continue to represent one of the most resilient and steady demand pools in the sector. As these reforms take hold, each newly developed affordable unit entering the market creates an additional origination opportunity—on top of the already active and stable base of self-construction borrowers.

2. Land costs have made urban formal housing inaccessible:

A standard 30 sq.m. home costs ₹6–8 lakh in rural areas but nearly ₹25 lakh in metros - a fourfold increase - with land alone accounting for 63% of metro project costs versus 10% in rural areas. Land acquisition costs constitute 50–70% of total project costs in urban India, excluding 75–85% of urban households from formal housing markets.

The NITI Aayog report does not leave this as an open problem. It has proposed remedies are specific: zoning reforms with dedicated Affordable Housing Zones in city master plans (minimum 10% of all residential land reserved); TOD-linked affordable housing with FAR up to 8 near transit nodes; creation of government and railway land banks (Indian Railways alone holds ~460 sq. km of vacant land, defence authorities ~182 sq. km) to be leased for affordable housing development at nominal cost; and Transferable Development Rights (TDR) frameworks that improve project viability for developers entering the segment.

The geographic redistribution already underway - demand concentrating in peri-urban belts where land costs are lower and employment access remains viable - is itself a market signal for where origination opportunity is migrating.

Management Discussion *and Analysis*

3. Income growth has not kept pace with housing cost escalation - which makes mortgage credit indispensable

Average monthly household income rises from ₹20,000 in rural areas to ₹47,000 in metros - a 135% increase. Housing costs across the same geography have risen 300-400%. The NITI Aayog report treats this gap as a condition that makes mortgage credit indispensable. Housing finance is bridging the gap - converting the difference between current income and required home value into a manageable EMI over 15-20 years.

The report's proposed interventions on the capital access side include enhanced credit guarantees for buyers (the CRGFTLIH limit is recommended to be raised from ₹20 lakh to ₹40 lakh), NHB-issued tax-free bonds under Section 54EC to lower the cost of funds for lenders serving EWS/LIG borrowers, lower interest rate financing through PSL-linked mechanisms, and stamp duty exemptions for PMAY-U 2.0 properties. Each of these measures is proposed to reduce the effective cost of homeownership for the borrowers - expanding the addressable pool.

4. Informal workers are excluded from formal credit - but that exclusion is changing.

A large proportion of EWS/LIG households are self-employed or informally employed, with irregular incomes and no formal credit history, making them ineligible for bank loans even though they are the primary target group for affordable housing schemes. The NITI Aayog report acknowledges this explicitly - and recommends the adoption of Indian Banks Association-developed cash flow-based underwriting templates suited to informal income streams, along with alternative credit information models.

The report specifically calls for Account Aggregator-based cash flow analysis, bank statement analysis, and GST-linked income assessment as the tools to make informal incomes formally trackable. It is the underwriting innovation that affordable housing finance companies have been practising at the frontier for years. The government is now formalizing and endorsing this approach at the highest policy level.

5. Nearly 1 crore urban homes lie vacant - but the rental market offers no real alternative.

India has approximately 1 cr vacant urban homes, locked out of the rental market by low yields (2–3% of property value), archaic tenancy laws, and litigation risk. The dysfunctional rental market has a powerful and often under-appreciated implication for housing demand: it eliminates the 'rent vs. buy' calculation for most households. When homes cannot be easily let out, owning is structurally superior to renting for households with even modest savings. Aspiration converts to purchase faster than in markets with functioning rental markets. Additionally, as policy reforms (Model Tenancy Act, RERA rental provisions) gradually unlock the vacancy overhang, the supply side will expand without new construction, improving affordability and borrower confidence further.

Management Discussion *and Analysis*

The Integrated Picture

What makes the NITI Aayog report notable is its ability to tackle both sides of the affordability equation at once. On the supply side, factors such as high land costs, shrinking developer margins, and regulatory hurdles explain the limited availability of formal affordable housing. On the demand side, income–price mismatches, restricted access to credit, and the prevalence of informal employment clarify why even existing units remain inaccessible to those who need them most. The failure of the rental market further intensifies the problem, effectively forcing homeownership as the only viable path for millions of households.

For each of these challenges, the report proposes specific, actionable interventions. It reflects a clear understanding within the government of this segment and its structural constraints, alongside a deliberate effort to build a policy framework spanning land reform, FAR liberalization, digital underwriting, enhanced credit guarantees, and rental market reform. Central to this approach is the expansiaon of formal housing credit to historically underserved households - identified as the key lever for bridging the affordability gap at scale. In that sense, the framework serves as the government's own validation of both the sector's purpose and its addressable market.

Ultimately, its neither the subsidies alone nor market forces in isolation that can resolve the issues. Instead, large-scale impact depends on systematically extending formal housing credit - supported by underwriting innovation, digital infrastructure, and policy backing - to underserved households. The barriers identified by NITI Aayog, therefore, define not just the challenge, but also the fundamental role and opportunity within the affordable housing finance sector.

Management Discussion *and Analysis*

08 *The Long Runway*

Housing Demand — The Opportunity Compounds Over Decades

India faces a structural housing deficit measured in crores of units alongside a mortgage market that remains deeply underpenetrated relative to both need and international benchmarks. This gap between housing need and housing ownership represents a multi-decade growth opportunity.

6.25Cr

Overall Housing (U+R) Shortage as per 12th 5-year plan

Projected to grow to 7 cr by 2030 (CRISIL)

11.2%

India Mortgage / GDP (FY25)

vs. 51% US · 82% UK · 28% China (CRISIL)

4Cr+

Additional urban housing units required till 2047

As per Viksit Bharat 2047 report

10-12%

Housing Finance CAGR

Projected FY25-28 (CRISIL)

Management Discussion *and Analysis*

a) The Housing Deficit

Despite sustained demand, India continues to face a structural housing shortage, particularly in urban areas and within economically weaker and lower-income segments. The overall housing shortage is much higher than 6 cr (as per the Twelfth Five- Year Plan, 2012-2017), due to changing social and demographic patterns in India, such as nuclearization of families and rapid urbanisation. The housing shortage debate in India centres on methodology - not direction. Every credible analytical framework, from the government's own technical groups to international property consultants to NITI Aayog's December 2025 report, arrives at the same structural conclusion: India's affordable housing supply is catastrophically misaligned with demand. The table below brings these estimates together for the first time:

Source	Units Shortage Estimate	Scope
12th FYP Technical Group (2012)	1.9 cr units	Urban housing shortage
CII–Knight Frank (Dec 2024)	3.1 cr units by 2030	Urban housing shortage
Knight Frank / NAREDCO (Aug 2025)	0.9 cr existing; 3.0 cr by 2030	Urban housing shortage
FED Analysis (Current state: Niti Ayog)	5.0–7.0 cr units	Total (urban + semi-urban) shortage
Viksit Bharat 2047	4.0+ cr units	Urban housing shortage
PMAY Housing for All targets	~3.0 cr units (1.0 cr urban, 2.0 cr rural) by 2029	Government target

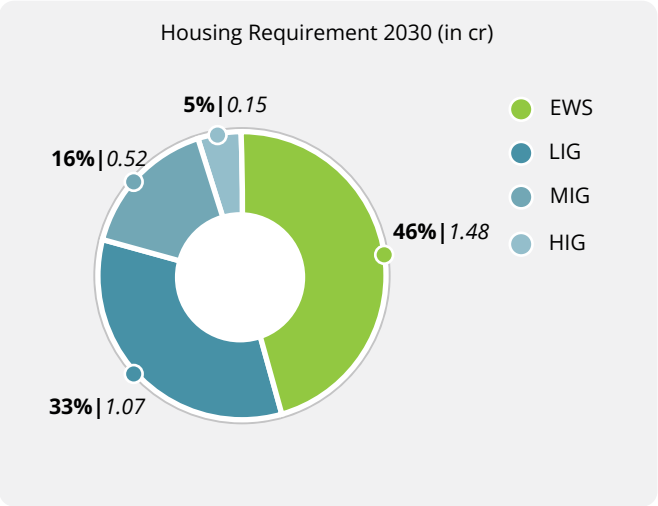
Estimated Housing shortage

Source	No.of households (Crore)	Available Quality Houses (Crore)	Deficit (Crore)
Metro[1]	5	2-3	2-3 (40-60%)
Urban[2]	3.8	1.8-3	1.5-2 (40-50%)
Semi Urban[3]	4.8	-3	~1.5 (30-40%)
Total	**13.5**	**7-8**	**5-7 Cr**

1. Defined as Delhi, Mumbai, Chennai Kolkata Bangalore, Hyderabad, Ahmedabad and Pune
2. Defined as cities with population 1 lakhs as per Census 2011
3. Defined as other urban centres

Source: FED analysis, Niti Ayog report

Cumulative Affordable housing demand (3.0 cr units) across all income groups in India by 2030



Source: Knight Frank Research

Management Discussion *and Analysis*

These divergent estimates reflect varied methodologies and different reference periods, making direct comparison difficult. Government data emphasises sanctioned and completed stock, while private studies capture latent and future demand, often projecting a larger deficit. The Committee constituted by NITI Aayog concluded that the affordable segment remains significantly underserved, requiring specific government interventions.

b) Viksit Bharat 2047: The 25-Year Commitment

India's national vision of a developed economy by 2047 places urban housing at its core. The Viksit Bharat framework envisions GDP rising from $4.18 trillion (2025) to $30 trillion (2047), accompanied by an urban population share expanding **51% by 2047.** Building floor space is projected to grow from 18 billion m^2 (2023) to 37 billion m^2 (2047) and 42 billion m^2 (2070). This translates to massive urban infrastructure expansion - the government estimates India will need to construct **4.0+ cr additional urban housing units** between 2025 and 2047, with total investment exceeding ₹50 lakh cr.

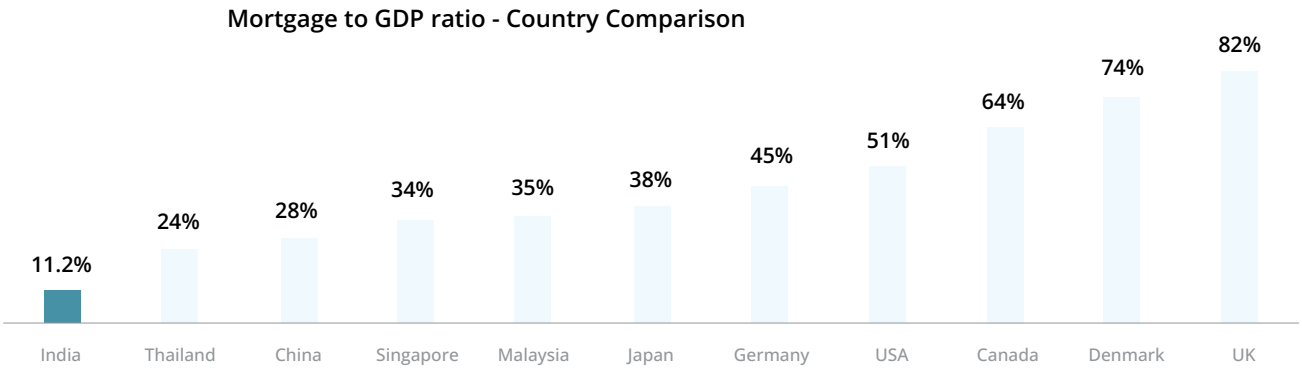
As per the report, the real estate sector's contribution to GDP is expected to rise from ~7% (2021) to ~13% by 2050 - a near-doubling that underscores the central role housing will play in India's economic trajectory.

c) The Mortgage Penetration Gap: A Multi-Decade Opportunity

India's mortgage-to-GDP ratio stands at just 11.2% as of FY25 - compared to 51% in the US, 82% in the UK, 35% in Malaysia, and 28% in China. This is not a gap of aspiration but of lack of formal credit access - which India's digital infrastructure, policy architecture, and rising incomes are now closing at scale.

The World Bank's cross-country analysis of mortgage market development establishes that housing finance is income-elastic - developing slowly at lower income levels but accelerating sharply as economies enter the upper-middle-income transition. Economies like China have historically seen household credit-to-GDP ratios expand driven by rising formal employment, urbanisation, and the emergence of a mortgage-eligible middle class.

Exhibit: India's Mortgage Market Remains Underdeveloped Relative to Global Peers



Source: CRISIL Housing Industry Report

Management Discussion *and Analysis*

09 *Conclusion*

The Foundation is Strong. The Runway is Long.

This analysis has traced a chain of causation - from the global macroeconomic environment through India's structural momentum, through the housing industry and into the affordable housing segment. At each step, the evidence points in the same direction.

We are not at the beginning of this story, nor anywhere near the end. We are in the compounding phase - building the institution, the network, the data advantage, and the customer relationships that will define leadership in affordable housing finance as India's housing moment unfolds over the next decade.

The conditions are aligned. India's sovereign upgrade, fiscal discipline, monetary policy fully accommodative. Against that backdrop: mortgage-to-GDP at 11.2%, a housing shortage of 625 lakh units, 400+ lakh additional urban homes needed by 2047, and a middle class expanding by ~100 - 150 lakh households per year - vast, still largely untouched by formal housing credit.

The portfolio quality, disciplined underwriting, diversified liability franchise, and regulatory track record provide the institutional foundation. The opportunity provides the horizon. The work of connecting aspiring households to homes they can own is both commercially compelling and, for an economy of India's size and ambition, genuinely important. We intend to do a great deal of it.

Management Discussion *and Analysis*

Our performance overview

Snapshot of FY26 and key updates

During FY26, HomeFirst successfully scaled operations across 13 States / UT, maintaining strong growth momentum. We achieved a significant milestone as our Assets Under Management (AUM) crossed ₹15,000 Crs, representing a 24.9% increase over FY25. Annual disbursements further recorded a 12.9% y-o-y growth. This performance was underpinned by the strategic expansion of our granular distribution network, robust liquidity management, and the seamless integration of technology across our operational framework. Our collections remained resilient, ensuring stable asset quality with Gross Stage 3 (GNPA) at 1.8% (compared to 1.7% in Mar'25). These operational efficiencies translated into superior financial outcomes, including a best-in-class Return on Assets (RoA) of 3.9% and a Return on Equity (RoE) of 15.7% (Pre-money RoE at 16.8%). Net Profit witnessed a substantial increase of 41.4%, reaching ₹540.4 Crs.

In Apr'25, the Company successfully executed its maiden Qualified Institutional Placement (QIP), raising ₹1,250 Crs. The offering saw strong participation from marquee institutional investors, including existing stakeholders who increased their positions, reaffirming confidence in our differentiated business model and governance standards. This capital infusion significantly strengthens our balance sheet by enhancing our Capital Adequacy Ratio (CRAR) and reducing leverage.

Further augmenting our financial profile, our long-term credit rating was upgraded to AA (Stable) by ICRA, India Ratings, and CARE. Together, the QIP and the rating upgrade provide a powerful platform to expand our footprint and build a large-scale housing finance franchise.

Let us delve into the foundational elements that shaped our growth story for FY26.

Distribution Network

We continue to pursue a contiguous branch expansion strategy, with a clear focus on addressing the significant opportunity in underserved affordable housing finance markets. Over the years, we have systematically expanded into newer districts across our 13 states and union territory, while simultaneously strengthening our presence within existing districts. This calibrated approach enables deeper market penetration, improved customer access, and stronger local franchise development. Our expansion is further supported by a differentiated business model, which facilitates sustainable market share gains and scalable growth across geographies.

As of Mar'26, we had a network of 373 touch points, including 171 branches covering over 144 districts in 13 states and union territory in India. During the year, we have added 16 new physical branches, of which 9 branches were in our focus states, 5 in emerging states and 2 in other states. Our focus states (namely Maharashtra, Gujarat, Tamil Nadu, Karnataka, Andhra Pradesh and Telangana) continue to account for approximately 53% of the country's affordable housing finance market (in terms of annual origination based on FY25 data) and our emerging states of Rajasthan, Madhya Pradesh and Uttar Pradesh account for approximately 22% of affordable housing finance market.

Our expansion strategy focuses on establishing a strong presence across large affordable housing markets spanning multiple tiers. We adopt a granular distribution approach, with calibrated expansion of branches and touchpoints aimed at driving market share gains while maintaining asset quality, improving productivity, and optimizing operating costs. Our contiguous expansion across regions is guided by a disciplined and data-driven evaluation of target markets, enabling us to identify areas with robust demand potential and deliver sustainable, well-balanced growth.

Management Discussion *and Analysis*

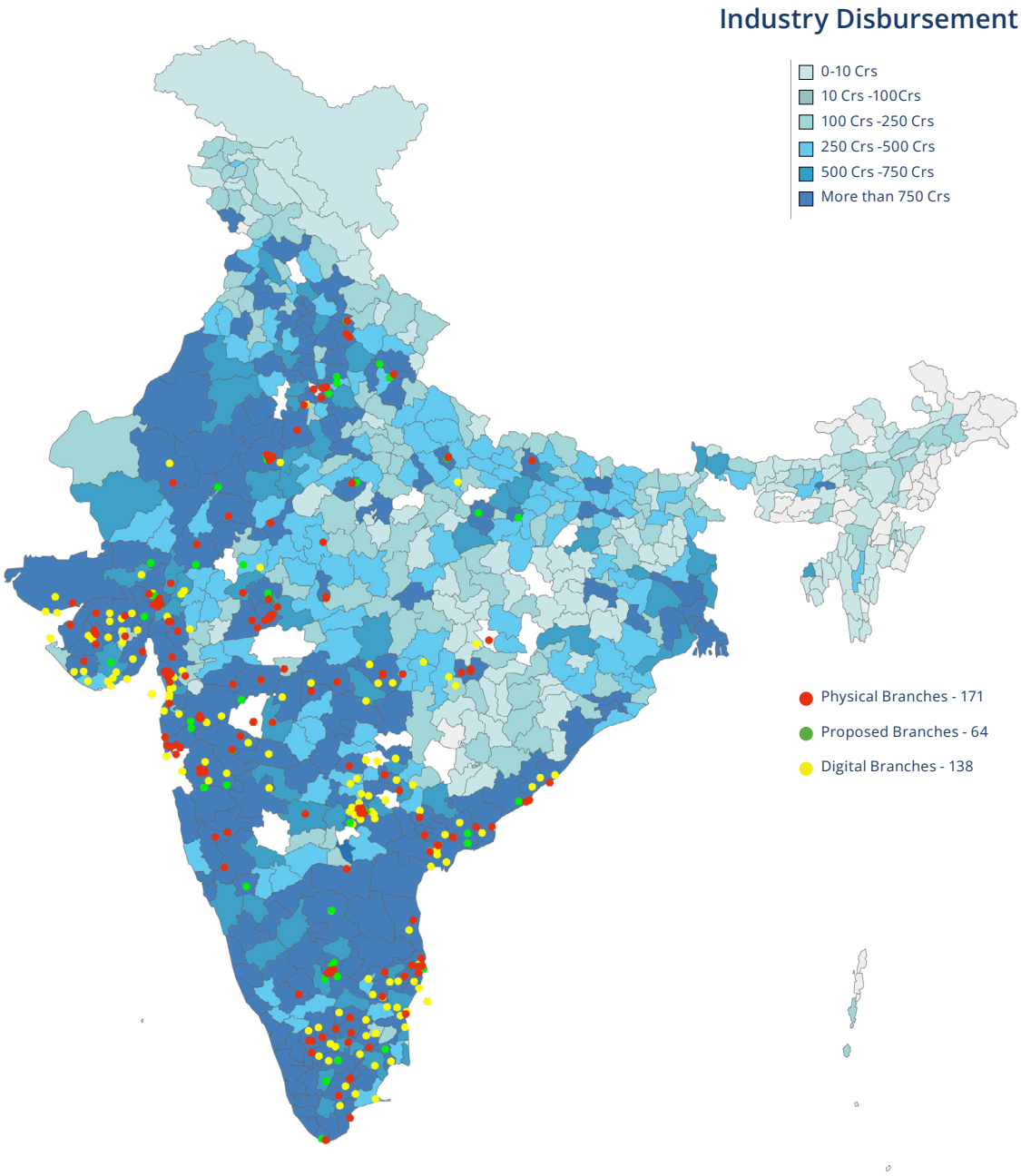
Contagious network expansion to cover large affordable housing finance markets

State/ UT	Mar'23		Mar'24		Mar'25		Mar'26	
	Branches	Districts	Branches	Districts	Branches	Districts	Branches	Districts
Andhra Pradesh	9	9	9	9	11	11	12	12
Chhattisgarh	3	4	4	5	4	5	4	5
Haryana & NCR	1	2	2	3	3	3	4	3
Gujarat	24	22	31	22	36	23	38	23
Karnataka	6	6	6	7	7	7	8	7
Madhya Pradesh	8	7	11	10	14	12	17	12
Maharashtra	19	17	22	19	26	19	30	20
Rajasthan	8	8	10	8	12	9	12	10
Tamil Nadu	22	24	23	25	24	25	25	25
Telangana	8	12	9	12	10	14	10	14
Uttar Pradesh & Uttarakhand	3	8	6	11	8	13	11	13
Total	**111**	**119**	**133**	**131**	**155**	**141**	**171**	**144**

Note: District count is basis total touchpoints in the respective state/ UT

Management Discussion *and Analysis*

Contiguous expansion in focus states alongside strategic expansion in emerging states



Source: FY25 bureau data, Company data

Management Discussion *and Analysis*

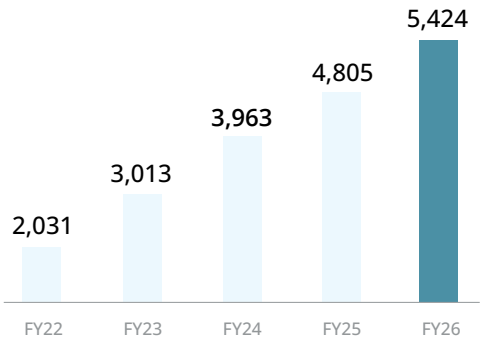
Disbursements

The Company recorded annual disbursements of ₹5,423.6 Crs, reflecting a year-on-year growth of 12.9% compared to ₹4,805.3 Crs in FY25. This performance was supported by sustained monthly momentum, driven by a steadily expanding borrower base and increasing portfolio depth.

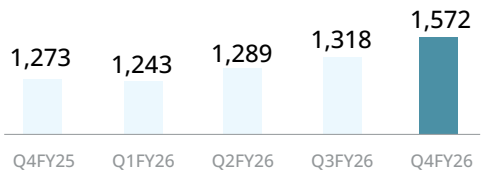
Our active customer base grew by 18.0% to 1,39,171 as of Mar'26, highlighting the continued trust placed in us by our customers and the effectiveness of our growth initiatives. This progress is the result of a well-calibrated, comprehensive strategy focused on the disciplined expansion of our branch network into high-potential markets, the introduction of innovative and customer-centric financial products, and the integration of modern technology platforms to enhance operational efficiency and deliver a superior customer experience.

Disbursements (₹ Crs)

Last 5 Years



Last 5 Quarters



Assets Under Management

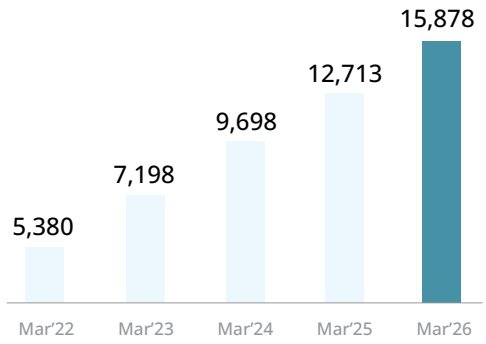
Our Assets Under Management (AUM) reached a significant milestone during the year, crossing the ₹15,000 Crs mark to close at ₹15,877.7 Crs as of Mar'26. This represents an impressive 24.9% y-o-y growth from ₹12,712.7 Crs in Mar'25, underscoring our ability to consistently meet customer demand and consolidate our presence in focus markets. This achievement reflects the underlying strength of our business model and our commitment to serving the affordable housing segment. Looking forward, we remain focused on a dual-pronged growth strategy designed to fuel further expansion by increasing market share within our existing branch network and strategically extending our coverage through the addition of new branches.

Management Discussion *and Analysis*

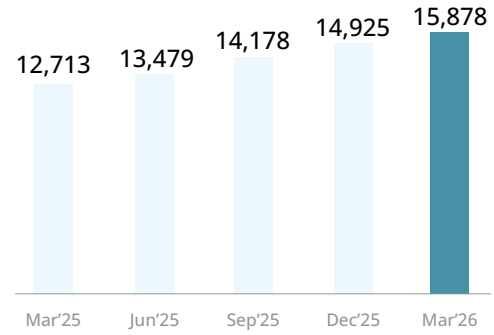
AUM in States (₹Crs)	FY21	FY23	FY26	CAGR (FY23-26)	CAGR (FY21-26)
Gujarat	1,582.4	2,343.2	4,531.3	24.6%	23.4%
Maharashtra	796.4	1,037.0	2,381.4	31.9%	24.5%
Tamil Nadu	461.4	988.0	1,733.0	20.6%	30.3%
Madhya Pradesh	181.9	368.4	1,628.6	64.1%	55.0%
Telangana	227.0	639.0	1,269.1	25.7%	41.1%
Rajasthan	226.7	409.8	1,032.3	36.1%	35.4%
Uttar Pradesh & Uttarakhand	121.4	361.3	988.2	39.9%	52.1%
Karnataka	375.9	538.6	957.3	21.1%	20.6%
Andhra Pradesh	79.3	322.0	873.4	39.5%	61.6%
Chhattisgarh	47.8	132.0	339.4	37.0%	48.0%
Haryana & NCR	40.9	58.7	143.7	34.8%	28.6%
Total	**4,141.1**	**7,198.0**	**15,877.7**	**30.2%**	**30.8%**

Assets Under Management (₹Crs)

Last 5 Years



Last 5 Quarters



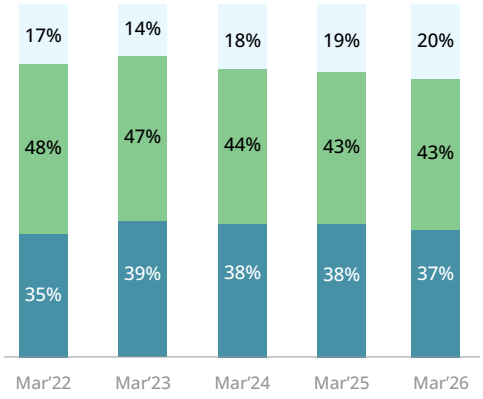
Product Metrics

We remain committed to serving all customer profiles throughout their home loan journey by offering a diverse range of products. We serve both salaried and self-employed customers. Salaried customers account for 68.3% of our AUM and self-employed customers account for 31.7% of AUM, as of Mar'26. Our business focus continues to be on core home loan segment which contributes to 83.2% of our total AUM as of Mar'26; with a strong presence in the core affordable housing finance segment, i.e. self-construction loans, as well as builder-led individual home loans and home resale options. We diligently monitor our risk profile and maintain minimal exposure to under-construction properties. As of Mar'26, our Loan-to-Value (LTV) at the time of origination stands at 55.7%. Based on AUM, as of Mar'26, more than 37% of AUM has LTV below 50% and 43% of AUM has LTV between 50% and 80%. Contribution from new-to-credit customers to our AUM, as of Mar'26, is at 12.8% - the same has been on a declining trend over last decade.

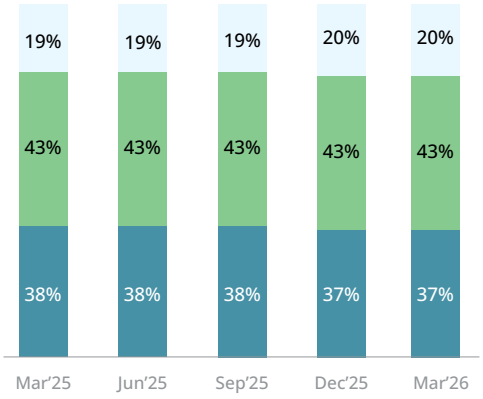
Management Discussion *and Analysis*

Loan to Value (LTV) - Based on AUM (in %)

Last 5 Years



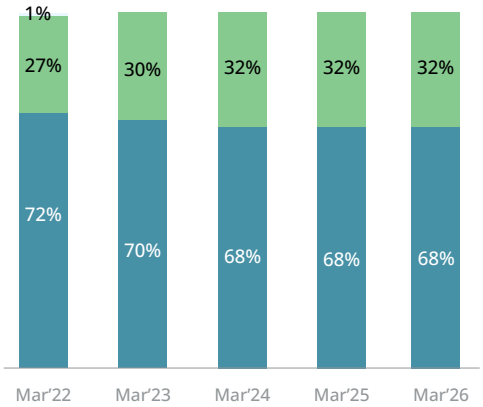
Last 5 Quarters



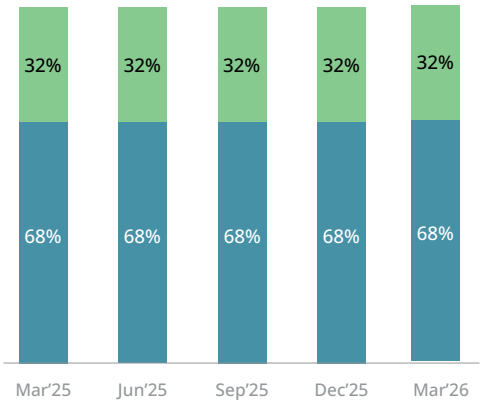
< 50% 50-80% > 80%

AUM by Occupation (in %)

Last 5 Years



Last 5 Quarters

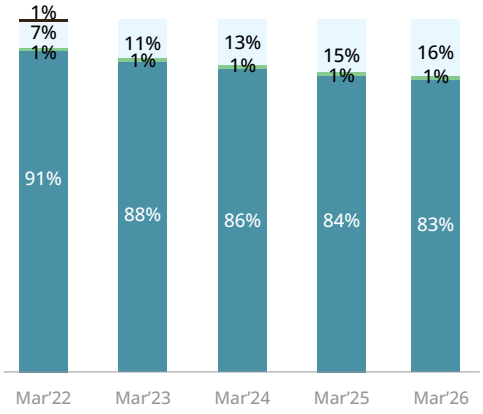


Salaried Self Employed Corporate

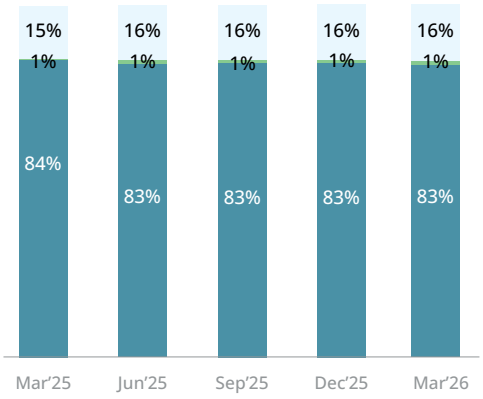
Management Discussion *and Analysis*

AUM by Product (in %)

Last 5 Years



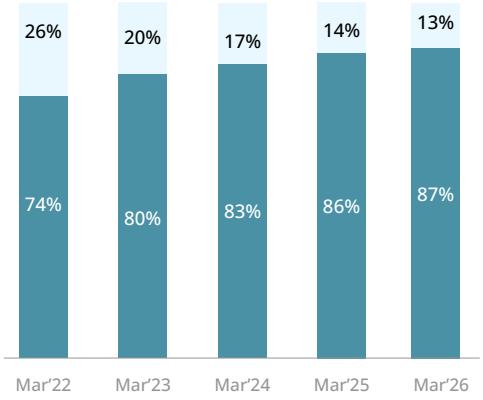
Last 5 Quarters



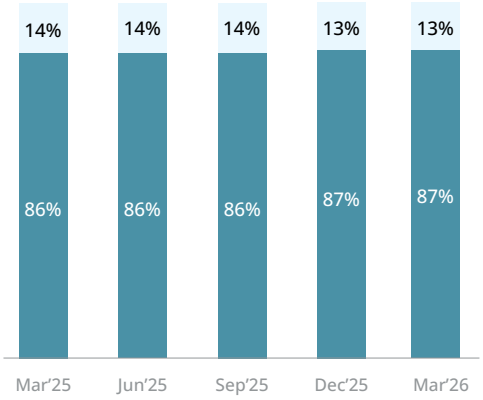
Housing Loan | Loan Against Property | Loans for Purchase of Commercial Property | Developer Finance

AUM by Credit History (in %)

Last 5 Years



Last 5 Quarters

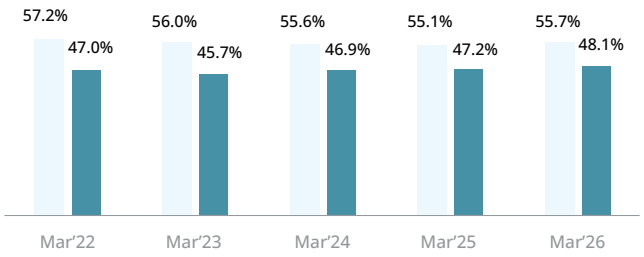


With Credit History | New to Credit

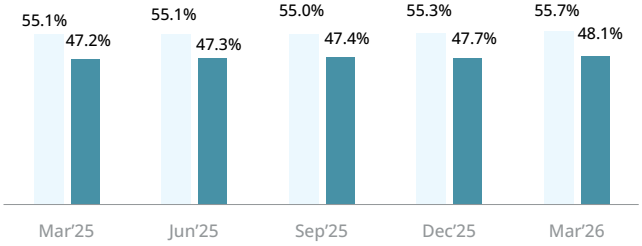
Management Discussion *and Analysis*

Loan to Value (in %)

Last 5 Years



Last 5 Quarters



Based on origination Based on Live Book

Credit Underwriting Process

Our underwriting framework is anchored in advanced data science and a centralized operating model, complemented by a nuanced understanding of local property markets and the expertise of highly skilled underwriters. This integrated approach enables accelerated capability building through high-volume exposure, while ensuring the organizational agility required to respond effectively to evolving market dynamics.

We have established a robust and well-governed credit approval system that promotes disciplined risk assessment and consistency in decision-making. This framework continues to support the maintenance of strong asset quality across our portfolio.

Key characteristics of our HomeFirst underwriting process

Initial Screening and Pre-Sanction Check	• Thorough due-diligence before onboarding connectors and other partners. • Quick response on generated leads. • Comprehensive screening of the customer profile, including understanding income sources and risks, property/residence/workspace verification. • Digital validation of leads through third-party databases including KYC. Filtering out low credit bureau score customers. • In-built fraud detection tool to prevent onboarding of customers with a prior fraud history. • Detailed proposal is submitted by front-end team incorporating site photos/ videos and all relevant customer information/ documentation. • Geo-tagging of all the verifications to accurately detect and validate the location of the customers.
Customer Credit Underwriting	• Data-science backed centralised underwriting. • Integrated CRM & Loan management System on cloud-based platform. • API integration with third party independent sources and usage of account aggregator to help in triangulation of income and proofs, submitted to front-end teams, done from a single dashboard. • Banking analytical tools to transform large transaction data into instant actionable insights enabling precise credit decisions. • Proprietary Machine learning & customer scoring models built used for credit decision.

Management Discussion *and Analysis*

Property Underwriting & disbursement process	• In-depth understanding of property types and land laws of the operating geographies. • Legal and technical assessment through third party vendors & internal team. • Geo-tagging of all properties. • Online verification from the records of Department of Stamps and Registration / Encumbrance Certificate and latest search conducted to verify ownership history. This ensures complete legal compliance and safeguards against any future disputes.
Loan Collection and Monitoring	• Tiered collection system led by the same front-end team, ensuring strong sense of responsibility. • Usage of analytical tools like bounce prediction to support ground team and focus on early delinquencies. • Digital medium like automated calling & SMS/ WhatsApp messages to enhance collection efforts. • Tracking instalment collection status on real time basis. • Convenient omni-channel payment options via Card, UPI, Net banking, Customer App etc.

Asset Quality

We have set up a robust collections management system wherein approximately 98% of our collections during FY26 were non-cash based, which eases stress on monitoring financial transactions and reduces our cash management risk. As of Mar'26, 97%+ of our customers are registered for an automated debit facility. We track the status of instalments collected through a collection module in our system. We employ a structured collection process wherein we remind our customers of their payment schedules and to maintain adequate balance in their account on the due date, through automated calls and text messages. We perform predictive analytics to predict the probability of bounce and help us initiate appropriate action to mitigate risks. Our collections process is completely managed by our branch teams. Half of our front-end team's incentives are dependent on collections.

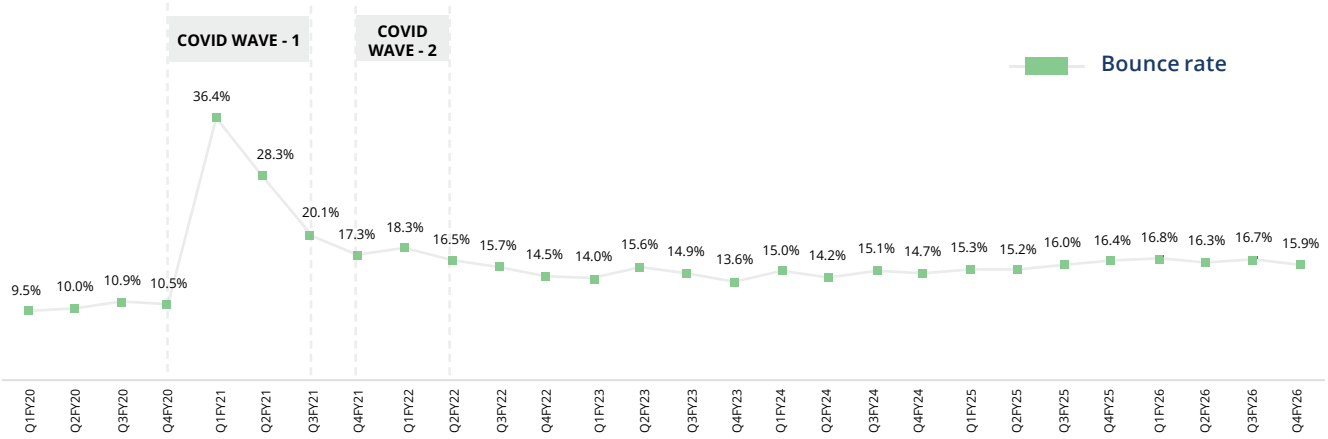
We initiate recovery action immediately after a customer defaults in monthly payment and the severity of our efforts increase as the number of days past due increase. At one day past due, our front-end teams call customers and visit them to understand reasons for the default and for recovery of the dues. At 30 days past due, while our employees continue to engage with the customer, we send them a default notice. At 60 days past due, we send a loan recall/ Pre-SARFAESI letter and our employees reiterate the repercussions of loan default to the customer. Thereafter, we seek to resolve cases by initiating legal action through SARFAESI at 90 days past due.

Apart from customer selection and strong underwriting, our focused approach on collections has helped us in sustaining a stable asset quality and delivering low credit cost. Our tiered collection strategy, led by our front-end team, prioritizes the containment of early delinquencies, which remains integral to maintaining consistent collection efficiency and strong asset quality.

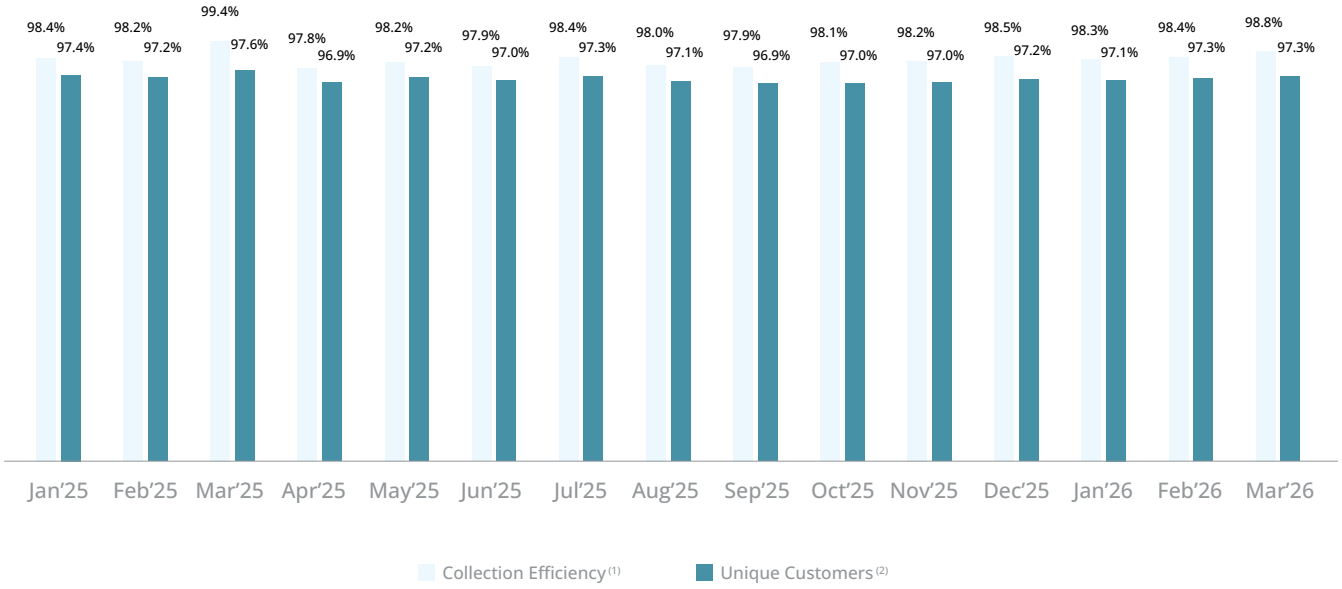
FY26 was marked by macroeconomic headwinds, particularly stemming from US tariff hikes that impacted key export-oriented markets such as Chennai, Coimbatore, and Tirupur. We had an enhanced collections focus on these locations ensuring that the overall impact to the portfolio was well within the acceptable limits. We also went careful on our new exposure into these markets. This early and calibrated response enabled us to effectively navigate localized disruptions, safeguarding the overall portfolio and maintaining stable asset quality throughout the year.

Management Discussion *and Analysis*

Bounce rate: On the day of EMI presentation



Collection Efficiency



(1) Collection Efficiency=Total #of EMIs received in the month (including arrears of previous months)/Total #of loan accounts whose EMIs are due in the month

(2) Unique customers=#of customers who made at least one payment in the month/Total #of Customers whose EMIs' are due in the month

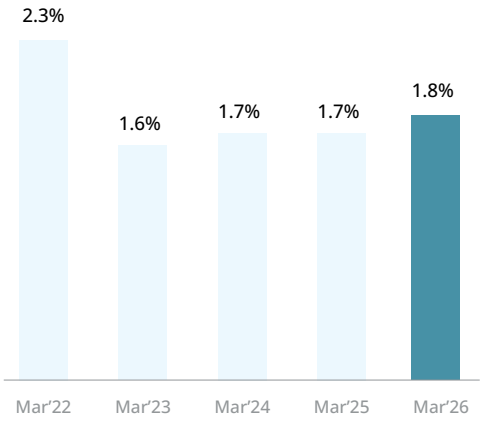
Management Discussion *and Analysis*

We have maintained a strong emphasis on early bucket collections, ensuring consistent focus in this area. Additionally, we provide convenient payment options for our customers, including app-based payments and remote payment links. These enhancements simplify the payment process, further contributing to the strength of our collections, initiating legal action through SARFAESI at 90 days past due.

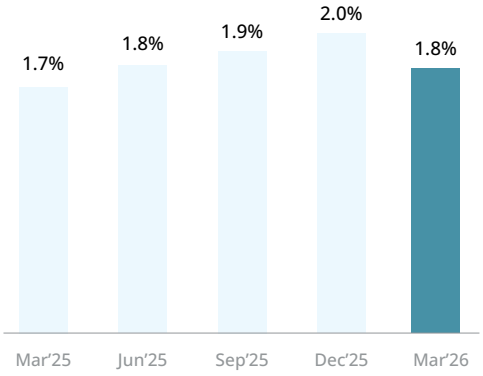
Our Gross Non-Performing Assets (GNPA) ratio remains stable at 1.8% as of Mar'26. Furthermore, our Stage-3 Total Provision Coverage Ratio is 44.9% as of Mar'26, compared to 46.6% as of Mar'25.

Gross Stage 3/ POS (GNPA) %

Last 5 Years



Last 5 Quarters



Management Discussion *and Analysis*

Our analysis of Strengths and weaknesses helps us identify and manage our business risks in a better manner.



Strengths

- Deep understanding of customer segment, transparent loan process and documentation – leading to customer trust and loyalty.
- Distribution reach driven by curated and contagious branch expansion and granular sourcing model driven by connectors ensuring deep penetration across India covering >80% of affordable housing finance market.
- Highly trained, experienced, and motivated front-end as well as support team.
- Data-science backed centralised underwriting brings in quality, standardisation, and agility.
- Robust and tiered collection management system led by front-end teams.
- Seamlessly integrating technology across the business process and flows to ensure operating efficiency and service quality.
- Robust risk management framework coupled with strong collection process and culture.
- Strong balance sheet with strong capital base and diversified funding base.
- Experienced management team and Board to ensure execution and high governance standards.



Weaknesses

- Sensitive to changing interest rates and market conditions.
- Limited brand recognition compared to banks.



Opportunities

- Sustained government focus on addressing shortage of housing in the country through various welfare schemes like PMAY.
- Strong growth potential in underlying affordable housing finance market driven by factors like continued macro drivers, scope to increase credit penetration in India, government initiatives towards improving socio-economic landscape, increasing availability of credit, conducive regulatory and policy framework.
- Market share gain at existing locations.
- Deepening network into existing geographies, expansion into new geographies.



Threats

- Competitive intensity from time to time.
- Any adverse movement in the industry / macroeconomic environment.
- Economic downturns and natural disasters affecting portfolio quality.

Management Discussion *and Analysis*

Risk Management

At Home First, risk management is a continuous and dynamic process focused on identifying, assessing, quantifying, and mitigating risks to support informed decision-making and sustainable business growth. The objective is to strengthen long-term financial resilience through proactive management of both financial and non-financial risks.

Key Focus Areas

- Ensuring compliance with regulatory and prudential norms prescribed by regulators and the Board.
- Identifying key business risks and establishing robust frameworks for their measurement and quantification.
- Periodically reviewing and strengthening internal controls and recommending appropriate risk mitigants.
- Monitoring adherence to Board-approved Risk Appetite limits across key risk parameters.
- Identifying and assessing emerging risks arising from regulatory, macroeconomic, and industry developments.

The Company is exposed to various risks inherent in financial services, including Credit, Market, Liquidity, Interest Rate, and Operational Risks (including IT-related risks). In addition, non-financial risks such as Reputational, Compliance, ESG, and Cybersecurity risks are actively managed.

An independent risk governance framework is in place to ensure segregation of responsibilities and independence in risk measurement, monitoring, and control functions. This framework is aligned with regulatory expectations and is supported by key processes such as the Risk Appetite Framework, Stress Testing, Early Warning Signals (EWS), and the Internal Capital Adequacy Assessment Process (ICAAP).

These frameworks are periodically reviewed and strengthened to ensure continued relevance and effectiveness. Risk exposures and mitigation actions are regularly reviewed by Management Committees and the Risk Management Committee (RMC), which oversees the overall risk profile of the Company.

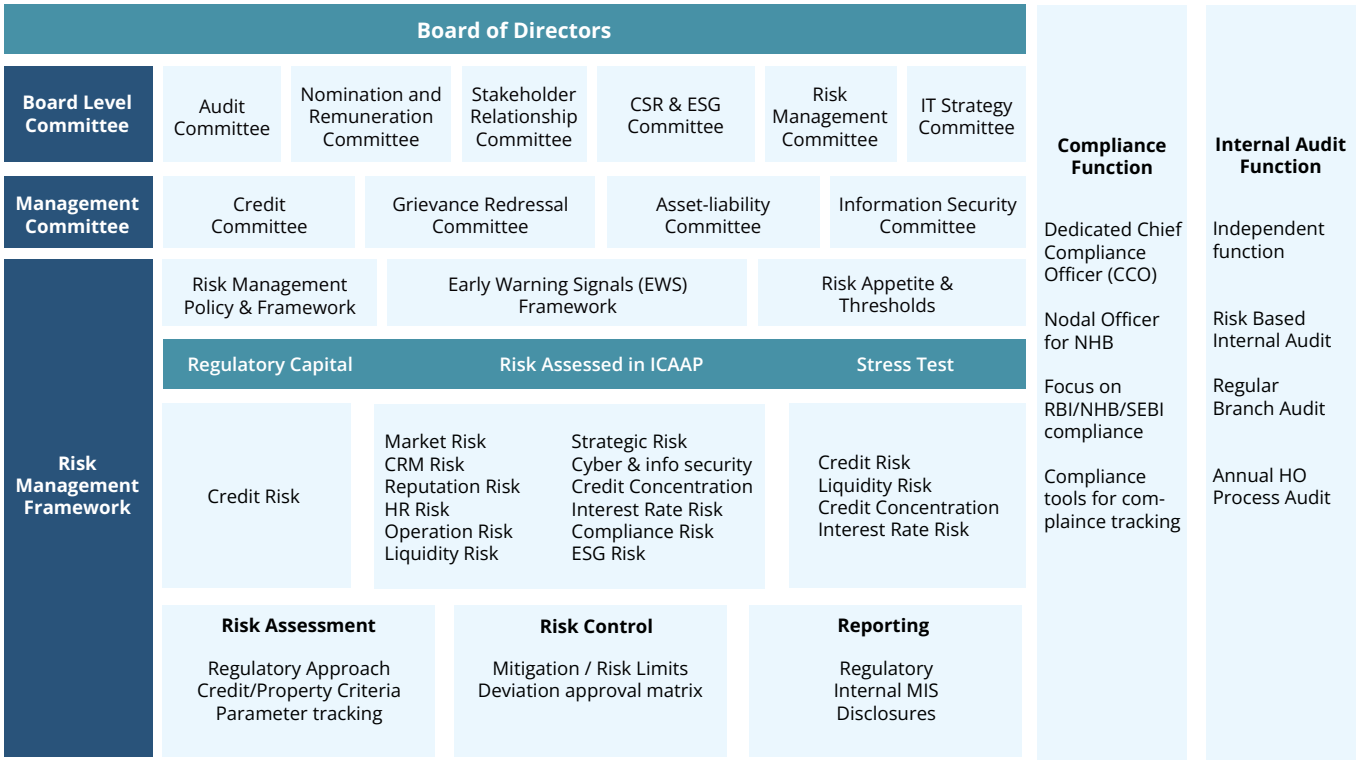
Risk Governance & Risk Management Framework

Home First adheres to the highest standards of corporate governance, which reflect the core values of fairness, accountability, and sustainability. The Board provides strategic guidance while ensuring oversight and compliance. Its composition—diverse and inclusive—strengthens objectivity and transparent decision-making, with Independent Directors playing a pivotal role.

Risk oversight is conducted through regular reviews by the Risk Management Committee (RMC) and other management-level committees. These forums ensure alignment with the company's risk strategy and regulatory standards.

The Risk Management Committee periodically reviews key risks and related policies to ensure alignment with strategic growth plans. Sub-committees of the Board—ALCO, Risk Management Committee, and IT Strategy Committee—support risk monitoring. The Audit Committee oversees adherence to these frameworks and evaluates their adequacy in managing evolving risks.

Management Discussion *and Analysis*



Risk Appetite (RA)

Risk Appetite represents the level and type of risk the organization is willing to accept in pursuit of its business goals. It is defined within the company's risk-bearing capacity and strategic vision.

At Home First, the Risk Appetite Framework outlines limits for key risk categories, supported by both quantitative and qualitative parameters, and aligns them with overall business strategy. These thresholds are monitored by the Risk team and presented to management committees and RMC to ensure timely action, as and when required.

Early Warning Signals (EWS)

Home First has instituted an EWS framework to identify early signs of potential NPAs or fraud. It leverages data such as borrower profiles, credit bureau reports, product types, collateral details, and customer behaviour patterns to categorize risk and pre-empt adverse outcomes.

Internal Capital Adequacy Assessment Process (ICAAP)

As a 'Middle Layer' NBFC under RBI classification, Home First is required to implement ICAAP. The ICAAP framework assesses capital adequacy in relation to the company's risk profile.

Home First's ICAAP Policy identifies material risks not captured by regulatory capital requirements and incorporates stress testing, scenario analysis, and projected financials.

Senior management—including the MD & CEO, Dy-CEO, CBO, CFO, CHRO, and CRO—regularly evaluates projected financials including capital position after considering critical business and macroeconomic success factors and ensures that the Company is adequately capitalized to meet its business plans.

Though submitted annually, ICAAP is a continuous process involving dynamic reassessment. The outcomes are first presented to the RMC, then approved by the Board before being submitted to the regulator. An independent review by third party is also conducted annually.

Management Discussion *and Analysis*

Stress Testing

Home First conducts stress tests to evaluate the potential impact of severe but plausible adverse conditions. The updated stress test policy defines scenarios, tolerance thresholds, mitigation strategies, and reporting protocols across Credit, Concentration, Liquidity, and Interest Rate Risks.

Emerging Risks

Emerging risks are newly developing or rapidly evolving threats that may have a significant impact on the financial industry but are often difficult to quantify due to limited historical data. These risks may arise from technological disruption (e.g., cyber threats, AI misuse), climate change, evolving regulatory landscapes, or geopolitical tensions. In the financial sector, proactively identifying and assessing such risks is crucial for resilience and long-term sustainability.

At Home First, a relatively flat organization structure with agile risk governance practices helps effectively anticipate and prepare for the impact of emerging risks by fostering faster decision-making, improved communication, and a more responsive approach to change.

Risk & Crisis Management

Crisis management encompasses preparation, response, and recovery from significant disruptions. At Home First, crisis preparedness operates at three levels:

Operational	Business Strategy	Reputation Management
• Annual IT risk assessments and IS audits by CERT-In empanelled auditors. • Evaluation of governance, cybersecurity, BCP, and third-party support. • Well-defined Business Continuity and Disaster Recovery Policies with RTO and RPO targets.	• Monitoring macroeconomic and regulatory trends and aligning strategic responses. • Assessing customer/product behaviour trends and competitive positioning.	• Support from a professional PR team and digital/social media monitoring tools. • Zero-tolerance policies on workplace discrimination and compliance breaches. • Grievance redressal with an escalation matrix. • Active Stakeholder Relationship Committee oversight.

Management Discussion *and Analysis*

Risk Categories and Mitigation Strategies

The following table outlines key risks and mitigation strategies across Home First's operations:

Risk Type	Description	Mitigation Measures
Credit Risk	Risk of default or deterioration in creditworthiness of borrowers or counterparties.	• Periodic evaluation of Board approved Credit Policy adherence and asset quality parameters by Credit Committee and Audit Committee. • Board-approved Credit Policy reviewed annually to ensure regulatory compliance as well as relevance and effectiveness with respect to business strategy, underlying, market scenario. • Centralized credit approvals, risk-based pricing, and exposure limits. • Technical/legal due diligence on collateral. • Independent audits and continuous training of credit personnel.
Market Risk	Losses from adverse movements in market prices or interest rates.	• Investments guided by a detailed policy focusing on high-quality instruments with strict control in terms of tenure, product, ratings, limits, and authorisation. • Regular assessment of investments and portfolio with quarterly reporting to ALCO.
Operational Risk	Losses due to failed internal processes, systems, or external events.	• The Board approved Operational risk management policy enlists the processes and controls for monitoring people, systems, and processes. • Comprehensive system of internal controls, systems, and procedures to monitor transactions, employee rotations, contingency planning, insurance cover, document storage, retrieval arrangements and maintenance of backup procedures to minimize operational risks. • Independent process audits by external auditors to ensure compliance and effectiveness in unbiased manner. Outcome of such audit, along with actions taken are regular periodically presented to the Audit Committee.
Liquidity & Interest Rate Risk	Inability to meet obligations without adverse financial effects.	• Board approved Asset-Liability Management Policy covering liquidity forecasting and gap analysis, funding source diversification as well as maintaining strong capital adequacy. • Prudent ALM practices to ensure positive ALM flows across all buckets. Stress testing, liquidity buffers, and positive ALM flows maintained. • Quarterly monitoring of liquidity ratios, including LCR • Robust internal control and audit process to ensure compliance and effectiveness of the policy/ measures.

Management Discussion *and Analysis*

Risk Type	Description	Mitigation Measures
Compliance & Regulatory Risk	Failure to comply with legal or regulatory obligations.	• Robust compliance framework monitored by senior management through compliance tracker and reporting timelines with robust access-control and log tracking for server security. • Regulatory updates closely tracked and integrated. • Strong and agile IT framework to ensure low downtime and security risk with regular employee trainings and audit (once in two years to identify upgrade/ change requirements) ensuring effectiveness of the IT infrastructure. • Internal control and audit framework ensures adherence to measure/ framework.
Reputational Risk	Damage due to adverse public perception or regulatory scrutiny.	• Governance framework with focus on applicable regulations and transparent stakeholder communication mechanisms in place which is complemented by regular training and awareness workshops. • Tracking Reputation risk related parameters, including Digital & Social Media Monitoring. • Customer grievance redressal policy with robust redressal mechanism • Dedicated investor relations team and adherence to Regulatory disclosures
IT, Cybersecurity & Information Security Risks	**Information technology risk** is the risk arising on account of inadequacies or failure of technical infrastructure or IT systems which can have an adverse impact on the availability, integrity, accessibility and security of the data and the IT infrastructure. **Cyber Security Risk** means the risk of cyber-attacks on Home First's systems through hacking, phishing, ransomware and other means, resulting in disruption of our services or theft or leak of sensitive internal data or customer information **Information Security** refers to protecting sensitive information and ensuring the use of information only by legitimate users with proper authorisation. The Risk of information getting compromised or being accessed without proper authorisation exposes the organization to Information Security Risk	• HomeFirst has an IT Policy prepared as per NHB and RBI guidelines, which sets out processes and controls that are required to be maintained in relation to the IT systems. The IT Policy is amended regularly. • Further we have an IT Strategy Committee of the Board. The main responsibility of this Committee is to assess the IT systems of the Company and gauge the vulnerability of the system to various risks and its mitigants. • The Company has adequate codes/policies to ensure that there is no breach in the privacy of the information of the customers. • End Point security software and Antivirus software in all laptops. • Robust access-control and log tracking for server security. • To ensure IT security, performance stability and flexibility, Home First has a well-established IT infrastructure in place. The loan processing applications of the company are built on Salesforce.com which is a globally recognized platform with low downtime and low security risk. • Further, we conduct an IT audit once every two years to determine issues and process level gaps, if any. • Training is provided to existing and new employees on IT policies, procedures and code of conduct

Management Discussion *and Analysis*

Risk Type	Description	Mitigation Measures
ESG Risk	Risks stemming from environmental, social, or governance issues.	• Strong framework with Board-approved ESG Policy and dedicated execution team supervised by senior management. • Commitment to sustainability through ongoing reporting and stakeholder engagement. • Regular publication of Business Sustainability and Responsibility Report ("BRSR") with transparent disclosures • Negative list/exclusion for restricting funding to inappropriate property/development locations which may either lead to loss of life and/or deterioration in the quality of life in nearby habitats.

Our Financial Performance

Particulars (₹Crs)	FY26	FY25	YoY %
Interest Income on term loans	1,573.4	1,280.2	22.9%
Net gain on DA	112.2	91.2	22.9%
Non-interest income	237.1	167.8	41.3%
Total Income	**1,922.7**	**1,539.2**	**24.9%**
Interest on borrowings	789.6	713.4	10.7%
Net Interest Income	**783.8**	**566.8**	**38.3%**
Net Total Income	**1,133.1**	**825.8**	**37.2%**
Operating Expenses	368.4	295.4	24.7%
Credit Cost	56.9	28.8	97.7%
Profit before tax	**707.8**	**501.6**	**41.1%**
Tax expense	167.4	119.5	40.0%
Profit after tax	**540.4**	**382.1**	**41.4%**
Basic EPS	**52.3**	**42.8**	
Diluted EPS	**51.6**	**42.1**	

Management Discussion *and Analysis*

Key Financial Ratios

Particulars	FY26	FY25	YoY %
Profit after tax on average total assets (ROA)	3.9%	3.5%	+ 40 bps
Leverage (Average total assets/average Equity or average Net-worth)	4.0	4.7	- 70 bps
Profit after tax on average equity or average Net-worth (ROE)	15.7%	16.5%	- 80 bps
Cost to Income Ratio (Operating Expenses / Net Total Income)	32.5%	35.8%	- 330 bps
Operating Expenses / Average total assets	2.7%	2.7%	No Change
Debt to equity ratio	2.4	3.8	- 140 bps

Total Income

Our total income increased by 24.9% to ₹1,922.7 Crs for FY26 from ₹1,539.2 Crs for FY25, primarily due to increase in interest income on term loans – ₹1,573.4 Crs for FY26 (up 22.9.% from ₹1,280.2 Crs for FY25). Interest income on term loan is driven by growth in our Principal outstanding – 23.4% for FY26. Net Interest Income increased by 38.3% to ₹783.8 Crs from ₹566.8 Crs for FY25, approximately 24.7% was driven by book growth and ~13.5% due to capital infusion through our QIP, which resulted in savings in interest expense. Net gain on DA is linked to higher volumes of DA transaction during the year – ₹838.4 Crs during FY26 (up 18.9% from ₹705.3 Crs for FY25). As of Mar'26, total DA as a percentage of AUM was at 13.2% (Mar'25: 12.9%). Our non-interest income also witnessed a significant 41.3% growth. This was largely due to increase in treasury related income to ₹107.7 Crs (up 25.1% from ₹86.1 Crs for FY25) on account of higher cash balance in Q1 due to QIP and fee and commission income to ₹82.7 Crs (up 82.7% from ₹45.3 Crs for FY25), reflecting the scaling up and full-year benefits of our corporate agency business, which began accruing insurance commission income from Aug'24.

Operating Expenses

We continue to reap the benefits of our technology-driven, customised business flows which are complemented by our unique people strategy to ensure high productivity and thus, low cost. Despite considerable expansion in our operations – branch count (171 as of Mar'26 vs. 155 as of Mar'25) and employee count (1,855 as of Mar'26 vs. 1,634 as of Mar'25), we maintained our high productivity ratios with disbursement per employee and branch for FY26 at ₹3.1 Crs and ₹33.3 Crs respectively, in-line with FY25 – ₹3.3 Crs and ₹33.4 Crs respectively. Consequently, our opex-to-average total assets for FY26 was at 2.7% (FY25: 2.7%).

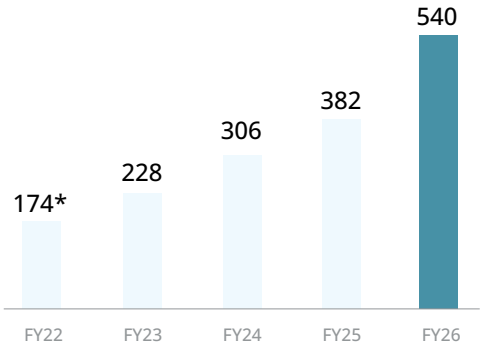
Profit After Tax

We delivered an exceptional financial performance in FY26, characterized by the successful scaling of operations and consistent asset quality. Our ability to effectively utilize operating leverage, complemented by the strategic capital infusion from the QIP, resulted in a remarkable 41.4% growth in Profit After Tax (PAT). PAT rose to ₹540.4 Crs for FY26, from ₹382.1 Crs in FY25. Reflecting this strengthened capital base, our Return on Equity (RoE) for FY26 stood at 15.7% (Pre-money RoE at 16.8%) compared to 16.5% in FY25.

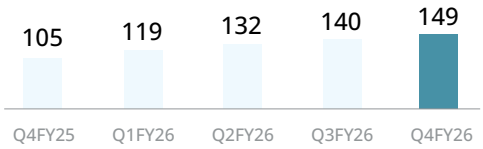
Management Discussion *and Analysis*

Profit After Tax (₹ Crs)

Last 5 Years



Last 5 Quarters



₹ 174 Crs is Adjusted PAT for FY22 without the positive impact of a one-time deferred tax liability adjustment

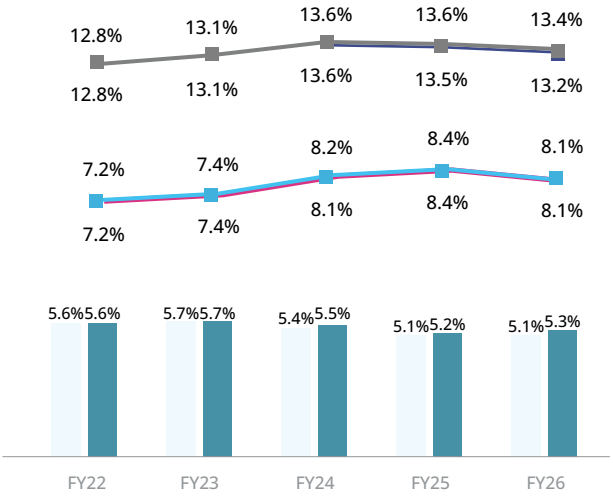
Spread on Loans

The Company maintained healthy margins during the year, with spreads for FY26 standing at 5.3% (excluding co-lending), compared to 5.2% in FY25. During the period, the portfolio yield stabilized at 13.4% from 13.6% in FY25. While this was partially influenced by a 10 bps reduction in the Prime Lending Rate (PLR) in Jan'26, the yield also reflected broader movements in the portfolio mix and market pricing dynamics. This was effectively offset by a notable improvement in our Cost of Borrowing (CoB), which decreased by 30 bps to 8.1% in FY26 from 8.4% in FY25. This reduction in CoB was primarily driven by our diversified borrowing mix, timely interest rate resets, and securing competitive marginal costs on fresh borrowings. Our robust financial profile continues to play a vital role in navigating interest rate cycles and stabilizing our overall borrowing costs.

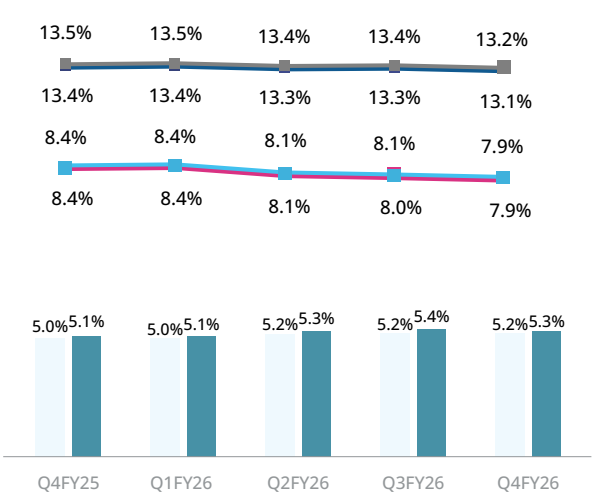
Net Interest Spread Movement

Spread (Overall) Spread (Ex CL) COB COB (Ex CL) Portfolio Yield Portfolio Yield (Ex CL)

Last 5 Years



Last 5 Quarters



Management Discussion *and Analysis*

Resource Mobilisation

Shareholders' Funds

As of Mar'26, our Shareholders' Funds stood at ₹4,356.5 Crs. This robust growth was driven by a steady accumulation of retained earnings and the successful execution of our maiden Qualified Institutional Placement (QIP) in Apr'25.

Particulars	(₹ Crs)
Opening Equity as on Mar'25	2,521.3
Add: Share application money received during the year	0.1
Add: Shares issued during the year – represents increase on account of face value for the shares allotted pursuant to ESOPs exercised	0.3
Add: Increase in securities premium on account of premium received on allotment of shares pursuant to ESOPs exercised	86.1
Add: Shares issued during the year – represents increase on account of face value for the shares allotted pursuant to Qualified Institutions Placement	2.6
Add: Increase in securities premium on account of premium received on allotment of shares pursuant to Qualified Institutions Placement (net off Share issue expenses)	1,228.0
Add: Statutory Reserve transfer for the period	108.7
Add: Increase in retained earnings (net off transfer to statutory reserve)	393.7
Add: Option valuation linked credit	16.4
Add: Other Comprehensive Income	-0.7
Closing Equity as on Mar'26	**₹ 4,356.5**

ESOP allotment

In alignment with our philosophy of inclusive growth, we actively enable our employees to participate in HomeFirst's success through our ESOP schemes. During FY26, the Company issued and allotted 13,85,880 equity shares to eligible employees upon the exercise of their vested stock options under its ESOP plans. Furthermore, to continually incentivize and retain key talent, 9,75,000 new options were granted during the year under the HomeFirst ESOP Scheme 2021 and ESOP Scheme 2024.

QIP

In Apr'25, the Company successfully executed its maiden Qualified Institutional Placement (QIP), raising ₹1,250 Crs through the issuance of 1,28,86,597 equity shares. This strategic capital raise saw strong participation from marquee institutional investors, reflecting their continued confidence in our business model and significantly strengthening our capital base to support long-term growth objectives.

Management Discussion *and Analysis*

Strong Capital position with healthy Capital to Risk-Weighted Assets Ratio

The company, as of Mar'26, has capital adequacy ratio of 44.1% with Tier-I at 43.8%. The capital infusion significantly strengthens our balance sheet by enhancing our Capital Adequacy Ratio (CRAR).

The table below outlines our capital-to-risk-weighted assets ratios for the specified periods.

Particulars	Mar'26	Mar'25
CRAR (%)	44.1%	32.8%
CRAR - Tier I capital (%)	43.8%	32.4%
CRAR - Tier II capital (%)	0.3%	0.4%

Borrowings

As we continue to scale up our operations, we aim to further diversify our borrowing sources across multiple pools of capital. The company's on-book borrowings stood at ₹10,590.0 Crs as of Mar'26, compared to ₹9,550.7 Crs as of Mar'25.

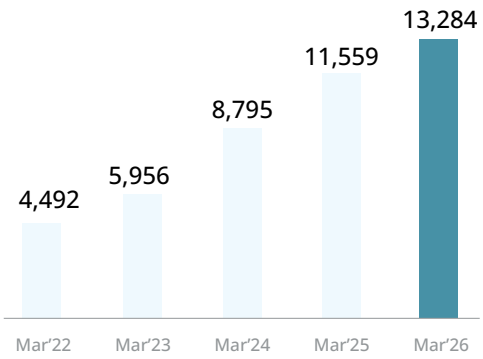
During the year, the company successfully raised ₹4,788.6 Crs in funding (other than equity). Our liability management strategy emphasizes prudent diversification across 31 lending partnerships, with a strong focus on securing long-term borrowings at competitive rates.

During FY26, the Company has not issued any Commercial Paper or any Short-Term Instrument. Accordingly, the Company's Commercial Paper outstanding was NIL as at Mar'26.

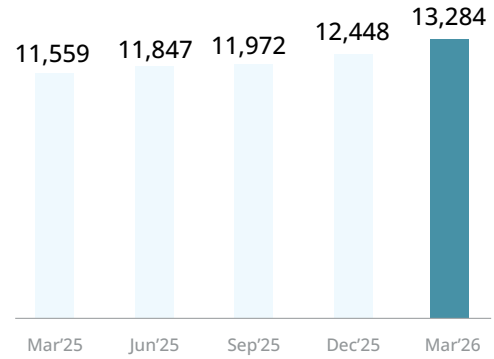
Total Borrowings (₹ Crs)

Includes Direct Assignment & Co-Lending

Last 5 Years



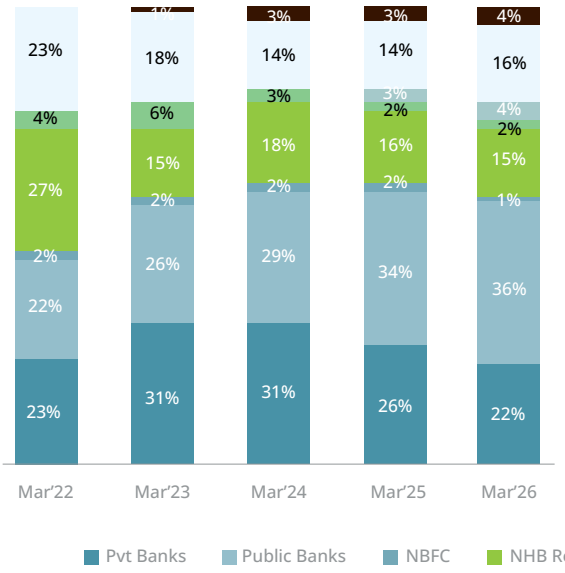
Last 5 Quarters



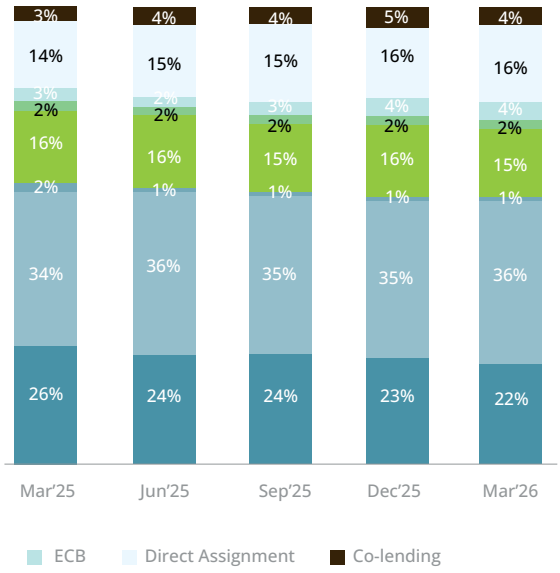
Management Discussion *and Analysis*

Borrowing Mix (in %)

Last 5 Years



Last 5 Quarters



Pvt Banks | Public Banks | NBFC | NHB Refinance | NCD | ECB | Direct Assignment | Co-lending

Direct Assignment

During FY26, purchase consideration of ₹838.4 Crs was received through direct assignments, leading to the de-recognition of the corresponding assets in the company's books. As of Mar'26, the total portfolio includes ₹2,100.6 Crs under direct assignment, up from ₹1,636.5 Crs in Mar'25.

Co-lending

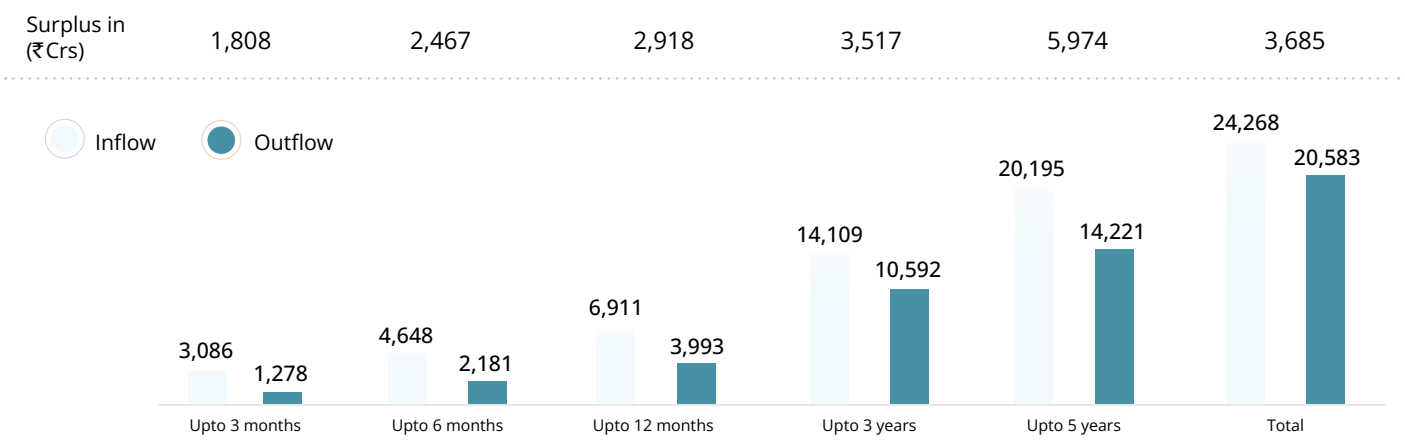
We have co-lending partnerships with Central Bank of India, Union Bank of India, Axis Bank, South Indian Bank and Jammu & Kashmir Bank During FY26, we successfully disbursed loans amounting to ₹307.4 Crs under co-lending contributing to 3.7% of our AUM as on Mar'26. Our strategy includes expanding our co-lending portfolio over the medium term. We believe that co-lending offers a distinctive advantage by combining the banks' access to low-cost funds with the capability of NBFCs (including HFCs) to efficiently source retail customers and manage them, including collections. Our goal is to expand co-lending transactions over the medium term.

Healthy Asset-Liability Position

HomeFirst has a disciplined approach to asset liability management (ALM). The Company carefully monitors the behavioural and contractual maturity periods of our assets and liabilities and classify them under their respective maturity buckets based on estimates and assumptions which considers relevant behavioural pattern as per historical data. As of Mar'26, the Company has positive ALM position on a cumulative basis across all buckets.

Management Discussion *and Analysis*

ALM Position - Cumulative as of Mar'26 (₹Crs)



Further detailing can be referred to in the Financial Capital Chapter on page no. 78

Credit Ratings

We achieved a significant milestone during the year with our long-term credit rating being upgraded to AA (Stable) by ICRA, India Ratings & Research, and CARE Ratings. This upgrade serves as a strong endorsement of our stable asset quality, prudent risk management, and strengthened balance sheet.

Rating Agency	Instrument	FY24	FY25	FY26
ICRA	Term Loans and NCD Commercial Paper	AA- (Stable) A1+	AA- (Stable) A1+	AA (Stable)* A1+
India Ratings & Research	Term Loans and NCD Commercial Paper	AA- (Positive) A1+	AA- (Positive) A1+	AA (Stable)** A1+
CARE Ratings	Long-term Bank Facilities	AA- (Stable)	AA- (Stable)	AA (Stable)***

**credit rating upgraded to "AA (Stable)" from "AA- (Stable)" w.e.f. May 28, 2025*

***credit rating upgraded to "AA (Stable)" from "AA- (Positive)" w.e.f. June 04, 2025*

****credit rating upgraded to "AA (Stable)" from "AA- (Stable)" w.e.f. June 10, 2025*

Management Discussion *and Analysis*

Human Resources

Our human resource strategy remains a key pillar of our execution strength, enabling us to maintain high productivity and deliver optimized operating costs. To support our continued network expansion and business growth, we strategically augmented our talent pool during the year, with our total employee strength increasing to 1,855 as of Mar'26, up from 1,634 in Mar'25. We are deeply committed to fostering an environment that supports the holistic growth and development of our people. Beyond acquiring the right talent, we invest heavily in comprehensive training programs covering technical capabilities, soft skills, and leadership development. By offering attractive compensation, clear career progression opportunities, and cultivating a healthy, inclusive culture, we continue to drive strong employee retention. Our commitment to employee welfare is further reinforced through robust frameworks, including our Human Rights Policy, Equal Opportunity Policy, and Parental Leave Policy.

For further details on our training programs, employee benefits, and engagement initiatives, please refer to the Human Capital Chapter on page 89.

ESG

Environmental, Social, and Governance (ESG) principles are integral to our operational framework, evolving beyond mere compliance to become a fundamental business imperative. HomeFirst continues to position itself as an industry leader, demonstrating transparency in governance through comprehensive disclosures, green initiatives, and the end-to-end digitalization of processes. We remain deeply committed to creating a meaningful socio-economic impact for underprivileged and vulnerable communities, contributing to the development of a resilient and inclusive Indian economy. Guided by the Board's CSR Committee and aligned with our CSR Policy, our targeted interventions span critical focus areas, including skill development, employment generation, children's education, school infrastructure enhancement, and healthcare.

Our sustained efforts in driving sustainable practices and fostering a dynamic workplace continue to earn recognition from leading global agencies. We maintained a strong S&P Global ESG Score of 46. Furthermore, during FY26, our Morningstar Sustainalytics ESG Risk score improved significantly to 13.6 (down from 16.2 in the previous year), reinforcing our 'Low Risk' rating and maintaining our best-in-class standing among BFSI peers. This continued recognition underscores HomeFirst's unwavering commitment to sustainability, equitable growth, and exemplary corporate governance.

For further details on our initiatives, please refer to the Sustainability Report starting on page 47.

Internal Control Systems and Internal Audit

HomeFirst has a Risk-Based Internal Audit (RBIA) Policy in place. The Company has a Head of Internal Audit and is assisted by Joint Internal Auditors viz, M/s BDO India LLP, M/s P Chandrashekharan LLP and M/s Kirtane & Pandit LLP to conduct HO Process audits and Branch Audits.

The Internal Audit plan is derived from the RBIA framework, which is presented to the Audit Committee for their approval. Process and Branch audits are conducted to verify adherence to the Board approved policies and processes. Audit Findings are discussed with the Management and are reviewed by the Audit Committee of the Board at regular intervals.

The Company has an adequate internal Control System to ensure adherence to the company's policies and procedures, compliance with applicable laws and regulations, to ensure that management information and financial reporting are correct, reliable, and complete, to enable the detection and prevention of fraud and errors and to safeguard the company assets against loss from unauthorised use or disposition, amongst others. Further, the internal control system is commensurate with the size of the business as well as the industry in which the Company operates. The Company has appointed Internal Auditors to ensure compliance with the company's policies and procedures and compliance with applicable laws and regulations. Also, the Statutory Auditors independently evaluates the internal financial controls with reference to financial statements and certifies their adequacy and effectiveness in the Audit Report. The Audit Committee of the Board reviews the performance of the internal audit,

Management Discussion *and Analysis*

the adequacy of the internal control systems and compliance with regulatory guidelines. The Audit Committee also provides necessary oversight, gives recommendations, and monitors the implementation of such recommendations.

Outlook

HomeFirst is well positioned to benefit from the strong structural demand in India's affordable housing finance market, driven by the aspiring middle-income segment. Over the past sixteen years, the Company has built a differentiated business model anchored in a granular sourcing network and a centralized, data-driven underwriting framework.

Supported by deep technology integration and a strong on-ground team, the Company has developed efficient and scalable operating processes while maintaining credit discipline. These capabilities continue to drive sustainable growth and operational efficiency.

The Company remains focused on strengthening its market position with a clear ambition: "**Fastest Provider of Home Finance for the Aspiring Middle Class, delivered with Ease and Transparency.**"

Cautionary Statement

This document includes forward-looking statements regarding anticipated future events, as well as the Company's financial and operational results. These statements inherently involve assumptions and are subject to risks and uncertainties. There is a considerable likelihood that these assumptions, projections, or forward-looking statements may not be accurate. Readers are advised not to place undue reliance on such statements, as various factors could lead to significant deviations between the assumptions and actual outcomes or events.

The Company does not undertake any obligation to publicly update, modify, or revise forward-looking statements considering subsequent developments.

Directors' *Report*

To
The Members,
Home First Finance Company India Limited

Your Board of Directors' ("**Board**") are pleased to present this 17th Annual Report on the performance of your Company (the "**Company"/ "HomeFirst**") along with the Audited Financial Statements for the Financial Year ended on March 31, 2026 ("**FY26**").

Company Overview:

Home First Finance Company India Limited is a technology-driven housing finance company focused on enabling home ownership for first time home buyers across India. With a strong presence in emerging urban and semi-urban markets, your Company is committed to expanding access to formal housing credit, particularly for low and middle-income families and underserved customer segments.

Your Company offers home loans and mortgage products across 144 districts in 13 States/UT in the country. Your Company operates through a centralized underwriting model supported by digital data aggregation and proprietary customer scoring models, which promotes efficiency while maintaining strong credit discipline.

Your Company is registered with the Reserve Bank of India ("**RBI**") as a non-deposit-taking Housing Finance Company and with Insurance Regulatory and Development Authority of India (**"IRDAI**") as a Corporate Agent (Composite). The equity shares of the Company are also listed on the BSE Limited ("**BSE**") and the National Stock Exchange of India Limited ("**NSE**") since Feb'21.

In Apr'25, HomeFirst further strengthened its capital base by raising ₹ 1,250 crs through Qualified Institutions Placement ("**QIP**"), by issuing 1,28,86,597 equity shares to Qualified Institutional Buyers, reflecting strong investor confidence in its steady and quality-driven growth trajectory.

FINANCIAL SUMMARY:

Financial Results:

Your Company's financial performance during the year reflects sustainable, consistent, and quality growth as demonstrated over more than sixteen years. The key highlights of the Audited Financial Statements of your Company for FY26, along with a comparison with the previous financial year ended on March 31, 2025 ("**FY25**") are summarized below:

Amount in ₹ Crs

Particulars	FY26	FY25
Total Income	1,922.7	1,539.2
Less: Total Expenses	1,214.9	1,037.6
Profit/ (Loss) before tax	**707.8**	**501.6**
Less: Current tax	166.3	113.9
Deferred tax	1.1	5.6
Profit after Tax	**540.4**	**382.1**
Other Comprehensive Income	-0.7	-4.9
Transfer of Statutory Reserve (u/s 29C of NHB Act, 1987)	- 108.7	-76.8
Balance carried to Balance Sheet	**431.0**	**300.4**
Earnings per Share (Face Value ₹ 2)		
- Basic (₹)	52.3	42.8
- Diluted (₹)	51.6	42.1

The above figures have been extracted from the financial statements prepared in accordance with Indian Accounting Standards ("**Ind AS**") as notified under Sections 129 and 133 of the Companies Act, 2013 (the "**Act**") read with the Companies (Accounts) Rules, 2014 and other relevant provisions of the Act.

The detailed Audited Financial Statements forms part of this Annual Report and are presented as a separate section of this Annual Report.

State of Company's Affairs:

During the year under review, your Company continued to expand its reach across emerging urban and semi-urbanmarkets, strengthen its credit and risk management frameworks, and invest in technology-driven processes to enhance customer experience. Through prudent lending, disciplined growth, and a deep understanding of our customers' aspirations, we remain dedicated to supporting sustainable home ownership and advancing the larger national vision of inclusive housing for all.

Your Company continues to strengthen its position in the affordable housing finance segment, expanding its reach across India with a pan-India presence comprising 171 physical branches and 373 touchpoints as on March 31, 2026.

As on March 31, 2026, your Company's Assets Under Management ("**AUM**") stood at ₹15,877.7 Crs, reflecting sustained portfolio growth and continued customer confidence. Alongside financial growth, your Company remains equally committed to responsible growth. Under its Green Homes initiative, 330 additional homes were certified during the year, taking the cumulative count to 450 certified homes as of Mar'26.

Dividend:

In accordance with Regulation 43A of the Securities and Exchange Board of India (Listing Obligations and Disclosure Requirements) Regulations, 2015 (the **"SEBI Listing Regulations**"), your Company has formulated and adopted a Dividend Distribution Policy. The Dividend Distribution Policy is available on the website of the Company. The declaration of dividend is undertaken in compliance with the applicable provisions of the Reserve Bank of India (Housing Finance Companies) Directions, 2025 and the Reserve Bank of India (Non-Banking

Financial Companies – Prudential Norms on Declaration of Dividends) Directions, 2025, as amended from time to time

In view of the overall performance of your Company during FY26, your Board of Directors at its meeting held on May 6, 2026 has recommended a final dividend of ₹ 5.2/- per equity share having a face value of ₹2/- (Rupees Two only) each, which is equivalent to 260% of the face value of the equity shares, subject to the approval of the members at ensuing 17th Annual General Meeting ("**AGM**") of the Company, to be paid out as dividend. The Dividend payout ratio for FY26 shall be 10%, if approved by the shareholders.

In terms of the provisions of the Income Tax Act, 1961, dividend income is taxable in the hands of the members, and therefore will be subject to deduction of applicable tax. Your Company has not declared any interim dividend during the financial year under review.

Unclaimed Dividend:

As on March 31, 2026, Dividend amounting to ₹ 66,903.6/- representing 553 Shareholders pertaining to FY23, ₹ 54,754.8/- pertaining to FY24 representing 468 Shareholders and ₹ 56,826.1/- pertaining to FY25 representing 424 Shareholders had not been claimed by the Shareholders and are lying in the Unclaimed Dividend Account of the Company. In accordance with the applicable provisions of the Companies Act, 2013 and the rules made thereunder, details of shareholders whose dividend remains unclaimed are available on the website of the Company.

Further during the year, the Investor Education and Protection Fund Authority (IEPFA), Ministry of Corporate Affairs, had launched a 100-Day Campaign – "**Saksham Niveshak**" to assist shareholders in claiming their unpaid or unclaimed dividends, accordingly your Company had proactively reached out to shareholders through website disclosures, social media communication, and direct email to assist them in updating their KYC details and claiming their unclaimed dividends pertaining to FY23, FY24 and FY25. Further, shareholders who have not claimed their dividend can write to us at corporate@homefirstindia.com and can claim their dividend.

Transfer to Reserves:

Pursuant to Section 29C of the National Housing Bank Act, 1987, the Company is required to transfer at least 20% of its net profit every year to a reserve before any dividend is declared. During the financial year under review, your Company transferred ₹ 108.7 Crs out of the previous year's profits available for appropriation to the Statutory Reserve Fund, being 20% of its net profit.

Business Update:

'A Home for All Seasons' - Your company remains steadfast in its commitment to providing reliable housing finance solutions for underserved and emerging customer segments. We believe that a home is more than shelter - it is security in uncertain times, comfort across life's changing phases, and a foundation for economic empowerment. This philosophy guides the design of products that are accessible, adaptable, and responsibly structured - ensuring affordability today without compromising sustainability tomorrow. It underscores our commitment to prudent credit assessment, customer-centric repayment structures, and long-term portfolio resilience, so that the homes we help finance remain sources of strength in all seasons - be it growth, transition, or challenge. Through this approach, we strive to empower families with not just housing finance, but with lasting confidence and dignity in homeownership.

During the financial year under review, your Company strengthened its distribution network by adding 16 branches and 12 touchpoints during the year, taking the total count to 171 branches and 373 touchpoints. Further your Company has disbursed ₹ 5,423.6 Crs. Your Company's Asset Under Management ("**AUM**") as at Mar'26 was ₹ 15,877.7 Crs; a YoY growth of 24.9%; while providing loans to more than 36,000 customers. ~90% of the borrowers as of Mar'26 are women, while loans given to EWS / LIG borrowers account for 58.7% of our AUM.

During the FY26, your Company has also relationship with 31 lenders and has raised funds amounting to ₹ 4,788.6 Crs through various modes. Your Company is supported by a dedicated team of 1,855 employees to ensure sustainable growth while fulfilling our mission of making affordable housing a reality for all.

Directors' *Report*

Key areas of business operations:

Product Portfolio:

Your Company offers a focused range of housing finance products designed to serve the affordable housing segment. These include Housing Loans, Shop Loans and Loan against Property. Your company primarily caters to first-time home buyers in the low - and middle - income segment, with a strong focus on emerging affordable housing markets.

Technology - Driven Processes:

HomeFirst leverages digital sourcing, centralized underwriting integrated with the Account Aggregator to enhance credit evaluation and operational efficiency. Digital tools are used throughout the loan journey from application and documentation to approval and servicing which helps in reducing turnaround time, improve transparency, strengthen risk monitoring and keep operating costs under control. We are also extending our technology capabilities through the use of AI. In our business, AI can strengthen decision making by bringing context into the analysis. Immediate applications involve interpretation of title flow by reading property documents in different languages, analyzing bank statements in the context of the customer's business, transcription of customer interactions to supplement credit proposals etc.

Distribution Network and Geographic Presence:

HomeFirst operates through 171 branches and 373 touchpoints across 13 States/UT. Your Company offers housing loans and mortgage products in 144 districts in the States of Maharashtra, Gujarat, Karnataka, Andhra Pradesh, Telangana, Tamil Nadu, Madhya Pradesh, Uttar Pradesh, Rajasthan, Chhattisgarh, Haryana, Delhi and Uttarakhand. This reflects its strong pan - India presence in large as well as emerging affordable housing markets.

Funding and Partnerships:

Your Company maintains a diversified borrowing profile supported by relationships with multiple banks and financial institutions and has raised ₹ 4,788.6 Crs through various modes in FY26, enabling stable access to capital.

In addition, your Company has 15 partners in Direct Assignment and 5 partners in Colending. Further, It has tie-ups with six insurance partners viz. comprising four life insurers namely Aditya Birla Sun Life Insurance Company Limited, Bandhan Life Insurance Limited, Bharti Axa Life Insurance Company Limited and HDFC Life Insurance Company Limited and two general insurers viz. Go Digit General Insurance Limited and ICICI Lombard General Insurance Company Limited which has contributed to the growth of its corporate agency business.

The highlights of your Company's performance during FY26 are as follows:

- The AUM as at Mar'26 amounted to ₹ 15,877.7 Crs vis-à-vis ₹ 12,712.7 Crs in the previous year; a year-on-year growth of 24.9%.
- The profit before tax for FY26 increased by 41.1% to ₹707.8 Crs (FY25: ₹ 501.6 Crs). The profit after tax for FY26 increased by 41.4% to ₹ 540.4 Crs (FY25: ₹ 382.1 Crs)
- Strong Capital Adequacy ratio of 44.1 % as of Mar'26.
- Stable Asset Quality - The Gross Non-Performing Assets (GNPA) as on Mar'26 was 1.8 % of the total loan book of the Company and corresponding Net Non-performing Assets (NNPA) was 1.4 % as compared to GNPA of 1.7% and NNPA of 1.3% in Mar'25.
- The Net Interest Income reported for the year was ₹783.8 Crs vis-à-vis ₹ 566.8 Crs in FY25.
- The Net Worth of the Company as on March 31, 2026 was ₹4,356.5 Crs (FY25: ₹ 2,521.3 Crs).

During the year under review, your Company has engaged with Morningstar Sustainalytics and S&P Global for independent assessment of its ESG performance. Pursuant to such assessments, Morningstar Sustainalytics improved the Company's ESG Risk Rating from 16.2 to 13.6, categorising your Company in the "Low Risk" category for ESG risk management. Further, your Company received a strong ESG performance score of 46 from S&P Global. This improvement reflects the Company's continued focus on strengthening its environmental, social and governance practices.

RESOURCES AND LIQUIDITY:

Your Company continues to strengthen its asset–liability profile through a well-diversified funding strategy. The borrowing mix comprises term loans (59.4%), direct assignment transactions (15.8%), refinance facility from National Housing Bank (14.7%), co-lending arrangements (4.5%) and non-convertible debentures (1.7%), along with external commercial borrowings (3.9%). This diversified funding base reduces concentration risk and enhances financial stability.

Your Company has not issued commercial paper to avoid exposure to short-term market fluctuations. The total borrowing limit as approved by the Shareholders is ₹ 15,000 Crs (Rupees Fifteen Thousand Crores only). Also, the Liquidity Coverage Ratio ("**LCR**") for Q4FY26 was 151.2% as against the regulatory requirement of 100%.

The details of resources and liquidity of your Company is as follows:

a. Terms loans and others borrowings:

During the financial year under review, your Company has availed fresh bank facilities of ₹ 2,700 Crs from various banks and financial institutions.

As at March 31, 2026, the outstanding debt from banks and financial institutions stood at ₹ 7,891.1 Crs.

b. Refinance:

Your Company availed refinance facilities of ₹ 900 Crs from the National Housing Bank under various refinance schemes during the financial year under review.

As of March 31, 2026, the outstanding debt from NHB stood at ₹ 1,948.4 Crs.

c. Direct assignment and co-lending:

During the financial year under review, your Company has raised ₹ 881.2 Crs under direct assignment route.

Also, during the financial year under review, your Company has originated ₹ 307.4 Crs under the co-lending route for its various partners.

d. External Commercial Borrowings:

During the financial year under review, your Company did not raise any additional funds through External Commercial Borrowings ("**ECBs**"). However, the Company utilized the existing un-availed limit of USD 20 million amounting to ₹ 180.3 Crs from its existing sanction. As on March 31, 2026, your Company had outstanding ECB facilities of up to USD 55 million (equivalent to ₹523.1 Crs), availed from financial institutions for onward lending to customers.

Your Company has fully hedged the principal and interest obligations in respect of such borrowings and, accordingly, does not carry any material foreign exchange risk exposure.

As of March 31, 2026, the outstanding debt in the form of ECB stood at ₹ 523.1 Crs

e. Non-Convertible Debentures (NCD):

During the financial year under review, there was no new borrowing made through NCDs. As at the end of FY26, your Company has outstanding secured, unlisted NCDs amounting to ₹ 227.4 Crs (as per IND-AS). The Company has made the repayment of ₹ 56 Crs. Your Company has been regular in making payments of principal and interest on NCDs, as per the terms and conditions of the NCDs. The Company is in compliance with the provisions of Reserve Bank of India (Housing Finance Companies) Directions, 2025, Reserve Bank of India (Non-Banking Financial Companies – Miscellaneous) Directions, 2025, SEBI (Issue and Listing of Non - Convertible Securities) Regulations, 2021, SEBI Listing Regulations and the Act.

f. Qualified Institutions Placement

During the year under review, your Company successfully raised primary capital aggregating to ₹ 1,250 Crs

through a Qualified Institutions Placement ("**QIP**") in accordance with the SEBI (Issue of Capital and Disclosure Requirements) Regulations. Pursuant to the issue, your Company allotted up to 1,28,86,597 Equity Shares of face value ₹ 2 each at a premium of ₹ 968 per equity share, aggregating to ₹ 1,250 Crs.

In pursuance of the said transaction, your Company has raised capital from foreign institutional investors, domestic mutual funds and insurance companies both new and existing - reaffirming strong and continued investor confidence in the Company.

The Net Proceeds from the issue were primarily utilised towards augmenting the capital base of the Company to support future business growth and for general corporate purposes, in line with the object stated in the Placement Document dated April 11, 2025. The Company has deployed the funds for the aforesaid object during Q1FY26.

CREDIT RATING:

Your Company's financial discipline and prudence is reflected in the credit ratings assigned by Credit Rating Agencies as under:

Amount in ₹ Crs

Instrument	Rating Agency	Rating	Outlook	Amount
Term Loan	ICRA	AA	Stable	5,300
	India Ratings	AA	Stable	4,900
	CARE	AA	Stable	1,500
Commercial Paper	ICRA	A1+	-	100
	India Ratings	A1+	-	100
Non-Convertible Debentures	ICRA	AA	Stable	561
	India Ratings	AA	Stable	344

During the year under review, your Company continued to strengthen its credit profile, reflecting its disciplined growth, strong asset quality and prudent risk management practices. Further, pursuant to rating assessments undertaken during the year:

- **India Ratings and Research Private Limited** upgraded the long-term rating from IND AA-/Positive to IND AA/Stable and reaffirmed the short-term credit rating for commercial paper
- **ICRA Limited** upgraded the Company's long-term credit rating from ICRA AA- (Stable) to ICRA AA (Stable).
- **CARE Ratings Limited** upgraded the long-term credit rating from CARE AA-; Stable to CARE AA; Stable.

These rating upgrades reaffirm the Company's strong financial profile and fund-raising capabilities, improving scale of operations, robust capital position and consistent profitability. The strengthened credit ratings enhance access to lower-cost capital, reduce refinancing risk, and enable sustainable expansion.

CAPITAL ADEQUACY RATIO:

As per the Reserve Bank of India (Non-Banking Financial Companies – Prudential Norms on Capital Adequacy) Directions, 2025, Your Company is required to maintain a minimum Capital to Risk-Weighted Assets Ratio (CRAR) of 15% of its aggregate risk-weighted assets. Further, Tier II capital shall not, at any point in time, exceed 100% of Tier I capital. In compliance with the requirements, as at March 31, 2026, your Company's CRAR stood at 44.1% (March 31, 2025: 32.8%), with a Tier I Capital Adequacy Ratio of 43.8%.

Your Company continues to maintain capital adequacy well above the regulatory minimum, reflecting its strong capital position and financial stability.

DEPOSITS:

As a non-deposit-taking Housing Finance Company, during the financial year under review, your Company has neither accepted nor renewed any amounts falling within the purview of provisions of Section 73 of the Act read with the Companies (Acceptance of Deposit) Rules, 2014. Accordingly, the disclosure requirements relating to deposits under Chapter V of the Act, including details of non-compliant deposits, are not applicable to the Company.

AWARDS & RECOGNITIONS:

During the financial year under review, no awards were granted to the Company.

CHANGE IN THE NATURE OF BUSINESS:

During the Financial Year under review, there were no alterations/changes in the core operations or activities or nature of business of the Company.

ALTERATION OF MEMORANDUM OF ASSOCIATION AND ARTICLES OF ASSOCIATION:

During the financial year under review, your Company has not altered its Memorandum of Association and Articles of Association.

DETAILS OF COMPANIES WHICH HAVE BECOME OR CEASED TO BE ITS SUBSIDIARY, ASSOCIATE OR JOINT VENTURE COMPANIES OR HOLDING COMPANY:

During the financial year under review, your Company did not have any Subsidiary, Associate or Joint venture Companies.

Also, your Company does not have any holding company.

MATERIAL CHANGES AND COMMITMENTS, IF ANY, AFFECTING THE FINANCIAL POSITION OF THE COMPANY WHICH HAVE OCCURRED BETWEEN MARCH 31, 2026 AND DATE OF THIS REPORT:

There have been no material changes or commitments affecting the financial position of the Company between the end of the financial year to which the financial statements relate and the date of this Report.

SHARE CAPITAL:

Authorized Share Capital:

During the financial year under review, there was no change in the Authorized Share Capital of the Company.

Issued, Subscribed and Paid-up Share Capital:

During the financial year under review, the Company had allotted 1,28,86,597 equity shares of face value ₹ 2/- each at an issue price of ₹ 970/- per share, aggregating to ₹ 1,250 Crs, pursuant to a qualified institutions placement in accordance with the SEBI (Issue of Capital and Disclosure Requirements) Regulations, 2018.

Furthermore, during the financial year under review, your Company had allotted 13,85,880 Equity Shares to employees on exercise of stock options granted under various ESOP Schemes of the Company.

Pursuant to the aforesaid allotments of equity shares, the issued, subscribed and paid-up share capital of the Company stands increased to ₹ 20,86,56,034/- (10,43,28,017 Equity Shares of Face Value ₹ 2 each) as at Mar'26.

PARTICULAR OF CONTRACTS OR ARRANGEMENT WITH RELATED PARTIES:

Your Company did not enter into Related Party Transactions ('**RPT**') during the year under review.

Further, pursuant to the amendment to Regulation 23 of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015 notified on December 12, 2024, remuneration (including commission) and sitting fees paid to directors, Key Managerial Personnel and senior management (other than promoter/promoter group) which are not material under the Company's Materiality Policy do not require separate approval of the Audit Committee or the Board. As the applicable

thresholds were not exceeded during the year, no such separate approvals were required.

Furthermore, your Company had duly obtained omnibus approval from the Audit Committee for exercise of ESOPs, and the same were ratified at the subsequent Audit Committee meeting held after the allotment of ESOPs, as the quantum of such exercises could not be determined in advance.

The disclosure as per Section 188 of the Act in Form AOC-2 is annexed as **Annexure I**.

Further as required by **Reserve Bank of India (Housing Finance Companies) Directions, 2025**, Policy on Materiality of Related Party Transactions and Dealing with Related Party Transactions ("**RPT Policy**") is annexed as **Annexure II** and the same can be accessed on the website of the Company at RPT Policy.

CONSERVATION OF ENERGY, TECHNOLOGY ABSORPTION AND FOREIGN EXCHANGE EARNINGS AND OUTGO:

Since your Company is engaged in financial services activities, its operations are not energy intensive nor does it require adoption of specific technology and hence information in terms of Section 134(3)(m) of the Act read with the Companies (Accounts) Rules, 2014 is not provided in this Board's Report. However, the Company has given the details of its initiative in relation to conservation of energy and technology absorption in BRSR provided in **Annexure VII**.

Foreign Exchange Earnings and Outgo:

Your Company has no foreign exchange earnings. However, the expenses made in foreign currency are detailed out as below:

Amount in ₹ Crs

Sr.no.	Particulars	FY26	FY25
1.	Directors related fees	0.17	0.19
2.	Software license fees	3.02	1.82
3.	Bank / FIs Charges and Processing Fees	2.17	5.57
4.	Interest expense on foreign currency borrowings	39.79	41.49
5.	Professional Fees	2.21	0.13
	Total	**47.36**	**49.20**

ANNUAL RETURN:

In pursuance of Section 92(3) of the Act and the Rules made thereunder and amended from time to time, the Annual Return of the Company in prescribed Form MGT-7 is available on the website of the Company, i.e., www.homefirstindia.com.

PARTICULARS OF LOANS, GUARANTEES OR INVESTMENTS:

As your Company is a Housing Finance Company, the disclosure regarding particulars of loans given, guarantees given, security provided and investment made in the ordinary course of business is exempted under the provisions of Section 186 (11) of the Act.

ADEQUACY OF INTERNAL FINANCIAL CONTROLS WITH REFERENCE TO THE FINANCIAL STATEMENTS:

Your Company has established adequate internal financial controls with reference to its financial statements, commensurate with its size, scale, and nature of operations. During the financial year under review, such controls were tested and no reportable material weakness in the design or operation was observed. In the opinion of the Auditors of the Company, there are adequate internal financial control procedures that are commensurate with the size of the Company.

MATTERS RELATED TO DIRECTORS AND KEY MANAGERIAL PERSONNEL:

Your Company's inclusive and diverse Board of Directors work to safeguard the interests of all stakeholders.

As on Mar'26, your Company had 7 Directors comprising five (5) Independent Directors out of which two (2) are Women Directors, one (1) Nominee Director and one (1) Executive Director designated as Managing Director and CEO. The Chairman of the Board is an Independent Director.

Details of Board of Directors along with the Key Managerial Personnel as on Mar'26 is mentioned below:

Name	DIN/PAN	Designation
Mr. Deepak Satwalekar	00009627	Chairman and Independent Director
Ms. Geeta Dutta Goel	02277155	Independent Director
Mr. Anuj Srivastava	09369327	Independent Director
Ms. Sucharita Mukherjee	02569078	Independent Director
Mr. Sriram Hariharan*	10156705	Independent Director
Mr. Divya Sehgal	01775308	Nominee, Non-Executive Director
Mr. Manoj Viswanathan	01741612	Managing Director and Chief Executive Officer
Ms. Nutan Gaba Patwari	AGSPG3187G	Chief Financial Officer
Mr. Shreyans Bachhawat#	AJDPB9500E	Company Secretary, Compliance Officer and Head - Legal

**Appointed as Non-Executive Independent Director w.e.f. June 26, 2025*

#Designated and charged with additional responsibilities as Head – Legal w.e.f. November 04, 2025

All the directors of the Company have confirmed that they are not disqualified from being appointed as directors in terms of Section 164(2) of the Act.

Appointment / Resignation of Directors:

During the financial year under review, Mr. Maninder Singh Juneja (DIN: 02680016) has tendered his resignation from the Board of the Company with effect from May 2, 2025 and Mr. Narendra Ostawal (DIN: 06530414) has tendered his resignation from the Board of the Company effective July 15, 2025.

Further, the Board by way of Circular resolution dated June 26, 2025 and on the recommendation of Nomination and Remuneration Committee, approved the appointment of Mr. Sriram Hariharan (DIN: 10156705) as an Additional Non-Executive Independent Director of the Company with effect from June 26, 2025 and the said appointment was subsequently approved by the members through postal ballot on September 4, 2025.

Key Managerial Personnel (KMP):

During the financial year under review, there was no change in the Key Managerial Personnel of the Company. In terms of the Act, the following were the KMPs of the Company as on Mar'26:

a. Mr. Manoj Viswanathan – Managing Director and Chief Executive Officer
b. Ms. Nutan Gaba Patwari – Chief Financial Officer
c. Mr. Shreyans Bachhawat – Company Secretary, Compliance Officer and Head - Legal

Declaration by Independent Directors:

The Board of Directors of your Company comprises five Independent Directors. All Independent Directors have submitted their declarations of independence in accordance with the provisions of Section 149(6) of the Companies Act, 2013 read with Regulation 16 of the SEBI Listing Regulations, confirming that they meet the criteria of independence, are not disqualified from continuing as Independent Directors, and have complied with the Code for Independent Directors as prescribed under Schedule IV to the Act.

The Board is of the opinion that the Independent Directors are persons of integrity and possess the requisite qualifications, expertise, experience, and proficiency. Further, in compliance with Rules 6(1) and 6(2) of the Companies (Appointment and Qualification of Directors) Rules, 2014, all Independent Directors have confirmed that their names are registered in the data bank maintained by the Indian Institute of Corporate Affairs and that they have either successfully undertaken the online proficiency self-assessment test or are exempted therefrom.

Declaration of Fit & Proper Criteria:

All the Directors of the Company have given the declaration to the effect that they are Fit & Proper, to be appointed as Director, as per the criteria prescribed by RBI and IRDAI.

Director(s) Retiring by Rotation:

In terms of Section 152(6) of the Act read with the Articles of Association of the Company, not less than one-third of the total number of retiring directors should retire by rotation, at every Annual General Meeting. For the purpose of this section, the total number of directors to retire by rotation shall not include Independent Directors.

In accordance with provisions Section 152 of the Act, Mr. Divya Sehgal (DIN: 01775308), Nominee Director of the Company, being longest in the office, retires at the ensuing Annual General Meeting and has not offered himself for re-appointment and vacancy so caused shall not be filled up.

Performance Evaluation of the Board, Committees, and Individual Directors:

The Board of Directors recognizes that an effective Board evaluation process is a critical governance tool that enables the Board to assess its functioning, identify areas for improvement, and enhance overall effectiveness and accountability. In accordance with the provisions of the Companies Act, 2013 and the SEBI Listing Regulations, the Company has put in place a structured framework for evaluation of the performance of the Board, its Committees and individual Directors.

The evaluation framework has been formulated by the Board in line with the Guidance Note on Board Evaluation issued by the Securities and Exchange Board of India on January 5, 2017, and covers, inter alia, the performance of the Board as a whole, the Committees of the Board, and individual Directors, including Independent Directors. The performance evaluation of the Committees includes the Audit Committee, Nomination and Remuneration Committee, CSR & ESG Committee, Stakeholders Relationship Committee, IT Strategy Committee and Risk Management Committee.

The Board carries out the evaluation of each Director and the Committees on parameters such as structure, composition, effectiveness, governance practices, quality of deliberations, and contribution to decision-making. The performance of Independent Directors is evaluated by the entire Board, excluding the Director being evaluated.

A separate meeting of the Independent Directors was convened on March 06, 2026 for FY26 without the presence of Non-Independent Directors or members of the management. At this meeting, the Independent Directors evaluated the performance of the Non-Independent Directors and the Board as a whole, including the effectiveness of the flow of information between the management and the Board, and also reviewed the performance of the Chairperson and the Committees of the Board, taking into account the views of Executive and Non-Executive Directors.

Corporate Governance Report:

Upholding the highest standards of corporate governance continues to be a core principle of the Company's operations. Your Company believes that corporate governance is more than just meeting regulatory requirements. It is about operating with accountability, and integrity, supported by strong internal controls, transparent and timely communication with all stakeholders.

Your Company believes that effective corporate governance is driven in an active, well-informed and independent Board. With a strong representation of Independent Directors on the Board, the Company is well-positioned to ensure balanced decision-making and enhanced governance practices.

A separate report on Corporate Governance, detailing the Company's compliance with the requirements of corporate governance as stipulated under the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, is provided as **Annexure III** to this Report.

Your Company is compliant with all the applicable provisions of the Reserve Bank of India (Housing Finance Companies) Directions, 2025 issued by Reserve Bank of India read with Reserve Bank of India (Non-Banking Financial Companies - Governance) Directions, 2025.

A certificate from M/s. Aashish K. Bhatt & Associates, Practicing Company Secretaries, confirming compliance with the conditions of Corporate Governance as prescribed under the SEBI Listing Regulations is annexed to the Corporate Governance Report. Further, pursuant to Regulation 34(3) and Schedule V Para-C clause (10) (i) of the SEBI Listing Regulations, M/s. Aashish K. Bhatt & Associates have stated that for FY26, none of the Directors have been debarred or disqualified from being appointed or continuing as Directors of companies by the Securities and Exchange Board of India, Ministry of Corporate Affairs or any such other Statutory Authority and a certificate to that effect has been annexed to the corporate governance report and the Chief Executive Officer (CEO) and Chief Financial Officer (CFO) annual certification on financial statements and internal controls in terms of Regulation 17(8) of the SEBI LODR Regulations is also annexed to the Corporate governance report.

Internal Guidelines on Corporate Governance:

As on Mar'26, your Company adhered to the Internal Guidelines on Corporate Governance adopted in accordance with Reserve Bank of India (Housing Finance Companies) Directions, 2025 issued by Reserve Bank of India read with Reserve Bank of India (Non-Banking Financial Companies - Governance) Directions, 2025, which inter-alia, defines and lays down the Corporate Governance practices of the Company towards its various stakeholders. The said policy is available on the website of the Company and can be accessed at Corporate Governance Policy.

Company's policy on Director's appointment and remuneration:

Your Company considers strong corporate governance to be fundamental to ensure ethical conduct and creating sustainable value for its stakeholders. The Nomination and Remuneration Committee has adopted a structured policy to identify suitable directors, define remuneration principles for directors, Key Managerial Personnel and employees, and carry out a systematic evaluation of the performance of the Board, its Committees, the Chairperson and individual Directors.

The governance framework of the Company emphasizes timely and accurate disclosure of information, enabling informed decision-making by stakeholders. The salient features of the policy are given in the Corporate Governance Report which forms part of Annual Report. The policy may be accessed on the Company's website at Nomination and Compensation policy.

Further as required under Reserve Bank of India (Housing Finance Companies) Directions, 2025 issued by Reserve Bank of India read with Reserve Bank of India (Non-Banking Financial Companies - Governance) Directions, 2025, as amended from time to time, there were no pecuniary relationship or transactions of the non-executive directors with the Company except sitting fees and profit related commission paid to the Independent Directors.

Code of Conduct for directors and Senior Management Personnel

The Code of Conduct for Directors and Senior Management Personnel of the Company is in conformity with the requirements of the SEBI Listing Regulations and is placed on the website of the Company. All the Directors of the Company and Senior Management Personnel have affirmed compliance with Company's Code of Conduct for Directors and Senior Management during the financial year and a declaration to that effect, signed by the Managing Director & CEO of the Company is enclosed to this Annual Report.

Directors & Officers Insurance Policy

In accordance with the provisions of the Act and Regulation 25(10) of the SEBI Listing Regulations, the Company has an appropriate Directors and Officers Liability Insurance Policy which provides indemnity in respect of liabilities incurred as a result of their office. The policy is renewed every year. The coverage of the insurance extends to all directors of the Company including the Independent Directors.

Management Discussion and Analysis:

In accordance with the SEBI Listing Regulations and Master Directions issued by the Reserve Bank of India, the Management Discussion and Analysis Report (MD&A) forms part of this annual report.

Business Responsibility and Sustainability Reporting ('BRSR'):

In terms of Regulations 34(2)(f) of the SEBI Listing Regulations, the top 1000 listed entities, based on the market capitalization (calculated as on 31st March of every financial year) shall submit business responsibility and sustainability report for FY26 describing the initiatives taken by these listed entities from an environmental, social and governance perspective, in the format as specified by SEBI from time to time. Your Company being amongst top 1000 listed entities, have included the **BRSR report**. Further, being among the top 500 listed entities based on average market capitalization, the Company has also included **the BRSR Core**, which is a sub-set of the BRSR comprising a defined set of key performance indicators and metrics across nine ESG attributes as a part of the Annual Report as **Annexure VII**. In terms of SEBI Listing Regulations, your Company has obtained, BRSR Reasonable assurance on BRSR Core Indicators from M/s. SGS India Private Limited.

DISCLOSURES RELATED TO BOARD, COMMITTEES AND POLICIES:

Board and Committee Meetings:

During FY26, the Board of the Company met 6 times i.e. on April 08, 2025, May 01, 2025, May 30, 2025, July 25, 2025, November 04, 2025, and January 22, 2026. The schedule for these meetings were determined well in advance, following due consultation and concurrence of all Directors. The Decisions requiring immediate attention and matters of urgency were approved via circular resolutions, are subsequently presented to and duly noted at the next scheduled respective Committee meetings or Board meeting.

The details of meetings of the Board and its Committees held during the financial year under review are provided in the Corporate Governance Report of the Directors which forms a part of this report. The intervening gap between the two Board meetings was within the period prescribed under the Act.

There are six Board committees of the Company which under supervision of the Board perform the task as per their charter. The details of the committees as at Mar'26 are:

Sr.no.	Name of Committee	Members (Designation)
1.	Audit Committee	Ms. Sucharita Mukherjee (Chairperson) Ms. Geeta Dutta Goel (Member) Mr. Anuj Srivastava (Member) Mr. Sriram Hariharan (Member)
2.	Nomination and Remuneration Committee	Ms. Geeta Dutta Goel (Chairperson) Mr. Anuj Srivastava (Member) Mr. Sriram Hariharan (Member)
3.	CSR and ESG Committee	Ms. Geeta Dutta Goel (Chairperson) Ms. Sucharita Mukherjee (Member) Mr. Manoj Viswanathan (Member)
4.	Stakeholders Relationship Committee	Ms. Sucharita Mukherjee (Chairperson) Mr. Anuj Srivastava (Member) Mr. Manoj Viswanathan (Member)
5.	Risk Management Committee	Mr. Sriram Hariharan (Chairperson) Ms. Sucharita Mukherjee (Member) Ms. Geeta Dutta Goel (Member) Mr. Manoj Viswanathan (Member) Ms. Nutan Gaba Patwari (Member) Mr. Ajay Khetan (Member) Mr. Ashishkumar Darji (Member)
6.	IT Strategy Committee	Mr. Anuj Srivastava (Chairperson) Mr. Sriram Harirharan (Member) Mr. Manoj Viswanathan (Member) Mr. Ajay Khetan (Member)

During the financial year under review, the Board, after deliberations, has accepted all the recommendations of Board Level Committees. A detailed report on all the committees including their terms of reference, number of times they met etc., is there in the corporate governance report which forms part of this report.

Whistle Blower Policy / Vigil Mechanism:

In accordance with the provisions of Section 177(9) of the Act and the rules made thereunder and Regulation 22 of the SEBI Listing Regulations, your Company has established Vigil mechanism and adopted a Whistleblower Policy under the surveillance of the Audit committee. Your Company has adopted a work culture which ensures the highest standards of professionalism, honesty, integrity, moral and ethical behavior.

The Policy may be accessed on the Company's website Whistleblower Policy

Corporate Social Responsibility (CSR):

Your Company's CSR initiatives are primarily focused with its four core focus areas, namely Skilling and Employment, Education and Development, Health Initiatives and Financial Literacy, in accordance with the CSR Policy approved by the Board. Also, during the year the Company undertook and supported employee-driven social responsibility programmes under the "Simply Social" initiative. The CSR Policy can be accessed at the website of the Company.

During the financial year under review, your Company was required to spend ₹ 798.20 Lakhs as CSR contribution which is 2% of its average net profits (computed as per the relevant provisions of the Companies Act, 2013) of the preceding three years. The Company has spent an amount of ₹ 804.49 Lakhs and the details of CSR Projects undertaken are enclosed herewith as **Annexure IV**. The projects undertaken by the Company are in accordance with Schedule VII of the Act read with the relevant rules and the CSR policy of the Company.

RISK MANAGEMENT FRAMEWORK: -

Your Company operates in a business environment that involves multiple risks, which may be influenced by changing economic and market conditions. Considering this, your Company places strong emphasis on identifying, assessing and managing risks in a timely and structured manner. Key risks faced by the Company include credit risk, market risk (such as interest rate and currency risk), liquidity risk, operational risk, Cyber security risk, Fraud Risk and Regulatory Risk and these are regularly monitored and reported to the RMC, enabling proactive decision-making.

Risk management is an integral part of the Company's day-to-day operations and long-term strategy. To support this, your Company has put in place a robust risk management framework, supported by clearly defined policies, processes and internal controls aimed at safeguarding business continuity and sustainability. The Risk Management Committee ("**RMC**") of the Board, comprising Directors and senior management with diverse experience, provides oversight of the Company's risk profile and governance practices.

The RMC is scheduled to meet once in every quarter and as and when required, to review existing and emerging risks. The Chief Risk Officer ("**CRO**") plays a central role in identifying, measuring and mitigating risks and engages with the RMC on a quarterly basis, including independent discussions without the presence of management, to ensure open and objective assessment of risks and mitigation strategies.

Your Company reviews and strengthens its systems, policies and processes to ensure they remain effective in managing evolving risks. Risk oversight and mitigation is further supported through various management-level committees, including the Asset Liability Management Committee, Credit Committee, IT Steering Committee, Grievance Redressal Committee, Information Security Committee and Identification Committee. The adoption of a Risk Based Internal Audit framework has also enhanced the overall risk control environment.

Your Company's risk management practices are aligned with the requirements of Regulation 21 of the SEBI Listing Regulations and applicable guidelines issued by the Reserve Bank of India. Comprehensive policies, including the Risk Management Policy, Stress Test Policy, Internal Capital Adequacy Assessment Process (ICAAP) Policy along with Risk Appetite Framework and an Early Warning Signal framework, guide the Company's approach to risk governance.

A detailed report on Risk Management is presented in the Management & Discussion Analysis report, which is part of this annual report.

AUDITORS AND REPORTS:

A. Statutory Auditors

Appointment of Auditors:

In terms of provisions of Section 139 of the Act, read with the Companies (Audit and Auditors) Rules, 2014 and RBI Guidelines for appointment of Statutory Auditor(s), M/s. B S R & Co. LLP ("**Statutory Auditors**"), Chartered Accountants, Firm registration no: 101248W/W- 100022, were appointed as the Statutory Auditors of the Company for a term of 3 years at the 15th Annual General Meeting

held on June 20, 2024 till the conclusion of 18th Annual General Meeting of the Company to be held in the year 2027.

In accordance with the guidelines issued by the Reserve Bank of India vide Notification No. RBI/2021-22/25 dated April 27, 2021 ("RBI guidelines") on the appointment of Statutory Central Auditors (SCAs)/Statutory Auditors (SAs) of Commercial Banks (excluding RRBs), UCBs and NBFCs (including HFCs), the Company is required to appoint joint statutory auditors once its asset size exceeds ₹ 15,000 Crs. As of Mar'26, your Company's total Assets Size reached ₹ 15,166.5 Crs. Consequently, your Company is now required to appoint joint statutory auditors to ensure regulatory compliance.

Further, pursuant to the RBI guidelines read with the company's policy on appointment of statutory auditors, the Board in accordance with the provisions of Section 139, 141 and 177 of the Companies Act 2013 (as amended or re-enacted from time to time) read with Rule 3 of the Companies (Audit and Auditors) Rules 2014 and Reserve Bank of India (RBI) Circular No. DoS. CO.ARG/SEC.01/08.91.001/2021-22 dated 27 April 2021), subject to the approval of Shareholders, has approved the appointment of M/s. Batliboi & Purohit, Chartered Accountants (Firm Registration No.:101048W),as the Joint Statutory Auditors of the Company, subject to their continuity of fulfilment of the applicable eligibility norms each year, to hold office for a period of three consecutive years commencing from the conclusion of the 17th Annual General Meeting ("**AGM**") to be held in the year 2026 until the conclusion of the 20th AGM to be held in the year 2029, The Company has received a confirmation letter from M/s. Batliboi & Purohit that they are not disqualified and are eligible to hold the office as Auditors of the Company, if appointed.

Qualification/ Reservation/ Adverse remark / Disclaimer of Statutory Auditors on Financial Statements for FY26:

The Statutory Auditors have not made any adverse comments or given any qualification, reservation or adverse remarks or disclaimer in their Audit Report on the Financial Statements for FY26.

Reporting of Fraud:

During the financial year under review, your Company has reported 12 loan accounts amounting to ₹ 2.71 Crs as fraud and informed the same to the Board, Audit Committee and the Statutory Auditors of the Company. Furthermore, the Company had made requisite filings with the National Housing Bank in this regard.

Internal Auditors:

In accordance with the RBI guidelines on Risk Based Internal Audit having circular Ref. No. DoS.CO. PPG. SEC/03/11.01.005/2021-22 dated June 11, 2021, the Company has appointed a Head of Internal Audit, as approved by the Nomination and Remuneration Committee and the Board, to plan and carry out risk-based internal audits across various functions and locations of the Company.

The Audit Committee regularly reviews the findings of internal audits and assesses the adequacy and effectiveness of the Company's internal control framework, while also ensuring that audit recommendations are implemented in a timely manner to strengthen operational efficiency and regulatory compliance.

Further, in accordance with Section 138 of the Act, your Company had appointed Auditors viz, M/s BDO India LLP to assist in conducting the internal audit of Head Office functions and M/s. P Chandrasekar LLP and M/s. Kirtane & Pandit LLP to assist in conducting the internal audit of Branch functions for FY26. These firms further support the Head of Internal Audit in the process of Risk Based Internal Audit.

During the financial year under review, the Internal Auditors have not submitted material qualifications, reservations or adverse remarks or disclaimers.

Secretarial Auditors:

In compliance with the provisions of Regulation 24A of SEBI Listing Regulations, the Board of Directors of the Company has approved the appointment of M/s. Aashish K. Bhatt & Associates, Practicing Company Secretaries (COP No.: 7023), as Secretarial Auditors of the Company

for a term of 5 consecutive years starting from FY26. The said appointment was subsequently approved by the members of the Company at the Annual General Meeting held on June 25, 2025.

In accordance with Section 204 of the Act and Rule 9 of the Companies (Appointment and Remuneration of Managerial Personnel) Rules, 2014, M/s. Aashish K. Bhatt & Associates, Practicing Company Secretaries have carried out the secretarial audit of the Company for FY26. The Secretarial Audit Report in form MR-3, forms part of this Annual Report.

Annual Secretarial Compliance Report:

The Secretarial Auditors have not submitted any qualifications, reservations or adverse remarks or disclaimers The Secretarial Audit report has been annexed to this Report as **Annexure V**. Further, the Secretarial Auditors have not reported any instances of fraud in terms of Section 143 (12) of the Act.

As per Section 134(3)(f) of the Act, the Board states that during the financial year under review, there were no adverse comments or disqualifications made by the Secretarial Auditor of the Company, during the course of their audit.

Secretarial Standards:

During the financial year under review, your Company has complied with the applicable secretarial standards issued by the Institute of Company Secretaries of India.

Maintenance of Cost records:

The Company being a Housing Finance Company is not required to maintain cost records as prescribed under section 148(1) of the Act.

HUMAN RESOURCE:.

HomeFirst's greatest strength lies in its people. Your Company is committed to building a workplace where employees feel supported, valued and empowered to grow. In a highly competitive talent environment, HomeFirst continues to focus on attracting, developing and retaining talent by offering opportunities, a positive work culture and a clear sense of purpose.

Your Company follows a calibrated approach to talent acquisition, combining campus hiring programmes with leading management institutes and lateral hiring for specialized roles. This enables the Company to build a robust talent sourcing while maintaining the desired quality of hires. Further, internal mobility and career progression opportunities are actively encouraged to strengthen retention and build leadership depth within the organization.

Your Company regularly organizes various medical check-ups for employees with a strong focus on preventive healthcare and overall well-being. In addition, multiple employee training programmes are thoughtfully designed and conducted on key areas such as ESG, IT related, POSH and the Code of Conduct, ensuring employees remain informed, compliant and well-equipped in their roles. These trainings are delivered through engaging and interactive formats, including games and activities, reflecting the collaborative and people-centric culture

Further, learning is enabled through a blend of online and classroom-based programmes, covering induction, functional training, leadership development and customised role-based programmes. Your Company actively engages with management institutes through campus recruitment programmes, offering young professionals structured on-the-job training and a clear growth path within the organisation.

Employee well-being remains a key priority at HomeFirst. Your Company fosters an inclusive and respectful workplace and is committed to being an equal opportunity employer, encouraging diversity across gender, age and backgrounds. To support the physical, emotional and financial well-being of its employees, the Company offers comprehensive health insurance coverage for employees and their immediate family members, along with term life and accidental insurance. Access to counselling services is also provided to help employees manage personal and professional challenges. By investing in its people and creating an environment that promotes learning, well-being and growth, HomeFirst continues to strengthen its culture and drive long-term organisational success.

Through its continued focus on disciplined talent management, capability building and employee well-being, the Company is strengthening its human capital base to support sustainable growth and long-term value creation.

As of Mar'26, there were 1,855 employees working for the Company.

EMPLOYEE STOCK OPTION SCHEMES:

In terms of Regulation 14 of SEBI (Share Based Employee Benefits and Sweat Equity) Regulations, 2021, the disclosures for FY26 with respect to all the ESOP Schemes have been provided on the website of the Company at www.homefirstindia.com.

Employee Remuneration:

In compliance with Section 197(12) of the Act and Rule 5(1) of the Companies (Appointment and Remuneration of Managerial Personnel) Rules, 2014, the disclosures with respect to the remuneration of Directors, Key Managerial Personnel and employees of the Company have been provided in **Annexure VI** to this Board's Report. Further, statement containing details of employees as required in terms of Section 197 of the Act read with Rule 5(2) and Rule 5(3) of the Companies (Appointment and Remuneration of Managerial Personnel) Rules, 2014, is available for inspection at the Registered Office of the Company during working hours for a period of 21 days before the date of the ensuing Annual General Meeting

In terms of the provisions of Section 136 of the Act read with the said Rule, the Directors' Report is being sent to the shareholders excluding the annexure. A copy of the statement may be obtained by shareholders by writing to the Company Secretary at the Registered Office of the Company or at corporate@homefirstindia.com.

PREVENTION OF SEXUAL HARASSMENT AT WORKPLACE:

Your Company is committed to providing a safe, inclusive and respectful workplace where every employee is treated with dignity. It follows a zero-tolerance approach towards sexual harassment and has put in place a policy on the Prevention of Sexual Harassment at the workplace to prohibit, prevent and address any such incidents.

In line with the provisions of the Sexual Harassment of Women at Workplace (Prevention, Prohibition and Redressal) Act, 2013, the Company also has an Internal Complaints Committee to ensure a fair, confidential and timely redressal mechanism. To promote awareness and sensitivity, the POSH Policy has been hosted on the Company's website and communicated to all employees, reflecting the Company's commitment to maintaining a safe and respectful work environment.

The committee is responsible for conducting inquiries pertaining to complaints under the Act. Specialized training for ICC members is conducted every year and all the employees undergo POSH training module periodically. The Annual Report as required under Section 21 of the POSH Act read with Rule 14 of the Sexual Harassment of Women at Workplace (Prevention, Prohibition and Redressal) Rules, 2013 has been submitted to the District Officer

In compliance with the Act, the details of total complaints received and disposed of related to incidents are as follows:

Number of complaints pending as on start of the Financial Year	0
Number of complaints filed during the Financial Year	1
Number of complaints disposed of during the Financial Year	1
Number of complaints pending as on end of the Financial Year.	0

REGULATORY COMPLIANCE:

Your Company has duly complied with the Companies Act, 2013, the Reserve Bank of India (Housing Finance Companies) Directions, 2025, Scale Based Regulations, SEBI (Listing and Obligations of Disclosure Requirements) Regulations, 2015, IRDAI (Registration of Corporate Agent) Regulations 2015 and other guidelines, circulars and directions issued by, RBI, SEBI and IRDAI,MCA from time to time. Your Company has adopted all the Policies as recommended by regulatory authorities from time to time.

Your Company also has been following directions / guidelines / circulars issued by Accounting Standards, Income Tax Act, 1961 and Ministry of Corporate Affairs from time to time, as applicable to the Company.

OTHER DISCLOSURES:

Other disclosures as per provisions of Section 134 of the Act read with Companies (Accounts) Rules, 2014 are furnished as under:

DETAILS OF NON-COMPLIANCE BY THE COMPANY, PENALTIES, AND RESTRICTIONS IMPOSED ON THE COMPANY BY THE STOCK EXCHANGES OR SEBI OR ANY STATUTORY AUTHORITY, ON ANY MATTER RELATED TO CAPITAL MARKETS, DURING THE LAST THREE FINANCIAL YEARS

BSE Limited had imposed a penalty of ₹ 4,720/- (Rupees Four Thousand Seven Hundred and Twenty only, inclusive of GST) on the Company under SEBI Master Circular No. SEBI/HO/CFD/PoD2/CIR/P/0155 dated November 11, 2024, for delay in submission of the Annual Report for FY25 as required under Regulation 34 of the SEBI Listing Regulations. The delay occurred due to a technical glitch at the BSE Listing Centre Portal, as a result of which the Annual Report could not be filed on the due date i.e. June 02, 2025. Upon resolution of the technical issue on June 04, 2025, the Company filed the Annual Report on the same day. The Company has duly remitted the requisite fine to the Stock Exchange within the stipulated timeline.

Apart from above, there has been no instance of non-compliance by the Company, neither any penalty and nor any restriction was imposed on the Company by the Stock Exchange or SEBI or any other statutory authority, on any matter related to capital markets, during the Financial Year 2025-26 and last three Financial Years.

DISCLOSURE OF SIGNIFICANT AND MATERIAL ORDER(S) PASSED BY REGULATORS OR COURTS OR TRIBUNAL:

During the financial year under review, there were no significant and material order(s) passed by the Regulators / Courts/ Tribunal which would impact the going concern status of the Company and its future operations.

DIRECTOR'S RESPONSIBILITY STATEMENT:

In terms of Section 134(5) of the Act, in relation to the audited financial statements of the Company for the year ended March 31, 2026, the Board of Directors hereby confirm that:

a. in the preparation of the annual accounts, the applicable accounting standards have been followed along with proper explanation relating to material departures;

b. the directors have selected such accounting policies and applied them consistently and the Directors made judgments and estimates that are reasonable and prudent to give a true and fair view of the state of affairs of the Company as at Mar'26, and of the profit of the Company for the year;

c. the directors have taken proper and sufficient care for the maintenance of adequate accounting records in accordance with the provisions of this Act for safeguarding the assets of the Company and for preventing and detecting fraud and other irregularities;

d. the directors have prepared the annual accounts of the Company on a going concern basis;

e. the directors have laid down internal financial controls to be followed by the Company and that such internal financial controls are adequate and were operating effectively;

f. the directors have devised proper systems to ensure compliance with the provisions of all applicable laws and that such systems were adequate and operating effectively.

DISCLOSURE UNDER SECTION 43(a)(ii) OF THE ACT:

Your Company has not issued any shares with differential rights and hence no information as per provisions of Section 43(a)(ii) of the Act read with Rule 4(4) of the Companies (Share Capital and Debenture) Rules, 2014 is furnished.

DISCLOSURE UNDER SECTION 54(1)(d) OF THE ACT:

Your Company has not issued any sweat equity shares during the financial year under review and hence no information as per provisions of Section 54(1)(d) of the Act read with Rule 8(13) of the Companies (Share Capital and Debenture) Rules, 2014 is furnished.

DISCLOSURE UNDER SECTION 67(3) OF THE ACT:

During the financial year under review, there were no instances of non-exercising of voting rights in respect of shares purchased directly by employees under a scheme hence no information pursuant to Section 67(3) of the Act read with Rule 16(4) of Companies (Share Capital and Debentures) Rules, 2014 is furnished.

DISCLOSURE UNDER RULE 8 OF THE COMPANIES (ACCOUNTS) RULES, 2014:

During the financial year under review, your Company has not made any application nor any proceedings are pending under the Insolvency and Bankruptcy Code, 2016. Further, there were no instances of one-time settlement for any loans taken from the Banks or Financial Institutions.

DETAILS OF DIFFERENCE BETWEEN AMOUNT OF THE VALUATION DONE AT THE TIME OF ONE TIME SETTLEMENT AND THE VALUATION DONE WHILE TAKING LOAN FROM THE BANKS OR FINANCIAL INSTITUTIONS ALONG WITH THE REASONS THEREOF

Not applicable during reporting period.

COMPLIANCE WITH THE PROVISIONS MATERNITY BENEFIT ACT, 1961

In compliance with the provisions of the Maternity Benefit Act, 1961, as amended, the Board confirms that your Company has fully adhered to all applicable maternity-related legal and regulatory requirements during the year under review. Your Company has implemented employee-friendly HR policies that support diversity, equity and inclusion by extending maternity leave and statutory benefits to eligible women employees, ensuring access to medical bonus, nursing breaks and return-to-work support. These practices reflect the Company's commitment to providing a safe, supportive and non-discriminatory work environment. The Company's HR policies are reviewed periodically to remain aligned with evolving regulations and to continuously strengthen employee welfare, particularly for women during and after maternity.

ACKNOWLEDGEMENT AND APPRECIATION:

The Board of Directors sincerely acknowledges and appreciates the continued support, guidance and cooperation extended by all stakeholders of the Company, including the Government of India, the Reserve Bank of India, National Housing Bank, Ministry of Corporate Affairs, Securities and Exchange Board of India, the Insurance Regulatory and Development Authority of India, Stock Exchanges and other regulatory authorities, as well as the Company's bankers, lenders, financial institutions, members, credit rating agencies and customers. Their continued trust and confidence have been integral to the Company's progress. The Board also places on record its sincere appreciation for the dedication, commitment and collective efforts of the management team and employees, whose hard work and professionalism have contributed significantly to your Company's strong performance during the year.

The Board would like to thank all the stakeholders as well as the communities we operate in who have reposed their trust in us and supported us in our journey.

For and on behalf of the Board of Directors

Sd/-
Deepak Satwalekar
Chairman & Independent Director
DIN: 00009627

Date: May 06, 2026
Place: Mumbai

Directors' *Report*

Annexure I

FORM NO. AOC-2

(Pursuant to clause (h) of sub-section (3) of section 134 of the Act and Rule 8(2) of the Companies (Accounts) Rules, 2014)

Form for disclosure of particulars of contracts/arrangements entered into by the company with related parties referred to in sub-section (1) of section 188 of the Companies Act, 2013 including certain arm's length transactions under third proviso thereto

1. Details of contracts or arrangements or transactions not at arm's length basis: **NIL**

   a. Name(s) of the related party and nature of relationship: **N.A**
   b. Nature of contracts/arrangements/transactions: **N.A**
   c. Duration of the contracts/arrangements/ transactions: **N.A**
   d. Salient terms of the contracts or arrangements or transactions including the value, if any: **N.A**
   e. Justification for entering into such contracts or arrangements or transactions: **N.A**
   f. Date of approval by the Board: **N.A**
   g. Amount paid as advances, if any: **N.A**
   h. Date on which the special resolution was passed in general meeting as required under first proviso to section 188: **N.A**

2. Details of material contracts or arrangement or transactions at arm's length basis: **During FY26, there has been no transaction with related party, except the remuneration and ESOPs exercised by the Directors and KMPs of the Company. The details of remuneration and ESOP exercise, as applicable, paid to directors and KMP has been appropriately disclosed in the financial statements and the directors report.**

For and on behalf of the Board of Directors
Home First Finance Company India Limited

Sd/-
Deepak Satwalekar
Chairman & Independent Director
DIN: 00009627

Sd/-
Manoj Viswanathan
Managing Director & CEO
DIN: 01741612

Directors' *Report*

Annexure II

Policy on materiality of related party transactions and dealing with related party transactions

1. Title

This policy shall be called the 'Policy on materiality of related party transactions and dealing with related party transactions' (the "**Policy**").

2. Objective

a. Related party transactions have been one of the major areas of focus for corporate governance reforms being initiated in India. The changes introduced in the corporate governance norms through Section 188 of the Companies Act, 2013, as amended and the rules framed thereunder (the "**Act**") and Regulation 23 of the Securities and Exchange Board of India (Listing Obligation and Disclosure Requirements) Regulations, 2015, as amended ("**SEBI Listing Regulations**") require companies to have enhanced transparency and due process for approval of the related party transactions. Pursuant thereto, Section 188 of the Companies Act and Regulation 23 of the SEBI Listing Regulations require the Company to formulate a policy on materiality of related party transactions and also on dealing with related party transactions including clear threshold limits duly approved by the Board.

This policy is framed to endeavor to ensure due and proper compliance with the applicable provisions and provide guidance for entering into transaction with related party to ensure that proper procedure is defined and followed for approval / ratification and reporting of transactions as applicable, between the Company and any of its Related Parties.

3. Definitions:

a. "**Act**" or "**The Act**" shall means the Companies Act, 2013 and the Rules made thereunder (as amended/ modified/re-enacted from time to time).

b. "**Arms' length transaction**" means a Transaction between two related parties that is conducted as if they were unrelated, so that no conflict of interest.
Note: For determination of Arm's Length basis, guidance may be taken from the provision of Transfer Pricing under Income Tax Act, 1956.

c. "**Key Managerial Personnel**" or "**KMPs**" means Key Managerial Personnel as defined under the Companies Act and includes:
   i. managing director, or chief executive officer or manager;
   ii. the whole-time director;
   iii. company secretary;
   iv. chief financial officer;
   v. such other officer, not more than one level below the directors who is in whole-time employment, designated as key managerial personnel by the Board; and
   vi. such other officer as may be prescribed.

d. "**Material Related Party Transaction**" in relation to the Company means a Related Party Transaction which individually or taken together with previous transactions with a Related Party during a financial year, exceeds the thresholds specified in Schedule XII of SEBI LODR Regulations, or such limit as prescribed or amended by the **SEBI Listing Regulations** or the Companies Act, 2013 or any other Statutory Bodies.

Notwithstanding the above, a transaction involving payments made to a Related Party with respect to brand usage or royalty shall be considered material if the transaction(s) to be entered individually or taken together with previous transactions during a financial year, exceed five percent of the annual consolidated turnover of the Company as per the last audited financial statements of the Company such limit as prescribed or amended by the SEBI Listing Regulations or the Companies Act, 2013 or any other Statutory Bodies.

Directors' *Report*

e. "**Ordinary Course of Business**" means all such acts and transactions undertaken by the Company, including, but not limited to sale or purchase of goods, property or services, leases, transfers, providing of guarantees or collaterals, providing loan to subsidiaries/joint ventures/obtaining loan from holding companies in the normal routine in managing trade or business and is not a standalone transaction and includes any transaction carried out as per the Object Clause of Memorandum of Association and Articles of Association of the Company.

Note: The Company may take into account the frequency of the activity and its continuity carried out in a normal organized manner for determination what is in the ordinary course business.

i. "**Relative**" in relation to a related party shall have the same meaning assigned to it in Section 2(77) of the Act and rules prescribed there under and as per Regulation 2(1) (zd) of the SEBI Listing Regulations as amended from time to time, means anyone who is related to another, if
   i. they are members of a Hindu undivided family; or
   ii. they are husband or wife; or
   iii. one person is related to the another in the following manner, namely:
      A. father, includes step-father
      B. mother, includes step-mother
      C. son includes step-son
      D. son's wife
      E. daughter
      F. daughter's husband
      G. brother includes step-brother
      H. sister includes step-sister

f. "**Related Party**" means a person or an entity, which is a related party under section 2(76) of the Companies Act, 2013 as amended from time to time or under applicable accounting standards and as per Regulation 2(1) (zb) of the SEBI Listing Regulations as amended from time to time.

Note: Reference and reliance may be placed on the clarification issued by the Ministry of Corporate Affairs, Government of India and other authorities from time to time on the interpretation of the term "Related Party".

g. "**Related Party Transactions**" means a transaction involving a transfer of resources, services or obligations between:
   i. a listed entity or any of its subsidiaries on one hand and a related party of the listed entity or any of its subsidiaries on the other hand; or
   ii. a listed entity or any of its subsidiaries on one hand, and any other person or entity on the other hand, the purpose and effect of which is to benefit a related party of the listed entity or any of its subsidiaries, with effect from April 1, 2023.

regardless of whether a price is charged and a "transaction" with a related party shall be construed to include a single transaction or a group of transactions in a contract:

Provided that the following shall not be a related party transaction:

a. the issue of specified securities on a preferential basis, subject to compliance of the requirements under the Securities and Exchange Board of India (Issue of Capital and Disclosure Requirements) Regulations, 2018;
b. the following corporate actions by the listed entity which are uniformly applicable/offered to all shareholders in proportion to their shareholding:
   i. payment of dividend;
   ii. subdivision or consolidation of securities;
   iii. issuance of securities by way of a rights issue or a bonus issue; and
   iv. buy-back of securities.
c. acceptance of fixed deposits by banks/Non-Banking Finance Companies at the terms uniformly applicable/offered to all shareholders/public, subject to disclosure of the same along with the disclosure of related party transactions every six months to the stock exchange(s), in the format as specified by the Board.
d. acceptance of current account deposits and saving account deposits by banks in compliance with the directions issued by the Reserve Bank of India or any other central bank in the relevant jurisdiction from time to time;

Directors' Report

e. retail purchases from any listed entity or its subsidiary by its directors or key managerial personnel of the listed entity or its subsidiary, and relatives of such directors or key managerial personnel, without establishing a business relationship and at the terms which are uniformly applicable/offered to all employees, directors, key managerial personnel and relatives of directors or key managerial personnel.

h. "**Transaction**" shall be construed to include single transaction or a group of transactions in a contract.

i. "**Material Modification**" in relation to a Related Party Transaction approved by the Audit Committee or a material related party transaction approved by the Shareholders, as the case may be, material modifications means any variation having an impact on the monetary limits already approved by the Audit Committee or Shareholders, as the case may be, exceeding 20% of transactions, in each case, over and above the approved limits.

Any words used in this Policy but not defined herein shall have the same meaning prescribed to it in the Companies Act, the Securities and Exchange Board of India Act, 1992, as amended, or rules and regulations made thereunder including the SEBI Listing Regulations, the applicable accounting standards or any other relevant legislation/ law applicable to the Company.

4. Disclosure by Directors

Every director shall at the beginning of the financial year provide information by way of written notice to the Company regarding his concern or interest in the entity with specific concern to parties which may be considered as Related Party with respect to the Company and shall also provide the list of Relatives which are regarded as Related Party as per this Policy.

Directors are also required to provide the information regarding their engagement with other entity during the financial year which may be regarded as Related Party according to this Policy.

5. Identification of related parties and related party transactions

a. Identification of related parties

The Company shall periodically identify and update the list of related parties as prescribed under Section 2(76) of the Act read with the Rules framed thereunder and SEBI Listing Regulations. Such periodicity shall not be more than one year.

b. Identification of related party transactions

The Company has formulated process for identification of related party transactions in accordance with Section 188 of the Act and SEBI Listing Regulations. The Company has also formulated guidelines for determining whether the transaction is in the ordinary course of business and at arm's length basis and for this purpose, the Company may seek external professional opinion, if necessary.

Each Director and Key Managerial Personnel is responsible for providing notice to the Company or Audit Committee of any potential Related Party Transaction involving him or her or his or her Relative, including any additional information about the transaction that the Board/Audit Committee may reasonably request. Audit Committee will determine whether a transaction does constitute a Related Party Transaction requiring compliance with this Policy.

6. Determination of approval level based on nature of transaction

I. Audit Committee approval

a. Related Party Transactions will be referred to the next regularly scheduled meeting of Audit Committee for review and approval. Any member of the Committee or the Directors of the Board who has potential interest in any Related Party Transaction in terms of Rule 15(2) of the Companies (Meeting of Board and its Powers) Rules, 2014 shall not be present at the meeting whether physically or by electronic mode during the discussions on the subject matter and shall recuse himself or herself and abstain from discussion and voting on the approval of the Related Party Transaction.

Directors' Report

b. All the transactions which are identified as Related Party Transactions should be preapproved by the Audit Committee before entering into such transaction.

c. The Audit Committee shall consider the following factors while deliberating the Related Party Transactions for its approval:
   i. name of party and details explaining nature of relationship;
   ii. duration of the contract and particulars of the contract and arrangement;
   iii. nature of transaction and material terms thereof including the value, if any;
   iv. manner of determining the pricing to ascertain whether the same is on Arm's Length Basis;
   v. business rationale for entering into such transaction; and
   vi. any other information relevant or important for the Board to take a decision on the proposed transaction.

d. In determining whether to approve a Related Party Transaction, the Committee will consider the following factors, among others, to the extent relevant to the Related Party Transaction:
   i. Whether the terms of the Related Party Transaction are fair and on Arm's Length Basis to the Company and would apply on the same basis if the transaction did not involve a Related Party;
   ii. Whether there are any compelling business reasons / rationale for the Company to enter into the Related Party Transaction and the nature of alternative transactions, if any;
   iii. Whether the Related Party Transaction would affect the independence of an independent Director;
   iv. Whether the proposed transaction includes any potential reputational risk issues that may arise as a result of or in connection with the proposed transaction;
   v. Whether the Company was notified about the Related Party Transaction before its commencement and if not, why pre-approval was not sought and whether subsequent ratification is allowed and would be detrimental to the Company; and
   vi. Whether the Related Party Transaction would present an improper conflict of interest for any director or key managerial personnel of the Company, taking into account the size of the transaction, the overall financial position of the director, executive officer or other Related Party, the direct or indirect nature of the director's, key managerial personnel's or other Related Party's interest in the transaction and the ongoing nature of any proposed relationship and any other factors the Board/Committee deems relevant.

II. Board of Directors approval

All Related Party Transactions covered under Section 188 of the Act (which primarily excludes loans, investments and providing guarantee/security etc.) that are:

- not in the ordinary course of business, or
- in the ordinary course of business but not at arms' length or
- neither in the ordinary course of business nor at arms' length

shall require the prior approval of the Board of Directors at a Meeting of the Board.

Further, the transactions which require approval of the Board shall first be reviewed /approved by the Audit Committee. Where any director is interested in any contract or arrangement with a Related Party, such director shall not be present at the meeting during discussions on the subject matter of the resolution relating to such contract or arrangement.

III. Shareholders' approval

All Related Party Transaction which falls under first proviso to section 188 of the Act and exceeds the threshold limit as prescribed under rules made thereunder (as amended/modified from time to time) or material related party transactions and subsequent material modification under Regulation 23 of SEBI LODR Regulations shall be approved by the shareholders in the manner prescribed thereunder. All entities falling under the definition of Related Parties shall not vote to approve the relevant transaction irrespective of whether the entity is party to the particular transaction.

Directors' Report

However, the omnibus approval granted by the shareholders for material related party transactions in an annual general meeting shall be valid till the date of the next annual general meeting held within the timelines prescribed under Section 96 of the Companies Act, 2013 or rules, notifications, or circulars issued thereunder from time to time;

Further, in case of omnibus approvals for material related party transactions, granted by shareholders in general meetings other than annual general meeting, the validity of such omnibus approvals shall not exceed one year from the date of such approval.

7. Review and Approval of Related Party Transactions:

a. All Related Party Transactions or changes therein must be reported by the Head of Accounts/Finance and to the Company Secretary and referred for the approval/review by the Audit Committee in accordance with this Policy.

b. Omnibus Approval:

i. The Audit Committee may grant omnibus approval for Related Party Transactions proposed to be entered into by the Company in respect of the transactions which are repetitive in nature.

ii. The Audit Committee shall satisfy itself the need for such omnibus approval and that such approval is in the interest of the Company;

iii. Such omnibus approval shall specify (a) the name/s of the related party, nature of transaction, period of transaction, maximum amount of transaction that can be entered into and (b) the indicative base price / current contracted price and the formula for variation in the price if any (for ex: +/- 5-10%).

In case where the Related Party Transaction cannot be foreseen and aforesaid details are not available, Audit Committee may grant omnibus approval for those kinds of transactions, subject to a financial value not exceeding Rs.1 Crore per transaction or such other higher limit as may be prescribed under the applicable law from time to time.

iv. Such omnibus approvals shall be valid for a period not exceeding one year and shall require fresh approvals after the expiry of one year or immediately succeeding meeting of the Audit Committee.

v. Audit Committee shall review on a quarterly basis , the details of Related Party Transactions entered into by the company pursuant to each of the omnibus approval given.

c. If prior approval of the Audit Committee / Board / Shareholders as the case may be, for entering into a Related Party Transaction is not feasible, then the Related Party Transaction shall be ratified by the Audit Committee and the Board / general meeting, if required, within 3 months of entering in the Related Party Transaction.

8. Disclosures

The Company shall disclose, in the Boards' report, transactions prescribed in Section 188(1) of the Act with related parties, which are not in ordinary course of business or not on arm's length basis along with the justification for entering into such transaction.

9. Related Party Transactions Not Approved Under This Policy

In the event the Company becomes aware of a transaction with a related party that has not been approved in accordance with this Policy prior to its consummation, the matter shall be reviewed by the Audit Committee. The Audit Committee shall consider all of the relevant facts and circumstances regarding the related party transaction, and shall evaluate all options available to the Company, including ratification, revision or termination of the related party transaction. The Audit Committee shall also examine the facts and circumstances pertaining to the failure of reporting such related party transaction to the Audit Committee under this Policy and failure of the internal control systems, and shall take any such action it deems appropriate.

Directors' Report

In any case, where the Audit Committee determines not to ratify a related party transaction that has been as appropriate, commenced without approval, the Audit Committee, as appropriate, may direct additional actions including, but not limited to, discontinuation of the transaction or seeking the approval of the shareholders, payment of compensation for the loss suffered by the related party etc. In connection with any review/approval of a related party transaction, the Audit Committee has authority to modify or waive any procedural requirements of this Policy.

10. Compliance with RPT Policy

a. Every person associated with RPT shall be accountable for complying with this RPT Policy that may be in force from time to time.
b. Director or KMP or any other employee, who had entered into or authorised the contract or arrangement in violation of the RPT policy and RPT framework shall be guilty of non- compliance
c. In case of breach of this policy, Audit Committee and/or the Board of Directors may intimate appropriate action against the person/s responsible.

11. Administrative Measure

The Audit Committee of the Company, subject to supervision of the Board, shall be the Competent Authority for investigating and taking appropriate actions/steps for prevention or remedy of any breach and/or default in complying with this Policy. Any disciplinary action taken by the Audit Committee shall be in addition to the penal provisions of the Regulation.

12. Interpretation

Subject to the superintendence of the Board, this Policy shall be interpreted and administered by the Audit Committee.

13. Process or Standard Operating Process

The Head of Finance/Accounts form/adopt a Standard Operating Process (SOP) as guidance for related party transactions and all the employees and concern persons are required to follow the said SOP.

14. Exemption

Transactions which are governed under the other applicable provisions of the Companies Act, 2013 like Section 185, 186 or 187 of the Companies Act, 2013, shall govern by the respective applicable provisions of the Act.

15. Policy Review

In case of any subsequent changes in the provisions of the Act and the Rules framed thereunder, the Act and its Rules would prevail over the Policy and the provisions in the Policy would be modified in due course to make it consistent with law. The Board shall have the right to amend the Policy from time to time, based on recommendations of Audit Committee. The Policy shall be reviewed as and when required, However, it shall be reviewed earlier if need arises for the same and/ or under special circumstances, for example a change in law.

Directors' *Report*

Annexure III

REPORT ON CORPORATE GOVERNANCE FOR FY26

Corporate Governance represents the framework through which a company is directed, managed and controlled. It encompasses a system of rules, practices and processes that promote transparency, accountability and ethical conduct in the functioning of the organisation. At its core, corporate governance goes beyond mere compliance with laws and regulations and reflects the Company's commitment to responsible business practices, integrity in decision-making and the protection of stakeholders' interests.

This report on corporate governance is prepared in accordance with the Securities and Exchange Board of India (Listing Obligations and Disclosure Requirements) Regulations, 2015, as amended ("**SEBI Listing Regulations**"):

Company's philosophy on Corporate Governance:

At HomeFirst, strong corporate governance is considered fundamental to sustainable growth and long-term value creation. The Company believes that effective governance practices foster a culture of transparency, fairness and accountability, thereby strengthening the confidence of shareholders, customers, employees and other stakeholders. The governance framework of the Company is designed to establish appropriate checks and balances among the Board of Directors, its Committees, the management, auditors and other stakeholders, ensuring that the Company's affairs are conducted in a prudent and responsible manner.

The Company remains committed to adopting the highest standards of corporate governance in its operations and decision-making processes. In doing so, it strives to balance business objectives with responsible corporate conduct, while ensuring compliance with the applicable provisions of the Companies Act, 2013, the Securities and Exchange Board of India (Listing Obligations and Disclosure Requirements) Regulations, 2015, Reserve Bank of India (Housing Finance Companies) Directions, 2025, and other applicable laws, rules and regulations issued by regulatory authorities such as RBI, SEBI, MCA and IRDAI.

The Board of Directors:

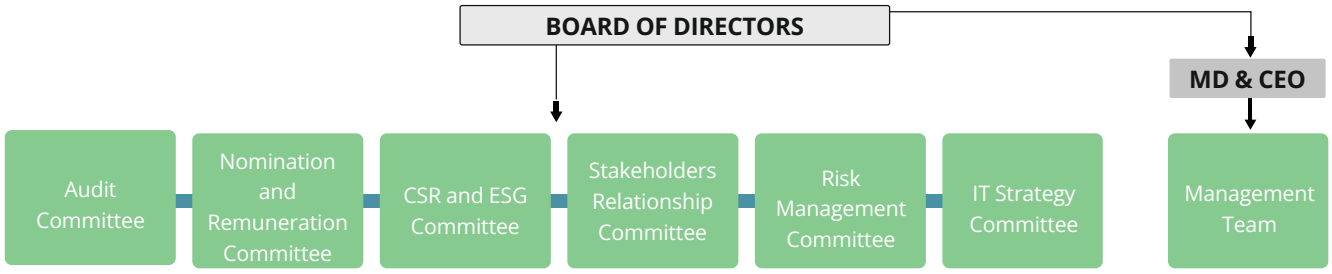
The Board of Directors plays a pivotal role in guiding the strategic direction of the Company and safeguarding the interests of all stakeholders. Acting in a fiduciary capacity, the Board provides leadership, oversight and independent judgment in matters relating to strategy, risk management, governance practices and overall performance of the Company. The Board, supported by its Committees, ensures that the Company's operations are conducted in a transparent, responsible and ethical manner.

The Company also recognises the importance of having a diverse and balanced Board. A mix of skills, experience and perspectives contributes to more informed decision-making and strengthens the governance framework of the organisation. Such diversity supports the Board in addressing evolving business challenges and changing economic and regulatory environments, while remaining aligned with the long-term objectives of the Company.

Through its governance practices, the Company continues to focus on creating sustainable value, maintaining high standards of integrity and ensuring responsible conduct in all aspects of its business.

Directors' *Report*

CORPORATE GOVERNANCE STRUCTURE



Composition and Category of the Board of Directors:

The composition of the Board of Directors is in conformity with the SEBI Listing Regulations and Companies Act, 2013 **("the Act").**

As on March 31, 2026, the Board consists of 7 (Seven) Directors of whom 5 (Five) are Non - Executive Independent Directors (including the Chairman and 2 (Two) Women Independent Directors), 1 (One) Non-Executive Nominee Director representing equity investors, and 1 (One) is Executive Director i.e. Managing Director and Chief Executive Officer ("**CEO**").

Sr.No.	Name, Category and DIN of the Director	Appointed date and Shareholding	Qualification / Experience	Names of the other listed entities where the person is a director and Category of Directorship	No. of Directorships in other Companies*	No. of Memberships/ Chairmanship in Board Committees of various companies**	
						Member	Chairman
1.	Mr. Deepak Satwalekar Non-Executive, Chairman and Independent Director (DIN: 00009627)	October 23, 2019# Nil	Bachelors in Mechanical Engineering and MBA (over 41 years)	Wipro Limited - Non-Executive, Independent Director	2	2	2
2.	Ms. Geeta Dutta Goel Non-Executive, Independent, Woman Director (DIN: 02277155)	November 01, 2021 Nil	Bachelors in Commerce and PGDM (over 31 years)	Equitas Small Finance Bank Limited - Non-Executive, Independent Director Niva Bupa Health Insurance Company Ltd - Non-Executive, Independent Director	4	5	0
3.	Mr. Anuj Srivastava Non-Executive, Independent Director (DIN: 09369327)	November 01, 2021 Nil	Bachelors in Technology and MBA (over 23 years)	Nil	1	2	0

Directors' *Report*

Sr.No.	Name, Category and DIN of the Director	Appointed date and Shareholding	Qualification / Experience	Names of the other listed entities where the person is a director and Category of Directorship	No. of Directorships in other Companies*	No. of Memberships/ Chairmanship in Board Committees of various companies**	
						Member	Chairman
4.	Ms. Sucharita Mukherjee Non-Executive, Independent Director (DIN: 02569078)	February 01, 2022 Nil	Bachelors in Technology and PGDM (over 25 years)	Nil	1	2	2
5.	Mr. Sriram Hariharan@ Non-Executive, Independent Director (DIN: 10156705)	June 26, 2025 Nil	Bachelor of Mechanical Engineering and PGD (Finance and Marketing) (over 30 years)	The Supreme Industries Limited - Non-Executive, Independent Director	2	3	0
6.	Mr. Divya Sehgal Non-Executive, Nominee Director^ (DIN: 01775308)	June 10, 2017 Nil	Bachelors of Technology in electrical Engineering and PGDM (over 30 years)	Nil	2	0	0
7	Mr. Manoj Viswanathan Managing Director and Chief Executive Officer ("**MD & CEO**") (DIN: 01741612)	June 28, 2010 9,13,883 Shares	Bachelors in electrical and electronics and PGDM (over 29 years)	Nil	1	1	0

reappointed for his second term of 5 consecutive years with effect from October 23, 2024
@ Appointed as Additional Non-Executive Independent Director w.e.f. June 26, 2025; the said appointment was subsequently approved by the members through postal ballot on September 4, 2025.
**Includes Directorships held in other Indian Public companies (listed and unlisted) including our Company, as per Regulation 26 of the SEBI Listing Regulations*
*** Only memberships / chairmanships of the Audit Committee and Stakeholders' Relationship Committee in Indian Public companies (listed and unlisted) are considered, as per Regulation 26 of the SEBI Listing Regulations*
^ As a nominee of True North Fund V LLP

The brief profile of the present Directors on the Board of the Company is available on the website of the Company.

Directors' *Report*

In accordance with Regulation 17A of the SEBI Listing Regulations, none of the Independent Directors of the Company serves as an Independent Director in more than seven listed entities. Further, The Managing Director and CEO of the Company do not hold the position of Independent Director in any listed entity.

As per Section 165 of the Companies Act, 2013, none of the Directors hold directorships in more than twenty companies, including not more than ten public companies. Further, none of the Directors on the Board is a member of more than ten Committees or acts as Chairperson of more than five Committees (considering only the Audit Committee and Stakeholders' Relationship Committee) across all Indian public companies in which they are Directors, in accordance with Regulation 26 of the SEBI Listing Regulations. Necessary disclosures regarding their Committee positions have been received from all the Directors. Additionally, no Independent Director of the Company serves as a Non-Independent Director in any company where a Non-Independent Director of the Company is an Independent Director.

During the financial year under review, the minimum information required to be placed before the Board, as specified in Part A of Schedule II of the SEBI Listing Regulations, was duly placed before the Board for its consideration. The Board periodically reviews the compliance reports of all laws applicable to the Company.

The Company has a Non-Executive Independent Director as the Chairperson of the Board. The roles of the Chairperson and the Managing Director & CEO are distinct and separate.

Disclosure of relationships between directors inter-se:

None of the directors are inter-se related to each other. The Independent Directors are independent of the management. All the directors of the Company have confirmed that they comply the fit and proper criteria as prescribed under the applicable regulations. The Company has also formulated and adopted a Policy on Fit & Proper Criteria for the Directors as per the provisions of the RBI Directions.

Change in Composition of the Board:

During the Financial Year 2025-26 the following changes have been occurred in the composition of the Board of Directors:

Name of the Director	Designation	Nature of change	Effective Date
Mr. Maninder Singh Juneja	Non-Executive Nominee Director	Resignation	May 02, 2025
Mr. Sriram Hariharan*	Non-Executive Independent Director	Appointment	June 26, 2025
Mr. Narendra Ostawal	Non-Executive Nominee Director	Resignation	July 15, 2025

**Appointed as an Additional Non-Executive Independent Director by the Board w.e.f. June 26, 2025 and his appointment was subsequently approved by the members through postal ballot on September 4, 2025 wherein he was appointed as a Non-Executive Independent Director of the Company, not liable to retire by rotation, for a first term of 5 (five) consecutive years effective from June 26, 2025.*

Further, Mr. Divya Sehgal (DIN: 01775308), Non-Executive Nominee Director who was liable to retire by rotation got re-appointed at the 16th Annual General Meeting (AGM) held on June 25, 2025.

The Company has furnished to National Housing Bank ("NHB") a quarterly statement on change of directors as required.

Chart/Matrix setting out skills/expertise/competence of the Board of Directors:

The Board is composed of members with diverse educational backgrounds, professional qualifications, industry experience, and specialized skills. This diversity enables the Board to bring varied perspectives and insights to discussions and decision-making during Board and Committee meetings of the Company.

The below matrix summarizes a mix of skills, expertise and competencies possessed by our individual Directors, which are key to corporate governance and Board effectiveness:

Directors' *Report*

Chart / matrix setting out the skills, expertise, competence of each of the Directors is provided below

Sr.No.	Parameters	Name of the Directors and their skills, expertise and Competency						
		Mr. Deepak Satwalekar	Ms. Geeta Dutta Goel	Mr. Anuj Srivastava	Ms. Sucharita Mukherjee	Mr. Sriram Hariharan	Mr. Divya Sehgal	Mr. Manoj Viswanathan
1.	Industry Experience	√	√	-	√	√	√	√
2.	Financial Expertise	√	√	-	√	√	√	√
3.	Consumer Behavior	√	√	√	√	√	√	√
4.	Legal and Compliance	√	√	-	√	√	-	√
5.	Corporate Governance	√	√	√	√	√	√	√
6.	Strategy and Decision Making	√	√	√	√	√	√	√
7.	ALM and Risk Management	√	√	-	√	√	√	√
8.	Information Technology and Cyber Security	√	-	√	√	√	√	√

Responsibilities of the Board:

The roles, responsibilities and accountability of the Board are clearly defined through the Company's governance framework, including its Code of Conduct, internal policies and applicable regulatory requirements. The Board primarily provides strategic direction to the Company and oversees its overall performance and management.

In addition to its core oversight function, the Board undertakes several key responsibilities, which include, but are not limited to, the following:

- Approving the Company's strategic direction and business plans;
- Reviewing and approving financial plans, budgets and policies;
- Monitoring the Company's performance against approved strategies and business plans
- Ensuring that the Company maintains high standards of ethical conduct and complies with all applicable laws and regulations;
- Reviewing and approving borrowing limits of the Company;
- Determining and reviewing exposure limits in line with regulatory and business requirements; and
- Keeping shareholders informed about the Company's strategies, plans and overall performance.

The Board periodically reviews the Company's performance and deliberates on significant matters relating to the business and governance of the Company. The Board also has a structured framework of matters reserved for its consideration and decision, in addition to those required under applicable laws and regulations.

Board Proceedings:

The meetings of the Board and its Committees are planned well in advance and a tentative annual calendar is shared with the Directors to enable them to schedule their commitments and participate effectively in the meetings. Directors are also provided the option to attend the meetings through video conferencing or other audio-visual means in accordance with applicable provisions. When a particular or urgent business arises, the Board provides its consent by approving resolutions through circulation in line with all applicable legislation. The resolutions passed through circulation are placed and reaffirmed by the Board at its ensuing Board Meeting.

The Company Secretary, in consultation with the Managing Director & CEO, prepares a detailed agenda for the Board and Committee meetings. The agenda papers, along with

Directors' *Report*

relevant notes are circulated to the Directors in advance to facilitate informed discussions and effective decision-making. The Board members are also free to suggest inclusion of additional items for discussion in the agenda.

Information required to be placed before the Board in terms of the Act, SEBI Listing Regulations and other applicable laws is provided to the Directors as part of the agenda papers, at least seven days in advance of the meetings. However, in case of certain urgent matters or information classified as Unpublished Price Sensitive Information (UPSI), the same may be circulated at a shorter notice in accordance with applicable regulations and Secretarial Standards issued by the Institute of Company Secretaries of India. The minutes of each Board/ Committee Meetings are duly circulated to the directors finalized and recorded in the minute book maintained by the Company Secretary.

Senior management personnel are invited to attend the Board meetings, as required, to provide additional insights on the items being discussed.

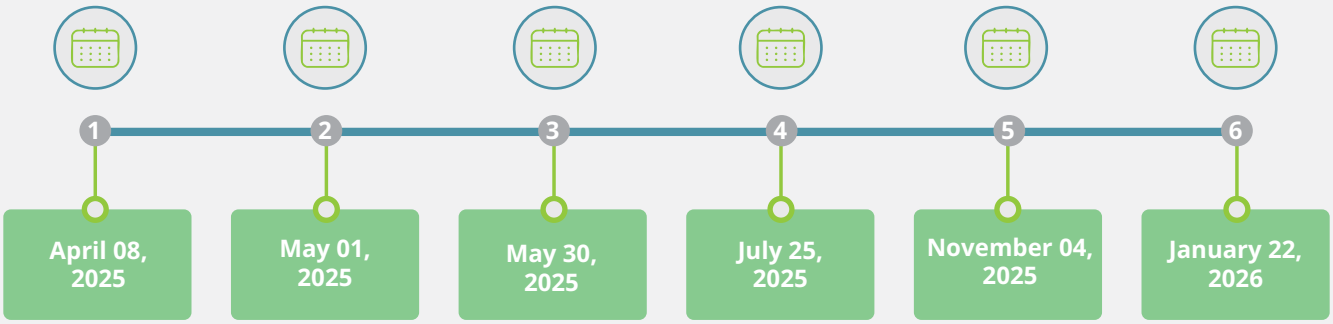
The Board has full access to all information relating to the Company and deliberates on significant matters relating to strategy, operations, financial performance and governance. The Board generally meets at least once every quarter to review the quarterly financial results and other key business matters. Additional meetings are convened whenever required.

The Company also has an effective post-meeting follow-up mechanism. An Action Taken Report on the decisions taken at the Board meetings is placed before the Board at the subsequent meeting for its review and information. The Board also periodically reviews compliance reports relating to all applicable laws and regulations and the steps taken by the Company to address any instances of non-compliance, if any.

During the financial year under review, the Board of Directors met Six times. The gap between any two Board Meetings held during the year under review did not exceed one hundred and twenty days. The requisite quorum was present for all the meetings.

The details of attendance of the Directors at the Board meetings and the Annual General Meeting (AGM), along with the sitting fees paid to them, are provided in the table below.

Date of Board Meetings held during FY 2025-26



Directors' *Report*

Attendance and sitting fees details of the Board											
Name of the members	Board meeting details						Held during tenure	Attended	% of attendance	Sitting Fees paid (in ₹)	AGM June 25, 2025
	1 Apr 08, 2025	2 May 01, 2025	3 May 30, 2025	4 July 25, 2026	5 Nov 04, 2025	6 Jan 22, 2026					
Mr. Deepak Satwalekar							6	6	100%	6,00,000/-	
Ms. Geeta Dutta Goel							6	6	100%	6,00,000/-	
Mr. Anuj Srivastava		L	L	L			6	3	50%	3,00,000/-	
Ms. Sucharita Mukherjee	L	L			L	L	6	2	33.33%	2,00,000/-	L
Mr. Sriram Hariharan*	-	-	-				3	3	100%	3,00,000/-	-
Mr. Divya Sehgal		L					6	5	83.33%	-	L
Mr. Maninder Singh Juneja**			-	-	-	-	2	2	100%	-	-
Mr. Narendra Ostawal***			L	-	-	-	3	2	66.67%	-	
Mr. Manoj Viswanathan							6	6	100%	-	
% attendance	88%	63%	71%	86%	86%	86%					

: In attendance L: Leave of absence granted

**Appointed as Non-Executive Independent Director w.e.f. June 26, 2025*
*** Resigned as Non-Executive Nominee Director w.e.f. May 02, 2025*
**** Resigned as Non-Executive Nominee Director w.e.f. July 15 2025*

Membership of Directors in Board Committees as on March 31, 2026:

Name of Directors	Audit Committee	Nomination & Remuneration Committee	Stakeholders Relationship Committee	CSR and ESG Committee	Risk Management Committee##	IT Strategy Committee##
Mr. Deepak Satwalekar	-	-	-	-	-	-
Ms. Geeta Dutta Goel#			-			-
Mr. Anuj Srivastava^				-	-	
Ms. Sucharita Mukherjee		-				-
Mr. Sriram Hariharan*			-	-		
Mr. Divya Sehgal	-	-	-	-	-	-
Mr. Manoj Viswanathan	-	-				

#Appointed as Member of Risk Management Committee w.e.f. June 26, 2025
^Appointed as Member of the Stakeholders' Relationship Committee w.e.f. June 26, 2025.
**Appointed as Member of Audit Committee, Nomination and Remuneration Committee, IT Strategy Committee and Chairperson of Risk Management Committee w.e.f. June 26, 2025*
##The Composition of the Committee also comprises senior management personnel of the Company.

Directors' *Report*

Board Diversity:

The Company recognizes that diversity at the Board level contributes to better decision-making and strengthens the overall governance framework. In order to promote a balanced and transparent approach in Board composition, the Board has adopted a "**Policy to promote diversity on the Board of Directors**," as recommended by the Nomination and Remuneration Committee.

The Policy aims to ensure diversity in terms of thought, knowledge, skills, experience, professional background, functional expertise, industry experience. Diverse Board enables broader discussions, improves the quality of decision-making and supports the long-term growth and competitiveness of the Company.

The Board, together with its committees, provides leadership and strategic direction to the Company and oversees key matters such as corporate strategy, risk management framework, annual budgets and business plans. It also monitors the implementation of strategic initiatives and the overall performance of the Company. The directors are persons of eminence in their respective fields and bring with them a plethora of skills and experience that add value to the performance of the Board.

Declaration of Independence:

All the independent directors have submitted a declaration of independence, stating that they meet the criteria of independence provided under section 149(6) of the Act, as amended, and Regulation 16(1)(b) and Regulation 25 of the SEBI Listing Regulations. The independent directors have also confirmed compliance with the provisions of Rule 6 of Companies (Appointment and Qualifications of Directors) Rules, 2014, as amended, relating to inclusion of their name in the databank of independent directors maintained by Indian Institute of Corporate Affairs and they have either undertaken the online proficiency self-assessment test or are exempted therefrom.

The terms and conditions of appointment of Independent Directors are available at Terms and Condition for appointment of Independent Director.

Familiarisation Programme:

Your Company has in place a familiarisation programme for Independent Directors which is designed to ensure that the Directors are regularly updated on the Company's business model, risk metrices, mitigation and management, ever evolving governing regulations, information technology including cyber security, their roles, rights and responsibilities and any other major developments and updates.

At the time of their appointment, Independent Directors are taken through a comprehensive induction; an overview of the Company's history, organisational structure, governance framework, culture and values, as well as the functioning of the Board and its Committees. Directors are also briefed on their roles, rights and responsibilities in terms of the Companies Act, 2013, applicable rules, the SEBI Listing Regulations, including the Code of Conduct and other key policies of the Company.

Periodic presentations are made at the Board and Committee meetings by senior management on various aspects such as business performance, operational updates, risk profile and risk management practices, internal audit plans, compliance updates, regulatory developments, internal control systems, investor relations, and developments in information technology including cyber security.

These induction and ongoing familiarisation initiatives enable the Independent Directors to gain a deeper understanding of the Company's business and governance framework and assist them in making well-informed decisions in the best interests of the Company and its stakeholders.

The details of familiarisation programme imparted to the Independent Directors and the policy of the Company are available on the Company's website at Policy on Familiarization Program for Independent Director respectively.

Directors' *Report*

Separate Independent Directors Meeting:

The Independent Directors convened a separate meeting without the presence of Non-Independent Directors and members of the management to discuss all such issue as they may consider relevant. During the year under review, the meeting of Independent Directors was held on March 06, 2026. as required under Schedule IV of the Act (Code for Independent Directors) and Regulation 25(3) of the SEBI Listing Regulations. Ms. Geeta Dutta Goel was nominated as the Lead Independent Director for the Meeting.

At the said meeting held on March 06, 2026, the Independent Directors considered and reviewed the following:

Date and Agenda of Independent Director Meeting held during FY 2025-26

March 06, 2026

- Reviewed the performance of Directors, Independent Directors, Committees and the Board as a whole.
- Reviewed the performance of Mr. Deepak Satwalekar, Chairman of the Company, taking into account the views of all the Directors who had given their rating in the evaluation process.
- Assessed the quality, quantity and timeliness of the flow of information between the Company management and the Board that is necessary for the Board to perform their duties effectively and reasonably.

The details of the meeting and sitting fees paid is mentioned as below:

Attendance and sitting fees details of the Independent Directors Meeting					
Name of the members	**Commitee meeting details** 1 Mar 06, 2026	**Held during tenure**	**Attended**	**% of attendance**	**Sitting Fees paid (in ₹)**
Mr. Deepak Satwalekar		1	1	100%	1,00,000/-
Ms. Geeta Dutta Goel		1	1	100%	1,00,000/-
Mr. Anuj Srivastava		1	1	100%	1,00,000/-
Ms. Sucharita Mukherjee		1	1	100%	1,00,000/-
Mr. Sriram Hariharan		1	1	100%	1,00,000/-
% attendance	100%				

: In attendance

Directors' *Report*

BOARD COMMITTEES:

To facilitate more effective decision making, the Board has constituted various Committees with clearly defined roles and responsibilities. These Committees examine specific matters in detail within the scope of the authority delegated to them by the Board and make informed decisions or recommendations, as the case may be. The recommendations and key decisions of the Committees are subsequently placed before the Board for its information or approval, wherever required.

The Board has six statutory committees viz. Audit Committee, Nomination and Remuneration Committee, Stakeholders Relationship Committee, CSR and ESG Committee, Risk Management Committee and IT Strategy Committee and is authorised to constitute other functional Committees, from time to time, depending on business needs. The recommendations of the Committees are submitted to the Board for approval.

Sr. No.	Name of Committee	Brief Purpose
1.	Audit Committee	Oversees the Company's financial reporting process and disclosure of its financial information to ensure that its financial statements are correct, sufficient, and credible
2.	Nomination & Remuneration Committee	Identifies and recommends individuals for appointment to the Board, Key Managerial Personnel (KMPs) and Senior Management Personnel (SMPs), and oversees matters relating to remuneration and performance evaluation.
3.	Stakeholders' Relationship Committee	Address stakeholder-related matters, including redressal of investor grievances, and ensures maintaining effective communication and positive relationships with stakeholders.
4.	CSR and ESG Committee	Guides and monitors the Company's CSR and ESG initiatives, CSR Expenditure, and implementation of CSR Policy by the Company and promoting sustainable development and long-term value creation.
5.	Risk Management Committee	Reviews and monitors the Company's risk management framework and ensures that key business risks are identified, assessed, and effectively managed.
6.	IT Strategy Committee	Ensure that management has an effective IT strategic planning process, guide in preparation of IT Strategy and ensure that it is aligned with the Business strategy

During the year, all the recommendations made by the Committees were accepted by the Board.

Mr. Shreyans Bachhawat, Company Secretary, Compliance Officer and Head - Legal of the Company acts as secretary to the all the Committees constituted by the Board.

The composition and functioning of these board committees is in compliance with the applicable provisions of the Act, SEBI Listing Regulations, and the RBI Directions.

A. AUDIT COMMITTEE:

The Audit Committee is governed by the regulatory requirements mandated by Section 177 of the Companies Act, 2013 and Regulation 18 read with Part C of Schedule II of SEBI Listing Regulations. The composition of the Committee is in adherence to provisions of the Act, SEBI Listing Regulations, and the RBI Directions.

The primary objective of the Committee is to oversee the Company's financial reporting process to ensure the accuracy and integrity of financial statements, reviews the reports and observations of the statutory and internal auditors and discusses significant audit findings with the Management. It also evaluates the adequacy and effectiveness of the Company's internal financial controls, internal audit systems and risk management framework, reviews related party transactions and monitors compliance with applicable regulatory requirements.

Directors' *Report*

All the Members of the Committee are financially literate and possess accounting and financial management expertise. The Board of Directors have accepted and implemented the recommendations of the Audit Committee, whenever provided by the Committee. In accordance with the RBI Directions, head of internal auditor and chief compliance officer meets the members of the Audit Committee separately, without the presence of the senior management, on a quarterly basis.

The Audit Committee is chaired by Non-Executive, Independent Director. The Committee comprises of 4 Directors as its members, all of them being Non-Executive Independent Directors. The Company Secretary of the Company acts as Secretary to the Committee. The Committee met 4 (Four) times during the Financial Year 2025-26.

Composition[1]:

The members of the Audit Committee as on March 31, 2026 were:

Sr. No.	Name	Category	Designation
1.	Ms. Sucharita Mukherjee	Non-Executive, Independent Director	Chairperson
2.	Ms. Geeta Dutta Goel	Non-Executive, Independent Director	Member
3.	Mr. Anuj Srivastava	Non-Executive, Independent Director	Member
4.	Mr. Sriram Hariharan[2]	Non-Executive, Independent Director	Member

[1]Mr. Maninder Singh Juneja, erstwhile Member of the Committee, ceased to be Member effective May 02, 2025

[2]Appointed as a Member of the Committee with effect from June 26, 2025

Terms of reference:

The terms of reference of the Audit Committee are very wide and are in line with the regulatory requirements mandated by the Act and Part C of Schedule II of the SEBI Listing Regulations.

1. Overseeing the Company's financial reporting process and disclosure of its financial information to ensure that its financial statements are correct, sufficient and credible;
2. Recommending to the Board the appointment, remuneration and terms of appointment of the statutory auditor of the Company;
3. Reviewing and monitoring the statutory auditor's independence and performance, and effectiveness of audit process;
4. Approving payments to statutory auditors for any other services rendered by the statutory auditors;
5. Reviewing, with the management, the annual financial statements and auditor's report thereon before submission to the Board for approval, with particular reference to:
   a. Matters required to be included in the Director's Responsibility Statement to be included in the Board's report in terms of clause (c) of sub-section 3 of Section 134 of the Companies Act;
   b. Changes, if any, in accounting policies and practices and reasons for the same;
   c. Major accounting entries involving estimates based on the exercise of judgment by management;
   d. Significant adjustments made in the financial statements arising out of audit findings;
   e. Compliance with listing and other legal requirements relating to financial statements;
   f. Disclosure of any related party transactions; and
   g. Modified opinion(s) in the draft audit report.
6. Laying down the criteria for granting omnibus approval in accordance with the Company 'policy on related party transaction' and such approval shall be applicable in respect of transactions which are repetitive in nature;
7. Reviewing, with the management, the quarterly, half-yearly and annual financial statements before submission to the Board for approval;
8. Reviewing, with the management, the statement of uses/ application of funds raised through an issue

Directors' *Report*

(public issue, rights issue, preferential issue, etc.), the statement of funds utilized for purposes other than those stated in the offer document/ prospectus/ notice and the report submitted by the monitoring agency monitoring the utilization of proceeds of a public or rights issue, and making appropriate recommendations to the Board to take up steps in this matter. This also includes monitoring the use/ application of the funds raised through the proposed initial public offer by the Company;

9. Approval or any subsequent modifications of transactions of the Company with related parties provided that the audit committee may take omnibus approval for related party transactions proposed to be entered into by the Company subject to such conditions as may be prescribed;
10. Scrutinizing of inter-corporate loans and investments;
11. Valuing of undertakings or assets of the Company, wherever it is necessary;
12. Evaluating of internal financial controls and risk management systems;
13. Establishing a vigil mechanism for directors and employees to report their genuine concerns or grievances;
14. Reviewing, with the management, the performance of statutory and internal auditors, and adequacy of the internal control systems;
15. Reviewing the adequacy of internal audit function if any, including the structure of the internal audit department, staffing and seniority of the official heading the department, reporting structure coverage and frequency of internal audit;
16. Discussing with internal auditors on any significant findings and follow up there on;
17. Reviewing the findings of any internal investigations by the internal auditors into matters where there is suspected fraud or irregularity or a failure of internal control systems of a material nature and reporting the matter to the Board;
18. Discussing with statutory auditors before the audit commences, about the nature and scope of audit as well as post-audit discussion to ascertain any area of concern;
19. Looking into the reasons for substantial defaults in the payment to the depositors, debenture holders, shareholders (in case of non-payment of declared dividends) and creditors;
20. Reviewing the functioning of the whistle blower mechanism;
21. Approving the appointment of the chief financial officer or any other person heading the finance function or discharging that function after assessing the qualifications, experience and background, etc. of the candidate;
22. Carrying out any other function as is mentioned in the terms of reference of the Audit Committee and any other terms of reference as may be decided by the Board and/or specified/provided under the Companies Act or the Listing Regulations or by any other regulatory authority; and
23. Reviewing the utilization of loans and/ or advances from/investment by the holding company in the subsidiary exceeding rupees 100 crore or 10% of the asset size of the subsidiary, whichever is lower including existing loans / advances / investments existing as on the date of coming into force of this provision i.e., April 1, 2019, and henceforth**.**

Powers of the Audit Committee:

The powers of the Audit Committee shall include the following:

1. To investigate any activity within its terms of reference;
2. To seek information from any employee;
3. To obtain outside legal or other professional advice; and
4. To secure attendance of outsiders with relevant expertise, if it considers necessary.

Reviewing Powers:

The Audit Committee shall mandatorily review the following information:

1. Management's discussion and analysis of financial condition and results of operations;
2. Statement of significant related party transactions (as defined by the Audit Committee), submitted by the management;
3. Management letters / letters of internal control weaknesses issued by the statutory auditors;
4. Internal audit reports relating to internal control weaknesses;
5. The appointment, removal and terms of remuneration of the chief internal auditor shall be subject to review by the audit committee; and

Directors' *Report*

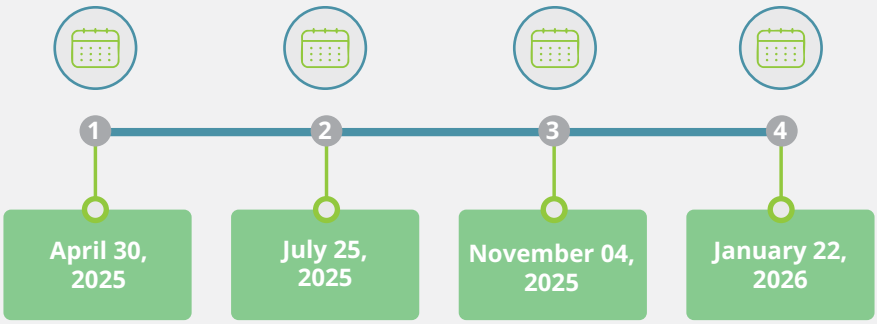
6. Statement of deviations:
   i. quarterly statement of deviation(s) including report of monitoring agency, if applicable, submitted to stock exchange(s) in terms of the Listing Regulations; and
   ii. annual statement of funds utilized for purposes other than those stated in the document/ prospectus/notice in terms of the Listing Regulations.

Audit Committee Meetings, Attendance and Quorum:

During the financial year under review, the Audit Committee met 4 (Four) times. The Company Secretary acted as Secretary to Audit Committee meetings. The required quorum of 2 Members (with at least 2 Independent Directors) were present at all the meetings. Chief Financial Officer, MD & CEO, Deputy CEO and Chief Business Officer, Financial Controller, Head – Internal Audit , Representatives of Internal and Statutory Auditors attended the meetings as invitees.

The details of attendance of the Members at the Audit Committee meetings along with the sitting fees paid to them, are provided in the table below:

Date of Audit Committee Meetings held during FY 2025-26



Attendance and sitting fees details of the Audit Committee								
Name of the members	Commitee meeting details				Held during tenure	Attended	% of attendance	Sitting Fees paid (in ₹)
	1 Apr 30, 2025	2 July 25, 2025	3 Nov 04, 2025	4 Jan 22, 2026				
Ms. Sucharita Mukherjee			L	L	4	2	50%	2,00,000/-
Ms. Geeta Dutta Goel					4	4	100%	4,00,000/-
Mr. Anuj Srivastava	L	L			4	2	50%	2,00,000/-
Mr. Sriram Hariharan[1]	-				3	3	100%	3,00,000/-
Mr. Maninder Singh Juneja[2]		-	-	-	1	1	100%	-
% attendance	75%	75%	75%	75%				

: In attendance L: Leave of absence granted

[1]Appointed as Member of the Committee w.e.f. June 26, 2025
[2]ceased to be member of the Committee w.e.f. May 02, 2025

Directors' *Report*

B. NOMINATION AND REMUNERATION COMMITTEE (NRC):

The Nomination and Remuneration Committee is governed by the regulatory requirements mandated by Section 178 of the Companies Act, 2013 and Regulation 19 read with Part D of Schedule II of SEBI Listing Regulations. The composition of the Committee is in adherence to provisions of the Act, SEBI Listing Regulations, and the RBI Directions.

The Nomination and Remuneration Committee ("**NRC**") plays a key role in shaping your company's leadership and culture. It is responsible for guiding appointments to the Board, ensuring diversity, and selecting senior-level personnel. The NRC also advises management on the remuneration policy, ensuring it meets regulatory requirements. In addition, it reviews the skills, performance, and independence of our directors and conducts an annual evaluation of the Board Members. The Committee further administer our ESOP schemes and reviews matters relating to talent acquisition, succession planning, employee engagement and compensation practices.

The NRC committee is chaired by Non-Executive, Independent Director. The Committee comprises of 3 Directors as its members, all of them being Non-Executive Independent Directors. The Company Secretary of the Company acts as Secretary to the Committee. The Committee met 2 (Two) times during the Financial Year 2025-26.

Composition[1]:

The members of the Nomination and Remuneration Committee as on March 31, 2026 were

Sr. No.	Name	Category	Designation
1.	Ms. Geeta Dutta Goel	Non-Executive, Independent Director	Chairperson
2.	Mr. Anuj Srivastava	Non-Executive, Independent Director	Member
3.	Mr. Sriram Hariharan[2]	Non-Executive, Independent Director	Member

[1]Mr. Narendra Ostawal, erstwhile Member of the Committee, ceased to be Member effective July 15, 2025

[2]Appointed as a Member of the Committee with effect from June 26, 2025

Terms of reference:

The terms of reference of this Committee are in line with the regulatory requirements mandated in the Companies Act and Part D of Schedule II of the SEBI Listing Regulations:

1. Formulating the criteria for determining qualifications, positive attributes and independence of a director and recommending to the Board a policy, relating to the remuneration of the directors and key managerial personnel;
2. Formulating of criteria for evaluation of the performance of the independent directors and the Board;
3. Devising a policy on Board diversity;
4. Identifying persons who qualify to become directors or who may be appointed in senior management in accordance with the criteria laid down, recommending to the Board their appointment and removal, and carrying out evaluations of every director's performance;
5. Determining whether to extend or continue the term of appointment of the independent director, on the basis of the report of performance evaluation of independent directors;
6. Analyzing, monitoring and reviewing various human resource and compensation matters;
7. Determining the company's policy on specific remuneration packages for executive directors including pension rights and any compensation payment, and determining remuneration packages of such directors;
8. Determining compensation levels payable to the senior management personnel and other staff (as deemed necessary), which shall be market-related, usually consisting of a fixed and variable component;
9. Reviewing and approving compensation strategy from time to time in the context of the then current Indian market in accordance with applicable laws;
10. Performing such functions as are required to be performed by the compensation committee under the Securities and Exchange Board of India (Share Based

Directors' *Report*

Employee Benefits) Regulations, 2014, as amended;

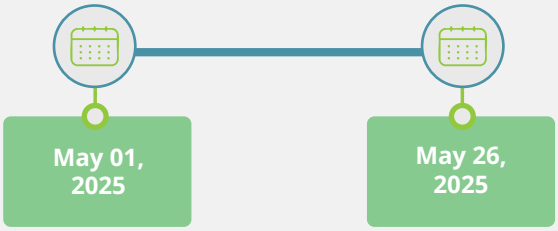
11. Framing suitable policies and systems to ensure that there is no violation, by an employee of any applicable laws in India or overseas, including:
    i. The Securities and Exchange Board of India (Prohibition of Insider Trading) Regulations, 2015, as amended; and
    ii. The Securities and Exchange Board of India (Prohibition of Fraudulent and Unfair Trade Practices relating to the Securities Market) Regulations, 2003.
12. Performing such other activities as may be delegated by the Board and/or specified/provided under the Companies Act or the Listing Regulations, or by any other regulatory authority;
13. Recommend to the board, all remuneration, in whatever form, payable to senior management; and
14. Performing such other functions as may be required for the performance of any of the above duties.

NRC Meetings, Attendance and Quorum:

During the financial year under review, the NRC met twice. The required quorum of 2 Members (with at least 1 Independent Director) were present at both the meetings. The Chairperson of the Committee was present at the Annual General Meeting of the Company to answer Shareholder Queries.

The details of attendance of the Members at the NRC meetings along with the sitting fees paid to them, are provided in the table below:

Date of Nomination and Remuneration Committee Meetings held during FY 2025-26



Attendance and sitting fees details of the NRC Committee						
Name of the members	**Commitee meeting details**		**Held during tenure**	**Attended**	**% of attendance**	**Sitting Fees paid (in ₹)**
	1	**2**				
	May 01, 2025	**May 26, 2025**				
Ms. Geeta Dutta Goel			2	2	100%	2,00,000/-
Mr. Anuj Srivastava			2	2	100%	2,00,000/-
Mr. Sriram Hariharan[1]	-	-	-	-	-	-
Mr. Narendra Ostawal[2]			2	2	100%	-
% attendance	100%	100%				

: In attendance L: Leave of absence granted

[1]Appointed as Member of the Committee w.e.f. June 26, 2025
[2]Ceased to be member of the Committee w.e.f. July 15, 2025

Performance Evaluation:

In accordance with the provisions of the Act and SEBI Listing Regulations, the Board of Directors has adopted an evaluation framework for assessing the performance of the Board, its Committees, Chairperson and individual Directors including Independent Directors. The framework is based on the Guidance Note on Board Evaluation issued by the SEBI Circular no. SEBI/HO/ CFD/ CMD/ CIR/P/2017/004 dated January 05, 2017.

Directors' *Report*

Your Company has laid down a structured process, format, attributes and criteria for carrying out the performance evaluation. The evaluation framework considers various parameters such as the role and contribution of Directors, experience and expertise, participation in Board and Committee meetings, ability to provide constructive and independent views, integrity, confidentiality, adherence to the Company's policies and ethical standards, and the overall effectiveness of the Board in discharging its responsibilities.

During the financial year 2025-26, the Company had undertaken the evaluation through a structured electronic questionnaire – "Jot form", a web-based module, covering the various aspects of the Board's functioning such as adequacy of the composition of the Board and its Committees, Board culture, execution and performance of specific duties, obligations and governance. The Directors can evaluate related group and provide ranking accordingly at one place in matrix-based form upon which automated report is generated which maintains complete confidentiality and anonymity.

Further, the Independent Directors, at their separate meeting held on March 06, 2026, evaluated the performance of the Chairperson, the Board as a whole, Committees of the Board and individual Directors including Independent Directors. The Chairperson of Nomination and Remuneration Committee oversee the evaluation process and reviews the outcomes of the evaluation and present the same to the Board.

Based on the evaluation carried out, the Board expressed its satisfaction with the overall effectiveness of the Board, its Committees and individual Directors, as well as the manner in which the evaluation process was conducted by the Company.

Nomination and Compensation Policy:

The Company had adopted the Nomination and Compensation Policy in accordance with the Reserve Bank of India (Housing Finance Companies) Directions, 2025, the Reserve Bank of India (Non-Banking Financial Companies - Governance) Directions, 2025 and other applicable laws and regulations. This policy, inter alia, provides (a) Set criteria for determination of qualification, positive attributes and independence of a director required for appointment; (b) Identification and evaluation criteria for the directors, key managerial personnel and senior management personnel of the Company; and (c) Ensure that remuneration to Directors, KMP and SMP involves a balance between fixed and incentive pay reflecting short and long-term performance objectives appropriate to the working of the company and its goals.

The remuneration paid to the Directors and Senior Managerial Personnel is in conformity with the Nomination and Compensation Policy of the Company. The Policy can be accessed at the website of the Company Nomination and Compensation Policy.

Particulars of Senior Management Personnel (SMP) including the changes therein since the closure of the previous financial year:

The particulars of senior management Personnel as on March 31, 2026 are:

Sr. No.	Members of the Senior Management Team	Role/Designation
1.	Mr. Ajay Khetan	Deputy CEO and Chief Business Officer
2.	Ms. Nutan Gaba Patwari	Chief Financial Officer
3.	Mr. Ramakrishna Vyamajala	Chief Human Resource Officer
4.	Mr. Gaurav Mohta	Chief Marketing Officer
5.	Mr. Ashish Kumar Darji	Chief Risk Officer
6.	Mr. Rupesh Mehta	Head of IT
7.	Mr. Shreyans Bachhawat	Company Secretary, Compliance Officer and Head – Legal*
8.	Ms. Harshita Mulay Dixit	Head of Internal Audit
9.	Ms. Kavita Semwal**	Chief Compliance Officer

** assigned with additional responsibility of Head-Legal w.e.f. November 04, 2025*

***Ms. Kavita Semwal was re-appointed as Chief Compliance Officer for a period of three years with effect from May 01, 2026*

Directors' *Report*

The Company pays sitting fees of ₹ 1,00,000/- per meeting to its Non-Executive, Independent Directors for attending Board and Committee Meetings and ₹ 50,000/- per Committee of Directors and Review Committee meeting attended. The Company also pays commission to the Non-Executive Independent Directors which is within the ceiling of 1 percent of the net profits of the Company as computed under Section 198 of the Companies Act, 2013, with the approval of the Board and Shareholders. The said commission is decided each year by the Board of Directors, on the recommendation of the Nomination and Remuneration Committee and paid amongst the Non-Executive Independent Directors based on the Board evaluation process, considering criteria such as their attendance and contribution at the Board and Committee meetings, as well as their expertise and experience for facilitating the efficient decision making. The Company also reimburses the out-of-pocket expenses, if any, incurred by the Directors for attending the meetings.

C. CSR AND ESG COMMITTEE:

The Corporate Social Responsibility & Environmental, Social and Governance ("**CSR and ESG**") Committee has been constituted by the Board in accordance with the provisions of Section 135 of the Companies Act, 2013. The Committee is responsible for overseeing the Company's CSR initiatives and ESG strategies.

The Committee, inter alia, formulates and recommends to the Board the CSR & ESG Policy and the Annual Action Plan. It also monitors the implementation of CSR and ESG initiatives undertaken by the Company and reviews the utilisation of funds allocated for such programmes in accordance with the requirements of the Companies Act, 2013 and other applicable regulations. The Committee also periodically reviews the Company's ESG practices, reporting framework and governance processes to support sustainable development and responsible business practices.

The Committee is chaired by a Non-Executive Independent Director and comprises three Directors as its members, of which two are Non-Executive Independent Directors. The Company Secretary acts as the Secretary to the Committee. The Committee met 2 (Two) times during the Financial Year 2025-26.

Composition:

The members of the CSR and ESG Committee as on March 31, 2026 were:

Sr. No.	Name	Category	Designation
1.	Ms. Geeta Dutta Goel	Non-Executive, Independent Director	Chairperson
2.	Ms. Sucharita Mukherjee	Non-Executive, Independent Director	Member
3.	Mr. Manoj Viswanathan	Managing Director & CEO	Member

Terms of reference:

1. To formulate and recommend to the Board of Directors, the CSR Policy, indicating the CSR activities to be undertaken, as prescribed under applicable law;
2. To recommend the amount of expenditure to be incurred on the CSR activities, which is to be at least 2% of the average profit of the Company in the three immediately preceding financial years;
3. To monitor the CSR Policy and its implementation by the Company from time to time;
4. To perform such other functions or responsibilities and exercise such other powers as may be conferred upon the CSR Committee in terms of the provisions of Section 135 of the Companies Act, 2013 and the rules framed thereunder;
5. To formulate the strategy for Environment, Social and Governance ("**ESG**") Initiatives and monitor its implementation from time to time; and
6. To review, monitor and assess the progress and reporting of ESG framework and principles.

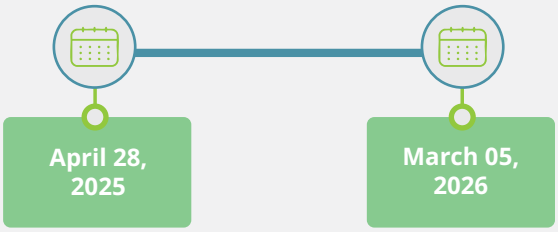
CSR and ESG Meetings, Attendance and Quorum:

During the financial year under review, the CSR and ESG Committee met twice. The Company Secretary acted as Secretary to CSR and ESG Meetings. The required quorum of 2 member was present at both the meetings.

Directors' Report

The details of attendance of the Members at the CSR and ESG meetings along with the sitting fees paid to them, are provided in the table below:

Date of CSR and ESG Committee Meetings held during FY 2025-26



Attendance and sitting fees details of the CSR and ESG Committee						
Name of the members	Commitee meeting details		Held during tenure	Attended	% of attendance	Sitting Fees paid (in ₹)
	1 Apr 28, 2025	2 Mar 05, 2026				
Ms. Geeta Dutta Goel			2	2	100%	2,00,000/-
Ms. Sucharita Mukherjee			2	2	100%	2,00,000/-
Mr. Manoj Viswanathan			2	2	100%	N.A
% attendance	100%	100%				

: In attendance

The composition of the CSR and ESG Committee, the CSR Policy and projects approved by the Board are available on the website of the Company and can be accessed at CSR Policy.

D. STAKEHOLDERS RELATIONSHIP COMMITTEE (SRC):

The Committee is governed by the regulatory requirements mandated by Section 178 of the Act and Regulation 20 read with Part D of the Schedule II of the SEBI Listing Regulations.

The Committee ensures cordial investor relations, oversees the mechanism for redressal of investors' grievances and specifically looks into various aspects of interest of Shareholders. The Committee specifically looks into redressing shareholders/ investors complaints/ grievances pertaining to non-receipts of Annual Reports, and other allied complaints. The equity shares and debentures issued by the Company are in dematerialized form. Kfin Technologies Limited has been appointed by the Company as the Registrar and Share Transfer Agent of the Company. The services rendered by the RTA meets the service standards as adopted by the Company.

The SRC Committee is chaired by Non-Executive, Independent Director. Any two Members of the SRC Committee form the quorum for the meetings of the SRC Committee. The SRC Committee comprises of three Directors as its members. The Company Secretary of the Company acts as Secretary to the Committee. The Committee met 2 (Two) times during the Financial Year 2025-26.

Directors' *Report*

Composition[1]:

The members of the Stakeholders Relationship Committee as on March 31, 2026 were:

Sr. No.	Name	Category	Designation
1.	Ms. Sucharita Mukherjee	Non-Executive, Independent Director	Chairperson
2.	Mr. Anuj Srivastava[2]	Non-Executive, Independent Director	Member
3.	Mr. Manoj Viswanathan	Managing Director & CEO	Member

[1]Mr. Maninder Singh Juneja, erstwhile Member of the Committee, ceased to be Member effective May 2, 2025.

[2]Appointed as a Member of the Committee with effect from June 26, 2025

Terms of Reference:

1. Consider and resolve grievances of security holders (includes shareholders, debenture holders or any other security holder) of the Company, including complaints related to transfer of shares, non-receipt of annual report, non-receipt of declared dividends, issue of new/duplicate certificates, general meetings, etc.;
2. Review of measures taken for effective exercise of voting rights by shareholders;
3. Review of adherence to the service standards adopted by the Company in respect of various services being rendered by the Registrar and Share Transfer Agent;
4. Review of the various measures and initiatives taken by the Company for reducing the quantum of unclaimed dividends and ensuring timely receipt of dividend warrants/annual reports/statutory notices by the shareholders of the Company;
5. Formulation of procedures in line with the statutory guidelines to ensure speedy disposal of various requests received from shareholders from time to time;
6. To approve, register, refuse to register transfer or transmission of shares and other securities;
7. To sub-divide, consolidate and or replace any share or other securities certificate(s) of the Company;
8. Allotment and listing of shares;
9. Approval of transfer or transmission of shares, debentures or any other securities;
10. To authorize affixation of common seal of the Company;
11. To issue duplicate share or other security(ies) certificate(s) in lieu of the original share/security(ies) certificate(s) of the Company;
12. To approve the transmission of shares or other securities arising as a result of death of the sole/any joint shareholder;
13. To dematerialize or rematerialize the issued shares;
14. Ensure proper and timely attendance and redressal of investor queries and grievances;
15. Carrying out any other functions contained in the Companies Act, 2013, the SEBI Listing Regulations and/or equity listing agreements (if applicable), as and when amended from time to time; and
16. To further delegate all or any of the power to any other employee(s), officer(s), representative(s), consultant(s), professional(s), or agent(s).

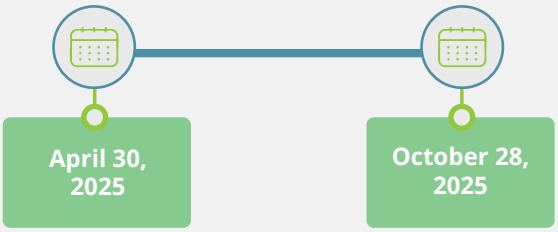
SRC Meeting, Attendance and Quorum:

During the financial year under review, the SRC Committee met twice. The Company Secretary acted as Secretary to SRC Meetings. The required quorum of 2 member was present at both the meetings.

Directors' Report

The details of attendance of the Members at the SRC meetings along with the sitting fees paid to them, are provided in table below:

Date of SRC Meetings held during FY 2025-26



Attendance and sitting fees details of the SRC Committee						
Name of the members	Commitee meeting details		Held during tenure	Attended	% of attendance	Sitting Fees paid (in ₹)
	1 Apr 30, 2025	2 Oct 28, 2025				
Ms. Sucharita Mukherjee	👩‍💼	L	2	1	50%	1,00,000/-
Mr. Anuj Srivastava[1]	-	👨‍💼	1	1	100%	1,00,000/-
Mr. Manoj Viswanathan	👨‍💼	👨‍💼	2	2	100%	N.A.
Mr. Maninder Singh Juneja[2]	👨‍💼	-	1	1	100%	N.A.
% attendance	100%	66%				

👩‍💼 👨‍💼 : In attendance L: Leave of absence granted

[1] *Appointed as Member of the Committee w.e.f. June 26, 2025.*

[2] *Ceased to be member w.e.f. May 02, 2025*

Name & Designation of Compliance Officer

Mr. Shreyans Bachhawat is the Company Secretary and Compliance Officer of the Company in terms of Regulation 6 of SEBI Listing Regulations.

Details of Investor Complaints:

ODR Mechanism

SEBI has vide Circular no. SEBI/HO/OIAE/OIAE_IAD-3/P/CIR/2023/195 dated July 31, 2023 (updated as on December 20, 2023) amended from time to time, established a common Online Dispute Resolution Portal ("**ODR Portal**") which harnesses online conciliation and online arbitration for resolution of disputes arising in the Indian Securities Market. This information along with SEBI circular is available on the website of the Company at SMART portal for the Shareholders' information and reference.

Scores (Sebi Complaints Redressal System)

The Company has made continuous efforts to ensure that grievances are more expeditiously redressed. SEBI Complaints Redress System ("**SCORES**") administers a centralised web - based complaints redress system. It enables investors to lodge and follow up complaints and track the status of online redressal. All the activities starting from lodging of a complaint till its disposal are carried online in an automated environment and the status of every complaint can be viewed online at any time.

Directors' *Report*

During the year under review, no complaints/disputes has been received from SEBI's SCORES portal or SMART Online Dispute Resolution Portal and the complaints received from shareholders is as below:

Sr. No.	Nature of Complaints	Complaints received during the year	Complaints not solved to the satisfaction of shareholders	Pending complaints as on March'26
1.	Non-receipt of Annual Report	0	0	0
2.	Non-receipt of Dividend warrant/ Dividend declared	0	0	0
3.	Non-receipt of securities after transfer	0	0	0
4.	Complaint received through SEBI	0	0	0
5.	Investor Complaints Queries/ requests received directly by the Company	0	0	0
	Total	**0**	**0**	**0**

E. RISK MANAGEMENT COMMITTEE:

The Risk Management Committee of the Company has been constituted in terms of the provisions of Regulation 21 read with Part D of the Schedule II of SEBI Listing Regulations and other applicable guidelines.

The Risk Management Committee identifies the risks that can create an impact on the Company and take appropriate measures to mitigate such risks for assisting the Board to establish a risk culture and risk governance framework in the organization. It is responsible for setting our policy on business risk oversight and management, developing a robust risk management framework with internal controls, and conducting special investigations into corporate risks and controls when needed.

The Committee's role and responsibility have been defined by the Board of Directors, and it has been delegated the role of monitoring and reviewing the risk management plan, as well as other functions, which specifically includes cyber security.

The RMC is chaired by Non-Executive, Independent Director. The Committee comprises of 4 Directors as its members, 3 of them being Non-Executive Independent Directors. The Company Secretary of the Company acts as Secretary to the Committee. The Committee met 4 (Four) times during the Financial Year 2025-26.

Composition[3]:

The members of the Risk Management Committee as on March 31, 2026 were:

Sr. No.	Name	Category	Designation
1.	Mr. Sriram Hariharan[1]	Non-Executive, Independent Director	Chairperson
2.	Ms. Sucharita Mukherjee	Non-Executive, Independent Director	Member
3.	Ms. Geeta Dutta Goel[2]	Non-Executive, Independent Director	Member
4.	Mr. Manoj Viswanathan	MD & CEO	Member
5.	Mr. Ajay Khetan	Deputy CEO and Chief Business Officer	Member
6.	Ms. Nutan Gaba Patwari	Chief Financial Officer	Member
7.	Mr. Ashishkumar Darji	Chief Risk Officer	Member

[1]appointed as a Chairman of the Committee with effect from June 26, 2025
[2]appointed as Member of the Committee with effect from June 26, 2025
[3]Mr. Maninder Singh Juneja, erstwhile Chairman of the Committee, ceased to be the Chairman effective May 02, 2025 and Mr. Narendra Ostawal, erstwhile Member of the Committee, ceased to be Member effective July 15, 2025

Directors' *Report*

Terms of Reference:

The terms of reference of the Committee, inter-alia, includes:

1. To formulate a detailed risk management policy which shall include:
   a. A framework for identification of internal and external risks specifically faced by the listed entity, in particular including financial, operational, sectoral, sustainability (particularly, ESG related risks), information, cyber security risks or any other risk as may be determined by the Committee.
   b. Measures for risk mitigation including systems and processes for internal control of identified risks.
   c. Business continuity plan.

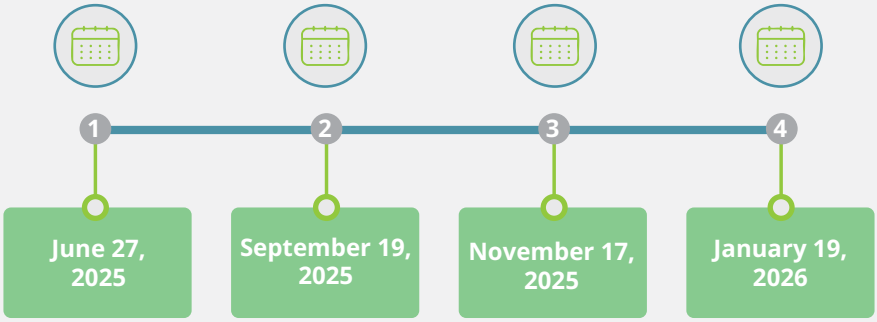
2. To ensure that appropriate methodology, processes and systems are in place to monitor and evaluate risks associated with the business of the Company;
3. To monitor and oversee implementation of the risk management policy, including evaluating the adequacy of risk management systems;
4. To periodically review the risk management policy, at least once in two years, including by considering the changing industry dynamics and evolving complexity;
5. To keep the board of directors informed about the nature and content of its discussions, recommendations and actions to be taken;
6. The appointment, removal and terms of remuneration of the Chief Risk Officer (if any) shall be subject to review by the Risk Management Committee.

RMC Meetings, Attendance and Quorum:

During the financial year under review, the Committee met 4 (Four) times. The Company Secretary acted as Secretary to RMC meetings. The required quorum of 3 Members was present at all the meetings.

The details of attendance of the Members at the RMC meetings along with the sitting fees paid to them, are provided in the table below:

Date of Risk Management Committee Meetings held during FY 2025-26



Directors' *Report*

Attendance and sitting fees details of the RMC Committee								
Name of the members	**Commitee meeting details**				**Held during tenure**	**Attended**	**% of attendance**	**Sitting Fees paid (in ₹)**
	1	**2**	**3**	**4**				
	Jun 27, 2025	**Sep 19, 2025**	**Nov 17, 2025**	**Jan 19, 2026**				
Mr. Sriram Hariharan[1]					4	4	100%	4,00,000/-
Ms. Sucharita Mukherjee		L	L	L	4	1	25%	1,00,000/-
Ms. Geeta Dutta Goel[2]	L				4	3	75%	3,00,000/-
Mr. Manoj Viswanathan					4	4	100%	N.A.
Mr. Ajay Khetan					4	4	100%	N.A.
Ms. Nutan Gaba Patwari		L			4	3	75%	N.A.
Mr. Ashishkumar Darji					4	4	100%	N.A.
Mr. Narendra Ostawal[3]		-	-	-	1	1	100%	N.A.
% attendance	88%	71%	86%	86%				

: In attendance L: Leave of absence granted

[1]Appointed as Chairman of the Committee w.e.f. June 26, 2025
[2]Appointed as Member of the Committee w.e.f. June 26, 2025
[3] Ceased to be member w.e.f. July 15, 2025

F. Information Technology Strategy Committee:

The constitution of Information Technology Strategy Committee of the Company is as per the RBI Master Direction on Information Technology Governance, Risk, Controls and Assurance Practices dated November 07, 2023.

The Information Technology ("**IT**") Strategy Committee ensures that your Company's IT planning aligns with the business strategy. It oversees the implementation of IT processes and practices to ensure maximum value for the business. The Committee approves IT strategy and policy documents, manages business continuity and data governance, and conducts periodic comprehensive risk assessments of our IT systems. It shall also carry out review and amend the IT strategies in line with the corporate strategies, Board Policy reviews, cyber security arrangements and any other matter related to IT Governance.

The Committee is chaired by the Non-Executive, Independent Director. The Committee comprises of 4 members, out of which three are Board members. The Company Secretary of the Company acts as Secretary to the Committee. The Committee met 4 (Four) times during the Financial Year 2025-26

Composition[1]:

The members of the IT Strategy Committee as on March 31, 2026 were:

Sr. No.	Name	Category	Designation
1.	Mr. Anuj Srivastava	Non-Executive, Independent Director	Chairman
2.	Mr. Sriram Hariharan[2]	Non-Executive, Independent Director	Member
3.	Mr. Manoj Viswanathan	MD & CEO	Member
4.	Mr. Ajay Khetan	Deputy CEO and Chief Business Officer	Member

[1]Mr. Maninder Singh Juneja, erstwhile Member of the Committee, ceased to be the Member effective May 02, 2025
[2]Appointed as Member of the Committee with effect from June 26, 2025

Directors' *Report*

Terms of Reference:

The terms of reference of the Committee are as follows:

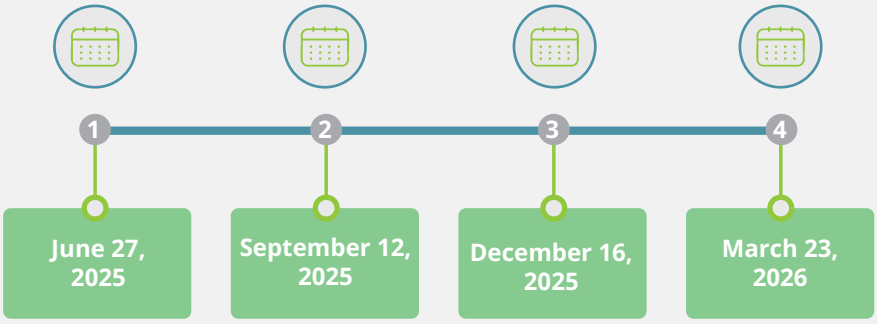
1. To ensure that management has an effective IT strategic planning process, guide in preparation of IT Strategy and ensure that it is aligned with the Business strategy;
2. To ensure that investments in Information Technology represent a balance of risks and benefits for sustaining organization's growth and within the acceptable budget;
3. To monitor IT resources required to achieve strategic goals and provide high-level direction for sourcing and use of IT resources;
4. To oversee implementation of processes and practices and ensuring that maximum value is delivered to business;
5. To approve IT strategy and policy documents;
6. To define and ensure effective implementation of standards of IT Governance, Business Continuity and Data Governance;
7. To ensure that there is an appropriate framework of information IT and security risk assessment within the organization and for managing IT and cybersecurity risks;
8. To ensure effective due diligence, oversight and management of outsourcing and accountability for all outsourcing decisions;
9. To ensure that a comprehensive risk assessment of HomeFirst's IT systems and adequacy and effectiveness of the Business Continuity Planning and Disaster Recovery Management of the Company is carried out on a yearly basis;
10. To ensure that the budgetary allocations for the IT function (including for IT security), cyber security are commensurate with the Company's IT maturity, digital depth, threat environment and industry standards and are utilised in a manner intended for meeting the stated objectives and;
11. To satisfy itself that the IT Governance and Information Security Governance structure fosters accountability, is effective and efficient, has adequate skilled resources, well defined objectives, and unambiguous responsibilities for each level in the organization.

IT Strategy Committee Meetings, Attendance and Quorum:

During the financial year under review, the Committee met 4 (Four) times. The Company Secretary acted as Secretary to IT Strategy Committee meetings. The required quorum was present at all the meetings.

The details of attendance of the Members at the IT Strategy Committee meetings along with the sitting fees paid to them, are provided in the table below:

Date of IT Strategy Committee Meetings held during FY 2025-26



Directors' Report

Attendance and sitting fees details of the IT strategy Committee								
Name of the members	Commitee meeting details				Held during tenure	Attended	% of attendance	Sitting Fees paid (in ₹)
	1 Jun 27, 2025	2 Sep 12, 2025	3 Dec 16, 2025	4 Mar 23, 2026				
Mr. Anuj Srivastava		L		L	4	2	50%	2,00,000/-
Mr. Sriram Hariharan[1]					4	4	100%	4,00,000/-
Mr. Manoj Viswanathan					4	4	100%	N.A.
Mr. Ajay Khetan					4	4	100%	N.A.
% attendance	100%	75%	100%	75%				

: In attendance L: Leave of absence granted

[1]Appointed as Member of the Committee w.e.f. June 26, 2025

Remuneration of Directors:

The remuneration paid to the Directors of the Company is in accordance with the applicable provision of the Act, the SEBI Listing Regulations and in line with the Nomination and compensation policy of the Company.

The details of remuneration of Directors are provided in Form MGT-7 (annual return) which is hosted on the website of the Company and can be accessed at Annual Return.

a. Pecuniary relationship and/or transactions of the Non-Executive Directors with the listed entity:

During the financial year under review, there were no pecuniary relationships or transactions between the Non-Executive Directors and the Company, other than the remuneration paid by way of sitting fees and commission to the Independent Directors.

The remuneration payable to Non-Executive Directors comprises sitting fees for attending the meetings of the Board and its Committees, and commission, where applicable. The criteria for payment of annual commission to the Non-Executive Directors is based on the overall performance of the Company as well as the contribution and performance of the individual Directors. The commission payable to Non-Executive Directors is recommended by the Nomination and Remuneration Committee and approved by the Board, within the overall limits approved by the shareholders of the Company.

During the financial year under review, no remuneration was paid to the Nominee Directors. Further, none of the Non-Executive Directors held any shares or convertible instruments of the Company.

The details of remuneration paid to Non-Executive Directors is as hereunder:

Name of the Director	Fee for attending Board / Committee Meetings (in ₹)	Commission (in ₹)	Other	Total (in ₹)
Independent Directors				
Mr. Deepak Satwalekar	7,00,000	33,60,000	NIL	40,60,000
Ms. Geeta Dutta Goel	20,50,000	20,00,000	NIL	40,50,000
Mr. Anuj Srivastava	11,00,000	19,00,000	NIL	30,00,000
Ms. Sucharita Mukherjee	9,00,000	20,00,000	NIL	29,00,000
Mr. Sriram Hariharan	17,00,000	19,00,000	NIL	36,00,000
Other Non-Executive Directors[#]				
Mr. Divya Sehgal	NIL	NIL	NIL	NIL
Total	64,50,000	1,11,60,000	NIL	1,76,10,000

[#] Mr. Maninder Singh Juneja ceased to be the Non-Executive Director effective May 02, 2025 and Mr. Narendra Ostawal ceased to be the Non-Executive Director effective July 15, 2025 and no remuneration was paid to them.

Directors' Report

Remuneration of Managing Director & Chief Executive Officer ('MD & CEO'):

The components of the MD & CEO's compensation package include salary, a performance-linked incentive, and other benefits. The Nomination and Remuneration Committee makes the decision, which was then accepted by the Board. The remuneration paid to MD & CEO is within the limits as approved the Shareholders'. Mr. Manoj Viswanathan is not qualified for any severance payments and his notice period is 3 months from the date of resignation.

Details of remuneration paid to Mr. Manoj Viswanathan, MD & CEO, for FY26:

Sr. No	Particulars of Remuneration	Total Amount (in ₹)
1.	Gross salary	
	(a) Salary as per provisions contained in section 17(1) of the Income-tax Act, 1961	1,74,70,717
	(b) Value of perquisites u/s 17(2) Income-tax Act, 1961	
	(c) Profits in lieu of salary under section 17(3) Income-tax Act, 1961	
2.	Sweat Equity	
3.	Commission	
	- as % of profit	
	- others, specify	
4.	Others, please specify	1,91,56,500
	One-time Bonus	
	Performance Linked Incentive	
	Total	**3,66,27,217**
5.	Stock Option exercised during the FY26	80,680

b. Criteria for making payments to Non-Executive Directors:

Non-executive directors of the Company play a crucial role in the independent functioning of the Board. They bring in a wider perspective in the deliberations and decision-making of the Board which adds value to the Company. They also oversee the corporate governance framework of the Company. The criteria of making payments to non–executive directors are placed on the Company's website and can be accessed at Nomination and Compensation Policy.

Dividend Distribution Policy:

The Company has in place the Dividend Distribution Policy, duly approved by the Board of Directors. The same is available on the website of the Company and can be accessed at Dividend Distribution Policy.

Internal Guidelines on Corporate Governance:

Your Company has a duly formulated Internal Guidelines on Corporate Governance in accordance with RBI Directions, which inter-alia, defines the legal, contractual and social responsibilities of the Company towards its various stakeholders and lays down the Corporate Governance practices of the Company. The said policy is available on the website of the Company at Internal Guidelines on Corporate Governance.

Code of Conduct for the Board of Directors and the Senior Management Personnel:

Pursuant to Regulation 17(5) of SEBI Listing Regulations, the Company has adopted Code of Conduct applicable to the Board of Directors and the Senior Management Personnel ('**Code**'). The Code provides guidance to the Board of Directors and Senior Management Personnel to

Directors' *Report*

conduct their business affairs ethically and in full compliance with applicable laws, rules and regulations. In accordance with Schedule V (D) of the SEBI Listing Regulations. The Company has also received declaration from MD & CEO confirming that all the Directors and the Senior Management Personnel of the Company have complied to the Code of Conduct for the financial year ended Mar'26 as attached with this Report. The said code is hosted on the website at Code of Conduct for Directors and Senior Managerial Personnel.

Related Party Transactions Policy:

The Company has formulated a policy on materiality and dealing with Related Party Transactions pursuant to the provisions of the Act and Regulation 23 of the SEBI Listing Regulations, which specify the manner of entering into Related Party Transactions ("**RPT**"). The details of related party transactions entered by the Company are in the ordinary course of its business are included in the notes forming part of the financial statements. The Company did not enter into any material related party transaction during the FY26. During the year under review, prior approval of all the RPTs were granted by the Audit Committee (including omnibus approval), as required under Section 177 of the Act and Regulation 23 of the SEBI Listing Regulations. No materially significant related party transactions were entered into during the FY26 that may have potential conflict with interests of the listed entity at large.

The Policy on Related Party Transactions has been hosted on the website of the Company in accordance with the provisions of the SEBI Listing Regulations and the RBI directions and can be accessed at the web-link at Related Party Transaction Policy.

Details of establishment of Vigil Mechanism and Whistle Blower Policy:

The Vigil Mechanism as envisaged in the Act and the Rules made thereunder and the SEBI Listing Regulations is implemented through the Whistle Blower Policy. This policy provides for adequate safeguards against victimization of persons who use such mechanism and provides direct access to the Chairperson of the Audit Committee in appropriate or exceptional cases. It enables reporting illegal or unethical behaviour, actual or suspected fraud(s) or violation of the Company's Codes of Conduct or Corporate Governance Policies or any improper activity. None of the personnel have been denied access to the Audit Committee.

The policy is placed on the website of the Company and can be accessed at Vigil Mechanism and Whistle Blower Policy.

Code of Conduct for Prohibition of Insider Trading and Code of Practices and Procedures for Fair Disclosure of Unpublished Price Sensitive Information:

In compliance of the SEBI (Prohibition of Insider Trading) Regulations, 2015, as amended from time to time, the Company has formulated a Code of Conduct for Prevention of Insider Trading in the shares of the Company, which inter alia, prohibits trading in shares of the Company by insiders while in possession of unpublished price sensitive information in relation to the Company and in order to ensure uniform dissemination of unpublished price sensitive information. The Board of Directors had adopted a 'Code of Practices and Procedures for Fair Disclosure of Unpublished Price Sensitive Information' which is available on the website of the Company and can be accessed at Code of practices and procedures of fair disclosure of UPSI.

Prevention of Sexual Harassment Policy, and information required to be disclosed under Sexual Harassment of Women at Workplace (Prevention, Prohibition and Redressal) Act, 2013:

Your Company has zero tolerance for sexual harassment at the workplace and has formulated a policy on prevention, prohibition and redressal of sexual harassment at the workplace in line with the provisions of the Sexual Harassment of Women at Workplace (Prevention, Prohibition and Redressal) Act, 2013 ("**POSH Act**") and the rules framed thereunder. The Company has complied with the formation of the Internal Complaints Committee as prescribed under the Companies Act, 2013.

Pursuant to the POSH Act, the details of the total reported and closed cases pertaining to incidents under the above framework/ law are as follows:

Directors' *Report*

- Number of cases filed during the financial year: 1
- Number of cases pending at the start of the financial year: 0
- Number of cases disposed during the financial year: 1
- Numbers of cases pending as on March 31, 2026: 0

Details of non-compliance by the listed entity, penalties, strictures, imposed on the listed entity by stock exchange(s) or the board or any statutory authority, on any matter related to capital markets, during the last three years;

BSE Limited had imposed a penalty of ₹4,720 (Rupees Four Thousand Seven Hundred and Twenty only, inclusive of GST) on the Company under SEBI Master Circular No. SEBI/HO/CFD/PoD2/CIR/P/0155 dated November 11, 2024, for delay in submission of the Annual Report for FY25 as required under Regulation 34 of the SEBI Listing Regulations. The delay occurred due to a technical glitch at the BSE Listing Centre Portal, as a result of which the Annual Report could not be filed on the due date i.e. June 02, 2025. Upon resolution of the technical issue on June 04, 2025, the Company filed the Annual Report on the same day. The Company has duly remitted the requisite fine to the Stock Exchange within the stipulated timeline.

Apart from above, there has been no instance of non-compliance by the Company, neither any penalty and nor any restriction was imposed on the Company by the Stock Exchange or SEBI or any other statutory authority, on any matter related to capital markets, during the Financial Year 2025-26 and last three Financial Years.

GENERAL BODY MEETINGS:

Details of Annual General Meetings:

The details of the special resolutions passed during the last three Annual Meetings are as follows:

For Financial Year	Date and Time	Location/Venue	Mode	Special Resolutions passed
FY25	June 25, 2025 at 12 noon IST	Held through video conferencing / other audio-visual means	Through Video Conferencing ("**VC**")/Other Audio-Visual Means	NIL
FY24	June 20, 2024 at 12 noon IST	Held through video conferencing / other audio-visual means	Through Video Conferencing ("**VC**")/Other Audio-Visual Means	1. Approved the reappointment of Mr. Deepak Satwalekar (DIN:00009627) as Chairman and Non-Executive, Independent Director of the Company 2. Approved to the increase in borrowing powers in excess of the Paid-up Share Capital, Free Reserves and Securities Premium of the Company pursuant to Section 180(1)(c) of the Act. 3. Approved creation of charges on the assets of the Company under Section 180(1)(a) of the Act to secure the borrowings made/to be made under section 180(1)(c) of the Act. 4. Approved Home First Finance Company India Limited – Employee Stock Option Scheme 2024 ("**HomeFirst ESOP Scheme 2024**") for eligible employees of Company.

Directors' *Report*

For Financial Year	Date and Time	Location/Venue	Mode	Special Resolutions passed
FY23	June 08, 2023 at 11:00 A.M. IST	Held through video conferencing / other audio-visual means	Through Video Conferencing ("**VC**")/Other Audio-Visual Means	1. Approved the continuation of Directorship of Mr. Deepak Satwalekar, Chairman and Independent Director (DIN:00009627) beyond the age of 75 years in his current tenure. 2. Approved the re-appointment of Mr. Manoj Viswanathan (DIN:01741612) as MD & CEO of the Company and fixation of remuneration thereof. 3. Approved the increase in borrowing powers in excess of the Paid-up Share Capital, Free Reserves and Securities Premium of the Company pursuant to Section 180(1)(c) of the Act. 4. Approved creation of charges on the assets of the Company under Section 180(1)(a) of the Act to secure the borrowings made/to be made under section 180(1)(c) of the Act. 5. Approved the alteration of Articles of Association.

Extraordinary General Meeting:

No extraordinary general meeting of the members was held during FY26.

Postal Ballot:

During the financial year under review, the following special resolution was passed by the shareholders by the requisite majority by way of postal ballot through remote e-voting.

Date of postal ballot notice	Resolution passed	Voting Resolutions			Approval date	Scrutinizer
August 05, 2025	Approved the appointment of Mr. Sriram Hariharan (DIN: 10156705) as a Non-Executive Independent Director of the Company.	Votes casted	8,42,16,379	100%	September 04, 2025	Mr. Aashish K. Bhatt, Proprietor of M/s. Aashish K. Bhatt & Associates, Practicing Company Secretaries (Membership No: A19639 and COP No.: 7023)
		Voting in favour	8,41,19,817	99.8853%		
		Voting Against	96,562	0.1147%		

The voting results were made available on our website at "www.homefirstindia.com and also intimated to BSE Limited ("BSE"), National Stock Exchange of India Limited ("NSE") (BSE and NSE, collectively known as "Stock Exchanges") and on the website of the e-voting agency (NSDL) i.e. "www.evoting.nsdl.com.

Directors' *Report*

Procedure for Postal Ballot:

The postal ballot was carried out as per the provisions of Sections 108 and 110 and other applicable provisions of the Act, read with the Rules framed thereunder and applicable circulars issued by the Ministry of Corporate Affairs from time to time.

Details of special resolution proposed to be transacted through postal ballot:

No special resolution is proposed to be transacted at an ensuing AGM which requires passing of such special resolution through postal ballot.

Means of Communication:

Your Company believes in maintaining transparent, timely and effective communication with its shareholders, investors and other stakeholders. Various communication channels are used to ensure that relevant information regarding the Company's performance, developments and statutory disclosures is disseminated:

These include:

- Publication of financial results and newspaper advertisements
- Earnings calls with investors and analysts
- Disclosures and filings with the Stock Exchanges
- Company's website
- Investor presentations, press releases and Annual Reports

a. Publication of quarterly results and newspaper advertisements

The Company publishes its quarterly, half-yearly and annual financial results in accordance with the requirements of the SEBI Listing Regulations. The financial results are reviewed by the Audit Committee before being placed before the Board for approval and subsequently submitted to the Stock Exchanges. An extract of the financial results is published in English and regional language newspapers and is also hosted on the Company's website.

b. Earning call with investors/analyst

The Company conducts earnings calls with analysts and investors on a quarterly basis after the declaration of financial results. These calls are generally addressed by the Managing Director & CEO, the Chief Financial Officer and the Investor Relations team, where the Company's financial performance and business developments are discussed. Transcripts and recordings of such calls are made available on the Company's website for wider access.

c. Disclosures and filings with the Stock Exchanges:

All material information and statutory filings required under the SEBI Listing Regulations, including financial results, corporate governance reports, shareholding patterns, investor grievance reports, reconciliation of share capital audit reports and other corporate announcements, are electronically filed with the Stock Exchanges. These disclosures are also made available on the Company's website for the benefit of stakeholders.

d. Company's Website:

The Company's website serves as an important platform for dissemination of information to stakeholders. Under the "Invester Relations" section of the website, various disclosures and updates are available, including financial results, investor presentations, policies approved by the Board, earnings call schedules and transcripts, press releases, corporate announcements, and contact details for investor queries.

e. Other modes of communication:

The Annual Report of the Company, containing the Directors' Report, Report on Corporate Governance, Management Discussion and Analysis, and the audited financial statements, is circulated to shareholders through permitted modes and is also available on the Company's website. Investor presentations and other relevant communications with analysts and institutional investors are also hosted on the website for easy access.

Directors' *Report*

Investor Grievance Redressal:

If shareholders have any grievances, they may contact the Company Secretary of the Company. Alternatively, they can reach out to the Registrar and Transfer Agent (RTA) for assistance. Investor complaints can also be addressed through SEBI's centralized web-based grievance redressal platform, **SEBI Complaints Redress System (SCORES)**. Additionally, the Company has enabled seamless online resolution of disputes in the Indian Securities Market through the **Online Dispute Resolution (ODR) Portal**.

General Shareholder Information:

Corporate Information:

Incorporation Date	February 3, 2010
Registered Office Address	511, Acme Plaza, Andheri Kurla Road, Andheri (East), Mumbai 400 059
Corporate Identification Number (CIN)	L65990MH2010PLC240703
Date, time and Venue of the Annual General Meeting	Date: June 24, 2026 Time: 12:00 Noon Venue: Video Conferencing/ Other Audio Visual Means
Financial year	April 1, 2025 to March 31, 2026
Record Date	As mentioned in the Notice of this AGM
Dividend Payment Date	The final dividend, if approved, shall be paid/credited on or before Thursday, July 23, 2026
Name and Address of Stock Exchange	The equity shares of the Company are listed on the National Stock Exchange of India Limited (NSE) and BSE Limited (BSE). NSE: Exchange Plaza, C-1, Block G, Bandra-Kurla Complex, Bandra (East), Mumbai 400 051. Tel Nos: 022-26598100-114 Fax Nos.: 022-26598120 Website: www.nseindia.com BSE: Phiroze Jeejeebhoy Towers, Dalal Street, Mumbai 400 001. Tel.Nos.:022-22721233 / 22721234 Fax Nos.: 022-22721919 Website: www.bseindia.com
Payment of Listing Fees	The Company has paid the annual listing fees for the relevant periods to NSE and BSE where its equity shares are listed.
International Securities Identification Number (ISIN)	INE481N01025
Registrar & Share Transfer Agent	KFin Technologies Limited (formerly known as KFin Technologies Private Limited) Selenium Tower-B Plot 31 & 32, Gachibowli, Financial District, Nanakramguda, Serilingampally, Hyderabad – 500 032 Telangana, India. Tel: +91 40 6716 2222
In Case securities are suspended from trading, the directors report shall explain the reason thereof	Not Applicable

Directors' Report

Share Transfer System	The Company's shares are traded under compulsory dematerialized mode and are freely tradable. The Board of Directors have delegated the power to attend all the formalities relating to transfer of securities to the Registrar and Share Transfer Agent of the Company. An annual certificate of compliance with the share/debt transfer formalities as required under Regulation 40(9) of the SEBI Listing Regulations is obtained from the Company Secretary in Practice and a copy of the certificate is filed with the Stock Exchanges within the prescribed time.
Dematerialization of shares and liquidity	As on March 31, 2026, 100% of the total equity capital was held in dematerialized form with National Securities Depository Limited and Central Depository Services (India) Limited. The Company's shares are regularly traded on BSE and NSE.
Outstanding global depository receipts or American depository receipts or warrants or any convertible instruments, conversion date and likely impact on equity	Not applicable since the Company has not issued any Global Depository Receipts or American Depository Receipts or Warrants or Convertible bonds.
Plant Locations	Since the Company is engaged in housing finance business, it does not have any manufacturing plant.
Address for correspondence	**KFin Technologies Limited** (formerly known as KFin Technologies Private Limited) Selenium Tower-B Plot 31 & 32, Gachibowli, Financial District, Nanakramguda, Serilingampally, Hyderabad – 500 032 Telangana, India Email: einward.ris@kfintech.com **Company Secretary, Compliance Officer and Head - Legal** Home First Finance Company India Limited 511, Acme Plaza, Andheri Kurla Road, Mumbai 400 059. Email- corporate@homefirstindia.com
Commodity price risk or foreign exchange risk and commodity hedging activities	The Company does not have any unhedged foreign currency risk.

Distribution of Shareholding as on March 31, 2026:

Sr. No.	Category (Shares)	No. of Holders	% to Holders	No. of Shares	% to Equity
1.	1-5,000	83,922	98.930790	81,44,979	7.807087
2.	5,001- 10,000	362	0.426741	12,71,152	1.218419
3.	10,001- 20,000	199	0.234590	14,23,915	1.364844
4.	20,001- 30,000	55	0.064836	6,97,928	0.668975
5.	30,001- 40,000	34	0.040081	5,88,570	0.564153
6.	40,001- 50,000	24	0.028292	5,55,631	0.532581
7.	50,001- 1,00,000	68	0.080161	25,25,321	2.420559
7.	1,00,001& Above	165	0.194509	8,91,20,521	85.423382
	Total	**84,829**	**100.00**	**10,43,28,017**	**100.00**

Directors' Report

Shareholding Pattern as on March 31, 2026:

Sr. No.	Description	Holders	Total Shares	% Equity
1.	PROMOTERS	1	49,29,240	4.724752
2.	FOREIGN PROMOTERS	1	23,59,176	2.261306
3.	MUTUAL FUNDS	88	2,05,95,790	19.741380
4.	ALTERNATIVE INVESTMENT FUND	20	27,72,619	2.657598
5.	QUALIFIED INSTITUTIONAL BUYER	18	53,24,300	5.103423
6.	FOREIGN PORTFOLIO - CORP	204	4,77,01,843	45.722946
7.	DIRECTORS	1	9,13,833	0.875923
8.	KEY MANAGEMENT PERSONNEL	4	1,11,400	0.106779
9.	EMPLOYEES	170	11,35,636	1.088524
10.	RESIDENT INDIVIDUALS	79,261	1,05,36,400	10.099301
11.	NON-RESIDENT INDIAN NON REPATRIABLE	1,190	3,78,382	0.362685
12.	NON-RESIDENT INDIAN REPATRIABLE	1,616	6,00,002	0.575111
13.	FOREIGN CORPORATE BODIES	1	35,87,628	3.438796
14.	BODIES CORPORATES	550	30,61,691	2.934678
15.	CLEARING MEMBERS	4	5,841	0.005599
16.	TRUSTS	9	4,809	0.004610
17.	H U F	1,689	2,84,311	0.272516
18.	NBFC	2	25,116	0.024074
	TOTAL	**84,829**	**10,43,28,017**	**100.00**

Credit Ratings:

During the year under review, your Company continued to strengthen its credit profile, reflecting its disciplined growth, strong asset quality and prudent risk management practices. Further, pursuant to rating assessments undertaken during the year:

- **India Ratings and Research Private Limited** upgraded the long-term rating from IND AA-/Positive to IND AA/Stable and reaffirmed the short-term credit rating for commercial paper
- **ICRA Limited** upgraded the Company's long-term credit rating from ICRA AA- (Stable) to ICRA AA (Stable).
- **CARE Ratings Limited** upgraded the long-term credit rating from CARE AA-; Stable to CARE AA; Stable.

These rating upgrades reaffirm the Company's strong financial profile and fund-raising capabilities, improving scale of operations, robust capital position and consistent profitability. The strengthened credit ratings enhance access to lower-cost capital, reduce refinancing risk, and enable sustainable expansion.

Directors' *Report*

(Amount in ₹ Crores)

Instrument	Rating Agency	Rating	Outlook	Amount
Term Loan	ICRA	AA	Stable	5,300
	India Ratings	AA	Stable	4,900
	CARE	AA	Stable	1,500
Commercial Paper	ICRA	A1+	-	100
	India Ratings	A1+	-	100
Non-Convertible Debentures	ICRA	AA	Stable	561
	India Ratings	AA	Stable	344

During the year under review, your Company has engaged with Morningstar Sustainalytics and S&P Global for independent assessment of its ESG performance. Pursuant to such assessments, Morningstar Sustainalytics improved the Company's ESG Risk Rating from 16.2 to 13.6, categorising the Company in the "Low Risk" category for ESG risk management. Further, the Company received a strong ESG performance score of 46 from S&P Global. This improvement reflects the Company's continued focus on strengthening its environmental, social and governance practices.

Details of utilization of funds raised through preferential allotment or qualified institutional placement:

During the year under review, your Company raised primary capital aggregating to ₹1,250 Crores through a Qualified Institutions Placement ("**QIP**") in accordance with the SEBI (Issue of Capital and Disclosure Requirements) Regulations. Pursuant to the issue, the Company allotted up to 12,886,597 Equity Shares of face value ₹2 each at a premium of ₹968 per equity share, aggregating to ₹1,250 Crores. In pursuance of the said transaction, the Company has raised capital from foreign institutional investors, domestic mutual funds and insurance companies - both new and existing - reaffirming strong and continued investor confidence in the Company.

The Net Proceeds from the issue were primarily utilised towards augmenting the capital base of the Company to support future business growth and for general corporate purposes, in line with the object stated in the Placement Document dated April 11, 2025. The Company has deployed the funds for the aforesaid object during Q1FY26.

Certification from Practicing Company Secretary (PCS):

A certificate issued by Aashish K. Bhatt, Proprietor of M/s. Aashish K. Bhatt & Associates, Practicing Company Secretaries, pursuant to Regulation 34(3) read with Clause 10 (i) of Paragraph C of Schedule V of the Securities and Exchange Board of India (Listing Obligations and Disclosure Requirements) Regulations, 2015, certifying that none of the Directors on the Board of the Company as on March 31, 2026, has been debarred or disqualified from being appointed or continuing as Directors of the companies by the Securities and Exchange Board of India, Ministry of Corporate Affairs, Reserve Bank of India, or any such Statutory Authority.

The same forms part of this Annual Report as an annexure to the Directors' Report.

Accounting Standards:

The Company has followed Indian Accounting Standards (Ind AS) issued by the Ministry of Corporate Affairs in the preparation of its financial statements.

Certification on Corporate Governance:

As required under the SEBI Listing Regulations, certificate issued by Aashish K. Bhatt, Proprietor of M/s. Aashish K. Bhatt & Associates, Practicing Company Secretaries, certifying that the Company has complied with the conditions of Corporate Governance as stipulated by SEBI Listing Regulations. The said certificate forms part of the Annual Report as an Annexure to the Directors Report.

Directors' *Report*

Due dates for transfer of unclaimed dividend to Investor Education and Protection Fund (IEPF):

Pursuant to the provisions of Sections 124 and 125 of the Act, rules made thereunder and Investor Education and Protection Fund Authority (Accounting, Audit, Transfer and Refund) Rules, 2016 read with the relevant circulars and amendments thereto, the amounts of dividend / deposits remaining unclaimed for a period of seven years from the date of transfer to unpaid dividend account is required to be transferred to IEPF as constituted by the Central Government.

Financial Year	Type of dividend	Date of declaration	Last date for claiming unpaid dividend
2025-26	Final	June 25, 2025	July 25, 2032
2024-25	Final	June 20, 2024	July 20, 2031
2023-24	Final	June 08, 2023	July 8, 2030

Directors and Officers (D&O) Liability Insurance:

As per the provisions of the Act and in compliance with Regulation 25(10) of the SEBI Listing Regulations, the Company has taken a D&O Liability Insurance policy on behalf of all Directors including Independent Directors and Key Managerial Personnel of the Company for indemnifying any of them against any liability in respect of any negligence, default, misfeasance, breach of duty or breach of trust for which they may be guilty in relation to the Company.

Chief Executive Officer and Chief Financial Officer certification:

As required under Regulation 17(8) read with Part B of Schedule II of the SEBI Listing Regulations, the MD & CEO and the Chief Financial Officer of the Company have made a certification to the Board of Directors, in the prescribed format for the year under review. The same has been reviewed and taken on record by the Board of Directors.

Details of non-acceptance of any recommendation of any committee of the board which is mandatorily required:

During the year under review, there were no such recommendations made by any Committee of the Board that were not accepted by the Board.

Total fees paid to Statutory Auditors and all entities in the network firm/network entity of which the statutory auditor is a part:

The total fees for all services paid by Company, on a consolidated basis, to M/s B S R & Co. LLP (Firm Registration No.: 101248W/W-100022), Statutory Auditors of the Company and other firms in the network entity of which the Statutory Auditors are a part, as included in the Financial Statements of the Company for the year ended on March 31, 2026, are as follows:

Particulars	Amount (in Lakhs)
Fees for audit and related services paid to M/s. BSR & Co. LLP & Affiliates firms and to entities of the network of which the statutory auditor is a part.	94
Other fees paid to M/s. BSR & Co. LLP & Affiliates firms and to entities of the network of which the statutory auditor is a part (including QIP).	177.1
Total	271.1

Loans and advances in the nature of loans to firms/ companies in which directors are interested by name and amount:

There are no loans and advances in the nature of loans to firms/companies in which directors are interested.

Compliance with mandatory requirements and adoption of the non-mandatory requirements of Corporate Governance:

During the financial year under review, your Company has complied with all the mandatory requirements of SEBI

Directors' *Report*

Listing Regulations. In terms of Corporate Governance, the Company has complied with the applicable requirements stipulated under Regulations 17 to 27 read with Schedule V and clauses (b) to (i) of sub-regulation (2) of Regulation 46 of the SEBI Listing Regulations.

The Company has also adopted certain voluntary compliance requirements as outlined in the Act, SEBI Listing Regulations and other applicable acts, rules, regulations & guidelines. As per the discretionary requirements specified in Schedule II, Part E of the SEBI Listing Regulations, the Company has appointed separate persons to the post of Chairperson and Managing Director & Chief Executive Officer.

Disclosure of certain types of agreements binding Listed Entities under Clause 5A of Paragraph A of Part A of Schedule III of the SEBI Listing Regulations:

The Shareholders, promoters, promoter group entities, related parties, directors, key managerial personnel, employees of the Company have not entered any agreement among themselves or with the Company or with a third party, solely or jointly, which, either directly or indirectly or potentially or whose purpose and effect is to, impact the management or control of the Company or impose any restriction or create any liability upon the Company.

Details of material subsidiaries of the listed entity; including the date and place of incorporation and the name and date of appointment of the statutory auditors of such subsidiaries , if any -

During the year under review, your Company does not have any subsidiary.

Statutory and Regulatory Compliance:

The Company has followed all applicable directions, guidelines and circulars issued by Reserve Bank of India from time to time. The Company also has been following directions / guidelines / circulars issued by Income Tax Act, 1961, Securities and Exchange Board of India, IRDAI and Ministry of Corporate Affairs from time to time, or any other regulatory body as applicable to the Company.

For and on behalf of the Board of Directors

Sd/-
Deepak Satwalekar
Chairman & Independent Director
DIN: 00009627

Sd/-
Manoj Viswanathan
Managing Director & CEO
DIN: 01741612

Directors' *Report*

Declaration on Compliance with the Company's Code of Conduct for Board of Directors and Senior Management Personnel

I, Manoj Viswanathan, Managing Director & CEO of Home First Finance Company India Limited, hereby confirm and declare that in terms of Regulation 26 (3) read with Schedule V of Securities and Exchange Board of India (Listing Obligations and Disclosure Requirements) Regulations, 2015, all the Board Members and Senior Managerial Personnel of the Company have affirmed compliance with the Code of Conduct for Board of Directors and Senior Management Personnel for the FY26.

For and on behalf of the Board of Directors

Sd/-
Manoj Viswanathan
Managing Director & CEO
DIN: 01741612

Date: May 6, 2026
Place: Mumbai

Directors' *Report*

CERTIFICATE ON CORPORATE GOVERNANCE

To,
The Members,
Home First Finance Company India Limited.
511, Acme Plaza, Andheri Kurla Road,
Andheri (East), Mumbai - 400059.

I have examined the compliance of conditions of Corporate Governance by Home First Finance Company India Limited ('**the Company'**) for the year ended March 31, 2026, as per the relevant provisions of the Securities and Exchange Board of India (Listing Obligations and Disclosure Requirements) Regulations, 2015 ("**The SEBI Listing Regulations, 2015**") as referred to in Regulation 15(2) of the SEBI Listing Regulations, 2015 for the period from April 1, 2025 to March 31, 2026.

The compliance of conditions of Corporate Governance is the responsibility of the Company's management and my examination was limited to procedures and implementations thereof, adopted by the Company for ensuring the compliance of the conditions of the Corporate Governance. It is neither an audit nor an expression of opinion on the financial statements of the Company.

In my opinion and to the best of my information and according to the explanations given to me, I certify that the Company has complied with the conditions of Corporate Governance as stipulated in the SEBI Listing Regulations, 2015.

I further state that such compliance is neither an assurance as to the future viability of the Company nor the efficiency or effectiveness with which the management has conducted the affairs of the Company.

This Certificate is issued solely for the purposes of complying with the aforesaid Regulations and may not be suitable or for any other purpose.

For Aashish K. Bhatt & Associates
Practicing Company Secretaries

Place: Mumbai
Date: May 06, 2026

Sd/-
Aashish K. Bhatt
Proprietor
ACS No.:19639, COP No.:7023
UDIN: A019639H000291273
Peer Review Certificate No.: 2959/2023
ICSI Unique Code S2008MH100200

Directors' Report

CERTIFICATE OF NON-DISQUALIFICATION OF DIRECTORS

[Pursuant to Regulation 34(3) and Schedule V Para C Sub clause (10)(i) of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015]

To,
The Members,
Home First Finance Company India Limited.
511, Acme Plaza, Andheri Kurla Road,
Andheri (East), Mumbai - 400059.

I have examined the relevant registers, records, forms, returns and disclosures received from the Directors of **Home First Finance Company India Limited** having CIN L65990MH2010PLC240703 and having registered office 511, Acme Plaza Andheri Kurla Road, Andheri (East), Mumbai - 400059 (hereinafter referred to as '**the Company**'), produced before me by the Company for the purpose of issuing this Certificate, in accordance with Regulation 34(3) read with Schedule V Para-C Sub clause 10(i) of the Securities and Exchange Board of India (Listing Obligations and Disclosure Requirements) Regulations, 2015.

In my opinion and to the best of my information and according to the verifications (including Directors Identification Number (DIN) status at the portal www.mca.gov.in) as considered necessary and explanations furnished to me by the Company & its officers, I hereby certify that none of the Directors on the Board of the Company as stated below for the Financial Year ending on March 31, 2026 have been debarred or disqualified from being appointed or continuing as directors of companies by the Securities and Exchange Board of India, Ministry of Corporate Affairs or any other Statutory Authority.

Sr.No.	Name of Director	DIN	Date of appointment in Company*
1.	Mr. Deepak Satwalekar	00009627	23.10.2019
2.	Ms. Geeta Dutta Goel	02277155	01.11.2021
3.	Mr. Anuj Srivastava	09369327	01.11.2021
4.	Ms. Sucharita Mukherjee	02569078	01.02.2022
5.	Mr. Divya Sehgal	01775308	10.06.2017
6.	Mr. Sriram Hariharan	10156705	26.06.2025
7.	Mr. Manoj Viswanathan	01741612	28.06.2010

**Date of appointment is as per the records of MCA*

Ensuring the eligibility for the appointment / continuity of every Director on the Board is the responsibility of the management of the Company. My responsibility is to express an opinion on these based on my verification. This Certificate is neither an assurance as to the future viability of the Company nor of the efficiency or effectiveness with which the management has conducted the affairs of the Company.

For Aashish K. Bhatt & Associates
Practicing Company Secretaries

Sd/-
Aashish K. Bhatt
Proprietor
ACS No.:19639, COP No.:7023
UDIN: A019639H000291218
Peer Review Certificate No.: 2959/2023
ICSI Unique Code S2008MH100200

Place: Mumbai
Date: May 06, 2026

Directors' Report

CEO AND CFO CERTIFICATION

(Pursuant to Regulation 17 (8) of SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015)

To,
The Board of Directors,
Home First Finance Company India Limited.

We, the undersigned, in our respective capacities as Managing Director & CEO and Chief Financial Officer of **Home First Finance Company India Limited ("the Company")**, to the best of our knowledge and belief certify that:

A. We have reviewed the financial statements and the cash flow statement for the financial year ended March 31, 2026 and that to the best of our knowledge and belief:

   i. these statements do not contain any materially untrue statement or omit any material fact or contain statements that might be misleading;

   ii. these statements together present a true and fair view of the listed entity's affairs and are in compliance with existing accounting standards, applicable laws and regulations.

B. There are, to the best of our knowledge and belief, no transactions entered into by the Company during the year which are fraudulent, illegal or violative of the listed entity's code of conduct.

C. We accept responsibility for establishing and maintaining internal controls for financial reporting and that we have evaluated the effectiveness of internal control systems of the Company pertaining to financial reporting and we have disclosed to the auditors and the audit committee, deficiencies in the design or operation of such internal controls, if any, of which we are aware and the steps we have taken or propose to take to rectify these deficiencies.

D. We have indicated to the auditors and the Audit Committee that:

   i. There were no significant changes in internal control over financial reporting during the year;
   ii. There were no significant changes in accounting policies during the year and that are required to be disclosed in the notes to the financial statements; and
   iii. There were no instances of significant fraud of which we have become aware and the involvement therein, if any, of the management or an employee having a significant role in the company's internal control system over financial reporting.

For Home First Finance Company India Limited

Sd/-
Mr. Manoj Viswanathan
Managing Director & CEO
DIN: 01741612

Sd/-
Ms. Nutan Gaba Patwari
Chief Financial Officer

Date: May 06, 2026
Place: Mumbai

Directors' Report

Annexure IV

REPORT ON CORPORATE SOCIAL RESPONSIBILITY FOR FY26

1. Brief outline on CSR policy of the Company:

Home First Finance Company India Limited ("Home First" / "Company") is committed to align its business objectives with the broader goal of contributing positively to society. The Company endeavours to create a meaningful presence in the communities it operates in by fostering continuous engagement and building strong relationships with stakeholders.

The Corporate Social Responsibility ("CSR") Policy of the Company outlines the vision and strategic direction approved by the Board of Directors, based on the recommendations of the CSR Committee. The Policy lays down the framework for identifying, executing, and monitoring CSR initiatives, along with guiding principles for developing the annual action plan. It reflects the Company's commitment to responsible corporate citizenship and its intent to contribute towards sustainable community development.

Recognizing the importance of stakeholder interests, the Company adopts a structured approach towards CSR implementation. This includes constitution of a CSR Committee, identification of priority areas and projects, allocation of resources, setting of measurable goals, and establishment of clear timelines and accountability mechanisms to ensure effective execution and oversight.

The Company undertakes CSR initiatives with the objective of generating long-term social and environmental value. Its efforts extend beyond regulatory compliance, focusing on empowering communities, supporting inclusive growth, and promoting environmental stewardship. Sustainability remains a key consideration in the design and execution of all CSR programs.

In accordance with Section 135 of the Companies Act, 2013 ("Act"), read with the Companies (Corporate Social Responsibility Policy) Rules, 2014 and Schedule VII of the Act, the Company has adopted a CSR Policy that defines the scope and manner of its CSR activities. The implementation of CSR projects is carried out either directly by the Company, through its foundation, or in collaboration with implementing partners.

Our CSR Thrust Areas:

Your Company has identified CSR thrust areas for undertaking CSR activities in India. Your Company gives preference to the areas around which the Company operates and the areas with identified needs for CSR spending. The brief description of the CSR thrust areas is as under:

a. Promoting education, including special education, and enhancing vocational and employability skills among children, women, the elderly, and persons with disabilities, along with livelihood enhancement projects;
b. Promoting health care, including preventive health care and sanitation;
c. Promoting environmental sustainability and conservation of natural resources;
d. Promoting digital literacy, building importance of saving, and instilling future planning skills among students.

Directors' Report

2. Composition and Meetings of CSR and ESG Committee:

The members of the CSR and ESG Committee as at Mar'26 were:

Sr.No.	Name	Designation/Nature of Directorship	Number of meetings of CSR Committee held during the year	Number of meetings of CSR Committee attended during the year
1	Ms. Geeta Dutta Goel	Chairperson/ Independent Director	2	2
2	Ms. Sucharita Mukherjee	Member/ Independent Director	2	2
3	Mr. Manoj Viswanathan	Member/ Managing Director & Chief Executive Officer	2	2

3. Web-link where Composition of CSR committee, CSR Policy and CSR projects approved are disclosed on the website of the Company:

The Composition of CSR and ESG Committee, CSR Policy and CSR Projects approved are available on the website of the Company at the following links:

a. Composition of CSR and ESG Committee: Click Here

b. CSR Policy: Click Here

c. CSR Projects on website: Click Here

4. Executive Summary along with web-link(s) of Impact assessment of CSR projects carried out in pursuance of sub-rule (3) of rule 8 of the Companies (Corporate Social responsibility Policy) Rules, 2014, if applicable (attach the report): Not Applicable.

5. a. Average net profit of the Company as per sub section (5) Section 135: **₹39,910.15 Lakhs**

b. Two percent of the average net profit of the Company as per section (5) Section 135: **The Company is required to spend ₹798.20 lakhs towards CSR.**

c. Surplus arising out of the CSR projects or programmes or activities of the previous financial years.:**NIL**

d. Amount required to be set off for the financial year, if any: **NIL**

e. Total CSR obligation for the financial year [(b)+(c)-(d)]: **₹798.20 lakhs**

6. a. Amount spent on CSR Projects (both Ongoing Project and other than Ongoing Project): **₹777.12 Lakhs**

b. Amount spent in Administrative Overheads: **₹27.37 Lakhs**

c. Amount spent on Impact Assessment, if applicable: **NIL**

d. Total amount spent for the Financial Year [(a)+(b)+(c)]: **₹804.49 Lakhs**

e. CSR amount spent or unspent for the Financial Year:

i. CSR amount spent: **₹804.49 Lakhs**

ii. CSR amount unspent: **NIL**

f. Excess amount for set-off, if any:

Sr.No.	Particulars	Amount (in ₹ Lakhs)
i.	Two percent of average net profit of the company as per sub-section (5) of section 135	798.20
ii.	Total amount spent for the Financial Year	804.49
iii.	Excess amount spent for the Financial Year [(ii)-(i)]	6.29
iv	Surplus arising out of the CSR projects or programmes or activities of the previous Financial Years, if any	N.A.
v	Amount available for set off in succeeding Financial Years [(iii)-(iv)]	N.A.

Directors' *Report*

7. Details of Unspent Corporate Social Responsibility amount for the preceding three Financial Years: **Not Applicable**
8. Whether any capital assets have been created or acquired through Corporate Social Responsibility amount spent in the Financial Year: **No**
9. Specify the reason(s), if the company has failed to spend two per cent of the average net profit as per subsection (5) of section 135: **Not Applicable**

For and behalf of Home First Finance Company India Limited

Sd/-
Manoj Viswanathan
Managing Director & CEO
DIN: 01741612

Sd/-
Geeta Dutta Goel
Independent Director
Chairperson of CSR and ESG Committee
DIN: 02277155

Directors' *Report*

Annexure V

Form No. MR-3
SECRETARIAL AUDIT REPORT
FOR THE FINANCIAL YEAR ENDED MARCH 31, 2026

[Pursuant to section 204(1) of the Companies Act, 2013 and rule No. 9 of the Companies (Appointment and Remuneration of Managerial Personnel) Rules, 2014]

To,
The Members,
Home First Finance Company India Limited.
511, Acme Plaza Andheri Kurla Road,
Andheri East, Mumbai - 400059.

I have conducted the secretarial audit of the compliance of applicable statutory provisions and the adherence to good corporate governance practices by **Home First Finance Company India Limited** (hereinafter called **"the Company").** Secretarial Audit was conducted in a manner that provided us a reasonable basis for evaluating the corporate conducts / statutory compliances and expressing my opinion thereon.

Based on my verification of the Company's books, papers, minute books, forms and returns filed and other records maintained by the Company and also the information provided by the Company, its officers, agents and authorized representatives during the conduct of secretarial audit, I hereby report that in my opinion, the Company has, during the audit period covering the financial year ended on March 31, 2026, complied with the statutory provisions listed hereunder and also that the Company has proper Board - processes and compliance - mechanism in place to the extent, in the manner and subject to the reporting made hereinafter:

I have examined the books, papers, minute books, forms and returns filed and other records maintained by the Company for the financial year ended on March 31, 2026, according to the provisions of:

i. The Companies Act, 2013 (the Act) and the rules made thereunder;

ii. The Securities Contracts (Regulation) Act, 1956 ('SCRA') and the rules made thereunder;

iii. The Depositories Act, 1996 and the Regulations and Bye-laws framed thereunder;

iv. Foreign Exchange Management Act, 1999 and the rules and regulations made thereunder to the extent of Foreign Direct Investment and External Commercial Borrowings. Overseas Direct Investment is not applicable;

v. The following regulations and guidelines prescribed under the Securities and Exchange Board of India Act,1992 ('SEBI Act'): -

   a. The Securities and Exchange Board of India (Substantial Acquisition of Shares and Takeovers) Regulations, 2011;

   b. The Securities and Exchange Board of India (Prohibition of Insider Trading) Regulations, 2015;

   c. The Securities and Exchange Board of India (Issue of Capital and Disclosure Requirements) Regulations, 2018 – To the extent applicable;

   d. Securities and Exchange Board of India (Share Based Employee Benefits and Sweat Equity) Regulations, 2021;

   e. The Securities and Exchange Board of India (Issue and Listing of Non-Convertible Securities) Regulations, 2021 – Not Applicable;

   f. The Securities and Exchange Board of India (Registrars to an Issue and Share Transfer Agents) Regulations, 1993, regarding the Companies Act and dealing with client – Not Applicable;

Directors' *Report*

g. The Securities and Exchange Board of India (Delisting of Equity Shares) Regulations, 2021 – Not Applicable;

h. The Securities and Exchange Board of India (Buyback of Securities) Regulations, 2018 - Not Applicable.

Further I report that, based on the compliance mechanism established by the Company, which has been verified on test check basis, I am of the opinion that the Company has complied with the provisions of the master directions issued by Reserve Bank of India, National Housing Bank Act, 1987, Circulars, Master circulars, Notifications and Guidelines as prescribed for Housing Finance Companies as applicable to the Company.

Further, the Company being a registered Corporate Agent with the Insurance Regulatory and Development Authority of India (IRDAI), has complied with IRDAI (Registration of Corporate Agents) Regulations, 2015 as applicable.

I have examined compliance with the applicable clauses of the following:

i. Secretarial Standards issued by The Institute of the Company Secretaries of India;
ii. The Securities and Exchange Board of India (Listing Obligations and Disclosure Requirements) Regulations, 2015 ('**SEBI Listing Regulations**').

During the financial year under review, the Company has complied with the provisions of the Act, Rules, Regulations, Guidelines, Standards, etc. mentioned above.
I further report that:

The Board of Directors of the Company is duly constituted with proper balance of Executive Director, Non-Executive Directors and Independent Directors. The changes in the composition of the Board of Directors that took place during the year under review were carried out in compliance with the provisions of the Act.

Adequate notice, agenda and detailed notes have been given to all Directors to schedule the Board Meetings at least seven days in advance and a system exists for seeking and obtaining further information and clarifications on the agenda items before the meeting and for meaningful participation at the meeting.

The decisions at Board Meetings and Committee Meetings are carried out and recorded in the minutes of the Board of Directors and Committee of the Board accordingly.

I have relied on the representation made by the Company and its Officers for adequate systems and processes in the company commensurate with its size and operations of the Company to monitor and ensure compliance with applicable laws, rules, regulations and guidelines.

I further report that during the audit period under review, the Company has undertaken events/ actions having a major bearing on the Company's affairs in pursuance of the above referred laws, rules, regulations, guidelines, standards, etc. referred to above viz;

i. Allotment of Equity shares to to Qualified Institutional Buyers through Qualified Institutions Placement **("QIP");**
ii. Appointment and Resignation of Directors;
iii. Reconstitution of Committees;
iv. Board approval for payment of profit related commission to Independent Directors for Financial Year 2024-2025;
v. Approval for increase in remuneration of Managing Director and CEO for Financial Year 2025-2026 and performance linked incentive for Financial Year 2024-2025;
vi. Allotment of Equity shares pursuant to exercise of options of ESOP 2012, ESOP Scheme II, ESOP 2021 Scheme and ESOP 2024 Scheme;
vii. The Company has obtained Board and Member's approval for the following businesses:

    i. Declaration and payment of final dividend for FY 2024-2025;
    ii. Appointment of M/s. Aashish K. Bhatt, Practicing Company Secretaries as the Secretarial auditors of the Company for a period of 5(five) consecutive years commencing from financial year 2025-26 till financial year 2029-30;
    iii. Appointment of Mr. Sriram Hariharan (DIN: 10156705) as a Non-executive Independent director of the Company for a term of 5(five) consecutive years from June 26, 2025.

Directors' *Report*

For Aashish K. Bhatt & Associates
Practicing Company Secretaries

Place: Mumbai
Date: May 06, 2026

Sd/-
Aashish K. Bhatt
Proprietor
ACS No.:19639, COP No.:7023
UDIN: A019639H000291317
Peer Review Certificate No.: 2959/2023
ICSI Unique Code S2008MH100200

This Report is to be read with my letter annexed as Appendix A, which forms integral part of this report.

Directors' *Report*

APPENDIX A

To,
The Members,
Home First Finance Company India Limited.
511, Acme Plaza Andheri Kurla Road,
Andheri East, Mumbai - 400059.

My report of even date is to be read along with this letter.

1. The responsibility of maintaining Secretarial record is of the management and based on my audit, I have expressed my opinion on these records.

2. I am of the opinion that the audit practices and process adopted to obtain assurance about the correctness of the secretarial records were reasonable for verification on test check basis.

3. I have not verified the correctness and appropriateness of financial records and books of accounts of the Company.

4. The management is responsible for compliances with corporate and other applicable laws, rules, regulations, standards etc. My examination was limited to the verification of procedure on test basis and wherever required, I have obtained the Management representation about the compliance of laws, rules and regulations etc.

5. The Secretarial Audit report is neither an assurance as to the future viability of the Company nor of the efficacy or effectiveness with which the management has conducted the affairs of the Company.

For Aashish K. Bhatt & Associates
Practicing Company Secretaries

Place: Mumbai
Date: May 06, 2026

Sd/-
Aashish K. Bhatt
Proprietor
ACS No.:19639, COP No.:7023
UDIN: A019639H000291317
Peer Review Certificate No.: 2959/2023
ICSI Unique Code S2008MH100200

Directors' Report

Annexure VI

Statement of Disclosure of Remuneration under section 197(12) of the Companies Act, 2013 read with Rule 5(1) of the Companies (Appointment and Remuneration of Managerial Personnel) Rules, 2014

<table>
<tr><th>Sr.No.</th><th>Particulars</th><th>Details</th></tr>
<tr><td>1</td><td>The ratio of the remuneration of each Director to the median remuneration of the employees of the Company for FY26.</td><td><table><tr><th>Name</th><th>Ratio</th></tr><tr><td>Mr. Manoj Viswanathan</td><td>49 : 1</td></tr><tr><td>Mr. Deepak Satwalekar</td><td>5 : 1</td></tr><tr><td>Ms. Geeta Dutta Goel</td><td>5 : 1</td></tr><tr><td>Mr. Anuj Srivastava</td><td>4 : 1</td></tr><tr><td>Ms. Sucharita Mukherjee</td><td>4 : 1</td></tr><tr><td>Mr. Sriram Hariharan</td><td>5 : 1</td></tr><tr><td>Mr. Divya Sehgal</td><td>0 :1</td></tr></table></td></tr>
<tr><td>2</td><td>The percentage increase/(decrease) in remuneration of each Director, Chief Financial Officer, Chief Executive Officer, Company Secretary or Manager, if any, in FY26.[v]</td><td><table><tr><th>Name</th><th>Percentage (Increase/Decrease)</th></tr><tr><td>Mr. Manoj Viswanathan</td><td>14%</td></tr><tr><td>Mr. Deepak Satwalekar</td><td>16%</td></tr><tr><td>Ms. Geeta Dutta Goel</td><td>35%</td></tr><tr><td>Mr. Anuj Srivastava</td><td>20%</td></tr><tr><td>Ms. Sucharita Mukherjee</td><td>-6%</td></tr><tr><td>Mr. Sriram Hariharan[iv]</td><td>-</td></tr><tr><td>Mr. Divya Sehgal</td><td>-</td></tr><tr><td>Ms. Nutan Gaba Patwari</td><td>14%</td></tr><tr><td>Mr. Shreyans Bachhawat</td><td>33%</td></tr></table></td></tr>
<tr><td>3</td><td>The percentage increase in the median remuneration of employees in FY26.</td><td>20.3% PA effective April 2025
*(Annualised increment % is given above)</td></tr>
<tr><td>4</td><td>The number of permanent employees on the rolls of company</td><td>1,855 as on March 31, 2026</td></tr>
<tr><td>5</td><td>Average percentile increases already made in the salaries of employees other than the managerial personnel in the last financial year and its comparison with the percentile increase in the managerial remuneration and justification thereof and point out if there are any exceptional circumstances for increase in the managerial remuneration.</td><td>Average percentile increases made in the salaries of employees other than the managerial personnel in the last financial year = 15% PA effective April 2025 (Annualised)

Average percentile increases made in the salaries of managerial personnel in the last financial year = 20% PA effective April 2025 (Annualised)</td></tr>
<tr><td>6</td><td>Affirmation that the remuneration is as per the remuneration policy of the Company</td><td>The Company affirms that the remuneration paid is as per the nomination and compensation policy of the Company.</td></tr>
</table>

Directors' Report

i. The expression "median" means the numerical value separating the higher half of a population from the lower half and the median of a finite list of numbers may be found by arranging all the observations from lowest value to highest value and picking the middle one;
ii. If there is an even number of observations, the median shall be the average of the two middle values.
iii. The ratio of remuneration of each Director to the median remuneration of the employees of the Company is calculated basis 1,207 employees who have been in the organisation for the entire financial year.
iv. Mr. Sriram Hariharan was appointed as Director with effect from June 26, 2025 and accordingly, no remuneration was drawn by him during FY25. Therefore, FY26 being the first year in which remuneration was paid to him, per centage increase or decrease in remuneration compared to the previous year is not applicable.
v. Remuneration to independent directors includes sitting fees and commission paid during the FY26. Accordingly, the variation in remuneration is attributable to changes in both these components.

Directors' Report

Annexure VII

BUSINESS RESPONSIBILITY & SUSTAINABILITY REPORT

SECTION A: GENERAL DISCLOSURES

I. Details of the listed entity

1	Corporate Identity Number (CIN) of the Listed Entity	L65990MH2010PLC240703
2	Name of the Listed Entity	Home First Finance Company India Limited
3	Year of incorporation	2010
4	Registered office address	511, Acme Plaza, Andheri Kurla Road, Mumbai – 400059
5	Corporate address	
6	E-mail	corporate@homefirstindia.com
7	Telephone	+91 88805 49911
8	Website	www.homefirstindia.com
9	Financial year for which reporting is being done	FY26
10	Name of the Stock Exchange(s) where shares are listed	National Stock Exchange of India Limited (NSE, Scrip Code: HOMEFIRST) and BSE Limited (BSE, Stock Code: 543259)
11	Paid-up Capital	₹ 20,86,56,034 /-
12	Name and contact details (telephone, email address) of the person who may be contacted in case of any queries on the BRSR report:	Name: Mr. Shreyans Bachhawat, Company Secretary, Compliance Officer and Head - Legal Contact: +91 88805 49911 Email Id: corporate@homefirstindia.com
13	Reporting boundary	Disclosures made in this report are on a standalone basis and pertain only to Home First Finance Company India Limited.
14	Name of assurance provider	SGS India Private Ltd
15	Type of assurance obtained	1. Reasonable Assurance on BRSR Core 2. Limited Assurance on select BRSR non-Core

*In pursuance of SEBI Circular No.: HO/49/14/14(7)2025-CFD-POD2/I/3762/2026 dated 30th January 2026, it is mandatory for the company to undertake reasonable assurance of the BRSR Core for FY26.

Directors' Report

II. Products/Services

1. Details of business activities (accounting for 90% of the turnover):

S. No	Description of Main Activity	Description of Business Activity	% of Turnover of the entity
1.	Financial Services	Home Loans and Loan against Property	100%

2. Products/Services sold by the entity (accounting for 90% of the turnover):

S. No	Product/Service	NIC Code	% of total Turnover contributed
1.	**Home Loans and other Mortgage Loans:** The Company provides home loans for the purchase or construction of residential properties and for the extension and repair of existing housing units. In addition to home loans, the Company also offers customers loans for purchasing commercial properties and other mortgage loans including loans against property.	64910	100%

III. Operations

3. Number of locations where plants and/or operations/offices of the entity are situated:

Location	Number of Plants	Number of Offices
National	Not Applicable*	171**
International		

**The Company is a Non-Banking Financial Company - Housing Finance Company (NBFC-HFC) and hence does not undertake any manufacturing activity.*

*** Head Office location includes the corporate office, a Call Centre at Mahape. On an overall basis our head office comprises of 17 different sub-offices, If we count these sub-offices separately then the total number of offices for HomeFirst is 188.*

4. Markets served by the entity

a. Number of locations

Location	Number
National (No. of States)	13 states/union territory
International (No. of Countries)	NIL

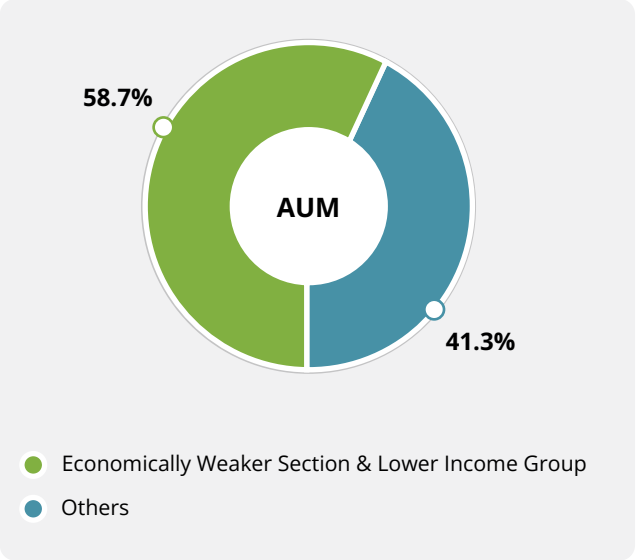
b. What is the contribution of exports as a percentage of the total turnover of the entity?

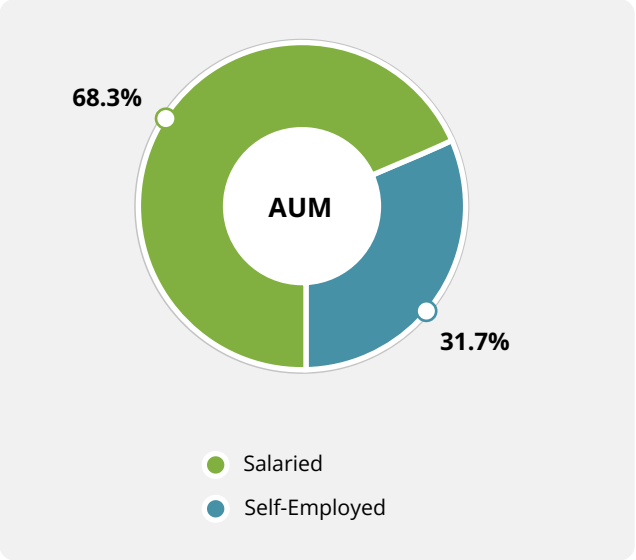
NIL

Directors' Report

c. A brief on types of customers

We serve to Salaried customers and Self-Employed customers. The average tick size of the loans by the customers is about ₹ 12.0 Lakh. Financial Inclusion remains our priority depicting in our mix of borrowers from Economically Weaker and Low-Income groups who are generally underserved or unserved by Banks/larger financial Institutions.





IV. Employees

5. Details as at the end of Financial Year:

a. Employees and workers (including differently abled):

Particulars	Total (A)	Male		Female	
		No. (B)	% (B/A)	No. (C)	% (C/A)
EMPLOYEES					
Permanent (D)	1,855	1,328	71.6%	527	28.4%
Other than Permanent (E)	-	-	-	-	-
Total Employees (D + E)	1,855	1,328	71.6%	527	28.4%
WORKERS					
Permanent (F)	-	-	-	-	-
Other than Permanent (G)	-	-	-	-	-
Total Workers (F + G)	-	-	-	-	-

Directors' *Report*

b. Differently abled Employees and workers:

Particulars	Total (A)	Male		Female	
		No. (B)	% (B/A)	No. (C)	% (C/A)
DIFFERENTLY ABLED EMPLOYEES					
Permanent (D)	-	-	-	-	-
Other than Permanent (E)	-	-	-	-	-
Total differently abled employees (D + E)	-	-	-	-	-
DIFFERENTLY ABLED WORKERS					
Permanent (F)	-	-	-	-	-
Other than Permanent (G)	-	-	-	-	-
Total differently abled workers (F + G)	-	-	-	-	-

6. Participation/ Inclusion/ Representation of women:

Particulars	Total (A)	No. and percentage of Females	
		No. (B)	% (B/A)
Board of Directors ("BoD")	7	2	28.6%
Key Management Personnel ("KMP")	3	1	33.3%

Notes:

1. KMPs are the Managing Director & CEO, CFO, Company Secretary.
2. The above details of BoD and KMP are as on 31st March 2026.

7. Turnover rate for permanent employees and workers: *(Disclose trends for the past 3 years)*

Turnover Rate	FY26			FY25			FY24		
Category	Male	Female	Total	Male	Female	Total	Male	Female	Total
Permanent Employees	33.6%	30.9%	32.8%	31.8%	27.6%	30.6%	34.9%	24.5%	32.1%
Permanent Workers	-	-	-	-	-	-	-	-	-

V. Holding, Subsidiary and Associate Companies (including joint ventures)

8. (a) Names of holding/ Subsidiary/ Associate Companies/ Joint ventures

Name of holding/ Subsidiary/ Associate Companies/ Joint ventures (A)	Indicate whether holding/ Subsidiary/ Associate Companies/ Joint venture	% of shares held by listed entity	Does the entity indicated at Column A, participate in the Business Responsibility initiatives of the listed entity? (Yes/No)
No Holding, Subsidiary or Associate Companies (including joint ventures)			

Directors' *Report*

VI. CSR Details

9. (i) Whether CSR is applicable as per Section 135 of Companies Act, 2013: (Yes/No): Yes, as per as per Section 135 of the Companies Act, 2013, provisions of CSR are applicable to the Company. A brief on the CSR activities undertaken by the Company has been detailed in the Social & Relationship Capital section of the Annual Report.

(ii) Turnover (in ₹): 1,914.59 Cr

(iii) Net worth (in ₹): 4,366.13 Cr

VII. Transparency and Disclosure Compliances

10. Complaints/ Grievances on any of the principles (Principles 1 to 9) under the National Guidelines on Responsible Business Conduct:

Stakeholder group from whom complaint is received	Grievance Redressal Mechanism in Place (Yes/No) (If yes, then provide web-link for grievance redress policy)	FY26 (Current Financial Year)			FY25 (Previous Financial Year)		
		Number of complaints filed during the year	Number of complaints pending resolution at the close of the year	Remarks	Number of complaints filed during the year	Number of complaints pending resolution at the close of the year	Remarks
Communities	Yes	0	0		0	0	
Investors (other than shareholders)	Yes	0	0		0	0	
Shareholders	Yes	0	0		0	0	
Employees and workers	Yes	0	0		1	0	
Customers	Yes	875	0		391	0	
Value Chain Partners	Yes	0	0		0	0	

Link: HomeFirst Customer Grivence Redressal Policy

11. Overview of the entity's material responsible business conduct issues

Please indicate material responsible business conduct and sustainability issues pertaining to environmental and social matters that present a risk or an opportunity to your business, rationale for identifying the same, approach to adapt or mitigate the risk along-with its financial implications, as per the following format:

Directors' *Report*

S. No	Material issue identified	Indicate whether risk or opportunity (R/O)	Rationale for identifying the risk/opportunity	In case of risk, approach to adapt or mitigate	Financial implications of the risk or opportunity (Indicate positive or negative implications)
1.	Financing properties that are either non-compliant or situated in inappropriate locations, potentially resulting in serious environmental, social, health, and safety concerns.	Risk	Properties located in environmentally or socially sensitive areas pose risks of legal non-compliance, deteriorating living conditions, and in extreme cases, life-threatening outcomes. This directly affects both communities and the company's collateral quality, which can significantly impact the recovery prospects in case of defaults.	HomeFirst implements a robust property assessment framework that includes location-specific environmental, health, and safety checks. These criteria are regularly accessed and communicated to internal teams and validated by independent valuers to ensure compliance and suitability. We also have a negative exclusion list under our ESG policy, debarring to fund any such properties which can cause damage either to the company's profitability or to the society.	Negative Financing such properties can expose the company to legal liabilities and risks (e.g., demolitions, penalties, litigation), borrower distress, and higher default risk, thereby impacting asset quality and recovery prospects.
2.	Exposure of financed properties to climate-related risks such as floods, droughts, or other extreme weather events.	Risk	Properties in high-risk climate zones are more prone to damage or loss during natural disasters, affecting their value and recoverability in case of default.	Use of geo-tagging ensuring regional classification during property appraisal. Avoidance or higher scrutiny in vulnerable zones. Insurance coverage encouraged for all properties.	Negative Significant property damage may affect loan recovery value and lead to higher NPAs. Operational costs may also rise due to increased due diligence and compliance overhead.
3.	Ensuring data privacy and cybersecurity in increasingly digital loan processing and servicing.	Risk & Opportunity	With growing digital dependence, data breaches or system failures could erode customer trust and attract regulatory penalties. However, robust systems improve customer experience and operational efficiency.	Implementation of secure, cloud-based loan origination and servicing systems. Regular audits and training for employees on data protection practices. Adoption of focused data privacy policy and appropriate cybersecurity standards.	Positive and Negative Opportunity: Strong digital practices helps us to maintain the best turnaround times and operational costs while boosting customer trust. Risk: Lapses in data privacy and cyber security may lead to penalties, reputational loss, and litigation.

Directors' Report

S. No	Material issue identified	Indicate whether risk or opportunity (R/O)	Rationale for identifying the risk/opportunity	In case of risk, approach to adapt or mitigate	Financial implications of the risk or opportunity (Indicate positive or negative implications)
4.	Access to affordable housing finance in informal income segments with limited documentation, increasing financial inclusion	Risk & Opportunity	India's large underserved population lacks access to formal housing finance due to irregular income profiles and limited credit history. While this presents a significant business opportunity for affordable housing financiers like HomeFirst, it also poses a credit risk due to potential mis judgment of repayment capacity. Reliance on informal income assessment increases exposure to default risk if underwriting is not robust.	HomeFirst has built a proprietary tech-led underwriting model that integrates field-level inputs, alternate data sources, and analytics to evaluate borrowers without formal documentation. The company continuously trains its credit teams and refines its scorecards to reduce subjectivity. Independent quality checks and early warning systems are in place to identify and contain portfolio-level risks.	Positive and Negative Opportunity: Expanding credit access enhances social equity and widens HomeFirst's customer base in underserved emerging geographies. Risk: Inadequate assessment due to documentation gaps can lead to higher delinquencies, increasing provisioning costs and impacting profitability.

Directors' *Report*

SECTION B: MANAGEMENT AND PROCESS DISCLOSURES

This section is aimed at helping business demonstrate the structures, policies and processes put in place towards adopting the NGRBC Principles and Core Elements. Below are the nine principles:

P1	**Businesses should conduct and govern themselves with integrity, and in a manner that is ethical, transparent and accountable**
P2	**Businesses should provide goods and services in a manner that is sustainable and safe**
P3	**Businesses should respect and promote the well-being of all employees, including those in their in their value chain**
P4	**Businesses should respect the interests of and be responsive towards all its stakeholders**
P5	**Businesses should respect and promote human rights**
P6	**Businesses should respect, and make efforts to protect and restore the environment**
P7	**Businesses when engaging in influencing public and regulatory policy, should do so in a manner that is responsible and transparent**
P8	**Businesses should promote inclusive growth and equitable development**
P9	**Businesses should engage with and provide value to their consumers in a responsible manner**

Disclosure Questions	P1	P2	P3	P4	P5	P6	P7	P8	P9
Policy and management processes									
1. a. Whether your entity's policy/policies cover each principle and its core elements of the NGRBCs. (Yes/No) ** See the list of disclosed policies on the website of the company with indicative mapping against each principles in Note 1 below*	Y	Y	Y	Y	Y	Y	Y	Y	Y
b. Has the policy been approved by the Board? (Yes/No)	Y	Y	Y	Y	Y	Y	Y	Y	Y
c. Web Link of the Policies, if available	HomeFirst Corporate Governance								
2. Whether the entity has translated the policy into procedures. (Yes / No)	Yes. HomeFirst has translated the policy into procedures across the activities undertaken by the company.								
3. Do the enlisted policies extend to your value chain partners? (Yes/No)	Yes, the Company expects its value chain partners to adhere to the same standards of ethics and values as are observed by the Company. Our Code of Conduct for Supplier and Vendor and Conduct for connectors highlight the same. Link: HomeFirst Supplier and Vendor Code of Conduct								
4. Name of the national and international codes/ certifications/ labels/ standards (e.g. Forest Stewardship Council, Fairtrade, Rainforest Alliance, Trustee) standards (e.g. SA 8000, OHSAS, ISO, BIS) adopted by your entity and mapped to each principle.	None								

Directors' *Report*

5. Specific commitments, goals and targets set by the entity with defined timelines, if any.	Our efforts continue to keep improving the company on fronts of the below focus areas of our ESG framework **Environment:** Operational Eco-efficiency, Climate Resilience, Sustainable Finance **Social:** Employee Training and Development, Health and Safety, Customer Satisfaction, Community Relations, Employment and Labour Practices **Governance:** Data Protection and Privacy, Corporate governance, Risk Management, Code of Conduct and Business Ethics.
6. Performance of the entity against the specific commitments, goals and targets along-with reasons in case the same are not met.	**Environment:** – Penetration of Digitally signed Agreements at 85.7% (from 76.1% in FY25), E-stamping at 51.2% (from 65.1% in FY25), E-NACH Mandate at 80.2% (from 78.6% in FY25). – 96.2% of active customers are registered on HomeFirst Customer Portal App (96.1% in FY25). Android Rating is 4.3 as on 17th Apr'26 (vs 4.3 on 16 May'25). – Funding from Global Development Institutions to meet specific ESG goals towards social and environment welfare. – 450 Certified Green Homes (120 Green Homes certified in FY25) – "Green Box" initiative for faster and hassle-free execution for Green Homes certifications. – The company has initiated meaningful progress in green housing, a strategic initiative contributing to the reduction of greenhouse gas (GHG) emissions. – These initiatives are expected to result in an annual reduction of 453 tonnes of CO_2 equivalent (tCO_2e), through savings of 673 MWhe of electricity and 21,643 cubic meters of water. **Social:** – We have Equal Opportunity Policy, Parental Leave Policy and a formal talent pipeline development strategy. – Employee Training Hours in FY26, 29,927 manhours (from 23,963 manhours in FY25). – On women representation, about 28.4% are women, with 47.7% women at head office and 14.3% women in senior management personnel (SMP). – We have 793 fresh hires during the year, representing 42.7% of hiring rate. – Overall, ~90 % of loans have women as a borrower; Women as a Primary applicant in ~13% of loans. – EWS and LIG customers account for more than ~58.7 % of AUM (vs ~61.1% in FY25). – NPS score at 81 from Litmus (vs 82 in FY25), representing strong customer satisfactions. – We have prepayment facility provided on the Customer App to "nudge" customers towards prudent finance management. **Governance:** – 6 of 7 Directors are non-executive, 5 of 7 Directors are Independent Directors and 2 of 7 Directors are Woman Directors. – Adoption of a Board approved Data Privacy Policy to maintain high standards of data security. – ESG risk rating has strengthened to 13.2 from Morningstar Sustainalytics, placing us in the 'low risk' category (improved from 16.2 in 2025), alongside a strong ESG performance rating of 46 from S&P Global in 2025.

Directors' *Report*

Governance, leadership and oversight									
7.	Statement by director responsible for the business responsibility report, highlighting ESG related challenges, targets and achievements (listed entity has flexibility regarding the placement of this disclosure) – Refer to Overview by MD & CEO in Sustainability Report Chapter on pg. 51.								
8.	Details of the highest authority responsible for implementation and oversight of the Business Responsibility policy (ies).	Mr. Manoj Viswanathan Managing Director & CEO DIN: 01741612							
9.	Does the entity have a specified Committee of the Board/ Director responsible for decision making on sustainability related issues? (Yes / No). If yes, provide details.	Yes. **Board-Level Supervision:** The CSR and ESG Committee supervises the ESG initiatives under the Board's guidance **Executive Oversight:** The MD & CEO and senior management oversee ESG and sustainability efforts, supported by a dedicated execution team. A monthly ESG dashboard is presented to the management team to track the progress of ESG-related initiatives. **Performance Review & Policy Update:** An annual ESG plan is approved by the CSR & ESG Committee, an update of the plan is presented to the committee twice a year and an annual review is conducted by the Board. The ESG Policy undergoes an annual review to incorporate regulatory changes, best practices, and trends, ensuring its relevance and effectiveness.								
10.	Details of Review of NGRBCs by the Company:	**1. Indicate whether review was undertaken by Director / Committee of the Board/ Any other Committee** **2. Frequency - Annually/ Half yearly/ Quarterly/ Any other – please specify**							
		P1	**P2**	**P3**	**P4**	**P5**	**P6**	**P7**	**P8**	**P9**
	Performance against above policies and follow up action	The Company periodically reviews all policies and necessary changes are made to the policies and processes as per the need. All the policies are placed at least once in a year to the Board of review/approval for changes, if any.							
	Compliance with statutory requirements of relevance to the principles, and, rectification of any non-compliances.	The Company complies with the extant regulations and principles as are applicable.							
11.	Has the entity carried out independent assessment/ evaluation of the working of its policies by an external agency? (Yes/No). If yes, provide name of the agency.	Yes. The processes and compliances are subject to scrutiny by Internal Auditor, Statutory Auditor, Secretarial Auditor, Regulators and Credit Rating Agencies as applicable. Policies are periodically evaluated and reviewed by the Board once a year. The Company has obtained independent assurance of its Scope II Green House Gas emissions (GHG) and on disclosures under the certain GRI Reporting Standards from SGS India Private Ltd. Refer Assurance Report from SGS India Private Ltd. on pg no 346 & 451.							
12.	If answer to question (1) above is "No" i.e. not all Principles are covered by a policy, reasons to be stated	**P1**	**P2**	**P3**	**P4**	**P5**	**P6**	**P7**	**P8**	**P9**
	The entity does not consider the Principles material to its business (Yes/No)	NA	NA	NA	NA	NA	NA	NA	NA	NA
	The entity is not at a stage where it is in a position to formulate and implement the policies on specified principles (Yes/No)	NA	NA	NA	NA	NA	NA	NA	NA	NA

Directors' *Report*

The entity does not have the financial or/ human and technical resources available for the task (Yes/No)	NA	NA	NA	NA	NA	NA	NA	NA	NA
It is planned to be done in the next financial year (Yes/No)	NA	NA	NA	NA	NA	NA	NA	NA	NA
Any other reason (please specify)	NA	NA	NA	NA	NA	NA	NA	NA	NA

Note 1:	
P1 - Ethics & Transparency	KYC-AML Policy Code of practices and procedures for fair disclosure of UPSI Internal Guidelines on Corporate Governance Vigil Mechanism and Whistle Blower Policy Compliance Policy Code of conduct for the Board of Directors and the Senior Management Personnel Code of conduct for regulating, monitoring and reporting of Trading by Insiders* **This is an internal policy*
P2 - Product Responsibility	Fair Advertising Policy ESG Policy Fair Practice Code Credit Policy* **Credit policy is a Board approved internal policy*
P3 - Human Resources	Learning Policy POSH Policy Health and Safety Policy HR Policy* **HR policy is an internal document available to all the employees*
P4 - Responsiveness to stake-holders	Customer Grievance Redressal Policy Dividend Distribution Policy Policy on Materiality of Related party Transactions and dealing with related parties
P5 - Human Rights	Human Rights Policy Supplier and Vendor Code of conduct
P6 - Protect Environment	Environment Management Policy Technology Equipment Handling and Disposal Policy* **Internal Policy*
P7 - Public Policy Advocacy	Homefirst may share its expertise to help in the formulation of public policy (in form of opinion to regulators on draft policies, its view through trade associations like ASSOCHAM etc.) and advocacy with suppliers to imbibe sustainability and business responsibility practices. It does not directly engage in lobbying or advocacy activities. Code of Conduct Corporate Social Responsibility Policy
P8 - Inclusive Growth	Equal Opportunity Policy Diversity Inclusion Policy Policy to promote Diversity of BOD Fit and Proper Policy
P9 - Customer Engagement	Code of Conduct For Connector Anti-Bribery and Anti-Corruption Policy

Directors' *Report*

SECTION C: PRINCIPLE WISE PERFORMANCE DISCLOSURE

This section is aimed at helping entities demonstrate their performance in integrating the Principles and Core Elements with key processes and decisions. The information sought is categorized as "Essential" and "Leadership". While the essential indicators are expected to be disclosed by every entity that is mandated to file this report, the leadership indicators may be voluntarily disclosed by entities which aspire to progress to a higher level in their quest to be socially, environmentally and ethically responsible.

PRINCIPLE 1: Businesses should conduct and govern themselves with integrity, and in a manner that is Ethical, Transparent and Accountable

Essential Indicators

1. Percentage coverage by training and awareness programmes on any of the Principles during the financial year:

Segment	Total number of training and awareness programmes held	Topics/Principles covered under the training and its impact	%age of persons in respective category covered by the awareness programmes
Board of Directors	2	The Board members were apprised of various developments on the ESG front and educated basis topics such as Green Housing, GHG emissions, Green initiatives undertaken during the year in the relevant ESG meetings	100%
Key Management Personnel	2	The KMP were apprised of various developments on the ESG front and educated basis topics such as Green Housing, GHG emissions, Green initiatives undertaken during the year in the relevant ESG meetings	100%
Employees other than BoD and KMPs	1	The ESG-BRSR training covered the 9 principles as per BRSR. Further the training also covered ESG reporting standards such as GRI, Integrated Reporting Framework, UN SDGs as well as Greenhouse Gases. Further trainings were provided on POSH, Cyber-security, Code of Conduct, Health & Safety and Information Security Awareness training.	99.0%
Workers	NA	NA	NA

2. Details of fines / penalties /punishment/ award/ compounding fees/ settlement amount paid in proceedings (by the entity or by directors / KMPs) with regulators/ law enforcement agencies/ judicial institutions, in the financial year, in the following format (Note: the entity shall make disclosures on the basis of materiality as specified in Regulation 30 of SEBI (Listing Obligations and Disclosure Obligations) Regulations, 2015 and as disclosed on the entity's website):

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Monetary					
Segment	**NGRBC Principle**	**Name of the regulatory/ enforcement agencies/ judicial institutions**	**Amount (in ₹)**	**Brief of the Case**	**Has an appeal been preferred? (Yes/No)**
Penalty/Fine		BSE Limited	4,720	BSE levied a fine under Regulation 34 of the SEBI (LODR) Regulations, 2015, for delayed submission of the Annual Report for FY25.	No
Settlement	NIL				
Compounding fee	NIL				
Non-Monetary					
Segment	**NGRBC Principle**	**Name of the regulatory/ enforcement agencies/ judicial institutions**	**Amount (in ₹)**	**Brief of the Case**	**Has an appeal been preferred? (Yes/No)**
Imprisonment	NIL				
Punishment					

3. Of the instance disclosed in Question 2 above, details of the Appeal/ Revision preferred in cases where monetary or non-monetary action has been appealed.

Case Details	Name of the regulatory/ enforcement agencies/ judicial institutions
NA	NA

4. Does the entity have an anti-corruption or anti-bribery policy? If yes, provide details in brief and if available, provide a web-link to the policy.

The company has Anti-Bribery and Anti-corruption policy. The policy is applicable to all directors, officers, employees (whether permanent, fixed-term or temporary), agents, representatives and other associated persons of the Company in order to promote strong and transparent operational system to ensure utmost accountability in all affairs of the Company. Further, we have Anti-bribery rules in the Employee Code of Conduct and all the employees are required to undergo a training for code of conduct while getting inducted.

Link: HomeFirst Anti-Bribery and Anti-Corruption Policy

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5. Number of Directors/KMPs/employees/workers against whom disciplinary action was taken by any law enforcement agency for the charges of bribery/corruption.

	FY26 (Current Financial Year)	FY25 (Previous Financial Year)
Directors	NIL	NIL
KMPs		
Employees		
Workers	NA	NA

6. Details of complaints with regard to conflict of interest:

	FY26 (Current Financial Year)		FY25 (Previous Financial Year)	
	Number	**Remarks**	**Number**	**Remarks**
Number of complaints received in relation to issues of Conflict of Interest of the Directors	NIL	NA	NIL	NA
Number of complaints received in relation to issues of Conflict of Interest of the KMPs				

7. Provide details of any corrective action taken or underway on issues related to fines / penalties / action taken by regulators/ law enforcement agencies/ judicial institutions, on cases of corruption and conflicts of interest.

Not Applicable.

8. Number of days of accounts payables ((Accounts payable *365) / Cost of goods/services procured) in the following format:

	FY26 (Current Financial Year)	FY25 (Previous Financial Year)
Number of days of accounts payables	45	42

Note: The numerator includes average trade payables, adjusted for exceptional items that are not part of total purchases. The denominator comprises total purchases, which include relevant other expenses as disclosed in the Statement of Profit and Loss, along with capital expenditures (i.e., additions to Property, Plant and Equipment excluding Right-of-Use assets) made during the year.

9. Openness of business

Provide details of concentration of purchases and sales with trading houses, dealers, and related parties along-with loans and advances & investments, with related parties, in the following format:

We are engaged in the business of providing housing finance. Due to the nature of our business model, which primarily revolves around delivering services rather than dealing with tangible goods or inventory, we do not typically incur accounts payables in the conventional sense. Therefore, this parameter is not relevant for us.

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Parameter	Metrics	FY26 Current Financial Year	FY25 Previous Financial Year
Concentration of Purchases	a. Purchases from trading houses as % of total purchases	-	-
	b. Number of trading houses where purchases are made from	-	-
	c. Purchases from top 10 trading houses as % of total purchases from trading houses	-	-
Concentration of Sales	a. Sales to dealers/ distributors as % of total sales	-	-
	b. Number of dealers / distributors to whom sales are made	-	-
	c. Sales to top 10 dealers / distributors as % of total sales to dealers /distributors	-	-
Share of RPTs in	a. Purchases (Purchases with related parties /Total Purchases)	-	-
	b. Sales (Sales to related parties / Total Sales)	-	-
	c. Loans & advances (Loans & advances given to related parties / Total loans & advances)	NIL	NIL
	d. Investments (Investments in related parties / Total Investments made)	-	-

Leadership Indicators

1. Awareness programmes conducted for value chain partners on any of the Principles during the financial year:

Total number of awareness programmes held	Topics / principles covered under the training	%age of value chain partners covered (by value of business done with such partners) under the awareness programmes
Ongoing (Green Box Initiative)	Principle 6: Businesses should respect and make efforts to protect and restore the environment. Training focused on Green Home certification processes and EDGE certification parameters.	Negligible

Details: During the year, we made meaningful progress in advancing Green Homes portfolio, underscoring both operational excellence and environmental impact. To date, we have achieved 450 certified Green Homes (120 from FY25) with a streamlined process for faster and hassle-free delivery of Green Box initiative. The awareness sessions were aimed at building technical know-how around EDGE certification criteria, thereby aligning with Principle 6 of the Business Responsibility and Sustainability framework.

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2. Does the entity have processes in place to avoid/ manage conflict of interests involving members of the Board? (Yes/No) If Yes, provide details of the same

Yes. The Company has Code of Conduct for Board Of Directors and Senior Management Personnel. In compliance with the SEBI Listing Regulations, the board of directors of the Company ("Board") has laid down this Code for the Board and the senior management personnel of the Company. It dictates the way in which the company will be conducting its business. The code requires the Board and the senior management team must engage only in activities that align with the interests of the Company and refrain from engaging in any business, relationship, or activity that may bring discredit to the Company or create conflicts of interest between personal interests and the interests of the Company and its stakeholders.

Link - Code of Conduct for Board of Directors and Senior Management personnel

Directors' *Report*

PRINCIPLE 2: Businesses should provide goods and services in a manner that is sustainable and safe

Essential Indicators

1. Percentage of R&D and capital expenditure (capex) investments in specific technologies to improve the environmental and social- impacts of product and processes to total R&D and capex investments made by the entity, respectively.

	FY26 (Current Financial Year) (₹ in Cr)	FY25 (Previous Financial Year) (₹ in Cr)	Details of improvements in environmental and social impacts
R & D	-	-	-
Capex	0.89	1.23	-
Technology and Software Fees	24.69	20.04	Reducing paper usage across processes and enhancing financial inclusion at a faster pace

We are a technologically driven affordable housing finance company. Our processes are largely digital. The expenses incurred on technology and software licenses, helps us create a system which is equipped to process a loan with quick turnaround time. We believe these expenses are an investment to stay relevant, competitive and efficient in today's digital world. The technology expenses help us to improve customer experiences, manage, and analyze large amounts of data.

2. Does the entity have procedures in place for sustainable sourcing? (Yes/No) If yes, what percentage of inputs were sourced sustainably?

As a housing finance company focused on lending, our primary inputs revolve around financial resources and talent. Given the nature of our business, which predominantly deals with financial instruments rather than tangible raw materials, the concept of sustainable sourcing, typically associated with physical goods, is not directly applicable to our operations.

Digitization across the Value Chain

Through extensive digitization across the value chain, we have significantly minimized the reliance on paper-based processes traditionally involved in underwriting and loan servicing. Our Connector App enables our connectors to submit leads digitally through a user-friendly interface. The RM Pro App allows relationship managers to update customer profiles, log visit histories, and track collections seamlessly. Our loan origination and management systems operate on a centralized digital platform, enabling underwriters to review and approve loan files without the need for physical documentation. Additionally, our loan agreements are executed digitally. Customers are also empowered through our mobile app to raise service requests, view loan details, and manage repayments conveniently—ensuring transparency, efficiency, and reduced environmental footprint.

3. Describe the processes in place to safely reclaim your products for reusing, recycling and disposing at the end of life, for (a) Plastics (including packaging) (b) E-waste (c) Hazardous waste and (d) other waste.

The company is in the business of providing housing loans. Hence, the scope for using recycled materials as inputs is limited. Further, we have a tie-up with e-waste handler for disposal of electronic waste.

4. Whether Extended Producer Responsibility (EPR) is applicable to the entity's activities (Yes / No). If yes, whether the waste collection plan is in line with the Extended Producer Responsibility (EPR) plan submitted to Pollution Control Boards? If not, provide steps taken to address the same.

Not applicable

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Leadership Indicators

1. Has the entity conducted Life Cycle Perspective / Assessments (LCA) for any of its products (for manufacturing industry) or for its services (for service industry)? If yes, provide details in the following format?

NIC Code	Name of Product /Service	% of total Turnover contributed	Boundary for which the Life Cycle Perspective / Assessment was conducted	Whether conducted by independent external agency (Yes/No)	Results communicated in public domain (Yes/No) If yes, provide the web-link.
64910	Housing Finance Activities	100%	From Loan sanction to settlement/ Closure	Yes	The entire life cycle assessment of company's business operations is presented in the Qualified Institutional Placement Document Web-link PD - https://nsearchives.nseindia.com/content/equities/PD_HOMEFIRST_110425.pdf

Credit Approval and Disbursement

We have set up a robust credit approval process comprising the following stages:

Data Science Backed Centralised Credit Approval & Disbursement Process

Initial Screening and Pre-Sanction Check	• Thorough due-diligence before onboarding connectors and other partners. Quick response on generated leads. • Comprehensive screening of the customer profile, including understanding income sources and risks, property/residence/workspace verification. • Digital validation of leads through third-party databases for KYC. Filtering out low credit bureau score customers. • An in-built fraud detection tool to prevent onboarding of customers with a prior fraud history. • Detailed proposal is submitted by front-end team covering photos/ videos and other relevant information/ documents. • Geo-tagging of all the verifications to accurately detect and validate the location of the customers.
Customer Credit Underwriting	• Data-science backed centralised underwriting. • Integrated CRM & Loan management System on cloud-based platform • API integration with third party independent sources and usage of account aggregator to help in triangulation of income and proofs, submitted to front-end teams, done from a single dashboard • Banking analytical tools to transform large transaction data into instant actionable insights enabling precise credit decisions. • Proprietary Machine learning & customer scoring models built used for credit decision
Property Underwriting & disbursement process	• In-depth understanding of property types and land laws of the operating geographies • Legal and technical assessment through third party vendors & internal team • Geo-tagging all properties • Online verification from the records of Department of Stamps and Registration / Encumbrance Certificate and latest search conducted to verify ownership history. This ensures complete legal compliance and safeguards against any future disputes.

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Loan Collection and Monitoring	• Tiered collection system led by the same front-end team, ensuring strong sense of responsibility. • Usage of analytical tools like bounce prediction to support ground team and focus on early delinquencies. • Digital medium such as automated calling & SMS/ WhatsApp messages to enhance collection efforts. • Tracking instalment collection status on real time basis • Convenient omni-channel payment options via Card, UPI, Net banking, Customer App etc.

2. If there are any significant social or environmental concerns and/or risks arising from production or disposal of your products / services, as identified in the Life Cycle Perspective / Assessments (LCA) or through any other means, briefly describe the same along-with action taken to mitigate the same.

Name of the Product/Service	Description of the risk/ concern	Action Taken
Not Applicable		

3. Percentage of recycled or reused input material to total material (by value) used in production (for manufacturing industry) or providing services (for service industry).

Indicate input material	Recycled or re-used input material to total material	
	FY26 (Current Financial Year)	FY25 (Previous Financial Year)
Not Applicable		

4. Of the products and packaging reclaimed at end of life of products, amount (in metric tonnes) reused, recycled, and safely disposed, as per the following format.

	FY26 (Current Financial Year)			FY25 (Previous Financial Year)		
	Re-used	Recycled	Safely Disposed	Re-used	Recycled	Safely Disposed
Plastics (including packaging)						
E-waste		*				*
Hazardous waste						
Other waste						

** We have disposed of 0 units in FY26 and 401units in FY25*

5. Reclaimed products and their packaging materials (as percentage of products sold) for each product category

Indicate product category	Reclaimed products and their packaging materials as % of total products sold in respective category
Not Applicable	

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PRINCIPLE 3: Businesses should respect and promote the well-being of all employees, including those in their value chains

Essential Indicators

1. a. Details of measures for the well-being of employees:

Category	% of employees covered by										
	Total (A)	Health Insurance		Accident Insurance		Maternity Benefits		Paternity Benefits		Day Care Facilities	
		Number (B)	% (B/ A)	Number (C)	% (C/ A)	Number (D)	% (D/ A)	Number (E)	% (E/ A)	Number (F)	% (F/ A)
Permanent Employees											
Male	1,328	1,328	100	1,328	100	NA	NA	1,328	100	NA	NA
Female	527	527	100	527	100	527	100	NA	NA	NA	NA
Total	1,855	1,855	100	1,855	100	527	100	1,328	100	NA	NA
Other than Permanent Employees											
Male	NA										
Female	NA										
Total	NA										

Note: Various measures undertook by company for the well-being of its employees is highlighted under the Human capital of our Sustainability Report.

b. Details of measures for the well-being of workers:

Category	% of employees covered by										
	Total (A)	Health Insurance		Accident Insurance		Maternity Benefits		Paternity Benefits		Day Care Facilities	
		Number (B)	% (B/ A)	Number (C)	% (C/ A)	Number (D)	% (D/ A)	Number (E)	% (E/ A)	Number (F)	% (F/ A)
Permanent Employees											
Male	NA										
Female	NA										
Total	NA										
Other than Permanent Employees											
Male	NA										
Female	NA										
Total	NA										

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c. Spending on measures towards well-being of employees and workers (including permanent and other than permanent) in the following format:

	FY26 (Current Financial Year)	FY25 (Previous Financial Year)
Cost incurred on well- being measures as a % of total revenue of the company	0.2%	0.2%

Note: The cost incurred for well-being measures for employees used above consists of actual cost incurred on Health and Medical Insurance cost for employees.

2. Details of retirement benefits, for Current Financial Year and Previous Financial Year.

Benefits	FY26 (Current Financial Year)			FY25 (Previous Financial Year)		
	No. of employees covered as a % of total employees	No. of workers covered as a % of total workers	Deducted and deposited with the authority (Y/N/N.A.)	No. of employees covered as a % of total employees	No. of workers covered as a % of total workers	Deducted and deposited with the authority (Y/N/N.A.)
PF	100	NA	Y	100	NA	Y
Gratuity	As per Gratuity Act.					
ESI	NA	NA	NA	NA	NA	NA
Others – please specify						

The option to invest in NPS received a good response in the current financial year with 24 employees availing of the same (compared to 23 employees in FY25).

3. Accessibility of workplaces
Are the premises / offices of the entity accessible to differently abled employees and workers, as per the requirements of the Rights of Persons with Disabilities Act, 2016? If not, whether any steps are being taken by the entity in this regard.

At the close of the last fiscal year, Homefirst did not have any differently abled individuals on its roll. Presently, all company offices are either leased or under a leave and license agreement. Homefirst does not own any premises, and there is a shared entrance for the building. The company utilizes the access provided by the complex where its offices are leased, ensuring equal access for all employees, including those who are differently abled.

4. Does the entity have an equal opportunity policy as per the Rights of Persons with Disabilities Act, 2016? If so, provide a web-link to the policy.

Yes. The company has equal opportunity policy. We are committed to a policy of treating all our employees and job applicants equally. Our Equal Opportunity Policy expresses the company's commitment to promote equality and conduct its business according to principles of social justice, respect and freedom of expression.

Link: HomeFirst Equal Opportunity Policy

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5. Return to work and Retention rates of permanent employees and workers that took parental leave.

Gender	Permanent Employees		Permanent Workers	
	Return to work rate	Retention rate	Return to work rate	Retention rate
Male	100%	66.7%	NA	NA
Female	100%	53.3%	NA	NA
Total	**100%**	**60.0%**	**NA**	**NA**

Retention Rate: There were 15 male employees who returned from their paternity leave in FY25, 10 of the 15 employees remained in the organization at the end of 12 months. There were 15 female employees who returned from their maternity leave in FY25, 8 of the 15 employees remained in the organization at the end of 12 months.

6. Is there a mechanism available to receive and redress grievances for the following categories of employees and worker? If yes, give details of the mechanism in brief.

	Yes/No (If Yes, then give details of the mechanism in brief)
Permanent Workers	Not Applicable
Other than Permanent Workers	Not Applicable
Permanent Employees	Yes.
Other than Permanent Employees	Any employee can reach to the HR team to raise a complaint and the same is then taken up by the HR team who will resolve the complaint / grievance / issue by means of travel or call. The company follows an open-door policy and is a lean organization. Employees have access to the management/ business heads/HR to raise their concerns. In addition, we have a whistle-blower policy which provides a formal platform to share grievances on various matters.

7. Membership of employees and worker in association(s) or Unions recognised by the listed entity:
The Company does not have any employees/workers associations or unions.

Category	FY26 (Current Financial Year)			FY25 (Previous Financial Year)		
	Total employees / workers in respective category (A)	No. of employees / workers in respective category, who are part of association(s) or Union (B)	% (B / A)	Total employees / workers in respective category (C)	No. of employees / workers in respective category, who are part of association(s) or Union (D)	% (D / C)
Total Permanent Employees	NA					
- Male	NA					

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- Female	NA
Total Permanent Workers	NA
- Male	NA
- Female	NA

8. Details of training given to employees and workers:

Category	FY26 (Current Financial Year)					FY25 (Previous Financial Year)				
	Total (A)	On Health and Safety measures		On Skill Upgradation		Total (D)	On Health and Safety measures		On Skill Upgradation	
		No. (B)	% (B/ A)	No. (C)	% (C/ A)		No. (E)	% (E/ D)	No. (F)	% (F/ D)
Employees										
Male	1,328	1,301	98.0%	388	29.2%	1,172	1,149	98.0%	408	34.8%
Female	527	519	98.5%	163	30.9%	462	454	98.3%	192	41.6%
Total	1,855	1,820	98.1%	551	29.7%	1,634	1,603	98.1%	600	36.7%
Workers										
Male	NA					NA				
Female	NA					NA				
Total	NA					NA				

In addition to trainings conducted on health and safety, we undertake steps to create awareness regarding observing certain rules while on road and while at office. We also conducted fire safety drill to educate the employees on how to use the fire extinguisher and act during emergency.

Further, we also guide the employees at the time of induction to observe safety at all times. We also have Health and Safety Policy in place. HomeFirst has partnered with 1 to 1 help, giving employees access to counselling services through the Employee Assistance Program (EAP) or for general guidance.

9. Details of performance and career development reviews of employees and workers:

Category	FY26 (Current Financial Year)			FY25 (Previous Financial Year)		
	Total (A)	No. (B)	% (B/ A)	Total (C)	No. (D)	% (D/C)
Employees						
Male	1,328	1,328	100%	1,172	1,172	100%
Female	527	527	100%	462	462	100%
Total	1,855	1,855	100%	1,634	1,634	100%
Workers						
Male	NA			NA		
Female	NA			NA		
Total	NA			NA		

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10. Health and safety management system:

a. Whether an occupational health and safety management system has been implemented by the entity? (Yes/ No). If yes, the coverage such system?

- The company maintains a Health and Safety Policy to ensure that all employees have a safe, hygienic, and pleasant work environment.
- All company employees are included in both the Group Personal Accident Insurance Policy, Group Term Life Policy and the Group Health Insurance Policy.
- Recognizing the significance of employee mental health and overall wellbeing, the company offers one-on-one counseling sessions for employees.
- We also have Health and Safety Policy in place. HomeFirst has partnered with 1 to 1 help, giving employees access to counselling services through the Employee Assistance Program (EAP) or for general guidance.
- Additionally, training sessions are conducted to enhance awareness of occupational health and safety.

b. What are the processes used to identify work-related hazards and assess risks on a routine and non-routine basis by the entity?

HomeFirst, being a housing finance company operating primarily in the services sector, is exposed to relatively lower levels of work-related hazards compared to manufacturing or field-intensive industries. However, we remain committed to maintaining a safe and supportive work environment. The entity has a Board approved Health and Safety Policy. Below are the few approaches being taken by entity to assess any risks:

- Proactive Employee Feedback Mechanism: We gather structured feedback from employees at regular intervals post joining (30 and 90 days), which helps identify any early signs of workplace discomfort or challenges, allowing timely resolution.

  Further, for enabling solutions to varied challenges being faced by our women employees, we conducted a study of challenges through the responses received from our women safety survey and rendered issue specific solutions to address similar challenges being faced by them.
- Open-Door Culture: We encourage a transparent and accessible work culture where employees can freely approach senior leadership to discuss workplace issues or concerns.
- Formal Grievance Channels: Our Vigil Mechanism and Whistle Blower Policy provide additional formal channels for employees to raise concerns anonymously and securely, ensuring that potential risks are brought to the attention of the management without fear of retaliation.

c. Whether you have processes for workers to report the work-related hazards and to remove themselves from such risks. (Y/N)

Yes. While work-related hazards are minimal due to the nature of our business, employees can report any concerns to their Department Head, HR, or Business Head. Health and Safety is guided by a formal policy, and employees are supported through health insurance and a structured escalation process.

c. Do the employees/ worker of the entity have access to non-occupational medical and healthcare services? (Yes/ No)

Yes. All the employees of the Company including the dependents are covered under Group Personal Accident Insurance Policy and Group Health Insurance Policy.

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11. Details of safety related incidents, in the following format:

Safety Incident/Number	Category	FY26 Current Financial Year	FY25 Previous Financial Year
Lost Time Injury Frequency Rate (LTIFR) (per one million-person hours worked)	Employees	NIL	NIL
	Workers	NA	NA
Total recordable work-related injuries	Employees	NIL	NIL
	Workers	NA	NA
No of fatalities	Employees	NIL	NIL
	Workers	NA	NA
High consequence work-related injury or ill-health (excluding fatalities)	Employees	NIL	NIL
	Workers	NA	NA

12. Describe the measures taken by the entity to ensure a safe and healthy work place.

HomeFirst prioritizes employee safety and wellbeing, particularly evident during the pandemic where the company covered treatment expenses for employees and their families during home quarantine. Recognizing the importance of emotional health, HomeFirst offers one-on-one counseling sessions for employees. We also have Health and Safety Policy in place. HomeFirst has partnered with 1 to 1 help, giving employees access to counselling services through the Employee Assistance Program (EAP) or for general guidance.

13. Number of Complaints on the following made by employees and workers:

	FY26 (Current Financial Year)			FY25 (Previous Financial Year)		
	Filed during the year	Pending resolution at the end of year	Remarks	Filed during the year	Pending resolution at the end of year	Remarks
Working Conditions	NIL	NIL	-	NIL	NIL	-
Health & Safety	NIL	NIL	-	NIL	NIL	-

14. Assessments for the year:

	% of your plants and offices that were assessed (by entity or statutory authorities or third parties)
Health & safety practices	NIL
Working Conditions	NIL

15. Provide details of any corrective action taken or underway to address safety-related incidents (if any) and on significant risks / concerns arising from assessments of health & safety practices and working conditions.

Health and safety trainings were conducted during the year to educate the employees about workplace safety.

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Leadership Indicators

1. **Does the entity extend any life insurance or any compensatory package in the event of death of (A) Employees (Y/N) (B) Workers (Y/N).**

   Yes. The Company has Group Personal Accident Insurance Policy and Group Health Insurance Policy for the employees. The Company also extends Group Term Life Insurance Policy – wherein financial protection to the nominee or beneficiary is provided in case of the death of the covered individual during the policy term. The sum assured will be either 4 times of employee's CTC or ₹ 20 lakh, whichever amount is higher. In case of death of an employee who had ESOPs, the unvested ESOPs; immediately vest with the nominee of such an employee.

2. **Provide the measures undertaken by the entity to ensure that statutory dues have been deducted and deposited by the value chain partners.**

   Value chains comprise of service providers, banks, and developers. We ensure that we receive TDS or GST certificate or that the TDS / GST that is deposited / credited is duly reflected in 26AS / 2A respectively.

3. **Provide the number of employees / workers having suffered high consequence work- related injury / ill-health / fatalities (as reported in Q11 of Essential Indicators above), who have been rehabilitated and placed in suitable employment or whose family members have been placed in suitable employment:**

	Total no. of affected employees/ workers		No. of employees/workers that are rehabilitated and placed in suitable employment or whose family members have been placed in suitable employment	
	FY26 Current Financial Year	FY25 Previous Financial Year	FY26 Current Financial Year	FY25 Previous Financial Year
Employees	NIL	NIL	NIL	NIL
Workers	NIL	NIL	NIL	NIL

4. **Does the entity provide transition assistance programs to facilitate continued employability and the management of career endings resulting from retirement or termination of employment? (Yes/ No).**

   Since we have a young and diverse employee base with median age of 26.0 years and we have just 4 employees who are aged 50 or more, we currently do not have any such transition assistance programs.

5. **Details on assessment of value chain partners:**

	% of value chain partners (by value of business done with such partners) that were assessed
Health & safety practices	NIL
Working Conditions	NIL

6. **Provide details of any corrective actions taken or underway to address significant risks/concerns arising from assessments of health and safety practices and working conditions of value chain partners.**

   No corrective actions were required to be taken to address such concerns.

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PRINCIPLE 4: Businesses should respect the interests of and be responsive to all its stakeholders.

Essential Indicators

1. Describe the processes for identifying key stakeholder groups of the entity

The Company identifies key stakeholder groups based on their influence on and contribution to the Company's mission and long-term value creation. These include individuals, institutions, or groups with whom we engage regularly and who are integral to our operations. Our stakeholder universe includes, but is not limited to, employees, customers, shareholders (including prospective investors), lead sourcing partners (such as connectors), regulators, lenders, research analysts, communities, NGOs, and various service providers.

2. List stakeholder groups identified as key for your entity and the frequency of engagement with each stakeholder group.

Stakeholder Group	Whether identified as Vulnerable & Marginalised Group (Yes/No)	Channels of communication (Email, SMS, Newspaper, Pamphlets, Advertisement, Community Meetings, Notice Board, Website, Other)	Frequency of engagement (Annually/ Half yearly/ Quarterly/ others – please specify)	Purpose and scope of engagement key topics and concerns raised during such engagement
Customers	Yes, if they meet specified criteria (e.g., income, gender, etc.)	• Customer satisfaction surveys and feedback • Interaction at Branches • Customer Care Phone Number • Digital Channels - Customer App, SMS, WhatsApp, Social media platform, chatbot, Video Call • Pamphlets • House Visits/Work Visits	Ongoing	To maintain active engagement throughout the customer lifecycle, address queries and grievances, and ensure high quality customer service.
Employees	No	• Internal emails • In-person/virtual meetings • Appraisal processes • Online surveys • Employee engagement initiatives	Ongoing	Focus on skill development, well-being, and overall engagement through training programs, wellness initiatives, and employee welfare schemes.
Shareholders/ Investors	No	• Quarterly earning conference calls • Press releases • AGMs and investor meets (including virtual) • Email, SMS • Notices via newspapers, websites, and stock exchanges	Ongoing	Ensure transparency and regular updates on company performance, governance, economic results, and compliance matters. Also to be informed about market dynamics and Investor expectations
Regulators, lenders and credit rating agencies	No	• Emails • One-on-one meetings • Conference and video calls • Mandatory regulatory filings	Ongoing	Discussion on regulatory compliance, audits, inspections, approvals, and updates on statutory amendments.

Directors' *Report*

Research Analysts	No	• Emails • One-on-one meetings • Conference and video calls	Ongoing	Sharing timely and relevant updates about the company's performance, strategy and understand the market expectations
Communities & NGOs	No	• Project assessment reviews • Joint evaluations • Participation in community welfare initiatives	Ongoing	Collaborative implementation and monitoring of CSR initiatives; addressing social development concerns.
Channel partners & Key Vendors	No	• Regular meetings • Email and phone communication	Ongoing	Strengthening business partnerships, ensuring operational alignment, and resolving day-to-day coordination matters.

Leadership Indicators

1. **Provide the processes for consultation between stakeholders and the Board on economic, environmental, and social topics or if consultation is delegated, how is feedback from such consultations provided to the Board.**

   The Company has constituted dedicated Board-level sub-committees to oversee stakeholder concerns and ensure responsive governance across key areas, including customer grievances, shareholder relations, ESG performance, and other stakeholder feedback.

   - **Grievance Redressal Committee (GRC):**
     The GRC is responsible for addressing all customer-related issues and ensuring timely resolution. The Committee meets on a quarterly basis. The minutes of each meeting, which detail the nature of complaints received and their resolution timelines, are subsequently reviewed and ratified by the Board in the following Board meeting.

   - **Stakeholders Relationship Committee (SRC):**
     The SRC is tasked with resolving grievances raised by shareholders and investors. The Committee convenes half-yearly, and its meeting minutes are presented to the Board to ensure transparency and alignment with governance best practices.

   - **CSR and ESG Committee:**
     This Committee oversees the implementation and progress of the Company's ESG and CSR initiatives. Monthly ESG dashboards are prepared by the execution team to track progress on sustainability initiatives. The CSR and ESG Committee meets twice a year to review progress and give direction. Further, an annual review is conducted by the Board.

   - **Feedback from Lenders, Credit Rating Agencies, and Research Analysts:**
     Input and recommendations received from lenders, rating agencies, and research analysts—where applicable—are considered internally. Relevant insights are incorporated into the Company's corporate communications and disclosure materials, in line with regulatory requirements and strategic communication needs.

2. **Whether stakeholder consultation is used to support the identification and management of environmental, and social topics (Yes / No). If so, provide details of instances as to how the inputs received from stakeholders on these topics were incorporated into policies and activities of the entity.**

   The Company actively engages with key stakeholders—including investors, shareholders, rating agencies, customers, and vendor partners—to better understand emerging environmental and social expectations, benchmark its ESG performance against global best practices, and continuously refine its sustainability strategy.

Directors' Report

Key examples of how stakeholder inputs have shaped the ESG activities include:

- **ESG Ratings & Benchmarking:**
  The Company is regularly evaluated by ESG rating agencies such as **Morningstar Sustainalytics and S&P Global**, whose feedback has provided actionable insights into various disclosures by the company. These evaluations have helped sharpen the Company's ESG focus and enhance the robustness of its disclosures and practices. During the year, ESG risk rating has strengthened to 13.2 from Morningstar Sustainalytics, placing us in the 'low risk' category (improved from 16.2 in 2025), alongside a strong ESG performance rating of 46 from S&P Global, validating the impact of the feedbacks received and actions incorporated by the company.

- **Partnership with IFC and Implementation of IFC-EDGE Protocol:**
  As part of its commitment to green and sustainable housing, the Company has partnered with the **International Finance Corporation (IFC)** for advisory support in implementing environmentally responsible practices. In collaboration with **Sintali**, an authorized certifier, the Company is certifying homes financed under its portfolio in line with the **IFC-EDGE (Excellence in Design for Greater Efficiencies)** green building standard. This initiative is enabling the Company to integrate energy-efficient, climate-smart measures into its operations and product offerings, directly supporting environmental goals and aligning with stakeholder expectations around sustainability.

  These stakeholder-driven insights and collaborations have been instrumental in shaping the Company's environmental and social initiatives, ensuring that its strategy is both responsible and responsive to evolving global standards.

3. Provide details of instances of engagement with, and actions taken to, address the concerns of vulnerable/ marginalized stakeholder groups.

The Company's core business focuses on enabling access to affordable housing finance for customers from economically weaker sections and low-income groups—many of whom qualify as vulnerable or marginalized stakeholders. Through a combination of financial inclusion, digital accessibility, and community initiatives, the Company remains committed to addressing their specific needs and challenges.

Key actions taken include:

- **Inclusive Financial Services:**
  The Company offers housing loans tailored to the needs of financially underserved individuals and families, many of whom lack access to formal credit. The underwriting process is designed to accommodate non-traditional income profiles, thereby improving access for marginalized communities.

- **Zero-Cost Prepayment and Auto Prepay Facility:**
  To ease the financial burden on borrowers, the Company provides a prepayment facility at no additional cost through its digital Customer App. The company also offers an auto prepayment facility to its borrowers for an amount as low as Rs. 500 on a monthly basis. This empowers customers—many of whom are first-time homeowners—to manage their loan repayments more efficiently and reduce their financial stress.

- **Customer Education and Digital Convenience:**
  The Company empowers its customers through dedicated education and support initiatives. Through the "HomeFirst Gyaan" series on YouTube, marketing collaterals, and active social media engagement, customers are guided on product knowledge and responsible financial practices. The Company's Customer App further enhances convenience by offering an intuitive platform for users to check loan status, make EMI payments, raise service requests amongst other features—promoting transparency, financial awareness, and ease of access.

- **CSR Initiatives for Community Upliftment:**
  Several Corporate Social Responsibility (CSR) initiatives were undertaken during the year to support vulnerable and marginalized groups beyond the Company's customer base. These initiatives span areas such as financial literacy, education, skill development, healthcare, and sanitation.

(Further details on these initiatives can be found in the CSR section on page no.118).

Directors' *Report*

PRINCIPLE 5: Businesses should respect and promote human rights

Essential Indicators

1. Employees and workers who have been provided training on human rights issues and policy(ies) of the entity, in the following format:

We have a Human Rights Policy which is hosted publicly on our website. Link : Human Rights Policy

However, no specific trainings have been undertaken on human rights issue/policies in the years FY25 and FY26. The company is currently in the advanced stages of developing a training module focused on educating employees about human rights issues.

Category	FY26 (Current Financial Year)			FY25 (Previous Financial Year)		
	Total (A)	No. employees of workers/ covered (B)	% (B/ A)	Total (C)	No. employees of workers/ covered (D)	% (D/C)
Employees						
Permanent	-	-	-	-	-	-
Other than permanent	-	-	-	-	-	-
Total Employees	-	-	-	-	-	-
Workers						
Permanent	-	-	-	-	-	-
Other than permanent	-	-	-	-	-	-
Total Workers	-	-	-	-	-	-

2. Details of minimum wages paid to employees and workers, in the following format:

Category	FY26 (Current Financial Year)					FY25 (Previous Financial Year)				
	Total (A)	Equal to Minimum Wage		More than Minimum Wage		Total (D)	Equal to Minimum Wage		More than Minimum Wage	
		No. (B)	% (B/ A)	No. (C)	% (C/ A)		No. (E)	% (E/ D)	No. (F)	% (F/ D)
Employees										
Permanent	**1,855**	**-**	**-**	**1,855**	**100%**	**1,634**	**-**	**-**	**1,634**	**100%**
Male	1,328	-	-	1,328	100%	1,172	-	-	1,172	100%
Female	527	-	-	527	100%	462	-	-	462	100%
Other than Permanent	**NA**					**NA**				
Male	NA					NA				
Female	NA					NA				

Directors' *Report*

	Workers	
Permanent	**NA**	**NA**
Male	NA	NA
Female	NA	NA
Other than Permanent	**NA**	**NA**
Male	NA	NA
Female	NA	NA

3. Details of remuneration/salary/wages

a. Median remuneration / wages:

	Male		Female	
	Number	**Median remuneration/salary/ of respective category**	**Number**	**Median remuneration/salary/ of respective category**
Board of Directors (BoD)	3	36,00,000	2	34,75,000
Key Managerial Personnel^	2	2,15,47,862	1	2,79,06,208
Employees other than BoD and KMP	850	7,99,983	355	6,16,615
Workers	NA	NA	NA	NA

^Key Managerial Personnel are the Managing Director & CEO, CFO & Company Secretary.

The median remuneration / Salary is considered basis the actual amount paid during the year to 1208 employees (including KMP) who have been in the organisation for the entire financial year.

Notes:
1. Include details of Directors and KMP as on March 31, 2026.
2. Median remuneration is calculated for active employees and workers as on March 31, 2026 base on their full year remuneration.

b. Gross wages paid to females as % of total wages paid by the entity:

	FY26 (Current Financial Year)	**FY25 (Previous Financial Year)**
Gross wages paid to females as % of total wages	24.95%	24.69%

4. Do you have a focal point (Individual/ Committee) responsible for addressing human rights impacts or issues caused or contributed to by the business? (Yes/No)

Yes, the Chief Human Resources Officer overseas the human resource function and is responsible for addressing the same.

Directors' *Report*

5. Describe the internal mechanisms in place to redress grievances related to human rights issues.

The mechanism adopted for raising employee complaints can be used for raising human right complaints as well. Home First believes that an empowered workforce is the best way to receive feedback and identify improvement areas. The following grievance mechanism provides all employees, vendors, suppliers and customers a secure and 24x7 access to raise grievances and to report confidentially without fear of retaliation:

- Whistleblower Policy
- Policy on Prevention and Redressal of Sexual Harassment at Workplace
- Human Resources Team
- Grievances Redressal Policy

Additionally, we continuously engage with employees to create awareness, understand and address grievances. through social media, emailers, team and individual meetings with business leads and HR team.

6. Number of complaints on the following made by employees and workers:

	FY26 (Current Financial Year)			FY25 (Previous Financial Year)		
	Filed during the year	**Pending resolution at the end of year**	**Remarks**	**Filed during the year**	**Pending resolution at the end of year**	**Remarks**
Sexual Harassment	NIL	NIL	No complaints received during the year	1	1	The complaint was upheld by the Internal Complaints Committee and resolved within 90 days from its reporting.
Discrimination at Workplace	NIL	NIL		NIL	NIL	No complaints received during the year
Child Labour	NIL	NIL		NIL	NIL	
Forced Labour/ Involuntary Labour	NIL	NIL		NIL	NIL	
Wages	NIL	NIL		NIL	NIL	
Other than human rights related issues	NIL	NIL		NIL	NIL	

7. Complaints filed under the Sexual Harassment of Women at Workplace (Prevention, Prohibition and Redressal) Act, 2013, in the following format:

	FY26 (Current Financial Year)	**FY25 (Previous Financial Year)**
Total Complaints reported under Sexual Harassment on of Women at Workplace (Prevention, Prohibition and Redressal) Act, 2013 (POSH)	NIL	1
Complaints on POSH as a % of Female Employees/ workers	NIL	0.2%
Complaints on POSH upheld	NIL	1

Directors' *Report*

8. Mechanisms to prevent adverse consequences to the complainant in discrimination and harassment cases.

The Company has a **Policy on Prevention of Sexual Harassment in the Workplace**. The enquiry process ensures that the inquiry will be conducted confidentially. Further, the policy recognizes retribution or retaliation in the context of reporting acts of sexual harassment as a serious violation. The report and investigation of allegations of retaliation will follow the procedures set forth in this Policy and will be treated as an additional complaint and investigated similarly. Any person found to have retaliated against an individual for reporting harassment, or for participating in an investigation of allegations of such conduct, may expect the Company to impose severe disciplinary action.

The Company also has an **Equal Opportunity policy**. We are committed to a policy of treating all our employees and job applicants equally and we are intolerant towards discrimination and/or harassment based on gender, race, religion, age. Our Equal Opportunity Employer Policy expresses the company's commitment to promote equality and conduct its business according to principles of social justice, respect and freedom of expression.

The Company also has a **Vigil Mechanism and Whistle Blower Policy.** The purpose of the Whistle Blower policy is to report any unethical practice observed without the risk of victimization, discrimination or disadvantage. No unfair treatment will be meted out to a Whistle Blower by virtue of his/her having reported a protected disclosure under this Policy. The Company condemns any kind of discrimination, harassment victimization or any other unfair employment practice being adopted against the Whistle Blower.

Additionally, we continuously engage with employees to create awareness, understand and address grievances through social media, emailers, team and individual meetings with business leads and HR team.

9. Do human rights requirements form part of your business agreements and contracts? (Yes/No)

Yes, in business agreements and contracts where relevant.

10. Assessments for the year:

	% of your plants and offices that were assessed (by entity or statutory authorities or third parties)
Child Labour	NIL
Forced/ involuntary labour	
Sexual Harassment	
Discrimination at workplace	
Wages	

11. Provide details of any corrective actions taken or underway to address significant risks/ concerns arising from the assessments at Question 9 above.

Not applicable

Leadership Indicators

1. Details of a business process being modified / introduced as a result of addressing human rights grievances/ complaints

There has been no case of human rights grievances and complaints; hence no changes to business process

2. Details of the scope and coverage of any Human rights due-diligence conducted.

No specific human rights due diligence is conducted

Directors' *Report*

3. Is the premise/office of the entity accessible to differently abled visitors, as per the requirements of the Rights of Persons with Disabilities Act, 2016?

Currently all the offices of the company are either leased or under leave and license agreement. The Company does not have any owned premises and there is a common entrance for the building. Company follows the access provided by the complex where the offices are leased for all its employees including differently abled employees.

4. Details on assessment of value chain partners:

	% of your value chain partners (by value of business done with such partners) that were assessed (by entity or statutory authorities or third parties)
Child Labour	The company has a supplier and vendor code of conduct that requires vendors to comply with various aspects of Labour, Workplace and Human Rights. Any breach on these term has to be notified by vendor to the company, non-adherence to the code can lead to cancellation of the contract. While there was no formal third party assessment that happened during the year, the company keeps reviewing the agreements with its vendors on need basis.
Forced/ involuntary labour	
Sexual Harassment	
Discrimination at workplace	
Wages	
Others - please specify	

5. Provide details of any corrective actions taken or underway to address significant risks / concerns arising from the assessments at Question 4 above.

No corrective actions pertaining to the above question were required by the Company during the current year.

Directors' *Report*

PRINCIPLE 6: Businesses should respect and make efforts to protect and restore the environment

Essential Indicators

1. Details of total energy consumption (in Joules or multiples) and energy intensity, in the following format:

We have set up systems to understand our GHG Scope 1 and Scope 2 emissions. We have tracked our electricity consumption for the current fiscal.

Parameter	FY26 (Current Financial Year)		FY25 (Previous Financial Year)	
	kWh	TJ	kWh	TJ
From Renewable sources				
Total electricity consumption (A)	-	-	-	-
Total fuel consumption (B)	-	-	-	-
Energy consumption through other sources (C)	-	-	-	-
Total energy consumption from non - renewable sources (A+B+C)	-	-	-	-
From non-renewable sources				
Total electricity consumption (D)	1,208,648.74	4.35	1,074,535.19	3.87
Total fuel consumption (E)	-	-	-	-
Energy consumption through other sources (F)	-	-	-	-
Total energy consumed from renewable sources (D+E+F)	1,208,648.74	4.35	1,074,535.19	3.87
Total energy consumed (A+B+C+D+E+F)	1,208,648.74	4.35	1,074,535.19	3.87
Energy intensity per rupee of turnover (Total energy - consumed/ Revenue from Operations)	0.00006	0.0000000002	0.00007	0.0000000003
Energy intensity per rupee of turnover adjusted for Purchasing Power Parity (PPP)	0.0013	0.000000005	0.0015	0.000000006
(Total energy consumed / Revenue from operations adjusted for PPP)				
Energy intensity in terms of physical output	-	-	-	-
Energy intensity Per Employee *(optional)* – the relevant metric may be selected by the entity	651.56	0.002	657.61	0.002

Note: As per the standards issued for BRSR under SEBI notification HO/49/14/14(7)2025-CFD-POD2/I/3762/2026 dated 30th Jan'26, for implied $ PPP conversion, we have used the rates of 20.3 and 20.7 Rupees per International US Dollars, as published by the IMF for FY26 and FY25 respectively.

Directors' Report

Indicate if any independent assessment/ evaluation/assurance has been carried out by an external agency? (Y/N) If yes, name of the external agency.

Yes. The Company has partnered with a leading environment and research institution, Centre for Environmental Research & Education (CERE) to help measure and monitor HomeFirst Finance's carbon footprint. CERE provides technical and domain expertise and assists the Company in determining its carbon emissions pertaining to its own operations. The Company has measured its carbon footprint across all offices. The carbon footprint is in accordance with the GHG Protocol Corporate Accounting Standard and accounts for the following greenhouse gas emissions: carbon dioxide (CO_2), methane (CH_4), nitrous oxide (N_2O) and hydrofluorocarbons (HFCs, HCFCs).

2. Does the entity have any sites / facilities identified as designated consumers (DCs) under the Performance, Achieve and Trade (PAT) Scheme of the Government of India? (Y/N) If yes, disclose whether targets set under the PAT scheme have been achieved. In case targets have not been achieved, provide the remedial action taken, if any.

Not applicable.

3. Provide details of the following disclosures related to water, in the following format:

Parameter	FY26 (Current Financial Year)	FY25 (Previous Financial Year)
Water withdrawal by source (in kilolitres)		
i. Surface water		
ii. Groundwater		
iii. Third party water	2,360.66	2,151.70
iv. Seawater/ desalinated water		
v. Others		
Total volume of water withdrawal (in kilolitres) (i + ii + iii + iv + v)	**2,360.66**	**2,151.70**
Total volume of water consumption (in kilolitres)	2,360.66	2,151.70
Water intensity per rupee of turnover (Total Water consumption/ Revenue from operations)	0.0000001 KL/₹	0.0000001 KL/₹
Water intensity per rupee of turnover adjusted for Purchasing Power Parity (PPP) (Total water consumption / Revenue from operations adjusted for PPP)	0.000003 KL/₹	0.000003 KL/₹
Water intensity in terms of physical output		
Water intensity (Kilolitres/Employee p.m.)	0.94	0.94

Note: As per the standards issued for BRSR under SEBI notification HO/49/14/14(7)2025-CFD-POD2/I/3762/2026 dated 30th Jan'26, the water consumption above is based on the estimations released by Central Ground Water Authority (CGWA). Considering higher field role of our front-office, we have presented data only for the head office employees. Further for implied $ PPP conversion, we have used the rates of 20.3 and 20.7 Rupees per International US Dollars, as published by the IMF for FY26 and FY25 respectively.

Directors' *Report*

Indicate if any independent assessment/ evaluation/assurance has been carried out by an external agency? (Y/N) If yes, name of the external agency.

No

4. Provide the following details related to water discharged:

Parameter	FY26 (Current Financial Year)	FY25 (Previous Financial Year)
Water discharge by destination and level of treatment (in kilolitres)		
i. To Surface water	-	-
No treatment	-	-
With treatment – please specify level of treatment	-	-
ii. To Groundwater	-	-
No treatment	-	-
With treatment – please specify level of treatment	-	-
iii. To Seawater	-	-
No treatment	-	-
With treatment – please specify level of treatment	-	-
iv. Sent to third-parties	-	-
No treatment	-	-
With treatment – please specify level of treatment	-	-
v. Others	-	-
No treatment	-	-
With treatment – please specify level of treatment	-	-
Total water discharged (in kilolitres)	-	-

Note: Indicate if any independent assessment/ evaluation/assurance has been carried out by an external agency? (Y/N) If yes, name of the external agency.

No

5. Has the entity implemented a mechanism for Zero Liquid Discharge? If yes, provide details of its coverage and implementation.

Not applicable

6. Please provide details of air emissions (other than GHG emissions) by the entity, in the following format:

Not applicable

Directors' *Report*

Parameter	Please specify unit	FY26 (Current Financial Year)	FY25 (Previous Financial Year)
NOx		-	-
SOx		-	-
Particulate matter (PM)		-	-
Persistent organic pollutants (POP)		-	-
Volatile organic compounds (VOC)		-	-
Hazardous air pollutants (HAP)		-	-
Others – please specify		-	-

Note: Indicate if any independent assessment/ evaluation/assurance has been carried out by an external agency? (Y/N) If yes, name of the external agency: No

7. Provide details of greenhouse gas emissions (Scope 1 and Scope 2 emissions) & its intensity, in the following format:

Parameter	Unit	FY26 (Current Financial Year)	FY25 (Previous Financial Year)
Total Scope 1 emissions (Break-up of the GHG into CO_2, CH_4, N_2O, HFCs, PFCs, SF_6, NF_3, if available)	Metric tonnes of CO_2 equivalent	20.48	16.47
Total Scope 2 emissions (Break-up of the GHG into CO_2, CH_4, N_2O, HFCs, PFCs, SF_6, NF_3, if available)	Metric tonnes of CO_2 equivalent	857.73	781.15
Total Scope 1 and Scope 2 emissions per rupee of Turnover (Total Scope 1 and Scope 2 GHG emissions / Revenue from operations)	Metric tonnes of CO_2 equivalent	0.00000005	0.00000005
Total Scope 1 and Scope 2 emission intensity per rupee of turnover adjusted for Purchasing Power Parity (PPP) (Total Scope 1 and Scope 2 GHG emissions / Revenue from operations adjusted for PPP)	Metric tonnes of CO_2 equivalent	0.0000009	0.0000011
Total Scope 1 and Scope 2 emission intensity in terms of physical output			
Total Scope 1 and Scope 2 emission intensity *(optional)* – the relevant metric may be selected by the entity	Metric tonnes of CO_2 equivalent/Employee	0.47	0.49

Note: As per the standards issued for BRSR under SEBI notification HO/49/14/14(7)2025-CFD-POD2/I/3762/2026 dated 30th Jan'26, for implied $ PPP conversion, we have used the rates of 20.3 and 20.7 Rupees per International US Dollars, as published by the IMF for FY26 and FY25 respectively.

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Note: Indicate if any independent assessment/ evaluation/assurance has been carried out by an external agency? (Y/N) If yes, name of the external agency.

Yes. The Company has partnered with a leading environment and research institution, Centre for Environmental Research & Education (CERE) to help measure and monitor HomeFirst Finance's carbon footprint. CERE provides technical and domain expertise and assists the Company in determining its carbon emissions pertaining to its own operations. The Company has measured its carbon footprint across all offices. The carbon footprint is in accordance with the GHG Protocol Corporate Accounting Standard and accounts for the following greenhouse gas emissions: carbon dioxide (CO_2), methane (CH_4), nitrous oxide (N_2O) and hydrofluorocarbons (HFCs, HCFCs).

8. Does the entity have any project related to reducing Green House Gas emission? If Yes, then provide details.

The company has made meaningful progress in advancing Green Homes portfolio, underscoring both operational excellence and environmental impact. To date, we have achieved 450 certified Green Homes (120 from FY25) with a streamlined process for faster and hassle-free delivery of Green Box initiative.

These certifications translate into tangible environmental benefits, with an annual reduction of 453 tonnes of CO_2 equivalent (tCO_2e), alongside savings of 673 MWh of energy and 21,643 cubic meters of water.

Agreement has been signed with Sintali to certify Green measures implemented houses under IFC-EDGE protocol. Additionally, identification and onboarding of Home Inspectors across markets is ongoing. They will guide customers onboarded for Green Homes in their Home Construction journey on Green measures and collect the evidences post-Implementation.

On the growth front, we scaled up certifications by penetrating deeper into existing markets, driving Assets Under Management (AUM) from ₹16 crore to ₹55 crore by March 2026. In addition, we expanded Green Homes certification to two new locations, which are expected to contribute meaningfully in the near future.

Beyond operational metrics, we also conducted employee engagement and interactive sessions on World Environment Day (June 5) to raise awareness and build internal advocacy for Green Homes. This cultural reinforcement complements our business expansion, ensuring that sustainability remains embedded across the organization.

Additionally, the Company being a tech-driven affordable housing finance company, has digital initiatives in place across the business operations. More details available in Intellectual Chapter on pg 114.

9. Provide details related to waste management by the entity, in the following format:

Company is in the business of providing housing finance and is a service-oriented company. Our focus on waste management is limited in scope and pertains to office related waste. Our processes are largely digital and paperless. Regarding e-waste, company has an e-waste policy and has signed an agreement with a certified e-waste handler for disposal of e-waste.

Parameter	FY26 (Current Financial Year)	FY25 (Previous Financial Year)
Total Waste generated (in metric tonnes)		
Plastic waste **(A)**	-	-
E-waste **(B)**	*	*
Bio-medical waste **(C)**	-	-
Construction and demolition waste **(D)**	-	-
Battery waste **(E)**	-	-
Radioactive waste **(F)**	-	-

Directors' *Report*

Other Hazardous waste. Please specify, if any. **(G)**	-	-
Other Non-hazardous waste generated. Please specify, if any. (H) (Break-up by composition i.e. by materials relevant to the sector)	*	*
Total (A+B + C + D + E + F + G + H)	**-**	**-**
Waste intensity per rupee of turnover (Total waste generated / Revenue from operations)	-	-
Waste intensity per rupee of turnover adjusted for Purchasing Power Parity (PPP) (Total waste generated / Revenue from operations adjusted for PPP)	-	-
Waste intensity in terms of physical output	-	-
Waste intensity *(optional)* – the relevant metric may be selected by the entity	-	-
For each category of waste generated, total waste recovered through recycling, re-using or other recovery operations (in metric tonnes)		
Category of waste	**-**	**-**
i. Recycled	-	-
ii. Re-used	-	-
iii. Other recovery operations	-	-
Total	**-**	**-**
For each category of waste generated, total waste disposed by nature of disposal method (in metric tonnes)		
Category of waste	**-**	**-**
i. Incineration	-	-
ii. Landfilling	-	-
iii. Other disposal operations	-	-
Total	**-**	**-**

Note: Indicate if any independent assessment/ evaluation/assurance has been carried out by an external agency? (Y/N) If yes, name of the external agency.

No

**We have disposed of 0 units of e-waste in FY26 and 401 units in FY25.*

10. Briefly describe the waste management practices adopted in your establishments. Describe the strategy adopted by your company to reduce usage of hazardous and toxic chemicals in your products and processes and the practices adopted to manage such wastes.

- The Company is involved in the business of providing housing finance.
- Majority of our processes are digital, paper wastage is minimal.
- Company does not have any usage of hazardous and toxic chemicals.
- The Company has an e-waste policy and signed an agreement with a certified e-waste handler for disposal of e-waste.

Directors' *Report*

11. If the entity has operations/offices in/around ecologically sensitive areas (such as national parks, wildlife sanctuaries, biosphere reserves, wetlands, biodiversity hotspots, forests, coastal regulation zones etc.) where environmental approvals / clearances are required, please specify details in the following format:

Not applicable.

S. No.	Location of operations/ offices	Type of operations	Whether the conditions of environmental approval / clearance are being complied with? (Y/N) If no, the reasons thereof and corrective action taken, if any.
-	-	-	-

12. Details of environmental impact assessments of projects undertaken by the entity based on applicable laws, in the current financial year:

Not applicable.

Name and brief details of project	EIA Notification No.	Date	Whether conducted by independent external agency (Yes / No)	Results communicated in public domain (Yes / No)
-	-	-	-	-

13. Is the entity compliant with the applicable environmental law/ regulations/ guidelines in India; such as the Water (Prevention and Control of Pollution) Act, Air (Prevention and Control of Pollution) Act, Environment protection act and rules thereunder (Y/N). If not, provide details of all such non-compliances, in the following format:

The company is in the business of providing Affordable Housing finance and hence has a very low intensity of causing pollutions (Water/Air). Most of the operational processes of the company are digital, avoiding paper work and thus by reducing paper wastes. As such there are no direct compliance requirements to the company under the above-mentioned acts.

S. No.	Specify the law/ regulation/ guidelines which was not complied with	Provide details of the non- compliance	Any fines / penalties / action taken by regulatory agencies such as pollution control boards or by courts	Corrective action taken, if any
-	-	-	-	-

Leadership Indicators

1. Water withdrawal, consumption and discharge in areas of water stress (in kilolitres):

Not applicable

For each facility / plant located in areas of water stress, provide the following information:

i. Name of the area : Not applicable
ii. Nature of operations: Not applicable
iii. Water withdrawal, consumption and discharge in the following format: Not applicable

Directors' *Report*

Parameter	FY26 (Current Financial Year)	FY25 (Previous Financial Year)
Water withdrawal by source (in kilolitres)		
i. Surface water	-	-
ii. Groundwater	-	-
iii. Third party water	-	-
iv. Seawater/ desalinated water	-	-
v. Others	-	-
Total volume of water withdrawal (in kilolitres)	-	-
Total volume of water consumption (in kilolitres)	-	-
Water intensity per rupee of turnover (Water consumed / turnover)	-	-
Water intensity *(optional)*–the relevant metric may be selected by the entity	-	-
Water discharge by destination and level of treatment (in kilolitres)		
i. Into Surface water	-	-
No treatment	-	-
With treatment – please specify level of treatment	-	-
ii. Into Groundwater	-	-
No treatment	-	-
With treatment – please specify level of treatment	-	-
iii. Into Seawater	-	-
No treatment	-	-
With treatment – please specify level of treatment	-	-
iv. Sent to third-parties	-	-
No treatment	-	-
With treatment – please specify level of treatment	-	-
v. Others	-	-
No treatment	-	-
With treatment – please specify level of treatment	-	-
Total water discharged (in kilolitres)	-	-

Note: Indicate if any independent assessment/ evaluation/assurance has been carried out by an external agency? (Y/N) If yes, name of the external agency.
No

Directors' *Report*

2. Please provide details of total Scope 3 emissions & its intensity, in the following format:

Given that the company is in the business of providing housing finance and is a service-oriented company, our focus on environmental indicators is passive and we have not tracked Scope 3 emissions. However, we do report our Scope 1 and Scope 2 emissions.

Parameter	Unit	FY26 (Current Financial Year)	FY25 (Previous Financial Year)
Total Scope 3 emissions (Break-up of the GHG into CO_2, CH_4, N_2O, HFCs, PFCs, SF_6, NF_3, if available)	Metric tonnes of CO_2 equivalent	Not tracked	Not tracked
Total Scope 3 emissions per rupee of turnover		Not tracked	Not tracked
Total Scope 3 emission intensity *(optional)* – the relevant metric may be selected by the entity		Not tracked	Not tracked

Note: Indicate if any independent assessment/ evaluation/assurance has been carried out by an external agency? (Y/N) If yes, name of the external agency: No

3. With respect to the ecologically sensitive areas reported at Question 11 of Essential Indicators above, provide details of significant direct & indirect impact of the entity on biodiversity in such areas along-with prevention and remediation activities.

Not applicable

4. If the entity has undertaken any specific initiatives or used innovative technology or solutions to improve resource efficiency, or reduce impact due to emissions / effluent discharge / waste generated, please provide details of the same as well as outcome of such initiatives, as per the following format:

S. No.	Initiative undertaken	Details of the initiative (Web-link, if any, may be provided along-with summary)	Outcome of the initiative
1.	Digital Capture of Primary Data & Paperless Customer Onboarding	The Company has implemented an efficient, end-to-end digital onboarding process. Relationship Managers (RMs) conduct workplace and residence verifications and upload documents directly to a central platform. No physical KYC documents are collected — all data is digitally captured and securely stored on the cloud.	a. Reduced paper usage, contributing to environmental conservation. b. Eliminates the need for physical file movement, saving time, energy, and resources. c. Enhances operational efficiency and data security.
2.	Remote Payment Collection via Digital Link	Through the RM Pro App, Relationship Managers can send payment links to customers, allowing them to make payments remotely. The transaction status can be tracked in real time.	a. Decrease in physical cash collections. b. Saves time and effort for staff. c. Reduces fuel usage and minimizes health exposure risks for employees. d. Enhances customer convenience
3.	Digital Loan Agreements (E-signature Enabled)	Customers are enabled to e-sign loan agreements through a secure digital interface, eliminating the need for physical signatures and printed documents.	a. Significant reduction in paper usage. b. Saves physical storage space. c. Enables faster turnaround time for documentation.

Directors' *Report*

4.	Customer App for Self-service	A feature-rich Customer App is provided to facilitate services like raising queries, making part-payments, downloading account statements, referring others, and locating branches.	a. Customers can access services without visiting branches. b. Saves time, fuel, and effort. c. Promotes digital empowerment and customer satisfaction.
5.	Green Homes Initiative – Collaboration with IFC	In partnership with IFC's advisory services, the Company is working towards creating a portfolio of green-certified, self-built affordable homes. A complete framework for evaluation and certification based on the IFC-EDGE protocol is in place.	a. Enables certification of homes under green standards. b. Contributes to reduction in greenhouse gas emissions. c. Promotes climate-resilient housing solutions for low-income customers.

5. Does the entity have a business continuity and disaster management plan? Give details in 100 words/ web link.

Yes. HomeFirst has Board approved policies on Business Continuity Plan and Disaster Recovery Plan. The policy document provides guidance for ensuring business continuity about people, process and technology.

Policy covers measures like business impact analysis, recovery strategies, business continuity / disaster recovery plans, governance program covering a testing plan, training and awareness program, communication and crisis management programme. These measures propagate effective business continuity management.

6. Disclose any significant adverse impact to the environment, arising from the value chain of the entity. What mitigation or adaptation measures have been taken by the entity in this regard.

Given that the company is in the business of providing housing finance, there has been no adverse impact to the environment.

7. Percentage of value chain partners (by value of business done with such partners) that were assessed for environmental impacts.

None

8. Green Credits generated or procured by the listed entity and its top-10 value chain partners.

None

Directors' *Report*

PRINCIPLE 7: Businesses, when engaging in influencing public and regulatory policy, should do so in a manner that is responsible and transparent

Essential Indicators

1. a. Number of affiliations with trade and industry chambers/ associations.

We have membership with 1 trade and industry chamber/association

b. List the top 10 trade and industry chambers/ associations (determined based on the total members of such body) the entity is a member of/ affiliated to

Name of the trade and industry chambers/ associations	Reach of trade and industry chambers/ associations (State/National)
ASSOCHAM (The Associated Chambers of Commerce and Industry of India)	National

2. Provide details of corrective action taken or underway on any issues related to anti- competitive conduct by the entity, based on adverse orders from regulatory authorities

Not applicable

Name of Authority	Brief of the case	Corrective action taken
-	-	-

Leadership Indicators

1. Details of public policy positions advocated by the entity:

The company does not take part in lobbying and hasn't propagated any public policy positions.

Public Policy Advocated	Method resorted for such advocacy	Whether information available in public domain? (Yes/No)	Frequency of Review by Board (Annually/Half yearly/ Quarterly/ Others – please specify)	Web Link, if available
-	-	-	-	-

Directors' *Report*

PRINCIPLE 8: Businesses should promote inclusive growth and equitable development

Essential Indicators

1. Details of Social Impact Assessments (SIA) of projects undertaken by the entity based on applicable laws, in the current financial year.

Not applicable.

Name and brief details of project	SIA Notification No.	Date of notification	Whether conducted by independent external agency (Yes/No)	Results communicated in public domain (Yes/No)	Relevant Web link
-	-	-	-	-	-

2. Provide information on project(s) for which ongoing Rehabilitation and Resettlement (R&R) is being undertaken by your entity, in the following format:

Not applicable.

S. No.	Name of Project for which R&R is ongoing	State	District	No. of Project Affected Families (PAFs)	% of PAFs covered by R&R	Amounts paid to PAFs in the FY (in INR)
-	-	-	-	-	-	-

3. Describe the mechanisms to receive and redress grievances of the community.

Customer and Employee Grievance Redressal

For Customers: A structured, three-level grievance mechanism ensures timely resolution:

1. Branch Level: Customers can approach branch managers or contact customer service at 1800 3000 8425/8880549911 or write it to us at loanfirst@homefirstindia.com. for resolution within 7 working days.
2. Escalation to Central Team: Aggrieved customer not satisfied with the reply provided by the Branch Manager or concerns unresolved at Level 1 the customer can escalate it to the Central Customer Service Team at the following email address query@homefirstindia.com. The complaints are addressed by the Central Customer Service Team within 15 working days.
3. Grievance Redressal Officer: If the aggrieved customer is not satisfied with the reply provided by the Central Customer Service Team or in case no reply is received within the stipulated period, the Customer shall escalate its complaint with the Grievance Redressal Officer. Final escalation to the Grievance Redressal Officer, resolved within 30 working days.

For Employees: An open-door culture allows employees to address concerns directly with senior management. A dedicated grievance mechanism and whistleblower policy ensure accountability.

Grievance Redressal Mechanism

Lastly, a strong governance framework is not possible without a strong grievance redressal mechanism.

For Customers:
To ensure we provide the best customer service and address any concerns of the customer - we have a Customer Grievance Redressal policy. The objective of the policy is to have a clearly defined and easily accessible mechanism for dealing with and settlement of customer complaints and grievances through proper service delivery and review mechanisms and to ensure prompt redressal and review of customer grievances. The process and the policy are uploaded on our website for a wider audience.

Directors' Report

For Complaints and Grievances, you can contact as per the stages below:

Level-1
You can contact the nearest physical branch OR alternatively can call at 180030008425/8880549911 OR write to us at loanfirst@homefirstindia.com for any queries/ complaints. Our Branch Manager would reply within 7 working days from the date of receipt of the complaint with a copy to Regional Manager & Customer Service Department at Corporate office

Level – 2
In case we have not met your expectations at Level 1, you can escalate it to the Central Customer Service Team at the following email Id and we would ensure your issue/concern is resolved within 15 working days from the date of escalation or your issue.
Email id – query@homefirstindia.com

Level- 3
In unlikely scenario where you are not satisfied with resolution provided to you at Level-2, you can escalate the complaint to our Grievance Redressal Officer who would ensure that your issue is resolved to your satisfaction within 30 working days of receipt of the complaint in the Corporate Office.
You can connect us at the below mentioned address and email id:

Mr. Gaurav Mohta (Grievance Redressal Officer)
Home First Finance Company India Limited
511, Acme Plaza, Andheri Kurla Road,
Andheri (East)
Mumbai – 400 059
Phone: 8880549911
Email: complaints@homefirstindia.com

Alternative Remedy:
In case you are still unsatisfied with the resolution provided at Level-3 by our Grievance Redressal Team, pls feel free to approach the National Housing Bank (NHB) via the following modes:

- **Online mode:** https://grids.nhbonline.org.in
- **Offline mode:** Alternatively write to the National Housing Bank in a prescribed format available at https://nhb. org.in/complaint-cell-against-hfcs and post the same to:
  Complaint Redressal Cell
  National Housing Bank
  Department of Regulation and Supervision
  4th Floor, Core 5A,
  India Habitat Centre,
  Lodhi Road
  New Delhi – 110 003

- The complaints can also be mailed at crcell@nhb.org.in

For Insurance related complaints:

Step 1
Customer can raise their queries by writing to:

Central Customer Service Team:
- Address: 511, Acme Plaza, Andheri Kurla Road, Andheri (East), Mumbai – 400 059, or
- Call on Toll Free Number: 180030008425, or
- Email at: loanfirst@homefirstindia.com, or

Customer can even approach the nearest branch of the Company. (The letters/emails received by the branch to be sent to Central Customer Service Team – Head Office on an immediate basis. The customer will receive an acknowledgement within 2 days).

Directors' Report

Step 2
If the resolution received by the customer does not meet the expectation or has not received any response within 7 days from the date of raising the query, the Customer can escalate the query with the Principal Officer/Central Customer Service Team at query@homefirstindia.com.

Step 3
If the customer is still not satisfied with the resolution received, he/she can to write to our Grievance Redressal Officer, Mr. Gaurav Mohta at complaints@homefirstindia.com. The 14 days TAT will be considered from the date of receiving the complaint on complaints id.

Step 4
If customer is not satisfied with the reply provided by Grievance Redressal Officer too, then he/she can write to the concerned insurance companies' Grievance Redressal Officers (GRO). Click here for direct URL/link to access the GRO details.

Step 5
In-case customer's complaint remains unresolved by the insurer/the Company at any point of time he/she can:
- Register the complaint online at IRDAI's Bima Bharosa by visiting https://bimabharosa.irdai.gov.in/, or
- Call at IRDAI Grievance Call Centre (BIMA BHAROSA SHIKAYAT NIVARAN KENDRA): Toll Free Number 155255 or 18004254732, or Email to complaints@irdai.gov.in or
- Write to Insurance Regulatory and Development Authority of India, Consumer Affairs Department - Grievance Redressal Cell, Sy No.115/1, Financial District, Nanakramguda, Gachibowli, Hyderabad - 500 032.

Step 6
In rare cases, if the customer's complaint still remains unresolved, then he/she may take up the matter to the Insurance Ombudsman,
- **Online:** https://cioins.co.in/Complaint/Online or
- **Offline:** a) using email, b) via post or c) walk-in to Insurance Ombudsman Office. For details: https://www.cioins.co.in/Ombudsman.

For Investors:
We have an internally adopted Investor Grievance Policy. The investors/ shareholders can mail to the following address or alternatively call on the given landline number:

Home First Finance Company India Limited
Mr. Shreyans Bachhawat
Company Secretary, Compliance Officer and Head - Legal
511, Acme Plaza, Andheri Kurla Road,
Andheri East,
Mumbai 400 059
Email: corporate@homefirstindia.com
Tel No: +91 88805 49911

Investors / Shareholders can also register their queries/complaints on the below alternatives:

"SEBI Complaints Redress System"
https://scores.gov.in
https:/smartodr.in/login
KFin Technologies Limited (Share Transfer & Registrar Agent)
(formerly known as KFin Technologies Private Limited)
Selenium Tower-B Plot 31 & 32,
Financial District,
Nanakramguda,
Serilingampally Mandal,
Hyderabad – 500 032
Telangana, India
Email: einward.ris@kfintech.com

Directors' Report

CSR GRIEVANCES:

The Company ensures full transparency in its CSR activities and ethical standards for CSR activities are followed. However, in case any stakeholder has any input, queries, grievance or complaint against any CSR Initiative or any implementing agency they can write to the Company at csr@homefirstindia.com or contact us at +91 8880549911.

4. Percentage of input material (inputs to total inputs by value) sourced from suppliers:

Not applicable.

	FY26 (Current Financial Year)	FY25 (Previous Financial Year)
Directly sourced from MSMEs/ small producers	16.8%	16.0%
Directly from within India	80.4%	82.5%

5. Job creation in smaller towns – Disclose wages paid to persons employed (including employees or workers employed on a permanent or non-permanent / on contract basis) in the following locations, as % of total wage cost

Location	FY26 (Current Financial Year)	FY25 (Previous Financial Year)
Rural	-	-
Semi-urban	-	-
Urban	0.8%	0.9%
Metropolitan	99.2%	99.1%

Note: Place categorization is as per RBI Classification System (based on 2011 census- rural / semi-urban / urban / metropolitan.

Leadership Indicators

1. Provide details of actions taken to mitigate any negative social impacts identified in the Social Impact Assessments (Reference: Question 1 of Essential Indicators above):

Not applicable.

Details of negative social impact identified	Corrective action taken
-	-

2. Provide the following information on CSR projects undertaken by your entity in designated aspirational districts as identified by government bodies:

NIL

S. No.	State	Aspirational District	Amount Spent (in INR)
-	-	-	-

Directors' *Report*

3. a. Do you have a preferential procurement policy where you give preference to purchase from suppliers comprising marginalized /vulnerable groups? (Yes/No)
b. From which marginalized /vulnerable groups do you procure?
c. What percentage of total procurement (by value) does it constitute?

As a housing finance company focused on providing affordable housing finance to Economically Weaker Sections and Lower Income groups, our primary inputs revolve around financial resources and talent. Given the nature of our business, we predominantly deal in financial instruments rather than tangible raw materials.

On the Business Sourcing front:
Through our connector channel, the company has tie-ups with small businesses and local individuals in the construction eco-system etc. for generating leads, which contribute to more than 75% of the overall lead sourcing for the company.

On the Vendors front:
We have a procurement approach that prioritizes inclusivity and economic empowerment. On the vendors front, we actively encourage sourcing goods and services from Micro, Small and Medium Enterprises (MSMEs), recognizing their vital role in promoting entrepreneurship and supporting marginalized and vulnerable groups. Our procurement efforts aim to strengthen local and community-based enterprises. In FY26, approximately 17% of our vendor payments (by value) comprised of MSMEs, reflecting our commitment to inclusive growth and equitable business practices.

4. Details of the benefits derived and shared from the intellectual properties owned or acquired by your entity (in the current financial year), based on traditional knowledge:

Not available

S. No.	Intellectual Property based on traditional knowledge	Owned/ Acquired (Yes/No)	Benefit shared (Yes/No)	Basis of calculating benefit share
-	-	-	-	-

5. Details of corrective actions taken or underway, based on any adverse order in intellectual property related disputes wherein usage of traditional knowledge is involved.

Not applicable

Name of authority	Brief of the Case	Corrective action taken
-	-	-

6. Details of beneficiaries of CSR Projects:

S. No.	CSR Project Particulars	No. of persons benefitted from CSR Projects during the Year	% of beneficiaries from vulnerable and marginalized groups
1.	Project Sashakt- Catering to 6500+ families of migrant factory workers at Narol, Naroda and Lamba, Ahmedabad	10,500	100%
2.	Sashakt Skilling Center- Catering to vocation skilling courses like Self Employed Tailoring, Beauty Therapist, GST with Tally, etc	3,114	100%

Directors' *Report*

3.	School Development Projects: a. Education: Established 10 Sashakt Science Labs to impart STEM education to 10000+ beneficiaries b. Healthcare and Preventive Healthcare: Heath checkups in school, Menstrual & Puberty Awarness Camps c. Sustainability: 10,000+ Seed ball making in school	58,349	100%
4.	Narol & Naroda-Financial Literacy	16,272	100%
5.	**Mahila Shram Shakti Kendra**		
	Social Security	1,963	100%
	Health and Nutrition	3,476	100%
	Legal Aid and Education	3,433	100%
	Skill Training	592	100%
	Gender Sensitization	27 sessions	100%
6.	Simply Social- Employee Driven CSR	275	100%
7.	Installation of Solar Pumps and Drip Irrigation for marginal farmers	15	100%

Directors' *Report*

PRINCIPLE 9: Businesses should engage with and provide value to their consumers in a responsible manner.

Essential Indicators

1. Describe the mechanisms in place to receive and respond to consumer complaints and feedback.

As a service organization, customer service and customer satisfaction are of prime concern to Home First. We have a Customer Grievance Redressal policy. The objective of the policy is to have a clearly defined and easily accessible mechanism for dealing with and settlement of customer complaints and grievances through proper service delivery and review mechanism and to ensure prompt redressal and review of customer grievances.
All queries and complaints received at branches and through other communication channels are recorded in our CRM and the details of redressal of the same including turnaround times are placed before the Audit Committee every quarter for its review.

Escalation matrix:

The company has a three-level escalation matrix for handling customer grievances. Please refer question 3 of Principle 8 on page no 337 for escalation matrix.

2. Turnover of products and/ services as a percentage of turnover from all products/service that carry information about:

	As a percentage to total turnover
Environmental and social parameters relevant to the product	All our loan products and Most Important Terms and Conditions (MITCs) are completely transparent and disclose all product related details.
Safe and responsible usage	
Recycling and/or safe disposal	

3. Number of consumer complaints in respect of the following:

	FY26 (Current Financial Year)		Remarks	FY25 (Previous Financial Year)		Remarks
	Received during the year	Pending resolution at the end of year		Received during the year	Pending resolution at the end of year	
Data Privacy	NIL	NIL	NIL	NIL	NIL	NIL
Advertising						
Cyber-security						
Delivery of essential services						
Restrictive trade practices						
Unfair Trade Practices						
Other						

Directors' Report

4. Details of instances of product recalls on account of safety issues:

Not applicable

	Number	Reasons for recall
Voluntary recalls	-	-
Forced recalls	-	-

5. Does the entity have a framework/ policy on cyber security and risks related to data privacy? (Yes/No) If available, provide a web-link of the policy.

Yes. The company has board approved Information Technology Policy, Information Security Policy, Cyber Security Policy- these are available to internal stakeholders. These policy covers cyber security and risks related to data privacy. The Company also has Privacy Policy hosted on the website. Link : https://homefirstindia.com/privacy/. During the year the company also adopted a detailed and focused Internal data privacy policy for enhanced data security.

The Company also has an IT Strategy Committee headed by an Independent Director and coordinated by a senior officer for reviewing and management of the IT Strategic plans, Role Management of IT Team, Monitoring of Value delivery of IT resources, Project management of various ongoing projects, overall performance management of applications and utilization of IT Assets, IT Risk management on an ongoing basis. A formal review of IT Strategy Committee takes place at least once in six months.

6. Provide details of any corrective actions taken or underway on issues relating to advertising, and delivery of essential services; cyber security and data privacy of customers; re-occurrence of instances of product recalls; penalty / action taken by regulatory authorities on safety of products / services.

No penalties have been levied nor any regulatory actions have been taken for above related matter.

7. Provide the following information relating to data breaches:
- **a. Number of instances of data breaches**
- **b. Percentage of data breaches involving personally identifiable information of customers**
- **c. Impact, if any, of the data breaches**

There were no instances of data breach during the year.

Leadership Indicators

1. Channels / platforms where information on products and services of the entity can be accessed (provide web link, if available).

We have all product details on our website as well as on our Customer Portal App. Website link: HomeFirst

Further, we have marketing collaterals for communication and social media handles. We also had come up with Homefirst gyaan series (a customer education series on YouTube) for product knowledge.

2. Steps taken to inform and educate consumers about safe and responsible usage of products and/or services

We maintain high levels of transparency in our interactions with customers and this has helped us increase customer satisfaction and loyalty as reflected in our net promoter scores – 81 on an average for the FY26 (vs 82 in FY25). We conduct mandatory counselling sessions at our branches to educate customers on the key terms of their loan agreements and to familiarize them with the entire loan disbursement and repayment process. The counselling is carried out during the customer's visit to the branch.

Directors' Report

We have a Customer Portal App with wide variety of customer-friendly features such as making payment from the App, raising service requests, locating nearby branches, etc. As of 31st Mar,'26, 96% Customers were registered on the App with Average time spent by user on the app per session being 1m and 38 seconds and App rating was 4.3 (As on 17th Apr'26).

Considering the kind of customers we have; we prefer educating them during telephonic/in-person interaction in their preferred language and we reiterate the same using push notifications / SMS's etc. The Most Important Terms and Conditions (MITCs) form part of the loan agreement and it provides extensive information to the customers about their loan transaction.

We have created video tutorials in regional languages to help customers use online payment methods. Following links can be referred.

- English: https://bit.ly/3qrTSD3
- Tamil: https://youtu.be/tYqKuITyr3s
- Telugu: https://youtu.be/kWiG16ZAjfw
- Kannada: https://youtu.be/dm3Et25RYCU
- Marathi: https://youtu.be/zNSn0GEcFyY
- Gujarati: https://youtu.be/lokY2eAGPnI

3. Mechanisms in place to inform consumers of any risk of disruption/discontinuation of essential services.

SMS Intimation is sent to the customers to inform them about any disruption/discontinuation of essential services. Our Customer App and Website also ensured that the customer service continues without any hiccup. Throughout FY26, there was no disruption reported in customer services from the website and customer portal.

4. Does the entity display product information on the product over and above what is mandated as per local laws? (Yes/No/Not Applicable) If yes, provide details in brief. Did your entity carry out any survey with regard to consumer satisfaction relating to the major products / services of the entity, significant locations of operation of the entity or the entity as a whole? (Yes/No)

Yes. HomeFirst is customer focused and believes in being transparent in all our transactions.

Our loan agreement has the Key Fact Statements (KFS), Most Important Terms and Conditions (MITC) and they are also displayed in branches as well as hosted on our website. All customers have to read and sign the loan agreement at the time of loan sanction. We also display the processing fees and other charges in our branches as well as on our website. Further, we provide the easy pre-payment facilities for our customers through their mobile app.

We are a customer centric organization and believe in taking customer feedback for continuous improvement in our services. Customer satisfaction is measured on an ongoing basis and we capture Net Promoter Scores as a measure of customer satisfaction. We also disclose the net promoter scores in our quarterly investor presentation.

SGS India Private Limited
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INDEPENDENT ASSURANCE STATEMENT

Independent Assurance Statement to Home First Finance Company India Limited on its BRSR Core Report for FY 2025-26

The Board of Directors,

Home First Finance Company India Limited,
511 Acme Plaza, Opposite Sangam Cinema,
Near Metro Station, J B Nagar, Andheri East,
Mumbai, Maharashtra 400059, India.

Nature of the Assurance

SGS India Private Limited (hereinafter referred to as 'SGS India') was engaged by Home First Finance Company India Limited (the 'Company') to conduct an independent assurance of the Company's Business Responsibility and Sustainability Reporting (BRSR) (the 'Core Report') for the reporting period of April 1, 2025, to March 31, 2026. SGS India has conducted a Reasonable level of Assurance for the BRSR core indicators. This assurance engagement was conducted in accordance with International Standard on Assurance Engagements (ISAE) 3000 (Revised) and ISAE 3410.

Reporting Framework

The Report has been prepared following

1. BRSR Core and Non-Core Framework for Assurance and ESG Disclosures for Value Chain (Circular No. HO/49/14/14(7)2025-CFD-POD2/I/3762/2026), dated 30 January 2026 circular.
2. Greenhouse Gas Protocol: A Corporate Accounting and Reporting Standard.

Intended Users of this Assurance Statement

This Assurance Statement is provided with the intention of informing all Home First Finance Company India Limited internal and external Stakeholders.

Responsibilities

The information in the report and its presentation is the responsibility of the Company's management. SGS India has not been involved in the preparation of any of the material included in the report.

Our responsibility is to express an opinion on the text, data, and statements within the defined scope of assurance, aiming to inform the management of the Company, and in alignment with the agreed terms of reference. We do not accept or assume any responsibility beyond this specific scope. The Statement shall not be used for interpreting the overall performance of the Company, except for the aspects explicitly mentioned within the scope.

Assurance Standard

SGS has conducted a Reasonable level of Assurance for BRSR core parameters under 9 ESG Attributes, including essential indicators as specified under BRSR Core and amendments made as on date. This engagement was performed in accordance with the International Standard on Assurance Engagement (ISAE) 3000 (revised) and ISAE 3410 (Assurance Engagements other than Audits or Reviews of Historical Financial Information).

Our evidence-gathering procedures were designed to obtain a 'Reasonable' level of assurance, which is a high level of assurance

in accordance with ISAE 3000(revised) standard, but is not absolute certainty. It involves obtaining sufficient appropriate evidence to support the conclusion that the information presented in the report is fairly stated and is free from material misstatements.

Statement of Independence and Competence

The SGS Group of companies is the world leader in inspection, testing, and assurance, operating in more than 140 countries and providing services including management systems and service certification; quality, environmental, social, and ethical auditing and training; and environmental, social, and sustainability report assurance. SGS India affirms our independence from Home First Finance Company India Limited, being free from bias and conflicts of interest with the organization, its subsidiaries, and stakeholders.

The assurance team was assembled based on their knowledge, experience, and qualifications for this assignment, and comprised auditors registered with ISO 26000, ISO 20121, ISO 50001, SA8000, RBA, QMS, EMS, SMS, GPMS, CFP, WFP, GHG Verification, and GHG Validation Lead Auditors, and experience on the SRA Assurance.

Scope of Assurance

The assurance process involved assessing the quality, accuracy, and reliability of BRSR Core Indicators, including all KPI's within the report for the period April 1, 2025, to March 31, 2026. The reporting scope and boundaries include Home First Finance Company India Limited, offices spread across India.

Assurance Methodology

The assurance comprised a combination of desktop review, interaction with the key personnel engaged in the process of developing the report, on-site visits, and remote verification of data. Specifically, SGS India undertook the following activities:

- Assessment of the suitability of the applicable criteria in terms of their comprehensiveness, reliability, and accuracy.
- Interaction with key personnel responsible for collecting, consolidating, and calculating the BRSR core and essential indicators, and assessing the internal control mechanisms in place to ensure data quality.
- Application of analytical procedures and verification of documents on a sample basis for the compilation and reporting of the KPIs.
- Assessing the aggregation process of data at the Head Office level.
- Critical review of the report regarding the plausibility and consistency of qualitative and quantitative information related to the KPIs.

Limitations

SGS India did not come across any limitation to the agreed scope of the assurance engagement. SGS India verified data on a sample basis; the responsibility for the authenticity of the data entirely lies with the Company. The assurance scope excluded forward-looking statements, product- or service-related information, external information sources, and expert opinions. SGS India has not been involved in the evaluation or assessment of any financial data/performance of the company. Our opinion on financial indicators is based on the third-party financial reports audited by the Company. SGS India does not take any responsibility for the financial data reported in the audited financial reports of the Company.

The assurance scope excludes:

- Disclosures other than those mentioned in the assurance scope.
- Data reviews outside the operational sites as mentioned in the reporting boundary.
- Validation of any data and information other than those presented in "Findings and Conclusions."
- The assurance engagement considers an uncertainty of ±5% based on the materiality threshold for Assumption/ estimation/measurement errors and omissions.
- The Company's statements that describe the expression of opinion, belief, aspiration, expectation, aim to future intention provided by the Company, and assertions related to Intellectual Property Rights and other competitive issues.
- Mapping of the Report with reporting frameworks other than those mentioned in the Reporting Criteria above.

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Vikhroli (West), Mumbai – 400083

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Findings and Conclusions

Based on the procedures we have performed and the evidence we have obtained, we are satisfied that the information presented by the Company in its report (as per the table below) is complete, accurate, reliable, fairly stated in all material respects, and is prepared in line with the BRSR requirements.

The list of BRSR Core Indicators that were verified within this assurance engagement is given below:

Sr.No.	BRSR Core Attribute	BRSR Core Indicator
1	Greenhouse gas (GHG) footprint	≈ Total scope 1 emissions ≈ Total scope 2 emissions ≈ GHG emission intensity (scope 1 +2)
2	Water footprint	≈ Total water consumption ≈ Water consumption intensity ≈ Water discharge by destination and levels of treatment
3	Energy footprint	≈ Total energy consumed ≈ % of energy consumed from renewable sources ≈ Energy intensity
4	Embracing circularity	≈ Plastic waste ≈ E-waste ≈ Bio medical waste ≈ Construction and demolition waste ≈ Battery waste ≈ Radioactive waste ≈ Other hazardous waste ≈ Other non-hazardous waste ≈ Total waste generated ≈ Waste intensity ≈ Each category of waste generated, total waste recovered through recycling, re-using or other recovery operations. ≈ For each category of waste generated, the total waste disposed of by the nature of the disposal method
5	Employee well-being and safety	≈ Spending on measures towards the well-being of employees as a % of the total revenue of the Company ≈ Details of safety-related incidents for employees
6	Enabling gender diversity in business	≈ Gross wages paid to females as % of wages paid. ≈ Complaints on POSH
7	Enabling inclusive development	≈ Input material sourced from MSMES/ small producers as % of total purchases. ≈ Job creation in smaller towns: Wages paid to people employed in smaller towns as % of total wage cost
8	Fairness in engaging with customers and suppliers	≈ Instances involving loss/breach of data of customers as a percentage of total data breaches or cybersecurity events. ≈ Number of days of accounts payable
9	Openness of business	≈ Concentration of purchases & sales done with trading houses, dealers, and related parties ≈ Loans and advances & investments with related parties

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For and on behalf of SGS India Private Limited

	
Kalpesh Thombare Technical Reviewer and National Manager – ESG & Sustainability Services, SGS India. 19th May 2026.	**Chirag Bafna** Lead Verifier – ESG & Sustainability Services, SGS India. 19th May 2026.

Financial Statements

“Earlier, paying rent was very difficult, but now that I have built my own home, I am at ease.”

Radhamma

Occupation	Location	Product	Loan Amount
Retail Flower Vendor	Bangalore	Home Construction Loan	₹ 8 Lakhs



Customers Speak

Auditors *Report*

INDEPENDENT AUDITOR'S REPORT

TO THE MEMBERS OF HOME FIRST FINANCE COMPANY INDIA LIMITED

Report on the Audit of the Financial Statements

Opinion

We have audited the financial statements of Home First Finance Company India Limited (the "Company") which comprise the balance sheet as at 31 March 2026, and the statement of profit and loss (including other comprehensive income), statement of changes in equity and statement of cash flows for the year then ended, and notes to the financial statements, including material accounting policies and other explanatory information.

In our opinion and to the best of our information and according to the explanations given to us, the aforesaid financial statements give the information required by the Companies Act, 2013 ("Act") in the manner so required and give a true and fair view in conformity with the accounting principles generally accepted in India, of the state of affairs of the Company as at 31 March 2026, and its profit and other comprehensive income, changes in equity and its cash flows for the year ended on that date.

Basis for Opinion

We conducted our audit in accordance with the Standards on Auditing (SAs) specified under Section 143(10) of the Act. Our responsibilities under those SAs are further described in the Auditor's Responsibilities for the Audit of the Financial Statements section of our report. We are independent of the Company in accordance with the Code of Ethics issued by the Institute of Chartered Accountants of India together with the ethical requirements that are relevant to our audit of the financial statements under the provisions of the Act and the Rules thereunder, and we have fulfilled our other ethical responsibilities in accordance with these requirements and the Code of Ethics. We believe that the audit evidence we have obtained is sufficient and appropriate to provide a basis for our opinion on the financial statements.

Key Audit Matters

Key audit matters are those matters that, in our professional judgment, were of most significance in our audit of the financial statements of the current period. These matters were addressed in the context of our audit of the financial statements as a whole, and in forming our opinion thereon, and we do not provide a separate opinion on these matters.

Impairment loss allowance on loans	
Refer to the accounting policies in "Note 1.2 (iii) to the financial statements: Impairment of financial assets", "Note 1.3 (i) Financial instruments: Impairment of financial assets", "Note 5 to the financial statements: Loans" and "Note 28 to the financial statements: Impairment on financial instruments."	
The key audit matter	**How the matter was addressed in our audit**
Impairment loss allowance on loans of ₹ 1,050.12 million as at 31 March 2026 Charge to the statement of profit and loss - ₹ 239.42 million for the year ended 31 March 2026 Recognition and measurement of impairment of loans involve significant judgements made by the Company.	In view of the significance of the matter we applied the following audit procedures in this area, among others to obtain appropriate and sufficient audit evidence: Testing of design, implementation and operating effectiveness of controls: Performed end to end process walkthroughs to identify the key systems, applications and controls used in the ECL computation process. Tested the relevant manual, general IT and application controls over key systems used in the ECL computation process.

Auditors *Report*

Under Ind AS 109, Financial Instruments, impairment loss allowance is determined using expected credit loss ('ECL') estimation model. The estimation of ECL on loans involves significant judgement and estimates. The key areas where we identified greater levels of judgement and therefore increased levels of audit focus in the Company's estimation of ECL are: **a) Data inputs -** The application of ECL model requires several data inputs. This increases the risk of completeness and accuracy of the data used to create assumptions in the model. **b) Model estimations -** Models are used to estimate ECL which involves determining Probabilities of Default ('PD') and Loss Given Default ('LGD'). The PD and the LGD are the key drivers of estimation complexity in ECL and as a result are considered the most significant judgmental aspect of the Company's modelling approach. **c) Economic scenarios -** Ind AS 109 requires the Company to measure ECL on an unbiased forward-looking basis reflecting a range of future economic conditions. Significant judgement is applied in determining the economic scenarios and the probability weights applied to them. **d) Management judgment-based provisions -** Incremental to the model derived ECL, management makes provision based on specific data points and estimates to address risks not captured by models for specific exposures. The underlying forecasts and assumptions used in the estimates of impairment loss allowance are subject to uncertainties which are often outside the control of the Company. **Disclosures:** The disclosures regarding the Company's application of Ind AS 109 are important in explaining the judgments	Key aspects of our controls testing involved the following: • Tested the design, implementation and operating effectiveness of the controls over the completeness and accuracy of the key data inputs and assumptions into the Ind AS 109 ECL model. • Tested governance controls over evaluation, implementation and model monitoring in line with the guidelines issued by Reserve Bank of India ('RBI'). • Tested the design, implementation and operating effectiveness of the key controls over the application of the staging criteria. • Tested the design and implementation of the key controls over measurement of ECL and related disclosures in the financial statements. • Tested the design and implementation of the key controls relating to selection and consideration of macro-economic variables and the controls over the application of probability weights. • Tested the design, implementation and operating effectiveness of the key controls related to the completeness and accuracy of the information used in the computation of ECL. • Tested the design, implementation and operating effectiveness of the controls over authorisation and computation of the management judgment-based provisions. Test of details: Key aspects of our testing included: • Assessed the Company's rationale for determination of criteria for significant increase in credit risk. • Tested samples over key data inputs and assumptions impacting ECL computation to assess the completeness, accuracy and relevance of data, economic forecasts, probability weights and model assumptions applied.

Auditors *Report*

and inputs involved in the derivation of ECL as required under Ind AS 109. Given the size of loan portfolio relative to the balance sheet, subjectivity involved in estimation and the impact of impairment loss allowance on loans on the financial statements, we have considered this as a key audit matter.	• Tested computation of model-driven ECL through re-performance on a sample basis. • Tested samples over data used for assessing the judgments made in respect of methodologies, segmentation, determination of exposure at default. • Tested details of management judgment-based provisions considering the size and complexity of such provisions recorded by the Company. • Assessed the adjustments made by the Company by challenging key assumptions, methodology and tracing sample of the data used back to source data. • Assessed the completeness and factual accuracy of the disclosures made by the Company in the financial statements. Involvement of specialists: We involved financial risk modelling specialists for the following: • Evaluating the Company's Ind AS 109 impairment methodologies and assumptions used. • Evaluating the relevance of inputs used in the model for computation of ECL.

Information Technology ('IT') systems and controls related to financial reporting	
The key audit matter	**How the matter was addressed in our audit**
The Company's key financial accounting and reporting processes are highly dependent on information systems including automated controls in these systems. There exists a risk in the IT control environment which could result in the financial accounting and reporting records being misstated.	In view of the significance of the matter, we applied the following audit procedures in this area, among others to obtain sufficient audit evidence for scoped in applications by involving our IT specialist:

Auditors *Report*

We have identified 'IT systems and controls' as a key audit matter considering the high level of automation and the complexity of the IT architecture. Further, it impacts overall financial reporting process and the regulatory expectation on automation.	• Evaluated and tested the design, implementation and operating effectiveness of the IT application automated controls as relevant for our audit of the financial statements and financial reporting process of the Company. • Evaluated and tested the design, implementation and operating effectiveness of key General IT Controls of the in-scope IT systems. This included controls on access management, change management and computer operations. • Tested the design, implementation and operating effectiveness of key controls over user access management. This included access authentication through password configuration management, granting or modification of user access, creating new users, deactivating user access for exiting users, user access and privileged access examination basis their role and function. • Tested the controls over changes to applications including access to configure changes, approvals required to deploy the changes, segregation of environment and segregation of duties in change management. Based on procedures performed above, wherever required, we extended our audit procedures over other IT application automated controls, periodic reconciliations, manual approval processes, tests on identified key changes and additional substantive testing.

Other Information

The Company's Management and Board of Directors are responsible for the other information. The other information comprises the information included in the annual report, but does not include the financial statements and auditor's report thereon. The annual report is expected to be made available to us after the date of this auditor's report.

Our opinion on the financial statements does not cover the other information and we will not express any form of assurance conclusion thereon.

In connection with our audit of the financial statements, our responsibility is to read the other information identified above when it becomes available and, in doing so, consider whether the other information is materially inconsistent with the financial statements or our knowledge obtained in the audit, or otherwise appears to be materially misstated.

Auditors *Report*

When we read the annual report, if we conclude that there is a material misstatement therein, we are required to communicate the matter to those charged with governance and take necessary actions, as applicable under the relevant laws and regulations.

Management's and Board of Directors' Responsibilities for the Financial Statements

The Company's Management and Board of Directors are responsible for the matters stated in Section 134(5) of the Act with respect to the preparation of these financial statements that give a true and fair view of the state of affairs, profit/ loss and other comprehensive income, changes in equity and cash flows of the Company in accordance with the accounting principles generally accepted in India, including the Indian Accounting Standards (Ind AS) specified under Section 133 of the Act. This responsibility also includes maintenance of adequate accounting records in accordance with the provisions of the Act for safeguarding of the assets of the Company and for preventing and detecting frauds and other irregularities; selection and application of appropriate accounting policies; making judgments and estimates that are reasonable and prudent; and design, implementation and maintenance of adequate internal financial controls, that were operating effectively for ensuring the accuracy and completeness of the accounting records, relevant to the preparation and presentation of the financial statements that give a true and fair view and are free from material misstatement, whether due to fraud or error.

In preparing the financial statements, the Management and Board of Directors are responsible for assessing the Company's ability to continue as a going concern, disclosing, as applicable, matters related to going concern and using the going concern basis of accounting unless the Board of Directors either intends to liquidate the Company or to cease operations, or has no realistic alternative but to do so.

The Board of Directors is also responsible for overseeing the Company's financial reporting process.

Auditor's Responsibilities for the Audit of the Financial Statements

Our objectives are to obtain reasonable assurance about whether the financial statements as a whole are free from material misstatement, whether due to fraud or error, and to issue an auditor's report that includes our opinion. Reasonable assurance is a high level of assurance, but is not a guarantee that an audit conducted in accordance with SAs will always detect a material misstatement when it exists. Misstatements can arise from fraud or error and are considered material if, individually or in the aggregate, they could reasonably be expected to influence the economic decisions of users taken on the basis of these financial statements.

As part of an audit in accordance with SAs, we exercise professional judgment and maintain professional skepticism throughout the audit. We also:

• Identify and assess the risks of material misstatement of the financial statements, whether due to fraud or error, design and perform audit procedures responsive to those risks, and obtain audit evidence that is sufficient and appropriate to provide a basis for our opinion. The risk of not detecting a material misstatement resulting from fraud is higher than for one resulting from error, as fraud may involve collusion, forgery, intentional omissions, misrepresentations, or the override of internal control.

• Obtain an understanding of internal control relevant to the audit in order to design audit procedures that are appropriate in the circumstances. Under Section 143(3)(i) of the Act, we are also responsible for expressing our opinion on whether the company has adequate internal financial controls with reference to financial statements in place and the operating effectiveness of such controls.

• Evaluate the appropriateness of accounting policies used and the reasonableness of accounting estimates and related disclosures made by the Management and Board of Directors.

• Conclude on the appropriateness of the Management and Board of Directors use of the going concern basis of accounting in preparation of financial statements and, based on the audit evidence obtained, whether a material uncertainty exists related to events or conditions that may cast significant doubt on the Company's ability to continue as a going concern. If we conclude that a material uncertainty exists, we are required to draw attention in our auditor's report to the related disclosures in the

Auditors *Report*

financial statements or, if such disclosures are inadequate, to modify our opinion. Our conclusions are based on the audit evidence obtained up to the date of our auditor's report. However, future events or conditions may cause the Company to cease to continue as a going concern.

• Evaluate the overall presentation, structure and content of the financial statements, including the disclosures, and whether the financial statements represent the underlying transactions and events in a manner that achieves fair presentation.

We communicate with those charged with governance regarding, among other matters, the planned scope and timing of the audit and significant audit findings, including any significant deficiencies in internal control that we identify during our audit.

We also provide those charged with governance with a statement that we have complied with relevant ethical requirements regarding independence, and to communicate with them all relationships and other matters that may reasonably be thought to bear on our independence, and where applicable, related safeguards.

From the matters communicated with those charged with governance, we determine those matters that were of most significance in the audit of the financial statements of the current period and are therefore the key audit matters. We describe these matters in our auditor's report unless law or regulation precludes public disclosure about the matter or when, in extremely rare circumstances, we determine that a matter should not be communicated in our report because the adverse consequences of doing so would reasonably be expected to outweigh the public interest benefits of such communication.

Report on Other Legal and Regulatory Requirements

1. As required by the Companies (Auditor's Report) Order, 2020 ("the Order") issued by the Central Government of India in terms of Section 143(11) of the Act, we give in the "Annexure A" a statement on the matters specified in paragraphs 3 and 4 of the Order, to the extent applicable.

2 A. As required by Section 143(3) of the Act, we report that:

a. We have sought and obtained all the information and explanations which to the best of our knowledge and belief were necessary for the purposes of our audit.

b. In our opinion, proper books of account as required by law have been kept by the Company so far as it appears from our examination of those books, except for the matter stated in the paragraph 2(B)(f) below on reporting under Rule 11(g) of the Companies (Audit and Auditors) Rules, 2014 and that the back-up of the audit trail records at the application level for the books of accounts relating to loan origination and loan management system has not been kept on servers physically located in India on a daily basis for the period from 1 April 2025 to 9 March 2026.

c. The balance sheet, the statement of profit and loss (including other comprehensive income), the statement of changes in equity and the statement of cash flows dealt with by this Report are in agreement with the books of account.

d. In our opinion, the aforesaid financial statements comply with the Ind AS specified under Section 133 of the Act.

e. On the basis of the written representations received from the directors as on 1 April 2026 taken on record by the Board of Directors, none of the directors is disqualified as on 31 March 2026 from being appointed as a director in terms of Section 164(2) of the Act.

f. the observation relating to the maintenance of accounts and other matters connected therewith are as stated in the paragraph 2A(b) above on reporting under Section 143(3)(b) of the Act and paragraph 2B(f) below on reporting under Rule 11(g) of the Companies (Audit and Auditors) Rules, 2014.

g. With respect to the adequacy of the internal financial controls with reference to financial statements of the Company and the operating effectiveness of such controls, refer to our separate Report in "Annexure B".

Auditors *Report*

B. With respect to the other matters to be included in the Auditor's Report in accordance with Rule 11 of the Companies (Audit and Auditors) Rules, 2014, in our opinion and to the best of our information and according to the explanations given to us:

a. The Company does not have any pending litigations which would impact its financial position.

b. The Company has made provision, as required under the applicable law or accounting standards, for material foreseeable losses, if any, on long-term contracts including derivative contracts – Refer Note 46 (iii) to the financial statements.

c. There were no amounts which were required to be transferred to the Investor Education and Protection Fund by the Company.

d. (i) The management has represented that, to the best of its knowledge and belief, as disclosed in the Note 54(a) to the financial statements, no funds have been advanced or loaned or invested (either from borrowed funds or share premium or any other sources or kind of funds) by the Company to or in any other person(s) or entity(ies), including foreign entities ("Intermediaries"), with the understanding, whether recorded in writing or otherwise, that the Intermediary shall directly or indirectly lend or invest in other persons or entities identified in any manner whatsoever by or on behalf of the Company ("Ultimate Beneficiaries") or provide any guarantee, security or the like on behalf of the Ultimate Beneficiaries.

(ii) The management has represented that, to the best of its knowledge and belief, as disclosed in the Note 54(b) to the financial statements, no funds have been received by the Company from any person(s) or entity(ies), including foreign entities ("Funding Parties"), with the understanding, whether recorded in writing or otherwise, that the Company shall directly or indirectly, lend or invest in other persons or entities identified in any manner whatsoever by or on behalf of the Funding Parties ("Ultimate Beneficiaries") or provide any guarantee, security or the like on behalf of the Ultimate Beneficiaries.

(iii) Based on the audit procedures that have been considered reasonable and appropriate in the circumstances, nothing has come to our notice that has caused us to believe that the representations under sub-clause (i) and (ii) of Rule 11(e), as provided under (i) and (ii) above, contain any material misstatement.

e. The final dividend paid by the Company during the year, in respect of the same declared for the previous year, is in accordance with Section 123 of the Act to the extent it applies to payment of dividend.

As stated in Note 20 (vii) to the financial statements, the Board of Directors of the Company has proposed final dividend for the year which is subject to the approval of the members at the ensuing Annual General Meeting. The dividend declared is in accordance with Section 123 of the Act to the extent it applies to declaration of dividend.

f. Based on our examination which included test checks, the Company has used accounting softwares for maintaining its books of account which have a feature of recording audit trail (edit log) facility and the same has been operated throughout the year for all relevant transactions recorded in the respective softwares except for the audit trail feature at the database level to log any direct data changes in the accounting software used for maintaining the books of account relating to loan origination and loan management due to the absence of sufficient and appropriate reporting on compliance with the audit trail requirements at the database level in the independent auditor's report of a third party operated service organization.

Further, for the periods where audit trail (edit log) facility was enabled and operated for the respective accounting softwares, we did not come across any instance of audit trail feature being tampered with.

Additionally, the audit trail has been preserved by the Company as per the statutory requirements for record retention except for the periods where audit trail was not enabled for the respective software in the prior years.

C. With respect to the matter to be included in the Auditor's Report under Section 197(16) of the Act:

In our opinion and according to the information and explanations given to us, the remuneration paid by the

Auditors *Report*

Company to its directors during the current year is in accordance with the provisions of Section 197 of the Act.

The remuneration paid to any director is not in excess of the limit laid down under Section 197 of the Act. The Ministry of Corporate Affairs has not prescribed other details under Section 197(16) of the Act which are required to be commented upon by us.

For **B S R & Co. LLP**
Chartered Accountants
Firm's Registration No.:101248W/W-100022

Ashwin Suvarna
Partner
Membership No.: 109503
ICAI UDIN: 26109503NJLCJY5544

Place: Udupi
Date: 06 May 2026

Auditors *Report*

Annexure A to the Independent Auditor's Report on the Financial Statements of Home First Finance Company India Limited for the year ended 31 March 2026

(Referred to in paragraph 1 under 'Report on Other Legal and Regulatory Requirements' section of our report of even date)

(i) (a) (A) The Company has maintained proper records showing full particulars, including quantitative details and situation of Property, Plant and Equipment.

(B) The Company has maintained proper records showing full particulars of intangible assets.

(b) According to the information and explanations given to us and on the basis of our examination of the records of the Company, the Company has a regular programme of physical verification of its Property, Plant and Equipment by which all property, plant and equipment are verified in a phased manner over a period of three years. In accordance with this programme, certain property, plant and equipment were verified during the year. In our opinion, this periodicity of physical verification is reasonable having regard to the size of the Company and the nature of its assets. No material discrepancies were noticed on such verification.

(c) The Company does not have any immovable property (other than immovable properties where the Company is the lessee and the leases agreements are duly executed in favour of the lessee). Accordingly, clause 3(i)(c) of the Order is not applicable.

(d) According to the information and explanations given to us and on the basis of our examination of the records of the Company, the Company has not revalued its Property, Plant and Equipment (including Right of Use assets) or intangible assets or both during the year.

(e) According to the information and explanations given to us and on the basis of our examination of the records of the Company, there are no proceedings initiated or pending against the Company for holding any benami property under the Prohibition of Benami Property Transactions Act, 1988 and rules made thereunder.

(ii) (a) The Company is a service company, primarily rendering financial services by providing loans towards affordable housing segment in India. Accordingly, it does not hold any physical inventories. Accordingly, clause 3(ii)(a) of the Order is not applicable.

(b) According to the information and explanations given to us and on the basis of our examination of the records of the Company, the Company has been sanctioned working capital limits in excess of five crore rupees, in aggregate, from banks or financial institutions on the basis of security of current assets. In our opinion, the quarterly returns or statements filed by the Company with such banks or financial institutions are in agreement with the books of account of the Company.

(iii) According to the information and explanations given to us and on the basis of our examination of the records of the Company, the Company has not granted advances in the nature of loans or provided any guarantee or security to companies, firms, limited liability partnership or any other parties during the year. The Company has made investments, granted loans, secured or unsecured to companies, limited liability partnership and other parties in respect of which the requisite information is as below:

(a) According to the information and explanations given to us and on the basis of our examination of the records of the Company, the Company's principal business is to give loans. Accordingly, clause 3(iii)(a) of the Order is not applicable.

(b) According to the information and explanations given to us and based on the audit procedures conducted by us, in our opinion, the investments made during the year and the terms and conditions of the grant of loans during the year are not prejudicial to the interest of the Company. Further, the Company has not provided any guarantee or security or advances in the nature of loans to companies, firms, limited liability partnership, or other parties during the year.

(c) According to the information and explanations given to us and on the basis of our examination of the records of the Company, in the case of loans given, in our opinion the repayment of principal and payment of interest has been stipulated and the receipts have been regular except for the following:

Auditors *Report*

Count of loans	Amount (₹ in million)	Due Date	Extent of delay #	Remarks, if any
3,457	1,962.72	Various due dates	1 to 30 days	-
2,532	1,594.28	Various due dates	31 to 60 days	-
765	430.36	Various due dates	61 to 90 days	-
3,795	2,174.69	Various due dates	91 days and above	-

Extent of delay is based on days past due status of loans as on 31 March 2026.
Further, the Company has not given any advance in the nature of loan to any party during the year.

(d) According to the information and explanations given to us and on the basis of our examination of the records of the Company, there is no overdue amount for more than ninety days in respect of loans given except amount of ₹ 1,996.23 million (principal amount) and ₹ 178.46 million (interest) overdue for more than ninety days as at 31 March 2026. In our opinion, reasonable steps have been taken by the Company for recovery of the principal and interest. Further, the Company has not given any advance in the nature of loan to any party during the year.

(e) According to the information and explanations given to us and on the basis of our examination of the records of the Company, the Company's principal business is to give loans. Accordingly, clause 3(iii)(e) of the Order is not applicable.

(f) According to the information and explanations given to us and on the basis of our examination of the records of the Company, the Company has not granted any loans or advances in the nature of loans either repayable on demand or without specifying any terms or period of repayment.

(iv) According to the information and explanations given to us and on the basis of our examination of the records of the Company, the Company has not given any loans, or provided any guarantee or security as specified under Section 185 of the Companies Act, 2013 (the 'Act'). In respect of the investments made by the Company, in our opinion, the provisions of Section 186 (1) of the Act have been complied with. The remaining provisions related to section 186 of the Act do not apply to the Company as it is a Housing Finance Company registered with the National Housing Bank ('NHB').

(v) The Company has not accepted any deposits or amounts which are deemed to be deposits from the public. Accordingly, clause 3(v) of the Order is not applicable.

(vi) According to the information and explanations given to us, the Central Government has not prescribed the maintenance of cost records under Section 148(1) of the Act for the services provided by it. Accordingly, clause 3(vi) of the Order is not applicable.

(vii) (a) The Company does not have liability in respect of Service tax, Duty of excise, Sales tax and Value added tax during the year since effective 1 July 2017, these statutory dues has been subsumed into GST.

According to the information and explanations given to us and on the basis of our examination of the records of the Company, in our opinion, the undisputed statutory dues including Goods and Services Tax, Provident Fund, Income-Tax or Cess or other statutory dues have generally been regularly deposited by the Company with the appropriate authorities.

According to the information and explanations given to us and on the basis of our examination of the records of the Company, no undisputed amounts payable in respect of Goods and Services Tax, Provident Fund, Income-Tax or Cess or other statutory dues were in arrears as at 31 March 2026 for a period of more than six months from the date they became payable.

(b) According to the information and explanations given to us and on the basis of our examination of the records of the Company, statutory dues relating to Goods and Services Tax, Provident Fund, IncomeTax, or Cess or other statutory dues which have not been deposited on account of any dispute are as follows:

Auditors *Report*

Name of the statute	Nature of the dues	Amount (₹ in million)	Period to which the amount relates	Forum where dispute is pending	Remarks, if any
The Income tax Act, 1961	Income tax	35.97	Financial year ended 31 March 2024	Commissioner of Income Tax (Appeals)	None
The Goods and Services Tax Act, 2017	Goods and service tax (Gujarat)	1.07	Financial year ended 31 March 2019	GST Appellate Authority	None
The Goods and Services Tax Act, 2017	Goods and service tax (Karnataka)	1.00	Financial years ended 31 March 2021 and 31 March 2022	GST Appellate Authority	None
The Goods and Services Tax Act, 2017	Goods and service tax (Tamil Nadu)	0.48	Financial year ended 31 March 2020	GST Appellate Authority	None
The Goods and Services Tax Act, 2017	Goods and service tax (Tamil Nadu)	1.38	Financial year ended 31 March 2021	GST Appellate Authority	None
The Goods and Services Tax Act, 2017	Goods and service tax (Gujarat)	1.20	Financial year ended 31 March 2022	GST Appellate Authority	None

(viii) According to the information and explanations given to us and on the basis of our examination of the records of the Company, the Company has not surrendered or disclosed any transactions, previously unrecorded as income in the books of account, in the tax assessments under the Income Tax Act, 1961 as income during the year.

(ix) (a) According to the information and explanations given to us and on the basis of our examination of the records of the Company, the Company has not defaulted in repayment of loans and borrowing or in the payment of interest thereon to any lender.

(b) According to the information and explanations given to us and on the basis of our examination of the records of the Company, the Company has not been declared a wilful defaulter by any bank or financial institution or government or government authority.

(c) In our opinion and according to the information and explanations given to us by the management, term loans were applied for the purpose for which the loans were obtained, though idle/surplus funds which were not required for immediate utilisation were invested in liquid assets.

(d) According to the information and explanations given to us and on an overall examination of the financial statements of the Company, we report that no funds raised on short-term basis have been used for long-term purposes by the Company.

(e) The Company does not hold any investment in any subsidiaries, associates or joint ventures (as defined under the Act) during the year ended 31 March 2026. Accordingly, clause 3(ix)(e) is not applicable.

(f) The Company does not hold any investment in any subsidiaries, associates or joint ventures (as defined under the Act) during the year ended 31 March 2026.

Auditors *Report*

Accordingly, clause 3(ix)(f) is not applicable.

(x) (a) The Company has not raised any moneys by way of initial public offer or further public offer (including debt instruments) during the year. Accordingly, clause 3(x)(a) of the Order is not applicable.

(b) According to the information and explanations given to us and on the basis of our examination of the records of the Company, the Company has not made any preferential allotment of equity shares or fully or partly convertible debentures during the year. In our opinion, in respect of private placement of equity shares made during the year, the Company has duly complied with the requirements of Section 42 and Section 62 of the Act. The proceeds from issue of equity shares have been used for the purposes for which the funds were raised.

(xi) (a) During the course of our examination of the books and records of the Company and according to the information and explanations given to us, no fraud by the Company or on the Company has been noticed or reported during the year except that management has reported to us fraud amounting to Rs. 27.15 million with respect to the fraud suspected in the previous year wherein two employees of the Company had sanctioned loans to customers by misrepresenting the information on the underlying properties and impersonating the seller. These loans have been written off by the Company.

(b) A report under sub-section (12) of Section 143 of the Act has been filed by us in the previous year in Form ADT-4 as prescribed under Rule 13 of the Companies (Audit and Auditors) Rules, 2014 with the Central Government.

(c) We have taken into consideration the whistle blower complaints received by the Company during the year while determining the nature, timing and extent of our audit procedures.

(xii) According to the information and explanations given to us, the Company is not a Nidhi Company. Accordingly, clause 3(xii) of the Order is not applicable.

(xiii) In our opinion and according to the information and explanations given to us, the transactions with related parties are in compliance with Section 177 and 188 of the Act, where applicable, and the details of the related party transactions have been disclosed in the financial statements as required by the applicable accounting standards.

(xiv) (a) Based on information and explanations provided to us and our audit procedures, in our opinion, the Company has an internal audit system commensurate with the size and nature of its business.

(b) We have considered the internal audit reports of the Company issued till date for the period under audit.

(xv) In our opinion and according to the information and explanations given to us, the Company has not entered into any non-cash transactions with its directors or persons connected to its directors and hence, provisions of Section 192 of the Act are not applicable to the Company.

(xvi) (a) The Company is a Housing Finance Company having a valid Certificate of Registration under Section 29A of the NHB Act, 1987 and is not required to be registered under section 45-IA of the Reserve Bank of India Act, 1934 in terms of exemption granted under Master Direction - Exemptions from the provisions of RBI Act, 1934 dated 25 August 2016 (as amended). Accordingly, reporting under clause 3(xvi) (a) of the Order is not applicable to the Company.

(b) The Company is not required to be registered under Section 45-IA of the Reserve Bank of India Act, 1934. Accordingly, clause 3(xvi)(b) of the Order is not applicable.

(c) The Company is not a Core Investment Company (CIC) as defined in the regulations made by the Reserve Bank of India. Accordingly, clause 3(xvi)(c) of the Order is not applicable.

(d) The Company is not part of any group (as per the provisions of the Reserve Bank of India (Core Investment Companies) Directions, 2025 as amended). Accordingly, the requirements of clause 3(xvi)(d) are not applicable.

(xvii) The Company has not incurred cash losses in the current and in the immediately preceding financial year.

(xviii) There has been no resignation of the statutory auditors during the year. Accordingly, clause 3(xviii) of the

Auditors *Report*

Order is not applicable.

(xix) According to the information and explanations given to us and on the basis of the financial ratios, ageing and expected dates of realisation of financial assets and payment of financial liabilities, our knowledge of the Board of Directors and management plans and based on our examination of the evidence supporting the assumptions, nothing has come to our attention, which causes us to believe that any material uncertainty exists as on the date of the audit report that the Company is not capable of meeting its liabilities existing at the date of balance sheet as and when they fall due within a period of one year from the balance sheet date. We, however, state that this is not an assurance as to the future viability of the Company. We further state that our reporting is based on the facts up to the date of the audit report and we neither give any guarantee nor any assurance that all liabilities falling due within a period of one year from the balance sheet date, will get discharged by the Company as and when they fall due.

(xx) In our opinion and according to the information and explanations given to us, there is no unspent amount under sub-section (5) of Section 135 of the Act pursuant to any project. Accordingly, clauses 3(xx)(a) and 3(xx)(b) of the Order are not applicable.

For **B S R & Co. LLP**
Chartered Accountants
Firm's Registration No.:101248W/W-100022

Ashwin Suvarna
Partner
Membership No.: 109503
ICAI UDIN: 26109503NJLCJY5544

Place: Udupi
Date: 06 May 2026

Auditors *Report*

Annexure B to the Independent Auditor's Report on the financial statements of Home First Finance Company India Limited for the year ended 31 March 2026

Report on the internal financial controls with reference to the aforesaid financial statements under Clause (i) of Sub-section 3 of Section 143 of the Act

(Referred to in paragraph 2(A)(g) under 'Report on Other Legal and Regulatory Requirements' section of our report of even date)

Opinion

We have audited the internal financial controls with reference to financial statements of Home First Finance Company India Limited ("the Company") as of 31 March 2026 in conjunction with our audit of the financial statements of the Company for the year ended on that date.

In our opinion, the Company has, in all material respects, adequate internal financial controls with reference to financial statements and such internal financial controls were operating effectively as at 31 March 2026, based on the internal financial controls with reference to financial statements criteria established by the Company considering the essential components of internal control stated in the Guidance Note on Audit of Internal Financial Controls Over Financial Reporting issued by the Institute of Chartered Accountants of India (the "Guidance Note").

Management's and Board of Directors' Responsibilities for Internal Financial Controls

The Company's Management and the Board of Directors are responsible for establishing and maintaining internal financial controls based on the internal financial controls with reference to financial statements criteria established by the Company considering the essential components of internal control stated in the Guidance Note. These responsibilities include the design, implementation and maintenance of adequate internal financial controls that were operating effectively for ensuring the orderly and efficient conduct of its business, including adherence to company's policies, the safeguarding of its assets, the prevention and detection of frauds and errors, the accuracy and completeness of the accounting records, and the timely preparation of reliable financial information, as required under the Act.

Auditor's Responsibility

Our responsibility is to express an opinion on the Company's internal financial controls with reference to financial statements based on our audit. We conducted our audit in accordance with the Guidance Note and the Standards on Auditing, prescribed under Section 143(10) of the Act, to the extent applicable to an audit of internal financial controls with reference to financial statements. Those Standards and the Guidance Note require that we comply with ethical requirements and plan and perform the audit to obtain reasonable assurance about whether adequate internal financial controls with reference to financial statements were established and maintained and if such controls operated effectively in all material respects.

Our audit involves performing procedures to obtain audit evidence about the adequacy of the internal financial controls with reference to financial statements and their operating effectiveness. Our audit of internal financial controls with reference to financial statements included obtaining an understanding of internal financial controls with reference to financial statements, assessing the risk that a material weakness exists, and testing and evaluating the design and operating effectiveness of internal control based on the assessed risk. The procedures selected depend on the auditor's judgement, including the assessment of the risks of material misstatement of the financial statements, whether due to fraud or error.

We believe that the audit evidence we have obtained is sufficient and appropriate to provide a basis for our audit opinion on the Company's internal financial controls with reference to financial statements.

Auditors *Report*

Meaning of Internal Financial Controls with Reference to Financial Statements

A company's internal financial controls with reference to financial statements is a process designed to provide reasonable assurance regarding the reliability of financial reporting and the preparation of financial statements for external purposes in accordance with generally accepted accounting principles. A company's internal financial controls with reference to financial statements include those policies and procedures that (1) pertain to the maintenance of records that, in reasonable detail, accurately and fairly reflect the transactions and dispositions of the assets of the company; (2) provide reasonable assurance that transactions are recorded as necessary to permit preparation of financial statements in accordance with generally accepted accounting principles, and that receipts and expenditures of the company are being made only in accordance with authorisations of management and directors of the company; and (3) provide reasonable assurance regarding prevention or timely detection of unauthorised acquisition, use, or disposition of the company's assets that could have a material effect on the financial statements.

Inherent Limitations of Internal Financial Controls with Reference to Financial Statements

Because of the inherent limitations of internal financial controls with reference to financial statements, including the possibility of collusion or improper management override of controls, material misstatements due to error or fraud may occur and not be detected. Also, projections of any evaluation of the internal financial controls with reference to financial statements to future periods are subject to the risk that the internal financial controls with reference to financial statements may become inadequate because of changes in conditions, or that the degree of compliance with the policies or procedures may deteriorate.

For **B S R & Co. LLP**
Chartered Accountants
Firm's Registration No.:101248W/W-100022

Ashwin Suvarna
Partner
Membership No.: 109503
ICAI UDIN: 26109503NJLCJY5544

Place: Udupi
Date: 06 May 2026

Annual *Accounts*

Balance Sheet as at 31 March 2026

(₹ in million)

Particulars	Notes	As at 31 March 2026	As at 31 March 2025
ASSETS			
Financial assets			
Cash and cash equivalents	2	4,487.02	5,991.28
Bank balance other than cash and cash equivalents	3	3,923.21	3,391.09
Derivative financial instruments	13	647.03	-
Receivables	4		
(I) Trade receivables		78.07	55.49
(II) Other receivables		3.89	2.86
Loans	5	1,31,326.13	1,06,487.00
Investments	6	8,122.34	3,602.37
Other financial assets	7	2,304.83	1,823.48
Total financial assets		**1,50,892.52**	**1,21,353.57**
Non-financial assets			
Current tax assets (net)	8	2.78	2.78
Property, plant and equipment	9	187.95	169.49
Right of use assets	9	353.35	277.56
Capital work-in-progress	10	1.92	0.93
Intangible assets under development	11	0.65	1.37
Other intangible assets	9	15.13	11.79
Other non-financial assets	12	211.08	299.23
Total non-financial assets		**772.86**	**763.15**
Total Assets		**1,51,665.38**	**1,22,116.72**
LIABILITIES AND EQUITY			
Liabilities			
Financial liabilities			
Derivative financial instruments	13	-	66.87
Payables			
(I) Trade payables	14		
(i) Total outstanding dues of micro enterprises and small enterprises		0.27	2.29
(ii) Total outstanding dues of creditors other than micro enterprises and small enterprises		163.71	158.57
Debt securities	15	2,274.43	2,848.39
Borrowings (other than debt securities)	16	1,03,626.05	92,658.60
Other financial liabilities	17	1,340.92	804.20
Total financial liabilities		**1,07,405.38**	**96,538.92**
Non-financial liabilities			
Current tax liabilities (net)	8.1	393.21	84.62
Provisions	18	146.23	93.92
Deferred tax liabilities (net)	31.2	31.84	23.75
Other non-financial liabilities	19	123.33	162.69
Total non-financial liabilities		**694.61**	**364.98**
Total liabilities		**1,08,099.99**	**96,903.90**
Equity			
Equity share capital	20	208.66	180.11
Other equity	21	43,356.73	25,032.71
Total equity		**43,565.39**	**25,212.82**
Total Liabilities and Equity		**1,51,665.38**	**1,22,116.72**

The notes referred to above form an integral part of these financial statements

As per our report of even date

For B S R & Co. LLP
Chartered Accountants
Firm's registration no.: 101248W/W-100022

Ashwin Suvarna
Partner
Membership No.: 109503
Place: Udupi
Date: 06 May 2026

For and on behalf of the Board of Directors

Manoj Viswanathan
Managing Director &
Chief Executive Officer
DIN No.: 01741612
Place: Mumbai
Date: 06 May 2026

Divya Sehgal
Director
DIN No.: 01775308
Place: Mumbai
Date: 06 May 2026

Nutan Gaba Patwari
Chief Financial Officer
Place: Mumbai
Date: 06 May 2026

Shreyans Bachhawat
Company Secretary
Place: Mumbai
Date: 06 May 2026

Annual *Accounts*

Statement of profit and loss for the year ended 31 March 2026

(₹ in million, except per share data)

Particulars	Notes	Year ended 31 March 2026	Year ended 31 March 2025
Revenue from operations			
Interest income	22	16,640.19	13,540.30
Fees and commission income	23	827.40	452.99
Net gain on fair value changes	24	493.37	351.05
Net gain on derecognition of financial instruments under amortised cost category		1,121.59	912.26
Other operating income	25	63.34	42.87
Total revenue from operations		**19,145.89**	**15,299.47**
Other income	26	81.33	92.56
Total income		**19,227.22**	**15,392.03**
Expenses			
Finance costs	27	7,923.22	7,152.70
Impairment on financial instruments	28	568.78	287.68
Employee benefits expense	29	2,487.02	1,944.09
Depreciation and amortisation	9	189.02	155.30
Other expenses	30	981.64	836.38
Total expenses		**12,149.68**	**10,376.15**
Profit before tax		**7,077.54**	**5,015.88**
Tax expense:			
- Current tax	31	1,663.31	1,138.98
- Deferred tax	31	10.40	56.22
Total tax expense		**1,673.71**	**1,195.20**
Profit after tax		**5,403.83**	**3,820.68**
Other comprehensive income			
Items that will not be reclassified to profit or loss			
- Remeasurements of the defined benefit plans		0.31	(4.83)
- Income tax relating to items that will not be reclassified to profit or loss		(0.08)	1.22
Items that will be reclassified to profit or loss			
- The effective portion of gain/ (loss) on hedging instruments in a cash flow hedge		(19.55)	(44.98)
- Income tax relating to items that will be reclassified to profit or loss		4.92	-
- Cost of hedging		10.06	-
- Income tax relating to items that will be reclassified to profit or loss		(2.53)	-
Other comprehensive income		**(6.87)**	**(48.59)**
Total comprehensive income		**5,396.96**	**3,772.09**
Earnings per equity share	32		
Basic earnings per share (₹)		52.35	42.83
Diluted earnings per share (₹)		51.59	42.07
Face value of equity shares (₹)		2.00	2.00

The notes referred to above form an integral part of these financial statements

As per our report of even date

For B S R & Co. LLP
Chartered Accountants
Firm's registration no.: 101248W/W-100022

Ashwin Suvarna
Partner
Membership No.: 109503
Place: Udupi
Date: 06 May 2026

For and on behalf of the Board of Directors

Manoj Viswanathan
Managing Director &
Chief Executive Officer
DIN No.: 01741612
Place: Mumbai
Date: 06 May 2026

Divya Sehgal
Director
DIN No.: 01775308
Place: Mumbai
Date: 06 May 2026

Nutan Gaba Patwari
Chief Financial Officer
Place: Mumbai
Date: 06 May 2026

Shreyans Bachhawat
Company Secretary
Place: Mumbai
Date: 06 May 2026

Annual *Accounts*

Statement of changes in equity for the year ended 31 March 2026

Equity share capital (Refer note 20)

(₹ in million)

Particulars	No. of shares	Amount
Balance as at 01 April 2024	**8,85,16,167**	**177.03**
Issue of equity shares on account of stock options exercised	15,39,373	3.08
Balance as at 01 April 2025	**9,00,55,540**	**180.11**
Issue of equity shares on account of Qualified Institutions Placement	1,28,86,597	25.77
Issue of equity shares on account of stock options exercised	13,85,880	2.78
Balance as at 31 March 2026	**10,43,28,017**	**208.66**

Other equity (Refer note 21)

(₹ in million)

Particulars	Share application money pending allotment	Reserves and surplus					Other Comprehensive Income		Total Other Equity
		Statutory reserve	Securities premium	Stock options outstanding account	Retained earnings	Remeasurements of defined benefit plans	Cash flow hedge reserve	Cost of hedging	
Balance as at 01 April 2024	-	**1,990.94**	**11,116.71**	**390.04**	**7,552.88**	**(12.75)**	-	-	**21,037.82**
Profit for the year	-	-	-	-	3,820.68	-	-	-	3,820.68
Other comprehensive income for the year (net of tax)	-	-	-	-	-	(3.61)	(44.98)	-	(48.59)
Expenses on employee stock options scheme for the year	-	-	-	266.78	-	-	-	-	266.78
Transfer to statutory reserves from retained earnings (Refer note 62)	-	768.00	-	-	(768.00)	-	-	-	-
Premium on issue of equity share capital on account of stock options exercised	-	-	257.32	-	-	-	-	-	257.32
Exercise of stock options outstanding	-	-	76.29	(76.29)	-	-	-	-	-
Stock options lapsed	-	-	-	(5.36)	5.36	-	-	-	-
Dividends	-	-	-	-	(301.30)	-	-	-	(301.30)
Balance as at 31 March 2025	**-**	**2,758.94**	**11,450.32**	**575.17**	**10,309.62**	**(16.36)**	**(44.98)**	**-**	**25,032.71**
Balance as at 01 April 2025	-	**2,758.94**	**11,450.32**	**575.17**	**10,309.62**	**(16.36)**	**(44.98)**	-	**25,032.71**
Profit for the year	-	-	-	-	5,403.83	-	-	-	5,403.83
Share application money received during the year	0.58	-	-	-	-	-	-	-	0.58
Other comprehensive income for the year (net of tax)	-	-	-	-	-	0.23	(14.63)	7.53	(6.87)
Expenses on employee stock options scheme for the year	-	-	-	371.32	-	-	-	-	371.32
Transfer to statutory reserves from retained earnings (Refer note 62)	-	1,087.00	-	-	(1,087.00)	-	-	-	-
Premium on issue of equity share capital on account of Qualified Institutions Placement	-	-	12,474.23	-	-	-	-	-	12,474.23
Share issue expenses	-	-	(193.61)	-	-	-	-	-	(193.61)
Premium on issue of equity share capital on account of stock options exercised	-	-	656.25	-	-	-	-	-	656.25
Exercise of stock options outstanding	-	-	205.57	(205.57)	-	-	-	-	-
Stock options lapsed	-	-	-	(1.89)	1.89	-	-	-	-
Dividends	-	-	-	-	(381.71)	-	-	-	(381.71)
Balance as at 31 March 2026	**0.58**	**3,845.94**	**24,592.76**	**739.03**	**14,246.63**	**(16.13)**	**(59.61)**	**7.53**	**43,356.73**

The notes referred to above form an integral part of these financial statements

As per our report of even date

For B S R & Co. LLP
Chartered Accountants
Firm's registration no.: 101248W/W-100022
Ashwin Suvarna
Partner
Membership No.: 109503
Place: Udupi
Date: 06 May 2026

For and on behalf of the Board of Directors

Manoj Viswanathan
Managing Director &
Chief Executive Officer
DIN No.: 01741612
Place: Mumbai
Date: 06 May 2026

Divya Sehgal
Director
DIN No.: 01775308
Place: Mumbai
Date: 06 May 2026

Nutan Gaba Patwari
Chief Financial Officer
Place: Mumbai
Date: 06 May 2026

Shreyans Bachhawat
Company Secretary
Place: Mumbai
Date: 06 May 2026

Annual *Accounts*

Statement of cash flows for the year ended 31 March 2026

(₹ in million)

Particulars	Year ended 31 March 2026	Year ended 31 March 2025
Cash flows from operating activities		
Profit before tax	7,077.54	5,015.88
Adjusted for:		
Interest income on term loans	(15,734.33)	(12,801.59)
Interest on borrowings and debt securities	7,757.55	7,100.33
Net gain on derecognition of financial instruments under amortised cost category	(1,121.59)	(912.26)
Other interest income	(319.12)	(226.71)
Depreciation and amortisation	189.02	155.30
Interest income on bank deposits	(412.61)	(357.66)
Interest income on investments	(170.78)	(152.27)
Loss on sale of property, plant and equipment (net)	0.86	0.05
Interest on lease liabilities	26.99	18.97
Gain on termination of lease liabilities	(0.85)	(0.74)
Net gain on fair value changes on investments	(482.67)	(400.77)
Net gain on fair value changes on derivative financial instruments	(10.70)	49.72
Net unrealised fair valuation change on borrowings	100.60	(48.40)
Impairment on financial instruments	602.54	287.68
Share based payment to employees	371.32	266.78
Operating profit before working capital changes and adjustment for interest received and paid	**(2,126.23)**	**(2,005.69)**
Adjustment for working capital:		
- (Increase) in loans given	(25,157.61)	(25,151.89)
- (Increase) in trade and other receivables	(23.61)	(50.69)
- (Increase) in other financial assets	(54.12)	(9.41)
- Decrease/ (Increase) in other non financial assets	30.98	(78.89)
- Increase in trade payables	3.12	46.01
- Increase in other financial liabilities	454.49	97.36
- (Decrease)/ Increase in other non financial liabilities	(40.37)	76.75
- Increase in provisions	43.94	10.49
Cash used in operating activities before adjustment for interest received and paid	**(26,869.41)**	**(27,065.96)**
- Interest income received on loans	16,468.17	13,371.91
- Interest expense paid on borrowings and debt securities	(7,641.88)	(7,175.82)
Cash used in operating activities	**(18,043.12)**	**(20,869.87)**
Income tax paid (net)	(1,354.72)	(1,094.31)
Net cash used in operating activities [A]	**(19,397.84)**	**(21,964.18)**
Cash flows from investing activities		
Purchase of property, plant and equipment and other intangible assets	(95.46)	(119.29)
Proceeds from sale of property, plant and equipment and other intangible assets	0.11	1.48
Purchase of investments	(99,844.59)	(79,529.68)
Proceeds from redemption/ sale of investments	95,822.00	80,124.31
Net placement of bank deposits	(508.65)	(970.23)
Interest received on bank deposits	389.14	347.12
Interest received on investments	156.07	144.17
Net cash used in investing activities [B]	**(4,081.38)**	**(2,12)**
Cash flows from financing activities		
Proceeds from issuance of equity share capital (including share premium)	13,159.03	260.40
Share application money received	0.58	-
Share issue expenses	(193.61)	-
Proceeds from borrowings from banks and financial institutions	33,263.40	41,088.95
Repayment of borrowings from banks and financial institutions	(23,192.24)	(18,743.38)
Repayment of lease liabilities	(120.53)	(93.96)

Annual *Accounts*

Statement of cash flows for the year ended 31 March 2026

(₹ in million)

Particulars	Year ended 31 March 2026	Year ended 31 March 2025
Repayment of debt securities	(560.00)	-
Repayment of demand loans	-	(57.97)
Dividend paid on equity shares	(381.67)	(301.23)
Net cash generated from financing activities [C]	**21,974.96**	**22,152.81**
Net (decrease)/ increase in cash and cash equivalents [A+B+C]	**(1,504.26)**	**186.51**
Cash and cash equivalents at the beginning of the year	5,991.28	5,804.77
Cash and cash equivalents at the end of the year	**4,487.02**	**5,991.28**
Components of cash and cash equivalents (Refer note 2):		
Cash on hand	1.05	1.66
Balances with banks		
- in current accounts	4,354.91	3,328.83
- in deposits with original maturity of 3 months or less	130.11	2,660.51
Others	0.95	0.28
Cash and cash equivalents	**4,487.02**	**5,991.28**

Note: Refer note 15(i) and 16(i)

Changes in liabilities arising from financing activities*

(₹ in million)

Particulars	As at 31 March 2026	As at 31 March 2025
Opening balance (Debt securities and Borrowings (other than debt securities))	95,506.99	73,021.02
Proceeds from borrowings (other than debt securities)	33,263.40	41,088.95
Repayments of borrowings (other than debt securities)	(23,192.24)	(18,743.38)
Repayments of debt securities	(560.00)	-
Repayment of loans repayable on demand	-	(57.97)
Interest accrued but not due on debt securities and borrowings (other than debt securities)	0.85	262.58
Other changes on account of changes in foreign exchange revaluation and unamortised transaction costs	881.48	(64.21)
Closing balance (Debt securities and Borrowings (other than debt securities))	**1,05,900.48**	**95,506.99**

*Refer note 42 for changes in lease liabilities

Statement of cash flows has been prepared under indirect method as set out in the Ind AS 7 'Statement of Cash Flows'.

The notes referred to above form an integral part of these financial statements

As per our report of even date

For B S R & Co. LLP
Chartered Accountants
Firm's registration no.: 101248W/W-100022

For and on behalf of the Board of Directors

Ashwin Suvarna
Partner
Membership No.: 109503
Place: Udupi
Date: 06 May 2026

Manoj Viswanathan
Managing Director &
Chief Executive Officer
DIN No.: 01741612
Place: Mumbai
Date: 06 May 2026

Divya Sehgal
Director
DIN No .: 01775308
Place: Mumbai
Date: 06 May 2026

Nutan Gaba Patwari
Chief Financial Officer
Place: Mumbai
Date: 06 May 2026

Shreyans Bachhawat
Company Secretary
Place: Mumbai
Date: 06 May 2026

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Notes forming part of the financial statements

Corporate information

Home First Finance Company India Limited (the "Company") is a Housing Finance Company founded on 03 February 2010 with offices across various cities in India having its registered head office located at 511, Acme Plaza, Andheri Kurla Road, Andheri East, Mumbai – 400 059. The Company is a Housing Finance Company ("HFC") and obtained its license to carry on the business of a housing finance institution, holding a Certificate of Registration from the National Housing Bank ("NHB") dated 11 August 2010. The Company has been classified as Middle Layer Non-Banking Financial Company ("NBFC-ML") by the Reserve Bank of India ("RBI"), as per Scale Based Regulations issued by the RBI. The Company was converted to a public limited Company with effect from 14 March 2018. The Company's equity shares were listed on National Stock Exchange of India Limited (NSE) and on BSE Limited (BSE) on 03 February 2021. The Company's main business is financing by way of loans towards affordable housing segment in India and is primarily engaged in the business of lending of housing loans, loans for the purpose of purchasing a commercial property and loan against property.

1. Material accounting policy information

1.1 Basis of preparation and presentation

Statement of Compliance

The Balance Sheet, the Statement of Profit and Loss, the Statement of Changes in Equity and the Statement of Cash Flows (the "financial statements") have been prepared under historical cost convention on an accrual basis in accordance with the Indian Accounting Standards ("Ind AS") and the relevant provisions of the Companies Act, 2013 (the "Act") (to the extent notified) and the guidelines issued by the National Housing Bank ("NHB") and the Reserve Bank of India ("RBI") to the extent applicable. The Ind AS are prescribed under Section 133 of the Act read with Rule 3 of the Companies (Indian Accounting Standards) Rules, 2015, as amended from time to time. Material accounting policy information has been consistently applied except where a newly issued Ind AS is initially adopted or a revision to an existing Ind AS required a change in the material accounting policy information hitherto in use. The financial statements were authorised for issue by the Board of Directors on 06 May 2026.

Presentation of Financial Statements

The Balance Sheet, the Statement of Profit and Loss and the Statement of Changes in Equity are prepared and presented in the format prescribed in the Division III of Schedule III to the Act. The Statement of Cash Flows has been prepared and presented as per the requirements of Ind AS 7 'Statement of Cash Flows'. As required by Division III of Schedule III of the Act, the Company has presented the assets and liabilities in the balance sheet in the order of liquidity. The financial statements are prepared and presented on going concern basis.

Functional and presentation currency

Amounts in the financial statements are presented in Indian Rupees, which is also the Company's functional currency and all amounts have been rounded off to the nearest million to two decimal places, unless otherwise indicated. Per share data is presented in Indian Rupee rounded off to two decimal places.

Basis of Measurement

The financial statements have been prepared on historical cost basis except for certain financial instruments that are measured at fair values, refer note 35 for disclosure of financial instruments measured at fair values.

A historical cost is a measure of value used for accounting in which the price of an asset on the balance sheet is based on its historical cost, it is generally fair value of consideration given in exchange for goods and services at the time of transaction or original cost when acquired by the Company.

Fair value is the price that is likely to be received on sale of an asset or paid to transfer a liability in an orderly transaction between market participants on the measurement date, regardless of whether that price is directly observable or estimated using another valuation technique. In estimating the fair value of an asset or a liability, the Company considers the characteristics of the asset or liability that market participants would take into account when pricing the asset or liability at the measurement date. Fair value for measurement and/ or disclosure purposes in the financial statements is determined on such a basis, except for share based payment transactions that are within the scope of Ind AS 102 'Share based Payment', leasing transactions that are within the scope of Ind AS 116 'Leases'.

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Fair value measurements under Ind AS are categorised into fair value hierarchy based on the degree to which the inputs to the fair value measurements are observable and the significance of the inputs to the fair value measurement in its entirety, which are described as follows:

- Level 1 quoted prices (unadjusted) in active markets for identical assets or liabilities that the Company can access at the measurement date;
- Level 2 inputs, other than quoted prices included within level 1, that are observable for the asset or liability, either directly or indirectly; and
- Level 3 where unobservable inputs are used for the valuation of assets or liabilities that the Company can access at the measurement date.

The Company recognises transfers between levels of the fair value hierarchy at the end of the reporting period during which the change has occurred.

1.2 Use of estimates and judgements

The preparation of the financial statements in accordance with Ind AS requires the management to make judgements, estimates and assumptions that affect the reported amounts of income and expenses during the years presented, and the reported amounts of assets and liabilities, the disclosure of contingent liabilities, and application of accounting policies at the presented reporting dates. Although these estimates are based on the management's best knowledge of current events and actions, uncertainty about these assumptions and estimates could result in the outcomes requiring a material adjustment to the carrying amounts of assets or liabilities in future periods. Actual results could differ from these estimates. Any revisions to accounting estimates are recognised in the period in which such revisions are made.

This note provides an overview of the material accounting estimates and judgements that are used in various line items in the financial statements.

i) Business model assessment

The Company determines its business model at the level that best reflects how it manages groups of financial assets to achieve its business objective.

The Company considers the frequency, volume and timing of sale of portfolios in prior period, the reason for such sale of portfolios, and its expectations about future sales activity. However, information about sale of portfolios activity is not considered in isolation, but as part of a holistic assessment of how Company's stated objective for managing the financial assets is achieved and how cash flows are realised. Therefore, the Company considers information about past sale of portfolios in the context of the reasons for those sale of portfolios and the conditions that existed at that time as compared to current conditions.

Based on this assessment of current conditions and future business plans of the Company, the management has measured its financial assets at amortised cost as the asset is held within a business model whose objective is to collect contractual cash flows, and the contractual terms of the financial asset give rise to cash flows that are solely payments of principal and interest (the "SPPI criterion").

The Company monitors financial assets measured at amortised cost that are derecognised prior to their maturity to understand the reason for their disposal and whether the reasons are consistent with the objective of the business for which the asset was held. Monitoring is part of the Company's continuous assessment of whether the business model for which the remaining financial assets are held continues to be appropriate and if it is not appropriate whether there has been a change in business model and so a prospective change to the classification of those assets.

ii) Lease term

The Company evaluates if an arrangement qualifies to be a lease as per the requirements of Ind AS 116. Identification of a lease requires significant judgement. The Company uses significant judgement in assessing the lease term (including anticipated renewals) and determines the lease term as the non-cancellable period of a lease, together with the periods covered by an option to extend the lease if the Company is reasonably certain to exercise that option; and periods covered by an option to terminate the lease if the Company is reasonably certain not to

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exercise that option. In assessing whether the Company is reasonably certain to exercise an option to extend a lease, or not to exercise an option to terminate a lease, it considers all relevant facts and circumstances that create an economic incentive for the Company to exercise the option to extend the lease, or not to exercise the option to terminate the lease. The Company revises the lease term if there is a change in the non-cancellable period of a lease.

iii) Impairment of financial assets

The measurement of impairment losses on across all categories of financial assets requires judgement, in estimating the amount and timing of future cash flows and recoverability of collateral values while determining the impairment losses and assessing significant increase in credit risk. The Company's Expected Credit Loss (ECL) calculation is the output of a complex model with a number of underlying assumptions regarding the choice of variable inputs and their interdependencies. Elements of the ECL model that are considered accounting judgements and estimates include:

- The Company's criteria for assessing if there has been a significant increase in credit risk.
- The segmentation of financial assets when their ECL is assessed on a collective basis.
- Development of ECL model, including the calculation of Probability of Defaults (PDs), Loss Given Default (LGD).
- Assessment of qualitative factors having an impact on the credit risk.
- Selection of forward-looking macroeconomic scenarios and their probability weightings.

The measurement of all expected credit losses for financial assets held at the reporting date is based on historical experience, current conditions and reasonable and supportable forecasts. The measurement of ECL involves increased complexity and judgement, including estimation of Probability of Defaults (PDs), Loss Given Default (LGD), a range of unbiased future economic scenarios, estimation of expected lives and estimation of EAD and assessing significant increases in credit risk. For certain specific cases, the Company does an individual borrower level analysis in respect of cashflows and expected losses and determines the appropriate level of impairment losses.

It has been the Company's policy to regularly review its model in the context of actual loss experience and adjust when necessary (Refer note 5 and 37).

iv) Share-based payments

Estimating fair value for share-based payment transactions requires determination of the most appropriate valuation model, which is dependent on the terms and conditions of the grant. This estimate also requires determination of the most appropriate inputs to the valuation model including the expected life of the share option, volatility and dividend yield and making assumptions about them.

v) Taxes

Deferred tax assets and liabilities are recognised for the future tax consequences of temporary differences between the carrying values of assets and liabilities and their respective tax bases. Deferred tax asset is recognised to the extent that sufficient taxable profit will be available against which the deductible temporary differences and the carry forward of unused tax credits and unused tax losses can be utilised. Deferred income tax is determined using tax rates (and laws) that have been enacted or substantially enacted by the end of the reporting period and are expected to apply when the related deferred income tax asset is realised or the deferred income tax liability is settled. The carrying amount of deferred tax assets are reviewed at each reporting date and reduced to the extent that it is no longer probable that sufficient taxable profit will be available to allow full or part of deferred income tax assets to be utilised. At each reporting date, the Company re-assesses un-recognised deferred tax assets. It recognises un-recognised deferred tax asset to the extent that it has become reasonably certain, as the case may be, that sufficient future taxable income will be available against which such deferred tax assets can be realised.

1.3 Financial instruments

i) Financial assets

Initial recognition and measurement

Financial assets are recognised when the Company becomes a party to the contractual provisions of the financial instrument and are measured initially at fair value adjusted for transaction costs, except for those financial assets classified as at fair value through profit and loss (FVTPL). Transaction costs directly attributable

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to the acquisition of financial assets classified as FVTPL are recognised immediately in the statement of profit and loss. Trade receivables are measured at transaction price.

Classification

On initial recognition, depending on the Company's business model for managing the financial assets and its contractual cash flow characteristics, a financial asset is classified as measured at:

- amortised cost;
- fair value through other comprehensive income (FVTOCI); or
- fair value through profit and loss (FVTPL).

Financial assets are not reclassified subsequent to their initial recognition, except if and in the period the Company changes its business model for managing financial assets. A financial asset is measured at amortised cost using Effective Interest Rate (EIR) method if it meets both of the following conditions and is not recognised as at FVTPL:

- The asset is held within a business model whose objective is to hold assets to collect contractual cash flows; and
- The contractual terms of the financial asset give rise on specified dates to cash flows that are solely payments of principal and interest on the principal amount outstanding.

On initial recognition of an equity investment that is not held for trading, the Company may irrevocably elect to present subsequent changes in the investment's fair value in Other Comprehensive Income (OCI) (designated as FVTOCI – equity investment). This election is made an investment-by-investment basis. All financial assets not classified and measured at amortised cost or FVTOCI as described above are measured at FVTPL. On initial recognition, the Company may irrevocably designate the financials assets that otherwise meets the requirements to be measured at amortised cost or at FVTOCI or at FVTPL, if doing so eliminates or significantly reduces the accounting mismatch that would otherwise arise.

Subsequent measurement

Assessment whether contractual cash flows are solely payments of principal and interest

For the purposes of this assessment, 'principal' is defined as the fair value of the financial asset on initial recognition. That principal amount may change over the life of the financial assets (e.g. if there are payments of principal). Amount of 'Interest' is defined as consideration for the time value of money and for the credit risk associated with the principal amount outstanding during a particular period of time and for other basic lending risks and costs (e.g. liquidity risk and administrative costs), as well as a profit margin. In assessing whether the contractual cash flows are solely payments of principal and interest, the Company considers the contractual terms of the instrument. This includes assessing whether the financial asset contains a contractual term that could change the timing or amount of contractual cash flows such that it would not meet this condition. In making this assessment, the Company considers:

- Contingent events that would change the amount or timing of cash flows;
- Terms that may adjust the contractual coupon rate, including variable interest rate features;
- Prepayment and extension features; and
- Terms that limit the Company's claim to cash flows from specified assets.

Contractual cash flows that are SPPI are consistent with a basic lending arrangement. Contractual terms that introduce exposure to risks or volatility in the contractual cash flows that are unrelated to a basic lending arrangement, such as exposure to changes in equity prices or commodity prices, do not give rise to contractual cash flows that are SPPI. A prepayment feature is consistent with the solely payments of principal and interest criterion if the prepayment amount substantially represents unpaid amounts of principal and interest on the principal amount outstanding, which may include reasonable additional compensation for early termination of the contract. Additionally, for a financial asset acquired at a significant discount or premium to its contractual amount, a feature that permits or requires prepayment at an amount that substantially represents the contractual par amount plus accrued (but unpaid) contractual interest (which may also include reasonable additional compensation for early termination) is treated as consistent with this criterion if the fair value of the prepayment feature is insignificant at initial recognition.

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Financial assets at amortised cost – The financial asset is measured at the amortised cost if both the following conditions are met:

- the asset is held within a business model whose objective is to hold assets for collecting contractual cash flows, and
- contractual terms of the asset give rise to cash flows on specified dates that are solely payments of principal and interest (SPPI) on the principal amount outstanding.

These financial assets are subsequently measured at amortised cost using the effective interest rate (EIR) method. The amortised cost is reduced by impairment losses. Interest income, foreign exchange gains and losses and impairment are recognised in the statement of profit and loss. Any gain or loss on de-recognition is recognised in the statement of profit and loss.

Financial assets at FVTPL/FVOCI - For assets measured at fair value, gains and losses will either be recorded in statement of profit and loss or Other comprehensive income. Investments in equity instruments are classified as FVTPL unless the Investment is not held for trading and the Company irrevocably elects at initial recognition to present subsequent changes in fair value through other comprehensive income (FVOCI).

Net gains and losses, including any interest or dividend income, are recognised in the statement of profit and loss. The transaction costs and fees related to these instruments are also recorded in the statement of profit and loss.

Financial assets that are held within a business model whose objective is achieved by both, selling financial assets and collecting contractual cash flows that are solely payments of principal and interest, are subsequently measured at fair value through other comprehensive income. Fair value movements are recognised in the other comprehensive income (OCI). Interest income measured using the EIR method and impairment losses, if any, are recognised in the statement of profit and loss. On derecognition, cumulative gain or loss previously recognised in OCI is reclassified from the equity to the statement of profit and loss. Dividends are recognised as income in the statement of profit and loss unless the dividend clearly represents a recovery of part of the cost of the investment. Other net gains and losses are recognised in OCI and are not reclassified to the statement of profit and loss.

Reclassifications within classes of financial assets

Financial assets are not reclassified subsequent to their initial recognition, except in the period after the Company changes its business model for managing financial assets. The classification and measurement requirements of the new category apply prospectively from the first day of the first reporting period following the change in business model that result in reclassifying the Company's financial assets. There was no change in the business model under which the Company holds financial assets and therefore no reclassifications were made during the year ended 31 March 2026 and 31 March 2025.

Impairment of financial assets

The measurement of impairment losses across all categories of financial assets requires judgement, in particular, the estimation of the amount and timing of future cash flows and collateral values when determining impairment losses and the assessment of a significant increase in credit risk. These estimates are driven by a number of factors, changes which can result in different levels of allowances.

The Company's ECL calculations are outputs of complex models with a number of underlying assumptions regarding the choice of variable inputs and their interdependencies.

The measurement of ECL is calculated using three main components:
(i) probability of default (PD);
(ii) loss given default (LGD); and
(iii) the exposure at default (EAD).

Probability of Default (PD) is the probability of whether borrowers will default on their obligations which are calculated based on historical default rate summary of past years using vintage analysis.

Loss Given Default (LGD) is an estimate of the loss from a financial asset given that a default occurs. The LGD is computed using the Company's own loss and recovery experience. It is usually expressed as a percentage of the EAD.

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Exposure at Default (EAD) is an estimate of the exposure at a future default date, taking into account expected changes in the exposure after the reporting date, including repayments of principal and interest, whether scheduled by contract or otherwise, expected drawdowns on committed facilities, and accrued interest from missed payments.

In order to ensure that the measurement of ECL is forward looking, the Company selects a macroeconomic variable based on the correlation between the historical loan defaults and the movement in various macroeconomic factors. The forecasts are modelled into a scenario analysis where the base case represents the most likely outcome while the others represent more optimistic or pessimistic outcomes. The Company measures the expected credit losses as a probability-weighted average of these scenarios.

The 12-month ECL is calculated by multiplying the 12-month PD, LGD and the EAD. The 12 months and lifetime PDs represent the PD occurring over the next 12 months and the remaining maturity of the instruments respectively. The EAD represents the expected balance at default, taking into account the repayment of principal and interest from the balance sheet date to the default event together with any expected drawdowns of committed facilities. The LGD represents expected losses on the EAD given the event of default, taking into account, among other attributes, the mitigating effect of collateral value at the time it is expected to be realised and the time value of money. For certain specific cases, the Company does an individual borrower level analysis in respect of cashflows and expected losses and determines the appropriate level of impairment losses.

The Company applies a three-stage approach to measure ECL on financial assets accounted for at amortised cost and FVOCI. Assets migrate through the following three stages based on the change in credit quality since initial recognition.

Stage 1: 12-months ECL
For exposures where there has not been a significant increase in credit risk since initial recognition and that are not credit impaired upon origination, the portion of the lifetime ECL associated with the probability of default events occurring within the next 12 months is recognised. Exposures with days past due (DPD) less than or equal to 30 days are classified as Stage 1. The Company has provided ECL on the undisbursed loan commitments classified under Stage 1.

Stage 2: Lifetime ECL – not credit impaired
For credit exposures where there has been a significant increase in credit risk since initial recognition but that are not credit impaired, a lifetime ECL is recognised. Exposures with DPD equal to 31 days but less than or equal to 90 days are classified as Stage 2. At each reporting date, the Company assesses whether there has been a significant increase in credit risk for the financial asset since initial recognition by comparing the risk of a default occurring over the expected life between the reporting date and the date of initial recognition. The Company has identified cases with DPD equal to or more than 31 days and less than or equal to 60 days and cases with DPD equal to or more than 61 days and less than or equal to 90 days as two separate buckets.

Stage 3: Lifetime ECL – credit impaired
A financial asset is assessed as credit-impaired when one or more events that have a detrimental impact on the estimated future cash flows of that asset have occurred. For a financial asset that has become credit-impaired, a lifetime ECL is recognised on principal outstanding as at the year end. Exposures with DPD more than 90 days are classified as Stage 3.

Exposures are considered to have resulted in a significant increase in credit risk and are moved to Stage 2 when the accounts are overdue for more than 30 days. Accounts that are overdue for more than 90 days are moved to Stage 3.

Inputs, assumptions and estimation techniques used for estimating ECL: Refer note 5

Undrawn loan commitments
Undrawn loan commitments are commitments under which, over the duration of the commitment, the Company is required to provide a loan with pre-specified terms to the customer. Undrawn loan commitments are in the scope of the ECL requirements. The Company provides ECL on undisbursed loan commitments classified under Stage 1.

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Derecognition of financial assets

A financial asset (or, where applicable, a part of a financial asset or part of a group of similar financial assets) is derecognised only when

- the contractual rights to the cash flows from the financial asset expire, or
- retains the contractual rights to receive the cash flows of the financial asset but assumes a contractual obligation to pay the cash flows to one or more recipients, or
- the Company has transferred its rights to receive cash flows from the asset and substantially all the risks and rewards of ownership of the asset, or the Company has neither transferred nor retained substantially all the risks and rewards of ownership of the asset, but has transferred control of the asset.

If the Company retains substantially all the risks and rewards of ownership of a transferred financial asset, the Company continues to recognise the financial asset and also recognises a collateralised borrowing for the proceeds received.

On derecognition of a financial asset, the difference between the carrying amount of the asset (or the carrying amount allocated to the portion of the asset derecognised) and the sum of (i) the consideration received (including any new asset obtained less any new liability assumed) and (ii) any cumulative gain or loss that had been recognised in OCI is recognised in the statement of profit and loss.

Any cumulative gain/ loss recognised in OCI in respect of equity investment securities designated as at FVTOCI is not recognised in statement of profit and loss on derecognition of such securities. Any interest in transferred financial assets that qualify for derecognition that is created or retained by the Company is recognised as a separate asset or liability.

Definition of default

The definition of default is used in measuring the amount of ECL and in the determination of whether the loss allowance is based on 12-months or lifetime ECL.

The Company considers the following as constituting an event of default:

• the borrower is past due more than 90 days + cases identified by the Company as Stage 3 as per regulatory guidelines + Objective evidence for impairment (Qualitative overlay); or

• the borrower is unlikely to pay its credit obligations to the Company.

When assessing if the borrower is unlikely to pay its credit obligation, the Company considers both qualitative and quantitative indicators.

Write-offs

Impaired loans and receivables are written off, against the related allowance for loan impairment in accordance with the Company's policies and when the Company concludes that there is no longer any realistic prospect of recovery of part or all of the loan. For loans that are individually assessed for impairment, the timing of write off is determined on a case-by-case basis. A write-off constitutes a derecognition event. The Company has a right to apply enforcement activities to recover such written off financial assets. Subsequent recoveries of amounts previously written off are credited to the statement of profit and loss.

Collateral Valuation and Repossession

The Company provides fully secured loans to individuals to mitigate the credit risk on financial assets, the Company seeks to use collateral, where possible as per the powers conferred on the Housing Finance Companies under the Securitisation and Reconstruction of Financial Assets and Enforcement of Securities Interest Act, 2002 ("SARFAESI"). In its normal course of business, the Company does not physically repossess properties or other assets in its retail portfolio, but engages external agents to recover funds, generally at auction, to settle outstanding debt. Any surplus funds are returned to the customers/ obligors. As a result of this practice, the properties under legal repossession processes are not recorded on the balance sheet and not treated as non-current assets held for sale.

Modification of financial assets

A modification of a financial asset occurs when the contractual terms governing the cash flows of a financial asset are renegotiated or otherwise modified between the initial recognition and maturity of the financial asset. A modification affects the amount and/ or timing of the contractual cash flows either immediately or at a future date.

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The Company renegotiates loans to customers in financial difficulty to maximise collection and minimise the risk of default. Loan forbearance is granted in cases where although the borrower made all reasonable efforts to pay under the original contractual terms, there is a high risk of default or default has already happened and the borrower is expected to be able to meet the revised terms. The revised terms in most of the cases include an extension of the maturity of the loan, changes to the timing of the cash flows of the loan (principal and interest repayment), reduction in the amount of cash flows due (principal and interest forgiveness). When a financial asset is modified the Company assesses whether this modification results in derecognition. In accordance with the Company's policy, a modification results in derecognition when it gives rise to substantially different terms. To determine if the modified terms are substantially different from the original contractual terms the Company considers the following:
Qualitative factors, such as contractual cash flows after modification are no longer SPPI, change of counterparty, the extent of change in interest rates, maturity, if these do not clearly indicate a substantial modification, then; a quantitative assessment is performed to compare the present value of the remaining contractual cash flows under the original termswith the contractual cash flows under the revised terms, both amounts discounted at the original EIR. If there is a significant difference in present value, the Company deems the arrangement substantially different, leading to derecognition.

When the contractual terms of a financial asset are modified and the modification does not result in derecognition, the Company determines if the financial asset's credit risk has increased significantly since initial recognition by comparing:
• The remaining lifetime PD estimated based on data at initial recognition and the original contractual terms;
• The remaining lifetime PD at the reporting date based on the modified terms.

For financial assets modified, where modification does not result in derecognition, the estimate of PD reflects the Company's ability to collect the modified cash flows taking into account the Company's previous experience of similar forbearance action, as well as various behavioural indicators, including the borrower's payment performance against the modified contractual terms. If the credit risk remains significantly higher than what was expected at initial recognition, the loss allowance is continued to be measured at an amount equal to lifetime ECL. The loss allowance on loans is generally measured based on 12-month ECL when there is evidence of the borrower's improved repayment behaviour following modification leading to a reversal of the previous significant increase in credit risk.

Where a modification does not lead to derecognition, the Company calculates the modification gain/ loss comparing the gross carrying amount before and after the modification (excluding the ECL allowance). Then the Company measures ECL for the modified asset, where the expected cash flows arising from the modified financial asset are included in calculating the expected cash shortfalls from the original asset.

Co-lending
The Company originates certain loans specifically for co-lending arrangements with banks. Recognition and derecognition principles of loans, impairment and revenue recognition policies on the retained portion of the loan are similar to those stated in para 1.3 and 1.5.

ii) Financial liability and Equity
Debt and equity instruments that are issued are classified as either financial liabilities or as equity in accordance with the substance of the contractual arrangement. An equity instrument is any contract that evidences a residual interest in the assets of an entity after deducting all of its liabilities. Equity instruments issued by the Company are recognised at the proceeds received, net of direct issue costs.

a. Financial liability
A financial liability is a contractual obligation to deliver cash or another financial asset or to exchange financial assets or financial liabilities with another entity under conditions that are potentially unfavourable to the Company or a contract that will or may be settled in the Company's equity instruments and is a non-derivative contract for which the Company is or may be obliged to deliver a variable number of its equity instruments, or a derivative contract over own equity that will or may be settled other than by the exchange of a fixed amount of

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cash (or another financial asset) for a fixed number of the Company's equity instruments.

Classification
The Company classifies its financial liability as "Financial liability measured at amortised cost" except for those classified as financial liabilities measured at FVTPL.

Initial recognition and measurement
A financial liability is recognised initially at cost of acquisition net of transaction costs and incomes that are attributable to the acquisition of the financial liability. Cost equates the fair value on the acquisition.

Financial liabilities are subsequently measured at the amortised cost using the effective interest method, unless at initial recognition, they are classified as fair value through profit and loss. Interest expense is recognised in the statement of profit and loss. Any gain or loss on derecognition is also recognised in the statement of profit and loss.

Derecognition of financial liabilities
The Company derecognises financial liabilities when, and only when, the Company's obligations are discharged, cancelled or have expired. The difference between the carrying amount of the financial liability derecognised and the consideration paid and payable is recognised in the statement of profit and loss.

Derivative financial instruments
The Company enters in to derivative financial instruments such as foreign exchange forward contracts, cross currency interest rate swaps, interest rate swaps, to hedge its foreign currency and interest rate exposures.

Derivative contracts are initially recognised at fair value at the date a derivative contract is entered in to and are subsequently remeasured at fair value at each Balance sheet date and the resulting gain or loss is recognised in the statement of profit and loss immediately unless the derivative is designated and is effective as a hedging instrument, in which event the timing of the recognition in the statement of profit and loss or Other Comprehensive Income depends on the nature of hedging relationship. The Company designates derivatives as hedges of the fair value of recognised liabilities (fair value hedges) for its exposure towards fluctuations in currency risk and designates derivatives as hedges of the forecasted cash flows for its exposure towards interest rate volatility. A derivative with a positive fair value is recognised as a financial asset whereas a derivative with a negative fair value is recognised as a financial liability.

The Company designates the change in the fair value of the spot element of forward exchange contracts as the hedging instrument in cash flow hedge relationships. The change in the fair value of the forward element of the forward exchange contracts is separately accounted for as a cost of hedging and recognised in other comprehensive income and accumulated in a separate component within other equity. The forward element of the forward exchange contacts at the date of designation, is amortised to the statement of profit and loss on a systematic and rational basis over the period to which the forward element relates.

Hedge Accounting
The Company employs hedge accounting to manage interest rate and foreign currency risks using derivative instruments. Hedge accounting is applied to transactions that meet specific criteria, with formal documentation and designation of derivative contracts into hedging relationships. This documentation includes the Company's risk management objectives, strategies, the nature of the hedged risks, the hedged items or transactions, the hedge ratio, and the method for assessing the effectiveness of the hedges.

Hedges are expected to be highly effective in offsetting changes in cash flows and foreign currency fluctuations. Their effectiveness is assessed continuously throughout the financial reporting periods for which they are designated. Hedges meeting the criteria for hedge accounting are accounted for accordingly.

Cash Flow Hedge
A cash flow hedge mitigates the exposure to variability in cash flows attributable to specific risks associated with recognised assets, liabilities, or forecasted transactions that could impact the statement of profit and loss. For designated and qualifying cash flow hedges, the effective portion of the cumulative gain or loss on the hedging instrument is initially recognised in other

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comprehensive income (OCI) as a cash flow hedge reserve. The ineffective portion is recognised immediately in the statement of profit and loss as a finance cost.

When the hedged cash flow impacts the statement of profit and loss, the effective portion of the gain or loss on the hedging instrument is recorded in the corresponding income or expense line. Upon the maturity or termination of the hedging instrument, any cumulative gain or loss recognised in OCI, remains in OCI until the forecasted transaction affects the statement of profit and loss. If the forecasted transaction is no longer expected to occur, the cumulative gain or loss in OCI is immediately transferred to the statement of profit and loss.

Fair Value Hedge

Fair value hedges hedge the exposure to changes in the fair value of a recognised asset or liability that is attributable to foreign currency or interest rate fluctuation risk.

For designated and qualifying fair value hedges, the cumulative change in the fair value of a hedging instrument is recognised in the statement of profit and loss in the same line in which the fair value changes of the hedged item are recorded in the statement of profit and loss. Meanwhile, the cumulative change in the fair value of the hedged item attributable to the risk hedged is recorded as part of the carrying value of the hedged item in the balance sheet.

The Company classifies a fair value hedging relationship when the hedged item (or group of items) is a distinctively identifiable liability hedged by a hedging instrument. Upon the maturity or termination of the hedging instrument, the hedging relationship is discontinued prospectively. If the relationship does not meet hedge effectiveness criteria, the Company discontinues hedge accounting from the date on which the qualifying criteria are no longer met.

Assessment of Economic Offset

Economic Offset is the degree to which changes in the fair value or cash flows of the hedged item that are attributed to the hedged risk are offset by changes in the fair value or cashflows of the hedging instrument. Economic Offset is measured using Critical Terms Match. When the critical terms (such as the nominal amount, maturity, underlying currency, rate of interest, etc.) of the hedging instrument and the hedged item match or are closely aligned, the Company concludes that an economic relationship exists between the hedged item and the hedging instrument on the basis of a qualitative assessment of those critical terms that the hedging instrument and the hedged item have values that will generally move in the opposite direction.

Offsetting financial instruments

Financial assets and liabilities are offset and the net amount is reported in the balance sheet where there is a legally enforceable right to offset the recognised amounts and there is an intention to settle on a net basis or realise the asset and settle the liability simultaneously. The legally enforceable right must not be contingent on future events and must be enforceable in the normal course of business and in the event of default, insolvency or bankruptcy of the Company or the counterparty.

b. Equity

An equity instrument is any contract that evidences a residual interest in the assets of an entity after deducting all of its liabilities. Equity instruments issued by the Company are recognised at the proceeds received, net of direct issue costs. A conversion option that will be settled by the exchange of a fixed amount of cash or another financial asset for a fixed number of the Company's own equity instruments is an equity instrument. No gain/ loss is recognised in the statement of profit and loss on the purchase, sale, issue or cancellation of the Company's own equity instruments.

1.4 Property, plant and equipment, other intangible assets

Property, plant and equipment and other intangible assets are stated at acquisition cost less accumulated depreciation, amortisation and impairment losses, if any. Estimated cost of dismantling and removing the item and restoring the site on which its located does not arise for owned assets, for leased assets the same are borne by the lessee as per the lease agreement. The cost of an item of property, plant and equipment shall be recognised as an asset if, and only if, it is probable that future economic benefits associated with the item will flow to the entity and the cost of the item can be measured reliably. The acquisition cost includes any

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cost attributable to bringing the asset to the location and condition such that the asset is capable of operating in the manner of its intended use, net of tax/ duty credits availed. Subsequent expenditure related to property, plant and equipment is capitalised only when it is probable that future economic benefits associated with these will flow to the Company and the cost of item can be measured reliably. Other repairs and maintenance costs are expensed off as and when incurred. If significant parts of an item of property, plant and equipment have different useful lives, then they are accounted for as separate items (major components) of property, plant and equipment. An item of property, plant and equipment and any significant part initially recognised is derecognised upon disposal or when no future economic benefits are expected from its use or disposal. Any gain or loss on disposal of an item of property, plant and equipment is recognised in the statement of profit and loss.

Property, plant and equipment not ready for the intended use on the date of the Balance Sheet are disclosed as "capital work-in-progress" and carried at cost, comprising direct cost, related incidental expenses and attributable interest.

Intangible assets are recognised when it is probable that the future economic benefits that are attributable to the asset will flow to the Company and the cost of the asset can be measured reliably. Intangible assets are stated at original cost net of tax/ duty credits availed, if any, less accumulated amortisation and cumulative impairment. Administrative and other general overhead expenses that are specifically attributable to the acquisition of intangible assets are allocated and capitalised as a part of the cost of the intangible assets. Expenses on software support and maintenance are charged to the statement of profit and loss during the year in which such costs are incurred.

Depreciation and Amortisation

Depreciation in respect of assets is provided on the Straight-Line Method as per Schedule II of the Act. Intangible assets are amortised on a straight-line basis over the estimated useful economic life. The Company follows estimated useful lives which are given under Part C of the Schedule II of the Act. The estimated useful lives of items of property, plant and equipment and other intangible assets for the current period is as follows:

Property, plant and equipment	Estimated useful life (In years)
Furniture and fixtures	10
Office equipment	5
Computers	3
Leasehold improvements	Over the lease period
Other intangible assets	
Computer software	3

The estimated useful lives, residual values and depreciation method are reviewed at the end of each reporting period, with the effect of any changes in estimate accounted for on a prospective basis.

Derecognition of property, plant and equipment and intangible asset

An item of property, plant and equipment is derecognised upon disposal or when no future economic benefits are expected to arise from the continued use of the asset. Any gain or loss arising on the disposal or retirement of an item of property, plant and equipment is determined as the difference between the sales proceeds and the carrying amount of the asset and is recognised in the statement of profit and loss. An intangible asset is derecognised on disposal, or when no future economic benefits are expected from use or disposal. Gains or losses arising from derecognition of an intangible asset, measured as

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the difference between the net disposal proceeds and the carrying amount of the asset, are recognised in the statement ofprofit and loss.

1.5 Revenue Recognition

i) Interest income

Interest income on financial instruments is recognised on a time proportion basis taking into account the amount outstanding and the effective interest rate ("EIR") applicable.

Effective Interest Rate ("EIR")

EIR is the rate that exactly discounts the estimated future cash flows over the expected life of the financial instrument or a shorter period, where appropriate, to the gross carrying amount of the financial asset. The calculation considers all contractual terms of the financial instrument (for example, prepayment options) and includes any fees or incremental costs that are directly attributable and are an integral part of the EIR, but not future credit losses. The Company calculates interest income by applying the EIR to the gross carrying amount of financial assets other than credit-impaired assets. When a financial asset becomes credit-impaired, the Company calculates interest income by applying the effective interest rate to the net amortised cost of the financial asset (Gross value less ECL provision). The Company assesses the collectability of the interest on credit impaired assets at each reporting date. Based on the outcome of such assessment, the interest income accrued on credit impaired financial assets are either accounted for as income or written off as per the write off policy of the Company. If the financial assets cures and are no longer credit-impaired, the Company reverts to calculating interest income on a gross basis.

ii) Fees, commission and other operating income

Fees and commission income includes fees such as login fees, insurance commission income, other charges, other than those that are an integral part of EIR. The Company recognises such fees income and commission income in accordance with the terms of relevant contracts/ agreements with the customers and when it is probable that the Company will collect the consideration.

The Company recognises revenue from contracts with customers based on a five-step model as set out in Ind AS 115:

- Step 1: Identify contract(s) with a customer: A contract is defined as an agreement between two or more parties that creates enforceable rights and obligations and sets out the criteria for every contract that must be met.
- Step 2: Identify performance obligations in the contract: A performance obligation is a promise in a contract with a customer to transfer a good or service to the customer.
- Step 3: Determine the transaction price: The transaction price is the amount of consideration to which the Company expects to be entitled in exchange for transferring promised goods or services to a customer, excluding amounts collected on behalf of third parties.
- Step 4: Allocate the transaction price to the performance obligations in the contract: For a contract that has more than one performance obligation, the Company allocates the transaction price to each performance obligation in an amount that depicts the amount of consideration to which the Company expects to be entitled in exchange for satisfying each performance obligation.
- Step 5: Recognise revenue when (or as) the Company satisfies a performance obligation. Fees for financial advisory services are accounted as and when the service is rendered, provided there is reasonable certainty of its ultimate realisation.

iii) Investment income

Investments in units of mutual funds are measured at FVTPL and the gain or loss on sale as well as fair value changes from these investments are presented under net gain on fair value changes in the statement of profit and loss.

iv) Income from transfer and servicing of assets

The Company transfers loans through direct assignment transactions. The transferred loans are de-recognised and gains/ losses are accounted for, only if the Company transfers substantially all risks and rewards specified in the underlying assigned loan contract. In accordance with the Ind AS 109 'Financial instruments', on derecognition of a financial asset under assigned transactions, the difference between the carrying amount and the consideration received are recognised in the statement of profit and loss.

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The Company recognises either a servicing asset or a servicing liability for servicing contract. If the fee to be received is not expected to compensate the Company adequately for performing the servicing activities, a servicing liability for the servicing obligation is recognised at its fair value. If the fee to be received is expected to be more than adequate compensation for the servicing activities, a servicing asset is recognised. Corresponding amount is recognised in statement of profit and loss.

v) Other Income

Other Income represents income earned from the activities incidental to the business and is recognised when the right to receive the income is established as per the terms of the contract.

1.6 Taxation

Income tax expense comprises current tax expenses and net change in the deferred tax assets or liabilities during the year. Current and deferred taxes are recognised in the statement of profit and loss, except when they relate to an item that is recognised in other comprehensive income or directly in equity, in which case, the current and deferred tax are also recognised in other comprehensive income or directly in equity respectively.

The income tax expense or credit for the year is the tax payable on the current year's taxable income based on the applicable income tax rate adjusted by changes in deferred tax assets and liabilities attributable to temporary differences and to unused tax losses.

The current income tax charge is calculated on the basis of the tax laws enacted or substantively enacted at the end of the reporting period.

Deferred income tax is recognised using the balance sheet approach. Deferred income tax assets and liabilities are recognised for the deductible and taxable temporary differences arising between the tax base of an assets and liabilities and their carrying amount in the financial statements, except when the deferred income tax arises from the initial recognition of an asset or liability in a transaction that is not a business combination and affects neither accounting nor taxable profit or loss at the time of recognition.

Deferred tax asset is recognised to the extent that sufficient taxable profit will be available against which the deductible temporary differences and the carry forward of unused tax credits and unused tax losses can be utilised. Deferred income tax is determined using tax rates (and laws) that have been enacted or substantially enacted by the end of the reporting period and are expected to apply when the related deferred income tax asset is realised or the deferred income tax liability is settled. The carrying amount of deferred tax assets are reviewed at each reporting date and reduced to the extent that it is no longer probable sufficient taxable profit will be available to allow or part of deferred income tax assets to be utilised. At each reporting date, the Company re-assesses un-recognised deferred tax assets. It recognises un-recognised deferred tax asset to the extent that it has become reasonably certain, as the case may be, that sufficient future taxable income will be available against which such deferred tax assets can be realised.

Deferred tax assets and liabilities are offset when there is a legally enforceable right to offset current tax assets and liabilities and when the deferred tax balances relate to the same taxation authority. Current tax assets and tax liabilities are offset where the entity has a legally enforceable right to offset and intends either to settle on a net basis or to realise the asset and settle the liability simultaneously.

1.7 Leases

The Company's leased assets primarily consist of leases for buildings. The Company assesses whether a contract contains a lease as defined under Ind AS 116 'Leases', at the inception of a contract. A contract is, or contains, a lease if the contract conveys the right to control the use of an identified asset for a period of time in exchange for consideration. To assess whether a contract conveys the right to control the use of an identified asset, the Company assesses whether:

i. the contract involves the use of an identified asset;

ii. the Company has substantially all of the economic benefits from the use of the asset through the period of the lease; and

iii. the Company has the right to direct the use of the asset.

At the date of commencement of the lease, the Company recognises a right of use asset (ROU) and a corresponding lease liability for all lease arrangements in which it is a lessee, except for leases with a lease term of twelve

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months or less (short-term leases) and low-value assets. For these short-term and low-value assets, the Company recognises the lease payments as an operating expense on a straight-line basis over the term of the lease.

The ROU assets are initially recognised at cost, which comprises the initial amount of the lease liability adjusted for any lease payments made at or prior to the commencement date of the lease plus any initial direct costs less any lease incentives. They are subsequently measured at cost less accumulated depreciation and impairment losses. ROU assets are depreciated from the commencement date on a straight-line basis over the shorter of the lease term and useful life of the underlying asset.

ROU assets are evaluated for recoverability whenever events or changes in circumstances indicate that their carrying amounts may not be recoverable. For the purpose of impairment testing, the recoverable amount (i.e. the higher of the fair value less cost to sell and the value-in-use) is determined on an individual asset basis unless the asset does not generate cash flows that are largely independent of those from other assets.

The lease liability is initially measured at the present value of the fixed lease payments including variable lease payments that depend on an index or a rate. The lease payments are discounted using the interest rate implicit in the lease or, if not readily determinable, using the incremental borrowing rate of the Company. The Company's weighted average cost of incremental borrowing is used to discount its lease liability.

The Company recognises the amount of the re-measurement of lease liability as an adjustment to the right-of-use assets. Where the carrying amount of the ROU assets is reduced to zero and there is a further reduction in the measurement of the lease liability, the Company recognises any remaining amount of the re-measurement in the statement of profit and loss.

Lease liability and ROU asset have been separately presented in the balance sheet.

1.8 Foreign currency transactions

Transactions in foreign currencies are translated into the functional currency of the Company, at the exchange rates at the dates of the transactions or an average rate if the average rate approximates the actual rate at the date of the transaction.

Monetary assets and liabilities denominated in foreign currencies are translated into the functional currency at the exchange rate at the reporting date. Non-monetary assets and liabilities that are measured at fair value in a foreign currency are translated into the functional currency at the exchange rate when the fair value was determined. Non-monetary assets and liabilities that are measured based on historical cost in a foreign currency are translated at the exchange rate at the date of the transaction.

Exchange differences that arise on settlement of monetary items or on reporting of monetary items at each Balance sheet date at the closing exchange rate are recognised in the statement of profit and loss in the period in which they arise.

1.9 Impairment of non-financial assets

The carrying amount of the non-financial assets are reviewed at each balance sheet date if there is any indication of impairment based on internal and external factors. An impairment loss is recognised whenever the carrying amount of an asset or a cash-generating unit exceeds its recoverable amount. The recoverable amount of the assets (or where applicable, that of the cash-generating unit to which the asset belongs) is estimated as the higher of its fair value less costs of disposal and its value in use. The impairment loss is recognised in the statement of profit and loss. After impairment, depreciation/ amortisation is provided on the revised carrying amount of the asset over its remaining useful life.

A previously recognised impairment loss is increased or reversed depending on changes in circumstances. However, the carrying value after reversal is not increased beyond the carrying value that would have prevailed by charging usual depreciation/ amortisation if there were no impairment.

1.10 Cash and cash equivalents

For the purpose of presentation in the statement of cash flows, cash and cash equivalents include cash on hand, demand deposits with banks and financial institutions,

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other short-term, highly liquid investments with original maturities of three months or less that are readily convertible to known amounts of cash and which are subject to an insignificant risk of changes in value.

1.11 Provisions, contingent liabilities and contingent assets

A provision is recognised when the Company has a present obligation as a result of past events and it is probable that an outflow of resources will be required to settle the obligation, in respect of which a reliable estimate can be made. Provisions are measured at the present value of management's best estimate of the expenditure required to settle the present obligation at the end of the reporting period. The discount rate used to determine the present value is a pre-tax rate that reflects the current market assessments of the time value of money and the risks specific to the liability. The increase in the provision due to passage of time is recognised as interest expense.

Contingent liabilities are disclosed in respect of possible obligations that arise from past events, whose existence would be confirmed by the occurrence or non-occurrence of one or more uncertain future events not wholly within the control of the Company or; present obligation that arises from past events where it is not probable that an outflow of resources embodying economic benefits will be required to settle the obligation; or the amount of the obligation cannot be measured with sufficient reliability are disclosed as contingent liability and not provided for.

Contingent assets are not recognised in the financial statements. However, it is disclosed only when an inflow of economic benefits is probable.

Provisions, contingent liabilities and contingent assets are reviewed at each Balance Sheet date.

1.12 Commitments

Commitments are future contractual liabilities, classified and disclosed as follows:

a. The estimated amount of contracts remaining to be executed on capital account and not provided for;

b. Uncalled liability on shares;

c. Undisbursed commitment relating to loans; and

d. Other non-cancellable commitments, if any, to the extent they are considered material and relevant in the opinion of management.

1.13 Employee benefits

i. Post-employment benefits

Defined contribution plan

The Company's contributions to provident fund are considered as defined contribution plan and are charged as an expense as they fall due based on the amount of contribution required to be made and when the services are rendered by the employees.

The Company contributes 10% of the basic salary for certain employees to National Pension Scheme (NPS), a defined contribution plan, which is managed and administered by pension management companies. The Company also gives an option to its employees to receive the amount in lieu of such contribution along with the monthly salary during their employment.

Defined benefit plans

Gratuity

A defined benefit plan is a post-employment benefit plan other than a defined contribution plan. The Company's net obligation in respect of defined benefit plans is calculated separately for each plan by estimating the amount of future benefit that employees have earned in the current and prior periods, discounting that amount and deducting the fair value of any plan assets.

The calculation of defined benefit obligation is performed annually by a qualified actuary using the projected unit credit method. When the calculation results in a potential asset for the Company, the recognised asset is limited to the present value of economic benefits available in the form of any future refunds from the plan or reductions in future contributions to the plan ("the asset ceiling"). In order to calculate the present value of economic benefits, consideration is given to any minimum funding requirements.

Remeasurements of the net defined benefit liability, which comprise actuarial gains and losses and the effect of the asset ceiling (if any, excluding interest), are recognised in OCI. The Company determines the net interest expense (income) on the net defined benefit liability (asset) for the period by applying the discount rate used to measure the defined benefit obligation at the beginning of the annual period to the then-net defined benefit liability

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(asset), taking into account any changes in the net defined benefit liability (asset) during the period as a result of contributions and benefit payments. Net interest expense and other expenses related to defined benefit plans are recognised in statement of profit and loss.

When the benefits of a plan are changed or when a plan is curtailed, the resulting change in benefit that relates to past service ("past service cost" or "past service gain") or the gain or loss on curtailment is recognised immediately in statement of profit and loss. The Company recognises gains and losses on the settlement of a defined benefit plan when the settlement occurs.

ii. Other long-term employee benefits

Compensated absences

The employees can carry forward a portion of the unutilised accrued compensated absences and utilise it in future service periods or receive cash compensation on termination of employment. Since the compensated absences do not fall due wholly within twelve months after the end of such period, the benefit is classified as a long-term employee benefit. The Company records an obligation for such compensated absences in the period in which the employee renders the services that increase this entitlement. The obligation is measured on the basis of independent actuarial valuation using the projected unit credit method.

iii. Short-term employee benefits

The undiscounted amount of short-term employee benefits expected to be paid in exchange for the services rendered by employees are recognised during the year when the employees render the service. These benefits include salaries, wages, performance incentive, short term compensated absences and expected cost of bonus which are expected to occur within twelve months after the end of the year in which the employee renders the related service. The cost of such compensated absences is accounted as under:

(a) in case of accumulated compensated absences, when employees render the services that increase their entitlement of future compensated absences; and

(b) in case of non-accumulating compensated absences, when the absences occur.

1.14 Dividend on equity shares

The Company recognises a liability for distribution of dividend to the equity shareholders when the dividend is authorised and the distribution is no longer at the discretion of the Company. Interim dividend is authorised when it is approved by the Board of Directors and final dividend is authorised when it is approved by the shareholders.

1.15 Share-based payments

Estimating fair value for share-based payment transactions requires use of an appropriate valuation model. The Company measures the cost of equity-settled transactions with Option holders using Black-Scholes Model to determine the fair value of the options on the grant date. Inputs into the valuation model, includes assumption such as the expected life of the share option, volatility and dividend yield. The stock options granted to employees pursuant to the Company's Stock Options Schemes, are measured at the fair value of the options at the grant date using Black Scholes Model. Details regarding the determination of the fair value of equity-settled share-based payments transactions are set out in Note 40.

The fair value of the options determined at grant date is accounted as employee compensation cost over the vesting period on a straight-line basis over the period of option, based on the number of grants expected to vest, with corresponding increase in equity. On cancellation or lapse of option granted to employees, the compensation cost charged to statement of profit and loss is credited with corresponding decrease in equity.

The dilutive effect of outstanding options is reflected as additional share dilution in the computation of diluted earnings per share.

1.16 Earnings per share

The Company reports basic and diluted earnings per equity share in accordance with Ind AS 33 'Earnings Per Share'.

Basic earnings per share are calculated by dividing the net profit or loss (excluding other comprehensive income) attributable to equity shareholders by the weighted average number of equity shares outstanding. The weighted average number of equity shares outstanding is adjusted for events such as bonus issue, bonus element in a right issue, shares split and reverse share splits

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(consolidation of shares) that have changed the number of equity shares outstanding, without a corresponding change in resources.

For the purpose of calculating diluted earnings per share, the net profit or loss (excluding other comprehensive income) attributable to equity shareholders and the weighted average number of shares outstanding are adjusted for the effects of all dilutive potential equity shares, except where the results are anti-dilutive.

1.17 Share issue expense

Share issue expenses are adjusted from the securities premium account in terms of section 52 of the Act.

1.18 Finance costs

Finance costs include interest expense calculated using the EIR on respective financial instruments and borrowings including foreign currency borrowings measured at amortised cost, finance charges in respect of assets acquired on finance lease and exchange differences arising from foreign currency borrowings, to the extent they are regarded as an adjustment to interest costs. All other borrowing costs are recognised in the statement of profit and loss in the period in which they are incurred.

1.19 Securities premium

Securities premium is credited when shares are issued at premium. It can be used to issue bonus shares, to provide for premium on redemption of shares and share issue related expenses, which qualify as equity instruments as per section 52 of the Act.

1.20 Goods and Services Input Tax Credit

Goods and Services tax input credit is recognised for in the books in the period in which the supply of goods or service received is recognised and when there is no uncertainty in availing/ utilising the credits.

1.21 Statement of cash flows

Cash flows are reported using the indirect method, whereby profit before tax is adjusted for the effects of transactions of a non-cash nature and any deferrals or accruals of past or future cash receipts or payments. The cash flows from operating, financing and investing activities of the Company are segregated. Cash and cash equivalents (including bank balances) shown in the statement of cash flows exclude items which are not available for general use as on the date of Balance Sheet.

1.22 Operating segments

The Company's main business is financing by way of loans for the purchase or construction of residential houses, commercial real estate or certain other purposes, in India. All other activities of the Company revolve around the main business. Operating segments are reported in a manner consistent with the internal reporting provided to the Chief Operating Decision Maker. This in the context of Ind AS 108 'Operating Segments' reporting is considered to constitute one reportable segment.

STANDARD ISSUED BUT NOT YET EFFECTIVE

The Ministry of Corporate Affairs ("MCA"), through notifications, introduces new standards or notifies amendments to the existing standards under the Companies (Indian Accounting Standards) Rules, 2015, from time to time. For accounting periods beginning on or after 01 April 2026, when an entity breaches any covenant of a long-term loan arrangement on or before the end of the reporting period with the effect that the liability becomes payable on demand, it classifies the liability as current, even if the lender agreed, after the reporting period and before the approval of the financial statements for issue, not to demand payment as a consequence of the breach. An entity classifies the liability as current because, at the end of the reporting period, it does not have the right to defer its settlement for at least 12 months after that date. However, an entity classifies the liability as non-current if the lender agreed by the end of the reporting period to provide a period of grace ending at least 12 months after the reporting period, within which the entity can rectify the breach and during which the lender cannot demand immediate repayment. This amendment is to be applied retrospectively for annual reporting periods beginning on or after 01 April 2026, in accordance with Ind AS 8, Accounting Policies, Accounting Estimates and Errors. The Company has assessed the impact of the amendment, as stated above, and concluded that it has no impact on the financial statements of the Company for the year ended 31 March 2026 and 31 March 2025.

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(₹ in million)

2 Cash and cash equivalents	As at 31 March 2026	As at 31 March 2025
Cash on hand	1.05	1.66
Balances with banks in current accounts	4,354.91	3,328.83
Deposits with original maturity of 3 months or less	130.11	2,660.51
Others	0.95	0.28
	4,487.02	**5,991.28**

Note: Refer note 15(i) and 16(i)

(₹ in million)

3 Bank balance other than cash and cash equivalents	As at 31 March 2026	As at 31 March 2025
Deposits with original maturity of more than 3 months but less than 12 months*	3,782.62	3,250.95
Deposits with original maturity of more than 12 months*	140.41	140.00
Earmarked balances with banks against unclaimed dividend	0.18	0.14
	3,923.21	**3,391.09**

*Bank deposits include deposits of ₹ 433.65 million (31 March 2025: ₹ 413.04 million) held as security against the bank guarantee provided on behalf of the Company, refer note 16(iv). Bank deposits of Nil (31 March 2025: ₹ 50.00 million) are held as security against the bank overdraft.
Note: Refer note 15(i) and 16(i)

(₹ in million)

4 Receivables	As at 31 March 2026	As at 31 March 2025
Trade Receivables		
Considered good - Unsecured	78.07	55.49
	78.07	**55.49**
Other Receivables		
Considered good - Unsecured	3.89	2.86
	3.89	**2.86**

Trade Receivables ageing schedule

(₹ in million)

Particulars	Outstanding for following periods from due date of payment					Total
	Less than 6 months	6 months to 1 year	1 to 2 years	2 to 3 years	More than 3 years	
As at 31 March 2026						
Trade receivables - considered good						
(i) Undisputed	5.68	-	-	-	-	5.68
(ii) Disputed	-	-	-	-	-	-
	5.68	**-**	**-**	**-**	**-**	**5.68**
Amount unbilled						72.39
Amount not due						-
Total						**78.07**
As at 31 March 2025						
Trade receivables - considered good						
(i) Undisputed	-	-	-	-	-	-
(ii) Disputed	-	-	-	-	-	-
	-	**-**	**-**	**-**	**-**	**-**
Amount unbilled						55.49
Amount not due						-
Total						**55.49**

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(₹ in million)

5 Loans	As at 31 March 2026	As at 31 March 2025
Secured		
Loans carried at amortised cost		
Term loans (gross)*	1,32,376.25	1,07,307.98
Total gross	**1,32,376.25**	**1,07,307.98**
Less: Impairment loss allowance (Refer note 5.1(a))	(1,050.12)	(820.98)
Total term loans (net)	**1,31,326.13**	**1,06,487.00**

*The term loans are secured by equitable mortgage/ registered mortgage of the residential and commercial properties and/ or undertaking to create a security and/ or assignment of life and general insurance policies, including cross collaterization across facilities of common borrowers. Further, all the term loans are disbursed in India to parties other than public sector. Term loans includes staff loans amounting to ₹ 276.11 million (31 March 2025: ₹ 337.15 million).

5 Impairment allowance

5.1(a) An analysis of changes in the gross carrying amount and the corresponding impairment loss allowances is as follows:

(₹ in million)

Home loan	31 March 2026				31 March 2025			
	Stage 1	Stage 2	Stage 3	Total	Stage 1	Stage 2	Stage 3	Total
Gross carrying amount								
Opening balance	85,216.31	1,284.22	1,585.90	**88,086.43**	66,011.26	867.51	1,191.31	**68,070.08**
New assets originated	41,406.58	101.52	129.71	**41,637.81**	35,552.21	144.30	140.03	**35,836.54**
Assets derecognised or repaid	(18,552.33)	(261.65)	(615.66)	**(19,429.64)**	(15,145.46)	(191.49)	(331.17)	**(15,668.12)**
Amounts written off (net of recoveries) (Refer note 28)	(80.71)	(27.59)	(205.02)	**(313.32)**	(42.33)	(15.06)	(94.68)	**(152.07)**
Transfers from Stage 1	(2,146.82)	1,097.15	1,049.67	-	(1,650.13)	861.14	788.99	-
Transfers from Stage 2	338.56	(650.32)	311.76	-	235.52	(436.76)	201.24	-
Transfers from Stage 3	187.43	55.29	(242.72)	-	255.24	54.58	(309.82)	-
Closing balance	**1,06,369.02**	**1,598.62**	**2,013.64**	**1,09,981.28**	**85,216.31**	**1,284.22**	**1,585.90**	**88,086.43**

(₹ in million)

Home loan	31 March 2026				31 March 2025			
	Stage 1	Stage 2	Stage 3	Total	Stage 1	Stage 2	Stage 3	Total
Impairment loss allowance								
Opening balance	185.69	137.82	416.34	**739.85**	159.61	84.82	342.14	**586.57**
New assets originated	120.38	137.53	364.83	**622.74**	84.07	101.11	241.98	**427.16**
Assets derecognised or repaid	(141.81)	(29.15)	(58.37)	**(229.33)**	(129.94)	(22.09)	(42.38)	**(194.41)**
Amounts written off	(0.65)	(11.53)	(196.78)	**(208.96)**	(0.82)	(6.54)	(72.11)	**(79.47)**
Transfers from Stage 1	(4.98)	2.65	2.33	-	(4.59)	2.19	2.40	-
Transfers from Stage 2	33.36	(63.38)	30.02	-	19.05	(37.92)	18.87	-
Transfers from Stage 3	36.08	14.50	(50.58)	-	58.31	16.25	(74.56)	-
Closing balance	**228.07**	**188.44**	**507.79**	**924.30**	**185.69**	**137.82**	**416.34**	**739.85**

(₹ in million)

Loan against property	31 March 2026				31 March 2025			
	Stage 1	Stage 2	Stage 3	Total	Stage 1	Stage 2	Stage 3	Total
Gross carrying amount								
Opening balance	17,495.58	225.27	190.70	**17,911.55**	12,719.78	127.06	126.86	**12,973.70**
New assets originated	8,592.86	15.68	24.96	**8,633.50**	8,675.08	13.42	15.43	**8,703.93**
Assets derecognised or repaid	(5,348.72)	(45.79)	(46.60)	**(5,441.11)**	(3,700.73)	(31.32)	(33.37)	**(3,765.42)**
Amounts written off (net of recoveries) (Refer note 28)	(1.29)	(1.02)	(9.04)	**(11.35)**	(0.08)	-	(0.58)	**(0.66)**
Transfers from Stage 1	(448.47)	252.06	196.41	-	(280.08)	179.70	100.38	-
Transfers from Stage 2	74.17	(125.50)	51.33	-	47.68	(73.65)	25.97	-
Transfers from Stage 3	27.04	19.75	(46.79)	-	33.93	10.06	(43.99)	-
Closing balance	**20,391.17**	**340.45**	**360.97**	**21,092.59**	**17,495.58**	**225.27**	**190.70**	**17,911.55**

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Notes forming part of the financial statements

5.1(a) An analysis of changes in the gross carrying amount and the corresponding impairment loss allowances is as follows (continued):

(₹ in million)

Loan against property	31 March 2026				31 March 2025			
	Stage 1	Stage 2	Stage 3	Total	Stage 1	Stage 2	Stage 3	Total
Impairment loss allowance								
Opening balance	15.53	11.69	30.53	**57.75**	13.58	7.96	21.19	**42.73**
New assets originated	11.98	14.75	42.65	**69.38**	7.18	8.25	19.49	**34.92**
Assets derecognised or repaid	(11.59)	(3.30)	(12.59)	**(27.48)**	(11.05)	(3.18)	(4.48)	**(18.71)**
Amounts written off	-	-	(0.10)	**(0.10)**	-	-	(1.19)	**(1.19)**
Transfers from Stage 1	(0.40)	0.23	0.17	**-**	(0.30)	0.19	0.11	**-**
Transfers from Stage 2	3.24	(5.46)	2.22	**-**	1.85	(3.59)	1.74	**-**
Transfers from Stage 3	2.73	2.96	(5.69)	**-**	4.27	2.06	(6.33)	**-**
Closing balance	**21.49**	**20.87**	**57.19**	**99.55**	**15.53**	**11.69**	**30.53**	**57.75**

(₹ in million)

Commercial loan	31 March 2026				31 March 2025			
	Stage 1	Stage 2	Stage 3	Total	Stage 1	Stage 2	Stage 3	Total
Gross carrying amount								
Opening balance	1,259.92	18.69	31.39	**1,310.00**	988.64	18.58	17.69	**1,024.91**
New assets originated	270.30	2.65	0.24	**273.19**	507.58	5.13	6.48	**519.19**
Assets derecognised or repaid	(262.32)	(2.53)	(11.27)	**(276.12)**	(218.39)	(9.03)	(4.35)	**(231.77)**
Amounts written off (net of recoveries) (Refer note 28)	(0.84)	(0.31)	(3.54)	**(4.69)**	(1.36)	(0.02)	(0.95)	**(2.33)**
Transfers from Stage 1	(28.05)	16.45	11.60	**-**	(29.78)	13.73	16.05	**-**
Transfers from Stage 2	9.80	(13.61)	3.81	**-**	5.55	(9.70)	4.15	**-**
Transfers from Stage 3	2.57	-	(2.57)	**-**	7.68	-	(7.68)	**-**
Closing balance	**1,251.38**	**21.34**	**29.66**	**1,302.38**	**1,259.92**	**18.69**	**31.39**	**1,310.00**

(₹ in million)

Commercial loan	31 March 2026				31 March 2025			
	Stage 1	Stage 2	Stage 3	Total	Stage 1	Stage 2	Stage 3	Total
Impairment loss allowance								
Opening balance	12.69	2.18	8.51	**23.38**	9.28	2.17	4.36	**15.81**
New assets originated	3.34	2.09	5.73	**11.16**	5.37	1.69	6.68	**13.74**
Assets derecognised or repaid	(3.93)	(0.24)	(0.37)	**(4.54)**	(3.73)	(1.14)	(0.46)	**(5.33)**
Amounts written off	(0.04)	(0.07)	(3.62)	**(3.73)**	(0.03)	-	(0.81)	**(0.84)**
Transfers from Stage 1	(0.28)	0.16	0.12	**-**	(0.26)	0.12	0.14	**-**
Transfers from Stage 2	1.09	(1.52)	0.43	**-**	0.32	(0.66)	0.34	**-**
Transfers from Stage 3	0.51	-	(0.51)	**-**	1.74	-	(1.74)	**-**
Closing balance	**13.38**	**2.60**	**10.29**	**26.27**	**12.69**	**2.18**	**8.51**	**23.38**

(₹ in million)

Construction finance	31 March 2026				31 March 2025			
	Stage 1	Stage 2	Stage 3	Total	Stage 1	Stage 2	Stage 3	Total
Gross carrying amount								
Opening balance	-	-	-	**-**	-	-	57.54	**57.54**
New assets originated	-	-	-	**-**	-	-	-	**-**
Assets derecognised or repaid	-	-	-	**-**	-	-	(57.54)	**(57.54)**
Amounts written off (net of recoveries) (Refer note 28)	-	-	-	**-**	-	-	-	**-**
Transfers from Stage 1	-	-	-	**-**	-	-	-	**-**
Transfers from Stage 2	-	-	-	**-**	-	-	-	**-**
Transfers from Stage 3	-	-	-	**-**	-	-	-	**-**
Closing balance	**-**	**-**	**-**	**-**	**-**	**-**	**-**	**-**

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Notes forming part of the financial statements

5.1(a) An analysis of changes in the gross carrying amount and the corresponding impairment loss allowances is as follows (continued):

(₹ in million)

Construction finance	31 March 2026				31 March 2025			
	Stage 1	Stage 2	Stage 3	Total	Stage 1	Stage 2	Stage 3	Total
Impairment loss allowance								
Opening balance	-	-	-	**-**	-	-	46.74	**46.74**
New assets originated	-	-	-	**-**	-	-	-	**-**
Assets derecognised or repaid	-	-	-	**-**	-	-	(46.74)	**(46.74)**
Amounts written off	-	-	-	**-**	-	-	-	**-**
Transfers from Stage 1	-	-	-	**-**	-	-	-	**-**
Transfers from Stage 2	-	-	-	**-**	-	-	-	**-**
Transfers from Stage 3	-	-	-	**-**	-	-	-	**-**
Closing balance	**-**	**-**	**-**	**-**	**-**	**-**	**-**	**-**

5.1(b) An analysis of changes in the gross carrying amount and the corresponding impairment loss allowances in relation to loan commitments is as follows:

(₹ in million)

Loan commitments	31 March 2026				31 March 2025			
	Stage 1	Stage 2	Stage 3	Total	Stage 1	Stage 2	Stage 3	Total
Gross carrying amount								
Opening balance	14,959.44	53.63	81.48	**15,094.55**	11,817.36	25.71	59.29	**11,902.36**
New assets originated	14,589.68	5.65	4.26	**14,599.59**	12,723.24	4.45	4.27	**12,731.96**
Assets disbursed or cancelled	(11,080.02)	(29.33)	(43.51)	**(11,152.86)**	(9,467.72)	(29.23)	(42.82)	**(9,539.77)**
Transfers from Stage 1	(177.07)	59.15	117.92	**-**	(121.82)	60.12	61.70	**-**
Transfers from Stage 2	7.11	(27.22)	20.11	**-**	3.82	(9.72)	5.90	**-**
Transfers from Stage 3	7.23	0.42	(7.65)	**-**	4.56	2.30	(6.86)	**-**
Closing balance	**18,306.37**	**62.30**	**172.61**	**18,541.28**	**14,959.44**	**53.63**	**81.48**	**15,094.55**

Note: Loan commitments are classified as above based on the staging of the borrower's outstanding loan, if any.

(₹ in million)

Loan commitments	31 March 2026				31 March 2025			
	Stage 1	Stage 2	Stage 3	Total	Stage 1	Stage 2	Stage 3	Total
Impairment loss allowance								
Opening balance	21.70	-	-	**21.70**	16.94	-	-	**16.94**
New assets originated	26.52	-	-	**26.52**	19.40	-	-	**19.40**
Assets disbursed or cancelled	(17.84)	-	-	**(17.84)**	(14.64)	-	-	**(14.64)**
Transfers from Stage 1	-	-	-	**-**	-	-	-	**-**
Transfers from Stage 2	-	-	-	**-**	-	-	-	**-**
Transfers from Stage 3	-	-	-	**-**	-	-	-	**-**
Closing balance	**30.38**	-	-	**30.38**	**21.70**	-	-	**21.70**

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Notes forming part of the financial statements

5.2 Impairment assessment

Definition of default
The Company considers a financial instrument as defaulted and considers it as Stage 3 (credit-impaired) for expected credit loss (ECL) calculations, when the assets become more than 90 days past due on its contractual payments and these assets continue to be classified as Stage 3 till the entire overdues are received, in accordance with the RBI guidelines and the Company's ECL Policy.

Exposure at default
The exposure at default (EAD) represents the gross carrying amount of the financial instruments subject to the impairment calculation, addressing both the customer's ability to increase its exposure while approaching default and potential early repayments too.

Probability of default
Probability of default (PD) represents the likelihood of default over a defined time horizon.

Loss given default
Loss given default (LGD) has been calculated by taking into account the recovery experience across the Company's loan accounts post default. The recoveries netted off by expenses incurred for recovery, are tracked and discounted to the date of default using the interest rate.

Macro-economic variables relevant to the underlying loan portfolio such as Gross Domestic Product, Inflation and Housing price index are analysed for their correlations with the Company's historical loan defaults, based on which a macroeconomic variable is selected to ensure that the ECL is forward looking.

Significant increase in credit risk
The Company continuously monitors all assets subjected to ECL. In order to determine whether an instrument or a portfolio of instruments is subject to 12 months ECL or lifetime ECL, the Company assesses whether there has been a significant increase in credit risk since initial recognition. The Company considers an exposure to have significantly increased in credit risk when contractual payments are more than 30 days past due and/ or when the accounts have been restructured under the RBI 'Resolution Framework - 2.0: Resolution of COVID-19 related stress of Individuals and Small Businesses' Guidelines. The Company also assesses if there has been a significant increase in credit risk by considering qualitative factors for increased risk of default for a financial asset.

When estimating ECLs on a collective basis for a group of similar assets, the Company applies the same principles for assessing whether there has been a significant increase in credit risk since initial recognition.

Grouping financial assets measured on a collective basis
As explained above, the Company calculates ECL on a collective basis on the following broad asset classes:
- Home loans
- Loan against property
- Commercial loan

Risk assessment model
The Company has designed and operates its risk assessment model that factors in both quantitative as well as qualitative information on the loans and the borrowers. The model uses historical empirical data to arrive at factors that are indicative of future credit risk and segments the portfolio on the basis of combinations of these parameters into smaller homogenous portfolios from the perspective of credit behaviour.

The Company considers qualitative factors and creates management judgement based provisions in relation to specific borrowers over and above the ECL model based on the evaluation of the expected cash flows.

Collateral
The Company holds collateral to mitigate credit risk associated with financial assets that are measured at amortised cost. The main types of collateral include residential and commercial properties.

Assets possessed under Securitisation and Reconstruction of Financial Assets and Enforcement of Security Interest Act, 2002
Loan Portfolio includes gross loans amounting to ₹ 505.46 million (31 March 2025: ₹ 439.43 million), out of which ₹ 15.49 million (31 March 2025: ₹ 20.38 million) pertains to retained portion of loans from the assigned portfolio, against which the Company has taken possession of the properties under Securitisation and Reconstruction of Financial Assets and Enforcement of Security Interest Act, 2002 and held such properties for disposal.

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Notes forming part of the financial statements

(₹ in million)

6 Investments	As at 31 March 2026	As at 31 March 2025
Carried at fair value through profit and loss - Quoted		
Investments in Mutual funds	5,177.86	1,082.12
Carried at amortised cost - Quoted		
Investments in Government Securities*	2,944.48	2,520.25
Total	**8,122.34**	**3,602.37**
Investment in India	8,122.34	3,602.37
Investment outside India	-	-
	8,122.34	**3,602.37**

*The Company has not recognised any impairment loss allowance on Investments in Government Securities as no risk of default is expected.

(₹ in million)

7 Other financial assets	As at 31 March 2026	As at 31 March 2025
Receivables from assigned portfolio (gross)*	2,163.99	1,732.68
Less: Impairment loss allowance	(17.87)	(16.28)
Receivables from assigned portfolio (net)	2,146.12	1,716.40
Security deposits	46.83	37.74
Salary advance to employees	28.34	23.14
Other deposits	3.54	2.19
Other advances	0.03	-
Other receivables	79.97	44.01
	2,304.83	**1,823.48**

*With respect to assignment deals, the Company has recorded an excess interest strip receivable, with corresponding credit to the statement of profit and loss, which has been computed by discounting excess interest spread to present value, in accordance with Ind AS 109 'Financial instruments'.

(₹ in million)

8 Current tax assets (net)	As at 31 March 2026	As at 31 March 2025
Advance tax (net of provision)*	2.78	2.78
	2.78	**2.78**

*Net of Nil provision for tax (31 March 2025: Nil).

(₹ in million)

8.1 Current tax liabilities (net)	As at 31 March 2026	As at 31 March 2025
Provision for tax (net of advance tax)*	393.21	84.62
	393.21	**84.62**

*Net of advance tax of ₹ 1,665.93 million (31 March 2025: ₹ 1,142.23 million).

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9 Property, plant and equipment and other intangible assets

(₹ in million)

	Property, plant and equipment					Right of use assets (Buildings)	Other intangible assets	
	Furniture and fixtures	Office equipment	Computers	Leasehold improvements	Total tangible assets		Computer software	Total other intangible assets
Gross carrying value								
As at 01 April 2024	**67.61**	**38.51**	**91.19**	**135.65**	**332.96**	**288.65**	**24.92**	**24.92**
Additions for the year ended 31 March 2025	7.51	12.25	17.41	60.07	97.24	210.16	12.31	12.31
Sale / deletion for the year ended 31 March 2025	(2.39)	(0.52)	(13.15)	(0.04)	(16.10)	(22.65)	-	-
As at 31 March 2025	**72.73**	**50.24**	**95.45**	**195.68**	**414.10**	**476.16**	**37.23**	**37.23**
Additions for the year ended 31 March 2026	5.91	9.57	20.29	61.02	96.79	188.97	8.92	8.92
Sale / deletion for the year ended 31 March 2026	(0.58)	(0.67)	(1.42)	(1.60)	(4.27)	(53.09)	-	-
As at 31 March 2026	**78.06**	**59.14**	**114.32**	**255.10**	**506.62**	**612.04**	**46.15**	**46.15**
Accumulated depreciation / amortisation								
As at 01 April 2024	**31.47**	**21.13**	**54.91**	**83.74**	**191.25**	**132.21**	**22.78**	**22.78**
Charge for the year ended 31 March 2025	6.53	5.69	20.63	35.09	67.94	84.70	2.66	2.66
Sale / deletion for the year ended 31 March 2025	(1.67)	(0.46)	(12.43)	(0.02)	(14.58)	(18.31)	-	-
As at 31 March 2025	**36.33**	**26.36**	**63.11**	**118.81**	**244.61**	**198.60**	**25.44**	**25.44**
Charge for the year ended 31 March 2026	6.98	7.60	19.48	43.30	77.36	106.08	5.58	5.58
Sale / deletion for the year ended 31 March 2026	(0.33)	(0.52)	(1.35)	(1.10)	(3.30)	(45.99)	-	-
As at 31 March 2026	**42.98**	**33.44**	**81.24**	**161.01**	**318.67**	**258.69**	**31.02**	**31.02**
Net carrying value								
As at 31 March 2025	**36.40**	**23.88**	**32.34**	**76.87**	**169.49**	**277.56**	**11.79**	**11.79**
As at 31 March 2026	**35.08**	**25.70**	**33.08**	**94.09**	**187.95**	**353.35**	**15.13**	**15.13**

Notes:

1. There have been no acquisitions through business combinations and no change of amount due to revaluation of property, plant and equipment and other intangible assets during the year ended 31 March 2026 and 31 March 2025.
2. Other intangible assets represent assets acquired by the Company and are not internally generated intangible assets.

(₹ in million)

10 Capital work-in-progress	As at 31 March 2026	As at 31 March 2025
Capital work-in-progress	1.92	0.93
	1.92	**0.93**

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Capital work-in-progress ageing schedule

(₹ in million)

Particulars	Capital work-in-progress for a period of				Total
	Less than 1 year	1 to 2 years	2 to 3 years	More than 3 years	
As at 31 March 2026					
Projects in progress	1.92	-	-	-	**1.92**
Projects temporarily suspended	-	-	-	-	**-**
Total	**1.92**	**-**	**-**	**-**	**1.92**
As at 31 March 2025					
Projects in progress	0.93	-	-	-	**0.93**
Projects temporarily suspended	-	-	-	-	**-**
Total	**0.93**	**-**	**-**	**-**	**0.93**

There is no capital work-in-progress whose completion is overdue or has exceeded its cost compared to its original plan as at 31 March 2026 and 31 March 2025.

(₹ in million)

11 Intangible assets under development	As at 31 March 2026	As at 31 March 2025
Intangible assets under development	0.65	1.37
	0.65	**1.37**

Intangible assets under development ageing schedule

(₹ in million)

Particulars	Intangible assets under development for a period of				Total
	Less than 1 year	1 to 2 years	2 to 3 years	More than 3 years	
As at 31 March 2026					
Projects in progress	0.65	-	-	-	**0.65**
Projects temporarily suspended	-	-	-	-	**-**
Total	**0.65**	**-**	**-**	**-**	**0.65**
As at 31 March 2025					
Projects in progress	1.37	-	-	-	**1.37**
Projects temporarily suspended	-	-	-	-	**-**
Total	**1.37**	**-**	**-**	**-**	**1.37**

There are no intangible assets under development whose completion is overdue or has exceeded its cost compared to its original plan as at 31 March 2026 and 31 March 2025.

(₹ in million)

12 Other non-financial assets	As at 31 March 2026	As at 31 March 2025
Prepaid expenses	179.08	208.26
Advance to creditors	24.64	15.97
Capital advances	3.95	14.47
Balance receivable from Government authorities	3.41	3.02
Others*	-	57.51
	211.08	**299.23**

*Others represents expenses accrued during the year ended 31 March 2025 towards proposed Qualified Institutions Placement ('QIP'), including ₹ 10.14 million payable to statutory auditors. These expenses are adjusted against securities premium as share issue expenses during the year ended 31 March 2026 on successful completion of the QIP.

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13 Derivative financial instruments

(₹ in million)

	As at 31 March 2026			As at 31 March 2025		
	Notional Amounts*	Fair Value - Liabilities	Fair Value - Assets	Notional Amounts*	Fair Value - Liabilities	Fair Value - Assets
Part I						
(i) Currency derivatives:						
- Forward contracts**	7,500.51	-	322.89	3,444.51	53.16	-
- Currency swaps (Interest/ Principal/ both)	4,742.35	-	496.26	2,938.95	13.71	-
Subtotal (i)	**12,242.86**	**-**	**819.15**	**6,383.46**	**66.87**	**-**
(ii) Interest rate derivatives:						
- Interest rate swaps#	-	172.12	-	-	-	-
Subtotal (ii)	**-**	**172.12**	**-**	**-**	**-**	**-**
	12,242.86	**172.12**	**819.15**	**6,383.46**	**66.87**	**-**
Part II						
Included in above (Part I) are derivatives held for hedging and risk management purposes as follows:						
(i) Fair value hedging:						
- Interest rate swaps#	-	172.12	-	-	-	-
- Currency derivatives^	4,742.35	-	475.23	2 ,938.95	-	52.15
(ii) Cash flow hedging:						
- Currency derivatives^	-	-	21.04	-	65.86	-
- Forward contracts**	7500.51	-	322.89	-	-	-
(iii) Undesignated derivatives:						
- Currency derivatives	-	-	-	3,444.51	53.16	-
	12,242.86	**172.12**	**819.15**	**6,383.46**	**119.02**	**52.15**

* The notional amounts are not indicative of either the market risk or credit risk.
** The notional amounts of the respective currencies have been converted using exchange rates as at the balance sheet date.
#Interest rate swaps have been taken in respect of the same contract for which the currency swaps have been entered, accordingly the notional value of interest rate swaps are not shown separately.
^The currency derivatives are held by the the Company for the purpose of, both, fair value hedging and cash flow hedging, accordingly the notional value of currency derivatives are not shown seperately.

Hedging activities and derivatives

The Company enters into derivatives for risk management purposes. Derivatives held for risk management purposes include hedges that either meet the hedge accounting requirements or hedges that are economic hedges.

The Company is exposed to currency risk on its outstanding foreign currency borrowing amounting to ₹ 12,603.64 million (31 March 2025: ₹ 6,343.17 million) which is primarily mitigated using derivative financial instruments such as currency swaps and forward contracts. Refer note 16(v), 16(vi) and note 36 for foreign currency risk disclosures. The Company uses interest rate swaps to mitigate the interest rate risk on its foreign currency borrowings.

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Impact of hedging activities

a. Disclosure of effects of hedge accounting on financial position: (₹ in million)

Type of hedge and risks	Nominal value	Carrying amount assets/ (liabilities) of hedging instrument	Maturity date	Hedge ratio	Change in fair value of hedging instrument	Change in fair value of hedged item used as the basis for recognising hedge ineffectiveness	Line item in the Balance sheet for hedged item
As at 31 March 2026							
Cash flow hedge							
Foreign currency & interest rate risk							
a. Cross currency interest rate swaps^	4,742.35	21.04	15 June 2034	100%	21.04	(21.04)	Borrowings
b. Forward contracts	7,500.51	322.89	April 2026 to July 2026	100%	322.89	(322.89)	Borrowings
Fair value hedge							
Foreign currency & interest rate risk							
a. Cross currency interest rate swaps^	-	475.23	15 June 2034	100%	475.23	(475.23)	Borrowings
b. Interest rate swaps#	-	(172.12)	15 June 2034	100%	(129.66)	128.14	Borrowings and Cash flow hedge reserve
As at 31 March 2025							
Cash flow hedge							
Foreign currency & interest rate risk							
a. Cross currency interest rate swaps^	2,938.95	(65.86)	15 June 2034	100%	(65.86)	65.86	Borrowings
Fair value hedge							
Foreign currency & interest rate risk							
a. Cross currency interest rate swaps^	-	52.15	15 June 2034	100%	52.15	(52.15)	Borrowings

#Interest rate swaps have been taken in respect of the same contract for which the currency swaps have been entered, accordingly the notional value of interest rate swaps are not shown separately.

^The cross currency interest rate swaps are held by the the Company for the purpose of, both, fair value hedging and cash flow hedging, accordingly the notional value of currency derivatives are not shown seperately.

b. Disclosure of effects of hedge accounting on financial performance: (₹ in million)

Type of hedge	Change in the value of hedging instrument recognised in Other comprehensive income		Hedge ineffectiveness recognised in the statement of profit and loss		Amount reclassified from cash flow hedging reserve to the statement of profit and loss		Line item in the statement of profit and loss for the reclassification
	As at 31 March 2026	As at 31 March 2025	As at 31 March 2026	As at 31 March 2025	As at 31 March 2026	As at 31 March 2025	
Cash flow hedge							
Foreign currency & interest rate risk							
a. Cross currency interest rate swaps	(19.34)	85.08	-	-	44.21	(40.10)	Finance cost
b. Forward contracts	(372.53)	-	(0.21)	-	367.20	-	Finance cost

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(₹ in million)

c. Movement in the cash flow hedge reserve:	As at 31 March 2026	As at 31 March 2025
Opening balance	(44.98)	-
Changes in the fair value of cross currency interest rate swaps attributable to interest rate risk	19.34	(85.08)
Changes in the fair value of spot element of forward contracts	372.53	-
Amount reclassified from cash flow hedging reserve to the statement of profit and loss	(411.41)	40.10
Tax on movements in reserve during the year	4.92	-
Closing balance	**(59.61)**	**(44.98)**

(₹ in million)

d. Movement in the cost of hedging:	As at 31 March 2026	As at 31 March 2025
Opening balance	-	-
Forward premium at inception of the contract	(103.35)	-
Changes in the fair value of forward element of forward contracts	67.24	-
Amortisation of forward element of forward contracts	46.18	-
Tax on movements in reserve during the year	(2.53)	-
Closing balance	**7.53**	-

(₹ in million)

14 Trade payables	As at 31 March 2026	As at 31 March 2025
Total outstanding dues of micro enterprises and small enterprises	0.27	2.29
Total outstanding dues of creditors other than micro enterprises and small enterprises	163.71	158.57
	163.98	**160.86**

The management has identified enterprises which qualify under the definition of micro enterprises and small enterprises, as defined under Micro, Small and Medium Enterprises Development (MSMED) Act, 2006. Accordingly, the disclosure in respect of amount payable to such enterprises as mentioned below is based on information received and available with the Company and relied upon by the statutory auditors.

(₹ in million)

	As at 31 March 2026	As at 31 March 2025
Principal amount remaining unpaid	0.27	2.29
Interest due thereon remaining unpaid	-	-
Interest paid by the Company in terms of Section 16 of MSMED Act, 2006, along with the amount of the payment made to the suppliers and service providers beyond the appointed day during the year	-	-
Interest due and payable for the period of delay in making payment (which has been paid but beyond the appointed day during the year) but without adding the interest specified under MSMED Act, 2006	-	-
Amount of interest accrued and remaining unpaid at the end of the year	-	-
Further interest remaining due and payable even in the succeeding years, until such date when the interest dues as above are actually paid to the small enterprise for the purpose of disallowance as a deductible expenditure under section 23 of the MSMED Act, 2006	-	-

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Trade payables ageing schedule (₹ in million)

Particulars	Outstanding for following periods from due date of payment				Total
	Less than 1 year	1 to 2 years	2 to 3 years	More than 3 years	
As at 31 March 2026					
(i) MSME	0.27	-	-	-	**0.27**
(ii) Others	2.02	-	-	-	**2.02**
(iii) Disputed dues - MSME	-	-	-	-	**-**
(iv) Disputed dues - Others	-	-	-	-	**-**
	2.29	**-**	**-**	**-**	**2.29**
Unbilled dues					161.69
Total					**163.98**
As at 31 March 2025					
(i) MSME	2.29	-	-	-	**2.29**
(ii) Others	2.14	-	-	-	**2.14**
(iii) Disputed dues - MSME	-	-	-	-	**-**
(iv) Disputed dues - Others	-	-	-	-	**-**
	4.43	**-**	**-**	-	**4.43**
Unbilled dues					156.43
Total					**160.86**

(₹ in million)

15 Debt securities	As at 31 March 2026	As at 31 March 2025
At amortised cost		
Debentures (Secured)	2,274.43	2,848.39
	2,274.43	**2,848.39**
Debt securities in India	2,274.43	2,848.39
Debt securities outside India	-	-
	2,274.43	**2,848.39**

Details of redeemable non convertible debentures (₹ in million)

	Earliest redemption date	Rate of interest (p.a.)	Original Maturity	As at 31 March 2026	As at 31 March 2025
Series 6	23 December 2026	7.73% to 8.92%	3 to 7 years	2,240.00	2,800.00
Interest accrued				46.96	67.73
Total debt securities				**2,286.96**	**2,867.73**
Adjustment of unamortised processing fee (EIR)				(12.53)	(19.34)
Total adjusted debt securities				**2,274.43**	**2,848.39**

(i) The Company has outstanding 2,240 debentures (31 March 2025: 2,800 debentures) at a face value of ₹ 1.00 million which are un-listed and secured against the first pari-passu charge (along with banks, financial institutions and other lenders which provide credit facilities to the issuer) by way of hypothecation on the Company's present and future receivables and book debts, cash and cash equivalents and investments, as may be identified by the Company on a time to time basis.

(ii) The Company has not made any default in repayment of instalments due over the reporting year.

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(₹ in million)

16 Borrowings (other than debt securities)	As at 31 March 2026	As at 31 March 2025
Secured		
At amortised cost		
Term loans		
- from banks	77,666.41	69,127.36
- from National Housing Bank (NHB)	19,484.08	18,643.71
- from other parties	6,475.56	4,887.53
	1,03,626.05	**92,658.60**
Borrowings in India (Refer note (v) below)	98,394.91	89,658.87
Borrowings outside India (Refer note (vi) below)	5,231.14	2,999.73
	1,03,626.05	**92,658.60**

Notes:

(i) All borrowings are secured against the loan assets, investments, cash and cash equivalents and bank balances other than cash and cash equivalents of the Company to the extent of required asset cover as per sanctioned terms.
(ii) The repayment of the borrowing is done in monthly, quarterly and half - yearly instalment as per the sanctioned terms.
(iii) The Company has not made any default in repayment of instalments due over the reporting year.
(iv) Bank guarantees of ₹ 340.00 million and ₹ 10.00 million for refinance from NHB is provided by Axis Bank Limited and Central Bank of India (31 March 2025: ₹ 340.00 million and ₹ 10.00 million) respectively on behalf of the Company to NHB. Total outstanding balance as at 31 March 2026 for such term loans is ₹ 899.22 million (31 March 2025: ₹ 1,677.37 million).
(v) Borrowings in India includes outstanding foreign currency borrowings amounting to ₹ 7,372.50 million (31 March 2025: ₹ 3,343.44 million) for which the Company has entered in to forward contracts to hedge the foreign currency risk.
(vi) Borrowings outside India represents foreign currency External Commercial Borrowings (ECBs) amounting to ₹ 5,231.14 million (31 March 2025: ₹ 2,999.73 million) for which the Company has entered in to currency swaps and interest rate swaps to hedge the foreign currency risk and interest rate risk.

Terms of repayment of term loans

(₹ in million)

Rate of interest (p.a.)	Maturity	As at 31 March 2026	As at 31 March 2025
2%-3%	Less than 5 years	1,445.16	2,445.63
4%-5%		99.85	206.53
5%-6%		3,161.84	3,698.75
6%-7%		1,745.55	14.51
7%-8%		39,576.11	773.25
8%-9%		43,983.69	56,340.62
9%-10%		-	17,303.26
4%-5%	5 -7 years	1,230.00	-
5%-6%		-	241.78
7%-8%		5,126.03	79.27
8%-9%		4,698.55	7,834.81
9%-10%		-	845.26
7%-8%	7-10 years	2,242.93	-
8%-9%		606.61	2,892.09
9%-10%		-	85.71
8%-9%	More than 10 years	-	89.84
9%-10%		-	75.00
Total borrowings (excluding loans repayable on demand)		**1,03,916.32**	**92,926.31**
Adjustment of unamortised transaction costs		(290.27)	(267.71)
Total adjusted borrowings (excluding loans repayable on demand)		**1,03,626.05**	**92,658.60**

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(₹ in million)

17 Other financial liabilities	As at 31 March 2026	As at 31 March 2025
Lease liabilities (Refer note 42)	374.47	292.28
Amounts payable under assignment of receivables (collections made on behalf of assignee)	326.11	278.77
Amounts payable under co-lending	9.54	20.52
Margin money*	300.58	0.30
Unclaimed dividend#	0.18	0.14
Payable to NHB against credit linked subsidy scheme (CLSS)^	1.55	3.02
Employee benefits payable	206.40	146.72
Other financial liabilities	122.09	62.45
	1,340.92	**804.20**

*Represents margin money received towards derivative variation from the counterparty bank.
#There were no undisputed amounts which were due and remained unpaid to the Investor Education and Protection Fund as at 31 March 2026 and 31 March 2025.
^Represents subsidy received earlier to be refunded by the Company subsequently.

(₹ in million)

18 Provisions	As at 31 March 2026	As at 31 March 2025
Provision for employee benefits - gratuity (Refer note 39 A)	100.40	59.70
Provision for employee benefits - compensated absences (Refer note 39 C)	15.45	12.52
Impairment loss allowance on undisbursed loan commitment (Refer note 5.1(b))	30.38	21.70
	146.23	**93.92**

(₹ in million)

19 Other non-financial liabilities	As at 31 March 2026	As at 31 March 2025
Fees towards undisbursed loan commitments	59.36	58.35
Statutory remittances	63.97	104.34
	123.33	**162.69**

20 Equity share capital
Details of authorised, issued, subscribed and paid-up share capital

	As at 31 March 2026		As at 31 March 2025	
	No. of shares	Amount (₹ in million)	No. of shares	Amount (₹ in million)
Authorised share capital				
Equity shares of ₹ 2 each	12,50,00,000	250.00	12,50,00,000	250.00
	12,50,00,000	**250.00**	**12,50,00,000**	**250.00**
Issued, subscribed and paid-up				
Equity shares of ₹ 2 each	10,43,28,017	208.66	9,00,55,540	180.11
	10,43,28,017	**208.66**	**9,00,55,540**	**180.11**

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i. The reconciliation of the number of shares outstanding and the amount of share capital as at 31 March 2026 and 31 March 2025 is set out below:

Equity shares	As at 31 March 2026		As at 31 March 2025	
	No. of shares	Amount (₹ in million)	No. of shares	Amount (₹ in million)
Shares outstanding at the beginning of the year	9,00,55,540	180.11	8,85,16,167	177.03
Add: Shares issued during the year on account of Qualified Institutions Placement	1,28,86,597	25.77	-	-
Add: Shares issued during the year on account of stock options exercised	13,85,880	2.78	15,39,373	3.08
Shares outstanding at the end of the year	**10,43,28,017**	**208.66**	**9,00,55,540**	**180.11**

ii. Shareholders holding more than 5% of the shares in the Company

Equity shares	As at 31 March 2026		As at 31 March 2025	
	No. of shares	% of holding	No. of shares	% of holding
Orange clove investments B.V.	-	0.00%	1,09,80,033	12.19%
True North Fund V LLP	49,29,240	4.72%	77,37,825	8.59%
Aether (Mauritius) Limited	23,59,176	2.26%	50,97,358	5.66%
Smallcap World Fund, Inc	83,39,518	7.99%	50,13,700	5.57%
Government Pension Fund Global	59,32,501	5.69%	36,67,592	4.07%
HDFC Mutual Fund -HDFC Nifty 500 Multicap 50:25:25	67,57,601	6.48%	-	0.00%
Kotak Mahindra Trustee Co Ltd	53,45,557	5.12%	-	0.00%

iii. Terms, rights, preferences and restrictions attached to shares

Equity shares:

The Company has only one class of equity share having face value of ₹ 2 per share. Each holder of equity share is entitled to one vote per share. The dividend proposed, if any, by the board of directors is subject to the approval of shareholders in the ensuing general meeting. In the event of liquidation of the Company, the holder of equity shares will be entitled to receive any of the remaining assets of the Company.

iv. Issue of bonus shares or buyback of shares

The Company has not issued/ allotted any shares pursuant to contracts without payment being received in cash, nor issued any bonus shares nor there has been any buyback of shares during five years immediately preceding 31 March 2026.

v. For details of shares reserved for issue under the employee stock option plan (ESOP) of the Company and shares exercised under ESOP, refer note 40.

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vi. Shareholding of Promoters in the Company

Equity shares	As at 31 March 2026		As at 31 March 2025		% change during the year
	No. of shares	% of total shares	No. of shares	% of total shares	
True North Fund V LLP	49,29,240	4.72%	77,37,825	8.59%	(36%)
Aether (Mauritius) Limited	23,59,176	2.26%	50,97,358	5.66%	(54%)

vii. Dividend

The Board of Directors at their meeting held on 06 May 2026 have recommended dividend of ₹ 5.20 per equity share for the year ended 31 March 2026 (Previous year: ₹ 3.70 per equity share), subject to the approval of shareholders at the ensuing Annual General Meeting.

viii. During the year ended 31 March 2026, the Company has, by way of Qualified Institutions Placement in accordance with SEBI (Issue of Capital and Disclosure Requirements) Regulations, 2018, alloted 1,28,86,597 equity shares of face value of ₹ 2 per share at a price of ₹ 970 per share, aggregating to ₹ 12,500 million.

(₹ in million)

21 Other equity	Notes	As at 31 March 2026	As at 31 March 2025
Share application money pending allotment	-	0.58	-
Statutory reserve	21.2	3,845.94	2,758.94
Securities premium	21.3	24,592.76	11,450.32
Stock option outstanding account	21.4	739.03	575.17
Retained earnings	21.5	14,246.63	10,309.62
Remeasurements of defined benefit plans	21.6	(16.13)	(16.36)
Cash flow hedge reserve	21.7	(59.61)	(44.98)
Cost of hedging	21.8	7.53	-
		43,356.73	**25,032.71**

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(₹ in million)

21.1 Particulars	As at 31 March 2026	As at 31 March 2025
Statutory reserve		
Opening balance	2,758.94	1,990.94
Add: Current year transfer	1,087.00	768.00
	3,845.94	**2,758.94**
Securities premium		
Opening balance	11,450.32	11,116.71
Add: Premium on issue of equity share capital on account of Qualified Institutions Placement	12,474.23	-
Less: Share issue expenses adjusted in accordance with Section 52 of Companies Act, 2013	(193.61)	-
Add: Premium on issue of share capital on account of stock options exercised	656.25	257.32
Add: Transferred from stock option outstanding account pursuant to stock options exercised	205.57	76.29
	24,592.76	**11,450.32**
Stock options outstanding account		
Opening balance	575.17	390.04
Add: Expense for the year debited to the statement of profit and loss	371.32	266.78
Less: Transferred to securities premium pursuant to stock options exercised	(205.57)	(76.29)
Less: Transferred to retained earnings pursuant to stock options lapsed	(1.89)	(5.36)
	739.03	**575.17**
Retained earnings		
Opening balance	10,309.62	7,552.88
Add: Profit for the year	5,403.83	3,820.68
Less: Dividends	(381.71)	(301.30)
Less: Transfer to statutory reserve	(1,087.00)	(768.00)
Add: Transferred from stock option outstanding account pursuant to stock options lapsed	1.89	5.36
	14,246.63	**10,309.62**
Remeasurements of defined benefit plans		
Opening balance	(16.36)	(12.75)
Add: Other comprehensive income for the year	0.23	(3.61)
	(16.13)	**(16.36)**
Other Comprehensive Income		
Cash flow hedge reserve		
Opening balance	(44.98)	-
Add: Other comprehensive income for the year (Refer note 13 c)	(14.63)	(44.98)
	(59.61)	**(44.98)**
Cost of hedging		
Opening balance	-	-
Add: Other comprehensive income for the year (Refer note 13 d)	7.53	-
	7.53	**-**
	43,356.15	**25,032.71**

21.2 Statutory reserve

As per Section 29C of National Housing Bank Act (NHB), 1987, the Company is required to transfer at least 20% of its net profits every year to a reserve before any dividend is declared. For this purpose, any Special Reserve created by the Company under Section 36(1)(viii) of the Income Tax Act, 1961 is considered to be an eligible transfer. Thus, during the year ended 31 March 2026 and 31 March 2025, the Company has transferred to Statutory Reserve, an amount arrived in accordance with Section 29C of the NHB Act, 1987.

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21.3 Securities premium

Securities premium is credited when shares are issued at premium. It can be used to issue bonus shares, to provide for premium on redemption of shares or debentures, share issue related expenses, like underwriting costs, etc. in accordance with Section 52 of the Companies Act, 2013.

21.4 Stock options outstanding account

Stock options outstanding account is created as required by Ind AS 102 'Share Based Payments' on the Employee stock option schemes operated by the Company for its employees.

21.5 Retained earnings

Retained earnings represents the amount of accumulated earnings of the Company.

21.6 Remeasurements of defined benefit plans

Remeasurements of defined benefit plans represents change on account of remeasurement of the net defined benefit liabilities comprising of actuarial gain/ loss.

21.7 Cash flow hedge reserve

Cash flow hedge reserve represents changes in the fair value of derivative financial instruments which are designated as effective portion of cash flow hedges.

21.8 Cost of hedging

Cost of hedging reserve represents change in time value of derivative financial instruments which are designated as effective hedges.

(₹ in million)

22 Interest income	Year ended 31 March 2026	Year ended 31 March 2025
On financial assets measured at amortised cost		
Interest on term loans	15,734.33	12,801.59
Interest income on investments	170.78	152.27
Interest on bank deposits	412.61	357.66
Other interest income*	322.47	228.78
	16,640.19	**13,540.30**

*Other interest income includes interest income on unwinding of interest strip receivable and gain on modification of financial asset due to realisation of cashflows.

(₹ in million)

23 Fees and commission income	Year ended 31 March 2026	Year ended 31 March 2025
Insurance commission	701.67	331.73
Fee income	125.73	121.26
	827.40	**452.99**

(₹ in million)

Details of segment wise income as required by Insurance Regulatory and Development Authority of India (IRDAI):	Year ended 31 March 2026	Year ended 31 March 2025
Commission income - Life insurance	529.83	299.24
Commission income - General insurance	171.84	32.49
	701.67	**331.73**

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(₹ in million)

24 Net gain on fair value changes	Year ended 31 March 2026	Year ended 31 March 2025
On financial instruments measured at fair value through profit and loss*		
- On trading portfolio - investment in mutual funds	482.67	400.77
- On derivative financial instruments	10.70	(49.72)
Total net gain on fair value changes	**493.37**	**351.05**
Fair value changes:		
- Realised	469.03	399.65
- Unrealised - Fair value gain/ (loss)	24.34	(48.60)
Total net gain on fair value changes	**493.37**	**351.05**

*Fair value changes in this schedule are other than those arising on account of accrued interest income/ expense.

(₹ in million)

25 Other operating income	Year ended 31 March 2026	Year ended 31 March 2025
Other charges*	63.34	42.87
	63.34	**42.87**

*Other charges mainly include cheque bounce charges, rate reduction charges, etc.

(₹ in million)

26 Other income	Year ended 31 March 2026	Year ended 31 March 2025
Marketing and advertisement fees	64.24	91.29
Other non-operating income	17.09	1.27
	81.33	**92.56**

(₹ in million)

27 Finance costs	Year ended 31 March 2026	Year ended 31 March 2025
On financial liabilities measured at amortised cost		
Interest on borrowings	7,538.04	6,842.73
Interest on debt securities	219.51	257.60
Interest on lease liabilities (Refer note 42)	26.99	18.97
Other interest expense*	138.68	33.40
	7,923.22	**7,152.70**

*Other interest expense includes foreign exchange differences arising from foreign currency borrowings and amortisation of forward element of forward contracts.

(₹ in million)

28 Impairment on financial instruments	Year ended 31 March 2026	Year ended 31 March 2025
On financial assets measured at amortised cost		
Impairment loss allowance on loans	229.15	129.06
Write-offs on loans (net)	329.36	155.06
Impairment loss allowance on loan commitment and other receivables	10.27	3.56
	568.78	**287.68**

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(₹ in million)

29 Employee benefits expense	Year ended 31 March 2026	Year ended 31 March 2025
Salaries, wages and bonus	1,878.81	1,532.38
Contribution to provident and other funds (Refer note 39 B)	62.25	55.32
Gratuity expenses (Refer note 39.4)	52.88	12.81
Compensated absences expenses (Refer note 39 C)	2.94	3.39
Share based payment to employees (Refer note 40)	371.32	266.78
Staff welfare expenses	118.82	73.41
	2,487.02	**1,944.09**

(₹ in million)

30 Other expenses	Year ended 31 March 2026	Year ended 31 March 2025
Power and fuel	14.26	12.92
Rent (Refer note 42)	16.97	13.35
Repairs and maintenance	6.60	4.16
Telephone and communication expense	3.77	3.61
Office administrative expenses	28.55	23.17
Marketing and sales promotion expense	41.19	43.65
Auditor's remuneration (excluding GST)*		
- Statutory audit fees	6.70	6.00
- Limited review fees	2.70	1.50
- Tax audit fees	0.40	0.30
- Other services (certifications, etc.)	2.65	1.46
Legal and professional charges	206.12	154.07
Director's fees, allowances and expenses	19.25	12.20
Travelling expense	107.60	107.57
Software and technology cost	246.85	200.44
Rates and taxes	120.43	117.14
Corporate social responsibility expenses (Refer note 43)	80.50	62.12
Bank charges and others	35.59	34.04
Miscellaneous expenses	41.51	38.68
	981.64	**836.38**

*Audit fees excludes fees incurred during the year in respect of funds raised for Qualified Institutions Placement amounting to ₹ 14.66 million, adjusted against securities premium.

(₹ in million)

31 Tax expense	Year ended 31 March 2026	Year ended 31 March 2025
Current tax expense		
Tax expense for the year	1,667.68	1,129.35
Adjustments in respect of current income tax of previous year	(4.37)	9.63
	1,663.31	**1,138.98**
Deferred taxes (net)		
Change in deferred tax assets	(126.59)	(117.74)
Change in deferred tax liabilities	136.99	173.96
Net deferred tax expense	**10.40**	**56.22**
Total income tax expense	**1,673.71**	**1,195.20**

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31.1 Tax reconciliation

The tax charge shown in the statement of profit and loss differs from the tax charge that would apply if all profits had been charged at India corporate tax rate. A reconciliation between the tax expense and the accounting profit multiplied by India's domestic tax rate for the year ended 31 March 2026 and 31 March 2025 is as follows:

(₹ in million)

	Year ended 31 March 2026	Year ended 31 March 2025
Profit before income tax expense	**7,077.54**	**5,015.88**
Income tax rate (Refer paragraph 1.6 - Taxation in material accounting policy information)	25.17%	25.17%
Tax at statutory income tax rate	1,781.28	1,262.40
Tax effect of amounts which are not deductible/ not taxable in calculating taxable income		
Expenses disallowed under Income Tax Act, 1961 (net)	114.29	69.64
Provision for special reserve [Sec 36 (1) (viii) of Income tax Act, 1961]	(217.49)	(146.47)
Adjustments in respect of current income tax of previous year	(4.37)	9.63
Income tax expense	**1,673.71**	**1,195.20**

31.2 Deferred tax movement related to the following:

(₹ in million)

Deferred tax assets / (liability) (net)	As at 31 March 2026	Recognised in the statement of profit and loss	Recognised in OCI	As at 31 March 2025
Deferred tax asset on account of:				
Provision for employee benefits	29.16	(11.07)	0.08	18.17
Impairment loss allowance	276.43	(60.26)	-	216.17
Unamortised fee income and transaction costs on loans	294.40	(10.14)	-	284.26
Lease liabilities	97.04	(21.32)	-	75.72
Unrealised net fair valuation loss on foreign currency borrowings and derivative financial instruments	39.50	(23.80)	(2.39)	13.31
	736.53	**(126.59)**	**(2.31)**	**607.63**
Deferred tax liability on account of:				
Depreciation and amortisation	59.13	12.05	-	47.08
Unamortised transaction costs on debt securities and borrowings (other than debt securities)	88.32	(7.07)	-	95.39
Interest income on Stage 3 loans	46.02	15.61	-	30.41
Fair valuation of investment in mutual funds	4.74	3.43	-	1.31
Deduction claimed for provision for bad debts u/s 36(1)(viia)	38.73	7.56	-	31.17
Excess interest strip receivable	531.43	105.41	-	426.02
	768.37	**136.99**	-	**631.38**
Deferred tax asset/ (liability) (net) and charge/ (credit) for the year	**(31.84)**	**10.40**	**(2.31)**	**(23.75)**

(₹ in million)

Deferred tax assets / (liability) (net)	As at 31 March 2025	Recognised in the statement of profit and loss	Reognised in OCI	As at 31 March 2024
Deferred tax asset on account of:				
Provision for employee benefits	18.17	(2.63)	(1.22)	14.32
Impairment loss allowance	216.17	(33.37)	-	182.80
Unamortised fee income and transaction costs on loans	284.26	(38.60)	-	245.66
Lease liabilities	75.72	(32.22)	-	43.50
Stock option outstanding account	-	0.68	-	0.68
Unrealised net fair valuation loss on foreign currency borrowings and derivative financial instruments	13.31	(11.60)	-	1.71
	607.63	**(117.74)**	**(1.22)**	**488.67**
Deferred tax liability on account of:				
Depreciation and amortisation	47.08	22.19	-	24.89
Unamortised transaction costs on debt securities and borrowings (other than debt securities)	95.39	43.58	-	51.81
Interest income on Stage 3 loans	30.41	13.59	-	16.82
Fair valuation of investment in mutual funds	1.31	0.28	-	1.03
Deduction claimed for provision for bad debts u/s 36(1)(viia)	31.17	0.94	-	30.23
Excess interest strip receivable	426.02	93.38	-	332.64
	631.38	**173.96**	**-**	**457.42**
Deferred tax asset/ (liability) (net) and charge/ (credit) for the year	**(23.75)**	**56.22**	**(1.22)**	**31.25**

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32 Earnings per share (EPS)	As at 31 March 2026	As at 31 March 2025
Net profit after tax attributable to equity shareholders (₹ in million)	5,403.83	3,820.68
Weighted average number of equity shares for calculating basic EPS	10,32,26,787	8,92,14,830
Effect of Dilutive Potential Equity shares - Employee Stock Options	15,23,680	16,07,330
Weighted average number of equity shares for calculating diluted EPS	10,47,50,467	9,08,22,160
Earnings per share		
Basic earning per share (₹)	52.35	42.83
Diluted earning per share (₹)	51.59	42.07
Face value per share (₹)	2.00	2.00

33 Related party disclosures

Related party disclosures as required under Indian Accounting standard 24 'Related party disclosures' are given below.

33.1 List of related parties

Nature of relationship	Name of related party
Entity having significant influence	True North Fund V LLP
Entity having significant influence	Aether (Mauritius) Limited
Entity having significant influence	Orange Clove Investments B.V. (up to 02 December 2024)
Key Management Personnel (KMP)	Mr. Manoj Viswanathan - Managing Director and Chief Executive Officer
Key Management Personnel (KMP)	Mr. Deepak Satwalekar - Independent Director
Key Management Personnel (KMP)	Mr. Divya Sehgal - Nominee Director
Key Management Personnel (KMP)	Mr. Maninder Singh Juneja - Nominee Director (up to 02 May 2025)
Key Management Personnel (KMP)	Mr. Narendra Ostawal - Nominee Director (up to 15 July 2025)
Key Management Personnel (KMP)	Mr. Anuj Srivastava - Independent Director
Key Management Personnel (KMP)	Ms. Geeta Dutta Goel - Independent Director
Key Management Personnel (KMP)	Ms. Sucharita Mukherjee - Independent Director
Key Management Personnel (KMP)	Mr. Sriram Hariharan - Non-Executive Independent Director (from 26 June 2025)

33.2 Transactions during the year with related parties:

(₹ in million)

Transactions with	Nature of transactions	Year ended 31 March 2026	Year ended 31 March 2025
Mr. Manoj Viswanathan	Short term benefits - Remuneration	36.63	28.10
Mr. Manoj Viswanathan	Share based payment - Exercise of ESOP*	9.46	35.17
Mr. Manoj Viswanathan	Share based payment - Expense for the year*	52.60	38.98
Mr. Manoj Viswanathan	Post employment benefits - Gratuity	0.02	0.05
Mr. Manoj Viswanathan	Long term benefits - Compensated absences	0.07	0.08
Mr. Manoj Viswanathan	Dividend paid	3.71	2.73
True North Fund V LLP	Dividend paid	28.63	42.66
Aether (Mauritius) Limited	Dividend paid	18.86	28.23
Orange Clove Investments B.V.	Dividend paid	-	69.44
Mr. Deepak Satwalekar	Short term benefits - Sitting fees	0.70	0.50
Mr. Anuj Srivastava	Short term benefits - Sitting fees	1.10	1.10
Ms. Sucharita Mukherjee	Short term benefits - Sitting fees	0.90	1.50
Ms. Geeta Dutta Goel	Short term benefits - Sitting fees	2.05	1.40
Mr. Sriram Hariharan	Short term benefits - Sitting fees	1.70	-
Mr. Deepak Satwalekar	Short term benefits - Directors' commission	5.40	3.00
Mr. Anuj Srivastava	Short term benefits - Directors' commission	1.80	1.50
Ms. Sucharita Mukherjee	Short term benefits - Directors' commission	2.00	1.60
Ms. Geeta Dutta Goel	Short term benefits - Directors' commission	2.00	1.60
Mr. Sriram Hariharan	Short term benefits - Directors' commission	1.60	-

*During the year ended 31 March 2026, 80,680 employee stock options amounting to ₹ 9.46 million were exercised (31 March 2025: 3,00,000 options amounting to ₹ 35.17 million). The cost of options granted for the year ended 31 March 2026 is ₹ 52.60 million (31 March 2025: ₹ 38.98 million).

Notes:

1. The transactions disclosed above are excluding GST. Remuneration includes amount of incentives paid during the year ended 31 March 2026 and 31 March 2025.
2. The transactions disclosed above are in the ordinary course of business and on an arms' length basis.

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33.3 Amount due to related parties: (₹ in million)

Particulars	Nature	As at 31 March 2026	As at 31 March 2025
Mr. Deepak Satwalekar	Payable	5.40	3.00
Mr. Anuj Srivastava	Payable	2.20	1.80
Ms. Sucharita Mukherjee	Payable	2.00	1.60
Ms. Geeta Dutta Goel	Payable	2.00	1.60
Mr. Sriram Hariharan	Payable	1.60	-

34 Capital management

The Company's capital management strategy is to effectively determine, raise and deploy capital to cover risk inherent in business and meeting the capital adequacy requirements of the Reserve Bank of India (RBI). The same is done through a combination of equity and/ or short term/ long term debt as may be appropriate. The Company determines the amount of capital required on the basis of operations and capital expenditure. The adequacy of the Company's capital is monitored using, among other measures, the regulations issued by the RBI.

The capital structure is monitored on the basis of net debt to equity and maturity profile of overall debt portfolio. The Company's policy is in line with Reserve Bank of India (Housing Finance Companies) Directions, 2025 which currently permits HFCs to borrow up to 12 times of their net owned funds ("NOF"). Refer note 50 for Capital to risk-weighted assets ratio (CRAR).

The Company has complied in full with all its externally imposed capital requirements over the reported periods.

Particulars	As at 31 March 2026	As at 31 March 2025
Net total debt including interest accrued and not due thereon (net of cash and cash equivalents) (₹ in million)	1,01,413.46	89,515.71
Total equity (₹ in million)	43,565.39	25,212.82
Net debt to equity ratio	2.33	3.55

Loan covenants

In order to achieve the overall objective, the Company's capital management, amongst other things, aims to ensure that it meets the financial covenants attached to the interest-bearing loans and borrowings that define capital structure requirements. Breach in meeting these financial covenants would permit the banks and/ or financial institutions to immediately call loans and borrowings. There have been no breaches in the financial covenants of any borrowing in the reporting year.

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35 Fair value measurement

35.1 Financial instruments by category

(₹ in million)

Particulars	Category	As at 31 March 2026	As at 31 March 2025
Financial assets:			
Cash and cash equivalents	Amortised Cost	4,487.02	5,991.28
Bank balance other than cash and cash equivalents	Amortised Cost	3,923.21	3,391.09
Derivative financial instruments			
- At fair value through profit and loss (FVTPL)	FVTPL	303.11	-
- At fair value through other comprehensive income (FVOCI)	FVOCI	343.93	-
Receivables			
- Trade receivables	Amortised Cost	78.07	55,49
- Other receivables		3.89	2.86
Loans	Amortised Cost	1,32,376.25	1,07,307.98
Less: Impairment loss allowance		(1,050.12)	(820.98)
Investments			
- Mutual funds	FVTPL	5,177.86	1,082.12
- Government Securities	Amortised Cost	2,944.48	2,520.25
Other financial assets	Amortised Cost	2,304.83	1,823.48
Total financial assets		**1,50,892.52**	**1,21,353.57**
Financial liabilities:			
Derivative financial instruments			
- At fair value through profit and loss (FVTPL)	FVTPL	-	1.01
- At fair value through other comprehensive income (FVOCI)	FVOCI	-	65.86
Trade payables	Amortised Cost	163.98	160.86
Debt securities	Amortised Cost	2,274.43	2,848.39
Borrowings (other than debt securities)	Amortised Cost	1,03,626.05	92,658.60
Other financial liabilities*	Amortised Cost	966.45	511.92
Total financial liabilities		**1,07,030.91**	**96,246.64**

* Other financial liabilities exclude liability pertaining to lease liabilities covered under Indian Accounting Standard 116 (31 March 2026: ₹ 374.47 million; 31 March 2025: ₹ 292.28 million).

35.2 Fair value hierarchy

The fair values of the financial assets and liabilities are included at the amount that would be received to sell an asset or paid to transfer a liability in an orderly transaction between market participants at the measurement date. This section explains the judgements and estimates made in determining the fair values of the financial instruments that are (a) recognised and measured at fair value and (b) measured at amortised cost and for which fair values are disclosed in the financial statements. To provide an indication about the reliability of the inputs used in determining fair value, the Company has classified its financial instruments into the three levels prescribed under the Indian Accounting standard.

Level 1: Level 1 hierarchy includes financial instruments measured using quoted prices. This includes listed equity instruments, units of mutual funds (open ended) and traded bonds that have quoted price. Open-ended mutual funds are valued at Net Asset Value (NAV) declared by respective fund house and are classified under Level 1.

Level 2: The fair value of financial instruments that are not traded in an active market is determined using valuation techniques which maximise the use of observable market data and rely as little as possible on entity-specific estimates. If all significant inputs required to fair value an instrument are observable, the instrument is included in level 2, this level of hierarchy includes financial assets, measured using inputs other than quoted prices included within Level 1 that are observable for the asset, either directly (i.e. as prices) or indirectly (i.e. derived from prices).

Level 3: This level of hierarchy includes financial instruments measured using inputs that are not based on observable market data (unobservable inputs). Fair values are determined in whole or in part, using a valuation model based on assumptions that are neither supported by prices from observable current market transactions in the same instrument nor are they based on available market data.

There have been no transfers amongst the levels of hierarchy during the year ended 31 March 2026 and 31 March 2025.

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35.3 Financial assets and liabilities measured at fair value at each reporting date

(₹ in million)

Particulars	As at 31 March 2026	As at 31 March 2025
	Level 1	
Financial assets measured at FVTPL		
Investments in Mutual funds	5,177.86	1,082.12
	Level 2	
Financial assets measured at FVTPL		
Derivative financial instruments	303.11	-
Financial assets measured at FVOCI		
Derivative financial instruments	343.93	-
	Level 2	
Financial liabilities measured at FVTPL		
Derivative financial instruments	-	1.01
Financial liabilities measured at FVOCI		
Derivative financial instruments	-	65.86

35.4 Financial assets and liabilities measured at amortised cost at each reporting date

1. The carrying value of excess interest strip receivable, bank deposits, debt securities and borrowings represents its fair value.
2. Further, the carrying value of cash and cash equivalents, bank balances other than cash and cash equivalents, investments in government securities, receivables, other financial assets, trade payables and other financial liabilities are considered to be approximately equal to the fair value due to their short term maturities.
3. Substantial amount of loans and borrowings are at a floating rate of interest and the carrying amount of these are considered to be approximately equal to their fair value.
4. Debt securities are at a floating rate of interest and hence, the carrying value is equal to the fair value. For carrying value and fair value of investments in mutual funds and derivative financial instruments, refer note 35.3.

35.5 Valuation techniques

The fair value of the financial assets and liabilities is the amount at which the instrument could be exchanged in a current transaction between willing parties, other than in a forced or liquidation sale. The following methods and assumptions were used to estimate the fair values:

Derivative financial instruments - The fair value is determined as the present value of future expected cashflows based on observable yield curves and/ or forward exchange rates on the reporting date. The fair valuation is classified as level 2 in the fair value hierarchy since the inputs are observable but are not quoted prices.

36 Financial risk management

The Company is exposed to certain financial risks namely credit risk, liquidity risk and market risk i.e. interest risk, foreign currency risk and price risk. The Company's primary focus is to achieve better predictability of financial markets and minimise potential adverse effects on its financial performance by effectively managing the risks on its financial assets and liabilities.

The principal objective in the Company's risk management processes is to measure and monitor the various risks associated with the Company and to follow policies and procedures to address such risks. The Company's risk management framework is driven by its Board and its subcommittees including the Audit Committee, the Asset Liability Management Committee and the Risk Management Committee. The Company gives due importance to prudent lending practices and have implemented suitable measures for risk mitigation, which include verification of credit history from credit information bureaus, personal verification of a customer's business and residence, valuation of collateral, technical and legal verifications, conservative loan to value, and required term cover for insurance.

A Liquidity risk

Liquidity risk is defined as the risk that the Company will not be able to settle or meet its obligations on time or at a reasonable price. For the Company, liquidity risk arises from obligations on account of financial liabilities - borrowings, trade payables and other financial liabilities. The Company manages liquidity risk by maintaining adequate cash reserves by continuously monitoring forecast and actual cash flows, and by matching the maturity profiles of financial assets and liabilities.

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The tables below summarises the maturity profile of the undiscounted cash flows of the Company's financial liabilities:

As at 31 March 2026

(₹ in million)

	Within 1 year	1 - 5 years	5 - 10 years	Beyond 10 years	Total
Trade payables	163.98	-	-	-	**163.98**
Debt securities	733.15	1,939.49	-	-	**2,672.64**
Borrowings (other than debt securities)	28,108.32	82,213.27	15,144.50	-	**1,25,466.09**
Other financial liabilities*	966.45	-	-	-	**966.45**
Total	**29,971.90**	**84,152.76**	**15,144.50**	**-**	**1,29,269.16**

As at 31 March 2025

(₹ in million)

	Within 1 year	1 - 5 years	5 - 10 years	Beyond 10 years	Total
Derivative financial instruments	66.87	-	-	-	**66.87**
Trade payables	160.86	-	-	-	**160.86**
Debt securities	793.46	2,672.65	-	-	**3,466.11**
Borrowings (other than debt securities)	27,125.14	71,250.55	12,880.63	-	**1,11,256.32**
Other financial liabilities*	511.92	-	-	-	**511.92**
Total	**28,658.25**	**73,923.20**	**12,880.63**	**-**	**1,15,462.08**

* Other financial liabilities exclude liability pertaining to lease liabilities covered under Indian accounting standard 116 (31 March 2026: ₹ 374.47 million; 31 March 2025: ₹ 292.28 million).

B Market risk

(i) Foreign currency risk

Foreign currency risk is the risk that the fair value or future cash flows of an exposure will fluctuate because of changes in foreign currency rates. The Company's exposure to the risk of changes in foreign exchange rates relates primarily towards principal and interest payments at a future date on the foreign currency borrowings and certain vendors in trade payables.

In order to minimise any adverse impact on the financial performance of the Company, the Company enters in to forward contracts and cross currency interest rate swaps to hedge the foreign currency risk in such a manner that it results in fixed determinate outflows in the functional currency and as such there would be no significant impact of movement in foreign currency rates on the Company's profit before tax and equity.

(Amounts in million)

Particulars	As at 31 March 2026		As at 31 March 2025	
	USD	₹	USD	₹
Financial liabilities/ (assets)				
Trade payables	0.09	8.90	0.34	29.26
Borrowings (other than debt securities)*	133.75	12,603.64	75.51	6,343.17

* Borrowings denominated in foreign currencies are fully hedged using derivative financial instruments, refer note 16(v), 16(vi) and 13.

(ii) Interest rate risk

The Company is subject to interest rate risk, since the rates of loans and borrowings might fluctuate over the tenure of instrument. Interest rates are highly sensitive to many factors beyond control, including the monetary policies of the Reserve Bank of India, deregulation of the financial sector in India, domestic and international economic and political conditions, inflation and other factors. In order to manage interest rate risk, the Company seeks to optimise borrowing profile between short-term and long-term loans. The liabilities are categorised into various time buckets based on their maturities and the Asset Liability Management Committee supervise an interest rate sensitivity report periodically for assessment of interest rate risks.

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Exposure to loans, borrowings and debt securities

(₹ in million)

Particulars	As at 31 March 2026	As at 31 March 2025
Loans		
Loans (variable)	1,23,835.02	98,267.07
Loans (fixed rate)	8,541.23	9,040.91
Borrowings and debt securities		
Borrowings and debt securities (variable)	99,513.88	88,896.99
Borrowings and debt securities (fixed rate)	6,386.60	6,610.00
Total borrowings and hdebt securities	**1,05,900.48**	**95,506.99**

Sensitivity analysis

The following table demonstrates the sensitivity to a reasonably possible change in interest rates (all other variables being constant) on the Company's statement of profit and loss and equity:

(₹ in million)

Interest rate	Impact on profit before tax and equity	
	Year ended 31 March 2026	Year ended 31 March 2025
Loans		
Increase by 50 basis points	619.18	491.34
Decrease by 50 basis points	(619.18)	(491.34)
Borrowings and debt securities		
Increase by 50 basis points	(497.57)	(444.48)
Decrease by 50 basis points	497.57	444.48

(iii) Price risk

The Company is exposed to price risk from its investment in mutual funds measured at fair value through statement of profit and loss.

(₹ in million)

Sensitivity	Impact on profit before tax and equity	
	Year ended 31 March 2026	Year ended 31 March 2025
Investments in mutual funds		
Increase by 50 basis points	25.89	5.41
Decrease by 50 basis points	(25.89)	(5.41)

37 Credit risk management

Credit quality of assets

Credit risk is the risk that the Company will incur a loss because the counterparty might fail to discharge their contractual obligations. The Company has a comprehensive framework for monitoring credit quality of its retail and other loans primarily based on number of days past due.

The Company manages credit risks by using a set of credit procedures and guidelines, laid down in the credit risk policy, to ensure effective credit risk management and health of the portfolio. The adherence to the policy and various processes is monitored and appraised in the credit committee meetings on a quarterly basis. The policy is amended periodically to ensure compliance with the guidelines of the RBI as well as other regulatory bodies.

We have implemented a structured credit approval process, including multi-step customer verification and comprehensive credit risk assessment, which encompasses analysis of relevant quantitative and qualitative information to ascertain the credit worthiness of a potential customer.

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As part of our multi-step customer verification, we have established a process by which separate set of verifications are conducted by a customer relationship manager and customer service officer to ensure the quality of customers acquired as well as eliminate misuse of borrowing practices.

Portfolio quality, credit limits, collateral quality and credit exposure limits are regularly monitored at various levels.

The Company considers a financial instrument as defaulted and considers it as Stage 3 (credit-impaired) for expected credit loss (ECL) calculations, when the assets become more than 90 days past due on its contratual payments and these assets continue to be classified as Stage 3 till the entire overdues are received, in accordance with the RBI guidelines and the ECL Policy.

The Company evaluates the credit risk on its receivables from assigned portfolio and creates a provision for expected credit loss, refer note 7. The expected credit loss on the underlying assigned portfolio is used to determine the provision for expected credit loss on the excess interest strip receivable.

The following table sets out information about creditquality of loans measured at amortised cost based on the staging of the loans. The amount represents gross carrying amount. (Refer note 5 - Loans for detailed disclosure on gross carrying amount and impairment loss allowance on loans).

(₹ in million)

Loans	As at 31 March 2026			
	Stage 1	Stage 2	Stage 3	Total
Home loan	1,06,369.02	1,598.62	2,013.64	**1,09,981.28**
Loan against property	20,391.17	340.45	360.97	**21,092.59**
Commercial loan	1,251.38	21.34	29.66	**1,302.38**
Total	**1,28,011.57**	**1,960.41**	**2,404.27**	**1,32,376.25**

(₹ in million)

Loans	As at 31 March 2025			
	Stage 1	Stage 2	Stage 3	Total
Home loan	85,216.31	1,284.22	1,585.90	**88,086.43**
Loan against property	17,495.58	225.27	190.70	**17,911.55**
Commercial loan	1,259.92	18.69	31.39	**1,310.00**
Total	**1,03,971.81**	**1,528.18**	**1,807.99**	**1,07,307.98**

(₹ in million)

Loan commitments	As at 31 March 2026			
	Stage 1	Stage 2	Stage 3	Total
Home loan	16,844.50	58.59	166.41	**17,069.50**
Loan against property	1,358.33	3.71	6.02	**1,368.06**
Commercial loan	103.54	-	0.18	**103.72**
Total	**18,306.37**	**62.30**	**172.61**	**18,541.28**

(₹ in million)

Loan commitments	As at 31 March 2025			
	Stage 1	Stage 2	Stage 3	Total
Home loan	13,400.60	49.94	78.54	**13,529.08**
Loan against property	1,464.39	3.21	1.49	**1,469.09**
Commercial loan	94.45	0.48	1.45	**96.38**
Total	**14,959.44**	**53.63**	**81.48**	**15,094.55**

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Customer type

(₹ in million)

Loans	As at 31 March 2026			
	Stage 1	Stage 2	Stage 3	Total
Salaried	87,973.87	1,210.62	1,358.27	**90,542.76**
Self employed	40,037.70	749.79	1,046.00	**41,833.49**
	1,28,011.57	**1,960.41**	**2,404.27**	**1,32,376.25**

(₹ in million)

Loans	As at 31 March 2025			
	Stage 1	Stage 2	Stage 3	Total
Salaried	70,440.96	892.30	1,048.59	**72,381.85**
Self employed	33,530.85	635.88	759.40	**34,926.13**
	1,03,971.81	**1,528.18**	**1,807.99**	**1,07,307.98**

38 Transfers of assets

Assignment deal:

The Company has sold some loans measured at amortised cost as per assignment deals during the year. As per the terms of these deals, since substantial risk and rewards related to these assets were transferred to the buyer, the assets have been derecognised from the Company's balance sheet.

The management has evaluated the impact of assignment transactions done during the year for its business model. Based on the future business plan, the Company's business model remains to hold the assets for collecting contractual cash flows. The table below summarises the carrying amount of the derecognised financial assets measured at amortised cost and the gain on derecognition, per type of asset.

(₹ in million)

Loans measured at amortised cost	Year ended 31 March 2026	Year ended 31 March 2025
Carrying amount of derecognised financial assets as at year ended	21,005.51	16,364.65
Carrying amount of derecognised financial assets during the year	8,384.22	7,053.34
Gain from derecognition	1,121.59	912.26

38.1 Disclosures pursuant to Reserve Bank of India (Non-Banking Financial Companies - Transfer and Distribution of Credit Risk) Directions, 2025 and Reserve Bank of India (Non-Banking Financial Companies - Financial Statements: Presentation and Disclosures) Directions, 2025 dated 28 November 2025:

a. Details of transfer through direct assignment in respect of loans not in default:

Particulars	Year ended 31 March 2026	Year ended 31 March 2025
Number of loans	11,453	11,094
Aggregate amount (₹ in million)	9,315.80	7,837.04
Sale consideration (₹ in million)	8,384.22	7,053.34
Number of transactions	11	10
Weighted average remaining maturity (in months)	193	216
Weighted average holding period after origination (in months)	15	15
Retention of beneficial economic interest	10%	10%
Coverage of tangible security coverage	100%	100%
Rating wise distribution of rated loans	NA	NA
Number of instances (transactions) where transferor has agreed to replace the transferred loans	NA	NA
Number of transferred loans replaced	NA	NA

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b. The Company has not acquired any loan which is either not in default or stressed during the year ended 31 March 2026 and 31 March 2025.

c. The Company has not transferred any stressed loan during the year ended 31 March 2026 and 31 March 2025.

d. Disclosures on Co-lending arrangements (CLA):

Particulars	As at 31 March 2026	As at 31 March 2025
Quantum of CLAs		
- Number of CLA partners	5	3
- Number of outstanding cases	3,966	2,481
- Amount of Gross outstanding (₹ in million)	1,576.15	953.39
Weighted average rate of interest	10.00%	10.47%
Fees charged during the year (₹ in million)	7.80	5.70
Broad sectors in which CLA was made	Home loan	Home loan
Performance of loans under CLA		
- Standard loans (₹ in million)	1,561.36	946.27
- Non-performing loans (₹ in million)	14.79	7.12
Details related to default loss guarantee	NA	NA

39 Employee benefits

(A) Defined benefit obligation

The Company has an unfunded defined benefit plan i.e., Gratuity, for its employees. Under the gratuity plan every employee who has completed at least five years of service gets a gratuity on departure at 15 days of salary for each year of service.

Contribution to gratuity fund (unfunded scheme)
In accordance with Indian Accounting Standard 19 'Employee benefits', actuarial valuation was done in respect of the aforesaid defined benefit plan of gratuity based on the following assumptions:

39.1 Actuarial assumptions

Particulars	As at 31 March 2026	As at 31 March 2025
Mortality rate	Indian Assured Lives Mortality 2012-14 (Urban)	Indian Assured Lives Mortality 2012-14 (Urban)
Discount rate (% p.a.)	6.77%	6.55%
Rate of salary increase (% p.a.)	10.00%	10.00%
Rate of employee turnover (% p.a.)	20.00%	20.00%

Interest rate risk: The risk of government security yields falling due to which the corresponding discount rate used for valuing liabilities falls. Such a fall in discount rate will result in a larger value placed on the future benefit cash flows whilst computing the liability and thereby requiring higher accounting provisioning.

Longevity risk: Longevity risks arises when the quantum of benefits payable under the plan is based on how long the employee lives post cessation of service with the company. The gratuity plan provides the benefit in a lump sum form and since the benefit is not payable as an annuity for the rest of the lives of the employees, there is no longevity risk.

Salary risk: The gratuity benefits under the plan are related to the employee's last drawn salary. Consequently, any unusual rise in future salary of the employee raises the quantum of benefit payable by the company, which results in a higher liability for the company and is therefore a plan risk for the company.

Asset liability matching risk: The Company faces asset liability matching risk as to the matching cashflow as it has to pay the gratuity benefits on pay as you go basis.

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39.2 Changes in the present value of defined benefit obligation

(₹ in million)

Particulars	As at 31 March 2026	As at 31 March 2025
Present value of obligation at the beginning of the year	59.70	47.77
Interest expense	4.64	3.43
Current service cost	15.25	9.38
Past service cost	32.99	-
Benefit paid directly by the employer	(11.87)	(5.71)
Actuarial loss on obligations - due to change in financial assumptions	(1.69)	1.68
Actuarial loss on obligations - due to experience	1.38	3.15
Present value of obligation at the end of the year	**100.40**	**59.70**
39.3 Assets and liabilities recognised in the balance sheet		
Present value of the defined benefit obligation at the end of the year	(100.40)	(59.70)
Net liability recognised in the balance sheet	**(100.40)**	**(59.70)**

39.4 Expenses recognised in the statement of profit and loss

(₹ in million)

Particulars	Year ended 31 March 2026	Year ended 31 March 2025
Current service cost	15.25	9.38
Past service cost	32.99	-
Net interest expense	4.64	3.43
Expenses recognised in the statement of profit and loss for the year	**52.88**	**12.81**

39.5 Expenses recognised in the statement of other comprehensive income (OCI)

(₹ in million)

Particulars	Year ended 31 March 2026	Year ended 31 March 2025
Actuarial loss on post employment defined benefit obligation	(0.31)	4.83
Expenses recognised in the statement of OCI	**(0.31)**	**4.83**

39.6 Reconciliation of net liability recognised

(₹ in million)

Particulars	Year ended 31 March 2026	Year ended 31 March 2025
Opening net liability	59.70	47.77
Expenses recognised at the end of year in profit and loss	52.88	12.81
Amount recognised in other comprehensive income	(0.31)	4.83
Benefit paid directly by the employer	(11.87)	(5.71)
Net liability recognised in the balance sheet	**100.40**	**59.70**

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39.7 Sensitivity analysis

(₹ in million)

Particulars	Year ended 31 March 2026	Year ended 31 March 2025
Delta effect of +1% change in rate of discounting	(4.35)	(2.61)
Delta effect of -1% change in rate of discounting	4.79	2.88
Delta effect of +1% change in rate of salary increase	3.84	2.37
Delta effect of -1% change in rate of salary increase	(3.65)	(2.23)
Delta effect of +1% change in rate of employee turnover	(1.19)	(0.75)
Delta effect of -1% change in rate of employee turnover	1.25	0.80

39.8 Maturity analysis of projected benefit obligation

(₹ in million)

Year	As at 31 March 2026	As at 31 March 2025
1	13.56	8.49
2	13.31	7.94
3	13.53	7.66
4	13.52	7.61
5	13.21	7.31
Sum of years 6 to 10	41.78	24.94
Sum of years 11 and above	37.15	22.09

39.9 Experience adjustments

(₹ in million)

Particulars	31 March 2026	31 March 2025	31 March 2024	31 March 2023	31 March 2022
Defined benefit obligation	100.40	59.70	47.77	37.82	29.71
Experience adjustments on defined benefit obligation	1.38	3.15	2.79	1.12	1.71

On 21 November 2025, the Government of India has consolidated 29 existing labour laws in to four Labour Codes - the Code on Wages, 2019, the Industrial Relations Code, 2020, the Code on Social Security, 2020, and the Occupational Safety, Health and Working Conditions Code, 2020 (collectively referred to as the 'New Labour Codes'). As per the requirements under Ind AS 19, changes to employee benefit plans arising from the New Labour Codes constitute plan amendments and are required to be treated as past service costs. Accordingly, the Company has estimated an increase in provision for employee benefits, on account of the New Labour Codes, by ₹ 32.99 million and the same has been recognized under the head 'Employee benefits expense' in the statement of profit and loss for the year ended 31 March 2026. The Company continues to monitor the finalisation of Central and State Rules and clarifications on the New Labour Codes and would provide appropriate accounting treatment on the basis of such developments, if needed.

(B) Defined contribution plan

The Company contributes towards provident fund for employees which is the defined contribution plan for qualifying employees. Under this Scheme, the Company is required to contribute specified percentage of the payroll cost to fund the benefits. The Company recognised ₹ 58.82 million (31 March 2025: ₹ 52.35 million) for provident fund contributions in the statement of profit and loss. The Company has recognised ₹ 3.32 million (31 March 2025: ₹ 2.87 million) for National Pension Scheme contributions in the statement of profit and loss.

(C) Compensated absence expenses

The Company has accounted for provision for compensated absences. An employee is eligible to carry forward 30 to 90 days of leaves basis their work location to the next period from the balance leaves pending utilisation; however these leaves are non-encashable. Provision for compensated absence for current year is ₹ 2.94 million (31 March 2025: ₹ 3.39 million).

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40 Employee stock options

40.1 The Company has various Employee stock option schemes, under which grants were made as per details provided below:

a) Employee Stock Option Plan 2012 ('ESOP 2012')	Tranche 1	Tranche 2	Tranche 3	Tranche 4	Tranche 5
No. of options approved (post subdivision) ^	29,08,180				
No. of options granted (post subdivision) ^	5,75,000	6,25,000	8,50,000	5,15,680	3,42,500
Date of grant	14 March 2012	25 March 2013	19 March 2014	30 March 2015	04 January 2016
Exercise price per option (post subdivision) (₹) ^	47.83	47.83	56.23	56.23	56.23

b) Employee Stock Option Scheme II ('ESOP II')	Tranche 1*	Tranche 2	Tranche 3*	Tranche 4*	Tranche 5*
No. of options approved (post subdivision) ^	41,25,290				
No. of options granted (post subdivision) ^	24,22,220	2,91,795	16,58,500	40,750	1,54,500
Date of grant	01 April 2017	01 April 2018	01 April 2019	01 October 2019	01 October 2020
Exercise price per option (post subdivision) (₹) ^	117.24	117.24	139.30	223.20	334.73

*Notes:

a. 2,87,975 options lapsed in Tranche 1 of ESOP II and were reissued in Tranche 3 (2,47,225 options) and Tranche 4 (40,750 options) (post subdivision) during the year ended 31 March 2020.

b. 1,31,150 and 23,350 options lapsed in Tranche 1 and Tranche 3 of ESOP II respectively, were reissued in Tranche 5 (1,54,500) (post subdivision) during the year ended 31 March 2021.

^ Refer note 40.5(ii)

c) Homefirst ESOP Scheme 2021 ('ESOP 2021')	Tranche 1	Tranche 2	Tranche 3	Tranche 4	Tranche 5	Tranche 6	Tranche 7*
No. of options approved	19,69,283						
No. of options granted	9,25,000	1,18,900	7,000	7,86,882	65,000	84,000	15,000
Date of grant	15 December 2021	19 July 2022	07 November 2022	26 April 2023	27 May 2023	08 May 2024	01 September 2025
Exercise price per option (₹)	851.10	771.30	730.00	706.20	692.65	878.05	1,225.60

* 15,000 options lapsed out of earlier tranches were reissued in Tranche 7 during the year ended 31 March 2026.

d) Homefirst ESOP Scheme 2024 ('ESOP 2024')	Tranche 1	Tranche 2	Tranche 3
No. of options approved	26,55,485		
No. of options granted	11,00,000	9,50,000	10,000
Date of grant	22 July 2024	03 April 2025	30 May 2025
Exercise price per option (₹)	970.30	987.95	1,079.30

40.2 Vesting condition

a) ESOP 2012: All options under this scheme have been fully vested.

b) ESOP II: Management option: Vesting will be in two parts for Tranche 1, Tranche 2, Tranche 3 - 66% will be performance plus time based which will vest in 6 equal instalments; and 34% will be vested as follows:

Particulars	Vesting on					
	15 October 2020	01 April 2021	01 April 2022	01 April 2023	01 April 2024	01 April 2025
Tranche 1	9.39%	8.20%	8.20%	8.21%	NA	NA
Tranche 2	9.39%	6.15%	6.15%	6.15%	6.16%	NA
Tranche 3	9.39%	4.92%	4.92%	4.92%	4.92%	4.93%
Tranche 5	Vesting will be in 6 equal instalments starting from 01 October 2021.					

Note: The Board at their meeting held on 15 October 2020 amended the ESOP II (the Scheme) leading to change in the vesting period of management exit linked options - wherein these options would now be vested as per the schedule stated above.

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Non Management option: Vesting will be in 6 equal instalments starting from 01 April 2018.

Particulars	Tranche 1	Tranche 2	Tranche 3	Tranche 4	Tranche 5
Vesting start period	01 April 2018	01 April 2019	01 April 2020	01 October 2020	01 October 2021
Management					
1st Year (post subdivision) ^	2,09,000	27,500	96,853	-	17,680
2nd Year (post subdivision) ^	2,09,000	50,975	75,620	-	17,680
3rd Year (post subdivision) ^	3,87,410	42,875	75,620	-	17,680
4th Year (post subdivision) ^	3,64,800	42,875	75,620	-	17,680
5th Year (post subdivision) ^	3,64,800	42,875	75,620	-	17,680
6th Year (post subdivision) ^	3,64,990	42,900	75,668	-	15,600
Non Management					
1st Year (post subdivision) ^	88,777	7,105	2,01,195	6,928	8,585
2nd Year (post subdivision) ^	88,777	7,105	2,01,195	6,928	8,585
3rd Year (post subdivision) ^	88,777	7,105	2,01,195	6,928	8,585
4th Year (post subdivision) ^	88,777	7,105	2,01,195	6,928	8,585
5th Year (post subdivision) ^	88,777	7,105	2,01,195	6,928	8,585
6th Year (post subdivision) ^	78,333	6,269	1,77,525	6,113	7,575

^ Refer note 40.5(ii)

c) ESOP 2021

The options shall vest between 3 to 4 years from the date of grant, in equal proportions, upon achievement of the performance conditions.

Particulars	Tranche 1		Tranche 2	Tranche 3	Tranche 4	Tranche 5	Tranche 6	Tranche 7
Vesting start period	01 April 2023		01 August 2023	01 April 2024	25 April 2024	26 May 2024	08 May 2025	01 April 2027
Vesting period	3 years	4 years	3 years	3 years	3 years	3 years	3 years	3 years
1st Year	2,57,400	36,250	39,237	2,310	2,59,669	21,450	27,720	4,950
2nd Year	2,57,400	36,250	39,237	2,310	2,59,669	21,450	27,720	4,950
3rd Year	2,65,200	36,250	40,426	2,380	2,67,544	22,100	28,560	5,100
4th Year	-	36,250	-	-	-	-	-	-

d) ESOP 2024

The options shall vest in 3 years from the date of grant, in equal proportions, upon achievement of the performance conditions.

Particulars	Tranche 1	Tranche 2	Tranche 3
Vesting start period	22 July 2025	03 April 2026	30 May 2026
Vesting period	3 years	3 years	3 years
1st Year	3,63,000	3,13,500	3,300
2nd Year	3,63,000	3,13,500	3,300
3rd Year	3,74,000	3,23,000	3,400

40.3 Contractual life

ESOP 2012: The contractual life (vesting period plus exercise period) ranges from 11 to 14 years i.e. vesting period ranging from 1 to 4 years and exercise period of 10 years from the date of vesting of the option. In case of resignation/ termination of any employee, the exercise period shall be 6 months from the last working day of the employee.

ESOP II: The contractual life (vesting period plus exercise period) ranges from 11 to 16 years i.e. vesting period ranging from 1 to 6 years and exercise period of 10 years from the date of vesting of the option. In case of resignation/ termination of any employee, the exercise period shall be 6 months from the last working day of the employee.

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ESOP 2021: The contractual life (vesting period plus exercise period) ranges from 4 to 7.3 years i.e. vesting period ranging from 1 to 4.3 years and exercise period of 3 years from the date of vesting of the option. In case of resignation/ termination of any employee, the exercise period shall be 6 months from the last working day of the employee.

ESOP 2024: The contractual life (vesting period plus exercise period) ranges from 5 to 6.8 years i.e. vesting period ranging from 1 to 2.83 years and exercise period of 4 years from the date of vesting of the option. In case of resignation/ termination of any employee, the exercise period shall be 6 months from the last working day of the employee.

Method of settlement: ESOP 2012, ESOP II, ESOP 2021 and ESOP 2024 is to be settled through issue of equity shares.

40.4 Computation of fair value of options granted

Particulars	ESOP 2012				
	Tranche 1	Tranche 2	Tranche 3	Tranche 4	Tranche 5
Share price (post subdivision) ^ (Amount in ₹)	47.83	47.83	49.00	56.00	56.00
Exercise price (post subdivision) ^ (Amount in ₹)	47.83	47.83	56.23	56.23	56.23
Volatility	37.05%	35.51%	34.95%	34.17%	33.51%
Risk free rate	1st year- 8.06% 2nd year- 7.93% 3rd year- 8.01% 4th year- 8.10%	1st year- 7.73% 2nd year- 7.66% 3rd year- 7.74% 4th year- 7.84%	1st year- 8.66% 2nd year- 8.58% 3rd year- 8.72% 4th year- 8.88%	1st year- 7.88% 2nd year- 7.84% 3rd year- 7.79% 4th year- 7.75%	1st year- 7.05% 2nd year- 7.22% 3rd year- 7.32% 4th year- 7.43%
Dividend yield	-	-	-	-	-
Fair value of option (post subdivision) ^ (Amount in ₹)*	1st year- 8.80 2nd year- 13.00 3rd year- 16.60 4th year- 19.60	1st year- 8.40 2nd year- 12.60 3rd year- 16.00 4th year- 19.00	1st year- 5.80 2nd year- 10.20 3rd year- 14.00 4th year- 17.40	1st year- 9.60 2nd year- 14.40 3rd year- 18.20 4th year- 21.60	1st year- 9.20 2nd year- 13.80 3rd year- 17.80 4th year- 21.00

Particulars	ESOP II				
	Tranche 1	Tranche 2	Tranche 3	Tranche 4	Tranche 5
Share price (post subdivision) ^ (Amount in ₹)	117.24	117.24	139.30	222.32	334.73
Exercise price (post subdivision) ^ (Amount in ₹)	117.24	117.24	139.30	223.20	334.73
Volatility	30.00%	30.00%	31.29%	20.88% to 24.47%	25.61% to 37.90%
Risk free rate	1st year- 6.63% 2nd year- 6.66% 3rd year- 6.79% 4th year- 6.93% 5th year- 7.05% 6th year- 6.92% 7th year- 7.08%	1st year- 6.79% 2nd year- 7.33% 3rd year- 7.57% 4th year- 7.74% 5th year- 7.78% 6th year- 7.89% -	1st year- 6.43% 2nd year-6.52% 3rd year-6.66% 4th year- 6.85% 5th year- 6.93% 6th year- 7.17% -	1st year- 5.49% 2nd year- 5.71% 3rd year- 5.92% 4th year- 6.10% 5th year- 6.27% 6th year- 6.42% -	1st year- 3.82% 2nd year- 4.39% 3rd year- 4.86% 4th year- 5.24% 5th year- 5.55% 6th year- 5.80% -
Dividend yield	-	-	-	-	-
Fair value of option (post subdivision)^ (Amount in ₹)*	1st year- 17.60 2nd year- 26.60 3rd year- 34.20 4th year- 41.00 5th year- 47.00 6th year- 52.00 7th year- 57.00	1st year- 17.80 2nd year- 27.40 3rd year- 35.40 4th year- 42.60 5th year- 48.80 6th year- 54.40 -	1st year- 21.40 2nd year- 32.40 3rd year-41.40 4th year-49.60 5th year- 56.60 6th year-63.60 -	1st year- 27.00 2nd year- 38.80 3rd year- 50.40 4th year- 61.80 5th year- 74.40 6th year- 84.40 -	1st year- 55.88 2nd year- 72.09 3rd year- 85.42 4th year- 99.63 5th year- 114.22 6th year- 131.13 -

^ Refer note 40.5(ii)

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Particulars	ESOP 2021						
	Tranche 1	Tranche 2	Tranche 3	Tranche 4	Tranche 5	Tranche 6	Tranche 7
Share price (Amount in ₹)	851.10	771.30	730.00	706.20	692.65	878.05	1,246.70
Exercise price (Amount in ₹)	851.10	771.30	730.00	706.20	692.65	878.05	1,225.60
Volatility	26.20% to 28.09%	26.77% to 28.68%	27.17% to 29.11%	38.10% to 40.66%	38.00% to 40.47%	36.58% to 39.5%	34.08% to 37.10%
Risk free rate	1st year- 5.00% 2nd year- 5.39% 3rd year- 5.71% 4th year- 5.98%	1st year- 6.73% 2nd year- 6.98% 3rd year- 7.13% -	1st year- 7.11% 2nd year- 7.26% 3rd year- 7.34% -	1st year- 6.81% 2nd year- 6.86% 3rd year- 6.92% -	1st year- 6.76% 2nd year- 6.79% 3rd year- 6.83% -	1st year- 6.99% 2nd year- 7.01% 3rd year- 7.03% -	1st year- 5.96% 2nd year- 6.11% 3rd year- 6.24% -
Dividend yield	-	-	-	0.37%	0.37%	0.39%	0.30%
Fair value of option (Amount in ₹)*	1st year- 209.46 2nd year- 253.73 3rd year- 289.84 4th year- 329.76	1st year- 195.84 2nd year- 225.47 3rd year- 265.30 -	1st year- 208.40 2nd year- 244.51 3rd year- 281.09 -	1st year- 213.62 2nd year- 266.10 3rd year- 302.71 -	1st year- 208.80 2nd year- 256.09 3rd year- 292.51 -	1st year- 260.19 2nd year- 313.42 3rd year- 373.83 -	1st year- 391.32 2nd year- 475.47 3rd year- 544.94 -

Particulars	ESOP 2024		
	Tranche 1	Tranche 2	Tranche 3
Share price (Amount in ₹)	970.30	991.50	1,199.20
Exercise price (Amount in ₹)	970.30	987.95	1,079.30
Volatility	35.59% to 35.72%	34.73% to 38.97%	34.55% to 37.10%
Risk free rate	1st year- 6.79% 2nd year- 6.81% 3rd year- 6.83%	1st year- 6.23% 2nd year- 6.24% 3rd year- 6.28%	1st year- 5.77% 2nd year- 5.83% 3rd year- 5.89%
Dividend yield	0.32%	0.34%	0.31%
Fair value of option (Amount in ₹)*	1st year- 393.39 2nd year- 435.20 3rd year- 488.15	1st year- 308.15 2nd year- 369.68 3rd year- 437.71	1st year- 416.38 2nd year- 479.19 3rd year- 542.00

*The fair value of option has been determined based on Black - Scholes - Merton formula.

40.5 Reconciliation of outstanding share options:

Particulars (No. of options)	As at 31 March 2026				As at 31 March 2025			
	ESOP 2012	ESOP II	ESOP 2021	ESOP 2024	ESOP 2012	ESOP II	ESOP 2021	ESOP 2024
Outstanding at beginning of year (Refer note ii below)	10,000	13,88,910	14,21,163	10,65,534	1,51,500	26,87,745	15,64,999	-
Vested at beginning of year (Refer note ii below)	10,000	12,14,392	6,39,623	-	1,51,500	22,40,723	2,66,231	-
Granted during the year (Refer note ii below)	-	-	15,000	9,60,000	-	-	84,000	11,00,000
Vested during the year (Refer note ii below)	-	1,55,868	4,70,373	3,36,803	-	2,55,472	5,15,215	-
Lapsed (Refer note ii below)	-	5,605	74,144	2,32,925	-	17,041	1,11,757	34,466
- Forfeited (vested - lapsed)	-	5	10,143	332	-	9	25,744	-
- Lapsed (unvested - lapsed)	-	5,600	64,001	2,32,593	-	17,032	86,013	34,466
Exercised (Refer note ii below)	10,000	6,99,691	6,31,263	47,361	1,41,500	12,81,794	1,16,079	-
Outstanding at end of the year (Refer note ii below)	**-**	**6,83,614**	**7,30,756**	**17,45,248**	**10,000**	**13,88,910**	**14,21,163**	**10,65,534**
Vested and exercisable at end of the year (Refer note ii below)	-	6,70,564	4,68,590	2,89,110	10,000	12,14,392	6,39,623	-
Weighted average exercise price per option of options outstanding (Amount in ₹) (Refer note ii below)	-	136.49	764.26	979.45	56.23	141.75	781.79	970.30
Weighted average remaining contractual life of options	-	8.97 years	2.37 years	2.01 years	3.00 years	7.43 years	2.60 years	3.07 years

Notes: (i) Expenses arising on equity settled share based payments for the year ended 31 March 2026 is ₹ 371.32 million (31 March 2025: ₹ 266.78 million).
(ii) The shareholders, vide a special resolution, have approved sub-division of equity shares of the Company in the ratio of five equity shares of ₹ 2 each against one equity share of ₹ 10 each respectively resulting to change in share price and exercise price proportionately.

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41 Segment information

41.1 Operating segment

The Company's main business is financing by way of loans towards affordable housing segment in India. All other activities of the Company revolve around the main business. As such, there are no separate reportable segments, as per the Indian Accounting Standard (Ind AS) 108 on 'Segment Reporting'. Accordingly, the amounts appearing in the financial statements relate to the Company's single business segment.

41.2 Entity wide disclosures

No revenue from transactions with a single external customer or counterparty amounted to 10% or more of the Company's total revenue in the year ended 31 March 2026 and 31 March 2025. The Company operates in single geography i.e. India and therefore geographical information is not required to be disclosed separately.

42 Lease disclosure

Where the Company is the lessee:

The Company has entered into agreements for taking its office premises under leave and license arrangements. These agreements are for tenures between 11 months and 9 years and are renewable by mutual consent on mutually agreeable terms, lease rentals have an escalation ranging between 5% to 15%. Leases for which the lease term is less than 12 months have been accounted as short term leases.

(₹ in million)

Contractual cash maturities of lease liabilities on an undiscounted basis	As at 31 March 2026	As at 31 March 2025
Not later than one year	136.47	101.96
Later than one year and not later than five years	294.28	237.83
Total undiscounted lease liabilities	**430.75**	**339.79**
Lease liabilities included in the balance sheet		
Total lease liabilities	374.47	292.28

(₹ in million)

Amount recognised in the statement of profit and loss	Year ended 31 March 2026	Year ended 31 March 2025
Interest on lease liabilities	26.99	18.97
Depreciation charge for the year	106.08	84.70
Rent expense for the year	16.97	13.35

(₹ in million)

Amount recognised in the statement of cash flows	Year ended 31 March 2026	Year ended 31 March 2025
Repayment of lease liabilities	120.53	93.96

The Company does not face significant liquidity risk with regards to its lease liabilities as the current assets are sufficient to meet the obligations related to lease liabilities as and when they fall due.

(₹ in million)

Movement of lease liabilities	As at 31 March 2026	As at 31 March 2025
Opening balance	292.28	169.00
Additions during the year	183.73	203.18
Interest on lease liabilities	26.99	18.97
Repayment of lease liabilities	(119.46)	(93.96)
Termination of lease liabilities	(9.07)	(4.91)
Closing balance	374.47	292.28

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43 Corporate social responsibility expenses

(₹ in million)

Particulars	Year ended 31 March 2026	Year ended 31 March 2025
(a) Total amount required to be spent during the year	79.82	61.48
(b) Total amount of expenditure incurred during the year	80.50	62.12
(c) Shortfall at the end of the year	-	-
(d) Total amount of previous years shortfall	-	-
(e) Reason for shortfall	NA	NA

The Company undertakes the following activities in the nature of Corporate social responsibility (CSR):
a. Promoting education, including special education and enhancing vocational and employment skills among children, women, and the elderly, and persons with disabilities, along with livelihood enhancement projects;
b. Promoting health care, including preventive health care and sanitation;
c. Ensuring environmental sustainability and conservation of natural resources;
d. Promoting digital literacy, building importance of saving, and instilling future planning skills among students.

Notes:
1. No amount has been spent by the Company for the construction/ acquisition of any new asset relating to CSR during the year ended 31 March 2026 and 31 March 2025.
2. There have been no related party transactions during the year ended 31 March 2026 and 31 March 2025 in respect of CSR activities.

44 Contingent liabilities and commitments

There are no Contingent Liabilities as on 31 March 2026 (31 March 2025: Nil).

(₹ in million)

	As at 31 March 2026	As at 31 March 2025
Commitments - Undisbursed amount of housing and other loans	18,541.28	15,094.55

45 Disclosures required under the RBI Resolution Framework - 2.0: Resolution of COVID-19 related stress of Individuals and Small Businesses dated 05 May 2021 with reference to disclosures stated under Format-B prescribed in the Resolution Framework – 1.0, read with Reserve Bank of India (Non-Banking Financial Companies – Resolution of Stressed Assets) Directions, 2025 dated 28 November 2025.

(₹ in million)

Type of borrower	Exposure to accounts classified as Standard consequent to implementation of resolution plan – Position as at the end of 30 September 2025 (A)	Of (A), aggregate debt that slipped into NPA during the half-year ended 31 March 2026	Of (A), amount written off during the half-year ended 31 March 2026	Of (A), amount paid by the borrowers during the half-year ended 31 March 2026	Exposure to accounts classified as Standard consequent to implementation of resolution plan – Position as at the end of 31 March 2026
	(A)	(B)	(C)	(D)	
Personal Loans	54.50	2.39	-	1.02	51.09
Corporate persons	-	-	-	-	-
Of which MSMEs	-	-	-	-	-
Others	-	-	-	-	-
Total	**54.50**	**2.39**	-	**1.02**	**51.09**

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46 i. The Company does not hold any immovable property as on 31 March 2026 and 31 March 2025. All the lease agreements are duly executed in favour of the Company for properties where the Company is the lessee.

ii. No proceedings have been initiated or pending against the Company for holding any benami property under the Benami Transactions (Prohibition) Act, 1988 and rules made thereunder, as at 31 March 2026 and 31 March 2025.

iii. The Company has a process whereby periodically all long-term contracts (including derivative contracts) are assessed for material foreseeable losses. The Company reviews and ensures that adequate provision as required under any law/ accounting standards for material foreseeable losses on such long-term contracts (including derivative contracts) has been made in the books of account. There were no such contracts for which there were any material foreseeable losses for the year ended 31 March 2026 and 31 March 2025.

47 The Company is not a declared wilful defaulter by any bank or financial Institution or other lender, in accordance with the guidelines on wilful defaulters issued by the Reserve Bank of India, during the year ended 31 March 2026 and 31 March 2025.

48 The Company does not have any transactions with the companies struck off under section 248 of Companies Act, 2013 or section 560 of Companies Act, 1956 during the year ended 31 March 2026 and 31 March 2025.

49 Registration of charges or satisfaction with Registrar of Companies (ROC)
There has been no delay in registration or satisfaction of charges with ROC beyond the statutory date during the year ended 31 March 2026 and 31 March 2025.

50 Analytical Ratios

Ratio	Numerator	Denominator	As at 31 March 2026	As at 31 March 2025	% Variance	Reasons for Variance (if above 25%)
Capital to risk-weighted assets ratio (CRAR)*	39,506.11	89,542.10	44.12%	32.84%	34%	Refer note below
Tier I CRAR	39,194.97	89,542.10	43.77%	32.47%	35%	Refer note below
Tier II CRAR	311.14	89,542.10	0.35%	0.37%	-6%	NA
Liquidity Coverage Ratio	3,525.91	2,331.27	151.24%	155.92%	-3%	NA

* The increase in CRAR during the year ended 31 March 2026 is also on account of increase in equity share capital by way of Qualified Institutions Placement amounting to ₹ 12,500 million.

51 The Company has borrowings from banks and financial institutions on the basis of security of receivables and current assets and the quarterly returns filed by the Company with the banks and financial institutions are in agreement with the books of accounts of the Company for the respective quarters.

52 The Company has taken borrowings from banks and financial institutions and utilised them for the specific purpose for which they were taken as at the Balance sheet date. Unutilised funds as at 31 March 2026 and 31 March 2025 are held by the Company in the form of liquid assets till the time the utilisation is made subsequently.

53 There have been no transactions which have not been recorded in the books of accounts, that have been surrendered or disclosed as income during the year ended 31 March 2026 and 31 March 2025, in the tax assessments under the Income Tax Act, 1961. There have been no previously unrecorded income and related assets which were to be properly recorded in the books of account during the year ended 31 March 2026 and 31 March 2025.

54 As a part of normal lending business, the Company grants loans and advances on the basis of security/ guarantee provided by the borrower/ co-borrower.

Other than the transactions described above,
a. No funds have been advanced or loaned or invested (either from borrowed funds or share premium or any other sources or kind of funds) by the Company to or in any other person(s) or entity(ies), including foreign entities ("Intermediaries"), with the understanding (whether recorded in writing or otherwise), that the Intermediary shall directly or indirectly lend or invest in other persons or entities identified in any manner whatsoever by or on behalf of the Company ("Ultimate Beneficiaries") or provide any guarantee, security or the like on behalf of the Ultimate Beneficiaries;

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b. No funds have been received by the Company from any persons(s) or entity(ies), including foreign entities ("Funding Parties"), with the understanding (whether recorded in writing or otherwise), that the Company shall, directly or indirectly, lend or invest in other persons or entities identified in any manner whatsoever by or on behalf of the Funding Parties ("Ultimate Beneficiaries") or provide any guarantee, security or the like on behalf of the Ultimate Beneficiaries.

55 The Company has not traded or invested in Crypto currency or Virtual Currency during the year ended 31 March 2026 and 31 March 2025.

56 Maturity analysis of assets and liabilities

The table below shows an analysis of assets and liabilities according to when they are expected to be recovered or settled after factoring in prepayment assumptions.

(₹ in million)

Assets	As at 31 March 2026			As at 31 March 2025		
	Within 1 year	After 1 year	Total	Within 1 year	After 1 year	Total
Financial assets						
Cash and cash equivalents	4,487.02	-	4,487.02	5,991.28	-	5,991.28
Bank balance other than cash and cash equivalents	3,439.56	483.65	3,923.21	2,928.05	463.04	3,391.09
Derivative financial instruments	647.03	-	647.03	-	-	-
Receivables	81.96	-	81.96	58.35	-	58.35
Loans	20,046.16	1,11,279.97	1,31,326.13	16,400.94	90,086.06	1,06,487.00
Investments	8,122.34	-	8,122.34	3,602.37	-	3,602.37
Other financial assets	796.99	1,507.84	2,304.83	586.57	1,236.91	1,823.48
Non-financial assets						
Current tax assets (net)	-	2.78	2.78	-	2.78	2.78
Property, plant and equipment	-	187.95	187.95	-	169.49	169.49
Right of use assets	-	353.35	353.35	-	277.56	277.56
Capital work-in-progress	-	1.92	1.92	-	0.93	0.93
Intangible assets under development	-	0.65	0.65	-	1.37	1.37
Other intangible assets	-	15.13	15.13	-	11.79	11.79
Other non-financial assets	159.92	51.16	211.08	284.45	14.78	299.23
Total assets	**37,780.98**	**1,13,884.40**	**1,51,665.38**	**29,852.01**	**92,264.71**	**1,22,116.72**
Liabilities						
Financial liabilities						
Derivative financial instruments	-	-	-	66.87	-	66.87
Trade payables	163.98	-	163.98	160.86	-	160.86
Debt securities	603.83	1,670.60	2,274.43	623.86	2,224.53	2,848.39
Borrowings (other than debt securities) (Refer note below)	21,617.90	82,008.15	1,03,626.05	18,362.61	74,295.99	92,658.60
Other financial liabilities	1,097.65	243.27	1,340.92	609.98	194.22	804.20
Non-financial liabilities						
Current tax liabilities (net)	-	393.21	393.21	-	84.62	84.62
Provisions	17.01	129.22	146.23	11.26	82.66	93.92
Deferred tax liabilities (net)	-	31.84	31.84	-	23.75	23.75
Other non-financial liabilities	123.33	-	123.33	162.69	-	162.69
Total liabilities	**23,623.70**	**84,476.29**	**1,08,099.99**	**19,998.13**	**76,905.77**	**96,903.90**
Net	**14,157.28**	**29,408.11**	**43,565.39**	**9,853.88**	**15,358.94**	**25,212.82**

Note: The Company has undrawn facilities amounting to ₹ 14,409.60 million as at 31 March 2026 (31 March 2025: ₹ 12,153.90 million).

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57 Disclosure on Liquidity Risk in accordance with Reserve Bank of India (Non-Banking Financial Companies - Financial Statements: Presentation and Disclosures) Directions, 2025 and Reserve Bank of India (Non-Banking Financial Companies - Asset Liability Management) Directions, 2025

57.1 Funding Concentration based on significant counterparty (borrowings)

	As at 31 March 2026	As at 31 March 2025
Number of Significant Counterparties#	22	25
Amount (₹ in million)	1,03,787.65	92,844.84
% of Total Deposits	-	-
% of Total liabilities*	96.01%	95.81%

#The Company has considered lenders with more than 1% of total outstanding borrowing as significant counterparties.
*Total liabilities has been computed as sum of all liabilities (balance sheet figure) less equity share capital and other equity.

57.2 Top 20 large deposits

Not applicable. The Company is registered with National Housing Bank to carry on the business of housing finance institution without accepting public deposits.

57.3 Top 10 borrowings

	As at 31 March 2026	As at 31 March 2025
Total amount of Top 10 borrowings (₹ in million)	42,627.54	36,380.87
% of Total Borrowings	40.25%	38.09%

Top 10 borrowings have been identified considering each type of facility availed from the respective lender.

57.4 Funding Concentration based on significant instrument/ product

Name of the instrument/ product*	As at 31 March 2026		As at 31 March 2025	
	Amount (₹ in million)	% of Total Liabilities**	Amount (₹ in million)	% of Total Liabilities**
NCD	2,274.43	2.10%	2,848.39	2.94%
Term Loans from Banks & Financial Institutions	84,141.97	77.84%	74,014.89	76.38%
Refinance from NHB	19,484.08	18.02%	18,643.71	19.24%

*Significant instrument/ product is defined as a single instrument/ product of group of similar instruments/ products which in aggregate amount to more than 1% of the total liabilities of the Company.
** Total liabilities has been computed as sum of all liabilities (balance sheet figure) less equity share capital and other equity.

57.5 Stock Ratios

Particulars	As at 31 March 2026	As at 31 March 2025
	Percentage (%)	Percentage (%)
(i) Commercial papers as a % of total liabilities	Nil	Nil
(ii) Commercial papers as a % of total assets	Nil	Nil
(iii) Non-convertible debentures (original maturity of less than one year) as a % of total liabilities	Nil	Nil
(iv) Non-convertible debentures (original maturity of less than one year) as a % of total assets	Nil	Nil
(v) Other short-term liabilities as a % of total liabilities**	1.30%	1.04%
(vi) Other short-term liabilities as a % of total assets	0.92%	0.83%
(vii) Other short-term liabilities as a % of public funds	Nil	Nil

**Total liabilities has been computed as sum of all liabilities (balance sheet figure) less equity share capital and other equity.

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Notes forming part of the financial statements

57.6 Institutional set-up for liquidity risk management

The Company's Board of Directors monitors all the risks, including liquidity risk. Governance structure, policies and risks limits are prescribed by the Board.

Board Constituted Asset Liability Committee (ALCO) ensures effective asset-liability management, market risk management, liquidity and interest rate risk management and also adherence to risk tolerance/ limits set up by the Board. ALCO provides guidance and directions in terms of interest rate, liquidity, funding sources, and investment of surplus funds.

The Risk Management Committee constituted by the Board of Directors is primarily responsible for the effective supervision, evaluation, monitoring and review of various aspects and types of risks, including liquidity risk, faced by the Company.

Further, as per guidelines issued by the RBI, HFCs are required to maintain the Liquidity Coverage Ratio (LCR), to maintain liquidity buffers to withstand potential liquidity disruptions by ensuring that it has sufficient High Quality Liquid Assets (HQLA) to survive any acute liquidity stress scenario lasting for 30 days. As per the guidelines, the weighted values of the net cash flows are calculated after the application of respective haircuts for HQLA and considering stress factors on inflows at 75% and outflows at 115%.

The Company has put in place a liquidity risk management framework so as to adhere to the said LCR guidelines and applicable timelines.

58 Disclosure on Liquidity Coverage Ratio (LCR) in accordance with the Reserve Bank of India (Non-Banking Financial Companies – Financial Statements: Presentation and Disclosures) Directions, 2025 and Reserve Bank of India (Non-Banking Financial Companies – Asset Liability Management) Directions, 2025

The RBI has prescribed guidelines on maintenance of Liquidity Coverage Ratio (LCR) for HFCs vide Reserve Bank of India (Non-Banking Financial Companies – Asset Liability Management) Directions, 2025 dated 28 November 2025.

The objective of the LCR is to promote resilience in the liquidity risk profile of HFCs. This is done by ensuring that the Company has an adequate stock of unencumbered high-quality liquid assets (HQLA) that can be converted easily and immediately into cash to meet its liquidity needs for a 30 calendar day liquidity stress scenario. Further, the guidelines required all non-deposit taking HFCs with an asset size of ₹ 5,000 crore and above to maintain minimum LCR of 100% by December 2025. The Company's Board approved Asset Liability Management (ALM) Policy covers its Liquidity Risk Management policies and processes, stress testing, contingency funding plan, maturity profiling, Currency Risk, Interest Rate Risk and Liquidity Risk Monitoring Tools.

The Company regularly reviews the maturity position of assets and liabilities and liquidity buffers, and ensures maintenance of sufficient quantum of High Quality Liquid Assets, most of which is in the form of government securities as at 31 March 2026 and 31 March 2025.

The main drivers of LCR are:

Outflows comprises of:
a) All the contractual debt repayments and interest payments
b) Expected operating expense

Inflows comprises of:
a) Expected receipt (scheduled EMIs) from all loans
b) Liquid investment in the form of unencumbered fixed deposits with banks which are not forming part of High Quality Liquid Assets
c) Sanctioned and undrawn lines of credits.

For concentration of funding sources, refer note 57 on disclosure on liquidity risk.

To hedge the interest rate risk and foreign currency risk on foreign currency borrowings, the Company enters into derivative transactions. All the derivatives of the Company are for hedging purpose and not for any speculative or trading purpose. As at 31 March 2026, the notional amount of outstanding derivatives is ₹ 12,242.86 million (31 March 2025: ₹ 6,383.46 million) representing derivative financial liabilities of ₹ 172.12 million (31 March 2025: ₹ 66.87 million) and derivative financial assets of ₹ 819.15 million (31 March 2025: Nil). Further, the Company has an ongoing bilateral Credit Support Agreement with one of its derivative counterparty. As on 31 March 2026, there is an outstanding margin received from the counterparty on account of the MTM movement on derivative financial instruments amounting to ₹ 300.58 million, and there could be potential future margin calls based on the MTM movements in the future. There is no currency mismatch required to be reported in LCR as on 31 March 2026 and 31 March 2025 since all the foreign currency liabilities are reinstated to ₹ as per the corresponding derivative/ forward deals and closing exchange rates.

58 Disclosure on Liquidity Coverage Ratio (LCR) in accordance with the Reserve Bank of India (Non-Banking Financial Companies – Financial Statements: Presentation and Disclosures) Directions, 2025 and Reserve Bank of India (Non-Banking Financial Companies – Asset Liability Management) Directions, 2025

Quantitative information on LCR for the year ended 31 March 2026:

(₹ in million)

Particulars	Quarter ended 31 March 2026		Quarter ended 31 December 2025		Quarter ended 30 September 2025		Quarter ended 30 June 2025	
	Total Unweighted Value (average)	Total Weighted Value (average)	Total Unweighted Value (average)	Total Weighted Value (average)	Total Unweighted Value (average)	Total Weighted Value (average)	Total Unweighted Value (average)	Total Weighted Value (average)
High Quality Liquid Assets								
1. Total High Quality Liquid Assets (HQLA)	3,525.91	3,525.91	3,463.64	3,463.64	3,405.66	3,405.66	4,172.90	4,172.90
Cash Outflows								
2. Deposits (for deposit taking companies)	-	-	-	-	-	-	-	-
3. Unsecured wholesale funding	-	-	-	-	-	-	-	-
4. Secured funding	1,928.60	2,217.89	1,880.01	2,162.01	1,716.07	1,973.49	2,053.03	2,360.98
5. Additional requirements, of which								
(i) Outflows related to derivative exposures and other collateral requirements	-	-	-	-	-	-	-	-
(ii) Outflows related to loss of funding on debt products	-	-	-	-	-	-	-	-
(iii) Credit and liquidity facilities	-	-	-	-	-	-	-	-
6. Other contractual funding obligations	6,180.16	7,107.18	5,307.47	6,103.59	5,619.18	6,462.06	5,706.55	6,562.54
7. Other contingent funding obligations	-	-	-	-	-	-	-	-
8. Total Cash Outflows	**8,108.76**	**9,325.07**	**7,187.48**	**8,265.60**	**7,335.36**	**8,435.54**	**7,759.58**	**8,923.52**
Cash Inflows								
9. Secured Lending	1,642.92	1,232.19	1,570.02	1,177.51	1,496.78	1,122.59	1,420.86	1,065.64
10. Inflows from fully performing exposures	-	-	-	-	-	-	-	-
11. Other cash inflows	26,832.86	20,124.65	27,021.06	20,265.79	17,979.53	13,484.65	14,316.95	10,737.71
12. Total Cash Inflows	**28,475.78**	**21,356.83**	**28,591.08**	**21,443.30**	**19,476.31**	**14,607.23**	**15,737.80**	**11,803.35**
		Total Adjusted Value		**Total Adjusted Value**		**Total Adjusted Value**		**Total Adjusted Value**
13. Total HQLA		**3,525.91**		**3,463.64**		**3,405.66**		**4,172.90**
14. Total Net Cash Outflows		**2,331.27**		**2,066.40**		**2,108.89**		**2,230.88**
15.Liquidity Coverage Ratio (%)		**151.24%**		**167.62%**		**161.49%**		**187.05%**

58 Disclosure on Liquidity Coverage Ratio (LCR) in accordance with the Reserve Bank of India (Non-Banking Financial Companies – Financial Statements: Presentation and Disclosures) Directions, 2025 and Reserve Bank of India (Non-Banking Financial Companies – Asset Liability Management) Directions, 2025

Quantitative information on LCR for the year ended 31 March 2025:

(₹ in million)

Particulars	Quarter ended 31 March 2025		Quarter ended 31 December 2024		Quarter ended 30 September 2024		Quarter ended 30 June 2024	
	Total Unweighted Value (average)	Total Weighted Value (average)	Total Unweighted Value (average)	Total Weighted Value (average)	Total Unweighted Value (average)	Total Weighted Value (average)	Total Unweighted Value (average)	Total Weighted Value (average)
High Quality Liquid Assets								
1. Total High Quality Liquid Assets (HQLA)	3,045.41	3,045.41	2,908.19	2,908.19	2,436.55	2,436.55	2,626.82	2,626.82
Cash Outflows								
2. Deposits (for deposit taking companies)	-	-	-	-	-	-	-	-
3. Unsecured wholesale funding	-	-	-	-	-	-	-	-
4. Secured funding	1,816.29	2,088.73	1,516.01	1,743.41	1,066.03	1,225.94	1,218.54	1,401,32
5. Additional requirements, of which								
(i) Outflows related to derivative exposures and other collateral requirements	-	-	-	-	35.76	41.13	-	-
(ii) Outflows related to loss of funding on debt products	-	-	-	-	-	-	-	-
(iii) Credit and liquidity facilities	-	-	-	-	-	-	-	-
6. Other contractual funding obligations	4,977.45	5,724.07	4,962.86	5,707.29	4,714.12	5,421.24	4,577.92	5,264.60
7. Other contingent funding obligations	-	-	-	-	-	-	-	-
8. Total Cash Outflows	**6,793.74**	**7,812.80**	**6,478.87**	**7,450.71**	**5,815.92**	**6,688.30**	**5,796.45**	**6,665.92**
Cash Inflows								
9. Secured Lending	1,325.28	993.96	1,282.05	961.54	1,177.87	883.40	1,113.83	835.37
10. Inflows from fully performing exposures	-	-	-	-	-	-	-	-
11. Other cash inflows	20,402.24	15,301.68	18,688.14	14,016.11	16,347.68	12,260.76	12,477.95	9,358.46
12. Total Cash Inflows	**21,727.52**	**16,295.64**	**19,970.20**	**14,977.65**	**17,525.55**	**13,144.16**	**13,591.78**	**10,193.83**
	Total Adjusted Value		**Total Adjusted Value**		**Total Adjusted Value**		**Total Adjusted Value**	
13. Total HQLA	**3,045.41**		**2,908.19**		**2,436.55**		**2,626.82**	
14. Total Net Cash Outflows	**1,953.20**		**1,862.68**		**1,672.08**		**1,666.48**	
15.Liquidity Coverage Ratio (%)	**155.92%**		**156.13%**		**145.72%**		**157.63%**	

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Disclosures required by the RBI vide Reserve Bank of India (Non-Banking Financial Companies - Financial Statements: Presentation and Disclosures) Directions, 2025

59 A comparison between provisions required under IRACP and impairment allowances made under Ind AS 109

As at 31 March 2026

(₹ in million)

Asset Classification as per RBI Norms	Asset classification as per Ind AS 109	Gross Carrying Amount as per Ind AS	Loss Allowances (Provisions) as required under Ind AS 109	Net Carrying Amount	Provisions required as per IRACP norms	Difference between Ind AS 109 provisions and IRACP norms
(1)	(2)	(3)	(4)	(5) = (3)-(4)	(6)	(7) = (4)-(6)
Performing assets						
Standard	Stage 1	1,28,011.57	262.94	1,27,748.63	379.55	(116.61)
	Stage 2	1,960.41	211.91	1,748.50	23.57	188.34
Subtotal		**1,29,971.98**	**474.85**	**1,29,497.13**	**403.12**	**71.73**
Non-Performing Assets (NPA)						
Substandard	Stage 3	1,906.11	399.84	1,506.27	272.80	127.04
Doubtful - up to 1 year	Stage 3	380.73	108.13	272.60	83.21	24.92
1 to 3 years	Stage 3	111.35	63.44	47.91	39.63	23.81
More than 3 years	Stage 3	6.08	3.86	2.22	5.16	(1.30)
Subtotal for doubtful		**498.16**	**175.43**	**322.73**	**128.00**	**47.43**
Loss	Stage 3	-	-	-	-	-
Subtotal for NPA		**2,404.27**	**575.27**	**1,829.00**	**400.80**	**174.47**
Other items such as guarantees, loan commitments, etc. which are in the scope of Ind AS 109 but not covered under current Income Recognition, Asset Classification and Provisioning (IRACP) norms	Stage 1	-	30.38	(30.38)	-	30.38
	Stage 2	-	-	-	-	-
	Stage 3	-	-	-	-	-
Subtotal		**-**	**30.38**	**(30.38)**	**-**	**30.38**
Total	**Stage 1**	**1,28,011.57**	**293.32**	**1,27,718.25**	**379.55**	**(86.23)**
	Stage 2	**1,960.41**	**211.91**	**1,748.50**	**23.57**	**188.34**
	Stage 3	**2,404.27**	**575.27**	**1,829.00**	**400.80**	**174.47**
	Total	**1,32,376.25**	**1,080.50**	**1,31,295.75**	**803.92**	**276.58**

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As at 31 March 2025

(₹ in million)

Asset Classification as per RBI Norms	Asset classification as per Ind AS 109	Gross Carrying Amount as per Ind AS	Loss Allowances (Provisions) as required under Ind AS 109	Net Carrying Amount	Provisions required as per IRACP norms	Difference between Ind AS 109 provisions and IRACP norms
(1)	(2)	(3)	(4)	(5) = (3)-(4)	(6)	(7) = (4)-(6)
Performing assets						
Standard	Stage 1	1,03,971.81	213.91	1,03,757.90	310.23	(96.32)
	Stage 2	1,528.18	151.69	1,376.49	22.45	129.24
Subtotal		**1,05,499.99**	**365.60**	**1,05,134.39**	**332.68**	**32.92**
Non-Performing Assets (NPA)						
Substandard	Stage 3	1,454.98	290.22	1,164.76	211.71	78.51
Doubtful - up to 1 year	Stage 3	259.18	85.92	173.26	57.45	28.47
1 to 3 years	Stage 3	90.97	76.38	14.59	36.11	40.27
More than 3 years	Stage 3	2.86	2.86	-	2.86	-
Subtotal for doubtful		**353.01**	**165.16**	**187.85**	**96.42**	**68.74**
Loss	Stage 3	-	-	-	-	-
Subtotal for NPA		**1,807.99**	**455.38**	**1,352.61**	**308.13**	**147.25**
Other items such as guarantees, loan commitments, etc. which are in the scope of Ind AS 109 but not covered under current Income Recognition, Asset Classification and Provisioning (IRACP) norms	Stage 1	-	21.70	(21.70)	-	21.70
	Stage 2	-	-	-	-	-
	Stage 3	-	-	-	-	-
Subtotal		**-**	**21.70**	**(21.70)**	**-**	**21.70**
Total	**Stage 1**	**1,03,971.81**	**235.61**	**1,03,736.20**	**310.23**	**(74.62)**
	Stage 2	**1,528.18**	**151.69**	**1,376.49**	**22.45**	**129.24**
	Stage 3	**1,807.99**	**455.38**	**1,352.61**	**308.13**	**147.25**
	Total	**1,07,307.98**	**842.68**	**1,06,465.30**	**640.81**	**201.87**

Annual *Accounts*

Notes forming part of the financial statements

60 Disclosures required by the RBI vide Reserve Bank of India (Non-Banking Financial Companies - Financial Statements: Presentation and Disclosures) Directions, 2025

(₹ in million)

		Liabilities	As at 31 March 2026		As at 31 March 2025	
			Amount outstanding	Amount overdue	Amount outstanding	Amount overdue
1		**Loans and advances availed by the HFC inclusive of interest accrued thereon but not paid:**				
	(a)	Debentures : Secured	2,274.43	-	2,848.39	-
		Debentures : Unsecured	-	-	-	-
	(b)	Deferred credits	-	-	-	-
	(c)	Term Loans	1,03,626.05	-	92,658.60	-
	(d)	Inter-corporate loans and borrowing	-	-	-	-
	(e)	Commercial Paper	-	-	-	-
	(f)	Public Deposits	-	-	-	-
	(g)	Other Loans (Demand loans)	-	-	-	-
2		**Break-up of (1)(f) above (Outstanding public deposits inclusive of interest accrued thereon but not paid):**				
	(a)	In the form of unsecured debentures	-	-	-	-
	(b)	In the form of partly secured debentures i.e. debentures where there is a shortfall in the value of security	-	-	-	-
	(c)	Other public deposits	-	-	-	-

(₹ in million)

		Assets	As at 31 March 2026	As at 31 March 2025
			Amount outstanding	Amount outstanding
3		**Break-up of Loans and Advances including bills receivables [other than those included in (4) below]:**		
	(a)	Secured	1,31,326.13	1,06,487.00
	(b)	Unsecured	-	-
4		**Break up of Leased Assets and stock on hire and other assets counting towards asset financing activities:**		
	(i)	Lease assets including lease rentals under sundry debtors	-	-
	(a)	Financial lease	-	-
	(b)	Operating lease	-	-
	(ii)	Stock on hire including hire charges under sundry debtors	-	-
	(a)	Assets on hire	-	-
	(b)	Repossessed Assets (Refer note below)	-	-
	(iii)	Other loans counting towards asset financing activities	-	-
	(a)	Loans where assets have been repossessed	-	-
	(b)	Loans other than (a) above	-	-
5		**Break-up of Investments**		
		Current Investments **		
	1	Quoted		
	(i)	Shares		
		(a) Equity	-	-
		(b) Preference	-	-
	(ii)	Debentures and Bonds	-	-
	(iii)	Units of mutual funds	5,177.86	1,082.12
	(iv)	Government Securities	2,944.48	2,520.25
	(v)	Others	-	-

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Notes forming part of the financial statements

(₹ in million)

		Assets	As at 31 March 2026	As at 31 March 2025
			Amount outstanding	Amount outstanding
5		**Break-up of Investments (continued)**		
	2	Unquoted		
	(i)	Shares		
		(a) Equity	-	-
		(b) Preference	-	-
	(ii)	Debentures and Bonds	-	-
	(iii)	Units of mutual funds	-	-
	(iv)	Government Securities	-	-
	(v)	Others	-	-
		Long Term investments		
	1	Quoted		
	(i)	Share		
		(a) Equity	-	-
		(b) Preference	-	-
	(ii)	Debentures and Bonds	-	-
	(iii)	Units of mutual funds	-	-
	(iv)	Government Securities	-	-
	(v)	Others	-	-
	2	Unquoted		
	(i)	Shares		
		(a) Equity	-	-
		(b) Preference	-	-
	(ii)	Debentures and Bonds	-	-
	(iii)	Units of mutual funds	-	-
	(iv)	Government Securities	-	-
	(v)	Others (please specify)	-	-

(₹ in million)

6		**Borrower group-wise classification of assets financed as in (3) and (4) above:**	**As at 31 March 2026**			**As at 31 March 2025**		
		Category	**Amount net of provisions**			**Amount net of provisions**		
			Secured	**Unsecured**	**Total**	**Secured**	**Unsecured**	**Total**
	1	Related Parties						
	(a)	Subsidiaries	-	-	-	-	-	-
	(b)	Companies in the same group	-	-	-	-	-	-
	(c)	Other related parties	-	-	-	-	-	-
	2	Other than related parties	1,31,326.13	-	1,31,326.13	1,06,487.00	-	1,06,487.00
		Total	**1,31,326.13**	**-**	**1,31,326.13**	**1,06,487.00**	**-**	**1,06,487.00**

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(₹ in million)

7		Investor group-wise classification of all investments (current and long term) in shares and securities (both quoted and unquoted):	As at 31 March 2026		As at 31 March 2025	
			Market Value/ Break up or fair value or NAV	Book Value (Net of Provisions)	Market Value/ Break up or fair value or NAV	Book Value (Net of Provisions)
	1	Related Parties				
	(a)	Subsidiaries	-	-	-	-
	(b)	Companies in the same group	-	-	-	-
	(c)	Other related parties	-	-	-	-
	2	Other than related parties	8,122.34	8,122.34	3,602.37	3,602.37
		Total	**8,122.34**	**8,122.34**	**3,602.37**	**3,602.37**

(₹ in million)

8		Other information	As at 31 March 2026	As at 31 March 2025
		Particulars	**Amount**	**Amount**
	(i)	**Gross Non-Performing Assets**		
	(a)	Related parties	-	-
	(b)	Other than related parties	2,404.27	1,807.99
	(ii)	**Net Non-Performing Assets**		
	(a)	Related parties	-	-
	(b)	Other than related parties	1,829.00	1,352.61
	(iii)	**Assets acquired in satisfaction of debt**	-	-

Note: Loan Portfolio includes gross loans amounting to ₹ 505.46 million (31 March 2025: ₹ 439.43 million), out of which ₹ 15.49 million (31 March 2025: ₹ 20.38 million) pertains to retained portion of loans from the assigned portfolio, against which the Company has taken possession of the properties under Securitisation and Reconstruction of Financial Assets and Enforcement of Security Interest Act, 2002 and held such properties for disposal.

**Current investment means an investment which is by its nature readily realizable and is intended to be held for not more than one year from the date on which such investment is made.

Disclosures required by the RBI vide Reserve Bank of India (Non-Banking Financial Companies – Financial Statements: Presentation and Disclosures) Directions, 2025 dated 28 November 2025

61 Capital

The following table sets forth, for the years indicated, the details of capital to risk assets ratio under RBI Guidelines:

	At as 31 March 2026	At as 31 March 2025
i) CRAR (%)	44.12%	32.84%
ii) CRAR - Tier I Capital (%)	43.77%	32.47%
iii) CRAR - Tier II Capital (%)	0.35%	0.37%
iv) Amount of subordinated debt raised as Tier II capital	-	-
v) Amount raised by issue of Perpetual Debt Instruments	-	-

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(₹ in million)

62 Reserve fund under section 29C of NHB Act, 1987	At as 31 March 2026	At as 31 March 2025
Balance at the beginning of the year		
a) Statutory reserve u/s 29C of NHB Act, 1987	368.15	182.14
b) Amount of special reserve u/s 36(1) (viii) of Income Tax Act, 1961 taken into account for the purposes of Statutory Reserve under Section 29C of the NHB Act, 1987	2,390.79	1,808.80
	2,758.94	**1,990.94**
Addition/ Appropriation/ Withdrawal during the year		
Add:		
a) Amount transferred u/s 29C of NHB Act, 1987	222.83	186.01
b) Amount of special reserve u/s 36(1) (viii) of Income Tax Act, 1961 taken into account for the purposes of Statutory reserve under Section 29C of the NHB Act, 1987	864.17	581.99
Less:		
a) Amount appropriated from Statutory reserve u/s 29C of the NHB Act, 1987	-	-
b) Amount withdrawn from the special reserve u/s 36(1) (viii) of Income Tax Act, 1961 which has been taken into account for the purposes of provision u/s 29C of the NHB Act, 1987	-	-
Balance at the end of the year		
a) Statutory Reserve u/s 29C of NHB Act, 1987	590.98	368.15
b) Amount of special reserve u/s 36(1) (viii) of Income Tax Act, 1961 taken into account for the purposes of Statutory reserve under Section 29C of the NHB Act, 1987	3,254.96	2,390.79
Total	**3,845.94**	**2,758.94**

(₹ in million)

63 Investments	As at 31 March 2026	As at 31 March 2025
Value of investments		
i) Gross value of investments		
(a) In India	8,122.34	3,602.37
(b) Outside India	-	-
ii) Provisions for depreciation		
(a) In India	-	-
(b) Outside India	-	-
iii) Net value of investments		
(a) In India	8,122.34	3,602.37
(b) Outside India	-	-
Movement of provision held towards depreciation on investments		
i) Opening balance	-	-
ii) Add: Provisions made during the year	-	-
iii) Less: write off/ write back of excess provision during the year	-	-
iv) Closing balance	-	-

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Notes forming part of the financial statements

64 Derivatives

(₹ in million)

64.1 Forward rate agreement (FRA) / Interest rate swap (IRS)	As at 31 March 2026	As at 31 March 2025
i) The notional principal of swap agreements/ forward contracts	12,242.86	6,383.46
ii) Losses which would be incurred if counterparties failed to fulfil their obligations under the agreements	-	-
iii) Collateral required by the HFC upon entering into swaps/ forward contracts	-	-
iv) Concentration of credit risk arising from the swaps/ forward contracts*	-	-
v) The fair value assets/ (liabilities) of the swap book/ forward contracts	647.03	(66.87)

* The Company has entered in to derivative contracts with Scheduled Commercial Banks during the year ended 31 March 2026 and 31 March 2025.

(₹ in million)

64.2 Exchange traded interest rate (IR) derivative	As at 31 March 2026	As at 31 March 2025
i) Notional principal amount of exchange traded IR derivatives undertaken during the year (instrument-wise)	-	-
ii) Notional principal amount of exchange traded IR derivatives outstanding (instrument-wise)	-	-
iii) Notional principal amount of exchange traded IR derivatives outstanding and not "highly effective" (instrument-wise)	-	-
iv) Mark-to-market value of exchange traded IR derivatives outstanding and not "highly effective" (instrument-wise)	-	-

64.3 Disclosures on Risk Exposure in Derivatives

A. Qualitative Disclosure

The Company manages various risks associated with the lending business, including liquidity risk, foreign exchange risk, interest rate risk and counterparty risk.

To manage these risks, the Company has Board approved policies and framework, including the Risk Management Policy and ALCO Policy, which sets limits for exposures on currency, interest rates and other parameters. The Company manages its currency risk and enters in to derivative contracts in accordance with the guidelines prescribed therein.

Liquidity risk and Interest rate risk arising out of maturity mismatch of assets and liabilities are managed through regular monitoring of maturity profiles. The currency risk and interest rate risk on borrowings is actively managed mainly through derivative financial instruments by entering in to forward contracts, cross currency interest rate swaps and interest rate swaps. Counter party risk is reviewed periodically to ensure that exposure to various counter parties is well diversified and is within the limits fixed by the Risk Management Committee.

(₹ in million)

B. Quantitative Disclosure	As at 31 March 2026	As at 31 March 2025
i) Derivatives (Notional Principal Amount)* for hedging	12,242.86	6,383.46
ii) Marked to Market Positions	-	-
(a) Assets (+)	819.15	-
(b) Liability (-)	172.12	66.87
iii) Credit Exposure	-	-
iv) Unhedged Exposures	-	-

* The notional amount of derivatives includes currency derivatives amounting to ₹ 4,742.35 million as at 31 March 2026 (31 March 2025: ₹ 2,938.95 million) which are used by the Company to hedge the currency risk as well as the interest rate risk on its outstanding foreign currency borrowings.

65 Gold loan

The Company does not provide any loans on collateral of gold and gold jewelleries/ silver collateral.

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Notes forming part of the financial statements

66 Asset liability management (Maturity pattern of certain items of assets and liabilities)

(₹ in million)

As at 31 March 2026					
	Borrowings (Refer (i) below)	**Market borrowings**	**Foreign currency liabilities**	**Loans (Refer (ii) below)**	**Investments (Refer (iii) below)**
1 to 7 Days	152.89	-	6.24	389.79	470.12
8 to 14 days	110.67	-	99.77	389.79	-
15 Days to one month	811.06	-	-	890.94	997.55
Over 1 month and up to 2 months	527.25	-	161.71	1,670.51	1,436.25
Over 2 months and up to 3 months	2,039.00	46.96	330.27	1,670.51	5,709.88
Over 3 months and up to 6 months	5,017.79	-	767.90	5,011.54	1,191.16
Over 6 months and up to 1 year	10,353.87	556.87	1,239.48	10,023.08	2,030.38
Over 1 year and up to 3 years	37,436.23	1,113.74	4,576.66	40,092.32	340.32
Over 3 years and up to 5 years	22,970.55	556.86	3,168.35	40,791.82	-
Over 5 years	11,603.10	-	2,253.26	30,395.83	-
Total	**91,022.41**	**2,274.43**	**12,603.64**	**1,31,326.13**	**12,175.66**

Asset liability management (Maturity pattern of certain items of assets and liabilities)

(₹ in million)

As at 31 March 2025					
	Borrowings (Refer (i) below)	**Market borrowings**	**Foreign currency liabilities**	**Loans (Refer (ii) below)**	**Investments (Refer (iii) below)**
1 to 7 Days	167.08	-	-	318.90	2,546.91
8 to 14 days	112.22	-	99.74	318.90	-
15 Days to one month	467.66	-	-	728.92	1,906.02
Over 1 month and up to 2 months	496.89	-	116.30	1,366.75	1,011.27
Over 2 months and up to 3 months	2,280.76	67.73	50.47	1,366.75	1,303.26
Over 3 months and up to 6 months	4,767.24	-	161.66	4,100.24	510.54
Over 6 months and up to 1 year	9,219.53	556.13	423.06	8,200.48	2,325.97
Over 1 year and up to 3 years	34,726.85	1,112.27	2,045.76	32,801.93	50.00
Over 3 years and up to 5 years	23,634.66	1,112.26	1,787.22	33,347.05	-
Over 5 years	10,442.54	-	1,658.96	23,937.08	-
Total	**86,315.43**	**2,848.39**	**6,343.17**	**1,06,487.00**	**9,653.97**

Notes:

(i) Borrowings includes borrowings from banks and financial institutions and excludes foreign currency borrowings from banks and financial institutions.

(ii) Classification of assets and liabilities under different maturity buckets is based on the estimates and assumptions as used by the Company.

(iii) Investments includes deposits with banks.

(iv) The Company does not have deposits (public) and foreign currency assets as at 31 March 2026 and 31 March 2025.

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Notes forming part of the financial statements

67 Exposure

67.1 Exposure to real estate sector

(₹ in million)

Category	As at 31 March 2026	As at 31 March 2025
i) Direct exposure		
(a) Residential mortgages		
Lending fully secured by mortgages on residential property that is or will be occupied by the borrower or that is rented. Exposure would also include non-fund based (NFB) limits.	1,28,511.37	1,05,723.82
(b) Commercial real estate		
Lending secured by mortgages on commercial real estates (office buildings, retail space, multipurpose commercial premises, multi-family residential buildings, multi-tenanted commercial premises, industrial or warehouse space, hotels, land acquisition, development and construction, etc.). Exposure would also include non-fund based (NFB) limits.	3,864.88	1,584.16
(c) Investments in Mortgage Backed Securities (MBS) and other securitised exposures		
i. Residential	Nil	Nil
ii. Commercial real estate	Nil	Nil
ii) Indirect exposure		
Fund based and non-fund based exposures on National Housing Bank (NHB) and Housing Finance Companies (HFCs)	Nil	Nil
Total exposure to real estate sector	**1,32,376.25**	**1,07,307.98**

Note: The amounts included above are net of unamortised processing fee (EIR) and excludes off-balance sheet exposure.

67.2 Exposure to capital market

The Company does not have any exposure to capital market sector as at 31 March 2026 and 31 March 2025.

67.3 Sectoral Exposure

(₹ in million)

Sectors	As at 31 March 2026			As at 31 March 2025		
	Total Exposure (includes on balance sheet and offbalance sheet exposure)	Gross NPAs	Percentage of Gross NPAs to total exposure in that sector	Total Exposure (includes on balance sheet and offbalance sheet exposure)	Gross NPAs	Percentage of Gross NPAs to total exposure in that sector
1. Agriculture and Allied Activities	-	-	0.00%	-	-	0.00%
2. Industry	-	-	0.00%	-	-	0.00%
3. Services						
i. Commercial Real Estate	83.53	2.00	2.39%	71.82	1.14	1.59%
Total of Services	**83.53**	**2.00**	**2.39%**	**71.82**	**1.14**	**1.59%**
4. Personal loans						
i. Housing (Including Priority Sector Housing)	1,16,127.80	1,781.09	1.53%	94,643.12	1,465.17	1.55%
ii. Loan Against Property	21,116.65	343.06	1.62%	18,401.03	179.13	0.97%
ili. Other Personal loans	13,589.55	278.12	2.05%	9,286.56	162.55	1.75%
Total of Personal loans (i. + ii. + ili.)	**1,50,834.00**	**2,402.27**	**1.59%**	**1,22,330.71**	**1,806.85**	**1.48%**

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Notes forming part of the financial statements

67.4 Details of financing of parent company products: Not applicable.

67.5 Details of Single Borrower Limit (SBL) / Group Borrower Limit (GBL) exceeded by the Company

The Company has not exceeded single or group borrower exposure limit as prescribed by RBI guidelines during the year ended 31 March 2026 and 31 March 2025.

67.6 Unsecured advances

There are no unsecured advances against intangible securities such as rights, licenses, authorisations as collateral security during the year ended 31 March 2026 and 31 March 2025.

67.7 Exposure to group companies engaged in real estate business

	As at 31 March 2026		As at 31 March 2025	
	Amount (₹ in million)	% of owned funds	Amount (₹ in million)	% of owned funds
Exposure to any single entity in a group enagaged in real estate business	-	-	-	-
Exposure to any all entities in a group enagaged in real estate business	-	-	-	-

67.8 Intra-group exposures

(₹ in million)

	As at 31 March 2026	As at 31 March 2025
Total amount of intra-group exposures	Nil	Nil
Total amount of top 20 intra-group exposures	Nil	Nil
Percentage of intra-group exposures to total exposure of the HFC on borrowers/ customers	Nil	Nil

67.9 Unhedged foreign currency exposure

There were no unhedged foreign currency exposures as at 31 March 2026 and 31 March 2025. Refer note 36 for policies to manage currency induced risk.

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68 Related Party Disclosure

68.1 Refer note 33 for Related party disclosures in accordance with Indian Accounting standard 24.

List of related parties in accordance with the Companies Act, 2013 are given below.

Nature of relationship	Name of related party
Entity having significant influence	True North Fund V LLP
Entity having significant influence	Aether (Mauritius) Limited
Entity having significant influence	Orange Clove Investments B.V. (up to 02 December 2024)
Director	Mr. Manoj Viswanathan - Managing Director and Chief Executive Officer
Director	Mr. Deepak Satwalekar - Independent Director
Director	Mr. Divya Sehgal - Nominee Director
Director	Mr. Maninder Singh Juneja - Nominee Director (up to 02 May 2025)
Director	Mr. Narendra Ostawal - Nominee Director (up to 15 July 2025)
Director	Mr. Anuj Srivastava - Independent Director
Director	Ms. Geeta Dutta Goel - Independent Director
Director	Ms. Sucharita Mukherjee - Independent Director
Director	Mr. Sriram Hariharan - Non executive Independent Director (from 26 June 2025)
Key Management Personnel (KMP)	Mr. Shreyans Bachhawat - Company Secretary
Key Management Personnel (KMP)	Ms. Nutan Gaba Patwari - Chief Financial Officer

68.2 Transactions with related parties:

During year ended 31 March 2026: (₹ in million)

Items \ Related Party	Entity having significant influence	Directors	Key Management Personnel	Others	Total
Remuneration	-	36.63	34.37	-	**71.00**
Exercise of ESOP	-	9.46	92.76	-	**102.22**
Share based payment expense	-	52.60	39.03	-	**91.63**
Dividend paid	47.49	3.71	0.66	-	**51.86**
Advances:					
Advances given during the year	-	-	0.60	-	**0.60**
Repayment of advances during the year	-	-	0.25	-	**0.25**
Outstanding balance of advance	-	-	0.35	-	**0.35**
Others	-	19.34	0.97	-	**20.31**

During year ended 31 March 2025: (₹ in million)

Items \ Related Party	Entity having significant influence	Directors	Key Management Personnel	Others	Total
Remuneration	-	28.10	28.96	-	**57.06**
Exercise of ESOP	-	35.17	16.99	-	**52.16**
Share based payment expense	-	38.98	28.90	-	**67.88**
Dividend paid	140.33	2.73	0.34	-	**143.40**
Others	-	12.33	0.49	-	**12.82**

69 Miscellaneous

69.1 Registration obtained from other financial sector regulators

The Company is registered with RBI and has all its operations in India. The Company is acting as a corporate agent and is registered with the Insurance Regulatory and Development Authority of India (IRDAI) vide registration number CA0909.

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Notes forming part of the financial statements

69.2 The Company has reported fraud amounting to ₹ 27.15 million during the year ended 31 March 2026 (31 March 2025: ₹ 25.13 million).

69.3 Group structure: Not Applicable. The Company does not have any holding, subsidiary or associate company.

69.4 Rating assigned by credit rating agency and migration of rating during the year

As at 31 March 2026

Instrument	Rating agency	Rating	Comments
Commercial paper	ICRA	ICRA A1+	Instruments with this rating are considered to have very strong degree of safety regarding timely payment of financial obligations. Such instruments carry lowest credit risk.
Commercial paper	India Ratings & Research	IND A1+	Instruments with this rating are considered to have very strong degree of safety regarding timely payment of financial obligations. Such instruments carry lowest credit risk.
Term loans	ICRA	ICRA AA (Stable)	Instruments with this rating are considered to have high degree of safety regarding timely servicing of financial obligations. Such instruments carry low credit risk.
Term loans	CARE	Care AA (Stable)	Instruments with this rating are considered to have high degree of safety regarding timely servicing of financial obligations. Such instruments carry very low credit risk.
Term loans	India Ratings & Research	IND AA (Stable)	Instruments with this rating are considered to have high degree of safety regarding timely servicing of financial obligations. Such instruments carry very low credit risk.
Non-convertible debentures	ICRA	ICRA AA (Stable)	Instruments with this rating are considered to have high degree of safety regarding timely servicing of financial obligations. Such instruments carry very low credit risk.
Non-convertible debentures	India Ratings & Research	IND AA (Stable)	Instruments with this rating are considered to have high degree of safety regarding timely servicing of financial obligations. Such instruments carry very low credit risk.

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As at 31 March 2025

Instrument	Rating agency	Rating	Comments
Commercial paper	ICRA	ICRA A1+	Instruments with this rating are considered to have very strong degree of safety regarding timely payment of financial obligations. Such instruments carry lowest credit risk.
Commercial paper	India Ratings & Research	IND A1+	Instruments with this rating are considered to have very strong degree of safety regarding timely payment of financial obligations. Such instruments carry lowest credit risk.
Term loans	ICRA	ICRA AA-(Stable)	Instruments with this rating are considered to have high degree of safety regarding timely servicing of financial obligations. Such instruments carry low credit risk.
Term loans	CARE	Care AA-(Stable)	Instruments with this rating are considered to have high degree of safety regarding timely servicing of financial obligations. Such instruments carry very low credit risk.
Term loans	India Ratings & Research	IND AA-(Positive)	Instruments with this rating are considered to have high degree of safety regarding timely servicing of financial obligations. Such instruments carry very low credit risk.
Non-convertible debentures	ICRA	ICRA AA-(Stable)	Instruments with this rating are considered to have high degree of safety regarding timely servicing of financial obligations. Such instruments carry very low credit risk.
Non-convertible debentures	India Ratings & Research	IND AA- (Positive)	Instruments with this rating are considered to have high degree of safety regarding timely servicing of financial obligations. Such instruments carry very low credit risk.

Details of migration of ratings during the year ended 31 March 2026

Instrument	Rating agency	As at 31 March 2026	As at 31 March 2025
Term loans	ICRA	ICRA AA (Stable)	ICRA AA- (Stable)
Term loans	CARE	CARE AA (Stable)	CARE AA- (Stable)
Term loans	India Ratings & Research	IND AA (Stable)	IND AA- (Positive)
Non-convertible debentures	ICRA	ICRA AA (Stable)	ICRA AA- (Stable)
Non-convertible debentures	India Ratings & Research	IND AA (Stable)	IND AA- (Positive)

There has been no migration of credit ratings during the year ended 31 March 2025.

69.5 Net Profit or Loss for the period, prior period items and changes in accounting policies
The Company does not have any prior period items / change in accounting policies during the current year other than disclosed in financial statements.

69.6 Revenue Recognition
There have been no circumstances in which revenue recognition has been postponed pending the resolution of significant uncertainties.

69.7 Consolidated Financial Statements (CFS)
The Company does not have any subsidiary, associate or joint venture accordingly CFS is not applicable.

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Notes forming part of the financial statements

70 Provisions and Contingencies

70.1 Break up of 'Provisions and Contingencies' shown under the head expenditure in the statement of profit and loss

(₹ in million)

	Year ended 31 March 2026	Year ended 31 March 2025
i) Provisions for depreciation on investment	-	-
ii) Provision made towards income tax	1,673.71	1,195.20
ili) Provision towards non performing assets (NPA)	119.91	40.95
iv) Provision for standard assets		
-Commercial real estate	0.20	(0.15)
-Commercial real estate - RH	-	-
-Others	109.04	88.26
v) Other Provisions and Contingencies - Provision for gratuity and compensated absences (including Other Comprehensive Income)	55.51	21.03

70.2 Break up of loan and advances and provisions thereon

(₹ in million)

	Housing loan		Non housing loan	
	As at 31 March 2026	As at 31 March 2025	As at 31 March 2026	As at 31 March 2025
Standard assets				
a) Total outstanding amount	97,870.88	79,774.40	32,101.10	25,725.59
b) Provisions made	377.87	296.97	96.98	68.63
Sub - Standard assets				
a) Total outstanding amount	1,421.96	1,179.75	484.15	275.23
b) Provisions made	321.64	247.63	78.20	42.59
Doubtful assets - Category-I				
a) Total outstanding amount	283.81	207.63	96.92	51.55
b) Provisions made	87.31	70.12	20.82	15.80
Doubtful assets - Category-II				
a) Total outstanding amount	70.76	75.60	40.59	15.37
b) Provisions made	39.27	66.55	24.17	9.83
Doubtful assets - Category-III				
a) Total outstanding amount	4.56	2.19	1.52	0.67
b) Provisions made	2.95	2.19	0.91	0.67
Loss assets				
a) Total outstanding amount	-	-	-	-
b) Provisions made	-	-	-	-
Total				
a) Total outstanding amount	**99,651.97**	**81,239.57**	**32,724.28**	**26,068.41**
b) Provisions made	**829.04**	**683.46**	**221.08**	**137.52**

70.3 Divergence in Asset Classification and Provisioning

There has been no divergence in asset classification and provisioning requirements as assessed by NHB during the year ended 31 March 2026 and 31 March 2025.

71 Draw down from reserves

Refer note 21 for disclosure pertaining to draw down from reserves during the year ended 31 March 2026 and 31 March 2025.

Annual *Accounts*

Notes forming part of the financial statements

72 Concentration of public deposits, advances, exposures and NPA's

72.1 Concentration of public deposits (for public Deposit taking/holding HFCs)

The Company does not accept any public deposits and hence the same is not applicable.

	As at 31 March 2026	As at 31 March 2025
Total Deposits of twenty largest depositors (₹ in million)	Not applicable	Not applicable
Percentage of Deposits of twenty largest depositors to total deposits of the deposit taking HFC	Not applicable	Not applicable

72.2 Concentration of loans and advances

	As at 31 March 2026	As at 31 March 2025
Total loans and advances to twenty largest borrowers (₹ in million)	231.64	203.58
Percentage of Loans and Advances to twenty largest borrowers to total advances of the HFC	0.17%	0.19%

72.3 Concentration of all exposures (including off - balance sheet exposure)

	As at 31 March 2026	As at 31 March 2025
Total exposure to twenty largest borrowers / customers (₹ in million)	252.49	211.65
Percentage of exposures to twenty largest borrowers / customers to total exposure of the HFC on borrowers / customers	0.17%	0.17%

(₹ in million)

72.4 Concentration of Non performing assets (NPA)

	As at 31 March 2026	As at 31 March 2025
Total exposure to top ten NPA accounts	45.92	45.13

72.5 Sector wise Non performing assets (NPAs)

Sector wise percentage of NPAs to total advances in that sector	As at 31 March 2026	As at 31 March 2025
A Housing loans:		
1 Individuals	1.79%	1.80%
2 Builders/Project loans	-	-
3 Corporates	-	-
4 Others	-	-
B Non housing loans:		
1 Individuals	1.90%	1.32%
2 Builders/Project loans	-	-
3 Corporates	-	-
4 Others	-	-

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Notes forming part of the financial statements

73 Movement of Non performing assets (NPAs)	As at 31 March 2026	As at 31 March 2025
(I) Net NPAs to net advances (%)	1.39%	1.27%
(II) Movement of NPAs (Gross)		
a) Opening balance (₹ in million)	1,807.99	1,393.40
b) Additions during the year* (₹ in million)	1,766.14	1,283.82
c) Reductions during the year* (₹ in million)	1,169.86	869.23
d) Closing balance (₹ in million)	2,404.27	1,807.99
(III) Movement of Net NPAs		
a) Opening balance (₹ in million)	1,352.61	978.97
b) Additions during the year* (₹ in million)	1,317.37	992.82
c) Reductions during the year* (₹ in million)	840.98	619.18
d) Closing balance (₹ in million)	1,829.00	1,352.61
(IV) Movement of provisions for NPAs (excluding provisions on standard assets)		
a) Opening balance (₹ in million)	455.38	414.43
b) Provision made during the year (net) (₹ in million)	448.77	291.00
c) Write-off/ write-back of excess provisions during the year (₹ in million)	328.88	250.05
d) Closing balance (₹ in million)	575.27	455.38

* The above do not include loans moved in to NPAs and upgraded during the year.

74 Overseas assets	As at 31 March 2026	As at 31 March 2025
Nil	-	-

75 Off-Balance Sheet SPVs sponsored (which are required to be consolidated as per accounting norms)

Name of SPV sponsored	As at 31 March 2026		As at 31 March 2025	
	Domestic	Overseas	Domestic	Overseas
Nil	-	-	-	-

76 Disclosure of complaints

76.1 Summary information on complaints received by the Company from customers and from the Offices of Ombudsman

Particulars	As at 31 March 2026	As at 31 March 2025
Complaints received by the Company from its customers		
1. Number of complaints pending at the beginning of the year	0	2
2. Number of complaints received during the year	875	391
3. Number of complaints disposed during the year	875	393
3.1 Of which, number of complaints rejected by the Company	0	0
4. Number of complaints pending at the end of the year	0	0
Maintainable complaints received by the Company from Office of Ombudsman		
5.* Number of maintainable complaints received by the Company from Office of Ombudsman	NA	NA
5.1 Of 5, number of complaints resolved in favour of the Company by Office of Ombudsman	NA	NA
5.2 Of 5, number of complaints resolved through conciliation/mediation/advisories issued by Office of Ombudsman	NA	NA
5.3 Of 5, number of complaints resolved after passing of Awards by Office of Ombudsman against the Company	NA	NA
6.* Number of Awards unimplemented within the stipulated time (other than those appealed)	NA	NA

Note: Maintainable complaints refer to complaints on the grounds specifically mentioned in Integrated Ombudsman Scheme, 2021 and covered within the ambit of the scheme.

* The Reserve Bank - Integrated Ombudsman Scheme, 2021 is not applicable to the Company.

Annual *Accounts*

Notes forming part of the financial statements

76.2 Top five grounds of complaints received by the Company from customers

Grounds of complaints, (i.e. complaints relating to)	Number of complaints pending at the beginning of the year	Number of complaints received during the year	% increase/ decrease in the number of complaints received over the previous year	Number of complaints pending at the end of the year	Of 5, number of complaints pending beyond 30 days
1	2	3	4	5	6
Year ended 31 March 2026					
1. Transaction related (EMI, part payments, ECS, etc.)	-	250	136%	-	-
2. Document related (Account statement, outstanding letter, tax certificate, etc.)	-	241	94%	-	-
3. Pricing related (Rate of interest, fees, etc.)	-	147	259%	-	-
4. Product related (Top up loan, Auto prepayments, etc.)	-	104	108%	-	-
5. Loan closure related	-	43	95%	-	-
6. Others	-	90	88%	-	-
Total	**-**	**875**	**124%**	**-**	**-**
Year ended 31 March 2025					
1. Document related (Account statement, outstanding letter, tax certificate, etc.)	-	124	32%	-	-
2. Transaction related (EMI, part payments, ECS, etc.)	1	106	25%	-	-
3. Product related (Top up loan, Auto prepayments, etc.)	-	50	16%	-	-
4. Pricing related (Rate of interest, fees, etc.)	-	41	(9%)	-	-
5. Other category (CIBIL related, Application related, etc.)	-	24	71%	-	-
6. Others	1	46	(42%)	-	-
Total	**2**	**391**	**9%**	**-**	**-**

Annual *Accounts*

Notes forming part of the financial statements

77 Breach of covenants

The Company has complied with the financial covenants under the terms of major borrowing facilities throughout the year ended 31 March 2026 and 31 March 2025.

(₹ in million)

78 Loans to Directors, Senior Officers and relatives of Directors	As at 31 March 2026	As at 31 March 2025
Directors and their relatives	-	-
Entities associated with directors and their relatives	-	-
Senior officers and their relatives	-	-

79 Principal business criteria	As at 31 March 2026	As at 31 March 2025
Housing Loans (₹ in million)^	98,457.31	81,239.56
Housing Finance (clauses (i) to (xi) of para 10(8))*	65.00%	66.65%
Housing finance for individuals (clauses (i) to (v) of para 10(8))*	65.00%	66.65%

*As per Reserve Bank of India (Housing Finance Companies) Directions, 2025, as amended.

^Housing loans are net of unamortised fee income and transaction costs on loans as at 31 March 2026. The amount of processing fees adjusted while disbursing housing loans has been classified as 'Non-housing' by the Company.

80 During the year ended 31 March 2026, fine amounting to ₹ 4,720 has been levied by BSE Limited and paid by the Company for delay in submission of annual report. There was no penalty, other than the above, imposed by any regulator/ supervisor/ enforcement authority on the Company during the year ended 31 March 2026 and 31 March 2025.

For B S R & Co. LLP
Chartered Accountants
Firm's registration no.: 101248W/W-100022

Ashwin Suvarna
Partner
Membership No.: 109503
Place: Udupi
Date: 06 May 2026

For and on behalf of the Board of Directors

Manoj Viswanathan
Managing Director &
Chief Executive Officer
DIN No.: 01741612
Place: Mumbai
Date: 06 May 2026

Divya Sehgal
Director
DIN No.: 01775308
Place: Mumbai
Date: 06 May 2026

Nutan Gaba Patwari
Chief Financial Officer
Place: Mumbai
Date: 06 May 2026

Shreyans Bachhawat
Company Secretary
Place: Mumbai
Date: 06 May 2026

SGS India Private Limited
4B, Adi Shankaracharya Marg,
Vikhroli (West), Mumbai – 400083

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INDEPENDENT ASSURANCE STATEMENT

Independent Assurance Statement to Home First Finance Company India Limited on its Integrated Annual Report for FY 2025-26

Home First Finance Company India Limited,
511 Acme Plaza, Opposite Sangam Cinema,
Near Metro Station, J B Nagar, Andheri East,
Mumbai, Maharashtra 400059, India.

Nature of the Assurance

SGS India Private Limited (hereinafter referred to as 'SGS India') was engaged by Home First Finance Company India Limited(the 'Company') to conduct an independent assurance of the disclosures under the Integrated Annual Report (the 'Report') pertaining to the reporting period of April 1, 2025, to March 31, 2026. The Integrated Annual Report has been prepared with reference to the Global Reporting Initiatives (GRI) Standards. This Limited level of assurance engagement was conducted in accordance with International Standard on Assurance Engagements (ISAE) 3000 (Revised), ISAE 3410, and GRI principles.

Intended Users of this Assurance Statement

This Assurance Statement is provided with the intention of informing all Home First Finance Company India Limited's Stakeholders.

Responsibilities

The information in the report and its presentation are the responsibility of the management of the Company. SGS India has not been involved in the preparation of any of the material included in the report.

Our responsibility is to express an opinion on the text, data, and statements within the defined scope of assurance, aiming to inform the management of the Company, and in alignment with the agreed terms of reference. We do not accept or assume any responsibility beyond this specific scope. The Statement shall not be used for interpreting the overall performance of the Company, except for the aspects explicitly mentioned within the scope. The Company holds the responsibility for preparing and ensuring the fair representation of the assurance scope.

Assurance Standard

SGS has conducted a limited level assurance engagement in accordance with the International Standard on Assurance Engagements (ISAE) 3000 (Revised), issued by the International Auditing and Assurance Standards Board (IAASB), and the International Standard on Assurance Engagements (ISAE) 3410, along with the principles of the Global Reporting Initiative (GRI) Standards. Our evidence-gathering procedures were designed to obtain a *'Limited level of assurance'*. The procedures performed in a limited assurance engagement are designed to support expectations regarding the direction of trends, relationships, and ratios rather than to identify misstatements with the level of precision expected in a reasonable assurance engagement.

Statement of Independence and Competence

The SGS Group of companies is the world leader in inspection, testing, and assurance, operating in more than 140 countries and providing services including management systems and service certification; quality, environmental, social, and ethical auditing and training; and environmental, social, and Integrated Annual Report assurance. SGS affirms our independence from Home First Finance Company India Limited, being free from bias and conflicts of interest with the organization, its subsidiaries, and stakeholders. The assurance team was assembled based on their knowledge, experience, and qualifications for this

assignment, and comprised auditors registered with ISO 26000, ISO 20121, ISO 50001, SA8000, RBA, QMS, EMS, SMS, GPMS, CFP, WFP, GHG Verification, and GHG Validation Lead Auditors, and experience on the SRA Assurance

Scope of Assurance

- The assurance process involved assessing the quality, accuracy, and reliability of ESG Indicators within the Integrated Annual Report for the period April 1, 2025, to March 31, 2026. The reporting scope and boundaries include Home First Finance Company India Limited, offices spread across India.

Assurance Methodology

The assurance comprised a combination of desktop review, interaction with the key personnel engaged in the process of developing the report, on-site visits, and remote verification of data. Specifically, SGS India undertook the following activities:

- Assessment of the suitability of the applicable criteria in terms of its comprehensiveness, reliability, and accuracy.
- Interaction with key personnel responsible for collecting, consolidating, and calculating the ESG KPIs and assessing the internal control mechanisms in place to ensure data quality.
- Application of analytical procedures and verification of documents on a sample basis for the compilation and reporting of the KPIs.
- Assessing the data reporting process at the Site as well as the Plant level and the aggregation process of data at the Corporate Office level.
- Critical review of the report regarding the plausibility and consistency of qualitative and quantitative information related to the KPIs.

Limitations

SGS India verified data on a sample basis; the responsibility for the authenticity of the data entirely lies with the Company. The assurance scope excluded forward-looking statements, product- or service-related information, external information sources, and expert opinions. SGS India has not been involved in the evaluation or assessment of any financial data/performance of the company. Our opinion on financial indicators is based on the third-party financial reports audited by the Company. SGS India does not take any responsibility for the financial data reported in the audited financial reports of the Company.

The assurance scope excludes:

- Disclosures other than those mentioned in the assurance scope.
- Data review outside the operational sites as mentioned in the reporting boundary.
- Validation of any data and information other than those presented in “Findings and Conclusions.”
- The assurance engagement considers an uncertainty of ±5% based on the materiality threshold for Assumption/ estimation/measurement errors and omissions.
- The Company’s statements that describe the expression of opinion, belief, aspiration, expectation, aim to future intention provided by the Company, and assertions related to Intellectual Property Rights and other competitive issues.
- Strategy and other related linkages expressed in the Report.
- Mapping of the Report with reporting frameworks other than those mentioned in the Reporting Criteria above.

Findings and Conclusions

Based on the procedures we have performed and the evidence we have obtained, we are satisfied that the ESG KPIs (listed below) presented by the Company in its Integrated Annual Report are complete, accurate, reliable, fairly stated in all material respects, and are prepared with reference to the Reporting requirements.

The list of ESG KPIs that were verified within this assurance engagement is given below:

GRI indices	Description
401-1	Total number and rates of new employee hires and employee turnover by age group, gender, and region
401-2	Benefits provided to full-time employees that are not provided to temporary or part-time employees, by significant locations of operation

401-3	Parental leaves
402-1	Minimum notice periods regarding operational changes
404-1	Average hours of training per year per employee
404-2	Programs for upgrading employee skills and transition assistance programs
404-3	Percentage of employees receiving regular performance and career development reviews
405-1	Diversity of governance bodies and employees
405-2	Ratio of basic salary and remuneration of women to men
413-1	Operations with local community engagement, impact assessments, and development programmes
302-1	Energy consumption within the organization
302-3	Energy intensity
303-5	Water Consumption
305-1	Direct greenhouse gas (GHG) emissions (scope 1)
305-2	Energy indirect greenhouse gas (GHG) emissions (scope 2)
305-4	GHG emissions intensity

For and on behalf of SGS India Private Limited

 **Kalpesh Thombare** Technical Reviewer and National Manager – ESG & Sustainability Services, SGS India. 19th May 2026.	 **Chirag Bafna** Senior Technical Associate and Lead Verifier – ESG & Sustainability Services, SGS India. 19th May 2026.

Notice to Annual General *Meeting*

NOTICE OF THE ANNUAL GENERAL MEETING

NOTICE IS HEREBY GIVEN THAT THE 17th ANNUAL GENERAL MEETING ("AGM") OF THE MEMBERS OF HOME FIRST FINANCE COMPANY INDIA LIMITED ("THE COMPANY") IS SCHEDULED TO BE HELD ON WEDNESDAY, JUNE 24, 2026 AT 12:00 NOON (IST) THROUGH VIDEO CONFERENCING ("VC") /OTHER AUDIO-VISUAL MEANS ("OAVM") TO TRANSACT THE FOLLOWING BUSINESSES

Ordinary Businesses:

1. To receive, consider and adopt:

The Audited Balance Sheet, Statement of Profit and Loss and Cash Flow Statement with notes forming part thereof, the Directors' Report (along with all the annexures) and Auditor's Report for the financial year ended March 31, 2026.

2. To declare final dividend of ₹ 5.20/- per equity share for the FY26.

3. Mr. Divya Sehgal (DIN: 01775308), Director liable to retire by rotation, who has not offered himself for re-appointment.

To consider and if thought fit, to pass, with or without modification(s), the following resolution as an **Ordinary Resolution:**

"RESOLVED THAT pursuant to the provisions of Section 152(7) of the Companies Act, 2013 and relevant rules made thereunder, including any modification(s) thereto or re-enactment(s) thereof for the time being in force, Mr. Divya Sehgal (DIN: 01775308), Nominee Director, who retires by means of rotation at the 17th Annual General Meeting **("AGM")** of the Company, does not offered himself for re-appointment, be not re-appointed as a Director of the Company and the vacancy, so caused on the Board of the Company, not to be filled up at the AGM or any adjournment thereof."

4. To appoint M/s. Batliboi & Purohit, Chartered Accountants as one of the Joint Statutory Auditors of the Company

To consider and if thought fit, to pass, with or without modification(s), the following resolution as an **Ordinary Resolution:**

"RESOLVED THAT pursuant to the provisions of Sections 139, 141, 142 and other applicable provisions, if any, of the Companies Act 2013 **("Act")** read with the Companies (Audit and Auditors) Rules 2014, Guidelines for Appointment of Statutory Central Auditors (SCAs)/ Statutory Auditors (SAs) of Commercial Banks (excluding RRBs), UCBs and NBFCs (including Housing Finance Companies) dated April 27, 2021 issued by the Reserve Bank of India **("RBI")** and Frequently Asked Questions dated June 11, 2021 **("RBI Guidelines"),** Securities and Exchange Board of India (Listing Obligations and Disclosure Requirements) Regulations, 2015 **("SEBI Listing Regulations")** (including any statutory modification(s) or re-enactment (s) thereof for the time being in force), Company's policy of appointment of Statutory Auditors and on the recommendation of Audit Committee and approval of Board of Directors, M/s. Batliboi & Purohit, Chartered Accountants (Firm Registration No.: 101048W), be and are hereby appointed as the Joint Statutory Auditors of the Company, subject to their continuity of fulfilment of the applicable eligibility norms each year, to hold office for a period of three consecutive years commencing from the conclusion of the 17th Annual General Meeting **("AGM")** to be held in the year 2026 until the conclusion of the 20th AGM to be held in the year 2029, at a remuneration of ₹ 40 Lakhs per annum for FY27 and subsequently for remaining tenure, as may be mutually agreed between the Board of Directors and Statutory Auditors, payable in one or more installments plus taxes and re-imbursement of out-of-pocket expenses incurred by them in connection with the audit of the accounts of the Company.

RESOLVED FURTHER THAT the Board of Directors or the Chief Financial Officer or the Company Secretary of the Company be and is hereby authorized to do all such acts, deeds, matters and things as may be deemed necessary and settle any/or all questions/ matters arising with respect to the above matter, and to execute all such deeds, documents, agreements, and writings as may be necessary for the purpose of giving effect to this Resolution."

Notice to Annual General *Meeting*

Special Businesses:

5. To consider and approve the reappointment of Ms. Geeta Dutta Goel (DIN: 02277155) as Non-Executive, Independent Director of the Company

To consider and if thought fit, to pass, with or without modification(s), the following resolution as a **Special Resolution:**

"RESOLVED THAT pursuant to the provisions of Sections 149, 150, 152 read with Schedule IV and other applicable provisions, if any, of the Companies Act 2013, the Companies (Appointment and Qualification of Directors) Rules, 2014, Regulation 17 of the Securities and Exchange Board of India (Listing Obligations and Disclosure Requirements) Regulations, 2015 (**"SEBI Listing Regulations"**) (including any statutory modification or re-enactment thereof for the time being in force), applicable provisions of the Articles of association of the Company and on the recommendation of Nomination and Remuneration Committee and approval of the Board of Directors, Ms. Geeta Dutta Goel (DIN: 02277155) who holds office as an Independent Director upto October 31, 2026, be and is hereby re-appointed as Non-Executive Independent Director, not liable to retire by rotation, for a second term of five consecutive years commencing from November 01, 2026.

RESOLVED FURTHER THAT the Board of Directors or the Chief Financial Officer or the Company Secretary of the Company be and is hereby authorized to do all such acts, deeds, matters and things as may be deemed necessary and settle any/or all questions/ matters arising with respect to the above matter, and to execute all such deeds, documents, agreements, and writings as may be necessary for the purpose of giving effect to this Resolution."

6. To consider and approve the reappointment of Mr. Anuj Srivastava (DIN: 09369327) as Non-Executive Independent Director of the Company

To consider and if thought fit, to pass, with or without modification(s), the following resolution as a **Special Resolution:**

"RESOLVED THAT pursuant to the provisions of Sections 149, 150, 152 read with Schedule IV and other applicable provisions, if any, of the Companies Act 2013, the Companies (Appointment and Qualification of Directors) Rules, 2014, Regulation 17 of the Securities and Exchange Board of India (Listing Obligations and Disclosure Requirements) Regulations, 2015 **("SEBI Listing Regulations")** (including any statutory modification or re-enactment thereof for the time being in force), applicable provisions of the Articles of association of the Company and on the recommendation of Nomination and Remuneration Committee and approval of Board of Directors, Mr. Anuj Srivastava (DIN:09369327) who holds office as an Independent Director upto October 31, 2026, be and is hereby re-appointed as Non-Executive Independent Director, not liable to retire by rotation, for a second term of five consecutive years commencing from November 01, 2026.

RESOLVED FURTHER THAT the Board of Directors or the Chief Financial Officer or the Company Secretary of the Company be and is hereby authorized to do all such acts, deeds, matters and things as may be deemed necessary and settle any/or all questions/ matters arising with respect to the above matter, and to execute all such deeds, documents, agreements, and writings as may be necessary for the purpose of giving effect to this Resolution."

7. To approve the increase in borrowing powers / issuance of debentures in excess of the Paid-up Share Capital, Free Reserves and Securities Premium of the Company pursuant to Section 180(1)(c) of the Companies Act, 2013.

To consider and if thought fit, to pass, with or without modification(s), the following resolution as a **Special Resolution:**

"RESOLVED THAT in supersession of the earlier resolution passed by the Members of the Company at the 15th Annual General Meeting held on June 20, 2024 and pursuant to the provisions of Sections 42, 71, 179, 180(1)(c) and other applicable provisions, if any, of the Companies Act, 2013 and the rules made thereunder , SEBI (Issue and Listing of Non-Convertible Securities) Regulations, 2021

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("Debt Regulations"), the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015 (including any statutory modification(s) or re-enactment(s) thereof for the time being in force) and as per the applicable directions / guidelines issued by the Reserve Bank of India **("RBI")** or National Housing Bank ("NHB") and the relevant provisions of the Articles of Association of the Company and all other applicable rules, laws and acts (if any) and subject to all other requisite approvals, permissions and sanctions and subject to such conditions as may be prescribed by any of the concerned authorities (if any), the consent of the Members of the Company be and is hereby accorded to the Board of Directors of the Company (hereinafter referred to as the **"Board"** which term shall be deemed to include any Committee of the Board constituted / to be constituted / reconstituted by the Board to exercise its powers, including the powers conferred upon by this resolution) for borrowing from time to time, as they may think fit for the purpose of the business of the Company, any sum or sums of money not exceeding ₹ 20,000 crore (Rupees Twenty Thousand Crores only) (including the money(ies) already borrowed by the Company) in Indian Rupees or in any equivalent foreign currency(ies) on such terms and conditions as the Board may deem fit, whether the same may be secured or unsecured , whether domestic or international, and if secured, whether by way of charge, by way of mortgage or hypothecation, pledge or otherwise in any way whatsoever, on, over or in any respect of all, or any of the Company's assets and effects or properties including stock in trade (receivables), notwithstanding that the money to be borrowed together with the money(ies) already borrowed by the Company (apart from the temporary loans obtained from the Company's Bankers in the ordinary course of business) and remaining un-discharged at any given time, exceed the aggregate, for the time being, of the paid up share capital of the Company and its free reserves, that is to say, reserves not set apart for any specific purpose, and securities premium provided that the total borrowing limit shall be within the limits prescribed under the RBI Master Directions.

RESOLVED FURTHER THAT the Board be and is hereby authorized for borrowing from time to time, as it may think fit, any sum or sums of money not exceeding ₹ 20,000 crore (Rupees Twenty Thousand Crores only) in Indian Rupees or equivalent thereof in any foreign currency(ies) in aggregate (including the money(ies) already borrowed by the Company) on such terms and conditions as the Board may deem fit, by way of loans, or in any other form whatsoever, or issue of Bonds and/or Non-Convertible Debentures or other Securities or Term Loans, Cash Credit facilities or other facilities in form of debt in the nature of Debentures, Commercial Papers and the like to Bank(s), Financial or other Institution(s), Mutual Fund(s), Non-Resident Indians (NRIs), Foreign Institutional Investors (FIIs) or any other person(s), body(ies) corporate, etc., whether Securities holder of the Company or not.

RESOLVED FURTHER THAT for the purpose of giving effect to the aforesaid resolution, the Board be and is hereby authorized to delegate all or any of the powers conferred on it by or under this resolution to any Committee of Directors of the Company and the Board or Committee of Directors be and is hereby authorized to arrange or finalize the terms and conditions of all such borrowings, from time to time, viz. terms as to interest, repayment, security or otherwise as it may deem fit and to sign and execute all such documents, agreements and writings and do all such acts, deeds and things, as it may in its absolute discretion deem necessary, proper or desirable and to settle any question, difficulty or doubt that may arise in this regard."

8. To approve creation of charges on the assets of the Company under Section 180(1)(a) of the Companies Act, 2013 to secure the borrowings made/to be made under section 180(1)(c) of the Companies Act, 2013.

To consider and if thought fit, to pass, with or without modification(s), the following resolution as a **Special Resolution:**

"RESOLVED THAT in supersession of the earlier resolution passed by the Members of the Company at the 15th Annual General Meeting held on June 20, 2024 and pursuant to the provisions of Section 180(1)(a) and other applicable provisions, if any, of the Companies Act, 2013 and the rules made thereunder (including any statutory modification(s) or re-enactment(s) thereof for the time being in force) and as per the directions/guidelines issued by the Reserve Bank of India **("RBI")** or National Housing Bank **("NHB")** and relevant provisions of the Articles of Association of the Company, and all other applicable rules, laws and

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acts (if any) and subject to all other requisite approvals, permissions and sanctions and subject to such conditions as may be prescribed by any of the concerned authorities (if any), the consent of the Members of the Company be and is hereby accorded to the Board of Directors of the Company (hereinafter referred to as the **"Board"** which term shall be deemed to include any Committee of the Board, constituted/ to be constituted / reconstituted to exercise its powers including the powers conferred by this resolution) to create charge by way of mortgage(s) and/or hypothecation and/or lien or otherwise on any of movable and / or immovable properties / assets of the Company including receivables in the form of book debts, wherever situated both present and future and / or on whole or substantially the whole of the undertaking of the Company or where the Company owns more than one undertaking, of the whole or substantially the whole of any such undertaking(s) wherever situated, on such terms and conditions at such time(s) and in such form and manner, and with such ranking in terms of priority, as the Board in its absolute discretion thinks fit, to or in favor of any bank(s) or Financial or other Institution(s), Mutual Fund(s), Non-Resident Indians (NRIs), Foreign Institutional Investors (FIIs) or Security Trustee(s) or body(ies) corporate or person(s), whether Securities holders of the Company or not, to secure the borrowing facility together with interest, cost, charges and expenses thereon for amount not exceeding ₹ 20,000 crores (Rupees Twenty Thousand Crores only) at any point of time (including the money(ies) already borrowed by the Company).

RESOLVED FURTHER THAT the securities to be created by the Company as aforesaid may rank exclusive/prior/ pari-passu/subsequent with/to the hypothecation/ mortgages/lien and/or charges already created or to be created by the Company as may be agreed to between the concerned parties.

RESOLVED FURTHER THAT for the purpose of giving effect to the aforesaid resolution, the Board of Directors be and is hereby authorized to delegate all or any of the powers conferred on it by or under this resolution to any Committee of Directors of the Company and to do all such acts, deeds and things, as it may in its absolute discretion deem necessary, proper or desirable and to settle any question, difficulty or doubt that may arise in this regard"

By order of the Board of Directors,
For Home First Finance Company India Limited

Sd/-
Shreyans Bachhawat
Company Secretary, Compliance Officer and Head - Legal

Mem No: A26700
Date: May 29, 2026
Place: Mumbai

Registered & Corporate Office Address:
511, Acme Plaza, Andheri Kurla Road,
Andheri (East), Mumbai-400059.
CIN: L65990MH2010PLC240703
Tel: +91 88805 49911

E-mail: corporate@homefirstindia.com
Website: www.homefirstindia.com

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Notes:

1. In accordance with the General Circular No. 14/2020 dated April 8, 2020, General Circular No. 17/2020 dated April 13, 2020, General Circular No. 20/2020 dated May 5, 2020 and subsequent circulars issued in this regard, the latest being General Circular No. 03/2025 dated September 22, 2025 issued by the Ministry of Corporate Affairs (hereinafter collectively referred to as **"MCA circulars"**) and Circular No. SEBI/HO/CFD/CMD1/CIR/P/2020/79 dated May 12, 2020, SEBI/HO/CFD/CMD2/CIR/P/2021/11 dated January 15, 2021, SEBI/HO/CFD/CMD2/CIR/P/2022/62 dated May 13, 2022, SEBI/HO/CFD/PoD-2/P/CIR/2023/4 dated January 5, 2023, SEBI/HO/CFD/CFD-PoD-2/P/CIR/2023/167 dated October 07, 2023, SEBI/HO/CFD/CFDPoD-2/P/CIR/2024/133 dated October 3, 2024 read with Master Circular No. HO/49/14/14(7)2025-CFD-POD2/I/3762/2026 dated January 30, 2026 issued by the Securities and Exchange Board of India (hereinafter collectively referred as **"SEBI Circulars"**) (MCA Circulars and SEBI Circulars are hereinafter collectively referred to as **"the Circulars")** and in compliance with the provisions of the Companies Act, 2013 **("Act")** and the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015 **("Listing Regulations")**, the AGM is being held through Video Conferencing **("VC")** facility / Other Audio Visual Means **("OAVM")** without the physical presence of the Members at a common venue on Wednesday, June 24, 2026 at 12:00 noon (IST). The deemed venue for the AGM shall be the registered office of the Company. Since the AGM will be held through VC, the route map and attendance slip are not annexed to this AGM Notice.

2. Pursuant to the provisions of Section 108 of the Act read with Companies (Management and Administration) Rules, 2014 (as amended) and Regulation 44 of Listing Regulations (as amended), Secretarial Standards on General Meetings (SS-2) issued by the Institute of Company Secretaries of India (as amended) and the Circulars, the Company is holding its AGM through VC/OAVM, without the physical presence of the Members at a common venue. For the said purpose the Company has engaged the services of National Securities Depository Limited **("NSDL")** for conducting AGM through VC/OAVM. Further, NSDL has also been engaged for facilitating e-voting to enable the members to cast their votes electronically using remote e-voting system as well as e-voting during the AGM. The procedure for participating in the meeting through VC/OAVM is explained in the notes below.

3. Annual Report for Financial Year 2025-26 **("FY26")** along with the Notice of the 17th Annual General Meeting **("AGM Notice")** is being sent to the members in electronic form, to the e-mail address registered by them with the Company/Depositories. The AGM Notice and Annual report for the FY26 shall also be placed on the website of the Company i.e. www.homefirstindia.com and the website of National Securities Depository Limited i.e. www.evoting.nsdl.com and at the relevant sections of the websites of the stock exchanges on which the shares of the Company are listed i.e. BSE Limited. (www.bseindia.com) and National Stock Exchange of India Ltd. (www.nseindia.com).The physical copy of the Annual Report will be sent to the members based on the specific request received at corporate@homefirstindia.com.

4. The Explanatory Statement pursuant to Section 102 of the Act setting out material facts relating to the special businesses to be transacted at the AGM is annexed hereto. As per the provisions of Clause 3.A.II of the General Circular No. 20/2020 dated May 5, 2020, the Board of Directors at its meeting held on May 6, 2026 has considered and decided to include Items No. 5 to 8 of the accompanying Notice as Special Business in AGM in view of the business requirements and considered to be unavoidable in nature.

5. All documents referred to in the AGM Notice will be available for electronic inspection without any fee by the members from the date of circulation of this AGM Notice up to the date of AGM, i.e. Wednesday, June 24, 2026. Members seeking to inspect such documents can send an email to corporate@homefirstindia.com.

6. The Register of Directors and Key Managerial Personnel and their shareholding, maintained under Section 170 of the Act, the Register of Contracts or Arrangements in which the directors are interested, maintained under Section 189 of the Act as applicable and the Certificate from the Secretarial Auditor pursuant to Regulation 13 of the SEBI (Share Based Employee Benefits and Sweat Equity) Regulations, 2021, will be available electronically for inspection by the members during the AGM. Further,

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members seeking any information with regard to the accounts or any other matter to be placed at the AGM, are requested to write to the Company from their registered email address, mentioning their name, DP ID and Client ID number and mobile number, at least 48 hours in advance before the commencement of the Meeting i.e. latest by Monday, June 22, 2026, 12:00 noon IST through email to corporate@homefirstindia.com. Such questions shall be taken up during the meeting or replied by the Company suitably. The Company reserves the right to restrict the number of questions time depending upon the availability of time at the AGM.

7. The attendance of the Members attending the AGM through VC/OAVM will be counted for the purpose of reckoning the quorum under Section 103 of the Act. Pursuant to Circulars, since the physical attendance of Members has been dispensed with, there is no requirement of appointment of proxies. Accordingly, the facility of appointing proxies by Members under Section 105 of the Act will not be available for the AGM and hence the Proxy form is not annexed to the AGM Notice. However, in pursuance of Section 113 of the Act, representatives of the Corporate Members may be appointed for the purpose of voting through remote e-voting, participation in the AGM through VC/OAVM and e-voting during the AGM. Corporate Members intending to appoint their representatives are requested to send a scanned certified copy of the board resolution authorizing their representatives to corporate@homefirstindia.com with a copy marked to aashish@aashishbhatt.in and evoting@nsdl.co.in.

8. The AGM Notice is being sent to all the Members/ Beneficiaries electronically, whose names appear on the Register of Members/Beneficial owner and Record of Depositories as on Friday, May 22, 2026 in accordance with the provisions of the Act read with Rules made thereunder and the Circulars.

9. The Company has fixed Friday, May 29, 2026 as the **"Record Date"** for determining entitlement of Members to final dividend for the financial year ended March 31, 2026, if approved at the AGM.

10. If the final dividend, as recommended by the Board of Directors, is approved at the AGM, payment of such dividend subject to deduction of tax at source will be made on or before Thursday, July 23, 2026 to all Beneficial Owners in respect of shares held in dematerialized form as per the data as may be made available by the NSDL and the Central Depository Services (India) Limited **("CDSL")**, collectively "Depositories", as of end of day on Friday, May 29, 2026.

11. In order to promote optimum utilization of natural resources responsibly, we request members to update their contact details including e-mail address, mandates, nominations, power of attorney, Company details covering name of the Company and branch details, Company account number, MICR code, IFSC code, etc. with their depository participants to enable the Company to send all the communications electronically including Annual Report, Notices, Circulars, etc.

Further, it may be noted that dividends shall be paid only in electronic mode and no dividend warrant/cheques shall be issued. Shareholders are requested to update their bank account details with their respective Depository Participants ("DPs") to enable credit of dividend.

12. Pursuant to the Finance Act, 2020, dividend income will be taxable in the hands of members w.e.f. April 1, 2020 and the Company is required to deduct tax at source from dividend paid to members at the prescribed rates. For the prescribed rates for various categories, please refer to the Finance Act, 2020 and the amendments thereof. The members are requested to update their valid PAN with the DPs.

Resident individual member with PAN and whose income does not exceed maximum amount not chargeable to tax or who is not liable to pay income tax, as the case may be, can submit a yearly declaration in Form No. 121, to avail the benefit of non-deduction of tax at source by e-mail to corporate@homefirstindia.com by 11:59 p.m. on Wednesday, June 10, 2026. Members are requested to note that in case their PAN is not registered, or having invalid PAN, the tax will be deducted at a higher rate prescribed under section 397 of the Income-tax Act, 2025 as applicable.

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Non-resident members [including Foreign Institutional Investors **("FIIs")** /Foreign Portfolio Investors **("FPIs")**] can avail beneficial rates under tax treaty between India and their country of tax residence, subject to providing necessary documents i.e. No Permanent Establishment and Beneficial Ownership Declaration, Tax Residency Certificate, Form 41, any other document which may be required to avail the tax treaty benefits. For this purpose, the member may submit the above documents (PDF/ JPG Format) by e-mail to corporate@homefirstindia.com. The aforesaid declarations and documents need to be submitted by the members by 11:59 p.m. on Wednesday, June 10, 2026.

13. Members are requested to note that, Dividends if not encashed for a period of 7 years from the date of transfer to Unpaid Dividend Account of the Company, are liable to be transferred to the Investor Education and Protection Fund **("IEPF").** Further, all the shares in respect of which dividend has remained unclaimed for 7 consecutive years or more from the date of transfer to unpaid dividend account shall also be transferred to IEPF Authority. In view of this, Members are requested to claim their dividends from the Company, within the stipulated timeline. The Members, whose unclaimed dividends/shares have been transferred to IEPF, may claim the same by making an online application to the IEPF Authority.

14. The facility for electronic voting system, shall also be made available during the AGM. The Members attending the AGM, who have not cast their votes through remote e-voting and are otherwise not barred from doing so, shall be able to exercise their voting rights during the AGM. The Members who have already casted their votes through remote e-voting may attend the meeting but shall not be entitled to cast their votes again at the AGM.

15. Once the vote on a resolution is cast by the member, the member shall not be allowed to change it subsequently. There will be one e-vote for every Client ID irrespective of the number of joint holders. Voting Rights shall be reckoned on the paid-up value of shares registered in the name of the Members as on the cut-off date and any person who is not a member as on that date should treat this AGM Notice for information purposes only. In case of joint holders, the Member whose name appears as the first holder in the order of names as per the Register of Members/Beneficial owner of the Company as on the cut-off date will be entitled to vote during the AGM.

16. SEBI vide Circular Nos. SEBI/HO/OIAE/OIAE_IAD-1/P/CIR/2023/131 dated July 31, 2023, and SEBI/HO/OIAE/OIAE_IAD-1/P/CIR/2023/135 dated August 4, 2023, read with Master Circular No. SEBI/HO/OIAE/OIAE_IAD-3/P/CIR/2023/195 dated July 31, 2023 (updated as on December 28, 2023), has established a common Securities Market Approach for Resolution through Online Dispute Resolution Portal **("SMART ODR Portal")** for resolution of disputes arising in the Indian Securities Market. Pursuant to above-mentioned circulars, post exhausting the option to resolve their grievances with the RTA/ Company directly and through existing SCORES platform, the investors can initiate dispute resolution through the ODR Portal (https://smartodr.in/login) and the same can also be accessed through the Company's website.

17. Members may join the AGM through VC/OAVM facility by following the procedure as mentioned below which shall be kept open for the Members from 11:30 A.M. (IST) i.e. 30 minutes before the time scheduled to start the AGM and the Company may close the window for joining the VC/OAVM facility, 15 minutes after the scheduled time to start the AGM. The facility of participation at the AGM through VC/OAVM will be made available for at least 1000 Members on first come first served basis. However, the said restriction on account of first come first served principle shall not be applicable on large members (members holding 2% or more shareholding), promoters, institutional investors, Directors, Key Managerial Personnel, the Chairpersons of the Audit Committee, Nomination and Remuneration Committee and Stakeholders' Relationship Committee, Auditors, etc.

18. Members who would like to express their views or ask questions during the AGM may register themselves as speaker by sending their request from their registered email address mentioning their name, DP ID and client ID, No. of shares, PAN, mobile number at corporate@homefirstindia.com on or before 11:59 pm Wednesday, June 17, 2026. Only those Members who have registered themselves as a speaker will be allowed to express their views, ask questions during the AGM. The Company reserves the right to restrict the number of speakers as

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well as the speaking time depending upon the availability of time at the AGM.

19. The Board of Directors have appointed Mr. Aashish K. Bhatt, Proprietor of M/s. Aashish K. Bhatt & associates (M. No: 19639 and COP No. 7023) as the Scrutiniser to scrutinize the remote e-voting process and tab-voting through electronic voting system at the AGM in a fair and transparent manner.

20. The Scrutiniser will, after the conclusion of e-voting at the AGM, scrutinise the votes cast at the AGM and votes cast through remote e-voting, make a consolidated Scrutiniser's Report and submit the same to the Chairman or a person authorised by him in writing, who shall countersign the same and declare voting results (consolidated) within two working days from the conclusion of the AGM. The voting results along with the consolidated Scrutiniser's Report, will be placed on the website of the Company (www.homefirstindia.com) and the website of NSDL (www.nsdl.com) immediately after the declaration of result by the Chairman and in his absence, any Director/officer of the Company authorised by the Chairman and the same will also be communicated to BSE Limited and the National Stock Exchange of India Limited. It shall also be displayed on the Notice Board at the Registered Office of the Company.

21. The Securities and Exchange Board of India has mandated the submission of the Permanent Account Number (PAN) by every participant in the securities market. Members holding shares in electronic form are, therefore, requested to submit the PAN details to their Depository Participants with whom they are maintaining their demat accounts.

22. Members are requested to notify the change in address if any, with pin code numbers immediately to the RTA i.e. Kfin Technologies Limited, Selenium Building, Tower B, Plot No 31 & 32, Financial District, Nanakramguda, Hyderabad, Telangana- 500 0032. Tel No: +91 40- 6716 2222, Website: www.kfintech.com.

23. Non-Resident Indian Members are requested to inform RTA of the Company any change in their residential status on return to India for permanent settlement, particulars of their Company account maintained in India with complete name, branch account type, account number and address of Company with pin code number, if not furnished earlier. Members may contact their respective Depository Participants for availing this facility.

24. Any person, who acquires shares of the Company and becomes Member of the Company after the Company sends the AGM Notice by e-mail and holds shares as on the cut-off date i.e. on Wednesday, June 17, 2026, may obtain the User ID and password by sending a request to e-mail address evoting@nsdl.com However, if he/she is already registered with NSDL for remote e-voting then he/she can use his/her existing user ID and password for casting his/her vote. In the case of forgot password, the same can be reset by using "Forgot User Details/Password?" option available on www.evoting.nsdl.com.

25. In case of any queries, you may refer the Frequently Asked Questions (FAQs) for Members and e-voting user manual for Members available at the download section of www.evoting.nsdl.com or call on toll free no.: 022 - 4886 7000 or send a request to Ms. Pallavi Matre, Sr. Manager at evoting@nsdl.co.in who will also address the grievances connected with the voting by electronic means. Members may also write to the Company Secretary at the Company's e-mail address corporate@homefirstindia.com.

THE INSTRUCTIONS FOR MEMBERS FOR REMOTE E-VOTING AND JOINING GENERAL MEETING ARE AS UNDER:-

The remote e-voting period begins on Friday, June 19, 2026 at 09:00 A.M. (IST) and ends on Tuesday, June 23, 2026 at 05:00 P.M. (IST) The remote e-voting module shall be disabled by NSDL for voting thereafter. The Members, whose names appear in the Register of Members / Beneficial Owners as on the record date (cut-off date) i.e. Wednesday, June 17, 2026, may cast their vote electronically. The voting right of members shall be in proportion to their share in the paid-up equity share capital of the Company as on the cut-off date, being Wednesday, June 17, 2026.

How do I vote electronically using NSDL e-Voting system?

The way to vote electronically on NSDL e-Voting system consists of "Two Steps" which are mentioned below:

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Step 1: Access to NSDL e-Voting system

A) Login method for e-Voting for Individual members holding securities in demat mode:
In terms of SEBI circular dated December 9, 2020 on e-Voting facility provided by Listed Companies, Individual shareholders holding securities in demat mode are allowed to vote through their demat account maintained with Depositories and Depository Participants. Shareholders are advised to update their mobile number and email Id in their demat accounts in order to access e-Voting facility.

Login method for Individual shareholders holding securities in demat mode is given below:

Type of shareholders	Login Method
Individual Shareholders holding securities in demat mode with NSDL.	1. For OTP based login you can click on https://eservices.nsdl.com/SecureWeb/evoting/evotinglogin.jsp. You will have to enter your 8-digit DP ID,8-digit Client Id, PAN No., Verification code and generate OTP. Enter the OTP received on registered email id/ mobile number and click on login. After successful authentication, you will be redirected to NSDL Depository site wherein you can see e-Voting page. Click on company name or **e-Voting service provider i.e. NSDL** and you will be redirected to e-Voting website of NSDL for casting your vote during the remote e-Voting period or joining virtual meeting & voting during the meeting. 2. Existing **IDeAS** user can visit the e-Services website of NSDL Viz. https://eservices.nsdl.com either on a Personal Computer or on a mobile. On the e-Services home page click on the **"Beneficial Owner"** icon under **"Login"** which is available under **'IDeAS'** section , this will prompt you to enter your existing User ID and Password. After successful authentication, you will be able to see e-Voting services under Value added services. Click on **"Access to e-Voting"** under e-Voting services and you will be able to see e-Voting page. Click on company name or **e-Voting service provider i.e. NSDL** and you will be re-directed to e-Voting website of NSDL for casting your vote during the remote e-Voting period or joining virtual meeting & voting during the meeting. 3. If you are not registered for IDeAS e-Services, option to register is available at https://eservices.nsdl.com. Select **"Register Online for IDeAS Portal"** or click at https://eservices.nsdl.com/SecureWeb/IdeasDirectReg.jsp 4. Visit the e-Voting website of NSDL. Open web browser by typing the following URL: https://www.evoting.nsdl.com/ either on a Personal Computer or on a mobile. Once the home

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Type of shareholders	Login Method
Individual Shareholders holding securities in demat mode with NSDL.	page of e-Voting system is launched, click on the icon "Login" which is available under 'Shareholder/Member' section. A new screen will open. You will have to enter your User ID (i.e. your sixteen digit demat account number hold with NSDL), Password/OTP and a Verification Code as shown on the screen. After successful authentication, you will be redirected to NSDL Depository site wherein you can see e-Voting page. Click on company name or e-Voting service provider i.e. NSDL and you will be redirected to e-Voting website of NSDL for casting your vote during the remote e-Voting period or joining virtual meeting & voting during the meeting. 5. Shareholders/Members can also download NSDL Mobile App **"NSDL Speede"** facility by scanning the QR code mentioned below for seamless voting experience. NSDL Mobile App is available on App Store Google Play  
Individual Shareholders holding securities in demat mode with CDSL	1. Users who have opted for CDSL Easi / Easiest facility, can login through their existing user id and password. Option will be made available to reach e-Voting page without any further authentication. The users to login Easi / Easiest are requested to visit CDSL website www.cdslindia.com and click on login icon & New System Myeasi Tab and then user your existing my easi username & password. 2. After successful login the Easi / Easiest user will be able to see the e-Voting option for eligible companies where the evoting is in progress as per the information provided by company. On clicking the evoting option, the user will be able to see e-Voting page of the e-Voting service provider for casting your vote during the remote e-Voting period or joining virtual meeting & voting

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Individual Shareholders holding securities in demat mode with CDSL	during the meeting. Additionally, there is also links provided to access the system of all e-Voting Service Providers, so that the user can visit the e-Voting service providers' website directly. 3. If the user is not registered for Easi/Easiest, option to register is available at CDSL website www.cdslindia.com and click on login & New System Myeasi Tab and then click on registration option. 4. Alternatively, the user can directly access e-Voting page by providing Demat Account Number and PAN No. from a e-Voting link available on www.cdslindia.com home page. The system will authenticate the user by sending OTP on registered Mobile & Email as recorded in the Demat Account. After successful authentication, user will be able to see the e-Voting option where the evoting is in progress and also able to directly access the system of all e-Voting Service Providers.
Individual Shareholders (holding securities in demat mode) login through their depository participants	You can also login using the login credentials of your demat account through your Depository Participant registered with NSDL/CDSL for e-Voting facility. upon logging in, you will be able to see e-Voting option. Click on e-Voting option, you will be redirected to NSDL/CDSL Depository site after successful authentication, wherein you can see e-Voting feature. Click on company name or e-Voting service provider i.e. NSDL and you will be redirected to e-Voting website of NSDL for casting your vote during the remote e-Voting period or joining virtual meeting & voting during the meeting.

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Important note: Members who are unable to retrieve User ID/ Password are advised to use Forget User ID and Forget Password option available at abovementioned website.

Helpdesk for Individual Members holding securities in demat mode for any technical issues related to login through Depository i.e. NSDL and CDSL:

Login type	Helpdesk details
Individual Shareholders holding securities in demat mode with NSDL	Members facing any technical issue in login can contact NSDL helpdesk by sending a request at evoting@nsdl.com or call at 022 - 4886 7000
Individual Shareholders holding securities in demat mode with CDSL	Members facing any technical issue in login can contact CDSL helpdesk by sending a request at helpdesk.evoting@cdslindia.com or contact at toll free no. 1800-21-09911

B) Login Method for members other than Individual members holding securities in demat mode.

1. Visit the e-Voting website of NSDL. Open web browser by typing the following www.evoting.nsdl.com either on a Personal Computer or on a mobile.

2. Once the home page of e-Voting system is launched, click on the icon "Login" which is available under 'Member/ Member' section.

3. A new screen will open. You will have to enter your User ID, your Password/OTP and a Verification Code as shown on the screen.

Alternatively, if you are registered for NSDL eservices i.e. IDEAS, you can log-in at https://eservices.nsdl.com/ with your existing IDEAS login. Once you log-in to NSDL eservices after using your log-in credentials, click on e-Voting and you can proceed to Step 2 i.e. Cast your vote electronically.

4. Your User ID details are given below:

Manner of holding shares i.e. Demat (NSDL or CDSL)	Your User ID is:
a) For Members who hold shares in demat account with NSDL.	8 Character DP ID followed by 8 Digit Client ID For example if your DP ID is IN300*** and Client ID is 12****** then your user ID is IN300***12******.

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Manner of holding shares i.e. Demat (NSDL or CDSL)	Your User ID is:
b) For Members who hold shares in demat account with CDSL.	16 Digit Beneficiary ID For example if your Beneficiary ID is 12********** then your user ID is 12**********
c) For Members holding shares in Physical Form.	EVEN Number followed by Folio Number registered with the company For example if folio number is 001*** and EVEN is 101456 then user ID is 101456001***

5. Password details for members other than Individual members are given below:

a. If you are already registered for e-Voting, then you can user your existing password to login and cast your vote.

b. If you are using NSDL e-Voting system for the first time, you will need to retrieve the 'initial password' which was communicated to you. Once you retrieve your 'initial password', you need to enter the 'initial password' and the system will force you to change your password.

c. How to retrieve your 'initial password'?

(i) If your email ID is registered in your demat account or with the company, your 'initial password' is communicated to you on your email ID. Trace the email sent to you from NSDL from your mailbox. Open the email and open the attachment i.e. a .pdf file. Open the .pdf file. The password to open the .pdf file is your 8-digit client ID for NSDL account, last 8 digits of client ID for CDSL account. The .pdf file contains your 'User ID' and your 'initial password'.

(ii) If your email ID is not registered, please follow steps mentioned below in **process for those members whose email ids are not registered.**

6. If you are unable to retrieve or have not received the "Initial password" or have forgotten your password:

a) Click on "**Forgot User Details/Password?"**(If you are holding shares in your demat account with NSDL or CDSL) option available on www.evoting.nsdl.com.
b) If you are still unable to get the password by aforesaid option, you can send a request at evoting@nsdl.co.in mentioning your demat account number, your PAN, your name and your registered address etc.
c) Members can also use the OTP (One Time Password) based login for casting the votes on the e-Voting system of NSDL.

7. After entering your password, tick on Agree to "Terms and Conditions" by selecting on the check box.

8. Now, you will have to click on "Login" button.

9. After you click on the "Login" button, Home page of e-Voting will open.

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Step 2: Cast your vote electronically and join General Meeting on NSDL e-Voting system.
How to cast your vote electronically and join General Meeting on NSDL e-Voting system?

1. After successful login at Step 1, you will be able to see all the companies "EVEN" in which you are holding shares and whose voting cycle and General Meeting is in active status.

2. Select "EVEN - 139465" of company for which you wish to cast your vote during the remote e-Voting period and casting your vote during the General Meeting. For joining virtual meeting, you need to click on "VC/OAVM" link placed under "Join Meeting".

3. Now you are ready for e-Voting as the Voting page opens.

4. Cast your vote by selecting appropriate options i.e. assent or dissent, verify/modify the number of shares for which you wish to cast your vote and click on "Submit" and also "Confirm" when prompted.

5. Upon confirmation, the message "Vote cast successfully" will be displayed.
6. You can also take the printout of the votes cast by you by clicking on the print option on the confirmation page.
7. Once you confirm your vote on the resolution, you will not be allowed to modify your vote.

General Guidelines for members

1. Institutional members (i.e. other than individuals, HUF, NRI etc.) are required to send scanned copy (PDF/ JPG Format) of the relevant Board Resolution/ Authority letter etc. with attested specimen signature of the duly authorized signatory(ies) who are authorized to vote, to the Scrutinizer by e-mail to aashish@aashishbhatt.in with a copy marked to evoting@nsdl.com Institutional members (i.e. other than individuals, HUF, NRI etc.) can also upload their Board Resolution / Power of Attorney / Authority Letter etc. by clicking on "Upload Board Resolution / Authority Letter" displayed under "e-Voting" tab in their login.

2. It is strongly recommended not to share your password with any other person and take utmost care to keep your password confidential. Login to the e-voting website will be disabled upon five unsuccessful attempts to key in the correct password. In such an event, you will need to go through the "Forgot User Details/Password?" option available on www.evoting.nsdl.com to reset the password.

3. In case of any queries, you may refer the Frequently Asked Questions (FAQs) for Members and e-voting user manual for Members available at the download section of www.evoting.nsdl.com or call on toll free no.: 022 - 4886 7000 or send a request to Ms. Pallavi Matre, Sr. Manager at evoting@nsdl.com

Process for those Members whose email ids are not registered with the depositories for procuring user id and password and registration of e mail ids for e-voting for the resolutions set out in this Notice:

1. For shares held in demat mode, please provide DPID-CLID (16-digit DPID + CLID or 16 digit beneficiary ID), Name, client master or copy of Consolidated Account statement, PAN (self-attested scanned copy of PAN card), AADHAR (self-attested scanned copy of Aadhar Card) to corporate@homefirstindia.com. If you are an Individual member holding securities in demat mode, you are requested to refer to the login method explained at **step 1 (A)** above i.e. **Login method for e-Voting and joining virtual meeting for Individual members holding securities in demat mode.**

2. Alternatively, member/members may send a request to evoting@nsdl.co.in for procuring user id and password for e-voting by providing above mentioned documents.

3. In terms of SEBI circular dated December 9, 2020 on e-Voting facility provided by Listed Companies, Individual members holding securities in demat mode are allowed

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to vote through their demat account maintained with Depositories and Depository Participants. Members are required to update their mobile number and email ID correctly in their demat account in order to access e-Voting facility.

Instructions for members for e-voting on the day of the AGM are as under:-

1. The procedure for e-Voting on the day of the AGM is same as the instructions mentioned above for remote e-voting.

2. Only those Members/ shareholders, who will be present in the AGM through VC/OAVM facility and have not casted their vote on the Resolutions through remote e-Voting and are otherwise not barred from doing so, shall be eligible to vote through e-Voting system in the AGM.

3. Members who have voted through Remote e-Voting will be eligible to attend the AGM. However, they will not be eligible to vote at the AGM.

4. The details of the person who may be contacted for any grievances connected with the facility for e-Voting on the day of the AGM shall be the same person mentioned for Remote e-voting.

Instructions for members for attending the AGM through VC/OAVM are as under:

1. Member will be provided with a facility to attend the AGM through VC/OAVM through the NSDL e-Voting system. Members may access by following the steps mentioned above for **Access to NSDL e-Voting system.** After successful login, you can see link of "VC/OAVM" placed under **"Join meeting"** menu against company name. You are requested to click on VC/OAVM link placed under Join Meeting menu. The link for VC/OAVM will be available in Member/Member login where the EVEN of Company will be displayed. Please note that the members who do not have the User ID and Password for e-Voting or have forgotten the User ID and Password may retrieve the same by following the remote e-Voting instructions mentioned in the AGM Notice to avoid last minute rush.

2. Facility of joining the AGM through VC/OAVM shall open 30 minutes before the time scheduled for the AGM.

3. The procedure for e-Voting on the day of the AGM is same as the instructions mentioned above for remote e-voting.

4. The details of the person who may be contacted for any grievances connected with the facility for e-Voting on the day of the AGM shall be the same person mentioned for Remote e-voting.

5. Members are encouraged to join the Meeting through Laptops for better experience.

6. Further Members will be required to allow Camera and use Internet with a good speed to avoid any disturbance during the meeting.

7. Please note that Participants Connecting from Mobile Devices or Tablets or through Laptop connecting via Mobile Hotspot may experience Audio/Video loss due to Fluctuation in their respective network. It is therefore recommended to use Stable Wi-Fi or LAN Connection to mitigate any kind of aforesaid glitches.

8. Members who would like to express their views/have questions may send their questions in advance mentioning their name demat account number/folio number, email id, mobile number at corporate@homefirstindia.com. The same will be replied by the company suitably.

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Background note to Item No. 3

Pursuant to the provisions of Section 152(6) and 152(7) of the Companies Act, 2013 **("Act")** and in accordance with the Articles of Association of the Company, Mr. Divya Sehgal (DIN: 01775308), Nominee Director of True North Fund V LLP, who was appointed on June 10, 2017, is liable to retire by rotation at this Annual General Meeting **("AGM")**

Further the Company has received an intimation from True North Fund V LLP, promoter of the Company, vide their letter dated April 20, 2026, conveying that Mr. Divya Sehgal, Director liable to retire by rotation, had not offered himself for reappointment and confirmed that it does not propose to nominate any other person to fill the resultant vacancy. Accordingly, Mr. Divya Sehgal shall retire from the directorship of the Company at the conclusion of this AGM.

The Board of Directors of the Company at its meeting held on May 6, 2026, placed on record its sincere appreciation for the guidance, insights and contributions made by Divya Sehgal during his tenure as a Nominee Director, particularly in shaping the growth strategy of the Company. Accordingly, in view of his retirement, the Board does not propose to fill the vacancy caused by his cessation at this AGM.

Further, as per Section 152(7) of the Companies Act, 2013, the members shall expressly resolve not to fill the vacancy caused by such retirement at the AGM or any adjournment thereof.

The Board recommends the Ordinary Resolution as set out in item no. 3 for approval of the Members of the Company.

Except Mr. Sehgal, being the Director retiring by rotation is interested and his relatives may be deemed to be interested in the said resolution.

Except as stated above, none of the other Directors /Key Managerial Personnel of the Company and their relatives is/are in any way, concerned or interested (financially or otherwise) in the resolution set out at Item No. 3 of the AGM Notice.

EXPLANATORY STATEMENT PURSUANT TO SECTION 102 OF THE COMPANIES ACT, 2013 (THE "ACT")

The following Explanatory Statement, pursuant to Section 102 of the Act, sets out all material facts relating to the business mentioned in the accompanying AGM Notice dated May 29, 2026:

Item No. 4

The Members of the Company are informed that pursuant to RBI Notification No. RBI/2021-22/25 dated April 27, 2021 pertaining to Guidelines for Appointment of Statutory Central Auditors (SCAs)/Statutory Auditors (SAs) of Commercial Banks (excluding RRBs), UCBs and NBFCs (including HFCs) issued by RBI ("RBI Guidelines"), the NBFCs with an asset size of ₹ 15,000 Crore or more are required to appoint Joint Statutory Auditors. Based on the Audited Financial Statements of the Company for the financial year ended March 31, 2026, the Company has exceeded threshold and has an asset size of ₹15,166.5 Crores and is therefore obligated to comply with the requirement of appointment of Joint Statutory Auditors. The Joint Statutory Auditor will be appointed for a continuous period of 3 (Three) years, subject to the firm satisfying the eligibility norms on a continuous basis.

In this regard, the Audit Committee and the Board of Directors of the Company ("Board"), at their respective meetings held on May 6, 2026, considering various factors such as industry experience, expertise, competency and independence of the audit firm and on the basis of the recommendation of the Audit Committee, approved and proposed to the Members of the Company the appointment of M/s. Batliboi & Purohit, Chartered Accountants (Firm Registration No. 101048W), as the Joint Statutory Auditors of the Company, along with the existing Statutory Auditors, BSR & Co. LLP, Chartered Accountants (Firm Registration No. 101248W/W-100022). M/s. Batliboi & Purohit shall hold office for a period of three consecutive years commencing from the conclusion of the 17th Annual General Meeting ("AGM") to be held in the year 2026 until the conclusion of the 20th AGM to be held in the year 2029, subject to their continued fulfilment of the applicable eligibility norms each year.

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Brief Profile/credentials M/s. Batliboi & Purohit:

Batliboi & Purohit, Chartered Accountants, is a well-reputed Firm established in the year 1907 and is registered with the Institute of Chartered Accountants of India (ICAI). The Firm has been in practice for over 118 years in India. The Firm has its head office in Mumbai and has branches in New Delhi, Navi Mumbai & Thane. The Firm renders Assurance, Tax & Regulatory and Advisory services to clients across various sectors. The Firm currently has 15 partners. The Firm has extensive experience in statutory audits of large private sector banks, public sector banks, foreign banks, NBFCs, Insurance Companies, Manufacturing Companies, etc and is empanelled with various regulatory authorities in India. The Firm holds a valid Peer Review Certificate issued by the ICAI.

M/s. Batliboi & Purohit, Chartered Accountants has consented to the said appointment and confirmed that their appointment, if made, would be within the limits specified under section 141(3)(g) of the Act. They have also confirmed that they meet the criteria for independence, eligibility and qualification for appointment and has provided their Eligibility letter as prescribed in Section 139 and 141 of the Act and the RBI Guidelines.

The proposed remuneration to be paid to M/s. Batliboi & Purohit, Chartered Accountants during their tenure as Joint Statutory Auditors would be ₹ 40 Lakhs (Rupees Forty Lakhs only) p.a. for FY27 and remuneration for the remaining tenure shall be as mutually agreed between the Board of Directors and Statutory Auditors. The said remuneration excludes applicable taxes and out of pocket expenses. Since the Joint Statutory Auditor is being appointed for the first time, its remuneration is not directly comparable. Hence, there is no material change in the overall proposed remuneration structure can be determined.

The Board recommends the ordinary resolution for appointment of M/s. Batliboi & Purohit, Chartered Accountants as Joint Statutory Auditors of the Company including payment of audit fees to them as set out at Item No. 4 of this AGM Notice, for the approval of the Members.

None of the Directors, Key Managerial Personnel of the Company and their relatives are concerned or interested (financially or otherwise), in this resolution as set out at Item no. 4 of this AGM Notice.

Item No. 5 and 6

Ms. Geeta Dutta Goel (DIN: 02277155) and Mr. Anuj Srivastava (DIN:09369327) were appointed as Non-Executive, Independent Director of the Company in terms of Sections 149, 152, 178 read with Schedule IV and other applicable provisions of the Companies Act, 2013 **(the "Act")** to hold office for a period of 5 (five) consecutive years with effect from November 01, 2021. Their first term of five consecutive years as an Independent Director shall expire on October 31, 2026.

Accordingly, the Nomination and Remuneration Committee after taking into account the report of the performance evaluation and considering the meritorious services and significant contribution made by Ms. Geeta Dutta Goel (DIN: 02277155) and Mr. Anuj Srivastava (DIN:09369327) in the Company, recommended their reappointment as a Non-Executive Independent Director of the Company, not liable to retire by rotation, for a second term of five consecutive years commencing from November 01, 2026, which was duly approved by the Board at their meeting held on May 6, 2026 subject to approval of the Members of the Company.

Ms. Goel and Mr. Srivastava have confirmed that they are not disqualified from being appointed as Director under Section 164 of the Act and that they both satisfies the criteria of 'fit and proper' as prescribed by the Reserve Bank of India (Housing Finance Companies) Directions, 2025, and under Regulation 7(2)(g) and code of conduct as per Reg 26 of IRDAI (Registration of Corporate Agents) Regulations, 2015, as amended from time to time and has given their declaration in this regard. They have also confirmed that they are not debarred from holding the office of Director by virtue of any SEBI Order or any other such authority and pursuant to circulars dated June 20, 2018 issued by BSE Limited and the National Stock Exchange of India Limited pertaining to enforcement of SEBI Orders regarding appointment of Directors by listed companies, and have given their consent in writing in form DIR-2 to act as Director of the Company as required under the Act and the rules made thereunder.

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The Company has also received necessary declarations from them confirming that they continue to meet the criteria of independence as prescribed under sub-section (6) of Section 149 of the Act and Regulation 17(10)(b) of the Listing Regulations. The Company has received a notice in writing pursuant to Section 160 of the Act from a Member signifying his intention to propose the candidature of Ms. Geeta Dutta Goel (DIN: 02277155) and Mr. Anuj Srivastava (DIN:09369327) for the office of Independent Director of the Company. Further, they are also registered with the Indian Institute of Corporate Affairs as per Rule 6 of Companies (Appointment and Qualifications of Directors) Rules, 2014.

In terms of Regulation 25(8) of the Listing Regulations, Ms. Goel and Mr. Srivastava have confirmed that they are not aware of any circumstance or situation, which exists or may be reasonably anticipated, that could impair or impact their ability to discharge their duties with an objective independent judgement and without any external influence.

In the opinion of the Board, Ms. Goel and Mr. Srivastava are persons of integrity and possesses relevant expertise and experience and continues to fulfil the conditions as specified in the Act and the Rules framed thereunder and the SEBI Listing Regulations for re-appointment as Independent Directors and they are independent of the Management. A copy of the draft letter for appointment of Ms. Goel and Mr. Srivastava as a Non-Executive Independent Director setting out the terms and conditions would be available for electronical inspection without any fee by the members on any working day upto the date of AGM.

Pursuant to the ordinary resolution passed by the Members in their extra-ordinary general meeting held on November 19, 2020, the Board of the Company are authorized to make the payment of remuneration by way of commission to any one or more Non-Executive Directors (including Independent Directors) of the Company, both present and future provided that the total remuneration payable by way of commission to them during any financial year shall not exceed one percent of the net profits of the Company for that financial year computed in the manner prescribed under Section 198 of the Companies, Act, 2013, in addition to ₹1 lakh paid as sitting fees per meeting under Section 197 (5) of the Act and other reimbursement of expenses for attending meetings of the Board or Committees thereof, in such manner, as the Board may, from time to time, determine.

Ms. Geeta Dutta Goel (DIN: 02277155) and Mr. Anuj Srivastava (DIN:09369327) may be eligible for remuneration by way of commission which will be based on their performance and evaluation conducted by the Board which is subsequently linked to the performance and profit of the Company subject to the limit as stipulated by the Shareholders.

Brief profile of Ms. Geeta Dutta Goel (DIN: 02277155)

Ms. Geeta Dutta Goel holds a bachelor's degree in commerce from University of Delhi and a post graduate diploma in management from the Indian Institute of Management, Ahmedabad.

She was associated with Michael & Susan Dell Foundation India LLP ("Dell Foundation") since 2008, and served as its Managing Director from February 2018 to January 2025 and as head of growth initiatives till October 2025.

She is currently Director on the Boards of Finreach Solutions Private Limited, Niva Bupa Health Insurance Company Limited, Equitas Small Finance Bank Limited, Eldeco Infrastructure and Properties Limited, Translation Endeavors Private Limited and CIIE Initiatives.

Ms. Goel has chaired India's Impact Investors Council from 2017 to 2019 and has contributed to various taskforces focused on Responsible Finance with the World Bank's Consultative Group to Alleviate Poverty.

Brief profile of Mr. Anuj Srivastava (DIN: 09369327)

Mr. Anuj Srivastava holds a bachelor's of technology degree in material & metallurgical engineering from Indian Institute of Technology, Kanpur and has attended the MBA Programme at London Business School.

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Previously, he was associated with Encentuate Inc as senior product marketing manager. He has also worked at Google, where he led product marketing and growth initiatives for the e-Commerce, Shopping, and Mobile Payments teams, as well as for Google Local/Maps and online advertising products like AdSense.

Currently, he is associated with LivSpace Pte. Ltd. as its Co-founder and Director. He has been awarded with the Accomplished Entrepreneur Award by the Institute of Innovation and Entrepreneurship, London Business School.

Information as required under 36(3) of the SEBI Listing Regulations and Clause 1.2.5 of the Secretarial Standard on General Meetings (SS- 2) is annexed to this AGM Notice as **Annexure A.**

After taking into consideration the recommendation of Nomination & Remuneration Committee and based on the skills, experience, knowledge, and report of performance evaluation of Ms. Goel and Mr. Srivastava, the Board of the Directors recommends the resolution set out at Item Nos. 5 and 6 of the accompanying AGM Notice for your approval as a special resolution.

Ms. Goel and Mr. Srivastava, being appointees are interested and their relatives may be deemed to be interested in the said resolution.

Except as stated above, none of the other Directors / Key Managerial Personnel of the Company and their relatives is/are in any way, concerned or interested (financially or otherwise) in the resolution set out at Item Nos. 5 & 6 of the AGM Notice.

Item No. 7 and 8:

At the 15th Annual General Meeting of the Company held on June 20, 2024, the members in terms of the provisions of Section 180(1)(c) of the Companies Act, 2013 **("Act"),** had granted their approval by way of a Special Resolution to the Board of Directors **("Board")**, to borrow from time to time, such amounts as they may deem necessary for the purpose of business of the Company, not exceeding ₹15,000 Crores (Rupees Fifteen Thousand Crores only) over and above the then paid-up share capital and free reserves of the Company (reserves not set apart for any specific purpose) and in terms of provisions of Section 180(1)(a) of the Act, to mortgage and/or create a charge on any of the moveable and/or immoveable properties and/or the whole or any part of undertaking(s) of the Company to secure its borrowings up to the limits of Section 180(1)(c) of the Act.

In terms of provisions of Section 180(1)(c) of the Act, the Board cannot, except with the consent of the Members in a general meeting, by means of a Special Resolution, borrow money(ies) where the money to be borrowed, together with the money already borrowed (apart from temporary loans obtained from the Company's bankers in the ordinary course of business), in excess of the aggregate of the paid-up share capital, free reserves and securities premium.

As at Mar'26, the outstanding borrowings of the Company stood at ₹10,590 crores (Rupees Ten Thousand Five Hundred Ninety Crores only). In contemplation of business expansion and in order to fulfil the loan disbursements in the future, the Board may have to resort to multiple financing alternatives, the amount of which is expected to exceed the approved existing borrowing limit of ₹15,000 Crores (Rupees Fifteen Thousand Crores only).

It may be noted that as per Section 42 read with Rule 14 of Companies (Prospectus and Allotment of Securities) Rules, 2014 (including any statutory modification(s) or re-enactment(s) thereof for the time being in force), it shall be sufficient if the Company passes a Special Resolution once in a year for all the offer or invitation for Non-Convertible Debentures to be made during the year through a private placement basis in one or more tranches.

Taking into account the increased fund requirements, as well as the enabling provisions of Sections 42 and 180(1)(c) of the Act, the approval of the Members for Item No. 7 of the AGM Notice is being sought by means of a Special Resolution, as the borrowing limit of ₹ 20,000 Crore (Rupees Twenty Thousand Crores only).

In accordance to above, the said borrowings by way of loan or issue of securities may be required to be secured

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by way of charge through lien / hypothecation / mortgage over all or any part of the movable and / or immovable asset of the Company and as per the provisions of Section 180(1)(a) of the Act, the mortgage or charge on all or any part of the movable and /or immovable asset of the Company, may be deemed as disposal of the whole, or substantially the whole, of the undertaking of the Company and hence the approval of the Members of the Company is required by way of a Special Resolution as set out at Item No. 8 of the AGM Notice.

Approval of the Members is sought by way of a Special Resolution to authorise the Board to borrow by issue of Non-convertible Debentures whether secured or unsecured, listed or unlisted and/or other debt securities, on private placement basis or otherwise, in the ordinary course of its business, for a period of one year commencing from the date of this AGM. Further, the amount to be raised by such issue of Non-convertible Debentures ('NCDs') at all times will be within the overall borrowing limit of Rs. 20,000 Crore (Rupees Twenty Thousand Crore Only) to be approved by the Members of the Company under section 180(1)(c) of the Act. The actual borrowing through issue of NCDs will be determined by the Board within the overall borrowing limit approved by the Members, considering various factors including market conditions, business requirements, etc. The debentures would be issued either at face value or at a discount or at a premium to the face value, with coupon rate and/ or on zero coupon basis, in such manner as may be permissible under the Act, SEBI (Issue and Listing of Non-Convertible Securities) Regulations, 2021, RBI Master Directions and other applicable provisions. The issue price and rate of interest depend, inter alia on the market rates, tenor and security offered. In case of secured NCDs, security would primarily be by way of charge on book debts/ loan receivables of the Company, and if required, on the immovable property/(ies) of the Company.

As per Sections 42, 180(1)(a) and 180(1)(c) and other applicable provisions of the Act, the Board at its meeting held on May 06, 2026 approved and recommended the same for Members consideration. Accordingly, approval of the Members is being sought by way of passing a Special Resolutions. Hence, the Board recommends passing of the enabling Special Resolutions set out at Item Nos. 7 and 8 of the AGM Notice.

None of the Directors or Key Managerial Personnel of the Company or their relatives is/are in any way, concerned or interested (financially or otherwise) in the resolutions set out at Item Nos. 7 and 8 of the accompanying AGM Notice.

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Annexure A

Information as required under 36(3) of the Securities and Exchange Board of India (Listing Obligations and Disclosure Requirements) Regulations, 2015 and Clause 1.2.5 of the Secretarial Standard on General Meetings (SS- 2) for Item Nos. 5 and 6 is given hereunder:

Sr no	Particulars	Details	
1.	**Name of Director**	Ms. Geeta Dutta Goel	Mr. Anuj Srivastava
2.	**Date of Birth**	June 16, 1973	January 11, 1973
3.	**DIN**	02277155	09369327
4.	**Age**	52 years	53 years
5.	**Brief resume, experience, and qualifications**	She holds a bachelor's degree in commerce from University of Delhi and a post graduate diploma in management from the Indian Institute of Management, Ahmedabad. She was associated with Michael & Susan Dell Foundation India LLP ("Dell Foundation") since 2008, and served as its Managing Director from February 2018 to January 2025 and as head of growth initiatives till October 2025. Ms. Goel has chaired India's Impact Investors Council from 2017 to 2019 and has contributed to various taskforces focused on Responsible Finance with the World Bank's Consultative Group to Alleviate Poverty.	He holds a bachelor's of technology degree in material & metallurgical engineering from Indian Institute of Technology, Kanpur and has attended the MBA Programme at London Business School. Previously, he was associated with Encentuate Inc as senior product marketing manager. He has also worked at Google, where he led product marketing and growth initiatives for the e-Commerce, Shopping, and Mobile Payments teams, as well as for Google Local/Maps and online advertising products like AdSense. Currently, he is associated with LivSpace Pte. Ltd. as its Co-founder and Director. He has been awarded with the Accomplished Entrepreneur Award by the Institute of Innovation and Entrepreneurship, London Business School.
6	**Nature of expertise in specific functional areas**	Industry Experience, Financial Expertise, Strategy and Decision making, ALM and Risk Management, Corporate Governance, Consumer Behavior, Legal and compliance.	Strategy and Decision making, Corporate Governance, Consumer Behavior, Information Technology and Cyber Security.

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7	**Terms and conditions of appointment/re-appointment**	Ms. Goel is proposed to be re-appointed as Non-Executive Independent Director, not liable to retire by rotation, for a second term of five consecutive years commencing from November 01, 2026. The terms and condition of re-appointment shall be as per Appointment Letter and in accordance with the provisions of Companies Act, 2013. Draft of the appointment letter is displayed on the website of the Company on the below link: Draft Appointment Letter.	Mr. Srivastava is proposed to be re-appointed as Non-Executive Independent Director, not liable to retire by rotation, for a second term of five consecutive years commencing from November 01, 2026. The terms and condition of re-appointment shall be as per Appointment Letter and in accordance with the provisions of Companies Act, 2013. Draft of the appointment letter is displayed on the website of the Company on the below link: Draft Appointment Letter.
8	**Remuneration proposed to be paid**	In addition to the sitting fees, she shall be entitled to remuneration by way of commission that is determined by the Board based on the performance of the Company and his performance evaluation report.	In addition to the sitting fees, he shall be entitled to remuneration by way of commission that is determined by the Board based on the performance of the Company and his performance evaluation report.
9	**Date of first appointment on Board, last drawn remuneration and number of board meetings attended**	Ms. Goel is associated with the Company as an Independent Director since November 01, 2021. Last Drawn remuneration during FY26 - She was paid ₹ 20,50,000/- as sitting fees and ₹ 20,00,000/- as Commission. During the financial year FY 2025-26, 6 (Six) Board Meetings were convened and held and Ms. Goel has attended all the 6 (Six) Board Meetings.	Mr. Srivastava is associated with the Company as an Independent Director since November 01, 2021. Last Drawn remuneration during FY26 - He was paid ₹ 11,00,000/- as sitting fees and ₹ 19,00,000/- as Commission. During the financial year FY 2025-26, 6 (Six) Board Meetings were convened and held and Mr. Srivastav has attended 3 (Three) Board Meetings.
10	**Relationships with other directors and Key Managerial Personnel inter-se**	None	None

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11	**Directorship held in other Companies Boards.**	**Directorship in other Companies:** a. Finreach Solutions Private Limited b. Equitas Small Finance Bank Limited (Listed Entity) c. CIIE Initiatives (Section 8 Company) d. Niva Bupa Health Insurance Company limited (Listed Entity) e. Eldeco Infrastructure and Properties Limited f. Translation Endeavors Private Limited	Nil
12	**The Membership/ Chairmanship of Committees of the board of Directors of the Company / other Companies**	**Membership/Chairmanship held in Other Companies** **Equitas Small Finance Bank Limited** Nomination and Remuneration Committee - Member Stakeholders Relationship Committee - Member Business Committee - Member Customer Service Committee - Member Special Committee for Monitoring High Value Frauds - Member Review Committee for identification of Wilful Defaulters - Member Corporate Social Responsibility Committee – Chairperson **Eldeco Infrastructure and Properties Limited** Risk Management Committee- Member Stakeholders Relationship Committee - Member Corporate Social Responsibility Committee - Member	**Membership/Chairmanship held in Other Companies** Nil

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12	**The Membership/ Chairmanship of Committees of the board of Directors of the Company / other Companies**	**Niva Bupa Health Insurance Company Limited** Audit Committee - Member Nomination and remuneration committee - Chairperson Stakeholders Relationship Committee - Member Risk Management Committee - Chairperson Corporate Social Responsibility Committee - Chairperson	**Membership/Chairmanship held in Other Companies** Nil
13	**Listed entities from which the person has resigned in the past three years.**	Nil	Nil
14	**No. of Equity shares held in the Company (Including Shareholding as a beneficial owner) (As on March 31, 2026).**	Nil	Nil
15	**In case of re-appointment of Independent Directors, performance evaluation report of such Director or summary thereof shall be included in the explanatory statement.**	Ms. Goel scored 5 out of 5 in the performance evaluation of directors of the Board.	Mr. Anuj Srivastava scored 4.64 out of 5 in the performance evaluation of directors of the Board.

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16	**In case of independent directors, the skills and capabilities required for the role and the manner in which the proposed person meets such requirements.**	As per the resolution at Item no. 5 of this AGM Notice, read with the explanatory statement thereto.	As per the resolution at Item no. 6 of this AGM Notice, read with the explanatory statement thereto.

By order of the Board of Directors,
For Home First Finance Company India Limited

Sd/-
Shreyans Bachhawat
Company Secretary, Compliance Officer and Head - Legal

Mem No: A26700
Date: May 29, 2026
Place: Mumbai

Registered & Corporate Office Address:
511, Acme Plaza, Andheri Kurla Road,
Andheri (East), Mumbai-400059.
CIN: L65990MH2010PLC240703
Tel: +91 88805 49911
E-mail: corporate@homefirstindia.com
Website: www.homefirstindia.com

Home First Finance Company India Limited

CIN: L65990MH2010PLC240703

Registered Office: 511, Acme Plaza,
Andheri - Kurla Road, Andheri East,
Mumbai - 400 059